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AIR1CA CAREER INSTITUTE

ADVANCED ACCOUNTING

SEP 2025, JAN 2026 & MAY 2026 ONWARDS

Question Bank

Coverage of All Questions with Solutions as per ICAI

- ☑ Study Material
- ☑ Revision Test Papers (RTP)
- ☑ Past Exam Papers
- ☑ Mock Test Papers (MTP)

Advanced Accounting

Edition: August 2025

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About the Question Bank

नमस्कार दोस्तों, राधे राधे !!

This Question Bank is prepared by **HP Agarwal** and **Ajay Agarwal (AIR 1)**. **HP Sir** has taught more than **35,000 students** till date and his **7** students has secured **AIR 1** in CA Exams. **CA Ajay Agarwal** got **Ever Highest Marks (653 out of 800)** in the history of ICAI in CA Final. He is also a **Gold Medalist** in Accounts and FM.

This Question Bank contains **600+ Questions** which are **bifurcated topic wise** in each chapter. This Question Bank is divided into 2 Parts. Part I contains Practical & Relevant Theory Questions and Part II contains Fully Irrelevant Theory Questions.

Key Figures and **Key words** as per ICAI are **Highlighted** in the answers of all chapters. **Source** for each question has been **provided** in detail after Index of the Question Bank.

All questions of this Question Bank has been **solved in the lectures** in detail. It is recommended to practice all questions of this Question Bank after referring the concept book and revision videos. This will help you to develop a strong grasp over the subject and be well-prepared for the exams.

Best wishes

HP Agarwal and Ajay Agarwal (AIR1)

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SOURCE OF QUESTIONS

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Chapter	Study Material	Past Papers	RTP	MTP
Introduction & Applicability of AS	1, 2, 4, 5, 7, 8	3(N18)	6(M24)	–
Framework	3, 4, 6, 9 to 11	1(M18), 5(N21), 7(N22), 8(J25), 12(M23)	2(N19)	–
AS 1	1 to 5, 7, 9, 10	8(M19), 11(M23), 12(N23)	6(S25)	–
AS 2	1, 2, 4, 7, 8, 10, 14, 15	6(M22), 12(N23), 17(M21), 18(M24)	3(S24), 5(M23), 9(M21), 11(M22), 13(N22), 16(M25), 19(S25)	–
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AS 5	1, 2, 5, 6, 9, 10, 14	3(M22), 13(M18), 15(N22), 16(J21), 17(N23)	4(N22), 7(N21), 8(S24)	11(M21), 12(M21)
AS 7	1, 2, 6, 8 to 11, 13 to 17, 19	4(M21), 5(N20), 12(M22)	3(N20), 7(S24), 18(M25)	–
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AS 11	1, 4, 6, 7, 9, 11, 13	5(N23), 12(N18), 14(M23)	2(J25), 8(S24), 10(M25)	3(M25)
AS 12	1 to 5, 7, 9, 11 to 13, 16, 17	8(J21), 15(M23), 18(M21), 19(M22)	6(N21), 10(N18), 14(M25)	–
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AS 14 [Amalgamation]	1, 2, 4, 6, 7 to 11, 13, 20, 23, 25, 27 to 31, 34	14(M24), 15(S24), 16(J21), 21(M21), 22(J25)	3(J25), 17(N21), 18(N22), 26(M21), 33(M25)	5(N19), 12(M25), 19(M25), 24(J25), 32(J25)
AS 15	1 to 4, 6, 7, 9	5(S24), 8(J25)	–	–

SOURCE OF QUESTIONS

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Chapter	Study Material	Past Papers	RTP	MTP
AS 16	1 to 9, 11	12(M24), 14(N23), 15(M23)	13(M23), 16(J25), 17(S24)	10(M23)
AS 17	1 to 8	–	–	–
AS 18	1 to 6, 8 to 11, 15 to 19, 22	7(J25), 23(M23)	12(N21), 13(M22), 14(M25), 20(J25), 21(M23)	–
AS 19	1, 2, 4, 5, 8 to 10	6(J25)	7(S25), 11(M25)	3(S24)
AS 20	1 to 9, 12, 14	10(N21), 13(J25), 11(M24)	15(J25)	–
AS 21, 23, 27 [Consolidation]	2 to 6, 9 to 11, 14 to 17, 19 to 22, 24, 25, 27 to 30, 33 to 36	1(M21), 7(J25), 8(M22), 13(M18), 18(N20), 23(M24), 32(S24)	26(S24), 31(J25)	12(M25)
AS 22	1 to 4, 6, 10 to 12	5(S24), 7(N22), 8(N23), 9(M21)	13(J25)	–
AS 24	3, 4, 6	–	1(N21), 2(M23), 5(N22)	–
AS 25	1 to 8	–	–	–
AS 26	2, 4, 7, 12	1(J21), 8(N23), 9(N20), 10(S24)	11(N21), 13(M24)	3(M21), 5(J25), 6(N19)
AS 28	1 to 9	–	–	–
AS 29	1 to 3, 9, 11, 14	6(M22), 8(J25), 17(N20)	4(M22), 7(S24), 10(M19), 13(M20), 15(J25), 16(M25)	5(M23), 12(J25), 18(N18)
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PART - I

Practical & Relevant Theory Questions

CHAPTER - 1
Introduction and Applicability of Accounting Standards

Meaning of AS

Question 1

What are the issues, with which Accounting Standards deal?

Answer

Accounting Standards deal with the issues of (i) **Recognition** of events and transactions in the financial statements, (ii) **Measurement** of these transactions and events, (iii) **Presentation** of these transactions and events in the financial statements in a manner that is meaningful and understandable to the reader, and (iv) **Disclosure** requirements.

Objectives & Advantages of AS

Question 2

Explain objective of "Accounting Standards" in brief. State the advantages of setting Accounting Standards.

Answer

Accounting Standards are the **written policy documents** issued by Government relating to various aspects of measurement, treatment, presentation and disclosure of accounting transactions and events.

Following are the objectives of Accounting Standards:

(a) Accounting Standards **harmonize** the diverse accounting policies and practices followed by different companies in India.

(b) Accounting Standards **facilitates** the preparation of financial statements and make them comparable.

(c) Accounting Standards give a sense of **faith and reliability** to the users.

The main advantage of setting accounting standards are as follows:

(a) Accounting Standards makes the financial statements of different companies **comparable** which helps investors in decision making.

(b) Accounting Standards **prevent any misleading** accounting treatment.

(c) Accounting Standards **prevent manipulation** of data by the management.

Question 3

"Accounting Standards standardize diverse accounting policies with a view to eliminate the non-comparability of financial statements and improve the reliability of financial statements. "Discuss and explain the benefits of Accounting Standards.

Answer

Accounting Standards standardize diverse accounting policies with a view to eliminate the non-comparability of financial statements and improve the reliability of financial statements. Accounting Standards provide a set

of standard accounting policies, valuation norms and disclosure requirements. Accounting standards aim at improving the quality of financial reporting by promoting comparability, consistency and transparency, in the interests of users of financial statements.

The following are the benefits of Accounting Standards:

(i) **Standardization of alternative accounting treatments**: Accounting Standards reduce to a reasonable extent confusing variation in the accounting treatment followed for preparation of financial statements.

(ii) **Requirements for additional disclosures**: There are certain areas where important is not statutorily required to be disclosed. Standards may call for disclosure beyond that required by law.

(iii) **Comparability of financial statements**: The application of accounting standards would facilitate comparison of financial statements of different companies situated in India and facilitate comparison, to a limited extent, of financial statements of companies situated in different parts of world. However, it should be noted in this respect that differences in the institutions, traditions and legal systems from one country to another give rise to differences in Accounting Standards adopted in different countries.

Applicability of AS on Non Corporate Entities

Question 4

List the criteria to be applied for rating a non-corporate entity as large entity and MSME entity for the purpose of compliance of Accounting Standards in India.

Answer

Non-company entities which fall in any one or more of the following categories, at the end of the relevant accounting period, are classified as large entities:

(i) Entities whose securities are **listed** or are in the **process of listing** on any stock exchange, whether in India or outside India.

(ii) **Banks** (including co-operative bank), **financial institutions**, entities carrying on **insurance business**.

(iii) All entities engaged in commercial, industrial or business activities, whose **turnover** (excluding other income) **exceeds ₹ 250 crore** in the immediately preceding accounting year.

(iv) All entities engaged in commercial, industrial or business activities having **borrowings** (including public deposits) in **excess of ₹ 50 crore** at any time during the immediately preceding accounting year.

(v) **Holding** and **subsidiary** entities of any one of the above.

Non-company entities which are not large entities or if fulfills following conditions are classified as MSME entities:

(i) whose equity or debt securities are **not listed** or are **not in the process of listing** on any stock exchange, whether in India or outside India;

(ii) which is **not a bank, financial institution** or an **insurance business**;

(iii) whose **turnover** (excluding other income) **does not exceed ₹ 250** crores in the immediately preceding accounting year;

(iv) which does **not have borrowings** (including public deposits) **in excess of ₹ 50 crores** at any time during the immediately preceding accounting year; and

(v) which is **not a holding or subsidiary** entity of large entity.

Question 5

M/s Omega & Co. (a partnership firm), had a turnover of ₹ 1.25 crores (excluding other income) and borrowings of ₹ 0.95 crores in the previous year. It wants to avail the exemptions available in application of Accounting Standards to non-corporate entities for the year ended 31.3.20X1. Advise the management of M/s Omega & Co in respect of the exemptions of provisions of ASs, as per the directive issued by the ICAI.

Answer

The question deals with the issue of Applicability of Accounting Standards to a non-corporate entity. For availment of the exemptions, first of all, it has to be seen that M/s Omega & Co. falls in which category of the non-corporate entities. Its classification will be done on the basis of the classification of non-corporate entities as prescribed by the ICAI. According to the ICAI, non-corporate entities can be classified under large and MSME entities.

Non-corporate entities which meet following criteria are classified as **MSME** entities:

(i) whose equity or debt securities are **not listed** or are **not in the process of listing** on any stock exchange, whether in India or outside India;

(ii) which is **not a bank, financial institution** or an **insurance business**;

(iii) whose **turnover** (excluding other income) **does not exceed ₹ 250** crores in the immediately preceding accounting year;

(iv) which does **not have borrowings** (including public deposits) **in excess of ₹ 50 crores** at any time during the immediately preceding accounting year; and

(v) which is **not a holding or subsidiary** entity of large entity.

As the turnover of M/s Omega & Co. is less than ₹ 250 crores and borrowings less than ₹ 50 crores, it falls under **MSMSE** non-corporate entities. In this case, AS 3, AS 14, AS 17, AS 18, AS 20, AS 21, AS 23, AS 24, AS 25, AS 27 and AS 28 will not be applicable to M/s Omega & Co. Relaxations from certain requirements in respect of AS 10, AS 11, AS 15, AS 19, AS 22, AS 26, AS 28 and AS 29 are also available to M/s Omega & Co.

Question 6

Based upon criteria for rating of non-corporate entity, categorize the following as large entities or MSME entities for the purpose of compliance of Accounting Standards in India.

(a) Rama Textiles whose turnover (excluding other income) does not exceed ₹ 50 crore in the immediately preceding accounting year.

(b) Star Industries is having borrowings (including public deposits) not in excess of ₹ 10 crore at any time during the immediately preceding accounting year.

(c) Newman Industries is having borrowings (including public deposits) less than ₹ 50 lakh at any time during the immediately preceding accounting year.

(d) SS Finance is a financial institution carrying its business in India since last 10 years.

(e) DD Finance, holding company of SS Finance. [Entity mentioned at Point (d) above]

(f) Reliable Co-op Bank, a co-operative bank, carrying banking operations since last 15 years.

Answer

(a) **MSME Entity:** Rama textiles, whose **turnover** (excluding other income) **not exceeds ₹ 250 crore** in the immediately preceding accounting year.

(b) **MSME Entity:** Star industries is having **borrowings** (including public deposits) **not in excess of ₹ 50 crore** at any time during the immediately preceding accounting year.

(c) **MSME Entity:** Newman Industries is having **borrowings** (including public deposits) **not in excess of ₹ 50 crore** at any time during the immediately preceding accounting year.

(d) **Large Entity:** SS is a **financial institution** carrying its business in India since last 10 years.

(e) **Large Entity:** DD finance, **holding company of SS finance** (Entity mentioned in point (d) above).

(f) **Large Entity:** Reliable co-operative banks carrying on **banking business** for the last 15 years.

Applicability of AS on Corporate Entities

Question 7

XYZ Ltd., with a turnover of ₹ 50 crores during previous year and borrowings of ₹ 1 crore during any time in the previous year, wants to avail the exemptions available in adoption of Accounting Standards applicable to companies for the year ended 31.3.20X1. Advise the on the exemptions that are available as per the Companies (Accounting Standards) Rules, 2021.

OR

List down the applicable criteria under the companies (Accounting Standards) Rule, 2021, to classify a company as Small and Medium Sized Company (SMC).

Answer

The question deals with the issue of Applicability of Accounting Standards for corporate entities.

The companies can be classified under two categories viz SMCs and Non SMCs under the Companies (Accounting Standards) Rules, 2021.

As per the Companies (Accounting Standards) Rules, 2021, criteria for above classification as SMCs, are:

"Small and Medium Sized Company" (SMC) means, a company-

(vi) whose equity or debt securities are **not listed** or are **not in the process of listing** on any stock exchange, whether in India or outside India;

(vii) which is **not a bank, financial institution** or an **insurance company**;

(viii) whose **turnover** (excluding other income) **does not exceed ₹ 250** crores in the immediately preceding accounting year;

(ix) which does **not have borrowings** (including public deposits) **in excess of ₹ 50 crores** at any time during the immediately preceding accounting year; and

(x) which is **not a holding or subsidiary** company of a company which is not a small and medium-sized company.

Since, XYZ Ltd.'s turnover was ₹ 50 crores which does not exceed ₹ 250 crores and borrowings of ₹ 1 crore are less than ₹ 50 crores, it is a **small and medium sized company (SMC).**

Question 8

A company was classified as Non-SMC in 20X1-X2. In 20X2-X3, it has been classified as SMC. The management desires to avail the exemptions or relaxations available for SMCs in 20X2-X3. However, the accountant of the company does not agree with the same. Comment.

Answer

As per Companies (Accounting Standards) Rules, 2021, an existing company, which was previously not a SMC and subsequently becomes a SMC, should not be qualified for exemption or relaxation in respect of accounting standards available to a SMC until the company remains a SMC for **two consecutive** accounting periods. Therefore, the management of the company **cannot avail** the exemptions/relaxations available to the SMCs for the FY 20X2-X3.

CHAPTER - 2
Framework for Preparation and Presentation of Financial Statements

Theoretical Concepts

Question 1

Briefly explain the elements of financial statements.

Answer

Elements of Financial Statements are

(i) **Asset:** Resource controlled by the enterprise as a result of past events from which future economic benefits are expected to flow to the enterprise.

(ii) **Liability:** Present obligation of the enterprise arising from past events, the settlement of which is expected to result in an outflow of a resource embodying economic benefits.

(iii) **Equity:** Residual interest in the assets of an enterprise after deducting all its liabilities.

(iv) **Income/gain:** Increase in economic benefits during the accounting period in the form of inflows or enhancement of assets or decreases in liabilities that result in increase in equity other than those relating to contributions from equity participants.

(v) **Expense/loss**: Decrease in economic benefits during the accounting period in the form of outflows or depletions of assets or incurrence of liabilities that result in decrease in equity other than those relating to distributions to equity participants.

Question 2

With regard to financial statements name any four Users.

Answer

Users are Investors, Employees, Lenders, Supplies/Creditors, Customers, Government & Public.

Question 3

What are the qualitative characteristics of the financial statements which improve the usefulness of the information furnished therein?

Answer

The qualitative characteristics are attributes that **improve the usefulness** of information provided in financial statements. Financial statements are required to **show a true and fair view** of the performance, financial position and cash flows of an enterprise. Framework suggests that the financial statements should maintain the following four qualitative characteristics to improve the usefulness of the information furnished therein:

(i) **Understandability:** The financial statements should present information in a manner as to be readily understandable by users with reasonable knowledge of business, economic activities and accounting.

(ii) **Relevance:** The financial statements should contain relevant information only. Information, which is

likely to influence the economic decisions by the users, is said to be relevant. Such information may help the users to evaluate past, present or future events or may help in confirming or correcting past evaluations. The relevance of a piece of information should be judged by its materiality. A piece of information is said to be material if its misstatement can influence economic decisions of a user.

(iii) **Reliability:** To be useful, information must be reliable; that is, they must be free from material error and bias. The information provided are not likely to be reliable unless transactions and events reported are faithfully represented. The reporting of transactions and events should be neutral, i.e. free from bias and reported on principle of 'substance over form'. The information in financial statements must be complete. Prudence should be exercised in reporting uncertain outcome of transactions or events.

(iv) **Comparability:** Comparison of financial statements is one of the most frequently used and most effective tools of financial analysis. The financial statements should permit both inter-firm and intra-firm comparison. One essential requirement of comparability is disclosure of financial effect of change in accounting policies.

Question 4

"One of the characteristics of financial statements is neutrality". Do you agree with this statement?

Answer

Yes, one of the **characteristics** of financial statements is **neutrality**. To be reliable, the information contained in financial statement must be neutral, that is free from bias. Financial Statements are not neutral if by the selection or presentation of information, the focus of analysis could shift from one area of business to another thereby arriving at a totally different conclusion on the business results.

Question 5

What is meant by 'Measurement'? What are the bases of measurement of Elements of Financial Statements? Explain the brief.

OR

Explain in brief, the alternative measurement bases, for determining the value at which an element can be recognized in the Balance Sheet or Statement of Profit and Loss.

Answer

Measurement is the process of determining money value at which an element can be recognized in the balance sheet or statement of profit and loss. The Framework for Preparation and Presentation of Financial statements recognizes four alternative measurement bases for the purpose of determining the value at which an element can be recognized in the balance sheet or statement of profit and loss. These bases are

(i) **Historical Cost:** Historical cost means acquisition price. According to this, assets are recorded at an amount of cash or cash equivalent paid or the fair value of the asset at the time of acquisition. Liabilities are generally recorded at the amount of proceeds received in exchange for the obligation.

(ii) **Current Cost:** Current cost gives an alternative measurement basis. Assets are carried out at the amount of cash or cash equivalent that would have to be paid if the same or an equivalent asset was acquired currently. Liabilities are carried at the undiscounted amount of cash or cash equivalents that would be required to settle the obligation currently.

(iii) Realizable (Settlement) Value: As per realizable value, assets are carried at the amount of cash or cash equivalents that could currently be obtained by selling the assets in an orderly disposal. Liabilities are carried at their settlement values, i.e. the undiscounted amount of cash or cash equivalents paid to satisfy the liabilities in the normal course of business.

(iv) Present Value: Under present value convention, assets are carried at present value of future net cash flows generated by the concerned assets in the normal course of business. Liabilities under this convention are carried at present value of future net cash flows that are expected to be required to settle the liability in the normal course of business.

Accounting Equation

Question 6

Opening Balance Sheet of Mr. A is showing the aggregate value of assets, liabilities and equity ₹ 8 lakh, ₹ 3 lakh and ₹ 5 lakh respectively. During accounting period, Mr. A has the following transactions:

(1) Earned 10% dividend on 2,000 equity shares held of ₹ 100 each

(2) Paid ₹ 50,000 to creditors for settlement of ₹ 70,000

(3) Rent of the premises is outstanding ₹ 10,000

(4) Mr. A withdrew ₹ 9,000 for his personal use.

You are required to show the effect of above transactions on Balance Sheet in the form of Assets – Liabilities = Equity after each transaction.

Answer

Effects of each transaction on Balance sheet of the trader is shown below: **₹ lakh**

Transactions	Assets	–	Liabilities	=	Equity
Opening	8.00	–	3.00	=	5.00
Dividend earned	8.20	–	3.00	=	5.20
Settlement of Creditors	7.70	–	2.30	=	5.40
Rent Outstanding	7.70	–	2.40	=	5.30
Drawings	7.61	–	2.40	=	5.21

Question 7

As on 1st April, 20X1 opening Balance Sheet of Mr. Mohanty is showing the aggregate value of Assets, Liabilities and Equity ₹ 12 Lakhs, 3 Lakhs and 9 lakhs respectively.

During the accounting period 01.04.20X1 to 31.03.20X2, Mr. Mohanty has the following transactions:

(1) A liability of ₹ 50,000 was finally settled at a discount of 2%.

(2) Dividend earned @ 15% on 1,000 (Face Value 100 each) Equity shares held @ ₹ 12,000.

(3) Rent of the premises paid ₹ 20,000.

(4) Mr. Mohanty withdrew ₹ 10,000 for personal purposes and also withdrew Goods worth ₹ 5,000 for personal purposes.

(5) ₹ 15,000 were received against Bill Receivables.

You are required to show the effect of the above transactions on Balance Sheet in the form of Assets – Liabilities = Equity equation after each transaction.

Answer

Effects of each transaction on Balance sheet of the trader is shown below: **₹ lakh**

Transactions	Assets	–	Liabilities	=	Equity
Opening	12	–	3	=	9
Settlement of Creditors	(12 – 0.49) = 11.51	–	(3 – 0.50) = 2.5	=	(9.0 + 0.01) = 9.01
Dividend earned	(11.51 + 0.15) = 11.66	–	2.5	=	(9.01 + 0.15) = 9.16
Rent paid	(11.66 – 0.20) = 11.46	–	2.5	=	(9.16 – 0.20) = 8.96
Drawings	(11.46 – 0.15) = 11.31	–	2.5	=	(8.96 – 0.15) = 8.81
Money received against B/R	(11.31 + 0.15 – 0.15) = 11.31	–	2.5	=	8.81

Note: No change as cash received from bills receivable will have impact on individual asset only (will reduce bill receivables with corresponding increase in cash).

Preparation of Financial Statements if Entity is not a Going Concern

Question 8

Given below is the Balance Sheet of Sky and Associates as on 31st March, 20X2:

Liabilities	Amount (₹)	Assets	Amount (₹)
Capital	1,60,000	Machinery	1,80,000
Profit and Loss A/c	93,000	Stock	1,15,000
8% Loan	40,000	Trade Receivables	75,000
Trade Payables	66,000	Deferred Expenditure	9,000
Bank Overdraft	20,000		
	3,79,000		**3,79,000**

Additional Information:

(1) The firm is planning to shut down its business with immediate effect from 1st April, 20X3.

(2) The sale and purchase of the firm for the year 20X2-X3 amounts to ₹ 8,20,000 and ₹ 6,50,000 respectively.

(3) The value of Closing Stock as on 31-3-20X3 was ₹ 65,000. The net realizable value is estimated at 120% of cost.

(4) Other expenses for the period amount to ₹ 25,000.

(5) Deferred expenditure is getting amortized over 5 years starting form 31-3-20X2.

(6) The remaining life of Machinery is expected to be 3 years. The realizable value of Machine is expected at ₹ 1,65,000, an expense of ₹ 5,000 is to be incurred to realize the same.

(7) Out of trade receivables, ₹ 5,000 is expected to be unrealizable due to an ongoing dispute.

(8) Bank has charged a penalty of ₹ 2,500 for crossing the overdraft limit.

(9) The lender has agreed to forgo 50% of interest charge for the year.

(10) The firm is expecting a discount of ₹ 4,000 from creditors at the time of full and final settlement.

You are required to prepare a Profit & Loss A/c for the year ended 31st March, 20X3 to ascertain its Profit/Loss for the period.

Answer

Profit and Loss Account of Sky & Associate for the year ended 31st March, 20X3

Particulars	₹	Particulars	₹
To Opening Stock	1,15,000	By Sales	8,20,000
To Purchases	6,50,000	By Closing Stock	78,000
To Gross Profit	1,33,000		
	8,98,000		**8,98,000**
To Deferred Expense	9,000	By Gross Profit	1,33,000
To Other Expenses	25,000	By Discount	4,000
To Bad Debts	5,000		
To Penalty	2,500		
To Depre. (180 – 160)	20,000		
To Interest on loan	1,600		
To Net Profit	73,900		
	1,37,000		**1,37,000**

Question 9

Balance Sheet of Anurag Trading Co. on 31st March, 20X1 is given below:

Liabilities	Amount (₹)	Assets	Amount (₹)
Capital	50,000	Property, Plant and Equipment	69,000
Profit and Loss A/c	22,000	Stock in Trade	36,000
10% Loan	43,000	Trade Receivables	10,000
Trade Payables	18,000	Deferred Expenditure	15,000
		Bank	3,000
	1,33,000		**1,33,000**

Additional Information:

(i) Remaining life of Property, Plant and Equipment is 5 years with even use. The net realisable value of Property, Plant and Equipment as on 31st March, 20X2 was ₹ 64,000.

(ii) Firm's sales and purchases for the year 20X1-X2 amounted to ₹ 5 lacs and ₹ 4.50 lacs respectively.

(iii) The cost and net realisable value of the stock were ₹ 34,000 and ₹ 38,000 respectively.

(iv) General Expenses (including interest on Loan) for the year 20X1-X2 were ₹ 16,500.

(v) Deferred Expenditure is normally amortised equally over 4 years starting from F.Y. 20X0-X1 i.e. ₹ 5,000 per year.

(vi) Out of trade receivables worth ₹ 10,000, collection of ₹ 4,000 depends on successful re-design of certain

product already supplied to the customer.

(vii) Closing trade payable is ₹ 10,000, which is likely to be settled at 95%.

(viii) There is pre-payment penalty of ₹ 2,000 for Bank loan outstanding.

Prepare Profit & loss Account for the year ended 31st March, 20X2 by assuming it is not a Going Concern.

Answer

Profit and Loss Account of Anurag Trading Co. for the year ended 31st March, 20X2

(Assuming business is not a going concern)

	₹		₹
To Opening Stock	36,000	By Sales	5,00,000
To Purchases	4,50,000	By Trade payables	500
To General expenses	16,500	By Closing Stock	38,000
To Depreciation (69,000 – 64,000)	5,000		
To Provision for doubtful debts	4,000		
To Deferred expenditure	15,000		
To Loan penalty	2,000		
To Net Profit (b.f.)	10,000		
	5,38,500		**5,38,500**

Question 10

Balance sheet of a trader on 31st March, 20X1 is given below:

Liabilities	₹	**Assets**	₹
Capital	60,000	Property, Plant and Equipment	65,000
Profit and Loss Account	25,000	Stock	30,000
10% Loan	35,000	Trade receivables	20,000
Trade payables	10,000	Deferred expenditure	10,000
		Bank	5,000
	1,30,000		**1,30,000**

Additional information:

(a) The remaining life of Property, Plant and Equipment is 5 years. The pattern of use of the asset is even. The net realisable value of Property, Plant and Equipment on 31.03.X2 was ₹ 60,000.

(b) The trader's purchases and sales in 20X1-X2 amounted to ₹ 4 lakh and ₹ 4.5 lakh respectively.

(c) The cost and net realisable value of stock on 31.03.X2 were ₹ 32,000 and ₹ 40,000 respectively.

(d) Expenses (including interest on 10% Loan of ₹ 3,500 for the year) amounted to ₹ 14,900.

(e) Deferred expenditure is amortised equally over 4 years.

(f) Trade receivables on 31.03.X2 is ₹ 25,000, of which ₹ 2,000 is doubtful. Collection of another ₹ 4,000 depends on successful re-installation of certain product supplied to the customer.

(g) Closing trade payable is ₹ 12,000, which is likely to be settled at 5% discount.

(h) Cash balance on 31.03.X2 is ₹ 37,100.

(i) There is an early repayment penalty for the loan ₹ 2,500.

You are required to prepare Profit and Loss Accounts and Balance Sheets of the trader in both cases:

(i) assuming going concern

(ii) not assuming going concern

Answer

Profit and Loss Account for the year ended 31st March, 20X2

	Case (i) (₹)	Case (ii) (₹)		Case (i) (₹)	Case (ii) (₹)
To Opening stock	30,000	30,000	By Sales	4,50,000	4,50,000
To Purchases	4,00,000	4,00,000	By Closing stock	32,000	40,000
To Expenses	14,900	14,900	By Trade payables	–	600
To Depreciation	13,000	5,000			
To Provision for doubtful debts	2,000	6,000			
To Deferred expenditure	2,500	10,000			
To Loan penalty	–	2,500			
To Net Profit (B/F)	19,600	22,200			
	4,82,000	**4,90,600**		**4,82,000**	**4,90,600**

Balance Sheet as at 31st March, 20X2

Liabilities	Case (i) (₹)	Case (ii) (₹)	Assets	Case (i) (₹)	Case (ii) (₹)
Capital	60,000	60,000	Property, Plant and Equipment	52,000	60,000
Profit & Loss A/c	44,600	47,200	Stock	32,000	40,000
10% Loan	35,000	37,500	Trade receivables (less provision)	23,000	19,000
Trade payables	12,000	11,400	Deferred expenditure	7,500	Nil
			Bank	37,100	37,100
	1,51,600	**1,56,100**		**1,51,600**	**1,56,100**

Capital Maintenance

Question 11

Mohan started a business on 1st April 20X1 with ₹ 12,00,000 represented by 60,000 units of ₹ 20 each. During the financial year ending on 31st March, 20X2, he sold the entire stock for ₹ 30 each. In order to maintain the capital intact, calculate the maximum amount, which can be withdrawn by Mohan in the year 20X1-X2, if Financial Capital is maintained at historical cost.

Answer

Financial Capital Maintenance at Historical Cost	₹
Closing equity represented by cash (60,000 units x ₹ 30)	18,00,000
Less: Opening equity (60,000 units x ₹ 20)	(12,00,000)
Permissible drawings to keep capital intact	6,00,000

Question 12

Mille started a business on 01.04.20X2 with a capital of ₹ 15,00,000. She purchased 1,500 units of stock at ₹ 1,000 each. She sold the entire stock for ₹ 1,500 each unit till 31.03.20X3.

You are required to calculate the maximum amount which can be withdrawn by Mille in order to keep her capital intact, if Financial Capital is maintained at:

(i) Historical Cost

(ii) Current Purchasing Power (Opening index at 100 and closing index at 125)

(iii) Physical Capital Maintenance (Price per unit at the end of year is ₹ 1,350)

Answer

(i) Financial Capital Maintenance at historical Costs

Particulars	**₹**
Opening Equity (1,500 x 1,000)	15,00,000
Less: Closing Equity (1,500 x 1,500)	(22,50,000)
Maximum Drawing	**7,50,000**

(ii) Financial Capital Maintenance at current purchasing power

Particulars	**₹**
Opening Equity [(1,500 x 1,000) x 125/100]	18,75,000
Less: Closing Equity (1,500 x 1,500)	(22,50,000)
Maximum Drawing	**3,75,000**

(iii) Financial Capital Maintenance at Physical Capital Maintenance

Particulars	**₹**
Opening Equity (1,500 x 1,350)	20,25,000
Less: Closing Equity (1,500 x 1,500)	(22,50,000)
Maximum Drawing	**2,25,000**

CHAPTER - 3
AS 1: Disclosure of Accounting Policies

Accounting Policies

Question 1

Give examples of areas where accounting policies adopted could be different for different enterprises. Would there be any adverse impact due to adoption of different policies, and if yes, how does Accounting Standard 1 seek to address such issue?

Answer

There are various areas where different accounting policies could be adopted by different entities within the same industry. An entity may choose to value its **inventories** using **FIFO method**, whereas another entity may choose to value the same using **Weighted Average method**.

While an entity is **free to choose its accounting policy** as long as in the financial statements **reflect a true and fair view** of the state of affairs of the enterprise as at the balance sheet date and of the profit or loss for the period ended, the application of **different accounting policies** by different entities **affects** the **comparability** of the financial statements of such different entities by stakeholders, analysts, investors etc.

To mitigate the loss of comparability, AS 1, "Disclosure of Accounting Policies" requires **disclosure** of significant accounting policies as a part of the financial statements. This **would help users** of the financial statements to **understand the policies followed by different entities**, particularly if they belong to the same industry, and make a correct analysis of each entity resulting in more informed decision-making.

Question 2

Has Accounting Standard 1 prescribed the manner in which the accounting policies followed by the entity should be disclosed?

Answer

Paras 18-20 of **Accounting Standard 1**, Disclosure of Accounting Policies, lay down the manner in which accounting policies have to be disclosed, which is stated as under:

- To ensure proper understanding of financial statements, it is necessary that **all significant accounting policies adopted** in the preparation and presentation of financial statements **should be disclosed**.
- Such disclosure should form **part of the financial statements**.
- All the **disclosures** should be made **at one place** instead of being scattered over several statements, schedules and notes.

Question 3

In the books of M/s Prashant Ltd., closing inventory as at 31.03.20X2 amounts to ₹ 1,63,000 (on the basis of FIFO method).

The company decides to change from FIFO method to weighted average method for ascertaining the cost of inventory from the year 20X1-X2. On the basis of weighted average method, closing inventory as on 31.03.20X2 amounts to ₹ 1,47,000. Realisable value of the inventory as on 31.03.20X2 amounts to ₹ 1,95,000.

Discuss disclosure requirement of change in accounting policy as per AS 1.

Answer

As per **AS 1**"Disclosure of Accounting Policies", any **change** in an accounting policy which has a **material effect should be disclosed** in the financial statements. **The amount** by which any item in the financial statements is **affected** by such change should also be **disclosed to the extent ascertainable**. Where such amount is **not ascertainable**, wholly or in part, the **fact should be indicated**. Thus, Prashant Ltd. **should disclose** the change in valuation method of inventory and its effect on financial statements. The company may disclose the change in accounting policy in the **following manner**:

'The company **values** its inventory at **lower of cost and net realizable value**. Since net realizable value of all items of inventory in the current year was greater than respective costs, the company valued its inventory at cost. In the present year i.e. 20X1-X2, the company has **changed to weighted average method**, which better reflects the consumption pattern of inventory, for ascertaining inventory costs from **earlier** practice of using **FIFO for the purpose**. The change in policy has **reduced current profit** and value of inventory by ₹ 16,000.

Question 4

Jagannath Ltd. had made a rights issue of shares in 20X2. In the offer document to its members, it had projected a surplus of ₹ 40 crores during the accounting year to end on 31st March, 20X2. The draft results for the year, prepared on hitherto followed accounting policies and presented for perusal of board of directors showed a deficit of ₹ 10 crores. The board in consultation with managing director, decided on the following:

(i) Value year-end inventory at works cost (₹ 50 crores) instead of the hitherto method of valuation of inventory at prime cost (₹ 30 crores).

(ii) Provide for permanent diminution in the value of investments, which had taken place over the past 5 years, the amount of provision being ₹ 10 crores.

As chief accountant of the company, you are asked by the managing director to draft the notes on accounts for inclusion in the annual report for 20X1-20X2.

Answer

As per **AS 1,** any **change** in the accounting policies which has a **material effect** in the current period or which is reasonably expected to have a material effect in later periods should be **disclosed**. In the case of a change in accounting policies which has a **material effect** in the current period, the amount by which any item in the financial statements is affected by such change should also be **disclosed to the extent ascertainable**. Where such amount is **not ascertainable**, wholly or in part, the **fact should be indicated**. Accordingly, the notes on accounts **should properly disclose** the change and its effect.

Notes on Accounts:

(i) During the year, inventory has been **valued at factory cost**, against the practice of **valuing it at prime cost** as was the practice till **last year**. This has been done to take cognizance of more capital-intensive method of production on account of heavy capital expenditure during the year. As result of **this change**, year-end inventory has been **valued at ₹ 50 crores** and **profit** for year has **increased by ₹ 20 crores**.

(ii) The company has **decided to provide ₹ 10 crores for the permanent diminution** in the value of investments which has taken place over the period of past 5 years. The provision so made has **reduced the profit disclosed in the accounts by ₹ 10 crores**.

Question 5

ABC Ltd. was making provision for non-moving stocks based on issues for last 12 months up to 31.3.20X1.

The company wants to provide during the year ending 31.3.20X2 based on technical evaluation:

Total value of inventory	₹ 100 lakhs
Provision required based on 12 months issue	₹ 3.5 lakhs
Provision required based on technical evaluation	₹ 2.5 lakhs

Does this amount to change in accounting policy? Can the company change the method of provision? Discuss disclosure requirement of change in accounting policy as per AS 1.

Answer

Accounting policy of a company **may require** that **provision for non-moving inventories should be made**. The **method** of estimating amount of **provision may be changed** in case more prudent estimate can be made.

The decision of making provision for non-moving inventories on the basis of technical evaluation **does not amount to change in accounting policy**.

In the above case, considering the total value of inventory, the change in the amount of required provision of non-moving inventory from ₹ 3.5 lakhs to ₹ 2.5 lakhs is also not material.

The **disclosure** can be made for **such change** in the following lines **by way of notes** to the accounts in the annual accounts of ABC Ltd. for the year 20X1-X2:

"The company has provided for non-moving inventories on the basis of technical evaluation unlike preceding years. **Had the same method been followed as in the previous year**, the **profit** for the year and the corresponding effect on the year-end net assets would have been **lower by ₹ 1 lakh**."

Question 6

Lion Ltd., engaged in manufacturing and construction contracts, prepares its financial statements for the year ended 31st March 20X1. The company follows historical cost for fixed assets, FIFO for inventory valuation, and percentage of completion method for revenue recognition in construction contracts. During the year, the management changes:

- The inventory valuation method from FIFO to Weighted Average due to volatility in raw material prices.
- The depreciation method from Straight Line Method (SLM) to Written Down Value (WDV) citing better reflection of asset usage.

The company discloses the change in inventory method in notes, but does not disclose the change in depreciation method, stating that it is not material.

Additionally, the company has not disclosed its accounting policy on recognition of government grants, though it has received a significant subsidy this year.

You are required to:

(a) Identify and explain violations (if any) of AS 1 in the above case.

(b) Critically evaluate whether "materiality" can be used as a justification for non-disclosure of a change in accounting policy.

(c) Justify, would the change from FIFO to Weighted Average be treated as a change in accounting estimate or accounting policy under AS 1?

Answer

As per AS 1 "Disclosure of Accounting Policies", the following requirements are relevant:

- All significant accounting policies adopted in the preparation and presentation of financial statements should be disclosed.
- Any change in an accounting policy which has a material effect should be disclosed along with the nature and reasons for such change.
- If the effect of such change is not ascertainable wholly or in part, the fact should be indicated.

Application to Lion Ltd.:

(a) 1. **Change** in Inventory Valuation Method **(FIFO to Weighted Average)**: This is a **change in accounting policy**. The **company has disclosed** the change in the notes to accounts along with justification, which is **in line with the disclosure requirements** of AS 1, provided the impact of the change is also disclosed or indicated as unascertainable if applicable.

2. **Change** in Depreciation Method **(SLM to WDV)**: As per AS 10 (Revised), a change in the method of depreciation is considered a **change in accounting estimate**. However, AS 1 also requires disclosure of material items affecting financial statements. Depreciation **affects** key financial figures such as profit, asset value, and return ratios. Even if the change is classified as an estimate, if it has a material effect, **disclosure is warranted**. The company's decision **not to disclose** the change on the grounds of immateriality may **not be appropriate** unless supported by clear quantitative evidence.

3. Non-Disclosure of Accounting Policy for Government Grants: Lion Ltd. has received a significant subsidy during the year but has not disclosed its accounting policy for government grants. As per AS 1, all significant accounting policies, including those for government grants, **should be disclosed**. Hence, **non-disclosure amounts to a violation of AS 1**.

(b) Evaluation of "Materiality" as Justification for Non-Disclosure

AS 1 emphasizes that accounting policies that are significant and changes that **materially affect** the financial statements should be **disclosed**.

- **Materiality** is assessed in terms of the potential of an item or change to **influence** economic **decisions of users**.
- **Change in the method of depreciation affects** not only profit and loss but also asset values and tax liabilities. Thus, even if the quantitative impact appears small, its qualitative impact (e.g., on comparability and trend analysis) **may be significant**.
- Therefore, the company's reliance on "materiality" as a justification for **non-disclosure is not valid** unless there is concrete evidence showing the impact is indeed immaterial both quantitatively and qualitatively.

(c) Nature of Change from FIFO to Weighted Average

The change from **FIFO to Weighted Average** should be treated as a **change in accounting policy** and **not** a **change in accounting estimate** under AS 1, and its nature and financial **impact** should be properly **disclosed** in the financial statements.

Fundamental Accounting Assumptions

Question 7

What are the three fundamental accounting assumptions recognised by Accounting Standard (AS) 1?

Answer

Accounting Standard (AS) 1 recognises three fundamental accounting assumptions. These are:

(i) Going Concern

(ii) Consistency

(iii) Accrual basis of accounting

Question 8

What do you mean by 'Accrual' in reference to AS 1? Also, specify any three reasons for 'Accrual Basis of Accounting'.

Answer

The term **"Accrual"** has been explained in the **AS 1** on Disclosure of Accounting Policies, as "**Revenues and costs** are accrued, that is, **recognised as they are earned or incurred** (and not as money is received or paid) and recorded in the financial statements of the periods to which they relate"

Reasons for Accrual Basis of Accounting

(i) Accrual basis of accounting, attempts to **record** the financial effects of the transactions, events, and circumstances of an enterprises **in the period in which they occur rather than recording** them in the period(s) in which **cash is received or paid** by the enterprise.

(ii) Receipts and payments of the period will not coincide with the buying, producing or selling events and other economic events that affect entity performance.

(iii) The **goal** of Accrual basis of accounting is to **follow the matching concept** of income and expenditure so that reported net income measures an enterprise's performance during a period instead of merely listing its cash receipts and payments.

(iv) Accrual basis of accounting recognizes assets, liabilities or components of revenues and expenses for amounts received or paid in cash in past, and amounts expected to be received or paid in cash in future.

(v) Important point of difference between accrual and accounting based on cash receipts and outlay is in timing of recognition of revenues, expenses, gains and losses.

Question 9

XYZ Company is engaged in the business of financial services and is undergoing tight liquidity position, since most of the assets of the company are blocked in various claims/petitions in a Special Court. XYZ has accepted Inter-Corporate Deposits (ICDs) and it is making its best efforts to settle the dues. There were claims at varied rates of interest, from lenders, from the due date of ICDs to the date of repayment. The company has provided interest, as per the terms of the contract till the due date and a note for non-provision of interest on the due date to date of repayment was affected in the financial statements. On account of uncertainties existing regarding the determination of the amount and in the absence of any specific legal obligation at present as per

the terms of contracts, the company considers that these claims are in the nature of "claims against the company not acknowledged as debt", and the same has been disclosed by way of a note in the accounts instead of making a provision in the statement of profit and loss. State whether the treatment done by the Company is correct or not.

Answer

AS 1 'Disclosure of Accounting Policies' recognises **'prudence'** as one of the **major considerations** governing the **selection** and application of **accounting policies**. In view of the uncertainty attached to future events, **profit**s are not anticipated but **recognised** only **when realised** though not necessarily in cash. **Provision** is made for all **known liabilities** and losses even though the amount cannot be determined with certainty and represents only a best estimate in the light of available information.

Also, as per AS 1, **'accrual'** is one of the **fundamental accounting assumptions**. Irrespective of the terms of the contract, so long as the principal amount of a loan is not repaid, the lender cannot be replaced in a disadvantageous position for non-payment of interest in respect of overdue amount. From the aforesaid, it is apparent that the company **has an obligation** on account of the **overdue interest**. In this situation, the company **should provide for the liability** (since it is not waived by the lenders) at an amount estimated or on reasonable basis based on facts and circumstances of each case. However, in respect of the overdue interest amounts, which are settled, the liability should be accrued to the extent of amounts settled. **Non-provision of the overdue interest** liability amounts to **violation of accrual basis of accounting**. Therefore, the **treatment**, done **by company**, of not providing the interest amount from due date to the date of repayment is **not correct**.

Mixed Topics

Question 10

State whether the following statements are 'True' or 'False'. Also give reason for your answer.

(i) Certain fundamental accounting assumptions underline the preparation and presentation of financial statements. They are usually specifically stated because their acceptance and use are not assumed.

(ii) If fundamental accounting assumptions are not followed in presentation and preparation of financial statements, a specific disclosure is not required.

(iii) All significant accounting policies adopted in the preparation and presentation of financial statements should form part of the financial statements.

(iv) Any change in an accounting policy, which has a material effect should be disclosed. Where the amount by which any item in the financial statements is affected by such change is not ascertainable, wholly or in part, the fact need not to be indicated.

Answer

(i) **False**: As per AS 1 "Disclosure of Accounting Policies", certain fundamental accounting assumptions underlie the preparation and presentation of financial statements. They are usually not specifically stated because their acceptance and use are assumed. Disclosure is necessary if they are not followed.

(ii) **False**: As per AS 1, if the fundamental accounting assumptions, viz. Going Concern, Consistency and Accrual are followed in financial statements, specific disclosure is not required. If a fundamental accounting assumption is not followed, the fact should be disclosed.

(iii) **True**: To ensure proper understanding of financial statements, it is necessary that all significant accounting policies adopted in the preparation and presentation of financial statements should be disclosed. The disclosure of the significant accounting policies as such should form part of the financial statements and they should be disclosed in one place.

(iv) **False**: Any change in the accounting policies which has a material effect in the current period or which is reasonably expected to have a material effect in later periods should be disclosed. Where such amount is not ascertainable, wholly or in part, the fact should be indicated.

Question 11

You are required to comment on the following cases as per the provisions of Accounting Standard 1 'Disclosure of Accounting Policies':

(i) Bee Limited has not complied with AS 2 "Valuation of inventories" and the same is disclosed in the Notes on Accounts. Management is of the view that the financial statements give a true and fair view as non-compliance with AS 2 is disclosed.

(ii) Cee Limited sold its Office Building for ₹ 10,00,000 on 1st March, 20X3. The buyer has paid the full amount and taken possession of the building. The book value of the Office Building is ₹ 4,00,000. On 31st March, 20X3, documentation and legal formalities are pending. The company has not recorded the disposal and the amount received is shown as an advance.

(iii) Dee Limited has prepared its accounts on cash basis and the same is not disclosed.

(iv) Jee Limited disclosed significant accounting policies adopted in the preparation of financial statements, in the Directors' Report.

Answer

(i) As per AS 1, **disclosure** of accounting policies is **not a remedy for wrong** or inappropriate treatment in **accounting**. In the given case the financial statement does **not give a true and fair** view as they are **not in compliance** with AS 2.

(ii) Considering the substance over form as per **AS 1**, documentation and legal formalities represent the form of the transaction, although the legal title has not been transferred, the economic reality and substance are that the rights and beneficial interest in the Office **Building have been transferred**. Therefore, recording of acquisition/disposal (by the transferee and transferor respectively) would in substance represent the transaction entered into.

(iii) **Accrual** is a **fundamental accounting assumption**. If it is **not followed** by the company, the facts should be **disclosed** under **AS 1**. Hence the company **should disclose** the fact that the cash basis of accounting has been followed in the notes on accounts.

(iv) The practice followed by the company is **not correct**. It **should be disclosed as part of financial statements** (The director's report is not part of financial statements).

Question 12

Discuss Disclosure requirements in following cases as per AS 1.

(i) Accountant of A Ltd. charges a probable loss of losing a suit in books of accounts and also disclosed the same fact in financial statements. The probability of losing the suit is 25%.

(ii) Accountant of A Ltd. capitalized all the revenue expenses of repair and maintenance during the year to Plant & Machinery and is also disclosing the same as company policy in financial statements.

(iii) A Ltd. has followed accrual basis of accounting since incorporation. The chief accountant also disclosed this fact in financial statements.

(iv) A Ltd. was providing for after sales expenses @ 2% of sales for covering expenses during the warranty period. Now, A Ltd. observes that actual after sales expenses were much less as compared to provision because of better technology used in manufacturing of the products. Now, the Board of A Ltd. decides to account for these expenses as and when they occur. Sales during the period are ₹ 50 crores.

Answer

(i) In this case, accountant of company created a provision for damages of probability of losing a suit by a charge against profits. Unless the probability of losing the suit is more than probability of not losing it, there should not be any creation of provision for such probable losses. So, there is **no need to charge** such loss against profit and disclosing the same in financial statements.

(ii) **Repairs** and maintenance are **revenue expenditure** and should **not be added to the value of assets**, as these expenses do not increase the capacity of asset. Hence, such expenses **should be charged to profit & loss statement**.

Further the chief accountant also disclosed its policy of adding repairs to value of assets by way of notes to accounts. As per **AS 1**, **disclosure is not a method to correct the wrong treatments**. So, the **contention** of chief accountant is **wrong**.

(iii) **Accrual** is one of the **Fundamental** accounting assumptions. If fundamental accounting assumptions are **followed properly** then **no specific disclosure is required**. **Disclosure** is **required** only when there is deviation and the company is **not following fundamental** accounting assumptions. So, the company **need not disclose** this in financial statements.

(iv) As per **AS 1,** any **change** in the **accounting policies** which has a **material effect** in the current period or which is reasonably expected to have a material effect in later periods **should be disclosed**. Accordingly, the notes on accounts should properly disclose the change and its effect. The note of change in policy shall be given in following manner:

"So far, the company has been providing 2% of sales for meeting after sales expenses during the warranty period. Now, the company has improved the quality of its products with better technology and has been observing that actual expenses are very less than the provision, Hence, the company has decided not to make provision for such expenses but to account for the same as and when expenses are incurred. Due to this change, the profit for the year is increased by ₹ 1 crore than would have been the case if the old policy were to continue."

CHAPTER - 4
AS 2: Valuation of Inventory

Meaning of Inventory

Question 1

Alpha Ltd. sells flavored milk to customers; some of the customers consume the milk in the shop run by Alpha Limited. While leaving the shop, the consumers leave the empty bottles in the shop and the company takes possession of these empty bottles. The company has laid down a detailed internal record procedure for accounting for these empty bottles which are sold by the company by calling for tenders.

Decide whether the inventory of empty bottles is an asset of the company; If so, whether inventory of empty bottles existing as on date of Balance Sheet is to be considered as inventories of the company and valued as per AS 2 or to be treated as scrap and shown at realizable value with corresponding credit to 'Other Income'?

Answer

As per the 'Framework on Presentation and Preparation of Financial Statements': Tangible objects or intangible rights carrying **probable future benefits**, owned by enterprise are called **assets**.

Alpha Ltd. sells these empty bottles by calling tenders. It means further benefits are accrued on its sale. Therefore, **empty bottles are assets** for the company.

As per **AS 2, inventories are assets held for sale** in the ordinary course of business.

Inventory of empty bottles existing on the Balance Sheet date is the inventory and Alpha Ltd. has detailed controlled recording and accounting procedure which duly signify its materiality. Thus, inventory of **empty bottles** cannot be considered as scrap and **should be valued as inventory in accordance with AS 2**.

Cost of Inventory

Question 2

You are required to value the inventory per kg of finished goods consisting of:

	₹ per kg.
Material cost	200
Direct labour	40
Direct variable overhead	20

Fixed production charges for the year on normal working capacity of 2 lakh kgs is ₹ 20 lakhs. 4,000 kgs of finished goods are in stock at the year end.

Answer

In accordance with AS 2 (Revised), cost of conversion includes a systematic allocation of fixed and variable overheads that are incurred in converting materials into finished goods. The allocation of fixed overheads for the purpose of their inclusion in the cost of conversion is based on normal capacity of production facilities.

Cost per kg. of finished goods:

		₹
Material Cost		200

Direct Labour	40	
Direct Variable Production Overhead	20	
Fixed Production Overhead (₹ 20,00,000/2,00,000 kg.)	10	70
		270

Hence the value of 4,000 kgs. of finished goods = 4,000 kgs x ₹ 270 = ₹ 10,80,000

Question 3

Kirti Ltd. is in the business of manufacturing computers. During the year ended 31st March, 20X1, the company manufactured 550 computers. It has the policy of valuing finished stock of goods at a standard cost of ₹ 1.8 lakh per computer. The details of the costs are as under:

	(₹ in lakh)
Raw material consumed	400
Direct Labour	250
Variable production overheads	150
Fixed production overheads (including interest of ₹ 100 lakh)	290

Compute the value cost per computer for the purpose of closing stock.

Answer

As per para 9 of AS 2 'Valuation of Inventories', for inclusion in the cost of inventory, allocation of fixed production overheads is based on the normal capacity of the production facilities.

In this, case finished stock has been valued at a standard cost of ₹ 1.8 lakh per computer which incidentally synchronizes with the value computed on the basis of absorption costing as under:

		(₹ in lakh)
Materials		400
Direct Labour		250
Variable production overheads		150
Fixed production overheads	290	
Less: Interest	(100)	190
Total cost		**990**

Number of computers produced = 550 computers (Assumed to be normal production)

Cost per computer ₹ 990 lakh/550 computers = ₹ 1.80 lakh

Question 4

In a production process, normal waste is 5% of input. 5,000 MT of input were put in process resulting in wastage of 300 MT. Cost per MT of input is ₹ 1,000. The entire quantity of output is on stock at the year end. State with reference to Accounting Standard, how will you value the inventories in this case and also find out the amount of abnormal loss, if any?

Answer

As per AS 2 (Revised), abnormal amount of wasted materials, labour and other production costs are excluded from cost of inventories and such costs are recognised as expenses in the period in which they are incurred.

In this case, normal waste is 250 MT and abnormal waste is 50 MT. The cost of 250 MT will be included in determining the cost of inventories (finished goods) at the year end.

Cost per MT (Normal Quantity of 4,750 MT) = ₹ 50,00,000/4,750 = ₹ 1,052.6315

Total value of inventory = 4,700 MT x ₹ 1,052.6315 = ₹ 49,47,368

The cost of abnormal waste = ₹ 52,632 (50 MT x ₹ 1,052.6315) will be charged to the profit and loss statement.

Question 5

An enterprise ordered 20,000 KG of certain material at ₹ 110 per unit. The purchase price includes GST ₹ 12 per Kg., in respect of which full input tax credit (ITC) is admissible. Freight incurred amounted to ₹ 1,17,600. Normal transit loss is 2%. The enterprise actually received 19,500 Kg. and consumed 18,000 Kg. of material.

(i) You are required to calculate cost of material per Kg.

(ii) Allocation of material cost.

Answer

(i) Calculation of Normal cost per Kg.

		₹
Purchase price (20,000 Kg. x ₹ 110)		22,00,000
Less: Input Tax Credit (20,000 Kg. x ₹ 12)		(2,40,000)
		19,60,000
Add: Freight		1,17,600
Total material cost	(A)	20,77,600
Number of units normally received = 98% of 20,000 Kg.	(B)	19,600 Kg.
Normal cost per Kg.	**(A/B)**	**106**

(ii) Allocation of material cost

	Kg.	₹/Kg.	₹
Materials consumed	18,000	106	19,08,000
Cost of inventory	1,500	106	1,59,000
Abnormal loss	100	106	10,600
Total material cost	**19,600**	**106**	**20,77,600**

Note: Abnormal losses are recognized as separate expense.

Question 6

SM Enterprises is a leading distributor of petrol. A detailed inventory of petrol in hand is taken when books are closed at the end of each month. For the month ending on June 20X1, following information is available:

(i) Sales for the month of June 20X1 was ₹ 30,40,000.

(ii) General overheads cost: ₹ 4,00,000

(iii) Inventory at beginning: 10,000 litres @ ₹ 92 per litre

(iv) Purchases:

June 1, 20X1 – 20,000 litres @ ₹ 90 per litre

June 30, 20X1 – 10,000 litres @ ₹ 95 per litre

(v) Closing inventory: 13,000 litres

You are required to compute the following by FIFO method as per AS 2

(i) Value of Inventory on 30th June, 20X1

(ii) Amount of cost of goods sold for June, 20X1

(iii) Profit/Loss for the month of June, 20X1

Answer

(i) Value of Inventory

Particulars	**Amount (₹)**
Cost of closing inventory for 13,000 litres as on 30th June 20X1:	
10,000 litres @ ₹ 95	9,50,000
3,000 litres @ ₹ 90	2,70,000
	12,20,000

(ii) Calculation of cost of goods sold

Particulars	**Amount (₹)**
Opening inventories (10,000 litres @ ₹ 92)	9,20,000
Purchases: 1st June (20,000 litres @ ₹ 90)	18,00,000
30th June (10,000 litres @ ₹ 95)	9,50,000
	36,70,000
Less: Closing inventories	(12,20,000)
	24,50,000

(iii) Calculation of Profit

Particulars		**Amount (₹)**
Sales (Given)	(A)	30,40,000
Cost of Goods Sold		24,50,000
Add: General Overheads		4,00,000
Total Cost	(B)	28,50,000
Profit	**(A – B)**	**1,90,000**

Question 7

"In determining the cost of inventories, it is appropriate to exclude certain costs and recognise them as expenses in the period in which they are incurred". Provide examples of such costs as per AS 2 (Revised) 'Valuation of Inventories'.

Answer

As per AS 2 (Revised) 'Valuation of Inventories', certain costs are excluded from the cost of the inventories and are recognised as expenses in the period in which incurred. Examples of such costs are:

(a) **Abnormal amount** of wasted materials, labour, or other production costs;

(b) **Storage costs**, unless those costs are necessary in production process prior to further production stage;

(c) **Administrative overheads** that do not contribute to bringing the inventories to their present location and condition; and

(d) **Selling and distribution costs**.

Valuation of Inventory

Question 8

X Co. Limited purchased goods at the cost of ₹ 40 lakhs in October, 20X1. Till March, 20X2, 75% of the stocks were sold. The company wants to disclose closing stock at ₹ 10 lakhs. The expected sale value is ₹ 11 lakhs and a commission at 10% on sale is payable to the agent. Advise, what is the correct closing stock to be disclosed as at 31.3.20X2.

Answer

As per AS 2 (Revised) "Valuation of Inventories", the inventories are to be valued at lower of cost or net realisable value.

In this case, the cost of inventory is ₹ 10 lakhs. The net realisable value is 11,00,000 x 90% = ₹ 9,90,000

So, the stock should be valued at ₹ 9,90,000.

Question 9

The inventory of Rich Ltd. as on 31st March, 20X1 comprises of Product A: 200 units and Product B: 800 units.

Details of cost for these products are:

Product A:

Material cost, wages cost and overhead cost of each unit are ₹ 40, ₹ 30 and ₹ 20 respectively, each unit is sold at ₹ 110, selling expenses amounts to 10% of selling costs.

Product B:

Material cost and wages cost of each unit are ₹ 45 and ₹ 35 respectively and normal selling rate is ₹ 150 each, however due to defect in the manufacturing process 800 units of Product-B were expected to be sold at ₹ 70.

You are requested to value closing inventory according to AS 2 after considering the above.

Answer

According to AS 2 'Valuation of Inventories', inventories should be valued at the lower of cost and net realizable value.

Product A

Particulars	Amount (₹)

Material cost (₹ 40 x 200)	8,000
Wages cost (₹ 30 x 200)	6,000
Overhead (₹ 20 x 200)	4,000
Total cost	18,000
Realizable value [200 x (110 – 11)]	19,800
Hence, inventory value of Product A	**18,000**

Product B

Particulars	**Amount (₹)**
Material cost (₹ 45 x 800)	36,000
Wages cost (₹ 35 x 800)	28,000
Total cost	64,000
Realizable value (800 x 70)	56,000
Hence, inventory value of Product B	**56,000**

Total value of closing inventory i.e. Product A + Product B (₹ 18,000 + ₹ 56,000) = ₹ 74,000

Question 10

The company deals in three products, A, B and C, which are neither similar nor interchangeable. At the time of closing of its account for the year 20X1-X2, the Historical Cost and Net Realisable Value of the items of closing stock are determined as follows:

Items	Historical Cost (₹ in lakhs)	Net Realisable Value (₹ in lakhs)
A	40	28
B	32	32
C	16	24

What will be the value of closing stock?

Answer

As per **AS 2** (Revised) on 'Valuation of Inventories', inventories should be valued at the lower of cost and net realisable value. Inventories should be written down to net realisable value on an item-by-item basis in the given case. **(₹ in lakhs)**

Items	Historical Cost	Net Realisable Value	Valuation of Closing Stock
A	40	28	28
B	32	32	32
C	16	24	16
	88	**84**	**76**

Hence, closing stock will be valued at ₹ 76 lakhs.

Question 11

On the basis of information given below, find value of inventory as per AS 2, to be considered while preparing

the Balance Sheet as on 31st March, 20X1 on weighted Average Basis.

Details of Purchases:

Date of purchase	Unit (Nos.)	Purchase cost per unit (₹)
01.03.20X1	20	108
08.03.20X1	15	107
17.03.20X1	30	109
25.03.20X1	15	107

Details of issue of Inventory:

Date of Issue	Unit (Nos.)
03.03.20X1	10
12.03.20X1	20
18.03.20X1	10
24.03.20X1	20

Net realizable value of inventory as on 31st March, 20X1 is ₹ 107.75 per unit.

You are required to compute the value of Inventory as per AS 2?

Answer

Net Realisable Value of Inventory as on 31st March, 20X1 = ₹ 107.75 x 20 units = ₹ 2,155

Calculation of total units purchased and total cost:

Date of purchase	Total cost (₹)
01.03.20X1 (₹ 108 x 20 units)	2,160
08.03.20X1 (₹ 107 x 15 units)	1,605
17.03.20X1 (₹ 109 x 30 units)	3,270
25.03.20X1 (₹ 107 x 15 units)	1,605
Total (80 units)	**8,640**

Weighted Average Cost p.u. = ₹ 8,640/80 units = ₹ 108

Weighted Average Cost of Inventory = ₹ 108 x 20 units = ₹ 2,160

Value of inventory to be considered while preparing Balance Sheet as on 31st March, 20X1 is, Cost or Net Realisable value whichever is lower i.e. ₹ 2,155.

Question 12

In the following cases, find the value of closing stock as per AS 2:

(i) Sonu is a retailer dealing in toys. During the year, he purchased items worth ₹ 1,47,000 and made a total sale ₹ 1,54,000. The average percentage of gross margin is 10% on cost. Opening stock of toys at cost was ₹ 20,000.

(ii) On 21st March, 20X1, Mohan purchased 250 chairs at ₹ 300 each. The selling price of the chair is ₹ 400 each. Owing to a manufacturing defect, net realisable value of the whole lot of chairs was determined at 70% of their normal selling price. No chairs were sold during the year.

Answer

(i) Value of closing inventory

Particulars	₹
Sale value of opening stock and purchases [(₹ 20,000 + ₹ 1,47,000) x 1.10]	1,83,700
Sales	(1,54,000)
Sale value of unsold stock	29,700
Less: Gross Margin [(₹ 29,700/1.10) x 0.10]	(2,700)
Cost of closing inventory	**27,000**

(ii) Value of closing inventory

Particulars		₹
Closing stock at cost (250 x ₹ 300)	(i)	75,000
Net Realizable value of closing stock [250 x (₹ 400 x 70%)]	(ii)	70,000
Value of closing stock [lower of (i) and (ii)]		**70,000**

Question 13

The closing stock of finished goods (at cost) of a company amounted to ₹ 4,50,000. The following items were included at cost in the total:

(a) 100 coats, which had cost ₹ 2,200 each and normally sold for ₹ 4,000 each. Owing to a defect in manufacture their NRV was determined at 50% of their normal selling price.

(b) Shirts which had cost ₹ 50,000, their net realizable value at Balance sheet date was ₹ 55,000. Commission @ 10% on sales is payable to agents.

What should the inventory value be according to AS 2 after considering the above items?

Answer

Valuation of closing stock

Particulars	₹
Closing stock at cost	4,50,000
Less: Adjustment for 100 coats (Working Note 1)	(20,000)
Value of inventory	4,30,000

Working Notes:

1. Adjustment for Coats

Particulars	₹
Cost included in Closing Stock	2,20,000
NRV of Coats	2,00,000
Adjustment to be made as NRV is less than Cost	20,000

2. No adjustment required for shirts as their NRV is more than their cost which was included in value of inventory.

Question 14

On 31st March 20X1, a business firm finds that cost of a partly finished unit on that date is ₹ 530. The unit can be finished in 20X1-X2 by an additional expenditure of ₹ 310. The finished unit can be sold for ₹ 750 subject to payment of 4% brokerage on selling price. The firm seeks your advice regarding the amount at which the unfinished unit should be valued as at 31st March, 20X1 for preparation of final accounts. Assume that the partly finished unit cannot be sold in semi-finished form and its NRV is zero without processing it further.

Answer

Valuation of unfinished unit

	₹
Net selling price	750
Less: Estimated cost of completion	(310)
	440
Less: Brokerage (4% of 750)	(30)
Net Realisable Value	**410**
Cost of inventory	530
Value of inventory (Lower of cost and net realisable value)	**410**

Question 15

Mr. Mehul gives the following information relating to items forming part of inventory as on 31.03.20X1. His factory produces Product X using Raw material A.

(i) 600 units of Raw Material A (purchased @ ₹ 120). Replacement cost of raw material A as on 31.03.20X1 is ₹ 90 per unit.

(ii) 500 units of partly finished goods in the process of producing X and cost incurred till date ₹ 260 per unit. These units can be finished next year by incurring additional cost of ₹ 60 per unit.

(iii) 1,500 units of finished Product X and total cost incurred ₹ 320 per unit. Expected selling price of Product X is ₹ 300 per unit.

Determine how each item of inventory will be valued as on 31.03.20X1. Also calculate the value of total inventory as on 31.03.20X1.

Answer

As per AS 2 (Revised) "Valuation of Inventories", materials and other supplies held for use in the production of inventories are not written down below cost if the finished products in which they will be incorporated are expected to be sold at cost or above cost. However, when there has been a decline in the price of materials and it is estimated that the cost of the finished products will exceed net realisable value, the materials are written down to net realisable value. In such circumstances, the replacement cost of the materials may be the best available measure of their net realisable value. In the given case, selling price of product X is ₹ 300 and total cost per unit for production is ₹ 320.

Hence, the valuation will be done as under:

(i) 600 units of raw material will be written down to replacement cost as market value of finished product is less than its cost, hence valued at ₹ 90 per unit.

(ii) 500 units of partly finished goods will be valued at 240 per unit i.e. lower of cost (₹ 260) or Net realisable value ₹ 240 (Estimated selling price ₹ 300 per unit less additional cost of ₹ 60).

(iii) 1,500 units of finished product X will be valued at NRV of ₹ 300 per unit, since it is lower than cost ₹ 320 of product X.

Valuation of Total Inventory as on 31.03.20X1

	Units	Cost (₹)	NRV/Replacement cost (₹)	Value (₹) = Units x (Cost or NRV whichever is less)
Raw material A	600	120	90	54,000
Partly finished goods	500	260	240	1,20,000
Finished good 'X'	1,500	320	300	4,50,000
Value of Inventory				**6,24,000**

Question 16

From the following information provided by LMN Ltd. for the year 20X1, you are required to compute the closing inventory:

Closing balance of Raw Material 'A' in units	**700**
	Price Per Unit in ₹
Cost Price including GST	280
ITC available	25
Freight inward	35
Handling charges	20
Replacement Cost	200
Closing balance of Finished Good 'B' in units	**1,800**
	Price Per Unit in ₹
Material Consumed	280
Direct Labour	80
Direct overhead	40

Total fixed overhead for the year was ₹ 3,60,000 on a normal capacity of 36,000 units, while actual production has been 30,000 units.

Calculate the value of closing stock when:

(i) Net Realisable Value of Finished Goods B is 500 per unit

(ii) Net Realisable Value of Finished Goods B is 380 per unit

Answer

(i) When Net Realisable Value of Finished Goods B is 500 per unit

Value of Closing Stock:

Valuation Base	Method	Qty.	Rate (₹)	Amount (₹)
Raw Material A	Cost	700	310	2,17,000
Finished Goods B	Cost	1,800	410	7,38,000

Total Value of Closing Stock				**9,55,000**

(ii) When Net Realisable Value of Finished Goods B is 380 per unit

Since NRV of finished goods B is less than its cost (₹ 410, as per W.N.), raw material A is to be valued at replacement cost, and finished goods B is to be valued at NRV.

Value of Closing Stock:

Valuation Base	Basis	Qty.	Rate (₹)	Amount (₹)
Raw Material A	Replacement Cost	700	200	1,40,000
Finished Goods B	Net Realisable Value	1,800	380	6,84,000
Total Value of Closing Stock				**8,24,000**

Working Note: Statement Showing Calculation of Cost of Raw Material A and Finished Goods B

Raw Material A	**₹**
Cost Price (280 – 25)	255
Add: Freight Inward	35
Add: Handling Charges	20
Cost per unit	310
Finished Goods B	**₹**
Materials consumed	280
Direct Labour	80
Direct overheads	40
Fixed overheads (₹3,60,000/36,000 units)	10
Cost per unit	410

Question 17

Joy Ltd. purchased 20,000 kilograms of Raw Material @ ₹ 20 per kilogram during the year 20X0-X1. They have furnished you with the following further information for the year ended 31st March, 20X1:

Particulars	Units	Amount (₹)
Opening Inventory:		
Finished Goods	2,000	1,00,000
Raw Materials	2,200	44,000
Direct Labour		3,06,000
Fixed Overheads		3,00,000
Sales	20,000	11,20,000
Closing Inventory:		
Finished Goods	2,400	
Raw Materials	1,800	

The plant has a capacity to produce 30,000 units of finished product per annum. However, the actual production of finished products during the year 20X0-X1 was 20,400 units. Due to fall in market demand, the price of the finished goods in which the raw material has been utilized is expected to be sold @ ₹ 40 per unit.

The replacement cost of the raw material was ₹ 19 per kilogram.

You are required to ascertain the value of closing inventory as at 31st March, 20X1 as per AS 2.

Answer

Statement Showing the Computation of Value of Closing Inventory

Value of Closing Finished Goods

Particulars	Amount (₹)
Cost of Raw Material consumed (20,400 units x ₹ 20 per kg)	4,08,000
Direct Labour	3,06,000
Fixed Overheads [(₹ 3,00,000/30,000) x 20,400]	2,04,000
Cost of Production	9,18,000
Cost of Closing Inventory of Finished Goods per unit (₹ 9,18,000/20,400)	45
Net Realizable Value (NRV) per unit	40

Since net realizable value is less than cost, closing inventory of Finished Goods will be valued at ₹ 40 per unit.

Value of Closing Raw Materials

As NRV of finished goods is less than its cost, the relevant raw material will be valued at its replacement cost, which is the best available measure of its NRV i.e. @ ₹ 19 per kg.

Therefore, value of closing inventory would be as under:

Particulars	Amount (₹)
Finished Goods (2,400 units @ ₹ 40 per unit)	96,000
Raw Materials (1,800 kg @ ₹ 19 per kg)	34,200
Total	**1,30,200**

Working Note: Calculation of raw material consumed during the year:

Particulars	Unit (Kg)
Opening Inventory	2,200
Purchases	20,000
Less: Closing Inventory	(1,800)
Raw Material Consumed	**20,400**

Valuation of Inventory in Case of Joint Products

Question 18

Well Wear Limited is a Textile Manufacturing Company and engaged in the production of Polyester (P) and Nylon (N). While manufacturing the main products, a by-product Fiber (F) is also produced. Details of the cost of production are as under:

Purchase of Raw Material for manufacturing process of 30,000 units	₹ 3,50,000
Wages paid	₹ 1,60,000
Fixed overheads	₹ 1,20,000
Variable overheads	₹ 60,000

Output:	
Polyester (P)	12,500 Units
Nylon (N)	10,000 Units
Fiber (F)	3,200 Units
Closing Inventory:	
Polyester (P)	1,600 Units
Nylon (N)	400 Units

Average market price of Polyester and Nylon is ₹ 100 and ₹ 60 per unit respectively; by-product Fiber is sold @ ₹ 40 per unit. There is profit of ₹ 8,000 on sale of by-product after incurring separate processing expenses of ₹ 10,000 and packing charges of ₹ 9,000. ₹ 5,000 was realized from sale of scrap.

On the basis of the above information, you are required to compute the value of closing inventory of Polyester and Nylon.

Answer

As per AS 2 'Valuation of Inventories', most by-products as well as scrap or waste materials by their nature, are immaterial. They are often measured at net realizable value and this value is deducted from the cost of the main product.

Determination of value of closing inventory of Polyester and Nylon

	Polyester	**Nylon**
Closing inventory in units	1,600 units	400 units
Cost per unit	₹ 31.14	₹ 18.68
Value of closing inventory	**₹ 49,824**	**₹ 7,472**

Working Notes

1. Calculation of net realizable value of by-product Fiber

	₹
Selling price of by-product Fiber (3,200 units x ₹ 40 per unit)	1,28,000
Less: Separate processing charges of by-product Fiber	(10,000)
Packing charges	(9,000)
Net realizable value of by-product Fiber	**1,09,000**

2. Calculation of cost of conversion for allocation between joint products Polyester and Nylon

	₹	**₹**
Raw material		3,50,000
Wages		1,60,000
Fixed overhead		1,20,000
Variable overhead		60,000
		6,90,000
Less: NRV of by-product Fiber (W.N. 1)	(1,09,000)	
Sale value of scrap	(5,000)	(1,14,000)
Joint cost to be allocated between Polyester and Nylon		**5,76,000**

3. Determination of "basis for allocation" and allocation of Joint cost to Polyester and Nylon

		Polyester	Nylon
Output in units	(a)	12,500 units	10,000 units
Sales price per unit	(b)	₹ 100	₹ 60
Sales value	(a x b)	₹ 12,50,000	₹ 6,00,000
Total value (12,50,000 + 6,00,000) = 18,50,000			
Joint cost ₹ 5,76,000 allocated in ratio of 12,50,000:6,00,000	(c)	₹ 3,89,189	₹ 1,86,811
Cost per unit	(c/a)	₹ 31.14	₹ 18.68

Question 19

The following information is available for Zing Ltd. for the year 2024-25:

Raw Material:		
Closing Stock	700 units	
Cost price	₹ 35 per unit	
Replacement cost	₹ 20 per unit	
Finished product:	FP 1	FP 2
Production (units)	3,000	1,600
Closing stock (units)	500	300
Material consumed		₹ 3,20,000
Direct labour		₹ 1,60,000
Direct expenses		₹ 78,000

Fixed overhead for the year was ₹ 95,000, which includes godown rent of ₹ 15,000. Godown is used for storing finished products.

Besides 2 main products, 1000 units of a by-product (BY) also emerged in the production process which was sold @ ₹ 12 per unit after incurring an expense of ₹ 2,500. ₹ 4,800 was realized from sale of scrap. The average market price of FP1 is ₹ 160 per unit and FP2 is ₹ 100 per unit.

Calculate the value of closing stock of Zing Ltd. as per AS 2

Answer

As per para 10 of AS 2 'Valuation of Inventories', most by-products as well as scrap or waste materials are often measured at net realizable value and this value is deducted from the cost of the main product.

(i) Calculation of net realizable value of by-product, BY

		₹
Selling price of by-product BY	(1,000 units x ₹ 12 per unit)	12,000
Less: Separate processing charges of by-product BY		(2,500)
Net realizable value of by- product BY		9,500

(ii) Calculation of cost of conversion for allocation between joint products FP1 and FP2

	₹	₹
Raw material consumed		3,20,000
Direct labour		1,60,000

Direct expenses		78,000
Fixed overhead (95,000 – 15,000)		80,000
		6,38,000
Less: NRV of by-product BY (See calculation 1)	(9,500)	
Sale value of scrap	(4,800)	(14,300)
Joint cost to be allocated between FP 1 and FP 2		6,23,700

(iii) Determination of "basis for allocation" and allocation of joint cost to FP 1 and FP 2

	FP 1	FP 2
Output in units (a)	3,000	1,600
Sales price per unit (b)	₹ 160	₹ 100
Sales value (a x b)	₹ 4,80,000	₹ 1,60,000
Ratio of allocation	3	1
Joint cost of ₹ 6,23,700 allocated in the ratio of 3:1 (c)	₹ 4,67,775	₹ 1,55,925
Cost per unit [c/a]	₹155.93	₹97.45

(iv) Determination of value of closing inventory of Finished Products FP1 and FP2

	FP 1	FP 2
Closing inventory in units	500	300
Cost per unit	₹ 155.93	₹ 97.45
Value of closing inventory (finished goods)	₹ 77,965	₹ 29,235

(v) Determination of value of closing stock of raw material

	FP 1 (₹)	FP 2 (₹)
Cost price	155.93	97.45
Sales price	160	100

Since both finished goods FP 1 and FP 2 are sold above cost, raw material will be valued at cost i.e. ₹ 35 per unit (i.e.) ₹ 24,500 (700 units x ₹ 35)

(vi) Total value of closing inventory

(a)	Finished products:	
	FP 1	₹ 77,965
	FP 2	₹ 29,235
(b)	Raw material	₹ 1,07,200
		₹ 24,500
		₹ 1,31,700

CHAPTER - 5
AS 3: Cash Flow Statement

Basics

Question 1

Classify the following activities as (i) Operating Activities, (ii) Investing Activities, (iii) Financing Activities (iv) Cash Equivalents.

(a) Purchase of Machinery.

(b) Proceeds from issuance of equity share capital

(c) Cash Sales.

(d) Proceeds from long-term borrowings.

(e) Cheques collected from Trade receivables.

(f) Cash receipts from Trade receivables.

(g) Trading Commission received.

(h) Purchase of investment.

(i) Redemption of Preference Shares.

(j) Cash Purchases.

(k) Proceeds from sale of investment

(l) Purchase of goodwill.

(m) Cash paid to suppliers.

(n) Interim Dividend paid on equity shares.

(o) Wages and salaries paid.

(p) Proceed from sale of patents.

(q) Interest received on debentures held as investment.

(r) Interest paid on Long-term borrowings.

(s) Office and Administration Expenses paid

(t) Manufacturing Overheads paid.

(u) Dividend received on shares held as investments.

(v) Rent Received on property held as investment.

(w) Selling and distribution expense paid.

(x) Income tax paid

(y) Dividend paid on Preference shares.

(z) Underwritings Commission paid.

(aa) Rent paid.

(bb) Brokerage paid on purchase of investments.

(cc) Bank Overdraft

(dd) Cash Credit

(ee) Short-term Deposits

(ff) Highly liquid Marketable Securities (without risk of change in value)

(gg) Refund of Income Tax received.

Answer

(i) Operating Activities: c, e, f, g, j, m, o, s, t, w, x, aa & gg.

(ii) Investing Activities: a, h, k, l, p, q, u, v, bb & ee.

(iii) Financing Activities: b, d, i, n, r, y, z, cc & dd.

(iv) Cash Equivalent: ff.

Question 2

Intelligent Ltd., a non-financial company has the following entries in its Bank Account. It has sought your advice on the treatment of the same for preparing Cash Flow Statement.

(i) Loans and Advances given to the following and interest earned on them:

(1) to suppliers

(2) to employees

(3) to its subsidiaries companies

(ii) Investment made in subsidiary Smart Ltd. and dividend received.

(iii) Dividend paid for the year.

(iv) TDS on interest income earned on investments made.

(v) TDS on interest earned on advance given to suppliers.

(vi) Insurance claim received against loss of fixed asset by fire.

Discuss in the context of AS 3 Cash Flow Statement.

Answer

(i) **Loans and advances given and interest earned**

(1)	to suppliers	Operating Cash flow
(2)	to employees	Operating Cash flow
(3)	to its subsidiary companies	Investing Cash flow

(ii) **Investment made in subsidiary company and dividend received**

Investing Cash flow

(iii) **Dividend paid for the year**

Financing Cash Outflow

(iv) **TDS on interest income earned on investments made**

Investing Cash Outflow

(v) **TDS on interest earned on advance given to suppliers**

Operating Cash Outflow

(vi) **Insurance claim received of amount loss of fixed asset by fire**

Extraordinary item to be shown under a separate heading as 'Cash inflow from investing activities'.

Question 3

Classify the following activities as per AS 3 Cash Flow Statement:

(i) Interest paid by financial enterprise.

(ii) Tax deducted at source on interest received from subsidiary company.

(iii) Deposit with Bank for a term of two years.

(iv) Insurance claim received towards loss of machinery by fire.

(v) Bad debts written off.

Answer

(i) Interest paid by financial enterprise: Cash flows from **operating** activities

(ii) TDS on interest received from subsidiary company: Cash flows from **investing** activities

(iii) Deposit with bank for a term of two years: Cash flows from **investing** activities

(iv) Insurance claim received against loss of fixed asset by fire: Extraordinary item to be shown as a separate heading under 'Cash flow from **investing** activities'

(v) Bad debts written off: It is a **non-cash item** which is adjusted from net profit/loss under indirect method, to arrive at net cash flow from operating activity.

Question 4

How would the following cash flows be classified in accordance with AS 3?

- Corporate Income Tax paid amounting to ₹ 70 lakhs during the reporting period.
- Payment of advance tax ₹ 8,75,000 out of which ₹ 75,000 was towards capital gains arising on account of sale of assets during the reporting period.
- Fixed Deposits withdrawn by customers of State Bank of India ₹ 3 crores.

Answer

As per AS 3, the given cash flows shall be recorded as under:

Corporate Income Tax paid of ₹ 70 lakhs during the reporting period.	₹ 70 lakhs: **Operating** Cash Flows
Payment of advance tax ₹ 8,75,000 out of which ₹ 75,000 was towards capital gain arising on account of sale of assets during reporting period.	₹ 8,00,000: **Operating** Cash Flows ₹ 75,000: **Investing** Cash Flows
Fixed Deposits withdrawn by customers of State Bank of India ₹ 3 crores.	₹ 3 crores: **Operating** Cash Flows for State Bank of India.

Question 5

X Ltd. purchased debentures of ₹ 10 lakhs of Y Ltd., which are redeemable within three months. How will you

show this item as per AS 3 while preparing cash flow statement for the year ended on 31st March, 20X1?

Answer

As per **AS 3** on 'Cash flow Statement', cash and cash equivalents consists of cash in hand, balance with banks and short-term, highly liquid investments. If investment, of ₹ 10 lakhs, made in debentures is for short-term period then **it is an item of 'cash equivalents**.

Question 6

From following information of XYZ Limited, calculate cash and cash equivalent as on 31.03.20X2 as per AS 3.

Particulars	**Amount (₹)**
Balance as per the Bank Statement	25,000
Cheque issued but not presented in the Bank	15,000
Short Term Investment in liquid equity shares of ABC Limited	50,000
Fixed Deposit created on 01.11.20X1 and maturing on 15.04.20X2	75,000
Short Term Investment in highly liquid Sovereign Debt Mutual fund on 01.03.20X2 (having maturity period of less than 3 months)	1,00,000
Bank Balance in a Foreign Currency Account in India (Conversion Rate: On the day of deposit ₹ 69/USD; as on 31.03.20X2 ₹ 70/USD)	$ 1,000

Answer

	₹
Cash balance with bank (₹ 25,000 less ₹ 15,000)	10,000
Short term investment in highly liquid sovereign debt mutual fund on 1.3.20X2	1,00,000
Bank balance in foreign currency account ($ 1,000 x ₹ 70)	70,000
	1,80,000

Note: Short term investment in liquid equity shares and fixed deposit will not be considered as cash and cash equivalents.

Question 7

Mayuri Ltd. acquired Plant and Machinery for ₹ 25 lakhs. During the same year, it also sold Furniture and Fixtures for ₹ 4 lakhs. Can the company disclose, Net Cash Outflow towards purchase of Fixed Assets ₹ 21 lakhs (i.e., 25 lakhs – 4 lakhs) in the Cash Flow Statement?

Answer

As per **AS 3,** Cash Flow Statements, an enterprise should report separately major classes of gross cash receipts and gross cash payments arising from investing and financing activities, except in the case of:

- Cash receipts and payments on behalf of customers when the cash flows reflect the activities of the customer rather than those of the enterprise; and
- Cash receipts and payments for items in which the turnover is quick, the amounts are large, and the maturities are short.

In the given case, since the purchase of Plant and Machinery and disposal of Furniture and Fixtures do not fall in the criteria of exception mentioned above, the same **should be presented on a gross basis** as an outflow of ₹ 25 lakhs and an inflow of ₹ 4 lakhs. Presentation of **net cash outflow of ₹ 21 lakhs is not permitted** as per AS 3.

Cash Flow Statement by Direct Method

Question 8

From the following information, calculate cash flow from operating activities:

Summary of Cash Account for the year ended March 31, 20X1

Particulars	₹	Particulars	₹
To Balance b/d	1,00,000	By Cash Purchases	1,20,000
To Cash sales	1,40,000	By Trade payables	1,57,000
To Trade receivables	1,75,000	By Office & Selling Expenses	75,000
To Trade Commission	50,000	By Income Tax	30,000
To Sale of Investment	30,000	By Investment	25,000
To Loan from Bank	1,00,000	By Repayment of Loan	75,000
To Interest & Dividend	1,000	By Interest on loan	10,000
		By Balance c/d	1,04,000
	5,96,000		**5,96,000**

Answer

Cash Flow Statement for the year ended March 31, 20X1 (Direct Method)

Particulars	₹	₹
Operating Activities:		
Cash received from sale of goods	1,40,000	
Cash received from Trade receivables	1,75,000	
Trade Commission received	50,000	3,65,000
Less: Payment for Cash Purchases	1,20,000	
Payment to Trade payables	1,57,000	
Office and Selling Expenses	75,000	
Payment for Income Tax	30,000	(3,82,000)
Net Cash Flow used in Operating Activities		**(17,000)**

Question 9

The following summary cash account has been extracted from the company's accounting records:

Summary Cash Account

		(₹ '000)
Balance at 1.3.20X1		35

Receipts from customers		2,783
Issue of shares		300
Sale of fixed assets		128
		3,246
Payments to suppliers	2,047	
Payments for property, plant & equipment	230	
Payments for overheads	115	
Wages and salaries	69	
Taxation	243	
Dividends	80	
Repayments of bank loan	250	(3,034)
Balance at 31.3.20X2		212

Prepare Cash Flow Statement of this company Hills Ltd. for the year ended 31st March, 20X2 in accordance with AS-3 (Revised). The company does not have any cash equivalents.

Answer

Hills Ltd.

Cash Flow Statement for the year ended 31st March, 20X2 (Using direct method)

		(₹ '000)
Cash flows from operating activities		
Cash receipts from customers	2,783	
Cash payments to suppliers	(2,047)	
Cash paid to employees	(69)	
Other cash payments (for overheads)	(115)	
Cash generated from operations	552	
Income taxes paid	(243)	
Net cash from operating activities		309
Cash flows from investing activities		
Payments for purchase of fixed assets	(230)	
Proceeds from sale of fixed assets	128	
Net cash used in investing activities		(102)
Cash flows from financing activities		
Proceeds from issuance of share capital	300	
Bank loan repaid	(250)	
Dividend paid	(80)	
Net cash used in financing activities		(30)
Net increase in cash and cash equivalents		177
Cash and cash equivalents at beginning of period		35
Cash and cash equivalents at end of period		212

Question 10

Following is the cash flow abstract of Alpha Ltd. for the year ended 31st March, 20X1:

Cash Flow (Abstract)

Inflows	₹	Outflows	₹
Opening balance:		Payment for Account Payables	90,000
Cash	10,000	Salaries and wages	25,000
Bank	70,000	Payment of overheads	15,000
Share capital – shares issued	5,00,000	PPE acquired	4,00,000
Collection on account of Trade Receivables	3,50,000	Debentures redeemed	50,000
Sale of Property, plant and Equipment	70,000	Bank loan repaid	2,50,000
		Taxation	55,000
		Dividends	1,00,000
		Closing balance:	
		Cash	5,000
		Bank	10,000
	10,00,000		**10,00,000**

Prepare Cash Flow Statement for the year ended 31st March, 20X1 in accordance with Accounting Standard 3.

Answer

Cash Flow Statement for the year ended 31.3.20X1

	₹	₹
Cash flow from operating activities		
Cash received on account of trade receivables	3,50,000	
Cash paid on account of trade payables	(90,000)	
Cash paid to employees (salaries and wages)	(25,000)	
Other cash payments (overheads)	(15,000)	
Cash generated from operations	2,20,000	
Income tax paid	(55,000)	
Net cash generated from operating activities		1,65,000
Cash flow from investing activities		
Payment for purchase of Property, plant and equipment	(4,00,000)	
Proceeds from sale of Property, plant and equipment	70,000	
Net cash used in investment activities		(3,30,000)
Cash flow from financing activities		
Proceeds from issue of share capital	5,00,000	
Bank loan repaid	(2,50,000)	
Debentures redeemed	(50,000)	
Dividends paid	(1,00,000)	
Net cash used in financing activities		1,00,000
Net decrease in cash and cash equivalents		(65,000)

Cash and cash equivalents at the beginning of the year		80,000
Cash and cash equivalents at the end of the year		15,000

Question 11

Prepare cash flow statement of M/s MNT Ltd. for the year ended 31st March, 20X1 with the help of the following information:

(1) Company sold goods for cash only.

(2) Gross Profit Ratio was 30% for the year, gross profit amounts to ₹ 3,82,500.

(3) Opening inventory was lesser than closing inventory by ₹ 35,000.

(4) Wages paid during the year ₹ 4,92,500.

(5) Office and selling expenses paid during the year ₹ 75,000.

(6) Dividend paid during the year ₹ 30,000.

(7) Bank loan repaid during the year ₹ 2,15,000 (included interest ₹ 15,000).

(8) Trade payables on 31st March, 20X0 exceed the balance on 31st March, 20X1 by ₹ 25,000.

(9) Amount paid to trade payables during the year ₹ 4,60,000.

(10) Tax paid during the year amounts to ₹ 65,000 (Provision for taxation as on 31.03.20X1 ₹ 45,000).

(11) Investments of ₹ 7,00,000 sold during the year at a profit of ₹ 20,000.

(12) Depreciation on fixed assets amounts to ₹ 85,000.

(13) Plant and machinery purchased on 15th November, 20X0 for ₹ 2,50,000.

(14) Cash and Cash Equivalents on 31st March, 20X0 ₹ 2,00,000.

(15) Cash and Cash Equivalents on 31st March, 20X1 ₹ 6,07,500.

Answer

M/s MNT Ltd.

Cash Flow Statement for the year ended 31st March, 20X1 (Using direct method)

Particulars		₹	₹
Cash flows from Operating Activities			
Cash sales (₹ 3,82,500/.30)			12,75,000
Less: Cash payments for trade payables		(4,60,000)	
Wages Paid		(4,92,500)	
Office and selling expenses		(75,000)	(10,27,500)
Cash generated from operations before taxes			2,47,500
Income tax paid			(65,000)
Net cash generated from operating activities	(A)		1,82,500
Cash flows from investing activities			
Sale of investments (7,00,000 + 20,000)		7,20,000	
Payments for purchase of Plant & machinery		(2,50,000)	
Net cash used in investing activities	(B)		4,70,000

Cash flows from financing activities			
Bank loan repayment (including interest)		(2,15,000)	
Dividend paid		(30,000)	
Net cash used in financing activities	(C)		(2,45,000)
Net increase in cash (A + B + C)			4,07,500
Cash and cash equivalents at beginning of the period			2,00,000
Cash and cash equivalents at end of the period			6,07,500

Question 12

Prepare Cash flow for Gamma Ltd., for the year ending 31.3.20X1 from the following information:

(1) Sales for the year amounted to ₹ 135 crores out of which 60% was cash sales.

(2) Purchases for the year amounted to ₹ 55 crores out of which credit purchase was 80%.

(3) Administrative and selling expenses amounted to ₹ 18 crores and salary paid amounted to ₹ 22 crores.

(4) The Company redeemed debentures of ₹ 20 crores at a premium of 10%. Debenture holders were issued equity shares of ₹ 15 crores towards redemption and the balance was paid in cash. Debenture interest paid during the year was ₹ 1.5 crores.

(5) Dividend paid during the year amounted to ₹ 11.7 crores.

(6) Investment costing ₹ 12 crores were sold at a profit of ₹ 2.4 crores.

(7) ₹ 8 crores was paid towards income tax during the year.

(8) A new plant costing ₹ 21 crores was purchased in part exchange of an old plant. The book value of the old plant was ₹ 12 crores but the vendor took over the old plant at a value of ₹ 10 crores only. The balance was paid in cash to the vendor.

(9) The following balances are also provided:

	₹ in crores 1.4.20X0	**₹ in crores 31.3.20X1**
Debtors	45	50
Creditors	21	23
Bank	6	18.2

Answer

Gamma Ltd.

Cash Flow Statement for the year ended 31st March, 20X1 (Using direct method)

Particulars	**₹ in crores**	**₹ in crores**
Cash flows from operating activities		
Cash sales (60% of 135)	81	
Cash receipts from Debtors [45 + (135 x 40%) – 50]	49	
Cash purchases (20% of 55)	(11)	
Cash payments to suppliers [21 + (55 x 80%) – 23]	(42)	
Cash paid to employees	(22)	

Cash payments for overheads (Adm. and selling)	(18)	
Cash generated from operations	37	
Income tax paid	(8)	
Net cash generated from operating activities		29
Cash flows from investing activities		
Sale of investments (12 + 2.40)	14.4	
Payments for purchase of fixed assets (21 – 10)	(11)	
Net cash generated from investing activities		3.4
Cash flows from financing activities		
Redemption of debentures (22 – 15)	(7)	
Interest paid	(1.5)	
Dividend paid	(11.7)	
Net cash used in financing activities		(20.2)
Net increase in cash		12.2
Cash at beginning of the period		6.0
Cash at end of the period		18.2

Significant non-cash items:

(a) Debenture-holders received equity shares of ₹ 15 crores on redemption of the debentures.

(b) Plant having book value of ₹ 12 crores was given in exchange of an asset costing ₹ 21 crores. The said plant was transferred at ₹ 10 crores only, and ₹ 11 crores was paid for balance dues towards the plant.

Question 13

On the basis of following data, prepare Cash Flow Statement as per AS-3 for the year ended 31st March, 20X4:

- Total Sales for the year were ₹ 380 lakhs out of which Cash Sales amounted to ₹ 262 Lakhs.
- Receipts from credit customers during the year, total ₹ 134 lakhs.
- Total Purchases for the year amounted to ₹ 220 lakhs, out of which 80% were credit purchases.
- Opening balance in creditors ₹ 84 lakhs and Closing balance in creditors ₹ 92 lakhs.
- Suppliers of other consumables and services were paid ₹ 19 lakhs in cash.
- Employees of the enterprise were paid ₹ 20 lakhs in cash.
- Fully-paid preference shares of the face value of ₹ 32 lakhs were redeemed.
- Issued equity shares of the face value of ₹ 20 lakhs at a premium of 20%.
- Debenture of ₹ 20 lakhs at premium of 10% were redeemed by issuing equity share in lieu of their claims.
- ₹ 26 lakhs were paid by way of Income Tax.
- A new machinery costing ₹ 20 lakhs was purchased in a part exchange of an old machinery. The book value of the old machinery was ₹ 13 lakhs, but the vendor agreed to take over the old machinery at a higher value of ₹ 15 lakhs. The balance due to vendor was paid in cash.
- Dividend ₹ 15 lakhs was also paid on 30th March, 20X4.
- Debenture interest ₹ 3 lakhs was paid.

- During the year ₹ 8 lakhs rent was received from property held as investment.
- ₹ 0.50 lakh interest was earned on the advance payments to suppliers of Goods.
- Cash and cash equivalents on 1st April 20X3, ₹ 2 lakhs.

Answer

Cash flow statement (using direct method) for the year ended 31st March, 20X4

	₹ in lakhs	₹ in lakhs
Cash flow from operating activities		
Cash sales	262.00	
Cash collected from credit customers	134.00	
Interest received on advance payment to suppliers	0.50	
Less: Cash purchases	(44.00)	
Less: Payment to Creditors (84 + 176 – 92)	(168.00)	
Less: Cash paid to suppliers for consumables & services	(19.00)	
Less: Cash paid to employee	(20.00)	
Cash from operations	145.50	
Less: Income tax paid	(26.00)	
Net cash generated from operating activities		119.50
Cash flow from investing activities		
Payment for purchase of Machine (20 – 15)	(5.00)	
Proceeds from rent received	8.00	
Net cash used in investing activities		3.00
Cash flow from financing activities		
Redemption of Preference shares	(32.00)	
Proceeds from issue of Equity shares	24.00	
Debenture interest paid	(3.00)	
Dividend Paid	(15.00)	
Net cash used in financing activities		(26.00)
Net increase in cash and cash equivalents		96.50
Add: Cash and cash equivalents as on 1.4.20X3		2.00
Cash and cash equivalents as on 31.3.20X4		98.50

Question 14

From the following data of Vishnu Ltd., prepare cash flow statement from Operating activities using direct method as per AS 3:

	31.3.20X2 (₹)	31.3.20X1 (₹)
Current Assets:		
Inventory	1,20,000	1,65,000
Trade receivables	2,05,000	1,88,000

Cash & cash equivalents	35,000	20,500
Current Liabilities:		
Trade payables	1,95,000	2,15,000
Provision for tax	48,000	65,000

Summary of Statement of Profit and Loss

		31.3.20X2 (₹)
Sales	85,50,000	
Less: Cost of sales	(56,00,000)	29,50,000
Other Income:		
Interest income	20,000	
Fire insurance claim received	1,10,000	1,30,000
		30,80,000
Less: Depreciation	(24,000)	
Administrative and selling expenses	(15,40,000)	
Interest expenses	(36,000)	
Foreign exchange loss	(18,000)	(16,18,000)
Net Profit before tax and extraordinary income		14,62,000
Less: Income Tax		(95,000)
Net Profit		13,67,000

Additional information:

(i) Trade receivables and Trade payables include amounts relating to credit sale and credit purchase only.

(ii) Foreign exchange loss represents increment in liability of a long-term borrowing due to exchange rate fluctuation between acquisition date and balance sheet date.

Answer

Cash Flow Statement from operating activities of Vishnu Ltd. for year ended 31.3.X2 (Direct Method)

Particulars	**₹**	**₹**
Operating Activities:		
Cash received from Trade receivables (W.N. 3)		85,33,000
Less: Cash paid to Suppliers (W.N.2)	55,75,000	
Payment for Administration and Selling expenses	15,40,000	
Payment for Income Tax (W.N.4)	1,12,000	(72,27,000)
		13,06,000
Adjustment for extraordinary items (fire insurance claim)		1,10,000
Net Cash Flow from Operating Activities		**14,16,000**

Working Notes:

1. Calculation of total purchases

Cost of Sales = Opening stock + Purchases – Closing Stock

₹ 56,00,000 = ₹ 1,65,000 + Purchases – ₹ 1,20,000

Purchases = ₹ 55,55,000

2. Calculation of cash paid to Suppliers

Trade Payables

	₹		₹
To Bank A/c (balancing figure)	55,75,000	By Balance b/d	2,15,000
To Balance c/d	1,95,000	By Purchases (W.N. 1)	55,55,000
	57,70,000		57,70,000

3. Calculation of cash received from Customers

Trade Receivables

	₹		₹
To Balance b/d	1,88,000	By Bank A/c (balancing figure)	85,33,000
To Sales	85,50,000	By Balance c/d	2,05,000
	87,38,000		87,38,000

4. Calculation of tax paid during the year in cash

Provision for tax

	₹		₹
To Bank A/c (balancing figure)	1,12,000	By Balance b/d	65,000
To Balance c/d	48,000	By Profit and Loss A/c	95,000
	1,60,000		1,60,000

Question 15

The following are the extracts of Balance Sheet and Statement of Profit and Loss of Supriya Ltd.:

Extract of Balance Sheet

		Particulars	Notes	20X2 (₹'000)	20X1 (₹'000)
		Equity and Liabilities			
1		**Shareholder's funds**			
	(a)	Share capital	1	500	200
2		**Non- current liabilities**			
	(a)	Long term loan from bank		–	250
3		**Current liabilities**			
	(a)	Trade Payables		1,000	3,047
		Assets			
1		**Non-current assets**			
	(a)	Property, Plant and Equipment		230	128
2		**Current assets**			
	(a)	Trade receivables		2,000	4,783
	(b)	Cash & cash equivalents (Cash balance)		212	35

Extract of Statement of Profit and Loss

	Particulars	Notes	20X2 (₹'000)	20X1 (₹'000)
I	**Expenses:**			
	Employee benefits expense		69	25
	Other expenses	2	115	110
II	**Tax expense:**			
	Current tax (paid during year)		243	140

Notes to accounts

		20X2 (₹'000)	20X1 (₹'000)
1	**Share Capital**		
	Equity Shares of ₹10 each, fully paid up	500	200
2	**Other expenses**		
	Overheads	115	110

Prepare Cash Flow Statement of Supriya Ltd. for the year ended 31st March, 20X2 in accordance with AS-3 (Revised) using direct method. All transactions were done in cash only. There were no outstanding/prepaid expenses as on 31st March, 20X1 and on 31st March, 20X2. Ignore deprecation. Dividend amounting ₹ 80,000 was paid during the year ended 31st March, 20X2.

Answer

Supriya Ltd.

Cash Flow Statement for the year ended 31st March, 20X2 (Using direct method)

	(₹ '000)	(₹ '000)
Cash flows from operating activities		
Cash receipts from customers	2,783	
Cash payments to suppliers	(2,047)	
Cash paid to employees	(69)	
Other cash payments (for overheads)	(115)	
Cash generated from operations	552	
Income taxes paid	(243)	
Net cash from operating activities		309
Cash flows from investing activities		
Payments for purchase of Property, Plant and Equipment	(102)	
Net cash used in investing activities		(102)
Cash flows from financing activities		
Proceeds from issuance of share capital	300	
Bank loan repaid	(250)	
Dividend paid	(80)	
Net cash used in financing activities		(30)
Net increase in cash and cash equivalents		177
Cash and cash equivalents at beginning of period		35
Cash and cash equivalents at end of period		212

Cash Flow Statement by Indirect Method

Question 16

Prepare Cash Flow from Investing Activities of M/s. Creative Furnishings Limited for year ended 31.03.20X1.

Particulars	₹
Plant acquired by the issue of 8% Debentures	1,56,000
Claim received for loss of plant in fire	49,600
Unsecured loans given to subsidiaries	4,85,000
Interest on loan received from subsidiary companies	82,500
Pre-acquisition dividend received on investment made	62,400
Debenture interest paid	1,16,000
Term loan repaid	4,25,000
Interest received on investment (TDS of ₹ 8,200 was deducted on the above interest)	68,000
Book value of plant sold (loss incurred ₹ 9,600)	84,000

Answer

Cash Flow Statement from Investing Activities of M/s Creative Furnishings for year ended 31.03.20X1

Cash generated from investing activities	₹	₹
Interest on loan received	82,500	
Pre-acquisition dividend received on investment made	62,400	
Unsecured loans given to subsidiaries	(4,85,000)	
Interest received on investments (gross value)	76,200	
TDS deducted on interest	(8,200)	
Sale of plant	74,400	
Cash used in investing activities (before extraordinary item)		(1,97,700)
Extraordinary claim received for loss of plant		49,600
Net cash used in investing activities (after extraordinary item)		(1,48,100)

Note:

1. Debenture interest paid and Term Loan repaid are financing activities and, therefore, not considered for preparing cash flow from investing activities.
2. Plant acquired by issue of 8% debentures does not amount to cash outflow, hence also not considered in the above cash flow statement.

Question 17

From the following particulars calculate cash flows from Operating activities:

Particulars	₹
Retained earning	17,000
Depreciation	4,000
Loss on Sale of Machinery	3,000

Provision for tax	7,000
Interim Dividend paid during the year	10,000
Dividend paid during the year	8,000
Premium payable on redeemable Preference Shares	2,000
Profit on sale of investment	10,000
Refund of tax	1,000

Additional Information:

	31.03.X1 (₹)	31.03.X2 (₹)
Trade Receivable	10,000	12,000
Trade Payable	7,000	15,000
Provision for Tax	4,000	7,000
Prepaid Expenses	2,000	1,000
Outstanding Expenses	1,400	1,000

Answer

Calculation of Cash Flow from Operating Activities

Particulars	**Amount (₹)**
Retained earnings	17,000
Add: Depreciation	4,000
Add: Loss on sale of Machinery	3,000
Add: Premium Payable on redeemable Preference Shares	2,000
Add: Dividend paid	8,000
Add: Interim dividend paid during the year	10,000
Add: provision for tax made during the current year	7,000
Less: Refund of tax	(1,000)
Less: Profit on Sale of Investment	(10,000)
Operating Profit before Working Capital Changes	40,000
Add: Decrease in Prepaid Expenses	1,000
Less: Increase in Trade receivable	(2,000)
Add: Increase in Trade Payable	8,000
Less: Decrease in Outstanding Expenses	(400)
Cash generated from (Net of refund) operation	46,600
Less: Income tax paid (4,000 – 1,000)	(3,000)
Net Cash flow operating activities	**43,600**

Question 18

How will you disclose following items while preparing Cash Flow Statement of Gagan Ltd. as per AS-3 for the year ended 31st March, 20X2?

(i) 10% Debentures issued: As on 01-04-20X1 ₹ 1,10,000

As on 31-03-20X2 ₹ 77,000

(ii) Debentures were redeemed at 5% premium at the end of the year. Premium was charged to the Profit & Loss Account for the year.

(iii) Unpaid Interest on Debentures: As on 01-04-20X1 ₹ 275
As on 31-03-20X2 ₹ 1,175

(iv) Debtors of ₹ 36,000 were written off against the Provision for Doubtful Debts A/c during the year.

(v) 10% Bonds (Investments): As on 01-04-20X1 ₹ 3,50,000
As on 31-03-20X2 ₹ 3,50,000

(vi) Accrued Interest on Investments: As on 31-03-20X2 ₹ 10,500

Answer

Cash Flow Statement of M/s Gagan Ltd. for the year ended March 31, 20X2

Particulars		Amount (₹)
A	**Cash Flow from Operating Activities**	
	Net Profit as per Profit & Loss A/c	XXX
	Add: Premium on Redemption of Debentures	1,650
	Add: Interest on 10% Debentures	11,000
	Less: Interest on 10% Investments	(35,000)
B	**Cash Flow from Investing Activities**	
	Interest on Investments [35,000 – 10,500]	24,500
C	**Cash Flow from Financing Activities**	
	Interest on Debentures paid [11,000 – (1,175 – 275)] – Outflow	(10,100)
	Redemption of Debentures [(1,10,000 – 77,000) at 5% premium] – Outflow	(34,650)

Note: Debtors written off against provision for doubtful debts does not require any further adjustment in Cash Flow Statement

Question 19

Following are extracts of the Balance Sheets of Ajay Ltd.:

		Particulars	Notes	31.3.20X1 (₹)	31.3.20X2 (₹)
		Equity and Liabilities			
1		**Shareholder's funds**			
	(a)	Share capital	1	5,00,000	5,00,000
	(b)	Reserve & surplus	2	50,000	90,000
2		**Non-current liabilities**			
	(a)	Long-term borrowings	3	5,00,000	7,50,000
3		**Current liabilities**			
	(a)	Other current liabilities	4	–	5,000
		Assets			
1		**Non-current assets**			
	(a)	Intangible assets	5	2,05,000	1,80,000

Notes to accounts

		31.3.20X1 (₹)	31.3.20X2 (₹)
1	**Share Capital**		
	50,000 Equity Shares of ₹10 each	5,00,000	5,00,000
2	**Reserve & surplus**		
	Profit & Loss A/c	50,000	90,000
3	**Long-term borrowings**		
	10% Debentures	5,00,000	7,50,000
4	**Other current liabilities**		
	Unpaid interest	–	5,000
5	**Intangible assets**		
	Goodwill	2,05,000	1,80,000

You are required to show the related items in Cash Flow Statement.

Answer

An Extract of Cash Flow Statement for the year ending 31.3.20X2

	₹
Cash flows from operating activities:	
Closing balance as per Profit & Loss A/c	90,000
Less: Opening balance as per Profit & Loss A/c	(50,000)
Add: Goodwill amortization	25,000
Add: Interest on Debentures (Refer Note 1)	75,000
Net Cash from Operating Activities:	1,40,000
Cash from Financing Activities	
Proceeds from debentures (Refer Note 2)	2,50,000
Interest paid on Debentures [less unpaid]	(70,000)
Net Cash from Financing Activities	1,80,000

Note 1: Interest has been computed on the closing balance of debentures as on 31.3.20X2 assuming that all the additions/deletions were made, if any, at the beginning of the year.

Note 2: **10% Debentures Account**

Particulars	₹	Particular	₹
To Balance c/d	7,50,000	By Balance b/d	5,00,000
		By Bank A/c (Bal. fig.)	2,50,000
	7,50,000		**7,50,000**

Question 20

Given below are the extracts of the Balance Sheet of BGH Limited:

Particulars	31st March, 20X4 (₹)	31st March, 20X3 (₹)
Share Capital	5,00,000	4,00,000

Profit & Loss Account	1,10,000	60,000
10% Debentures (issued at the end of the year)	1,00,000	–
Bank Loan	2,50,000	2,00,000
Trade Payable	60,000	75,000
Dividend Payable	–	50,000
Interest Payable on Bank Loan (Current Year)	25,000	20,000
Goodwill	1,20,000	1,50,000
Trade Receivables	65,000	95,000
Inventory	55,000	30,000

You are required to prepare for the year ended 31st March, 20X4:

(a) Cash Flow from Operating Activities.

(b) Cash Flow from Financing Activities.

Answer

(a) Cash Flow from Operating Activities for the Year Ended 31st March, 20X4

Particulars	**₹**
Cash Flow from Operating Activities	
Retained earnings (1,10,000 – 60,000)	50,000
Adjustments for non-cash items	
Goodwill Amortisation	30,000
Interest expenses	25,000
	1,05,000
Changes in Working Capital	
Decrease in Trade Receivables	30,000
Increase in Inventory	(25,000)
Decrease in Trade Payables	(15,000)
Cash Flow from Operating Activities	95,000

(b) Cash Flow from Financing Activities for the Year Ended 31st March, 20X4

Particulars	**₹**
Increase in Share Capital	1,00,000
Increase in Bank Loan	50,000
Issue of 10% Debentures	1,00,000
Dividend Paid	(50,000)
Interest Paid	(20,000)
Cash Flow from Financing Activities	**1,80,000**

Question 21

Following is balance sheet of Fox Ltd. You are required to prepare cash flow statement using indirect method.

		Particulars	Notes	31.3.20X2 (₹)	31.3.20X1 (₹)
		Equity and Liabilities			
1		**Shareholder's funds**			
	(a)	Share capital	1	5,60,000	3,00,000
	(b)	Reserve & surplus	2	35,000	25,000
2		**Current liabilities**			
	(a)	Trade Payables		1,50,000	60,000
	(b)	Short-term provisions (Provision for taxation)		8,000	5,000
				7,53,000	**3,90,000**
		Assets			
1		**Non-current assets**			
	(a)	Property, Plant & Equipment		3,50,000	1,80,000
2		**Current assets**			
	(a)	Inventories		1,20,000	50,000
	(b)	Trade receivables		1,00,000	25,000
	(c)	Cash & cash equivalents		1,05,000	90,000
	(d)	Other current asset		78,000	45,000
				7,53,000	**3,90,000**

Notes to Accounts

Particulars	31.3.20X2 (₹)	31.3.20X1 (₹)
1. Share capital		
(a) Equity share capital	4,10,000	2,00,000
(b) Preference share capital	1,50,000	1,00,000
	5,60,000	3,00,000
2. Reserve and surplus		
Surplus in statement of profit and loss at the beginning of the year	25,000	
Add: Profit of the year	20,000	
Less: Dividend	(10,000)	
Surplus in statement of profit and loss at the end of the year	35,000	25,000

Additional Information:

1. Dividend paid during the year ₹ 10,000
2. Depreciation charges during the year ₹ 40,000

Answer

Fox Ltd.

Cash Flow Statement for the year ended 31st March, 20X2

	₹	₹
Cash flows from operating activities		
Net Profit (35,000 less 25,000)	10,000	
Add: Dividend	10,000	

Provision for tax	8,000	
Net profit before taxation and extraordinary items	28,000	
Adjustments for:		
Depreciation	40,000	
Operating profit before working capital changes	68,000	
Increase in trade receivables	(75,000)	
Increase in inventories	(70,000)	
Increase in other current assets	(33,000)	
Increase in trade payables	90,000	
Cash used in operating activities	(20,000)	
Less: Tax paid*	(5,000)	
Net cash used in operating activities		(25,000)
Cash flows from investing activities		
Purchase of PPE	(2,10,000)	
Net cash used in investing activities		(2,10,000)
Cash flows from financing activities		
Issue of equity shares for cash	2,10,000	
Issue of preference shares	50,000	
Dividends paid	(10,000)	
Net cash generated from financing activities		2,50,000
Net increase in cash and cash equivalents		15,000
Cash and cash equivalents at beginning of period		90,000
Cash and cash equivalents at end of period		1,05,000

*Provision for tax of last year considered to be paid in the current year.

Working Note:

	₹
Property, plant and equipment acquisitions	
W.D.V. at 31.3.20X2	3,50,000
Add back:	
Depreciation for the year	40,000
	3,90,000
Less: W.D.V. at 31.3.20X1	1,80,000
Acquisitions during 20X1-20X2	2,10,000

Question 22

The following information is provided for Aarambh Limited:

Particulars	31st March 20X1 (₹)	31st March 20X2 (₹)
Profit and Loss a/c	5,400 (Dr.)	37,800
Provision for Taxation	2,21,400	1,35,000

General Reserve	54,000	81,000
12% Debentures	1,18,800	2,91,600
Trade Payables	1,29,600	1,18,800
8% Current Investments	54,000	1,08,000
Property, plant and equipment (Gross)	3,99,600	3,99,600
Accumulated Depreciation	1,29,600	1,62,000
Trade Receivables (Gross)	81,000	2,61,360
Provision for Doubtful Debts	27,000	54,000
Inventories	1,35,000	81,000
Cash and Cash Equivalents	5,400	30,240

Additional information:

(i) Income tax provided during the year ₹ 1,62,000.

(ii) New debentures have been issued at the end of current financial year.

(iii) New investments have been acquired at the end of the current financial year.

You are required to calculate net Cash Flow from Operating Activities.

Answer

Cash Flow from Operating Activities

	₹
Difference between Profit and Loss Account ₹ (37,800 + 5,400)	43,200
Add: Transfer to General Reserve (81,000 – 54,000)	27,000
Add: Adjustment for Provision for taxation	1,62,000
Profit Before tax	2,32,200
Add: Adjustment for Depreciation (₹ 1,62,000 – ₹ 1,29,600)	32,400
Add: Adjustment for provision for doubtful debt (₹ 54,000 – ₹ 27,000)	27,000
Add: Debenture Interest Paid ₹ (1,18,800 x 12%)	14,256
Less: Income from Investments (54,000 x 8%)	(4,320)
Operating Profit before Working Capital changes	3,01,536
Decrease in Inventories ₹ (1,35,000 – 81,000)	54,000
Increase in Trade receivables ₹ (2,61,360 – 81,000)	(1,80,360)
Decrease in Trade payables ₹ (1,29,600 – 1,18,800)	(10,800)
Cash generated from operations	1,64,376
Income tax paid	(2,48,400)
Net Cash generated from Operating Activities	**(84,024)**

Working Note: **Provision for taxation account**

Particulars	**₹**	**Particulars**	**₹**
To Cash (Paid) (Balancing figure)	2,48,400	By Balance b/d	2,21,400
To Balance c/d	1,35,000	By Profit and Loss A/c	1,62,000
	3,83,400		**3,83,400**

Question 23

Ms. Jyoti of Star Oils Limited has collected the following information for the preparation of cash flow statement for the year ended 31st March, 20X1:

	(₹ in lakhs)
Net Profit	25,000
Dividend paid	8,535
Provision for Income tax	5,000
Income tax paid during the year	4,248
Loss on sale of assets (net)	40
Book value of the assets sold	185
Depreciation charged to the Statement of Profit and Loss	20,000
Profit on sale of Investments	100
Carrying amount of Investment sold	27,765
Interest income received on investments	2,506
Interest expenses of the year	10,000
Interest paid during the year	10,520
Increase in Working Capital (excluding Cash & Bank Balance)	56,081
Purchase of Fixed assets	14,560
Investment in joint venture	3,850
Expenditure on construction work in progress	34,740
Proceeds from calls in arrear	2
Receipt of grant for capital projects	12
Proceeds from long-term borrowings	25,980
Proceeds from short-term borrowings	20,575
Opening cash and bank balance	5,003
Closing cash and bank balance	6,988

Prepare the Cash Flow Statement for the year ended 31st March 20X1 in accordance with AS 3. (Make necessary assumptions)

Answer

Star Oils Limited

Cash Flow Statement for the year ended 31st March, 20X1

		(₹ in lakhs)
Cash flows from operating activities		
Net profit before taxation (25,000 + 5,000)	30,000	
Adjustments for:		
Depreciation	20,000	
Loss on sale of assets (Net)	40	
Profit on sale of investments	(100)	
Interest income on investments	(2,506)	

Interest expenses	10,000	
Operating profit before working capital changes	57,434	
Changes in working capital (Excluding cash and bank balance)	(56,081)	
Cash generated from operations	1,353	
Income taxes paid	(4,248)	
Net cash used in operating activities		(2,895)
Cash flows from investing activities		
Sale of assets (W.N.)	145	
Sale of investments (27,765 + 100)	27,865	
Receipt of grant for capital projects	12	
Interest income on investments	2,506	
Purchase of fixed assets	(14,560)	
Investment in joint venture	(3,850)	
Expenditure on construction work-in progress	(34,740)	
Net cash used in investing activities		(22,622)
Cash flows from financing activities		
Proceeds from calls in arrear	2	
Proceeds from long-term borrowings	25,980	
Proceed from short-term borrowings	20,575	
Interest paid	(10,520)	
Dividend paid	(8,535)	
Net cash flow from financing activities		27,502
Net increase in cash and cash equivalents		1,985
Cash and cash equivalents at the beginning of the period		5,003
Cash and cash equivalents at the end of the period		6,988

Working note:

Book value of the assets sold	185
Less: Loss on sale of assets	(40)
Proceeds on sale	**145**

Question 24

From the following Balance sheet of Grow More Ltd., prepare Cash Flow Statement for the year ended 31st March, 20X1:

Particulars			Notes	31.3.20X1	31.3.20X0
Equity and Liabilities					
1	**Shareholder's funds**				
	(a)	Share capital		10,00,000	8,00,000
	(b)	Reserve & surplus	1	3,00,000	2,10,000

2	**Non-current liabilities**				
	(a)	Long term borrowings	2	2,00,000	
3	**Current liabilities**				
	(a)	Trade Payables		7,00,000	8,20,000
	(b)	Other current liabilities	3	–	1,00,000
	(c)	Short term provision (provision for tax)		1,00,000	70,000
				23,00,000	**20,00,000**
Assets					
1	**Non-current assets**				
	(a)	Property, Plant & Equipment	4	13,00,000	9,00,000
	(b)	Non current investment		1,00,000	–
2	**Current assets**				
	(a)	Inventories		4,00,000	2,00,000
	(b)	Trade receivables		5,00,000	7,00,000
	(c)	Cash & cash equivalents		–	2,00,000
				23,00,000	**20,00,000**

Notes to accounts

No.	Particulars	31.3.20X1	31.3.20X0
1	**Reserves and Surplus**		
	General reserve	2,00,000	1,50,000
	Profit and Loss account	1,00,000	60,000
	Total	**3,00,000**	**2,10,000**
2	**Long term borrowings**		
	Debentures (issued at end of year)	2,00,000	–
3.	**Other current liabilities**		
	Dividend payable	–	1,00,000
4	**Property, plant and equipment**		
	Plant and machinery	7,00,000	5,00,000
	Land and building	6,00,000	4,00,000
	Net carrying value	**13,00,000**	**9,00,000**

(i) Depreciation @ 25% was charged on the opening value of Plant and Machinery.

(ii) At the year end, one old machine costing ₹ 50,000 (WDV ₹ 20,000) was sold for ₹ 35,000. Purchase was also made at the year end.

(iii) ₹ 50,000 was paid towards Income tax during the year.

(iv) Construction of the building got completed on 31.03.20X1 and hence no depreciation may be charged on the same.

Answer

Cash Flow Statement of Grow More Ltd. for the year ended 31st March, 20X1

		₹

Cash Flow from Operating Activities		
Increase in balance of Profit and Loss Account (1,00,000 – 60,000)	40,000	
Provision for taxation (W.N.1)	80,000	
Transfer to General Reserve (2,00,000 – 1,50,000)	50,000	
Depreciation (W.N.2)	1,25,000	
Profit on sale of Plant and Machinery	(15,000)	
Operating Profit before Working Capital changes	2,80,000	
Increase in Inventories	(2,00,000)	
Decrease in Trade receivables	2,00,000	
Decrease in Trade payables	(1,20,000)	
Cash generated from operations	1,60,000	
Income tax paid	(50,000)	
Net Cash generated from operating activities		**1,10,000**
Cash Flow from Investing Activities		
Purchase of fixed assets	(3,45,000)	
Expenses on building (6,00,000 – 4,00,000)	(2,00,000)	
Increase in investments	(1,00,000)	
Sale of old machine	35,000	
Net Cash used in investing activities		**(6,10,000)**
Cash Flow from Financing activities		
Proceeds from issue of shares (10,00,000 – 8,00,000)	2,00,000	
Proceeds from issue of debentures	2,00,000	
Dividend paid	(1,00,000)	
Net cash generated from financing activities		**3,00,000**
Net decrease in cash and cash equivalents		(2,00,000)
Cash and Cash equivalents at the beginning of the year		2,00,000
Cash and Cash equivalents at the end of the year		Nil

Working Notes:

1. Provision for taxation account

Particulars	₹	Particulars	₹
To Cash (Paid)	50,000	By Balance b/d	70,000
To Balance c/d	1,00,000	By Profit and Loss, A/c (B.F.)	80,000
	1,50,000		**1,50,000**

2. Plant and Machinery account

Particulars	₹	Particulars	₹
To Balance b/d	5,00,000	By Depreciation	1,25,000
To Profit and Loss A/c (profit)	15000	By Cash (sale of machine)	35,000
To Cash (Balancing figure)	3,45,000	By Balance c/d	7,00,000
	8,60,000		**8,60,000**

Question 25

Ryan Ltd provides you the following information at the year-end, March 31, 20X1:

	₹	₹
Sales		6,98,000
Cost of Goods Sold		(5,20,000)
		1,78,000
Operating Expenses (including Depreciation Expense of ₹ 37,000)		(1,47,000)
		31,000
Other Income/(Expenses):		
Interest Expense paid	(23,000)	
Interest Income received	6,000	
Gain on Sale of Investments	12,000	
Loss on Sale of Plant	(3,000)	
		(8,000)
		23,000
Income tax		(7,000)
		16,000

Information available:

	31st March 20X1 (₹)	31st March 20X0 (₹)
Plant	7,15,000	5,05,000
Less: Accumulated Depreciation	(1,03,000)	(68,000)
	6,12,000	4,37,000
Investments (Long term)	1,15,000	1,27,000
Inventory	1,44,000	1,10,000
Trade receivables	47,000	55,000
Cash	46,000	15,000
Prepaid expenses	1,000	5,000
Share Capital	4,65,000	3,15,000
Reserves and surplus	1,40,000	1,32,000
Bonds	2,95,000	2,45,000
Trade payables	50,000	43,000
Outstanding liabilities	12,000	9,000
Income taxes payable	3,000	5,000

Analysis of selected accounts and transactions during 20X0-X1

1. Purchased investments for ₹ 78,000.
2. Sold investments for ₹ 1,02,000. These investments cost ₹ 90,000.
3. Purchased plant assets for ₹ 1,20,000.
4. Sold plant assets that cost ₹ 10,000 with accumulated depreciation of ₹ 2,000 for ₹ 5,000.
5. Issued ₹ 1,00,000 of bonds at face value in an exchange for plant assets on 31st March, 20X1.

6. Repaid ₹ 50,000 of bonds at face value at maturity.
7. Issued 15,000 shares of ₹ 10 each.
8. Paid cash dividends ₹ 8,000.

Prepare Cash Flow Statement as per AS-3 (Revised), using indirect method.

Answer

Ryan Ltd.

Cash Flow Statement for the year ending 31st March, 20X1

	₹	₹
Cash flows from operating activities		
Net profit before taxation	23,000	
Adjustments for:		
Depreciation	37,000	
Gain on sale of investments	(12,000)	
Loss on sale of plant assets	3,000	
Interest expense	23,000	
Interest income	(6,000)	
Operating profit before working capital changes	68,000	
Decrease in trade receivables	8,000	
Increase in inventory	(34,000)	
Decrease in prepaid expenses	4,000	
Increase in trade payables	7,000	
Increase in outstanding liabilities	3,000	
Cash generated from operations	56,000	
Income taxes paid*	(9,000)	
Net cash generated from operating activities		47,000
Cash flows from investing activities		
Purchase of plant	(1,20,000)	
Sale of plant	5,000	
Purchase of investments	(78,000)	
Sale of investments	1,02,000	
Interest received	6,000	
Net cash used in investing activities		(85,000)
Cash flows from financing activities		
Proceeds from issuance of share capital	1,50,000	
Repayment of bonds	(50,000)	
Interest paid	(23,000)	
Dividends paid	(8,000)	
Net cash from financing activities		69,000
Net increase in cash and cash equivalents		31,000

Cash and cash equivalents at the beginning of the period		15,000
Cash and cash equivalents at the end of the period		46,000

Significant non-cash adjustments: Issued ₹ 1,00,000 bonds at face value for acquisition of plant on 31.3.X1.

Working note:

Provision for taxation account

Particulars	₹	Particulars	₹
To Cash (Paid)	50,000	By Balance b/d	70,000
To Balance c/d	1,00,000	By Profit and Loss, A/c (B.F.)	80,000
	1,50,000		**1,50,000**

Question 26

The balance sheets of Sun Ltd. as at 31st March 20X1 and 20X0 were as:

Particulars	Notes	20X1 (₹)	20X0 (₹)
Equity and Liabilities			
1 Shareholder's funds			
(a) Share capital	1	60,000	50,000
(b) Reserve & surplus	2	5,000	4,000
2 Current liabilities			
(a) Trade Payables		4,000	2,500
(b) Other current liabilities	3	–	1,000
(c) Short term provision (provision for tax)		1,500	1,000
		70,500	**58,500**
Assets			
1 Non-current assets			
(a) Property, Plant & Equipment	4	39,500	29,000
2 Current assets			
(a) Current investments		2,000	1,000
(b) Inventories		17,000	14,000
(c) Trade receivables		8,000	6,000
(d) Cash & cash equivalents	5	4,000	8,500
		70,500	**58,500**

Notes to accounts

	Particulars	20X1 (₹)	20X0 (₹)
1	**Share Capital**		
	Equity Shares of ₹ 10 each	60,000	50,000
2	**Reserve & surplus**		
	Profit and Loss Account	5,000	4,000
3	**Other current liabilities**		

	Dividend Payable	–	1,000
4	**Property, plant and equipment (at WDV)**		
	Building	10,000	10,000
	Fixtures	17,000	11,000
	Vehicles	12,500	8,000
	Total	39,500	29,000
5	**Cash and cash equivalents**		
	Cash and Bank	4,000	8,500

The profit and loss statement for the year ended 31st March, 20X1 disclosed:

Particulars	₹
Profit before tax	4,500
Tax expense: Current tax	(1,500)
Profit for the year	3,000
Declared dividend	(2,000)
Retained Profit	1,000

Further information is available:

	Fixtures (₹)	Vehicles (₹)
Depreciation for the year	1,000	2,500
Disposals:		
Proceeds on disposal of vehicles	–	1,700
Written down value	–	(1,000)
Profit on disposal	–	700

Prepare a Cash Flow Statement for the year ended 31st March, 20X1.

Answer

Sun Ltd.

Cash Flow Statement for the year ended 31st March, 20X1

	₹	₹
Cash flows from operating activities		
Net Profit before taxation	4,500	
Adjustments for:		
Depreciation	3,500	
Profit on sale of vehicles (1,700 – 1,000)	(700)	
Operating profit before working capital changes	7,300	
Increase in Trade receivables	(2,000)	
Increase in inventories	(3,000)	
Increase in Trade payables	1,500	
Cash generated from operations	3,800	
Income taxes paid **(W.N.1)**	(1,000)	
Net cash generated from operating activities		2,800

Cash flows from investing activities		
Sale of vehicles	1,700	
Purchase of current investments	(1,000)	
Purchase of vehicles **(W.N.3)**	(8,000)	
Purchase of fixtures **(W.N.3)**	(7,000)	
Net cash used in investing activities		(14,300)
Cash flows from financing activities		
Issue of shares for cash	10,000	
Dividends paid **(W.N.2)**	(3,000)	
Net cash generated from financing activities		7,000
Net decrease in cash and cash equivalents		(4,500)
Cash and cash equivalents at beginning of period (See Note)		8,500
Cash and cash equivalents at end of period (See Note)		4,000
Note to the Cash Flow Statement		
Cash and Cash Equivalents	**31.3.20X1**	**31.3.20X0**
Bank and Cash	4,000	8,500
Cash and cash equivalents	4,000	8,500

Working Notes:

			₹
1.	**Income taxes paid**		
	Income tax expense for the year		1,500
	Add: Income tax liability at the beginning of the year		1,000
			2,500
	Less: Income tax liability at the end of the year		(1,500)
			1,000
2.	**Dividend paid**		
	Declared dividend for the year		2,000
	Add: Amount payable at the beginning of the year		1,000
			3,000
	Less: Amount payable at the end of the year		–
			3,000
3.	**Property, plant and equipment acquisitions**		
		Fixtures ₹	**Vehicles ₹**
	W.D.V. at 31.3.20X1	17,000	12,500
	Add back:		
	Depreciation for the year	1,000	2,500
	Disposals	–	1,000
		18,000	16,000
	Less: W.D.V. at 31.12.20X0	(11,000)	(8,000)
	Acquisitions during 20X0-20X1	**7,000**	**8,000**

Note: Current investments may not be readily convertible to a known amount of cash and may not be subject to an insignificant risk of changes in value as per the requirements of AS 3 and hence those have been considered as investing activities.

Question 27

ABC Ltd. gives you the Balance sheets as at 31st March 20X0 and 31st March 20X1. You are required to prepare Cash Flow Statement by using indirect method as per AS 3 for the year ended 31st March 20X1:

Particulars			Notes	31.3.20X0 (₹)	31.3.20X1 (₹)
Equity and Liabilities					
1	**Shareholder's funds**				
	(a)	Share capital		50,00,000	50,00,000
	(b)	Reserve & surplus		26,50,000	36,90,000
2	**Non-current liabilities**				
	(a)	Long term borrowings	1	–	9,00,000
3	**Current liabilities**				
	(a)	Short term borrowing (bank loan)		1,50,000	3,00,000
	(b)	Trade Payables		8,80,000	8,20,000
	(c)	Other current liabilities	2	4,80,000	2,70,000
				91,60,000	**1,09,80,000**
Assets					
1	**Non-current assets**				
	(a)	Property, Plant & Equipment	3	21,20,000	32,80,000
2	**Current assets**				
	(a)	Current investment		11,80,000	15,00,000
	(b)	Inventories		20,10,000	19,20,000
	(c)	Trade receivables	4	22,40,000	26,40,000
	(d)	Cash & cash equivalents		15,20,000	15,20,000
	(e)	Other current asset (prepaid expense)		90,000	1,20,000
				91,60,000	**1,09,80,000**

Notes to accounts

No.	Particulars	20X0	20X1
1	**Long term borrowings**		
	9% Debentures (issued at the end of year)	–	9,00,000
	Total	–	**9,00,000**
2.	**Other current liabilities**		
	Dividend payable	1,50,000	–
	Liabilities for expenses	3,30,000	2,70,000
	Total	**4,80,000**	**2,70,000**
3	**Property, plant and equipment**		

	Plant and machinery	27,30,000	40,70,000
	Less: Depreciation	(6,10,000)	(7,90,000)
	Net carrying value	**21,20,000**	**32,80,000**
4	**Trade receivables**		
	Gross amount	23,90,000	28,30,000
	Less: Provision for doubtful debts	(1,50,000)	(1,90,000)
	Total	**22,40,000**	**26,40,000**

Additional Information:

(i) Net profit for the year ended 31st March, 20X1, after charging depreciation ₹ 1,80,000 is ₹ 10,40,000.

(ii) Trade receivables of ₹ 2,30,000 were determined to be worthless and were written off against the provisions for doubtful debts account during the year

Answer

Cash Flow Statement of ABC Ltd. for the year ended 31.3.20X1

Cash flows from Operating Activities		₹	₹
Net Profit		10,40,000	
Add: Adjustment for Depreciation (₹ 7,90,000 – ₹ 6,10,000)		1,80,000	
Add: Adj. for Provision for Doubtful Debts (₹ 4,20,000 – ₹ 1,50,000)		2,70,000	
Operating Profit Before Working Capital Changes		14,90,000	
Add: Decrease in Inventories (₹ 20,10,000 – ₹ 19,20,000)		90,000	
		15,80,000	
Less: Increase in Current Assets			
Trade Receivables (₹ 30,60,000 – ₹ 23,90,000)	6,70,000		
Prepaid Expenses (₹ 1,20,000 – ₹ 90,000)	30,000		
Decrease in Current Liabilities:			
Trade Payables (₹ 8,80,000 – ₹ 8,20,000)	60,000		
Expenses Outstanding (₹ 3,30,000 – ₹ 2,70,000)	60,000	(8,20,000)	
Net Cash generated from Operating Activities			7,60,000
Cash Flows from Investing Activities			
Investment in Current Investments		(3,20,000)	
Purchase of Plant & Machinery (₹ 40,70,000 – ₹ 27,30,000)		(13,40,000)	
Net Cash Used in Investing Activities			(16,60,000)
Cash Flows from Financing Activities			
Bank Loan Raised (₹ 3,00,000 – ₹ 1,50,000)		1,50,000	
Issue of Debentures		9,00,000	
Payment of Dividend		(1,50,000)	
Net Cash Used in Financing Activities			9,00,000
Net Increase in Cash During the Year			–
Add: Cash and Cash Equivalents as on 1.4.20X0			15,20,000
Cash and Cash Equivalents as on 31.3.20X1			15,20,000

Notes:

(1) Bad debts amounting ₹ 2,30,000 were written off against provision for doubtful debts account during the year. In the above solution, Bad debts have been added back in the balances of provision for doubtful debts and trade receivables as on 31.3.20X1.

(2) Current investments (i.e. Marketable securities) may not be readily convertible to a known amount of cash and be subject to an insignificant risk of changes in value as per the requirements of AS 3 and hence those have been considered as investing activities.

Question 28

From the following Balance Sheets and information, prepare Cash Flow Statement of Ryan Ltd. by Indirect method for the year ended 31st March, 20X1:

Particulars			Notes	31st March, 20X1	31st March, 20X0
Equity and Liabilities					
1	**Shareholder's funds**				
	(a)	Share capital	1	6,00,000	7,00,000
	(b)	Reserve & surplus	2	4,20,000	3,00,000
2	**Non-current liabilities**				
	(a)	Long term borrowings	3	2,00,000	–
3	**Current liabilities**				
	(a)	Trade Payables		1,15,000	1,10,000
	(b)	Other current liabilities	4	30,000	80,000
	(c)	Short term provision (provision for tax)		95,000	60,000
				14,60,000	**12,50,000**
Assets					
1	**Non-current assets**				
	(a)	Property, Plant & Equipment	5	9,15,000	7,00,000
	(b)	Non current investment		50,000	80,000
2	**Current assets**				
	(a)	Inventories		95,000	90,000
	(b)	Trade receivables		2,50,000	2,25,000
	(c)	Cash & cash equivalents		50,000	90,000
	(d)	Other current asset		1,00,000	65,000
				14,60,000	**12,50,000**

Notes to accounts

No.			31st March, 20X1	31st March, 20X0
1.	**Share capital**			
	Equity share capital		6,00,000	5,00,000
	10% Redeemable Preference share Capital		–	2,00,000
	Total		**6,00,000**	**7,00,000**
2	**Reserves and Surplus**			

	Capital redemption reserve		1,00,000	–
	Capital reserve		70,000	–
	General reserve		1,50,000	2,50,000
	Profit and Loss account		1,00,000	50,000
	Total		**4,20,000**	**3,00,000**
3	**Long term borrowings**			
	9% Debentures		2,00,000	–
4	**Other current liabilities**			
	Dividend payable		–	60,000
	Liabilities for expenses		30,000	20,000
	Total		**30,000**	**80,000**
5	**Property, plant and equipment**			
	Plant and machinery		7,65,000	5,00,000
	Land and building		1,50,000	2,00,000
	Net carrying value		**9,15,000**	**7,00,000**

Additional Information:

(i) A piece of land has been sold out for ₹ 1,50,000 (Cost – ₹ 1,20,000) and the balance land was revalued. Capital Reserve consisted of profit on revaluation of land.

(ii) On 1st April, 20X0 a plant was sold for ₹ 90,000 (Original Cost – ₹ 70,000 and W.D.V. – ₹ 50,000) and Debentures worth ₹ 1 lakh were issued at par as part consideration for plant of ₹ 4.5 lakhs acquired.

(iii) Part of the investments (Cost – ₹ 50,000) was sold for ₹ 70,000.

(iv) Pre-acquisition dividend received ₹ 5,000 was adjusted against cost of investment.

(v) Interim dividend was declared and paid @ 15% during the current year.

(vi) Income-tax liability for the current year was estimated at ₹ 1,35,000.

(vii) Depreciation @ 15% has been charged on Plant and Machinery but no depreciation has been charged on Building.

Answer

Cash Flow Statement of Ryan Limited For the year ended 31st March, 20X1

	₹	₹
Cash flow from operating activities		
Net Profit before taxation (W.N.1)	2,75,000	
Adjustment for		
Depreciation (W.N.3)	1,35,000	
Profit on sale of land	(30,000)	
Profit on sale of plant (W.N.3)	(40,000)	
Profit on sale of investments (W.N.4)	(20,000)	
Interest on debentures (2,00,000 x 9%)	18,000	
Operating profit before working capital changes	3,38,000	
Increase in inventory	(5,000)	

Increase in trade receivables	(25,000)	
Increase in Other current assets (W.N.9)	(35,000)	
Increase in Trade payables	5,000	
Increase in liabilities for expenses	10,000	
Cash generated from operations	2,88,000	
Income taxes paid (W.N.8)	(1,00,000)	
Net cash generated from operating activities		1,88,000
Cash flow from investing activities		
Proceeds from sale of land (W.N.2)	1,50,000	
Proceeds from sale of plant (W.N.3)	90,000	
Proceeds from sale of investments (W.N.4)	70,000	
Purchase of plant (W.N.3)	(3,50,000)	
Purchase of investments (W.N.4)	(25,000)	
Pre-acquisition dividend received (W.N.4)	5,000	
Net cash used in investing activities		(60,000)
Cash flow from financing activities		
Proceeds from issue of equity shares (6,00,000 – 5,00,000)	1,00,000	
Proceeds from issue of debentures (2,00,000 – 1,00,000)	1,00,000	
Redemption of preference shares	(2,00,000)	
Dividends paid	(1,50,000)	
Interest paid on debentures	(18,000)	
Net cash used in financing activities		(1,68,000)
Net decrease in cash and cash equivalents		(40,000)
Cash and cash equivalents at the beginning of the year		90,000
Cash and Cash equivalents at the end of the year		50,000

Significant Non-cash Items: Debentures amounting to ₹ 1,00,000 have been issued as part consideration for acquisition of plant of ₹ 4,50,000.

Working Notes:

1. Net profit before taxation

	₹
Retained profit	1,00,000
Less: Balance as on 31.3.20X0	(50,000)
	50,000
Provision for taxation	1,35,000
Dividend	90,000
	2,75,000

2. Land and Building Account

Particulars	₹	Particulars	₹
To Balance b/d	2,00,000	By Cash (Sale)	1,50,000

To Profit and Loss A/c (Profit on sale)	30,000	By Balance c/d	1,50,000
To Capital reserve (Revaluation profit)	70,000		
	3,00,000		**3,00,000**

3. Plant and Machinery Account

Particulars	₹	Particulars	₹
To Balance b/d	5,00,000	By Cash (Sale)	90,000
To Profit and loss account	40,000	By Depreciation	1,35,000
To Debentures	1,00,000	By Balance c/d	7,65,000
To Bank	3,50,000		
	9,90,000		**9,90,000**

4. Investments Account

Particulars	₹	Particulars	₹
To Balance b/d	80,000	By Cash (Sale)	70,000
To Profit and loss	20,000	By Dividend (Pre acquisition)	5,000
To Bank (Balancing figure)	25,000	By Balance c/d	50,000
	1,25,000		**1,25,000**

5. Capital Reserve Account

Particulars	₹	Particulars	₹
To Balance c/d	70,000	By Land and building	70,000
	70,000		**70,000**

6. General Reserve Account

Particulars	₹	Particulars	₹
To Capital redemption reserve	1,00,000	By Balance b/d	2,50,000
To Balance c/d	1,50,000		
	2,50,000		**2,50,000**

7. Dividend payable Account

Particulars	₹	Particulars	₹
To Bank (Balancing figure)	1,50,000	By Balance b/d	60,000
To Balance c/d	-	By Profit and loss account	90,000
	1,50,000		**1,50,000**

8. Provision for Taxation Account

Particulars	₹	Particulars	₹
To Bank (Balancing figure)	1,00,000	By Balance b/d	60,000
To Balance c/d	95,000	By Profit and loss account	1,35,000
	1,95,000		**1,95,000**

9. Other Current Assets Account

Particulars	₹	Particulars	₹

To Balance b/d	65,000	By Balance c/d	1,00,000
To Bank (Balancing figure)	35,000		
	1,00,000		**1,00,000**

Question 29

The Balance Sheet of New Light Ltd. as at 31st March, 20X1 and 20X0 (for the years ended) are as follows:

Particulars	Notes	31st March, 20X0	31st March, 20X1
Equity and Liabilities			
1 Shareholder's funds			
(a) Share capital	1	16,00,000	18,80,000
(b) Reserve & surplus	2	8,40,000	11,00,000
2 Non-current liabilities			
(a) Long term borrowings	3	4,00,000	2,80,000
3 Current liabilities			
(a) Other current liabilities	4	6,00,000	5,20,000
(b) Short term provision (provision for tax)		3,60,000	3,40,000
		38,00,000	**41,20,000**
Assets			
1 Non-current assets			
(a) Property, Plant & Equipment	5	22,80,000	26,40,000
(b) Noncurrent investment		4,00,000	3,20,000
2 Current assets			
(a) Cash & cash equivalents		10,000	10,000
(b) Other current asset		11,10,000	11,50,000
		38,00,000	**41,20,000**

Notes to accounts

No.	Particulars		31st March, 20X0	31st March, 20X1
1.	**Share capital**			
	Equity share capital		12,00,000	16,00,000
	10% Preference share capital		4,00,000	2,80,000
	Total		**16,00,000**	**18,80,000**
2.	**Reserves and Surplus**			
	General reserve		6,00,000	7,60,000
	Profit and Loss account		2,40,000	3,40,000
	Total		**8,40,000**	**11,00,000**
3.	**Long term borrowings**			
	9% Debentures		4,00,000	2,80,000
	Total		**4,00,000**	**2,80,000**
4.	**Other current liabilities**			

	Dividend payable		1,20,000	–
	Current Liabilities		4,80,000	5,20,000
	Total		**6,00,000**	**5,20,000**
5.	**Property, plant and equipment**			
	Property, plant and equipment		32,00,000	38,00,000
	Less: Depreciation		(9,20,000)	(11,60,000)
	Net carrying value		**22,80,000**	**26,40,000**

Additional information:

(i) The company sold one property, plant and equipment for ₹ 1,00,000, the cost of which was ₹ 2,00,000 and the depreciation provided on it was ₹ 80,000.

(ii) The company also decided to write off another item of property, plant and equipment costing ₹ 56,000 on which depreciation amounting to ₹ 40,000 has been provided.

(iii) Depreciation on property, plant and equipment provided ₹ 3,60,000.

(iv) Company sold some investment at a profit of ₹ 40,000.

(v) Debentures and preference share capital redeemed at 5% premium. Debentures were redeemed at the year end. Premium was charged to the Profit & Loss Account for the year.

(vi) Company decided to value inventory at cost, whereas previously the practice was to value inventory at cost less 10%. The inventory according to books on 31.3.20X0 was ₹ 2,16,000. The inventory on 31.3.20X1 was correctly valued at ₹ 3,00,000.

Prepare Cash Flow Statement as per revised Accounting Standard 3 by indirect method.

Answer

New Light Ltd.

Cash Flow Statement for the year ended 31st March, 20X1

A.	**Cash Flow from operating activities**	**₹**	**₹**
	Profit after appropriation		
	Increase in profit and loss A/c after inventory adjustment		
	[₹ 3,40,000 – (₹ 2,40,000 + ₹ 24,000)]	76,000	
	Transfer to general reserve	1,60,000	
	Provision for tax	3,40,000	
	Net profit before taxation and extraordinary item	5,76,000	
	Adjustments for:		
	Depreciation	3,60,000	
	Loss on sale of property, plant and equipment	20,000	
	Decrease in value of property, plant and equipment	16,000	
	Profit on sale of investment	(40,000)	
	Premium on redemption of preference share capital	6,000	
	Interest on debentures	36,000	
	Premium on redemption of debentures	6,000	
	Operating profit before working capital changes	9,80,000	

	Increase in current liabilities (₹ 5,20,000 – ₹ 4,80,000)	40,000	
	Increase in other current assets [₹ 11,50,000 – (₹ 11,10,000 + ₹ 24,000)]	(16,000)	
	Cash generated from operations	10,04,000	
	Income taxes paid	(3,60,000)	
	Net Cash generated from operating activities		6,44,000
B.	**Cash Flow from investing activities**		
	Purchase of property, plant and equipment (W.N.3)	(8,56,000)	
	Proceeds from sale of property, plant and equipment (W.N.3)	1,00,000	
	Proceeds from sale of investments (W.N.2)	1,20,000	
	Net Cash used in investing activities		(6,36,000)
C.	**Cash Flow from financing activities**		
	Proceeds from issuance of share capital	4,00,000	
	Redemption of preference share capital (₹ 1,20,000 + ₹ 6,000)	(1,26,000)	
	Redemption of debentures (₹ 1,20,000 + ₹ 6,000)	(1,26,000)	
	Dividend paid	(1,20,000)	
	Interest on debentures	(36,000)	
	Net Cash generated from financing activities		(8,000)
	Net increase/decrease in cash and cash equivalent during the year		Nil
	Cash and cash equivalent at the beginning of the year		10,000
	Cash and cash equivalent at the end of the year		10,000

Working Notes:

1. Revaluation of inventory will increase opening inventory by ₹ 24,000 [(2,16,000/90) x 10].

Therefore, opening balance of other current assets would be: ₹ 11,10,000 + ₹ 24,000 = ₹ 11,34,000

Due to under valuation of inventory, the opening balance of P&L account be increased by ₹ 24,000.

Opening balance of P&L A/c after revaluation of inventory will be ₹ 2,40,000 + ₹ 24,000 = ₹ 2,64,000

2. **Investment Account**

Particulars	₹	Particulars	₹
To Balance b/d	4,00,000	By Bank A/c (b.f. invest. sold)	1,20,000
To Profit and Loss A/c (Profit)	40,000	By Balance c/d	3,20,000
	4,40,000		**4,40,000**

3. **Property, Plant and Equipment Account**

Particulars	₹	Particulars		₹
To Balance b/d	32,00,000	By Bank A/c (sale of assets)	1,00,000	
To Bank A/c (b.f.)	8,56,000	By Accum. depreciation A/c	80,000	
		By Profit and loss A/c (loss)	20,000	2,00,000
		By Accum. depreciation A/c	40,000	
		By P&L A/c (Loss)	16,000	56,000
		By Balance c/d		38,00,000
	40,56,000			**40,56,000**

4. Accumulated Depreciation Account

Particulars	₹	Particulars	₹
To Property, plant and equipment A/c	80,000	By Balance b/d	9,20,000
To Property, plant and equipment A/c	40,000	By P&L A/c (dep. for the year)	3,60,000
To Balance c/d	11,60,000		
	12,80,000		**12,80,000**

Question 30

The following figures have been extracted from the books of Manan Jo Limited for the year ended on 31.3.20X3. You are required to prepare the Cash Flow statement as per AS 3 using indirect method.

(i) Net profit before taking into account income tax and income from law suits but after taking into account the following items was ₹ 30 lakhs:

(a) Depreciation on Property, Plant & Equipment ₹ 7.50 lakhs.

(b) Discount on issue of Debentures written off ₹ 45,000.

(c) Interest on Debentures paid ₹ 5,25,000.

(d) Book value of investments ₹ 4.50 lakhs (Sale of Investments for ₹ 4,80,000).

(e) Interest received on investments ₹ 90,000.

(ii) Compensation received ₹ 1,35,000 by the company in a suit filed.

(iii) Income tax paid during the year ₹ 15,75,000.

(iv) 22,500, 10% preference shares of ₹ 100 each were redeemed on 02.04.20X2 at a premium of 5%. Premium is not charged to the Profit & Loss Account for the year.

(v) Further the company issued 75,000 equity shares of ₹ 10 each at a premium of 20% on 30.3.20X3 (Out of 75,000 equity shares, 25,000 equity shares were issued to a supplier of machinery)

(vi) Dividend for FY 20X1-X2 on preference shares were paid at the time of redemption.

(vii) Dividend on Equity shares paid on 31.01.20X3 for the year 20X1-20X2 ₹ 7.50 lakhs (including dividend distribution tax) and interim dividend paid ₹ 2.50 lakhs for the year 20X2-20X3.

(viii) Land was purchased on 02.4.20X2 for ₹ 3,00,000 for which the company issued 22,000 equity shares of ₹ 10 each at a premium of 20% to the land owner and balance in cash as consideration.

(ix) Current assets and current liabilities in the beginning and at the end of years were as detailed below:

	As on 1.4.20X2 (₹)	As on 31.3.20X3 (₹)
Inventory	18,00,000	19,77,000
Trade receivables	3,87,000	3,79,650
Cash in hand	3,94,450	16,950
Trade payables	3,16,500	3,16,950
Outstanding expenses	1,12,500	1,22,700

Answer

Manan Ltd.

Cash Flow Statement for the year ended 31st March, 20X3

	₹	₹
Cash flow from Operating Activities		
Net profit before income tax and extraordinary items:	30,00,000	
Adjustments for:		
Depreciation on Property, plant and equipment	7,50,000	
Discount on issue of debentures	45,000	
Interest on debentures paid	5,25,000	
Interest on investments received	(90,000)	
Profit on sale of investments	(30,000)	
Operating profit before working capital changes	42,00,000	
Adjustments for:		
Increase in inventory	(1,77,000)	
Decrease in trade receivable	7,350	
Increase in trade payables	450	
Increase in outstanding expenses	10,200	
Cash generated from operations	40,41,000	
Income tax paid	(15,75,000)	
Cash flow from ordinary items	24,66,000	
Cash flow from extraordinary items:		
Compensation received in a suit filed	1,35,000	
Net cash flow from operating activities		26,01,000
Cash flow from Investing Activities;		
Sale proceeds of investments	4,80,000	
Interest received on investments	90,000	
Purchase of land (3,00,000 less 2,64,000)	(36,000)	
Net cash flow from investing activities		5,34,000
Cash flow from Financing Activities		
Proceeds of issue of equity shares at 20% premium	6,00,000	
Redemption of preference shares at 5% premium	(23,62,500)	
Preference dividend paid	(2,25,000)	
Interest on debentures paid	(5,25,000)	
Dividend paid (7,50,000 + 2,50,000)	(10,00,000)	
Net cash used in financing activities		(35,12,500)
Net decrease in cash and cash equivalents during the year		(3,77,500)
Add: Cash and cash equivalents as on 31.3.20X2		3,94,450
Cash and cash equivalents as on 31.3.20X3		16,950

Cash Flow Statement of Sole Proprietor by Indirect Method

Question 31

From following information of Mr. Zen, prepare a Cash flow statement as per AS-3 for year ended 31.3.20X1:

Ledger balances of Mr. Zen as of 20X0 and 20X1

	1.4.20X0 (₹)	1.4.20X1 (₹)
Zen's Capital A/c	10,00,000	12,24,000
Trade payables	3,20,000	3,52,000
Mrs. Zen's loan	2,00,000	–
Loan from Bank	3,20,000	4,00,000
Land	6,00,000	8,80,000
Plant and Machinery (net block)	6,40,000	4,40,000
Inventories	2,80,000	2,00,000
Trade receivables	2,40,000	4,00,000
Cash	80,000	56,000

Additional information:

A machine costing ₹ 80,000 (accumulated depreciation there on ₹ 24,000) was sold for ₹ 40,000. The provision for depreciation on 1.4.20X0 was ₹ 2,00,000 and 31.3.20X1 was ₹ 3,20,000. The net profit for the year ended on 31.3.20X1 was ₹ 3,60,000.

Answer

Cash Flow Statement of Mr. Zen as per AS 3 for the year ended 31.3.20X1

		₹	₹
(i)	**Cash flow from operating activities**		
	Net Profit (given)	3,60,000	
	Adjustments for		
	Depreciation on Plant & Machinery (W.N.2)	1,44,000	
	Loss on Sale of Machinery (W.N.1)	16,000	
	Operating Profit before working capital changes	5,20,000	
	Decrease in inventories	80,000	
	Increase in trade receivables	(1,60,000)	
	Increase in trade payables	32,000	
	Net cash generated from operating activities		4,72,000
(ii)	**Cash flow from investing activities**		
	Sale of Machinery (W.N.1)	40,000	
	Purchase of Land (8,80,000 – 6,00,000)	(2,80,000)	
	Net cash used in investing activities		(2,40,000)
(iii)	**Cash flow from financing activities**		
	Repayment of Mrs. Zen's Loan	(2,00,000)	
	Drawings (W.N.3)	(1,36,000)	
	Loan from Bank	80,000	

Net cash used in financing activities		(2,56,000)
Net decrease in cash		(24,000)
Opening balance as on 1.4.20X0		80,000
Cash balance as on 31.3.20X1		56,000

Working Notes:

1. Plant & Machinery A/c

Particulars	₹	Particulars	₹
To Balance b/d (6,40,000 + 2,00,000)	8,40,000	By Cash (Sale)	40,000
		By Provision for Depreciation A/c	24,000
		By P&L A/c (80,000 – 64,000)	16,000
		By Bal. c/d (4,40,000 + 3,20,000)	7,60,000
	8,40,000		**8,40,000**

2. Provision for depreciation on Plant and Machinery A/c

	₹		₹
To Plant and Machinery A/c	24,000	By Balance b/d	2,00,000
To Balance c/d	3,20,000	By Profit & Loss A/c (Bal. fig.)	1,44,000
	3,44,000		**3,44,000**

3. To find out Mr. Zen's drawings:

	₹
Opening Capital	10,00,000
Add: Net Profit	3,60,000
	13,60,000
Less: Closing Capital	(12,24,000)
Drawings	**1,36,000**

Cash Flow Statement by Both Direct and Indirect Method

Question 32

Given below are the relevant extracts of the Balance Sheet and the Statement of Profit and Loss of ABC Ltd. along with additional information:

Extract of Balance sheet **(₹ in lakhs)**

		Particulars	Notes	31.3.20X1	31.3.20X0
		Equity and Liabilities			
1		**Current liabilities**			
	(a)	Trade Payables		250	230
	(b)	Short term Provisions	1	200	180
	(c)	Other current liabilities	2	70	50
		Assets			

1		**Current assets**			
	(a)	Inventories		200	180
	(b)	Trade Receivables		400	250
	(c)	Other current assets	3	195	180

Statement of Profit and Loss of ABC Ltd. for the year ended 31st March, 20X1

	Particulars	**Notes**	**₹ in lakhs**
I	Revenue from operations		4,150
II	Other income	4	100
III	Total income (I + II)		**4,250**
	Expenses:		
	Purchases of Stock-in-Trade		2,400
	Change in inventories of finished goods		(20)
	Employee benefits expense		800
	Depreciation expense		100
	Finance cost	5	60
	Other expenses		200
IV	**Total expenses**		**3,540**
V	Profit before tax (III – IV)		710
VI	Tax expense:		
	Current tax		200
VII	**Profit for the year from continuing operations**		**510**

Appropriations

Balance of Profit and Loss account brought forward	50
Transfer to general reserve	200
Dividend paid	330

Notes to accounts: **(₹ in lakhs)**

		20X1	**20X0**
1	**Short term Provisions:**		
	Provision for Tax	200	180
2	**Other current liabilities:**		
	Outstanding wages	50	40
	Outstanding expenses	20	10
	Total	70	50
3	**Other current assets:**		
	Advance tax	195	180
4	**Other income:**		
	Interest and dividend	100	
5	**Finance cost:**		
	Interest	60	

Compute cash flow from operating activities using both direct and indirect method.

Answer

Cash Flows from Operating Activities

Using Direct Method		**₹ in lakhs**
Cash Receipts:		
Cash sales and collection from Trade Receivables (Sales + Opening T/R – Closing T/R) [4,150 + 250 – 400]		4,000
Cash payments:		
Cash purchases & payment to Trade payables (Purchases + Opening T/P – Closing T/P) [2,400 + 230 – 250]		(2,380)
Wages and salaries paid (800 + 40 – 50)		(790)
Cash expenses (200 + 10 – 20)		(190)
Cash generated from operations		640
Taxes paid (Advance tax)		(195)
Cash flow from operating activities		**445**
Using Indirect Method		**₹ in lakhs**
Profit before tax		710
Add: Non-cash items: Depreciation		100
Add: Interest: Financing cash inflow		60
Less: Interest and Dividend: Investment cash outflow		(100)
Operating profit before working capital changes		770
Working capital adjustments:		
Trade receivables [250 – 400]	(150)	
Inventories [180 – 200)]	(20)	
Trade payables [250 – 230]	(20)	
Outstanding wages [50 – 40]	(10)	
Outstanding expenses [20 – 10]	(10)	(130)
Cash generated from operations		640
Less: Tax paid		(195)
Cash flow from operating activities		**445**

Miscellaneous

Question 33

Z Ltd. has no Foreign Currency Cash Flow during the reporting period. It held a deposit in a bank in France. The balances as at the beginning of the year and at the end of the year were € 100,000 and € 105,000 respectively. The exchange rate at the beginning of the year was € 1 = ₹ 82, and at the end of the year was € 1 = ₹ 85. The increase in the deposit balance of € 5,000 was on account of interest credited on the last day of the reporting period. The deposit was reported at ₹ 82,00,000 in the opening balance sheet and at ₹ 89,25,000 in the closing balance sheet. You are required to show how these transactions would be presented

in the Cash Flow Statement as per AS 3.

Answer

The Statement of Profit and Loss was credited on account of:

Interest Income: € 5,000 x ₹ 85 **= ₹ 4,25,000**

Exchange difference = € 100,000 x (₹ 85 – ₹ 82) **= ₹ 3,00,000**

In preparing the Cash Flow Statement, the **exchange difference** of ₹ 3,00,000 should be **deducted from the Net Profit** before taxes, since it is a non-cash item. However, in order to reconcile the opening balance of the Cash and Cash Equivalents with its closing balance, the Exchange Difference of ₹ 3,00,000 should be **added to the opening balance** in a Note to the Cash Flow Statement.,

Cash Flows arising from transactions in a Foreign Currency shall be recorded in Z Ltd.'s reporting currency by applying to the foreign currency amount the exchange rate between the reporting currency and the foreign currency at the date of the cash flow.

CHAPTER - 6
AS 4: Contingencies and Events Occurring After the Balance Sheet Date

Events Occurring After Balance Sheet Date

Question 1

A Limited Company closed its accounting year on 30.6.20X1 and the accounts for that period were considered and approved by the board of directors on 20th August, 20X1. The company was engaged in laying pipeline for an oil company deep beneath the earth. While doing the boring work on 1.9.20X1 it had met a rocky surface for which it was estimated that there would be an extra cost to the tune of ₹ 80 lakhs. You are required to state with reasons, how the event would be dealt with in the financial statements for the year ended 30.6.20X1.

Answer

AS 4 (Revised) on Contingencies and Events Occurring after the Balance Sheet Date defines 'events occurring after the balance sheet date' as 'significant events, both favourable and unfavourable, that occur between the balance sheet date and the date on which financial statements are approved by the Board of Directors in the case of a company'. The given case is discussed in the light of the above-mentioned definition and requirements given in AS 4 (Revised). In this case the incidence, which was expected to push up cost, became **evident after the date of approval of the accounts**. So, it is **not an 'event occurring after the balance sheet date'.**

Types of Events Occurring After Balance Sheet Date

Question 2

In X Co. Ltd., theft of cash of ₹ 5 lakhs by the cashier in January, 20X1 was detected only in May, 20X1. The accounts of the company were not yet approved by the Board of Directors of the company.

Decide whether the theft of cash has to be adjusted in the accounts of the company for the year ended 31.3.20X1.

Answer

As per **AS 4** (Revised) 'Contingencies and Events occurring after the Balance Sheet Date', an event occurring after the balance sheet date may require adjustment to the reported amounts of assets, liabilities, expenses or incomes.

If a **fraud** of the accounting period is **detected after the balance sheet date but before approval** of the financial statements, it is **necessary to recognise the loss** amounting **₹ 5,00,000** and **adjust** the accounts of the company for the year ended 31st March, 20X1.

Question 3

A company has filed a legal suit against the debtor from whom ₹ 15 lakh is recoverable as on 31.3.20X1. The chances of recovery by way of legal suit are not good as per legal opinion given by the counsel in April, 20X1. Can the company provide for full amount of ₹ 15 lakhs as provision for doubtful debts? Discuss.

Answer

As per **AS 4** (Revised) "Contingencies and Events Occurring After the Balance Sheet Date", **assets and liabilities** should be **adjusted** for events **occurring after the balance sheet** date that provide **additional evidence** to assist the estimation of amounts relating to **conditions existing at the balance sheet date**. In the given case, company should make the provision for doubtful debts, as legal suit has been filed on 31st March, 20X1 and the chances of recovery from the suit are not good. Though, the actual result of legal suit will be known in future yet situation of non-recovery from the debtors exists before finalisation of financial statements. Therefore, **provision for doubtful debts should be made** for the year ended on 31st March, 20X1.

Question 4

While preparing its final accounts for the year ended 31st March, 20X1 a company made a provision for bad debts @ 5% of its total trade receivables. In the last week of February, 20X1 a trade receivable for ₹ 2 lakhs had suffered heavy loss due to an earthquake; the loss was not covered by any insurance policy. In April, 20X1 the trade receivable became a bankrupt. Can the company provide for the full loss arising out of insolvency of the trade receivable in the final accounts for the year ended 31st March, 20X1?

Answer

As per **AS 4**, Assets and Liabilities should be adjusted for events occurring after the balance sheet date that provide additional evidence to assist estimation of amounts relating to conditions existing at the balance sheet date.

So **full provision** for bad debt amounting to **₹ 2 lakhs should be made** to cover the loss arising due to the insolvency in the Final Accounts for the year ended 31st March, 20X1. It is **because** earthquake **took place before the balance sheet date**.

Question 5

A Ltd. has sold its building for ₹ 50 lakhs to B Ltd. and has also given the possession to B Ltd. The book value of the building is ₹ 30 lakhs. As on 31st March, 20X1, the documentation and legal formalities are pending. The company has not recorded the sale and has shown the amount received as advance. Do you agree with this treatment?

Answer

The economic reality and substance of the transaction is that the rights and beneficial interest in the property has been transferred although legal title has not been transferred. A Ltd. **should record the sale** and **recognise the gain** of ₹ 20 lakhs in its profit and loss account. The **building should be derecognized** in the financial statements.

Question 6

During the year 20X1-20X2, Raj Ltd. was sued by a competitor for ₹ 15 lakhs for infringement of a trademark. Based on the advice of the company's legal counsel, Raj Ltd. provided for a sum of ₹ 10 lakhs in its financial statements for the year ended 31st March, 20X2. On 18th May, 20X2, the Court decided in favour of the party alleging infringement of the trademark and ordered Raj Ltd. to pay the aggrieved party a sum of ₹ 14 lakhs.

The financial statements were prepared by the company's management on 30th April, 20X2, and approved by the board on 30th May, 20X2.

Answer

As per **AS 4** (Revised), **adjustments to assets and liabilities** are required for **events occurring after the balance sheet date** that provide additional information materially affecting the determination of the amounts relating to **conditions existing at the balance sheet date**.

In the given case, since Raj Ltd. was sued by a competitor for infringement of a trademark during the year 20X1-X2 for which the provision was also made by it, the decision of the Court on 18th May, 20X2, for payment of the penalty will **constitute as an adjusting event** because it is an event occurred before approval of the financial statements. Therefore, Raj Ltd. **should adjust** the **provision upward by ₹ 4 lakhs** to reflect the award decreed by the Court to be paid by them to its competitor.

Question 7

A case is going on between ABC Ltd. and Tax department on claiming the exemption for certain items, for the year 20X1-20X2. The court has issued the order on 15th April and rejected the claim of the company. Accordingly, company is liable to pay the additional tax. The financial statements were approved on 31st May, 20X2. Shall company account for such tax in the year 20X1-20X2 or shall it account for in the year 20X2-20X3?

Answer

To decide whether, the event is adjusting or not adjusting two conditions need to be satisfied,

(a) There has to be evidence

(b) The event must have been related to period ending on reporting date.

Here both the conditions are satisfied. Court order is conclusive evidence which has been received before approval of the financial statements since the liability is related to earlier year. The event will be considered as an **adjusting event** and accordingly the amount will be **adjusted in accounts of 20X1-20X2**.

Question 8

In preparing the financial statements of R Ltd. for the year ended 31st March, 20X1, you come across the following information. State with reasons, how you would deal with this in the financial statements:

The company invested ₹ 100 lakhs in April, 20X1 before approval of Financial Statements by the Board of directors in the acquisition of another company doing similar business, the negotiations for which had started during the year.

Answer

AS 4 (Revised) defines "Events Occurring after the Balance Sheet Date" as those significant events, both favourable and unfavourable, that occur between the balance sheet date and the date on which the financial statements are approved by the Approving Authority in the case of a company. Accordingly, the **acquisition of another company is an event occurring after the balance sheet date**. However, **no adjustment to assets and liabilities** is required as the event does not affect the determination and the condition of the amounts stated in the financial statements for the year ended 31st March, 20X1. The **disclosure** should be made in the **report of the approving authority** of those events occurring after the balance sheet date that represent

material changes and commitments affecting the financial position of the enterprise, the investment of ₹ 100 lakhs in April, 20X1 for the acquisition of another company **should be disclosed in the report of the Approving Authority** to enable users of financial statements to make proper evaluations and decisions.

Question 9

An earthquake destroyed a major warehouse of ACO Ltd. on 20.5.20X2. The accounting year of the company ended on 31.3.20X2. The accounts were approved on 30.6.20X2. The loss from earthquake is estimated at ₹ 30 lakhs. State with reasons, whether the loss due to earthquake is an adjusting or non-adjusting event and how the fact of loss is to be disclosed by the company.

Answer

AS 4 (Revised) "Contingencies and Events Occurring after the Balance Sheet Date", states that **adjustments** to assets and liabilities are **not appropriate** for events occurring after the balance sheet date, if such events do **not relate to conditions existing at the balance sheet date**. The **destruction of warehouse** due to **earthquake** did **not exist on the balance sheet date** i.e. 31.3.20X2. Therefore, **loss** occurred due to earthquake is **not to be recognised** in the financial year **20X1-20X2**.

However, according to the standard, unusual changes affecting the existence or substratum of the enterprise after the balance sheet date may indicate a need to consider the use of fundamental accounting assumption of going concern in the preparation of the financial statements. As per the information given in the question, the earthquake has caused major destruction; therefore, fundamental accounting assumption of going concern would have to be evaluated. Considering that the going concern assumption is still valid, the fact of earthquake together with an estimated loss of ₹ 30 lakhs should **be disclosed in the report** of the **approving authority** for financial year 20X1-X2 to enable users of financial statements to make proper evaluations and decisions.

Special Cases

Question 10

The Board of Directors of New Graphics Ltd. in its Board Meeting held on 18th April, 20X1, considered and approved the Audited Financial results along with Auditors Report for the Financial Year ended 31st March, 20X1 and recommended a dividend of ₹ 2 per equity share (on 2 crore fully paid up equity shares of ₹ 10 each) for the year ended 31st March, 20X1 and if approved by the members at the forthcoming Annual General Meeting of the company on 18th June, 20X1, the same will be paid to all the eligible shareholders.

Discuss on the accounting treatment and presentation of the said proposed dividend in the annual accounts of the company for the year ended 31st March, 20X1 as per the applicable Accounting Standard and other Statutory Requirements.

Answer

As per the amendment in **AS 4** "Contingencies and Events Occurring After the Balance Sheet Date" vide Companies (Accounting Standards) Amendments Rules, 2016 dated 30th March, 2016, the events which take place after the balance sheet date, are sometimes reflected in the financial statements because of statutory requirements or because of their special nature.

However, **dividends declared after the balance sheet date but before approval** of financial statements are **not recognized as a liability** at the balance sheet date because **no statutory obligation exists at that time**.

Hence such dividends are **disclosed** in the **notes to financial statements**.

No, provision for proposed dividends is not required to be made. Such proposed dividends are to be **disclosed in the notes to financial statements**. Accordingly, the dividend of ₹ 4 crores recommended by New Graphics Ltd. in its Board meeting on 18th April, 20X1 shall not be accounted for in the books for the year ended 31st March, 20X1 irrespective of the fact that it pertains to the year ended 31st March, 20X1 and will be paid after approval in the Annual General Meeting of the members / shareholders.

Question 11

The accounting year of Dee Limited ended on 31st March, 20X1 but the accounts were approved on 30th April, 20X1. On 15th April, 20X1 a fire occurred in the factory and office premises. The loss by fire is of such a magnitude that it was not possible to expect the enterprise Dee Limited to start operation again.

State with reasons, whether the loss due to fire is an adjusting or non- adjusting event and how the fact of loss is to be disclosed by the company in the context of the provisions of AS-4 (Revised).

Answer

As per **AS 4** (Revised) "Contingencies and Events occurring after the Balance Sheet Date", an **event occurring after the balance sheet date** should be an **adjusting event even if it does not reflect any condition existing on the balance sheet date**, **if** the event is such as to indicate that the fundamental accounting assumption of **going concern is no longer appropriate**.

The fire occurred in the factory and office premises of an enterprise after 31st March, 20X1 but before approval of financial statement of 30.04.20X1. The loss by fire is of such a magnitude that it is not reasonable to expect the Dee Ltd. to start operations again, i.e., the **going concern assumption is not valid**. Since the fire occurred after 31.03.20X1, the loss on fire is not a result of any condition existing on 31.03.20X1. But the loss due to fire is **an adjusting event** the entire accounts need to be prepared on a liquidation basis with adequate disclosures by the company by way of note in its financial statements in the following manner:

"Major fire occurred in the factory and office premises on 15th April, 20X1 which has made impossible for the enterprise to start operations again. Therefore, the financial statements have been **prepared on liquidation basis.**"

Mixed Topics

Question 12

The financial statements of PQ Ltd. for the year 20X1-X2 approved by the Board of Directors on 15th July, 20X2. The following information was provided:

(i) A suit against the company's advertisement was filed by a party on 20th April, 20X2, claiming damages of ₹ 25 lakhs.

(ii) The terms and conditions for acquisition of business of another company have been decided by March, 20X2. But the financial resources were arranged in April, 20X2 and amount invested was ₹ 50 lakhs.

(iii) Theft of cash of ₹ 5 lakhs by the cashier on 31st March, 20X2 but was detected on 16th July, 20X2.

(iv) Company sent a proposal to sell an immovable property for ₹ 40 lakhs in March, 20X2. The book value of property was ₹ 30 lakhs on 31st March, 20X2. However, the deed was registered on 15th April, 20X2.

(v) A, major fire has damaged the assets in a factory on 5th April, 20X2. However, the assets are fully insured.

With reference to AS-4 "Contingencies and events occurring after the balance sheet date", state whether the above mentioned events will be treated as contingencies, adjusting events or non-adjusting events occurring after the balance sheet date.

Answer

(i) Suit filed against the company is a contingent liability but it was not existing as on balance sheet date as the suit was filed on 20th April after the balance Sheet date. As per **AS 4**, 'Contingencies' used in the Standard is restricted to conditions or situations at the balance sheet date, the financial effect of which is to be determined by future events which may or may not occur. Hence, it will have no effect on financial statements and will be a **non-adjusting event**.

(ii) In the given case, **terms and conditions** for acquisition of business were **finalised** and carried out **before the closure of the books** of accounts but transaction for payment of financial resources was effected in April, 20X2. This is clearly an event occurring after the balance sheet date. Hence, **necessary adjustment to assets and liabilities** for acquisition of business is necessary in the financial statements for the year ended 31st March 20X2.

(iii) Only those significant events which occur between the balance sheet date and the date on which the financial statements are approved, may indicate the need for adjustment to assets and liabilities existing on the balance sheet date or may require disclosure. In the given case, theft of cash was **detected on 16th July, 20X2 after approval of financial statements** by the Board of Directors, hence **no treatment is required.**

(iv) Adjustments to assets and liabilities are not appropriate for events occurring after the balance sheet date, if such events do not relate to conditions existing at the balance sheet date. In the given case, sale of immovable property was under **proposal stage** (negotiations also not started) **on the balance sheet date**. Therefore, **no adjustment to assets for sale** of immovable property is required in the financial statements for the year ended 31st March, 20X2.

(v) The condition of fire occurrence was **not existing on the balance sheet** date. **Only the disclosure** regarding event of fire and loss being completely insured may be given **in the report of approving authority**.

Question 13

Smart Ltd. closes its books of accounts every year on 31st March. The financial statements for the year ended 31st March, 20X4 are to be approved by the approving authority on 30th June 20X4. During the first quarter of 20X4-20X5, the following events/transactions has taken place. The accountant of the company seeks your guidance for the following:

(i) Smart Ltd. has an inventory of 50 stitching machines costing at ₹ 5,500 per machine as on 31st March, 20X4. The company is expecting a heavy decline in the demand in next year. The inventories are valued at cost or net realisable value, whichever is lower. During the month of April 20X4, due to fall in demand, the prices have gone down drastically. The company has sold 5 machines during this month at a price of ₹ 4,000 per machine.

(ii) A fire has broken out in the company's godown on 15th April, 20X4. The company has estimated a loss of ₹ 25 lakhs of which 75% is recoverable from the Insurance company.

(iii) The company has entered into a sale agreement on 30th March, 20X4 to sell a property for a consideration

of ₹ 7,50,000 which is being carried in the books at ₹ 5,50,000 at the year end. The transfer of risk and reward and sale is complete in the month of May 20X4 when conveyance and possession get completed.

(iv) The company has received, during the year 20X2-20X3, a government grant of ₹ 15 lakhs for purchase of a machine. The company has received a notice for refund of the said grant on 15th June, 20X4 due to violation of some of the conditions of grant during the year 20X3-20X4.

You are required to state with reasons, how the above transactions will be dealt with in the financial statement for the year ended 31st March 20X4.

Answer

Events occurring after the balance sheet date are those significant events, both favourable and unfavourable, that **occur between the balance sheet date and the date on which the financial statements are approved** by the Board of Directors in the case of a company, and, by the corresponding approving authority in the case of any other entity.

Assets and liabilities should be adjusted for events occurring after the balance sheet date that provide **additional evidence** to assist the estimation of amounts relating to conditions existing at the balance sheet date or that indicate that the fundamental accounting assumption of going concern is not appropriate.

In the given case, financial statements are approved by the approving authority on 30th June 20X4.

On the basis of above principles, following will be the accounting treatment in the financial statements for the year ended at 31st March 20X4:

(i) Since on 31st March 20X4, Smart Ltd. was expecting a heavy decline in the demand of the stitching machine. Therefore, decline in the value during April, 20X4 will be considered as an **adjusting event**. Hence, Smart Ltd. needs to adjust the amounts recognized in its financial statements w.r.t. net realisable value at the end of the reporting period. Accordingly, **inventory should be written down to ₹ 4,000 per machine. Total value of inventory in the books will be 50 machines x ₹ 4,000 = ₹ 2,00,000**.

(ii) A fire took place after the balance sheet date i.e. during 20X4-20X5 financial year. Hence, corresponding financials of 20X3-20X4 financial year **should not be adjusted for loss occurred due to fire**. However, in this circumstance, the going concern assumption will be evaluated. In case the going concern assumption is considered to be appropriate even after the occurrence of fire, no disclosure of the same is required in the financial statements.

(iii) Since the transfer of risk and reward and sale was complete in the month of May, 20X4 when conveyance and possession got complete, no revenue should be recognised with respect to it in the financial statements of 20X3-20X4. However, a **disclosure for the same should be given by the entity**.

(iv) Since the notice has been received after 31st March but before 30th June 20X4 (approval date), the said grant shall be **adjusted in the financial statements** for financial year 20X3-20X4 because the violation of the conditions took place in the financial year 20X3-20X4 and the company must be aware of it.

Question 14

For five companies whose financial year ended on 31st March, 20X1, the financial statements were approved by their approving authority on 15th June, 20X1.

During 20X1-20X2, the following material events took place:

(a) A Ltd. sold a major property which was included in the balance sheet at ₹ 1,00,000 and for which contracts had been exchanged on 15th March, 20X1. The sale was completed on 15th May, 20X2 at a price

of ₹ 2,50,000.

(b) On 30th April, 20X1, a 100% subsidiary of B Ltd. declared a dividend of ₹ 3,00,000 in respect of its own shares for the year ended on 31st March, 20X1.

(c) On 31st May, 20X1, the mail order activities of C Ltd. (a retail trading group) were shut down with closure costs amounting to ₹ 2.5 million.

(d) On 1st July, 20X1 the discovery of sand under D Ltd.'s major civil engineering contract site causes the cost of the contract to increase by 25% for which there would be no corresponding recovery from the customer.

(e) A fire, on 2nd April, 20X1, completely destroyed a manufacturing plant of E Ltd. It was expected that the loss of ₹ 10 million would be fully covered by the insurance company.

You are required to state with reasons, how each of the above items numbered (a) to (e) should be dealt with in the financial statement of the various companies for the year ended 31st March, 20X1.

Answer

Treatment as per **AS 4** 'Contingencies and Events Occurring After the Balance Sheet Date'

(a)	A Ltd.	The sale of property should be treated as an **adjusting event** since contracts had been exchanged prior to the year-end. The effect of the sale would be **reflected in the financial statements** ended on 31.3.20X1 and the profit on sale of property ₹ 1,50,000 would be treated as an extraordinary item.
(b)	B Ltd.	The declaration of dividend on 30th April, 20X1 of ₹ 3,00,000 would be treated as a **non-adjusting** event in the financial statements of year ended 31st March, 20X1. This is because, the dividend has been declared after the balance sheet date and no conditions existed on the balance sheet date for such declaration of dividend. Further as per AS 9, **right to receive dividend is established when it is declared and not before that**.
(c)	C Ltd.	A closure not anticipated at the year-end would be treated as a **non-adjusting event**. Memorandum disclosure would be required for closure of mail order activities since non disclosure would affect user's understanding of the financial statements.
(d)	D Ltd.	The **event took place after the financial statements were approved** by the approving authority and is thus **outside the purview of AS 4**. However, in view of its significance of the transaction, the directors may consider publishing a separate financial statement/additional statement for the attention of the members in general meeting.
(e)	E Ltd.	The event is a **non-adjusting** event since it occurred after the year-end and does not relate to the conditions existing at the year-end. However, it is necessary to consider the validity of the going concern assumption having regard to the extent of insurance cover. Also, since it is said that the loss would be fully recovered by the insurance company, the fact should be **disclosed by way of a note** to the financial statements.

Question 15

State with reasons, how the following events would be dealt with in the financial statements of Hari Ltd. for the year ended 31st March, 20X2 (accounts were approved on 25th July, 20X2):

(i) Negotiations with another company for acquisition of its business was started on 21st January, 20X2. Hari Ltd. invested ₹ 40 lakh on 22nd April, 20X2.

(ii) The company made a provision for bad debts @ 4% of its total debtors (as per trend followed from the previous years). In the second week of March 20X2, a debtor for ₹ 2,50,000 had suffered heavy loss due to an earthquake; the loss was not covered by any insurance policy. In May, 20X2 the debtor became bankrupt.

(iii) During the year 20X1-X2, Hari Ltd. was sued by a competitor for ₹ 13 lakhs for infringement of a trademark. Based on the advice of the company's legal counsel, Hari Ltd. provided for a sum of ₹ 8 lakhs in its financial statements for the year ended 31st March, 20X2. On 26th May, 20X2, the Court decided in favour of the party alleging infringement of the trademark and ordered Hari Ltd. to pay the aggrieved party a sum of ₹ 12 lakhs.

(iv) Cashier of Hari Ltd. embezzled cash amounting to ₹ 3,00,000 during March, 20X2. However, the same comes to the notice of Company management during August, 20X2.

(v) Cheques dated 31st March, 20X2 collected in the month of April, 20X2. All cheques are presented to the bank in the month of April, 20X2 and are also realized in the same month in the normal course after deposit in the bank.

Answer

(i) As per **AS 4**'Contingencies and Events Occurring After the Balance Sheet Date', disclosure should be made in the report of the approving authority of those events occurring after the balance sheet date that represent material changes and commitments affecting the financial position of the enterprise, the investment of ₹ 40 lakhs in April, 20X2 in the acquisition of another company should be **disclosed in the report** of the Board of Directors to enable users of financial statements to make proper evaluations and decisions.

(ii) As per **AS 4**, adjustment to assets and liabilities are required for events occurring after the balance sheet date that provide additional information materially affecting the determination of the amounts relating to conditions existing at the Balance Sheet date. A debtor for ₹ 2,50,000 suffered heavy loss due to earthquake in the second week of March, 20X2 which was not covered by insurance. This information with its implications was **already known to the company**. The fact that he became bankrupt in May, 20X2 (after the balance sheet date) is only an additional information related to the existing condition on the balance sheet date. Accordingly, **full provision** for bad debts amounting **₹ 2,50,000 should be made**, to cover the loss arising due to the insolvency of a debtor, in the final accounts for the year ended 31st March 20X2.

(iii) As per AS 4, adjustments to assets and liabilities are required for events occurring after the balance sheet date that provide additional information materially affecting the determination of the amounts relating to conditions existing at the balance sheet date. In the given case, since Hari Ltd. was sued by a competitor for infringement of a trademark during the year 20X1-X2 for which the provision was also made by it, the decision of the Court on 26th May, 20X2, for payment of the penalty will constitute as an **adjusting event** because it is an event occurred before approval of the financial statements. Therefore, Hari Ltd. **should adjust** the **provision upward by ₹ 4 lakhs** to reflect the award decreed by the Court to be paid by them to its competitor.

(iv) As the embezzlement of cash comes to notice of company management only after approval of financial statements by board of directors of the company, then the treatment will be done as per the provisions of **AS 5** "Net Profit or Loss for the Period, Prior Period Items and Changes in Accounting Policies" and the same will **not be adjusted** in the financial statements for the year ended 31st March, 20X2. This being an **extra-ordinary** item should be **disclosed in the statement of profit and loss as a part of loss for the year ending March, 20X3**, in a manner, that its impact on current profit or loss can be perceived.

(v) Collection of cheques after balance sheet date is **not an adjusting event** even if cheques bear the date of 31st March. Recognition of cheques in hand is therefore not consistent with requirements of AS 4. Moreover, the collection of cheques after balance sheet date does not represent any material change or commitments affecting financial position of the enterprise **and no disclosure of such collections in the Directors' Report is necessary**.

Miscellaneous

Question 16

Y Ltd. has book debts and has a doubt over recoverability of some of the book debts. The amount that cannot be recovered is not quantifiable. Thus, Y Ltd. is of the opinion that provision for doubtful debts should not be created. Y Ltd. creates provision for certain other expenses on estimated basis.

Whether contention of Y Ltd. is correct?

Answer

As per **AS 4,** "Contingencies and Events Occurring After the Balance Sheet Date" if it is likely that a contingency will result in a loss to an entity then it should **create provision for that contingency on the estimated basis**.

Based on the above, the **contention that provision for doubtful debt is not be created** merely because the amount is not quantifiable is **not correct**. Hence, Y Ltd. **should make provision** in the books on the basis of **estimation**.

CHAPTER - 7
AS 5: Net Profit or Loss for the Period, Prior Period Items and Changes in Accounting Policies

Ordinary Items

Question 1

A company (Z Ltd.) is engaged in the business of providing consultancy services. A few days back, it received a notice from GST department raising a demand of GST on consultancy services provided by it for ₹ 500,000. Recently Z Ltd. paid the demand. In the books, the payment is recorded as an extraordinary expenditure.

Whether payment of tax demand raised by the taxation authority can be recognised as an extraordinary item?

Answer

No, payment of tax **cannot be recognised as an extraordinary item**.

As per **AS 5**, "Net Profit or Loss for the Period, Prior Period Items and Changes in Accounting Policies" an **extraordinary item** is **income or expenses** that arise from events or transactions that are **clearly distinct from ordinary activities** of the enterprise and, therefore, are not expected to recur frequently or regularly.

In the given case, **providing consultancy service** is **an ordinary activity** of Z Ltd. Thus, GST paid pursuant to the demand raised by GST department is also a part of an ordinary activity of Z Ltd. **Recognising** such payments as an **extra-ordinary item is contrary to AS 5**.

Question 2

(i) During the year 20X1-20X2, a medium size manufacturing company wrote down its inventories to net realisable value by ₹ 5,00,000. Is a separate disclosure necessary?

(ii) A company signed an agreement with the Employees Union on 1.9.20X3 for revision of wages with retrospective effect from 30.9.20X1. This would cost the company an additional liability of ₹ 5,00,000 per annum. Is a disclosure necessary for the amount paid in 20X3-X4?

Answer

(i) Although the case under consideration does **not relate to extraordinary item**, but the nature and amount of such item may be relevant to users of financial statements in understanding the financial position and performance of an enterprise and in making projections about financial position and performance. AS 5 on 'Net Profit or Loss for the Period, Prior Period Items and Changes in Accounting Policies' states that:

"When items of income and expense within profit or loss from **ordinary activities are of such size, nature or incidence that their disclosure is relevant to explain** the performance of the enterprise for the period, the nature and amount of such items **should be disclosed separately**."

Circumstances which may require **separate disclosure** of items of income and expense in accordance with **AS 5** include the write-down of inventories to net realisable value as well as the reversal of such write-downs.

(ii) It is given that revision of wages took place on 1st September, 20X3 with retrospective effect from 30.9.20X1. Therefore, wages payable for the 1½ years from 1.10.20X1 to 31.3.20X3 **cannot be taken as**

an error or omission in the preparation of financial statements and hence this expenditure cannot be taken as a prior period item. Additional wages liability of ₹ 7,50,000 (for 1½ years @ ₹ 5,00,000 per annum) should be included in current year's wages.

It may be mentioned that **additional wages** is an expense arising from the **ordinary activities** of the company. Such an expense does **not qualify as an extraordinary item**. However, as per **AS 5**, when items of **income and expense within profit or loss from ordinary activities are of such size, nature or incidence** that their **disclosure is relevant to explain** the performance of the enterprise for the period, the nature and amount of such items should be **disclosed separately**.

Question 3

TQ Cycles Ltd. is in the manufacturing of bicycles, a labour intensive manufacturing sector. In April 20X2, the Government enhanced the minimum wages payable to workers with retrospective effect from the 1st January, 20X2. Due to this legislative change, the additional wages for the period from January 20X2 to March 20X2 amounted to ₹ 30 lakhs. The management asked the Finance manager to charge ₹ 30 lakhs as prior period item while finalizing financial statements for the year 20X2-X3. Further, the Finance manager is of the view that this amount being abnormal should be disclosed as extra-ordinary item in the Profit and loss account for the financial year 20X1-X2.

Discuss with reference to applicable Accounting Standards.

Answer

As per **AS 5** "Net Profit or Loss for the Period, Prior Period Items and Changes in Accounting Policies" prior period items are income or expenses which arise in the current period as a result of errors or omissions in the preparation of financial statements of one or more prior periods. The term does not include other adjustments necessitated by circumstances which though related to prior periods, are determined in the current period.

It is given that revision of wages took place in April, 20X2 with retrospective effect from 1st January, 20X2. Therefore, wages payable for the period from 1.01.20X2 to 31.3.20X2 **cannot be taken as an error or omission** in the preparation of financial statements and hence this expenditure cannot be taken as a prior period item. The full amount of wages payable to workers will be **treated as an expense of current year and it will be charged to profit & loss account for the year 20X2-X3 as normal expenses**.

It may be mentioned that additional wages is an expense arising from the **ordinary activities** of the company. Such an expense does **not qualify as an extraordinary item**. Therefore, **finance manager is incorrect** in treating increase as extraordinary item. However, as per AS 5, when items of **income and expense within profit or loss from ordinary activities** are of **such size, nature or incidence that their disclosure is relevant to explain** the performance of the enterprise for the period, the nature and amount of such items **should be disclosed separately**.

Therefore, additional wages liability of ₹ 30 lakhs should be **disclosed separately** in the financial statements of TQ Cycles Ltd. for the year ended 31st March, 20X3.

Extra Ordinary Items

Question 4

Bela Ltd. has a vacant land measuring 20,000 sq. mts, which it had no intention to use in the future. The

company decided to sell the land to tide over its liquidity problems and made a profit of ₹ 10 Lakhs by selling the said land. Moreover, there was a fire in the factory and a part of the unused factory shed valued at ₹ 8 Lakhs was destroyed. The loss from fire was set off against the profit from sale of land and profit of ₹ 2 lakhs was disclosed as net profit from sale of assets. Do you agree with the treatment and disclosure? If not, state your views.

Answer

As per **AS 5** "Net Profit or Loss for the Period, Prior Period Items and Changes in Accounting Policies" Extraordinary items should be disclosed in the statement of profit and loss as a part of net profit or loss for the period. The nature and the amount of each extraordinary item should be separately disclosed in the statement of profit and loss in a manner that its impact on current profit or loss can be perceived.

In the given case the selling of land to tide over liquidation problems as well as fire in the factory does **not constitute ordinary activities** of the Company. These items are distinct from the ordinary activities of the business. Both the events are material in nature and expected not to recur frequently or regularly. Thus, these are **Extraordinary Items**.

Therefore, in the given case, disclosing net profits by **setting off fire losses against profit from sale of land is not correct**. The profit on sale of land, and loss due to fire should be **disclosed separately** in the statement of profit and loss.

Prior Period Items

Question 5

The company finds that the inventory sheets of 31.3.20X1 did not include two pages containing details of inventory worth ₹ 14.5 lakhs. State, how you will deal with the following matters in the accounts of Omega Ltd. for the year ended 31st March, 20X2.

Answer

AS 5 on 'Net Profit or Loss for the Period, Prior Period Items and Changes in Accounting Policies', defines Prior Period items as "income or expenses which arise in the current period as a result of errors or omissions in the preparation of the financial statements of one or more prior periods".

Rectification of **error in inventory valuation is a prior period item** vide AS 5. **Separate disclosure** of this item as a **prior period item** is required as per AS 5.

Question 6

Fuel surcharge is billed by the State Electricity Board at provisional rates. Final bill for fuel surcharge of ₹ 5.30 lakhs for the period October, 20X1 to September, 20X7 has been received and paid in February, 20X8. However, the same was accounted in the year 20X8-X9. Comment on the accounting treatment done in the said case.

Answer

The final bill having been paid in February, 20X8 should have been accounted for in the annual accounts of the company for the year ended 31st March, 20X8. However, it **seems** that as a result of **error or omission** in the preparation of the financial statements of prior period i.e., for the year ended 31st March 20X8, this material

charge has arisen in the current period i.e., year ended 31st March, 20X9. Therefore, it should be **treated as 'Prior period item'** as per AS 5. As per **AS 5**, prior period items are normally included in the determination of net profit or loss for the current period. An alternative approach is to show such items in the statement of profit and loss after determination of current net profit or loss. In either case, the objective is to indicate the effect of such items on the current profit or loss.

It may be mentioned that it is an expense arising from the **ordinary course** of business. Although abnormal in amount or infrequent in occurrence, such an expense **does not qualify an extraordinary item** as per AS 5. For better understanding, the fact that power bill is accounted for at provisional rates billed by the state electricity board and final adjustment thereof is made as and when final bill is received may be mentioned as an accounting policy.

Question 7

There was a major theft of stores valued at ₹ 10 lakhs in the preceding year which was detected only during current financial year (20X2-20X3). How will you deal with this information in preparing the financial statements of R Ltd. for the year ended 31st March, 20X3.

Answer

Due to major theft of stores in the preceding year (20X1-20X2) which was detected only during the current financial year (20X2–20X3), there was overstatement of closing inventory of stores in the preceding year. This must have also resulted in the overstatement of profits of previous year, brought forward to the current year. The adjustments are required to be made in the current year as **'Prior Period Items'** as per **AS 5** (Revised) on Net Profit or Loss for the Period, Prior Period Items and Changes in Accounting Policies. Accordingly, the adjustments relating to both opening inventory of the current year and profit brought forward from the previous year should be **separately disclosed** in the statement of profit and loss together with their nature and amount in a manner that their impact on the current profit or loss can be perceived.

Question 8

Energy Ltd. has acquired a generator on 1.4.20X1 for ₹ 100 lakh. On 02.04.20X1, it applied to Indian Renewal Energy Development Authority (IREDA) for a subsidy. The subsidy was granted in June, 20X2 after the accounts for 20X1-20X2 were finalized. The company has not accounted for the subsidy for the year ended 31.3.20X2.

State

(i) Is this a prior period item?

(ii) How should the subsidy be accounted in the accounting year 20X2-20X3?

Answer

(i) Whether a subsidy applied is to be classified as prior period item as per AS 5, depends upon whether the company has committed an error in 20X1-20X2 by not recognising the subsidy?

The answer is in para 13 of **AS 12** "Accounting for Government Grants" which permits **recognition** of grant **only when** there is **reasonable assurance** that -

(i) the enterprise will **comply with the conditions** attached to them and

(ii) the subsidy **will be received**.

Mere making of an application does not provide the reasonable assurance that the subsidy will be received. Letter of sanction from IREDA is required to provide this assurance. Since, the subsidy was granted in June, 20X2 after approval of accounts, **non-recognition of grant in 20X1-20X2 will not be considered as an error.** Hence, this **is not a prior period item**. Therefore, the company was right in not recognizing the grant.

Further, AS 4 requires adjustment of events occurring after the balance sheet date only upto the date of approval of accounts by the Board of Directors. In view of this, the company is **correct in not adjusting the same in the accounts in the year 20X1-20X2**.

(ii) The subsidy should be **deducted from the cost** of the generator. The revised unamortised amount of generator should be written off over the remaining useful life.

Alternatively, the same may be **treated as 'deferred income'** and allocated over the remaining useful life in the proportion in which depreciation is charged.

Question 9

From the past 5 financial years, an old outstanding balance of ₹ 50,000 was still appearing as sundry creditor in the current year balance sheet of People Ltd. The company is certain that this amount is not payable due to one or more reasons. Therefore, it decided to write off the said amount in its current year's books of accounts and recognize it as income. The company treated the amount of ₹ 50,000 written off as a prior period item and made the adjustments accordingly.

The company is of the view that since sundry balances were recognized in the prior period(s), its related written-off amount should be treated as a prior period item.

Answer

No, the company is **not correct** in treating the amount written off as a prior period item. As per **AS 5**, prior period items are income or expenses which arise in a current year due to errors or omissions in the preparation of the financial statements of one or more prior period(s).

Writing off an old outstanding balance in the current year which is appearing in its books of accounts from the past 5 financial years does **not mean that there has been an error or omission** in the preparation of financial statements of prior period(s). It is just a practice adopted by the company to write off the old outstanding balances of more than 5 years in its current year books of accounts. Therefore, the amount written off is **not treated as a prior period item**.

Hence, **adjusting** the amount ₹ 50,000 written off **as a prior period item** on the basis that sundry balances were recognized in prior period(s) is **not in line with AS 5**.

Change in Accounting Estimates

Question 10

In the current year, A Ltd. changed the depreciation method from the Straight-Line Method (SLM) to Written Down Value (WDV) method. When A Ltd. recomputed depreciation retrospectively as per the new method, deficiency arose in depreciation in respect of past years. Therefore, it reduced the carrying amount of the asset by the amount of deficiency and such change in carrying amount (deficiency amount) has been debited to the

statement of profit and loss as an extraordinary expense.

Whether the change in the carrying amount of assets due to the change in depreciation method should be treated as an extraordinary item?

Answer

No.

As per **AS 5**, "Net Profit or Loss for the Period, Prior Period Items and Changes in Accounting Policies" **extraordinary items** are **income or expenses** that arise from events or transactions that are **clearly distinct from the ordinary activities** of enterprise and, therefore, are not expected to recur frequently or regularly.

A **change in the method** of charging **depreciation** is **not** an event that is clearly **distinct from the ordinary activities** of the entity. In the instant case, A Ltd. has changed the depreciation method and treated the reduction in carrying amount (or amount of deficiency in depreciation) of the asset as an extraordinary expense. This is **not correct**. Such deficiency should be treated as a normal expense.

A change in the estimated useful life of a depreciable asset (i.e. change in depreciation method) affects the depreciation in the current period and in each period during the remaining useful life of the asset. In both cases, the effect of the change relating to the current period is recognised as income or expense in the current period. The effect, if any, on future periods, is recognised in future periods.

The change in depreciation method is considered as a **change in accounting estimate** as per the provisions of AS 5.

Question 11

A company created a provision of ₹ 7,50,000 for staff welfare while preparing the financial statements for the year 20X1-X2. On 31st March 20X2, in a meeting with staff welfare association, it was decided to increase the amount of provision for staff welfare to ₹ 10,00,000. The accounts were approved by Board of Directors on 15th April, 20X2.

You are required to explain the treatment of such revision in financial statements for the year ended 31st March 20X2 in line with the provisions of AS 5?

Answer

As per **AS 5** "Net Profit or Loss for the Period, Prior Period Items and Changes in Accounting Policies", the change in amount of staff welfare provision amounting ₹ 2,50,000 is **neither a prior period item nor an extraordinary item**. **It is a change in estimate**, which has been occurred in the year 20X1-X2.

As per the provisions of the standard, normally, all items of income and expense which are recognized in a period are included in the determination of the net profit or loss for the period. This includes extraordinary items and the effects of changes in accounting estimates. However, the effect of such change in accounting estimate should be classified using the **same classification** in the statement of profit and loss, as was used previously, for the estimate.

Question 12

S.T.B. Ltd. makes provision for expenses amounting ₹ 7,00,000 as on March 31, 20X1, but the actual expenses during the year ending March 31, 20X2 comes to ₹ 9,00,000 against provision made during the last year. State

with reasons whether difference of ₹ 2,00,000 is to be treated as prior period item as per AS 5 'Net Profit or Loss for the Period, Prior Period Items and Changes in Accounting Policies'.

Answer

As per **AS 5** 'Net Profit or Loss for the Period, Prior Period Items and Changes in Accounting Policies', as a result of the uncertainties inherent in business activities, many financial statement items cannot be measured with precision but can only be estimated. The estimation process involves judgments based on the latest information available. The use of reasonable estimates is an essential part of the preparation of financial statements and does not undermine their reliability. Estimates may have to be revised, if changes occur regarding the circumstances on which the estimate was based, or as a result of new information, more experience or subsequent developments.

As per the standard, the effect of a **change in an accounting estimate** should be classified using the **same classification** in the statement of profit and loss as was used previously for the estimate. Prior period items are income or expenses which arise in the current period as a result of errors or omissions in the preparation of the financial statements of one or more prior periods. Thus, revision of an estimate by its nature i.e. the difference of ₹ 2 lakhs, is not a prior period item. Therefore, in the given case expenses amounting ₹ 2,00,000 (i.e. ₹ 9,00,000 – ₹ 7,00,000) recorded in the current year, **should not be regarded as prior period item**.

Mixed Topics

Question 13

PQR Ltd. is in the process of finalizing its accounts for the year ended 31st March, 20X4. The company seeks your advice on the following:

(i) Goods worth ₹ 5,00,000 were destroyed due to flood in September, 20X1. A claim was lodged with insurance company. But no entry was passed in the books for insurance claim in the financial year 20X1-X2. In March, 20X4, the claim was passed and the company received a payment of ₹ 3,50,000 against the claim. Explain the treatment of such receipt in final account for the year ended 31st March, 20X4.

(ii) Company created a provision for bad and doubtful debts at 2.5% on debtors in preparing the financial statements for the year 20X3-X4.

Subsequently, on a review of the credit period allowed and financial capacity of the customers, the company decides to increase the provision to 8% on debtors as on 31.03.20X4. The accounts were not approved by the Board of Directors till the date of decision. While applying the relevant accounting standard, can this revision be considered as an extraordinary item or prior period item?

Answer

(i) As per the provisions of **AS 5** "Net Profit or Loss for the Period, Prior Period Items and Changes in Accounting Policies", **prior period items are income or expenses**, which arise, in the current period as a result of **error or omissions** in the preparation of financial statements of **one or more prior periods**. Further, the nature and amount of prior period items should be separately disclosed in the statement of profit and loss in a manner that their impact on current profit or loss can be perceived.

In the given instance, it is **clearly a case of error/omission** in preparation of financial statements for the year 20X1-X2. Hence, claim received in the financial year 20X3- X4 is a **prior period item** and should be **separately disclosed** in the statement of Profit and Loss.

(ii) In the given case, a limited company created 2.5% provision for doubtful debts for the year 20X3-20X4. Subsequently, the company revised the estimates based on the changed circumstances and wants to create 8% provision.

As per AS 5, the revision in rate of provision for doubtful debts will be **considered as change in estimate** and is **neither a prior period item nor an extraordinary item**.

The effect of such change **should be shown in the profit and loss account** for the year ending 31st March, 20X4.

Question 14

Explain whether the following will constitute a change in accounting policy or not as per AS 5.

(i) Introduction of a formal retirement gratuity scheme by an employer in place of ad hoc ex-gratia payments to employees on retirement.

(ii) Management decided to pay pension to those employees who have retired after completing 5 years of service in the organisation. Such employees will get pension of ₹ 20,000 per month. Earlier there was no such scheme of pension in the organisation.

Answer

As per **AS 5** 'Net Profit or Loss for the Period, Prior Period Items and Changes in Accounting Policies', the adoption of an accounting policy for events or transactions that differ in substance from previously occurring events or transactions, will not be considered as a change in accounting policy.

(i) Accordingly, introduction of a formal retirement gratuity scheme by an employer in place of ad hoc ex-gratia payments to employees on retirement is **not a change in an accounting policy**.

(ii) Similarly, the adoption of a new accounting policy for events or transactions which did not occur previously or that were immaterial will **not be treated as a change in an accounting policy**.

Question 15

The Accountant of Shiva Limited had sought your opinion with relevant reasons, whether the following transactions will be treated as change in Accounting Policies or change in Accounting Estimates for the year ended 31st March, 20X2. Please advise him in the following situations in accordance with provisions of AS 5:

(i) Provision for doubtful debts was created @3% till 31st March, 20X1. From the Financial year 20X1-20X2, the rate of provision has been changed to 4%.

(ii) During the year ended 31st March,20X2, the management has introduced a formal gratuity scheme in place of ad-hoc ex-gratia payments to employees on retirement.

(iii) Till 31st March, 20X1 the furniture was depreciated on straight line basis over a period of 5 year From the Financial year 20X1-20X2, the useful life of furniture has been changed to 3 years.

(iv) Management decided to pay pension to those employees who have retired after completing 5 years of service in the organization. Such employees will get pension of ₹ 20,000 per month. Earlier there was no such scheme of pension in the organization.

(v) During the year ended 31st March 20X2, there was change in cost formula in measuring the cost of inventories.

Answer

(i) In the given case, company has created 3% provision for doubtful debts till 31st March, 20X1. Subsequently from 1st April, 20X1, the company revised the estimates based on the changed circumstances and wants to create 4% provision. Thus, change in rate of provision of doubtful debt is **change in estimate** and is **not change in accounting policy**. This change will affect only current year.

(ii) As per AS 5 "Net Profit or Loss for the Period, Prior Period Items and Changes in Accounting Policies", the adoption of an accounting policy for events or transactions that differ in substance from previously occurring events or transactions, will not be considered as a change in accounting policy. Introduction of a formal retirement gratuity scheme by an employer in place of ad hoc ex-gratia payments to employees on retirement is a transaction which is substantially different from the previous transaction, will **neither be treated as change in an accounting policy nor change in accounting estimate**.

(iii) Change in useful life of furniture from 5 years to 3 years is a **change in accounting estimate** and is **not a change in accounting policy**.

(iv) Adoption of a new accounting policy for events or transactions which did not occur previously should not be treated as a change in an accounting policy. Hence the introduction of new pension scheme is **neither a change in accounting policy nor a change in accounting estimate**.

(v) Change in cost formula used in measurement of cost of inventories is **a change in accounting policy**.

Question 16

State whether the following items are examples of change in Accounting Policy/Change in Accounting Estimates/Extraordinary items/Prior period items/Ordinary Activity:

(i) Actual bad debts turning out to be more than provisions.

(ii) Change from Cost model to Revaluation model for measurement of carrying amount of PPE.

(iii) Government grant receivable as compensation for expenses incurred in previous accounting period.

(iv) Treating operating lease as finance lease.

(v) Capitalisation of borrowing cost on working capital.

(vi) Legislative changes having long term retrospective application.

(vii) Change in the method of depreciation from straight line to WDV.

(viii) Government grant becoming refundable.

(ix) Applying 10% depreciation instead of 15% on furniture.

(x) Change in useful life of fixed assets.

Answer

Classification of given items is as follows:

S.N.	Particulars	Remarks
(i)	Actual bad debts turning out to be more than provisions	Change in Accounting Estimates
(ii)	Change from Cost model to Revaluation model for measurement of carrying amount of PPE	Change in Accounting Policy
(iii)	Government grant receivable as compensation for expenses incurred in previous accounting period	Extra-ordinary Items

(iv)	Treating operating lease as finance lease	Prior-period Items
(v)	Capitalisation of borrowing cost on working capital	Prior-period Items (as interest on working capital loans is not eligible for capitalization)
(vi)	Legislative changes having long term retrospective application	Ordinary Activity require separate disclosure
(vii)	Change in the method of depreciation from straight line to WDV	Change in Accounting Estimates
(viii)	Government grant becoming refundable	Extra-ordinary Items
(ix)	Applying 10% depreciation instead of 15% on furniture	Prior-period Items
(x)	Change in useful life of fixed assets	Change in Accounting Estimates

Question 17

The accountant of Beryl Limited has asked you to identify the following items as – Change in Accounting Policies/Change in Accounting Estimates/Extraordinary Items/Prior period items/Ordinary Activity:

(i) Non-provision for salary already due in earlier year.

(ii) Attachment of the property of the enterprise.

(iii) Introduction of new pension scheme for employees.

(iv) Change in Reserve for obsolete inventory.

(v) Settlement of litigation case.

(vi) Actual Bad debts exceeds the provision.

(vii) Legislative changes having long term retrospective application.

(viii) Capitalisation of working capital loan interest.

(ix) Change from Cost Molde to Revaluation Model for measurement of carrying amount of PPE.

(x) Government sanctioned grant in current year for expenses incurred in previous accounting year.

Answer

(i) Prior Period item

(ii) Attachment of property of enterprise is an extraordinary item.

(iii) Introduction of new pension scheme for employees is not a change in accounting policy. It is an ordinary activity.

(iv) Change in provision for obsolete inventory is a change in accounting estimate.

(v) Litigation settlement is an ordinary activity but requires separate disclosure

(vi) Change in estimate

(vii) Ordinary activity requiring separate disclosure

(viii) Error (Prior period item)

(ix) Change in Accounting policy

(x) Extraordinary item

CHAPTER - 8
AS 7: Construction Contracts

Contract Revenue

Question 1

A contractor has entered into a contract with a municipal body for construction of a flyover. As per the contract terms, the contractor will receive an additional ₹ 2 Crore as incentive if the construction of the flyover were to be finished within a period of two years from the start of the contract. The contractor wants to recognize this revenue since in the past he has been able to meet similar targets very easily.

Explain whether the contractor's view-point is correct?

Answer

The contractor's view is **not entirely correct** in considering the variation as a part of contract revenue. There is an argument that he has been able to complete similar contracts within stipulated time. However, each contract needs to be assessed in isolation with respect to the specific challenges associated with the timing and uncertainty in completion.

Accordingly, the contractor needs to validate the assumptions with respect to the specific contract. Only after that assessment is done, the incentive of ₹ 2 crore may be included within the contract revenue.

Question 2

AB contactors enters into a contract on 1st January 20X1 with XY to construct a 5 storied building. Under the contract, AB is required to complete the construction in 3 years (i.e., by 31st December 20X3). The following information is relevant:

Fixed price (agreed) ₹ 5 crore

Material cost escalation (to the extent of 20% of increase in material cost)

Labour cost escalation (up to 30% of increase in minimum wages)

In case AB is able to complete the construction in less than 2 years and 10 months, it will be entitled for an additional incentive of ₹ 50 lakh. However, in case the construction is delayed beyond 3 years and 2 months, XY will charge a penalty of ₹ 20 lakh. At the start of the contract, AB has a reason to believe that construction will be completed in 2 years and 8 months. Assume that the construction was actually completed in 2 years 9 months.

Labour cost was originally estimated to be ₹ 1.20 crore (based on initial minimum wages). However, the costs have increased by 25% during the construction period.

Material costs have increased by 40% due to short-supply. The total increase in material cost due to the 40% escalation is ₹ 80 lakh.

You are required to suggest what should be the contract revenue in above case?

Assume that in year 20X2, XY has requested AB to increase the scope of the contract. An additional floor is required to be constructed and there is an increase in contract fee by ₹ 1 crore.

AB has incurred a cost of ₹ 20 lakh for getting the local authority approvals which it will be entitled to claim from XY in addition to the increase in the fixed fee.

Also measure the total contract revenue in this case.

Answer

Total Revenue after considering the escalation costs, claims and incentives:

	₹ in crore
Fixed Price	5.00
Incentive for early completion	0.50
Material costs recovery (to the extent of 20%)	0.40
Labour costs recovery (Actual increase is less than 30%) [1.20 crore x 25%]	0.30
	6.20
Add: Variation to the contract	1.00
Add: Claims recoverable from XY	0.20
Total Contract Revenue	**7.40**

Accounting of Construction Contracts [Profit in Contract]

Question 3

Uday Constructions undertake to construct a bridge for the Government of Uttar Pradesh. The construction commenced during the financial year ending 31.03.20X1 and is likely to be completed by the next financial year. The contract is for a fixed price of ₹ 12 crore with an escalation clause. You are given the following information for the year ended 31.03.20X1:

Cost incurred upto 31.03.20X1	₹ 4 crore
Further cost estimated to complete the contract	₹ 6 crore

Escalation in cost was by 5%. Hence, the contract price is also increased by 5%.

You are required to ascertain the stage of completion and compute the amount of revenue and profit to be recognized for the year as per AS 7.

Answer

Calculation of total contract revenue

	₹ in crore
Cost of construction of bridge incurred upto 31.3.20X1	4.00
Add: Estimated future cost	6.00
Total estimated cost of construction	10.00
Contract Price (12 crore x 1.05)	12.60

Stage of completion

Percentage of completion till date to total estimated cost of construction = (4/10) x 100 = 40%

Revenue and Profit to be recognized for the year ended 31st March, 20X1 as per AS 7

Proportion of total contract value recognized as revenue

= Contract price x percentage of completion = ₹ 12.60 crore x 40% = ₹ 5.04 crore

Profit for the year ended 31st March, 20X1 = ₹ 5.04 crore – ₹ 4 crore = 1.04 crore.

Question 4

The following data is provided for M/s. Raj Construction Co.

(i) Contract Price - ₹ 85 lakhs

(ii) Materials issued - ₹ 21 Lakhs out of which Materials costing ₹ 4 Lakhs is still lying unused at the end of the period.

(iii) Labour Expenses for workers engaged at site - ₹ 16 Lakhs (out of which ₹ 1 Lakh is still unpaid)

(iv) Specific Contract Costs - ₹ 5 Lakhs

(v) Sub-Contract Costs for work executed - ₹ 7 Lakhs, Advances paid to sub-contractors - ₹ 4 Lakhs

(vi) Further Cost estimated to be incurred to complete the contract - ₹ 35 Lakhs

You are required to compute the Percentage of Completion, the Contract Revenue and Cost to be recognized as per AS-7.

Answer

Computation of contract cost

	₹ Lakh	₹ Lakh
Material cost incurred on the contract (net of closing stock)	21– 4	17
Add: Labour cost incurred on the contract (including outstanding amount)		16
Specified contract cost	given	5
Sub-contract cost (advances should not be considered)		7
Cost incurred (till date)		45
Add: Further cost to be incurred		35
Total contract cost		**80**

Percentage of completion

= [Cost incurred till date/Estimated total cost] x 100 = [₹ 45,00,000/₹ 80,00,000] x 100 = 56.25%

Contract revenue and costs to be recognized:

Contract revenue (₹ 85,00,000 x 56.25%) = ₹ 47,81,250

Contract costs = ₹ 45,00,000

Question 5

Rajendra undertook a contract ₹ 20,00,000 on an arrangement that 80% of the value of work done, as certified by the architect of the contractee should be paid immediately and that the remaining 20% be retained until the Contract was completed.

In Year 1, the amounts expended were ₹ 8,60,000, the work was certified for ₹ 8,00,000 and 80% of this was paid as agreed. It was estimated that future expenditure to complete the Contract would be ₹ 10,00,000.

In Year 2, the amounts expended were ₹ 4,75,000. Three-fourth of the work under contract was certified as done by December 31st and 80% of this was received accordingly. It was estimated that future expenditure to complete the Contract would be ₹ 4,00,000.

In Year 3, the amounts expended were ₹ 3,10,000 and on June 30th, the whole Contract was completed.

Show how Contract revenue would be recognized in the P&L A/c of Mr. Rajendra each year.

Answer

Year 1

	₹
Actual expenditure	8,60,000
Future estimated expenditure	10,00,000
Total Estimated cost of construction	18,60,000
Degree of completion (8,60,000/18,60,000 x 100)	46.24% (rounded off)
Revenue recognized (20,00,000 x 46.24%)	**₹ 9,24,800**

Year 2

	₹
Actual expenditure	4,75,000
Expenditure incurred in Year 1	8,60,000
Total cost incurred so far	13,35,000
Future estimated expenditure	4,00,000
Total Estimated cost of construction	**17,35,000**
Degree of completion (13,35,000/17,35,000 x 100)	76.95% (rounded off)
Revenue to be recognized (cumulative) [20,00,000 x 76.95%]	15,39,000
Less: revenue recognized in Year 1	(9,24,800)
Revenue to be recognized in Year 2	**₹ 6,14,200**

Year 3

Whole contract got completed therefore total contract value less revenue recognized up to year 2 will be amount of revenue to be recognized in year 3 i.e. 20,00,000 – 15,39,000 (9,24,800 + 6,14,200) = ₹ 4,61,000.

Question 6

A construction contractor has a fixed price contract for ₹ 9,000 lakhs to build a bridge in 3 years' time frame. A summary of some of the financial data is as under: **(Amount ₹ in lakhs)**

	Year 1	Year 2	Year 3
Initial Amount for revenue agreed in Contract	9,000	9,000	9,000
Variation in Revenue (+)	–	200	200
Contracts costs incurred up to the reporting date	2,093	6,168*	8,100**
Estimated profit for whole contract	950	1,000	1,000

*Includes ₹ 100 lakhs for standard materials stored at the site to be used in year 3 to complete the work.

**Excludes ₹ 100 lakhs for standard material brought forward from year 2. The variation in cost and revenue in year 2 has been approved by customer.

Compute year wise amount of revenue, expenses, contract cost to complete and profit or loss to be recognized in the Statement of Profit and Loss as per AS-7 (revised).

Answer

The amounts of revenue, expenses and profit recognized in the statement of profit and loss in three years are computed below: **(Amount in ₹ lakhs)**

	Upto the reporting date	Recognized in previous years	Recognized in current year
Year 1			
Revenue (9,000 x 26%)	2,340	–	2,340
Expenses (8,050 x 26%)	2,093	–	2,093
Profit	**247**	–	**247**
Year 2			
Revenue (9,200 x 74%)	6,808	2,340	4,468
Expenses (8,200 x 74%)	6,068	2,093	3,975
Profit	**740**	**247**	**493**
Year 3			
Revenue (9,200 x 100%)	9,200	6,808	2,392
Expenses (8,200 x 100%)	8,200	6,068	2,132
Profit	**1,000**	**740**	**260**

Working Note:

		Year 1	Year 2	Year 3
Revenue after considering Variations		9,000	9,200	9,200
Less: Estimated profit for whole Contract		950	1,000	1,000
Estimated total cost of the contract	(A)	8,050	8,200	8,200
Actual cost incurred upto the reporting date	(B)	2,093	6,068	8,200
			(6,168 – 100)	(8,100 + 100)
Degree of completion	**(B/A)**	**26%**	**74%**	**100%**

Question 7

Mehta ltd. has undertaken bridge construction contract wherein, bridge will be constructed in 3 years. The details of the contracts are as follows:

(i) Initial contract revenue ₹ 900 crore

(ii) Initial contract cost ₹ 800 crore

₹ in crore

	Year I	Year II	Year III
Estimated contract cost	805		
Increase in contract revenue	–	20	
Estimated additional increase cost	–	15	
Contract cost incurred upto	161	584	820

At the end of year II, cost incurred includes ₹ 10 crore, for material stored at the sites to be used in year III to

complete the project.

State the amount of revenue, expenses and profit to be recognized in the Statement of Profit and Loss in these three years.

Answer

Statement showing analysis of the contract details **(₹ in crore)**

		Year I	Year II	Year III
(a)	Initial revenue agreed	900	900	900
(b)	Increase in contract revenue	–	20	20
(c)	**Total Contract Value**	**900**	**920**	**920**
(d)	Contract cost incurred upto reporting date	161	574*	820
(e)	Estimated cost to complete	644	246	–
(f)	**Total estimated contract**	**805**	**820 (805 + 15)**	**820**
(g)	Stage of Completion [(d/f) x 100)]	20% (161/805 x 100)	70% (574/820 x 100)	100% (820/820 x 100)

*Note: ₹ 10 crore, for material stored at the sites to be used in its 1st year. i.e. in IInd year it is already included so it will be deducted in II year only.

Statement showing amount of revenue, expenses and profit to be recognized in the Statement of Profit and Loss in three years **(₹ in crore)**

	Upto reporting date	Recognised in the prior year	Recognized in current year
Year I			
Revenue (900 x 20/100)	180	–	180
Expenses	161	–	161
Profit	**19**	–	**19**
Year II			
Revenue (920 x 70/100)	644	180	464
Expenses (820 x 70/100)	574	161	413
Profit	**70**	**19**	**51**
Year III			
Revenue	920	644	276
Expenses	820	574	246
Profit	**100**	**70**	**30**

Question 8

RT Enterprises has entered into a fixed price contract for construction of a tower with its customer. Initial tender price agreed is ₹ 220 crore. At the start of the contract, it is estimated that total costs to be incurred will be ₹ 200 crore. At the end of year 1, this estimate stands revised to ₹ 202 crore. Assume that the construction is expected to be completed in 3 years.

During year 2, the customer has requested for a variation in the contract. As a result of that, the total contract

value will increase by ₹ 5 crore and the costs will increase by ₹ 3 crore.

RT has decided to measure the stage of completion on the basis of the proportion of contract costs incurred to the total estimated contract costs. Contract costs incurred at the end of each year is:

Year 1: ₹ 52.52 crore

Year 2: ₹ 154.20 crore (including unused material of 2.5 crore)

Year 3: ₹ 205 crore.

You are required to calculate:

(a) Stage of completion for each year.

(b) Profit to be recognised for each year.

Answer

(a) Stage of completion = Costs incurred to date/Total estimated costs

Year 1: 52.52 crore/202 crore = 26%

Year 2: (154.20 crore – 2.50 crore)/205 crore = 74%

Year 3: 205 crore/205 crore = 100%

(b) Profit for the year **₹ in crore**

		Year 1	Year 2	Year 3
Contract Revenue	(1)	57.20 (220 x 26%)	109.30 (225 x 74% – 57.20)	58.50 (225 x 100% – 109.30 – 57.20)
Contract Cost	(2)	52.52	99.18 (154.2 – 2.5 – 52.52)	53.30 (205 – 99.18 – 52.52)
Contract Profit	**(1) – (2)**	**4.68**	**10.12**	**5.20**

Question 9

X Ltd. commenced a construction contract on 01.04.20X1. The fixed contract price agreed was ₹ 2,00,000. The company incurred ₹ 81,000 in 20X1-X2 for 45% work and received ₹ 79,000 as progress payment from the customer. The cost incurred in 20X2-X3 was ₹ 89,000 to complete the rest of work. Show the extract of the Profit and Loss Account and Customer's Account for the related years.

Answer

Profit & Loss Account

Year		₹'000	Year		₹'000
20X1-X2	To Cons. Costs (for 45% work)	81	20X1-X2	By Contract Price (45% of CP)	90
	To Net profit (for 45% work)	9			
		90			**90**
20X2-X3	To Cons. Costs (for 55% work)	89	20X2-X3	By Contract Price (55% of CP)	110
	To Net Profit (for 55% work)	21			
		110			**110**

Customer's Account

Year		₹'000	Year		₹'000
20X1-X2	To Contract Price	90	20X1-X2	By Bank	79
				By Balance c/d	11
		90			**90**
20X2-X3	To Balance b/d	11	20X2-X3	By Bank	121
	To Contract Price	110			
		121			**121**

Accounting of Construction Contracts [Loss in Contract]

Question 10

On 1st December, 20X1, Vishwakarma Construction Co. Ltd. undertook a contract to construct a building for ₹ 85 lakhs. On 31st March, 20X2, the company found that it had already spent ₹ 64,99,000 on the construction. Prudent estimate of additional cost for completion was ₹ 32,01,000. What amount should be recognized in the statement of profit and loss for the year ended 31st March, 20X2 as per provisions of Accounting Standard 7 (Revised)?

Answer

	₹
Cost incurred till 31st March, 20X2	64,99,000
Prudent estimate of additional cost for completion	32,01,000
Total cost of construction	97,00,000
Less: Contract price	(85,00,000)
Total foreseeable loss	**12,00,000**

According to AS 7, the amount of ₹ 12,00,000 is required to be recognised as an expense.

Contract work in progress = (₹ 64,99,000/97,00,000) x 100 = 67%

Proportion of total contract value recognised as turnover = 67% of ₹ 85,00,000 = **₹ 56,95,000**

The amount of expected loss will be split as under:

Particulars	Workings	Amount
Expected Loss	97,00,000 – 85,00,000	12,00,000
Contract revenue	67% of 85,00,000	56,95,000
Contract cost	Given	64,99,000
Actual loss	56,95,000 – 64,99,000	8,04,000
Amount of provision required [As per Para 35]	12,00,000 – 8,04,000	3,96,000

Question 11

Akar Ltd. Signed on 01.04.X1, a construction contract for ₹ 1,50,00,000. Following particulars are extracted in respect of contract, for the year ended 31.03.X2.

- Materials used ₹ 71,00,000

- Labour charges paid ₹ 36,00,000
- Hire charges of plant ₹ 10,00,000
- Other contract cost incurred ₹ 15,00,000
- Labour charges of ₹ 2,00,000 are still outstanding on 31.03.X2.
- It is estimated that by spending further ₹ 33,50,000 the work can be completed in all respect.

You are required to compute profit/loss for the year to be taken to Profit & Loss Account and any provision for foreseeable loss to be recognized as per AS 7.

Answer

Statement showing the amount of profit/loss to be taken to Profit and Loss Account and additional provision for the foreseeable loss as per AS 7

Cost of Construction		**₹**
Material used		71,00,000
Add: Labour Charges paid	36,00,000	
Outstanding on 31.03.20X2	2,00,000	38,00,000
Hire Charges of Plant		10,00,000
Other Contract cost incurred		15,00,000
Cost incurred upto 31.03.20X2		**1,34,00,000**
Add: Estimated future cost		33,50,000
Total Estimated cost of construction		**1,67,50,000**
Degree of completion (1,34,00,000/1,67,50,000 x 100)		80%
Revenue recognized (80% of 1,50,00,000)		1,20,00,000
Total foreseeable loss (1,67,50,000 – 1,50,00,000)		17,50,000
Less: Loss for the current year (1,34,00,000 – 1,20,00,000)		14,00,000
Loss to be provided for		**3,50,000**

Question 12

Grace Ltd., a firm of contractors provided the following information in respect of a contract for the year ended on 31st March,20X1:

Particulars	**(₹ in '000)**
Fixed Price Contract with an escalation clause	35,000
Work Certified	17,500
Work not Certified (includes ₹ 26,25,000 for materials issued, out of which material lying unused at the end of the period is ₹ 1,40,000)	3,815
Estimated further cost to completion	17,325
Progress Payment Received	14,000
Payment to be Received	4,900
Escalation in cost is by 8% and accordingly the contract price is increased by 8%	

From the above information, you are required to:

(i) Compute the contract revenue to be recognized.

(ii) Calculate Profit/Loss for the year ended 31st March,20X1 and additional provision for loss to be made, if any, for the year ended 31st March,20X1.

Answer

Calculation of total estimated cost of construction

	₹ in thousand
Work certified	17,500
Work not certified (3,815 thousand – 140 thousand)	3,675
Cost of Contract incurred till date	**21,175**
Add: Estimated future cost	17,325
Total estimated cost of construction	**38,500**
Contract Price (35,000 thousand x 1.08)	37,800

Stage of completion

Percentage of completion till date to total estimated cost of construction:

= [Cost of work completed till date/total estimated cost of the contract] x 100

= [₹ 21,175 thousand/₹ 38,500 thousand] x 100 = 55%

Revenue to be recognized for the year ended 31st March, 20X1

Proportion of total contract value recognized as revenue:

= Contract price x percentage of completion = ₹ 37,800 thousand x 55% = ₹ 20,790 thousand

Loss to be recognized for the year ended 31st March, 20X1

Loss for the year ended 31st March, 20X1

= Cost incurred till date – Revenue to be recognized for the year ended 31st March, 20X1

= ₹ 21,175 thousand – ₹ 20,790 thousand = ₹ 385 thousand

Provision for loss to be made at the end of 31st March, 20X1

	₹ in thousand
Total estimated cost of the contract	38,500
Less: Total revised contract price	(37,800)
Total estimated loss on the contract	700
Less: Loss recognized for the year ended 31st March, 20X1	(385)
Provision for loss to be made at the end of 31st March, 20X1	**315**

Question 13

A firm of contractors obtained a contract for construction of bridges across river Revathi. The following details are available in the records kept for the year ended 31st March, 20X1.

	(₹ in lakhs)
Total Contract Price	1,000
Work Certified for the cost incurred	500

Work yet not Certified for the cost incurred	105
Estimated further Cost to Completion	495
Progress Payment Received	400
Progress Payment to be Received	140

Applying the provisions of Accounting Standard 7 "Accounting for Construction Contracts" you are required to compute:

(i) Profit/Loss for the year ended 31st March, 20X1.

(ii) Contract work in progress as at end of financial year 20X0-X1.

(iii) Revenue to be recognized out of the total contract value.

(iv) Amount due from/to customers as at the year end.

Answer

(i) Amount of foreseeable loss

	(₹ in lakhs)
Total cost of construction (500 + 105 + 495)	1,100
Less: Total contract price	(1,000)
Total foreseeable loss to be recognized as expense	**100**

According AS 7, when it is probable that total contract costs will exceed total contract revenue, the expected loss should be recognized as an expense immediately.

(ii) Contract work-in-progress

	(₹ in lakhs)
Work certified	500
Work not certified	105
Contract work-in-progress	**605**

(iii) Proportion of total contract value recognized as revenue

	(₹ in lakhs)
55% of ₹ 1,000 lakhs	550

(iv) Gross Amount due from/to customers

= (Contract costs + Recognized profits – Recognized Losses) – (Progress payments received + Progress payments to be received)

= [605 + Nil – 100] – [400 + 140]

= [505 – 540]

Amount due to customers = ₹ 35 lakhs (The amount of ₹ 35 lakhs will be shown in the balance sheet as liability)

Question 14

Show Profit & Loss A/c (Extract) in books of a contractor in respect of the following data for Year 1.

Information for Year 1	**₹ in 000**

Contract price (Fixed)	600
Cost incurred to date	390
Estimated cost to complete	260

Assume that the contract period is 2 years. The contract is 100% completed by Year 2. Actual costs incurred is the same as total estimated costs to complete (Cost incurred to date plus estimated cost to complete).

Answer

			₹ in 000
	Year (1)	**Total up to Year 2 (2)**	**Year 2 (2) – (1)**
A. Cost incurred to date	(390)	(650)	(260)
B. Estimate of cost to completion	(260)	–	–
C. Estimated total cost	(650)	650	650
D. Degree of completion (A/C)	60%	100%	40%
E. Revenue Recognised			
(60% of 600)	360		
(100% of 600)		600	240
Total foreseeable loss (650 – 600)	50		
Less: Loss for current year (E – A)	(30)		
Expected loss to be recognised immediately	**(20)**		
Reversal of Loss provision in Year 2			**20**

Profit & Loss A/c (Year 1)

	₹		₹
To Construction costs	390	By Contract Price	360
To Provision for loss	20	By Net Loss	50
	410		**410**

Profit & Loss A/c (Year 2)

	₹		₹
To Construction costs	260	By Contract Price	240
		By Reversal of Provision for loss	20
	260		**260**

Question 15

X Ltd. commenced a construction contract on 01/04/X1. The contract price agreed was reimbursable cost plus 10%. The company incurred ₹ 1,00,000 in 20X1-X2, of which cost of ₹ 90,000 is reimbursable. The further non-reimbursable costs to be incurred to complete the contract are estimated at ₹ 5,000. The other costs to complete the contract could not be estimated reliably.

Prepare Profit & Loss A/c extract of X Ltd. to find out profit or loss for 20X1-X2.

Answer

Profit & Loss Account

Year		₹'000	Year		₹'000
20X1-X2	To Cons. Costs	100	20X1-X2	By Contract Price (90 + 9)	99
	To Provision for loss	5		By Net profit	6
		105			**105**

Accounting of Construction Contracts [Uncertainity in Outcome of Contract]

Question 16

PQ & Associates undertakes a construction contract the details of which are provided below:

Total Contract Value	₹ 40 lakh
Costs incurred to date	₹ 3 lakh
Estimated future costs of completion	₹ 30 lakh
Work completed	10%

The work has started some time ago and there is an uncertainty with respect to the outcome of the contract due to expected changes in regulations. PQ is certain that it would be able to recover the costs incurred to date.

Answer

In the given case, revenue and costs can only be recognised to the extent of the costs incurred and those which are expected to be recovered. Therefore, the profit & loss statement would appear as under:

Contract Revenue	₹ 3 lakh
Contract Costs	₹ 3 lakh
Contract Profit	**Nil**

When the uncertainties that prevented the outcome of the contract being estimated reliably cease to exist, revenue and expenses associated with the construction contract should be recognised by the percentage completion method.

Combining and Segmenting of Construction Contracts

Question 17

XYZ construction Ltd, a construction company undertakes the construction of an industrial complex. It has separate proposals raised for each unit to be constructed in the industrial complex. Since each unit is subject to separate negotiation, he is able to identify the costs and revenues attributable to each unit. Should XYZ Ltd. treat construction of each unit as a separate construction contract according to AS 7?

Answer

As per **AS 7** 'Construction Contracts', when a contract covers a number of assets, the construction of each asset should be treated as a separate construction contract when:

(a) Separate proposals have been submitted for each asset;

(b) Each asset has been subject to separate negotiation and the contractor and customer have been able to

accept or reject that part of the contract relating to each asset; and

(c) The costs and revenues of each asset can be identified.

Therefore, XYZ Ltd. is required to treat construction of **each unit as a separate construction contract**.

Question 18

AP Ltd., a construction contractor, undertakes the construction of commercial complex for Kay Ltd. AP Ltd. submitted separate proposals for each of 3 units of commercial complex. A single agreement is entered into between the two parties. The agreement lays down the value of each of the 3 units, i.e. ₹ 50 Lakh ₹ 60 Lakh and ₹ 75 Lakh respectively. Agreement also lays down the completion time for each unit.

Comment, with reference to AS-7, whether AP Ltd., should treat it as a single contract or three separate contracts.

Answer

As per **AS 7** 'Construction Contracts', when a contract covers a number of assets, the construction of each asset should be treated as a separate construction contract when:

(a) Separate proposals have been submitted for each asset;

(b) Each asset has been subject to separate negotiation and the contractor and customer have been able to accept or reject that part of the contract relating to each asset; and

(c) The costs and revenues of each asset can be identified.

Therefore, AP Ltd. is required to treat construction of each unit as a **separate construction contract** as the above-mentioned conditions of AS 7 are fulfilled in the given case.

Question 19

Entity XY contracts with AB to construct 2 residential buildings in the same premises. The construction of both buildings will begin simultaneously. Building material, construction work, and other related activities will go on in parallel to provide cost savings to entity XY. This also helps AB achieve a timely completion of the two buildings and negotiate a consolidated price for the two buildings.

Does construction of both buildings is considered as single contract or separate contracts?

Answer

The above question suggests that there is a single contract negotiated to construct two buildings that are closely interrelated and interdependent in terms of their ultimate purpose and use. Therefore, this represents a **Single Construction Contract**.

CHAPTER - 9
AS 9: Revenue Recognition

Amount of Revenue to be Recognised

Question 1

Zigato runs a food-delivery business. As per the arrangement, Zigato allows customers to order food from local restaurants and is responsible the delivery of the food within stipulated time. During a particular year, it collects the money on orders made online as under:

Total price for the food item	₹ 200 lakhs
Delivery charges	₹ 60 lakhs
GST	₹ 40 lakhs
Total	₹ 300 lakhs

Zigato has received ₹ 300 lakhs for the above orders from customers and the orders were delivered to the customer in stipulated time.

How much revenue should be recognised by restaurants and how much revenue should be recognised by Zigato for the year?

Answer

The risks and rewards associated with the food item are not with Zigato. When a customer has ordered a food item, whether the item will be prepared or not is the responsibility of the restaurant and not Zigato. Similarly, the responsibility to deliver the food item is with Zigato and the restaurant does not undertake responsibility for the same.

Therefore, the restaurant undertakes the principal's responsibility to prepare the food and ensure its quality. Zigato, on the other hand, is only responsible to deliver the food. Thus, Zigato is acting as an agent. Hence, it can only recognize revenue relating to that activity (which it does in the ordinary course of business). The **revenue for Zigato, therefore, is ₹ 60 lakhs**, whereas, the revenue **for restaurants will be ₹ 200 lakhs**.

It may be noted that the **GST of ₹ 40 lakhs** is a liability payable to the Government (third party), hence it does **not form part of revenue**.

Timing When Revenue to be Recognised [Sale of Goods]

Question 2

GH manufactures and sells televisions. The televisions are shipped to the customer by sea. In order to transfer risk related to the shipment of the televisions, GH also gets an insurance coverage for the goods while they are in transit from the factory to customer's location.

The insurance policy will reimburse GH for the value of the goods in the event of loss or damage arising anytime up to these goods reaching customer's location. The legal title passes when the goods arrive at the customer's premises one month later.

When should Entity GH recognize revenue in its books?

Answer

GH should recognize revenue for the sale when the goods **arrive at the customer's premises**. GH has not transferred the televisions significant risks and rewards of ownership to the customer when the goods depart from the factory. This is evidenced by the fact that any insurance proceeds received from the goods damage or destruction will be repaid to GH. Further, the legal title does not pass until the goods arrive at the customer's premises.

Question 3

A manufacturing company has the following stages of production and sale in manufacturing fine paper rolls:

Date	Activity	Cost to Date (₹)	Net Realizable Value (₹)
15.1.20X1	Raw Material	1,00,000	80,000
20.1.20X1	Pulp (WIP 1)	1,20,000	1,20,000
27.1.20X1	Rough & thick paper (WIP 2)	1,50,000	1,80,000
15.2.20X1	Fine Paper Rolls	1,80,000	3,50,000
20.2.20X1	Ready for sale	1,80,000	3,50,000
15.3.20X1	Sale agreed and invoice raised	2,00,000	3,50,000
02.4.20X1	Delivered and paid for	2,00,000	3,50,000

Explain the stage on which you think revenue will be generated and calculate how much would be net profit for year ending 31.3.X1 on this product as per AS 9.

Answer

According to **AS 9** "Revenue Recognition", in a transaction involving the sale of goods, performance should be regarded as being achieved when the following conditions have been fulfilled:

(i) the seller of goods has transferred to the buyer the property in the goods for a price or all significant risks and rewards of ownership have been transferred to the buyer and the seller retains no effective control of the goods transferred to a degree usually associated with ownership; and

(ii) no significant uncertainty exists regarding the amount of the consideration that will be derived from the sale of the goods.

Thus, sales will be recognized only when following two conditions are satisfied:

(i) The sale value is fixed and determinable.

(ii) Property of the goods is transferred to the customer.

Both these conditions are **satisfied only on 15.3.20X1** when sales are agreed upon at a price and goods are allocated for delivery purpose through invoice. The amount of **net profit ₹ 1,50,000** (3,50,000 – 2,00,000) would be recognized in the books for the year ending 31st March, 20X1.

Question 4

AB sells goods to CD on 1st March 20X1. CD is having significant cash flows issues since last few months. However, it is trying to raise funding through bank loan to be able to run its operations in future. On 5th of May 20X1, CD is able to seek the funding and is expected to be able to pay for the goods in future.

At the time of sale, it is difficult for AB to ascertain whether it will be able to collect the amount from CD due to poor financial conditions.

Explain how the recognition of revenue be done by AB?

Answer

In the above case, AB should not recognise any revenue on 1st of March and until that **uncertainty of recovery** is clear. **Hence**, the revenue can only be **recognised by AB on 5th of May 20X1**. The inventory transferred to CD until that date is required to be shown as its own inventory [inventory lying with customers].

Question 5

AB sells goods to CD on 1st January 20X1 for ₹ 2 lakhs. After the sale was made, CD is having significant cash flows issues. It is trying to raise funding through bank loan to be able to run its operations in future. However, it is unable to do so and has gone under liquidation on 15th of March 20X1.

At the time of sale, there was no reason for AB to believe that it will not be able to collect the amount from CD in future.

Explain how the recognition of revenue be done by AB for the year ended 31st March 20X1?

Answer

In the above case, at the time of sale, it was not unreasonable for AB to expect ultimate collection from CD. Therefore, AB should **recognise the revenue of ₹ 2 lakhs on 1st of January 20X1** and recognise a receivable for the same amount.

Later, since **CD went into liquidation**, AB should **write off the receivables** and book a loss in his books.

Accounting in the books of AB

Date	Particulars		Debit (₹)	Credit (₹)
1.1.20X1	CD A/c (Receivables)	Dr.	2 lakhs	
	To Revenue A/c			2 lakhs
	(Being goods sold to CD Ltd)			
15.3.20X1	Bad Debts A/c	Dr.	2 lakhs	
	To CD A/c (Receivables)			2 lakhs
	(Being CD receivables written off due to its liquidation)			

Question 6

Raj Ltd. entered into an agreement with Heena Ltd. to dispatch goods valuing ₹ 5,00,000 every month for next 6 months on receipt of entire payment. Heena Ltd. accordingly made the entire payment of ₹ 30,00,000 and Raj Ltd. started dispatching the goods. In fourth month, due to fire in premise of Heena Ltd., Heena Ltd. requested to Raj Ltd. not to dispatch goods worth ₹ 15,00,000 ready for dispatch. Raj Ltd. accounted ₹ 15,00,000 as sales and transferred the balance to Advance received against Sales account.

Comment upon the above treatment by Raj Ltd. with reference to the provision of AS-9.

Answer

As per **AS 9** "Revenue Recognition", in a transaction involving the sale of goods, performance should be regarded as being achieved when the following conditions are fulfilled:

(i) the seller of goods has transferred to the buyer the property in the goods for a price or all significant risks and rewards of ownership have been transferred to the buyer and the seller retains no effective control of the goods transferred to a degree usually associated with ownership; and

(ii) no significant uncertainty exists regarding the amount of the consideration that will be derived from the sale of the goods.

In the given case, transfer of property in goods results in or coincides with the transfer of significant risks and rewards of ownership to the buyer. Also, the sale price has been recovered by the seller. Hence, the sale is complete but delivery has been postponed at buyer's request. Raj Ltd. should **recognize the entire sale of ₹ 30,00,000** (₹ 5,00,000 x 6) and **no part of the same is to be treated as Advance Received against Sales**.

Question 7

Shipra Ltd., has been successful jewellers for the past 100 years and sales are against cash only (returns are negligible). The company also diversified into apparels. A young senior executive was put in charge of Apparels business and sales increased 5 times. One of the conditions for sales is that dealers can return the unsold stocks within one month of the end of season. Sales return for the year was 25% of sales. Suggest a suitable Revenue Recognition Policy, with reference to AS 9.

Answer

As per **AS 9** "Revenue recognition", revenue recognition is mainly concerned with the timing of recognition of revenue in statement of profit and loss of an enterprise. The amount of revenue arising on a transaction is usually determined by the agreement between the parties involved in the transaction. When uncertainties exist regarding the determination of the amount, or its associated costs, these uncertainties may influence the timing of revenue recognition.

Effect of Uncertainty- In the case of the **jewellery business** the company is selling for cash and returns are negligible. Hence, **revenue can be recognized on sales**. On the other hand, in **Apparels Industry**, the dealers have a right to return the unsold goods within one month of the end of the season. In this case, the company is bearing the risk of sales return and therefore, the company should **not recognize the revenue to the extent of 25% of its sales**. The company may disclose suitable revenue recognition policy in its financial statements separately for both Jewellery and Apparels business.

Question 8

A Limited sells goods with unlimited right of return from its customers. The following pattern has been observed in the Return of Sales:

Time frame of Return from date of purchase	% of Cumulative Sales
Between 0 - 1 month	6%
Between 1 - 2 months	7%
Between 2 - 3 months	8%

The Company has made Sales of ₹ 36 Lakhs in the month of January, ₹ 48 Lakhs in the month of February and of ₹ 60 Lakhs in the month of March. The Total Sales for the Financial Year have been ₹ 400 Lakhs and the Cost of Sales was ₹ 320 Lakhs. You are required to determine the amount of Provision to be made and Revenue to be recognized for the year ended 31st March.

Answer

Amount of provision

The goods are sold with a right to return. The existence of such right gives rise to a present obligation on the company as per **AS 29,** 'Provisions, Contingent Liabilities and Contingent Assets'. According to the standard, a provision should be created on the Balance sheet date, for sales returns after the Balance Sheet date, at the best estimate of the loss expected, along with any estimated incremental cost that would be necessary to resell the goods expected to be returned.

Sales during	Sales value (₹ in lacs)	Sales value (cumulative) ₹ (in lacs)	Likely returns (%)	Likely returns (₹ in lacs)	Provision @ 20% (₹ in lacs) (Refer W.N.)
March	60	60	6%	3.60	0.720
February	48	108	7%	7.56	1.512
January	36	144	8%	11.52	2.304
Total				**22.68**	**4.536**

Revenue to be recognized

Revenue in respect of sale of goods is recognized fully at the time of sale itself assuming that the company has complied with the conditions stated in AS 9 relating to recognition of revenue in the case of sale of goods. As per **AS 9**, in a transaction involving the sale of goods, performance should be regarded as being achieved when the following conditions have been fulfilled:

(i) Seller of goods has transferred to the buyer the property in the goods for a price or all significant risks and rewards of ownership have been transferred to the buyer and the seller retains no effective control of the goods transferred to a degree usually associated with ownership; and

(ii) No significant uncertainty exists regarding the amount of the consideration that will be derived from the sale of the goods. AS 9 also provides that in case of retail sales offering a guarantee of 'money back, if not completely satisfied, it may be appropriate to recognize the sale but to make a suitable provision for returns based on previous experiences.

Therefore, sale of ₹ 36 lakhs, ₹ 48 lakhs and ₹ 60 lakhs made in the months of January, February and March will be recognized at full value. Thus, **total revenue to be recognized for ₹ 400 lakhs for the year**.

Working Note:

Calculation of Profit % on sales

	(₹ in lacs)
Sales for the year	400
Less: Cost of sales	(320)
Profit	**80**
Profit mark up on sales [(80/400) x 100]	**20%**

Question 9

When will the revenue be recognized in the case of inter divisional transfers?

Answer

The Accounting Standard Board of lCAl has come up with an announcement in the earlier years wherein it

clarified that the inter-divisional transfers/sales are not revenue as per **AS 9** "Revenue Recognition". According to it, in case of inter-divisional transfers, risks and rewards remain within the enterprise and also there is no consideration from the point of view of the enterprise as a whole. Therefore, the recognition criteria for revenue recognition are also not fulfilled in respect of inter-divisional transfers. Hence, **no revenue is recognized in the case of inter-divisional transfers.**

Timing When Revenue to be Recognised [Rendering of Services]

Question 10

How will you recognize revenue in the following cases:

1. Installation Fees;
2. Advertising and insurance agency commissions;
3. Subscriptions for publications.

Answer

Installation Fees	In cases where installation fees are other than incidental to the sale of a product, they should be recognized as revenue only when the **equipment is installed and accepted** by the customer.
Advertising and insurance agency commissions	Revenue should be recognized when the service is completed. For advertising agencies, media commissions will normally be recognized when the related advertisement or commercial **appears before the public** and the necessary intimation is received by the agency, as opposed to production commission, which will be recognized when the project is completed. Insurance agency commissions should be recognized on the **effective commencement or renewal dates** of the related policies.
Subscription for publications	Revenue received or billed should be deferred and recognized either **on a straight-line basis over time or**, where the items delivered vary in value from period to period, revenue should be **based on the sales value** of the item delivered in relation to the total sales value of all items covered by the subscription.

Question 11

Old Era Publication Publishes a popular monthly magazine on 15th of every month. The publication sells the advertising space on terms of 90% payable in advance and the balance 10% payable within 30 days of release of the publication. The space for March 20X1 issue of the magazine was sold in the month of February, 20X1. The magazine was published as per schedule on 15th of the month. The amount of ₹ 2,70,000 has been received upto 31st March, 20X1 and ₹ 30,000 was received on 10th April, 20X1 for advertisement published in the March issue of the publication.

Please advise the accountant the amount of revenue to be recognized in the context of the provisions of AS 9 'Revenue Recognition' during the year ending on 31st March, 20X1.

Answer

Definition: As per AS 9 'Revenue Recognition', in a transaction involving the rendering of services, performance should be measured either under the completed service contract method or under the

proportionate completion method, whichever relates the revenue to the work accomplished.

Analysis of given case: In the given case, income accrues when the related advertisement appears before public. The advertisement service would be considered as performed on the day the advertisement is appeared for public and hence revenue is recognized on that date. In this case, **it is 15.03.20X1**, the date of publication of the magazine.

Accounting treatment for given situation: Hence, ₹ 3,00,000 (₹ 2,70,000 + ₹ 30,000) is recognized as income in March, 20X1. The terms of payment are not relevant for considering the date on which revenue is to be recognized. ₹ 30,000 is treated as amount due from advertisers as on 31.03.20X1 and ₹ 2,70,000 will be treated as payment received against the sale.

Timing When Revenue to be Recognised [Dividend, Interest, Royalty Income]

Question 12

During the year ended 31st March 20X1, ZX Enterprises has recognized ₹ 100 lakhs on accrual basis income from dividend on units of mutual funds held by it. The dividends on mutual funds were declared on 15th June, 20X1. The dividend was proposed on 10th April, 20X1.

Whether the above treatment is as per the relevant Accounting Standard?

Answer

Dividends from investments in shares are not recognized in the statement of profit and loss until a right to receive payment is established. In the given situation, the dividend is proposed on 10th April, 20X1, while it is declared on 15th June, 20X1. Thus, **right** to receive payment of dividend gets **established on 15th June, 20X1**.

The recognition of ₹ 100 lakhs on accrual basis in the financial year 20X0-20X1 is **not correct** as per **AS 9** 'Revenue Recognition'.

Question 13

Ruby Ltd. sold goods through its agent. As per terms of sales, consideration is payable within one month. In the event of delay in payment, interest is chargeable @ 10% p.a. from the agent. The company has not realized interest from the agent in the past. For the year ended 31st March, 20X1 interest due from agent (because of delay in payment) amounts to ₹ 5 lakhs. The accountant of Ruby Ltd. booked ₹ 5 lakhs as interest income in the year ended 31st March, 20X1.

Examine and discuss the contention of the accountant with reference to AS 9 "Revenue Recognition".

Answer

As per **AS 9** "Revenue Recognition", "where the ability to assess the ultimate collection with reasonable certainty is lacking at the time of raising any claim, the revenue recognition is postponed to the extent of uncertainty involved. In such cases, the revenue is recognized only when it is reasonably certain that the ultimate collection will be made". In this case, the company never realized interest for the delayed payments made by the agent. Hence, based on the past experience, the realization of interest for the delayed payments by the agent is **very much uncertain**. The interest should be recognized only if the ultimate collection is certain. Therefore, the **interest income of ₹ 5 lakhs should not be recognized** in the books for the year ended 31st March, 20X1. Thus, the contention of **accountant is incorrect**. However, if the agents have agreed to pay

the amount of interest and there is an element of certainty associated with these receipts, the accountant is correct regarding booking of ₹ 5 lakhs as interest amount.

Question 14

PQR Ltd., sells agriculture products to dealers. One of the conditions of sale is that interest is at the rate of 2% p.m., for delayed payments. Percentage of interest recovery is only 10% on such overdue outstanding due to various reasons. During the year 20X1-X2 the company wants to recognize the entire interest receivable. Do you agree?

Answer

As per **AS 9** 'Revenue Recognition', where the ability to assess the ultimate collection with reasonable certainty is lacking at the time of raising any claim, e.g. for escalation of price, export incentives, interest etc., revenue recognition is **postponed to the extent of uncertainty involved**. In such cases, it may be appropriate to recognise revenue only when it is reasonably certain that the ultimate collection will be made. Where there is no uncertainty as to ultimate collection, revenue is recognised at the time of sale or rendering of service even though payments are made by instalments.

Thus, PQR Ltd. cannot recognise the interest amount unless the company actually receives it. Since, only 10% rate of recovery on overdue outstanding is certain based on previous record. Hence, the company is **advised to recognise interest income of only 10% and remaining 90% on receipt basis**.

Question 15

Y Ltd., used certain resources of X Ltd. In return X Ltd. received ₹ 10 lakhs and ₹ 15 lakhs as interest and royalties respective from Y Ltd. during the year 20X1-X2. You are required to state whether and on what basis these revenues can be recognized by X Ltd.

Answer

As per **AS 9** on Revenue Recognition, revenue arising from the use by others of enterprise resources yielding interest and royalties should only be recognized when no significant uncertainty as to measurability or collectability exists. These revenues are recognized on the following bases:

(i) Interest: On **time proportion** basis taking into account the amount outstanding and the rate applicable. Therefore, X Ltd. should recognize interest revenue of ₹ 10 Lakhs.

(ii) Royalties: On an **accrual basis** in accordance with the terms of the relevant agreement. Therefore, X Ltd. should recognize royalty revenue of ₹ 15 Lakhs.

Question 16

An infrastructure company has constructed a mall and entered into agreement with tenants towards license fee (monthly rental) and variable license fee, a percentage on the turnover of the tenant (on an annual basis). Chief Financial Officer of the company wants to account/recognize license fee as income for 12 months during current year and variable license fee as income during next year, since invoice is raised in the subsequent year. Comment whether the treatment desired by the CFO is correct or not.

Answer

AS 9 on Revenue Recognition, is mainly concerned with the timing of recognition of revenue in the Statement of Profit and Loss of an enterprise. The amount of revenue arising on a transaction is usually determined by agreement between the parties involved in the transaction. However, when uncertainties exist regarding the determination of the amount, or its associated costs, these uncertainties may influence the timing of revenue recognition. Further, as per accrual concept, revenue should be recognized as and when it is accrued i.e. recorded in the financial statements of the periods to which they relate. In the present case, monthly rental towards license fee and variable license fee as a percentage on the turnover of the tenant (though on annual basis) is the income related to common financial year.

Therefore, recognizing the fee as revenue **cannot be deferred** simply because the invoice is raised in subsequent period. Hence **it should be recognized in the financial year of accrual**. Therefore, the contention of the Chief Financial Officer is **not in accordance with AS 9**.

Timing When Revenue to be Recognised [Increase in Sales Price Retrospectively]

Question 17

The Board of Directors decided on 31.3.20X2 to increase the sale price of certain items retrospectively from 1st January, 20X2. In view of this price revision with effect from 1st January 20X2, the company has to receive ₹ 15 lakhs from its customers in respect of sales made from 1st January, 20X2 to 31st March, 20X2.

Accountant cannot make up his mind whether to include ₹ 15 lakhs in the sales for 20X1-20X2. Advise.

Answer

Price revision was effected during the current accounting period 20X1-20X2. As a result, the company stands to receive ₹ 15 lakhs from its customers in respect of sales made from 1st January, 20X2 to 31st March, 20X2. If the company is able to assess the ultimate collection with reasonable certainty, only then additional revenue arising out of the said price revision may be recognized in 20X1-20X2.

If the company is **not reasonably certain** on ultimate collection ₹ 15 lakhs from its customers in respect of sales made from 1st January, 20X2 to 31st March, 20X2, it shall **postpone recognition** of revenue and disclose it in financial statements for year 20X1-20X2 as per AS 1.

Sale with Repurchase Agreement

Question 18

Mithya Ltd. entered into agreement with Satya Ltd. for sale of goods costing ₹ 8 lakh at a profit of 20% on cost. The sale transaction took place on 1st February, 20X2. On the same day, Satya Ltd. entered into another agreement with Mithya Ltd. to resell the same goods at ₹ 10.80 lakh on 1st August, 20X2. State the treatment of this transaction in the financial statements of Mithya Ltd. as on 31.03.20X2. The pre-determined re-selling price covers the holding cost of Satya Ltd. Give the Journal Entries as on 31.03.20X2 in the books of Mithya Ltd.

Answer

In the given case, Mithya Ltd. concurrently agreed to repurchase the same goods from Satya Ltd. on 1st February, 20X2. Also the re-selling price is pre-determined and covers purchasing and holding costs of Satya

Ltd. Hence, the transaction between Mithya Ltd. and Satya Ltd. on 1st February, 20X2 should be accounted for as financing rather than sale. The resulting cash flow of ₹ 9.60 lakh received by Mithya Ltd., **cannot be considered as revenue as per AS 9 "Revenue Recognition"**.

Journal Entries in the books of Mithya Ltd.

Date	Particulars		Debit (₹)	Credit (₹)
1.2.20X2	Bank Account A/c	Dr.	9.60	
	To Loan from Satya Ltd.			9.60
	((Being loan received from Satya Ltd. amounting [₹ 8 lakh + 20% of ₹ 8 lakh = 9.60 lakh] under sale and re-purchase agreement)			
31.3.20X2	Financing Charges A/c	Dr.	.40	
	To Loan from Satya Ltd.			.40
	(Financing charges for 2 months) [(10.80 – 9.60) x 2/6]			
31.3.20X2	Profit and Loss A/c	Dr.	.40	
	To Financing Charges A/c			.40
	(Being amount of finance charges transferred to P&L Account)			

Mixed Topics

Question 19

Indicate in each case whether revenue can be recognized and when it will be recognized as per AS-9.

(i) Delivery is delayed at buyer's request but buyer takes title and accepts billing.

(ii) Instalment Sales.

(iii) Trade discounts and volume rebates.

(iv) Insurance agency commission for rendering services.

(v) Advertising commission.

Answer

(i) **Delivery is delayed at buyer's request and buyer takes title and accepts billing:** Revenue should be **recognized notwithstanding that physical delivery has not been completed** so long as there is every expectation that delivery will be made. However, the item must be on hand, identified and ready for delivery to the buyer at the time the sale is recognized rather than there being simply an intention to acquire or manufacture the goods in time for delivery.

(ii) **Instalment sales:** When the consideration is receivable in instalments, **revenue** attributable to the **sales price exclusive of interest** should be recognized at the **date of sale**. The interest element should be recognized as revenue, proportionately to the unpaid balance due to the seller.

(iii) **Trade discounts and volume rebates:** Trade discounts and volume rebates received are not encompassed within the definition of revenue, since they represent a reduction of cost. Trade discounts and volume rebates given should be **deducted** in determining revenue.

(iv) **Insurance agency commissions for rendering services:** Insurance agency commissions should be recognized on the **effective commencement or renewal dates** of the related policies.

(v) **Advertising commission:** Revenue should be recognized when the service is completed. For advertising agencies, media commissions will normally be recognized when the related advertisement or

commercial **appears before the public** and the necessary intimation is received by the agency, as opposed to production commission, which will be recognized when the project is completed.

Question 20

For the year ended 31st March 20X1, KY Enterprises has entered into the following transactions.

On 31st March 20X1, KY supplied two machines to its customer ST. Both machines were accepted by ST on 31st March 20X1. Machine 1 was a machine that was routinely supplied by KY to many customers and the installation process was very simple.

Machine 1 was installed on 2nd April 20X1 by ST's employees.

Machine 2 being more specialised in nature requires an installation process which is more complicated, requiring significant assistance from KY. Machine 2 was installed between 2nd and 5th April 20X1.

Details of costs and sales prices are as follows:

	Machine 1	**Machine 2**
Sale Price	3,20,000	3,00,000
Cost of Production	1,60,000	1,50,000
Installation Fee	Nil	10,000

How should above transactions be recognized by KY Enterprises for the year ended 31st March 20X1?

Answer

Machine 1: As installation process is simple, **revenue** from Machine 1 will be recognized **on 31st March 20X1**.

	₹
Revenue (Machine 1)	3,20,000
Cost of Goods Sold	(1,60,000)
Profit during the period	**1,60,000**

Since the question specifies that the machine is already accepted by ST on 31st March 20X1, the revenue arising from sale of the machine needs to be recognized for the year ending 31st March 20X1. This is because acceptance of the machine indicates that risks and rewards pursuant to the ownership are transferred to ST.

Machine 2: Installation process for Machine 2 is more **complicated**, requiring significant assistance from KY Ltd. **However**, question specifies that the **machine is already accepted** by ST **on 31st March 20X1**. Assuming that there is no further approval/acceptance required from the buyer for the Machine sold, **revenue from sale of Machine 2 can be recognized for the year ending 31st March 20X1**.

	₹
Revenue (Machine 2)	3,00,000
Cost of Goods Sold	(1,50,000)
Profit during the period	**1,50,000**

However, installation fee which is for rendering installation services cannot be recognized until the installation is complete. Since the machine is pending installation, the revenue in respect of **installation charges ₹ 10,000 needs to be recognized on 5th April 20X1 once the installation process gets completed**.

Question 21

The following information of Meghna Ltd. is provided:

(i) Goods of ₹ 60,000 were sold on 20.3.20X2 but at the request of the buyer these were delivered on 10.4.20X2.

(ii) On 15.1.20X2 goods of ₹ 1,50,000 were sent on consignment basis of which 20% of the goods unsold are lying with the consignee as on 31.3.20X2.

(iii) ₹ 1,20,000 worth of goods were sold on approval basis on 1.12.20X1. The period of approval was 3 months after which they were considered sold. Buyer sent approval for 75% goods up to 31.1.20X2 and no approval or disapproval received for the remaining goods till 31.3.20X2.

(iv) Apart from the above, the company has made cash sales of ₹ 7,80,000 (gross). Trade discount of 5% was allowed on the cash sales.

You are required to advise the accountant of Meghna Ltd., with valid reasons, the amount to be recognized as revenue in above cases in the context of AS 9.

Answer

As per **AS 9** 'Revenue Recognition', in a transaction involving the sale of goods, performance should be regarded as being achieved when the following conditions are fulfilled:

(i) the seller of goods has transferred to the buyer the property in the goods for a price or all significant risks and rewards of ownership have been transferred to the buyer and the seller retains no effective control of the goods transferred to a degree usually associated with ownership; and

(ii) no significant uncertainty exists regarding the amount of the consideration that will be derived from the sale of the goods.

Case (i)	The sale is complete but delivery has been postponed at buyer's request. The entity should recognize the entire sale of **₹ 60,000** for the year ended 31st March, 20X2.
Case (ii)	20% goods lying unsold with consignee should be treated as closing inventory and sales should be recognized for **₹ 1,20,000** (80% of ₹ 1,50,000). In case of consignment sale revenue should not be recognized until the goods are sold to a third party.
Case (iii)	In case of goods sold on approval basis, revenue should not be recognized until the goods have been formally accepted by the buyer or the buyer has done an act adopting the transaction or the time period for rejection has elapsed or where no time has been fixed, a reasonable time has elapsed. Therefore, **revenue** should be recognized for the **₹ 90,000** upon receipt of approval **on 31.02.20X1 and** for the balance **₹ 30,000 on 01.03.20X1** as the time period for rejecting the goods had expired.
Case (iv)	Trade discounts given should be **deducted** in determining revenue. Thus, ₹ 39,000 should be deducted from the amount of turnover of ₹ 7,80,000 for the purpose of recognition of revenue. Thus, **revenue** should be **₹ 7,41,000.**

Question 22

Following information of BS Products Ltd. is given:

(i) Goods of ₹ 2,00,000 sold to Den Ltd. on 20.03.20X2 but at the request of the buyer these were delivered on 10.04.20X2.

(ii) On 15-01-20X2 goods of ₹ 3,00,000 were sent on consignment basis, of which 20% of the goods unsold are lying with the consignee as on 31.03.20X2.

(iii) ₹ 4,00,000 worth of goods were sold on approval basis on 01.12.20X1. The period of approval was 3 months after which they were considered as sold. Buyer sent approval for 75% goods upto 31.01.20X2 and no approval or disapproval received for the remaining goods till 31.03.20X2.

(iv) Apart from the above, BS Products Ltd. sells goods to dealers also. One of the conditions of sale is that interest is payable @ 2% p.m. for delayed payments by dealers. The percentage of interest recovery is only 10% i.e. ₹ 50,000 on such overdue outstanding due to various reasons. During the year 20X1-X2, the company wants to recognize the entire interest receivable of ₹ 60,000.

You are required to advise the accountant of BS Products Ltd., with valid reasons, the amount to be recognized as revenue in above cases in the context of AS 9 and also determine the total revenue to be recognized for the year ending 31.03.20X2.

Answer

As per **AS 9** 'Revenue Recognition', in a transaction involving the sale of goods, performance should be regarded as being achieved when the following conditions are fulfilled:

(i) the seller of goods has transferred to the buyer the property in the goods for a price or all significant risks and rewards of ownership have been transferred to the buyer and the seller retains no effective control of the goods transferred to a degree usually associated with ownership; and

(ii) no significant uncertainty exists regarding the amount of the consideration that will be derived from the sale of the goods.

Case (i)	The sale is complete, but delivery has been postponed at buyer's request. BS Products Ltd. should recognize the entire sale of **₹ 2,00,000** for the year ended 31st March, 20X1.
Case (ii)	20% goods lying unsold with consignee should be treated as closing inventory and sales should be recognized for **₹ 2,40,000** (80% of ₹ 3,00,000). In the case of consignment sale revenue should not be recognized until the goods are sold to a third party.
Case (iii)	In case of goods sold on approval basis, revenue should not be recognized until the goods have been formally accepted by the buyer or the buyer has done an act adopting the transaction or the time period for rejection has elapsed or where no time has been fixed, a reasonable time has elapsed. Therefore, revenue should be recognized for the total sales amounting to **₹ 4,00,000** as the time period for rejecting the goods had expired.
Case (iv)	As per the standard, "where the ability to assess the ultimate collection with reasonable certainty is lacking at the time of raising any claim, the revenue recognition is postponed to the extent of uncertainty involved. In such cases, the revenue is recognized only when it is reasonably certain that the ultimate collection will be made". In this case, interest should be recognized only if the ultimate collection is certain and the company expects to realize interest for the delayed payments for ₹ 50,000 only. Hence, based on the past experience, the realization of interest for the delayed payments by the agent is certain only to the extent of this amount and not ₹ 60,000. Therefore, the interest income of **₹ 50,000 should be recognized** in the books for the year ended 31st March, 20X1.

Thus, **total revenue amounting ₹ 8,90,000** (2,00,000 + 2,40,000 + 4,00,000+ 50,000) will be recognized for the year ended 31st March, 20X1 in the books of BS Products Ltd.

Question 23

Given the following information of Rainbow Ltd.

(i) On 15th November, goods worth ₹ 5,00,000 were sold on approval basis. The period of approval was 4 months after which they were considered sold. Buyer sent approval for 75% goods sold upto 31st January and no approval or disapproval received for the remaining goods till 31st March.

(ii) On 31st March, goods worth ₹ 2,40,000 were sold to Bright Ltd. but due to refurnishing of their show-room being underway, on their request, goods were delivered on 10th April.

(iii) Rainbow Ltd. supplied goods worth ₹ 6,00,000 to Shyam Ltd. and concurrently agrees to re-purchase the same goods on 14th April.

(iv) Dew Ltd, used certain assets of Rainbow Ltd. Rainbow Ltd. received ₹ 7.5 lakhs and ₹ 12 lakhs as interest and royalties respectively from Dew Ltd. during the year 20X1-X2.

(v) On 25th December, goods of ₹ 4,00,000 were sent on consignment basis of which 40% of the goods unsold are lying with the consignee at the year-end on 31st March.

In each of the above cases, you are required to advise, with valid reasons, the amount to be recognized as revenue under the provisions of AS-9.

Answer

(i) As per AS 9 "Revenue Recognition", in case of goods sold on approval basis, revenue should not be recognized until the goods have been formally accepted by the buyer or the buyer has done an act adopting the transaction or the time period for rejection has elapsed or where no time has been fixed, a reasonable time has elapsed. Therefore, revenue should be recognized for the total sales amounting **₹ 5,00,000** as the time period for rejecting the goods had expired.

(ii) The sale is complete but delivery has been postponed at buyer's request. The entity should recognize the entire sale of **₹ 2,40,000** for the year ended 31st March.

(iii) Sale/repurchase agreements i.e. where seller concurrently agrees to repurchase the same goods at a later date, such transactions that are in substance a financing agreement, the resulting cash inflow is not revenue as defined and should not be recognized as revenue. Hence **no revenue to be recognized** in the given case.

(iv) Revenue arising from the use by others of enterprise resources yielding interest and royalty should be recognized when no significant uncertainty as to measurability or collectability exists. The interest should be recognized on **time proportion** basis taking into account the amount outstanding and rate applicable. The royalty should be recognized on **accrual basis** in accordance with the terms of relevant agreement.

(v) 40% goods lying unsold with consignee should be treated as closing inventory and sales should be recognized for **₹ 2,40,000** (60% of ₹ 4,00,000). In case of consignment sale revenue should not be recognized until the goods are sold to a third party.

CHAPTER - 10
AS 10: Property, Plant and Equipment (PPE)

Cost of Purchased or Self Constructed PPE

Question 1

ABC Ltd. is installing a new plant at its production facility. It has incurred these costs:

1.	Cost of the plant (cost per supplier's invoice plus taxes)	₹ 25,00,000
2.	Initial delivery and handling costs	₹ 2,00,000
3.	Cost of site preparation	₹ 6,00,000
4.	Consultants used for advice on the acquisition of the plant	₹ 7,00,000
5.	Interest charges paid to supplier of plant for deferred credit	₹ 2,00,000
6.	Estimated dismantling costs to be incurred after 7 years	₹ 3,00,000
7.	Operating losses before commercial production	₹ 4,00,000

Please advise ABC Ltd. on the costs that can be capitalised in accordance with AS 10 (Revised).

Answer

According to AS 10 (Revised), these costs can be capitalised:

1.	Cost of the plant	₹ 25,00,000
2.	Initial delivery and handling costs	₹ 2,00,000
3.	Cost of site preparation	₹ 6,00,000
4.	Consultants' fees	₹ 7,00,000
5.	Estimated dismantling costs to be incurred after 7 years	₹ 3,00,000
	Total Cost	**₹ 43,00,000**

Note: Interest charges paid on "Deferred credit terms" to the supplier of the plant of ₹ 2,00,000 and operating losses before commercial production amounting to ₹ 4,00,000 are not regarded as directly attributable costs and thus cannot be capitalised. They should be written off to Statement of P&L in the period they are incurred.

Question 2

Star Limited purchased machinery for ₹ 6,80,000 (inclusive of GST of ₹ 40,000). Input credit is available for entire amount of GST paid. The company incurred the following other expense for installation.

Particulars	**₹**
Cost of preparation of site for installation	21,200
Total Labour charges (200 out of 500 men hours, were spent on installation of the machinery)	56,000
Spare parts and tools consumed in installation	5,000
Total salary of supervisor (Time spent for installation was 25% of the total time worked)	26,000
Total technical expense (1/10 relates to the plant installation)	34,000
Test run and experimental production expenses	18,000
Consultancy charges to architect for plant set up	11,000
Depreciation on assets used for installation	12,000

The machine was ready for use on 15.01.20X1 but was used from 01.02.20X1. Due to this delay further expenses of ₹ 8,900 were incurred. Calculate the value at which the plant should be capitalized in the books of Star Limited.

Answer

Calculation of Cost of Plant

Particulars		**₹**
Purchase Price	Given	6,80,000
Add: Site Preparation Cost	Given	21,200
Labour charges	(56,000 x 200/500)	22,400
Spare parts	Given	5,000
Supervisor's Salary	25% of ₹ 26,000	6,500
Technical costs	1/10 of ₹ 34,000	3,400
Test run and experimental production charges	Given	18,000
Architect Fees for set up	Given	11,000
Depreciation on assets used for installation	Given	12,000
Total Cost of Asset		7,79,500
Less: GST credit receivable		(40,000)
Value to be capitalized		**7,39,500**

Note: Further Expenses of ₹ 8,900 from 15.1.20X1 to 1.2.20X1 to be charged to profit and loss A/c as plant was ready for production on 15.1.20X1.

Question 3

Omega Ltd. contracted with a supplier to purchase machinery which is to be installed in its one department in three months' time. Special foundations were required for the machinery which were to be prepared within this supply lead time. The cost of the site preparation and laying foundations were ₹ 1,40,000. These activities were supervised by a technician during the entire period, who is employed for this purpose of ₹ 45,000 per month. The machine was purchased at ₹ 1,58,00,000 and ₹ 50,000 transportation charges were incurred to bring the machine to the factory site. An Architect was appointed at a fee of ₹ 30,000 to supervise machinery installation at the factory site. You are required to ascertain the amount at which the Machinery should be capitalized.

Answer

Particulars		**₹**
Purchase Price	Given	1,58,00,000
Add: Site Preparation Cost	Given	1,40,000
Technician's Salary	Attributable o/h for 3 months (45,000 x 3)	1,35,000
Initial Delivery Cost	Transportation	50,000
Professional Fees for Installation	Architect's Fees	30,000
Total Cost of Machinery		**1,61,55,000**

Question 4

Shrishti Ltd. contracted with a supplier to purchase machinery which is to be installed in its Department A in three months' time. Special foundations were required for the machinery which were to be prepared within this supply lead time. The cost of the site preparation and laying foundations were ₹ 1,41,870. These activities were supervised by a technician during the entire period, who is employed for this purpose of ₹ 45,000 per month. The technician's services were given by Department B to Department A, which billed the services at ₹ 49,500 per month after adding 10% profit margin.

The machine was purchased at ₹ 1,58,34,000 inclusive of IGST @ 12% for which input credit is available to Shrishti Ltd. ₹ 55,770 transportation charges were incurred to bring the machine to the factory site. An Architect was appointed at a fee of ₹ 30,000 to supervise machinery installation at the factory site.

Ascertain the amount at which the Machinery should be capitalized under AS 10 considering that IGST credit is availed by the Shristhi Limited. Internally booked profits should be eliminated in arriving at the cost of machine.

Answer

Calculation of Cost of Fixed Asset (i.e. Machinery)

Particulars		**₹**
Purchase Price	Given (₹ 1,58,34,000 x 100/112)	1,41,37,500
Add: Site Preparation Cost	Given	1,41,870
Technician's Salary	Attributable o/h for 3 months (45,000 x 3)	1,35,000
Initial Delivery Cost	Transportation	55,770
Professional Fees for Installation	Architect's Fees	30,000
Total Cost of Asset		**1,45,00,140**

Question 5

Preet Ltd. intends to set up a steel plant, for which it has acquired a dilapidated factor having an area of 5,000 acres at a cost of ₹ 60,000 per acre. Preet Ltd. has incurred ₹ 1.10 crores on demolishing the old Factory Building thereon. A sum of ₹ 63,00,000 (including 5% GST thereon) was realized from the sale of material salvaged from the site. Preet Ltd. incurred Stamp Duty and Registration Charges of 7% of land value, paid legal and consultancy charges ₹ 8,00,000 for land acquisition and incurred ₹ 1,25,000 on title guarantee insurance. Compute the value of the land acquired.

Answer

Particulars	**₹ in lakhs**
Purchase Price: 5,000 acres x ₹ 60,000 per acre	3,000.00
Stamp Duty and Registration Charges at 7%	210.00
Legal and Consultancy Fees	8.00
Title Guarantee Insurance	1.25
Demolition Expenses (Net of Salvage Income)	50.00
[₹ 110 lakhs (–) ₹ 60 lakhs (₹ 63 lakhs x 100/105)]	
Cost of Land	**3,269.25**

Question 6

Entity A has an existing freehold factory property, which it intends to knock down and redevelop. During the redevelopment period the company will move its production facilities to another (temporary) site. The following incremental costs will be incurred:

1. Setup costs of ₹ 5,00,000 to install machinery in the new location.
2. Rent of ₹ 15,00,000
3. Removal costs of ₹ 3,00,000 to transport the machinery from the old location to the temporary location.

Can these costs be capitalised into the cost of the new building?

Answer

Constructing or acquiring a new asset may result in incremental costs that would have been avoided if the asset had not been constructed or acquired. These costs are **not to be included in the cost** of the asset if they are not directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management. The costs to be incurred by the company are in the nature of costs of **relocating or reorganising** operations of the company and do not meet the requirement of **AS 10** (Revised) and therefore, **cannot be capitalised**.

Question 7

Hardy Ltd. intends to extend the factory set up on the adjacent plot with disintegrated old premises. It acquired the land having an area of 250 hectares at a cost of ₹ 25,000 per hectare.

Hardy Ltd. incurred Stamp duty and registration charges of 5% of land value. Legal fees were paid ₹ 4,75,000 for land acquisition.

Hardy Ltd. incurred ₹ 37,85,000 for demolishing old premises thereon. A sum of ₹ 12,60,000 (including 5% GST thereon) was realized from the sale of material salvaged from the site.

Till the new site with extended factory premises is ready, the company needs to move the present production facilities to another (temporary) site. The following incremental costs will be incurred:

(1) Set up costs of ₹ 7,50,000 to install machinery in the new location.

(2) Rent of ₹ 12,00,000.

(3) Removal costs of ₹ 2,50,000 to transport the machinery from the old location to the temporary location.

(i) Management is of the opinion that the cost of moving the production facilities to another temporary location can be capitalised. You are required to advise.

(ii) You are also required to compute the cost of land acquired.

Answer

(i) Constructing or acquiring a new asset may result in incremental costs that would have been avoided if the asset had not been constructed or acquired.

These costs are not to be included in the cost of the asset if they are not directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.

The costs to be incurred by the company are in the nature of **costs of relocating or reorganizing operations** of the company and do not meet the requirement of AS 10 (Revised).

Therefore, these costs **cannot be capitalized**.

(ii) Computation of cost of land

Particulars	₹	₹
Purchase Price [250 hectares x ₹ 25,000 per hectares]		62,50,000
Stamp Duty and Registration Charges [5% of ₹ 62,50,000]		3,12,500
Legal and Consultancy Fees		4,75,000
Demolition Expenses	37,85,000	
Less: Salvage Income net of tax [₹ 12,60,000 x (100/105)]	(12,00,000)	25,85,000
Cost of Land		96,22,500

Question 8

Entity A, which operates a major chain of supermarkets, has acquired a new store location. The new location requires significant renovation expenditure. Management expects that the renovations will last for 3 months during which the supermarket will be closed.

Management has prepared the budget for this period including expenditure related to construction and remodelling costs, salaries of staff who will be preparing the store before its opening and related utilities costs. What will be the treatment of such expenditures?

Answer

Management **should capitalise the costs of construction and remodelling** the supermarket, because they are necessary to bring the store to the condition necessary for it to be capable of operating in the manner intended by management. The supermarket cannot be opened without incurring the remodelling expenditure, and thus the expenditure should be considered part of the asset.

However, if the **cost of salaries**, utilities and storage of goods are in the **nature of operating expenditure** that would be incurred if the supermarket was open, then these costs are not necessary to bring the store to the condition necessary for it to be capable of operating in the manner intended by management and **should be expensed.**

Recognition of PPE Acquired in Exchange of Asset

Question 9

Entity A exchanges land with a book value of ₹ 10,00,000 for cash of ₹ 20,00,000 and plant and machinery valued at ₹ 25,00,000. What will be the measurement cost of the assets received? (Consider that the transaction has commercial substance)

Answer

In the given case, **Plant & Machinery is valued at ₹ 25,00,000**, which is assumed to be fair value in absence of information. Further, since fair value of land (asset given up) is not given, the transaction will be recorded at fair value of assets acquired of ₹ 45,00,000 (Cash ₹ 20,00,000 + Plant & Machinery ₹ 25,00,000). Since land of book value ₹ 10,00,000 is transferred in exchange of assets worth ₹ 45,00,000, a gain of ₹ 35,00,000 will be recognised in the books of Entity A.

Journal entries in the books of Entity A

Particulars		Debit (₹)	Credit (₹)
Cash/Bank A/c	Dr.	20,00,000	
Plant & Machinery A/c	Dr.	25,00,000	
To Land			10,00,000
To Profit on Sale of Land (balancing figure)			35,00,000
(Being transaction of exchange of PPE recorded)			

Question 10

Entity A exchanges car X with a book value of ₹ 13,00,000 and a fair value of ₹ 13,25,000 for cash of ₹ 15,000 and car Y which has a fair value of ₹ 13,10,000. The transaction lacks commercial substance as the company's cash flows are not expected to change as a result of the exchange. It is in the same position as it was before the transaction. What will be the measurement cost of the assets received?

Answer

Since the transaction lacks commercial substance, the entity recognises the assets received at the book value of car X. Therefore, it recognises cash of ₹ 15,000 and car Y as PPE with a **carrying value of ₹ 12,85,000**.

Journal entries in the books of Entity A

Particulars		Debit (₹)	Credit (₹)
Cash/Bank A/c	Dr.	15,000	
Car Y A/c (balancing figure)	Dr.	12,85,000	
To Car X A/c			13,00,000
(Being transaction of exchange of PPE recorded)			

Depreciation of PPE

Question 11

A property costing ₹ 10,00,000 is bought in 20X1. Its estimated total physical life is 50 years. However, the company considers it likely that it will sell the property after 20 years.

The estimated residual value in 20 years' time, based on 20X1 prices, is

Case (a): ₹ 10,00,000

Case (b): ₹ 9,00,000

Calculate the amount of depreciation.

Answer

Case (a)	The company considers that the residual value, based on prices prevailing at the balance sheet date, will equal the cost. There is, therefore, no **depreciable amount** and **depreciation is correctly zero.**
Case (b)	The company considers that the residual value, based on prices prevailing at the balance sheet

	date, will be ₹ 9,00,000 and the depreciable amount is, therefore, ₹ 1,00,000. Annual depreciation (on a straight-line basis) **will be ₹ 5,000** [(10,00,000 – 9,00,000) ÷ 20].

Question 12

Entity A purchased an asset on 1st January 20X1 for ₹ 1,00,000 and the asset had an estimated useful life of 10 years and a residual value of nil.

On 1st January 20X5, the directors review the estimated life and decide that the asset will probably be useful for a further 4 years.

Calculate the amount of depreciation for each year, if company charges depreciation on Straight Line basis.

Answer

The entity has charged depreciation using straight-line method at ₹ 10,000 per annum i.e. (1,00,000/10 years).

On 1st January 20X5, the asset's net book value is [1,00,000 – (10,000 x 4)] = ₹ 60,000.

The remaining useful life is 4 years.

The company should amend the annual provision for depreciation to charge the unamortised cost over the revised remaining life of four years.

Consequently, it should charge depreciation for the next 4 years at **₹ 15,000 per annum** i.e. (60,000/4 years).

Question 13

A Ltd. had following assets. Calculate depreciation for the year ended 31st March, 20X6 for each asset as per AS 10 (Revised):

(i) Machinery purchased for ₹ 10 lakhs on 1st April, 20X1 and residual value after useful life of 5 years, based on 20X1 prices is ₹ 10 lakhs.

(ii) Land for ₹ 50 lakhs.

(iii) A Machinery is constructed for ₹ 5,00,000 for its own use (useful life is 10 years). Construction is completed on 1st April, 20X5, but the company does not begin using the machine until 31st March, 20X6.

(iv) Machinery purchased on 1st April, 20X3 for ₹ 50,000 with useful life of 5 years and residual value is NIL. On 1st April, 20X5, management decided to use this asset for further 2 years only.

Answer

Computation of amount of depreciation as per AS 10

		₹
(i)	**Machinery purchased on 1.04.X1 for ₹ 10 lakhs (having residual value of ₹ 10 lakhs)** Reason: The company considers that the residual value, based on prices prevailing at the balance sheet date, will equal the cost. Therefore, there is no depreciable amount and depreciation is correctly zero.	**Nil**
(ii)	**Land (50 lakhs) (considered freehold)** Reason: Land has an unlimited useful life and therefore, it is not depreciated.	**Nil**
(iii)	**Machinery constructed for own use (₹ 5,00,000/10)**	**50,000**

	Reason: The entity should begin charging depreciation from the date the machine is ready for use i.e. 1st April,20X5. The fact that the machine was not used for a period after it was ready to be used is not relevant in considering when to begin charging depreciation.	
(iv)	**Machinery having revised useful life** Reason: The entity has charged depreciation using the straight-line method at ₹ 10,000 per annum i.e. (50,000/5 years). On 1st April, 20X5 the asset's net book value is [50,000 – (10,000 x 2)] i.e. ₹ 30,000. The remaining useful life is 2 years as per revised estimate. The company should amend the annual provision for depreciation to charge the unamortized cost over the revised remaining life of 2 years. Consequently, it should charge depreciation for the next 2 years at ₹ 15,000 per annum i.e. (30,000/2 years).	**15,000**

Question 14

In the year 20X1-X2, an entity has acquired a new freehold building with a useful life of 50 years for ₹ 90,00,000. The entity desires to calculate the depreciation charge per annum using a straight-line method. It has identified the following components (with no residual value of lifts & fixtures at the end of their useful life) as follows:

Component	Useful life (Years)	Cost
Land	Infinite	₹ 20,00,000
Roof	25	₹ 10,00,000
Lifts	20	₹ 5,00,000
Fixtures	10	₹ 5,00,000
Remainder of building	50	₹ 50,00,000
		₹ 90,00,000

You are required to calculate depreciation for the year 20X1-X2 as per componentization method.

Answer

Statement showing amount of depreciation as per Componentization Method

Component	Depreciation (Per annum) (₹)
Land	Nil
Roof	40,000
Lifts	25,000
Fixtures	50,000
Remainder of Building	1,00,000
	2,15,000

Note: When the roof requires replacement at the end of its useful life the carrying amount will be nil. The cost of replacing the roof should be recognized as a new component.

Recognition of PPE At Each Balance Sheet Date [Revaluation Model]

Question 15

Arka Ltd. purchased machinery for ₹ 3,000 lakhs. Depreciation was charged at 10% on SLM basis for a useful

life of 10 years. At the end of Year 4, the machinery was revalued to ₹ 2,700 lakhs and the same was adopted. What will be the carrying amount of the asset at the end of Year 5 and Year 6? Assume no change in the useful life.

Answer

Particulars	**₹ in lakhs**
Original Cost of the Asset	3,000.00
Less: Depreciation for 4 years (₹ 3,000 lakhs x 10% x 4 years)	(1,200.00)
Book Value at the end of Year 4	1,800.00
Add: Revaluation Surplus (balancing figure)	900.00
Revalued Amount as given = revised depreciable value	2,700.00
Less: Depreciation for Year 5 (₹ 2,700 lakhs ÷ 6 years)	450.00
Carrying Amount at the end of Year 5	2,250.00
Less: Depreciation for Year 6 (₹ 2,700 lakhs ÷ 6 years)	450.00
Carrying Amount at the end of Year 6	**1,800.00**

Question 16

XYZ Limited provided you the following information for the year ended 31st March, 20X1.

(i) The carrying amount of a property at the end of the year amounted to ₹ 2,16,000 (cost/value ₹ 2,50,000 and accumulated depreciation ₹ 34,000). On this date the property was revalued and was deemed to have a fair value of ₹ 1,90,000. The balance in the revaluation surplus relating to a previous revaluation gain for this property was ₹ 20,000.

You are required to calculate the revaluation loss as per AS 10 (Revised) and give its treatment in the books of accounts.

(ii) An asset that originally cost ₹ 76,000 and had accumulated depreciation of ₹ 62,000 was disposed of during the year for ₹ 4,000 cash.

You are required to explain how the disposal should be accounted for in the financial statements as per AS 10 (Revised).

Answer

(i) As per AS 10, a decrease in the carrying amount of an asset arising on revaluation should be charged to the statement of profit and loss. However, the decrease should be debited directly to owners' interests under the heading of revaluation surplus to the extent of any credit balance existing in the revaluation surplus in respect of that asset.

Calculation of revaluation loss and its accounting treatment

		₹
Carrying value of the asset as on 31st March, 20X1	A	2,16,000
Revalued amount of the asset	B	(1,90,000)
Total revaluation loss on asset	C = A – B	26,000
Adjustment of previous revaluation reserve	D	(20,000)
Net revaluation loss to be charged to the Profit and loss account	**E = C – D**	**6,000**

(ii) AS 10 states that the carrying amount of an item of property, plant and equipment is derecognized on disposal of the asset. It further states that the gain or loss arising from the derecognition of an item of property, plant and equipment should be included in the statement of profit and loss when the item is derecognized. Gains should also not be classified as revenue.

Calculation of loss on disposal of the asset and its accounting treatment

		₹
Original cost of the asset	A	76,000
Accumulated depreciation till date	B	62,000
Carrying value of the asset as on 31st March, 20X1	C = A – B	14,000
Cash received on disposal of the asset	D	4,000
Loss on disposal of asset charged to the Profit and loss account	**E = C – D**	**10,000**

Question 17

Skanda Ltd. acquired a machinery for ₹ 2,50,00,000 five years ago. Depreciation was charged at 10% p.a. on SLM basis, useful life being 10 years. At the beginning of Year 3, the machinery was revalued to ₹ 3,00,00,000 with the surplus on revaluation being credited to Revaluation Reserve. Depreciation was provided on the revalued amount over the balance useful life of 8 years. The machinery was sold in the current year for ₹ 1,12,50,000. Give the accounting treatment for the above in the Company's accounts. What will be the treatment if the machinery fetched only ₹ 42,50,000 now?

Answer

Particulars	**₹**
Original Cost of the Asset	2,50,00,000
Depreciation for 2 years (₹ 2,50,00,000 x 10% x 2 years)	50,00,000
Book Value at the beginning of Year 3	2,00,00,000
Add: Revaluation Surplus (balancing figure)	1,00,00,000
Revalued Amount as given = revised depreciable value	3,00,00,000
Depreciation for Years 3 to 5 (₹ 3,00,00,000 ÷ 8 yrs x 3 yrs)	1,12,50,000
Carrying Amount at the end of Year 5	**1,87,50,000**

The treatment of Gain/Loss on Disposal/Revaluation is as below:

Particulars	**If disposal Proceed is ₹ 1,12,50,000**	**If disposal Proceed is ₹ 42,50,000**
	₹	₹
Book Value	1,87,50,000	1,87,50,000
Less: Disposal Proceeds	1,12,50,000	42,50,000
Loss recognized in Profit or Loss Account	75,00,000	1,45,00,000
Revaluation Surplus transferred to Retained Earnings	1,00,00,000	1,00,00,000

Subsequent Costs on PPE [Replacement of Part]

Question 18

Bharat Infrastructure Ltd. acquired a heavy machinery at a cost of ₹ 1,000 lakhs, the breakdown of its components is not provided. The estimated useful life of the machinery is 10 years. At the end of Year 6, the turbine, which is a major component of the machinery, needed replacement, as further usage and maintenance was uneconomical. The remainder of the machine is in good condition and is expected to last for the remaining 4 years. The cost of the new turbine is ₹ 450 lakhs. Give the accounting treatment for the new turbine, assuming SLM Depreciation and a discount rate of 8%.

Note: PV factor @8% for 6th year is 0.63018

Answer

As per AS 10, Property, Plant and Equipment, the derecognition of the carrying amount of components of an item of Property, Plant and Equipment occurs regardless of whether the cost of the previous part / inspection was identified in the transaction in which the item was acquired or constructed. If it is not practicable for an enterprise to determine the carrying amount of the replaced part/ inspection, it may use the cost of the replacement or the estimated cost of a future similar inspection as an indication of what the cost of the replaced part/ existing inspection component was when the item was acquired or constructed.

In the given case, the new turbine will produce economic benefits to Bharat Infrastructure Ltd. and the cost is measurable. Since the recognition criteria is fulfilled, the same should be recognised as a separate item of Property, Plant and Equipment. However, since the initial breakup of the components is not available, the cost of the replacement of ₹ 450 lakhs can be used as an indication based on the guidance given above, discounted at 8% for the 6-year period lapsed.

Thus, estimate of cost 6 years back = ₹ 450 lakhs ÷ 1.08^6 = ₹ 283.58 lakhs

Current carrying amount of turbine (to be de-recognised) = Estimated cost ₹ 283.58 lakhs (–) SLM depreciation at 10% (useful life 10 years) for 6 years ₹ 170.15 lakhs = ₹ 113.43 lakhs.

Hence revised carrying amount of the machinery will be as under:

Particulars	**₹ in lakhs**
Historical Cost [₹ 1,000 lakhs (–) SLM Depreciation at 10% (10 year life) for 6 years]	400.00
Add: Cost of new turbine	450.00
Less: Derecognition of current carrying amount of old turbine	(113.43)
New Carrying Amount of Machinery	**736.57**

Mixed Topics

Question 19

In the books of Topmaker Limited, carrying amount of Plant and Machinery as on 1st April, 20X1 is ₹ 56,30,000.

On scrutiny, it was found that a purchase of Machinery worth ₹ 21,12,000 was included in the purchase of goods on 1st June, 20X1. On 30th June, 20X1 the company disposed a Machine having book value of ₹ 9,60,000 (as on 1st April, 20X1) for ₹ 8,25,000 in part exchange of a new machine costing ₹ 15,65,000.

The company charges depreciation @ 10% p.a. on written down value method on Plant and Machinery.

You are required to compute:

(i) Depreciation to be charged to Profit & Loss Account;

(ii) Book value of Plant & Machinery as on 31st March, 20X2; and

(iii) Profit/Loss on exchange of Plant & Machinery.

Answer

(i) Depreciation to be charged in the Profit & Loss Account

Particulars	Amount in ₹
Depreciation on old Machinery [10% on ₹ 56,30,000 for 3 months (01.04.20X1 to 30.06.20X2)]	1,40,750
Add: Depreciation on Machinery acquired on 01.06.20X1 (₹ 21,12,000 x 10% x 10/12)	1,76,000
Add: Depreciation on Machinery after adjustment of Exchange [10% of ₹ 56,30,000 – 9,60,000 + 15,65,000) for 9 months]	4,67,625
Total Depreciation to be charged in Profit & Loss A/c	**7,84,375**

(ii) Book value of Plant & Machinery as on 31.3.20X2

Particulars		Amount in ₹
Balance as per books on 01.04.20X1		56,30,000
Add: Included in purchases on 01.06.20X1	21,12,000	
Add: Purchases on 30.06.20X1	15,65,000	36,77,000
		93,07,000
Less: Book value of Machine sold on 30.06.20X1		(9,60,000)
		83,47,000
Less: Depreciation on Machinery in use ₹ (7,84,375 – 24,000)		(7,60,375)
Book Value as on 31.03.20X2		**75,86,625**

Note: The computation of depreciation and book value of Plant & Machinery can be presented in the following alternative manner:

Particulars	Book Value or Cost of Acquisition	Period	Depreciation	Book Value as on 31.03.20X2
Opening Value	46,70,000 (56,30,000 – 9,60,000)	01.04.20X1 to 31.03.20X2	4,67,000 (46,70,000 x 10%)	42,03,000
Sold	9,60,000	01.04.20X1 to 30.06.20X1	24,000 (9,60,000 x 10% x 3/12)	–
Purchases	21,12,000	01.06.20X1 to 31.03.20X2	1,76,000 (21,12,000 x 10% x 10/12)	19,36,000
New Machinery	15,65,000	01.07.20X1 to 31.03.20X2	1,17,375 (15,65,000 x 10% x 9/12)	14,47,625
Total			**7,84,375**	**75,86,625**

(iii) Profit/Loss on Exchange of Machinery

Particulars	Amount in ₹

Balance as per books on 01.04.20X1	9,60,000
Less: Depreciation for 3 months (₹ 9,60,000 x 10/100 x 3/12)	(24,000)
W.D.V. as on 30.06.20X1	9,36,000
Less: Exchange value	(8,25,000)
Loss on Exchange of Machinery	**1,11,000**

Question 20

Akshar Ltd. installed a new Plant (not a qualifying asset), at its production facility, and incurred the following costs:

- Cost of the Plant (as per supplier's invoice): ₹ 30,00,000
- Initial delivery and handling costs: ₹ 1,00,000
- Cost of site preparation: ₹ 2,00,000
- Consultant fee for advice on acquisition of Plant: ₹ 50,000
- Interest charges paid to supplier against deferred credit: ₹ 1,00,000
- Estimate of Dismantling and Site Restoration costs: ₹ 50,000 after 10 years (Present Value is ₹ 30,000)
- Operating losses before commercial production: ₹ 40,000

The company identified motors installed in the Plant as a separate component and a cost of ₹ 5,00,000 (Purchase Price) and other costs were allocated to them proportionately. The company estimates the useful life of the Plant and those of the Motors as 10 years and 6 years respectively and SLM method of Depreciation is used.

At the end of Year 4, the company replaces the Motors installed in the Plant at a cost of ₹ 6,00,000 and estimated the useful life of new motors to be 5 years. Also, the company revalued its entire class of Fixed Assets at the end of Year 4. The revalued amount of Plant as a whole is ₹ 25,00,000. At the end of Year 8, the company decides to retire the Plant from active use and also disposed the Plant as a whole for ₹ 6,00,000.

There is no change in the Dismantling and Site Restoration liability during the period of use. You are required to explain how the above transaction would be accounted in accordance with AS 10.

Answer

1. Cost at Initial Recognition:

Particulars	**₹**
Cost of the Plant (as per Invoice)	30,00,000
Initial Delivery and Handling Costs	1,00,000
Cost of Site Preparation	2,00,000
Consultants' Fees	50,000
Estimated Dismantling and Site Restoration Costs	30,000
Total Cost of Plant including Motors	33,80,000
Less: Cost of Motors identified as a separate component (1/6)*	5,63,333
Cost of the Plant (excluding Motors – balance 5/6)	**28,16,667**

*Purchase price of Motors = ₹ 5,00,000 out of ₹ 30,00,000 i.e., 1/6 of value of Plant

Note: Since the asset is not a qualifying asset, payment of interest to the supplier is not capitalized. Further, operating losses of ₹ 40,000 incurred before commercial production is not a directly attributable cost, and hence excluded from cost of asset. These costs are expensed to the P/L as and when they are incurred.

2. Recognition of Motors Replacement

Particulars	**₹**
Cost of Motors determined above	5,63,333
Less: Depreciation for 4 years (as per SLM) 5,63,333 ÷ 6 years x 4 years	3,75,555
Carrying Amount of Motors at the end of Year 4	**1,87,778**

Accounting: The company should derecognize the existing Carrying Amount of Motors replaced of ₹ 1,87,778. Further, the acquisition cost of new motors of ₹ 6,00,000 would be capitalized as a separate component. This amount will be depreciated over next 5 years at ₹ 6,00,000 ÷ 5 years = ₹ 1,20,000 p.a.

3. Revaluation

Particulars	**₹**
Cost of the Plant at initial recognition [from (1) above]	28,16,667
SLM Depreciation for 4 years: ₹ 28,16,667 ÷ 10 years x 4 years	11,26,667
Carrying Amount of Plant at the end of Year 4	16,90,000
Revalued Amount of Plant (Excluding Motors, since the same is treated as a separate component: ₹ 25,00,000 – ₹ 6,00,000)	19,00,000
Therefore, Gain on Revaluation credited to Revaluation Reserve	2,10,000
Revised Depreciation Charge p.a.: 19,00,000 ÷ 6 years	**3,16,667**

4. Derecognition

Particulars	**Motors**	**Plant (excl. Motors)**
Cost/Revalued Amount at end of Year 4	6,00,000	19,00,000
Less: Depreciation for Year 5 to Year 8	1,20,000	12,66,668
	(4,80,000 x 4)	(3,16,667 x 4)
Carrying Amount before Disposal/De-recognition	1,20,000	6,33,332
Less: Disposal Proceeds ₹ 6,00,000 allocated in ratio of carrying amount	(95,575)	(5,04,425)
Loss to be written off to P/L	**24,425**	**1,28,907**

Notes:

(a) The Revaluation Surplus of ₹ 2,10,000 would be transferred directly to Retained Earnings.

(b) The allocation of disposal proceeds of ₹ 6,00,000 for the plant as whole is apportioned based on carrying amount of motors and plant (excluding motors)

(c) Alternatively, it may be apportioned as 1/6 towards motors and 5/6 plant (excluding motors) based on the reasoning that the initially, motors amounted to 1/6 of the entire plant. This approach may not be preferable because there has been a revaluation of the plant (excluding motors) and a disposal and subsequent acquisition of the Motor, which is not in the initial proportion of 5/6 and 1/6 respectively.

CHAPTER - 11
AS 11: The Effects of Changes in Foreign Exchange Rates

Accounting of Foreign Currency Transactions

Question 1

	Exchange Rate per $
Goods purchased on 1.1.20X1 for US $ 15,000	₹ 75
Exchange rate on 31.3.20X1	₹ 74
Date of actual payment 7.7.20X1	₹ 73

You are required to ascertain the loss/gain to be recognized for financial years ended 31st March, 20X1 and 31st March, 20X2 as per AS 11.

Answer

As per **AS 11** on 'The Effects of Changes in Foreign Exchange Rates', all foreign currency **transactions** should be **recorded** by applying the **exchange rate on the date of transactions**. Thus, goods purchased on 1.1.20X1 and corresponding creditors would be recorded at **₹ 11,25,000** (i.e. $ 15,000 x ₹ 75)

According to the standard, at the **balance sheet date** all **monetary transactions** should be reported using the **closing rate**. Thus, creditors of US $ 15,000 on 31.3.20X1 will be reported at **₹ 11,10,000** (i.e. $ 15,000 x ₹ 74) and **exchange profit of ₹ 15,000** (i.e. 11,25,000 – 11,10,000) should be **credited to Profit and Loss account** in the year ended 31st March, 20X1.

On **7.7.20X1,** creditors of $ 15,000 is paid at the rate of ₹ 73. As per AS 11, exchange difference on settlement of the account should also be transferred to Profit and Loss account. Therefore, **₹ 15,000** (i.e. 11,10,000 – 10,95,000) will be **credited to Profit and Loss account** in the year ended 31st March, 20X2.

Question 2

A company had imported raw materials worth US Dollars 6,00,000 on 5th January, 20X1, when the exchange rate was ₹ 43 per US Dollar. The company had recorded the transaction in the books at the above-mentioned rate. The payment for the import transaction was made on 5th April, 20X1 when the exchange rate was ₹ 47 per US Dollar. However, on 31st March, 20X1, the rate of exchange was ₹ 48 per US Dollar. The company passed an entry on 31st March, 20X1 adjusting the cost of raw materials consumed for the difference between ₹ 47 and ₹ 43 per US Dollar.

In the background of the relevant accounting standard, is the company's accounting treatment correct? Discuss.

Answer

As per **AS 11** (revised 2003), 'The Effects of Changes in Foreign Exchange Rates', **monetary items** denominated in a foreign currency should be **reported using the closing rate at each balance sheet date**. The effect of **exchange difference** should be taken into **profit and loss account**. Trade payables is a monetary item, hence should be valued at the closing rate i.e., ₹ 48 at 31st March, 20X1 irrespective of the payment for the same subsequently at lower rate in the next financial year. **The difference of ₹ 5** (₹ 48 – ₹ 43) per US dollar should be shown as an **exchange loss in the profit and loss account** for the year ended 31st March, 20X1 and is **not to be adjusted against the cost of raw materials**. In the **subsequent year**, the

company would **record an exchange gain of ₹ 1** per US dollar, i.e., the difference between ₹ 48 and ₹ 47 per US dollar. Hence, the **accounting treatment adopted by the company is incorrect.**

Question 3

Trade payables of CAT Ltd. include amount payable to JBB Ltd., ₹ 10,00,000 recorded at the prevailing exchange rate on the date of transaction, transaction recorded at US $1 = ₹ 80.00. The exchange rate on balance sheet date (31.03.20X1) was US $1 = ₹ 85.00. You are required to calculate the amount of exchange difference and also explain the accounting treatment needed for this as per AS 11 in the books of CAT Ltd.

Answer

Amount of Exchange difference and its Accounting Treatment

	Exchange rate	₹
Trade payables		
Initial recognition US $ 12,500 (₹ 10,00,000/80)	1 US $ = ₹ 80	10,00,000
Rate on Balance sheet date	1 US $ = ₹ 85	
Exchange Difference loss US $ 12,500 x ₹ (85 – 80)		62,500
Treatment: Debit Profit and Loss A/c by ₹ 62,500 and Credit Trade Payables		

Thus, Exchange Difference on trade payables amounting ₹ 62,500 is required to be transferred to Profit and Loss.

Question 4

Kalim Ltd. borrowed US$ 4,50,000 on 01.01.20X1, which will be repaid as on 31.07.20X1. Kalim Ltd. prepares financial statement ending on 31.03.20X1. Rate of exchange between reporting currency (INR) and foreign currency (USD) on different dates are as under:

01.01.20X1, 1 US$ = ₹ 48.00

31.03.20X1, 1 US$ = ₹ 49.00

31.07.20X1, 1 US$ = ₹ 49.50

Pass journal entries on respective dates.

Answer

Journal Entries in the Books of Kalim Ltd.

Date	Particulars		Debit (₹)	Credit (₹)
20X1 Jan. 01	Bank Account (4,50,000 x 48)	Dr.	2,16,00,000	
	To Foreign Loan Account			2,16,00,000
	(Being liability of loan recognized)			
March 31	Foreign Exchange Difference (P/L) Account	Dr.	4,50,000	
	To Foreign Loan Account [4,50,000 x (49 – 48)]			4,50,000
	(Being liability disclosed at closing rate)			

July 31	Foreign Exchange Diff. (P/L) A/c [4,50,000 x (49.5 – 49)]	Dr.	2,25,000	
	Foreign Loan Account	Dr.	220,50,000	
	To Bank Account			2,22,75,000
	(Being loan liability repaid)			

Question 5

Karna Ltd., an Indian Company, has the following foreign currency transactions during the financial year 20X1-X2:

(i) On 1st July, 20X1, imported goods from Try Ltd., a German based company, amounting to ₹ 30,96,000.

(ii) On 1st October, 20X1, imported plant and machinery from Lucy Ltd., a German based company, for € 18,500. The amount was paid on the date of import itself. (Ignore depreciation).

(iii) On 1st December, 20X1, exported good on credit to Cream Ltd., a German based company, amounting to ₹ 50,40,000.

All the above transactions were recorded in the books of account at the prevailing exchange rate on the date of the transactions. Ignore taxes and duty on the above transactions.

Payment due from Cream Ltd. and payment due to Try Ltd. is outstanding as on 31st March, 20X2.

Rate of exchange between reporting currency (₹) and foreign currency (€) on different dates are as under:

On 1st July, 20X1 1 € = ₹ 86

On 1st October, 20X1 1 € = ₹ 88

On 1st December, 20X1 1 € = ₹ 84

On 31st March, 20X2, 1€ = ₹ 90 You are required, as per AS-11:

(i) To show value at which above items will appear in Balance sheet as on 31st March, 20X2;

(ii) To calculate the amount of gain/loss on each of above transactions on account of exchange differences, if any.

Answer

As per **AS 11** "The Effects of Changes in Foreign Exchange Rates", Foreign currency monetary items should be reported using closing rate. Non-monetary items which are carried in terms of historical cost denominated in a foreign currency should be reported using the exchange rate at the date of the transaction. Exchange differences arising on the settlement of monetary items or on reporting an enterprise's monetary items at rates different from those at which they were initially recorded during the period, or reported in previous financial statements, should be recognised as income or as expenses in the period in which they arise.

(i) Items given in the question will appear in the Balance Sheet at the following values:

Trade Payables [(30,96,000/86 = 36,000 German Currency) x ₹ 90] = ₹ 32,40,000

Plant and Machinery [18,500 German Currency x ₹ 88] = ₹16,28,000

Trade Receivables [(50,40,000/84 = 60,000 German Currency) x ₹ 90] = ₹ 54,00,000

(ii) Amount of gain/loss on each transaction on account of exchange difference:

Exchange loss on import of good from Try Ltd. [36,000 German Currency x ₹ 4 (90 – 86)] = ₹ (1,44,000)

Exchange gain on export of goods to Cream Ltd. [60,000 German Currency x ₹ 6 (90 – 84)] = ₹ 3,60,000

Question 6

Explain briefly the accounting treatment needed in the following cases as per AS 11 as on 31.3.20X1.

Trade receivables include amount receivable from Umesh ₹ 5,00,000 recorded at the prevailing exchange rate on the date of sales, transaction recorded at US $ 1= ₹58.50.

Long term loan taken from a U.S. Company, amounting to ₹ 60,00,000. It was recorded at US $ 1 = ₹ 55.60, taking exchange rate prevailing at the date of transaction. US $ 1 = ₹61.20 was on 31.3. 20X1.

Answer

As per AS 11 "The Effects of Changes in Foreign Exchange Rates", exchange differences arising on the settlement of monetary items or on reporting an enterprise's monetary items at rates different from those at which they were initially recorded during the period, or reported in previous financial statements, should be recognised as income or as expenses in the period in which they arise.

However, at the option of an entity, exchange differences arising on reporting of long-term foreign currency monetary items at rates different from those at which they were initially recorded during the period, or reported in previous financial statements, in so far as they relate to the acquisition of a depreciable capital asset can be added to or deducted from the cost of the asset and should be depreciated over the balance life of the asset, and in other cases, can be accumulated in a "Foreign Currency Monetary Item Translation Difference Account" in the enterprise's financial statements and amortised over the balance period of such long-term asset/liability, by recognition as income or expense in each of such periods.

Particular	Exchange Rate	₹
Trade receivables		
Initial recognition = US $ 8,547 (5,00,000/58.50)	1 US $ = ₹ 58.50	5,00,000
Rate on Balance sheet date	1 US $ = ₹ 61.20	
Exchange Difference Gain = US $ 8,547 x (61.20 – 58.50)		23,077
Treatment: Credit Profit and Loss A/c by ₹ 23,077		
Long term Loan		
Initial recognition = US $ 1,07,913.67 (60,00,000/55.60)	1 US $ = ₹ 55.60	60,00,000
Rate on Balance sheet date	1 US $ = ₹ 61.20	
Exchange Difference Loss = US $ 1,07,913.67 x (61.20 – 55.60)		6,04,317
Treatment: Credit Loan A/c and Debit FCMITD A/C or Profit and Loss A/c by ₹ 6,04,317		

Note: Thus, Exchange Difference on Long term loan amounting ₹ 6,04,317 may either be charged to Profit and Loss A/c or to Foreign Currency Monetary Item Translation Difference Account but exchange difference on debtors amounting ₹ 23,077 is required to be transferred to Profit and Loss A/c.

Question 7

A Ltd. purchased fixed assets costing ₹ 3,000 lakhs on 1.1.20X1 and the same was fully financed by foreign currency loan (U.S. Dollars) payable in three annual equal instalments. Exchange rates were 1 Dollar = ₹ 40.00 and ₹ 42.50 as on 1.1.20X1 and 31.12.20X1 respectively. First installment was paid on 31.12.20X1. The entire difference in foreign exchange has been capitalised.

You are required to state, how these transactions would be accounted for if the company has not exercised

the option of capitalisation available under paragraph 46A of AS 11.

Answer

As per **AS 11** 'The Effects of Changes in Foreign Exchange Rates', exchange differences arising on the settlement of monetary items or on reporting an enterprise's monetary items at rates different from those at which they were initially recorded during the period, or reported in previous financial statements, should be recognised as income or expenses in the period in which they arise. Thus, exchange differences arising on repayment of liabilities incurred for the purpose of acquiring fixed assets are recognised as income or expense.

Calculation of Exchange Difference:

Foreign currency loan = ₹ 3,000 lakhs/₹ 40 = 75 lakhs US Dollars

Exchange difference = 75 lakhs US Dollars x (42.50 – 40.00) = **₹ 187.50 lakhs** (including exchange loss on payment of first instalment)

Therefore, entire loss due to exchange differences amounting ₹ 187.50 lakhs should be charged to **profit and loss account** for the year.

Question 8

Alfa Ltd. purchased an item of property, plant and equipment for US $ 50 lakh on 01.04.20X1 and the same was fully financed by the foreign currency loan [i.e. US $] repayment in five equal instalments annually. (Exchange rate at the time of purchase was 1 US $ = ₹ 60]. As on 31.03.20X2 the first instalment was paid when 1 US $ fetched ₹ 62.00. The entire loss on exchange was included in cost of goods sold. Alfa Ltd. normally provides depreciation on an item of property, plant and equipment at 20% on WDV basis and exercised the option to adjust the cost of asset for exchange difference arising out of loan restatement and payment. Calculate the amount of exchange loss and its treatment and depreciation.

Answer

Exchange differences arising on restatement or repayment of liabilities incurred for the purpose of acquiring an item of property, plant and equipment should be adjusted in the carrying amount of the respective item of property, plant and equipment as Alfa Ltd. has exercised the option and it is long term foreign currency monetary item.

Thus, the entire exchange loss due to variation of ₹ 20 lakh on 31.03.20X1 on payment of US $ 10 lakh, should be added to the carrying amount of an item of property, plant and equipment and not to the cost of goods sold. Further, depreciation on the unamortized depreciable amount should also be provided.

Calculation of Exchange loss:

Foreign currency loan (in ₹) = (50 lakh $ x ₹ 60) = ₹ 3,000 lakh

Exchange loss on outstanding loan on 31.03.20X2 = ₹ 40 lakh US $ x (62.00 – 60.00) **= ₹ 80 lakh**

So, ₹ 80 lakh should also be **added to cost of an item of property, plant and equipment** with corresponding credit to outstanding loan in addition to ₹ 20 lakh on account of exchange loss on payment of instalment. The total cost of an item of property, plant and equipment to be increased by ₹ 100 lakh.

Total depreciation to be provided **for year 20X1 – 20X2** = 20% of (₹ 3,000 lakh + 100 lakh) = **₹ 620 lakh**

Question 9

A Ltd. has borrowed USD 10,000 in foreign currency on April 1, 20X1 at 5% p.a. annual interest and acquired a depreciable asset. The exchange rates are as under:

01/04/20X1 1 US$ = ₹ 48.00

31/03/20X2 1 US$ = ₹ 51.00

You are required to pass the journal entries in the following cases:

(i) Option under Para 46A is not availed.

(ii) Option under Para 46A is availed.

(iii) The loan was taken to finance the operations of the entity (and not to procure a depreciable asset).

In all cases, assume interest accrued on 31st March 20X2 is paid on the same date.

Answer

Journal Entries in the Books of A Ltd.

(i) Option under Para 46A is not availed

Date	Particulars		Debit (₹)	Credit (₹)
20X1 Apr. 01	Bank Account (10,000 x 48)	Dr.	4,80,000	
	To Foreign Loan Account			4,80,000
20X2 Mar 31	Finance Cost (USD 10,000 x 5% x ₹ 51)	Dr.	25,500	
	To Bank Account			25,500
	PL Account	Dr.	25,500	
	To Finance Cost			25,500
	Foreign Exchange Difference (P/L) Account	Dr.	30,000	
	To Foreign Loan Account [10,000 x (51 – 48)]			30,000

Note: In this case, since the option under Para 46A is not availed, the Exchange Loss of ₹ 30,000 is recognised as an expense in the Statement of Profit and Loss for the year ending 31st March 20X2.

(ii) Option under Para 46A is availed

Date	Particulars		Debit (₹)	Credit (₹)
20X1 Apr. 01	Bank Account (10,000 x 48)	Dr.	4,80,000	
	To Foreign Loan Account			4,80,000
20X2 Mar 31	Finance Cost (USD 10,000 x 5% x ₹ 51)	Dr.	25,500	
	To Bank Account			25,500
	PL Account	Dr.	25,500	
	To Finance Cost			25,500
	Foreign Exchange Difference Account	Dr.	30,000	
	To Foreign Loan Account [10,000 x (51 – 48)]			30,000
	Property, Plant and Equipment	Dr.	30,000	
	To Foreign Exchange Difference Account			30,000

Note: In this case, since the option under Para 46A is availed, the Exchange Loss of ₹ 30,000 is capitalized in the cost of Property, Plant and Equipment, which will indirectly get recognized in the

Profit & Loss A/c by way of increased depreciation over the remaining useful life of the asset.

(iii) Option under Para 46A is availed

Date	Particulars		Debit (₹)	Credit (₹)
20X1 Apr. 01	Bank Account (10,000 x 48)	Dr.	4,80,000	
	To Foreign Loan Account			4,80,000
20X2 Mar 31	Finance Cost (USD 10,000 x 5% x ₹ 51)	Dr.	25,500	
	To Bank Account			25,500
	PL Account	Dr.	25,500	
	To Finance Cost			25,500
	Foreign Exchange Difference Account	Dr.	30,000	
	To Foreign Loan Account [10,000 x (51 – 48)]			30,000
	FCMITDA A/c	Dr.	30,000	
	To Foreign Exchange Difference Account			30,000

Note: In this case, since the option under Para 46A is availed, the Exchange Loss of ₹ 30,000 is accumulated in the FCMITD A/c, which will be subsequently spread over and debited to P&L A/c over the tenure of the loan.

Question 10

Legal Ltd. is engaged in the manufacturing of rubber. For its plant, it required machineries of latest technology. It usually resorts to Long Term Foreign Currency Borrowings for its fund requirements. On 1st April, 20X1, it borrowed US $ 1 million from International Funding Agency, USA when exchange rate was 1 $ = ₹ 63. The funds were used for acquiring machineries, on the same date, to be used in three different plants. The useful life of the machineries is 10 years and their residual value is ₹ 30,00,000.

Earlier also the company used to purchase machineries out of foreign borrowings. The exchange differences arising on such borrowings were charged to profit and loss account and were not capitalized even though the company had an option to capitalize it as per notified AS 11.

Now for this new purchase of machinery, Legal Ltd, is interested to avail the option of capitalizing the same to the cost of asset. Exchange rate on 31st March, 20X2 is 1 US $ = ₹ 62. Assume that on 31st March, 20X2, Legal Ltd. is not having any old long term foreign currency borrowings except for the amount borrowed for machinery purchased on 1st April, 20X1.

Comment whether Legal Ltd. can capitalize the exchange difference to the cost of asset on 31st March, 20X2. If yes, then calculate the depreciation amount on machineries as on 31st March, 20X2.

Answer

As per paragraph 46A of AS 11, 'The Effects of Changes in Foreign Exchange Rates', in respect of accounting periods commencing on or after 1st April, 2011, for an enterprise which had earlier exercised the option under paragraph 46 or not (such option to be irrevocable and to be applied to all such foreign currency monetary items), the exchange differences arising on reporting of long term foreign currency monetary items at rates different from those at which they were initially recorded during the period, or reported in previous financial statements, in so far as they relate to the acquisition of a depreciable capital asset, can be added to or deducted from the cost of the asset and shall be depreciated over the balance life of the asset.

Accordingly, though Legal Ltd. had not earlier exercised the option, yet it can avail the option to capitalize the exchange difference to the cost of machinery by virtue of para 46A of AS 11. Further, since Legal Ltd. has no earlier long-term foreign currency borrowings, it is not required to apply capitalization option to earlier borrowing also.

Exchange difference to be capitalized and depreciation amount

	₹
Cost of the asset in $	1 million
Exchange rate on 1st April, 20X1	₹ 63 = 1$
Cost of the asset in ₹ (1 million x ₹ 63)	63 million
Less: Exchange difference on 31st March, 20X2 [(63 – 62) x $ 1 million] (Gain)	(1 million)
	62 million
Less: Depreciation for 20X1-20X2 [(62 million – 3 million)/10 years]	(5.90 million)
	56.10 million

Accounting of Forward Contracts

Question 11

Rau Ltd. purchased a plant for US$ 1,00,000 on 01st February 20X1, payable after three months. Company entered into a forward contract for three months @ ₹ 49.15 per dollar. Exchange rate per dollar on 01st Feb. was ₹ 48.85. How will you recognise the profit or loss on forward contract in the books of Rau Ltd.?

Answer

In recording a forward exchange contract intended for trading or speculation purposes, the premium or discount on the contract is ignored and at each balance sheet date, the value of the contract is marked to its current market value and the gain or loss on the contract is recognised.

Forward Rate	₹ 49.15
Less: Spot Rate	(₹ 48.85)
Premium on Contract	**₹ 0.30**
Contract Amount	US$ 1,00,000
Total Loss (1,00,000 x 0.30)	**₹ 30,000**

Contract period 3 months (2 months falling in the year ended 31st March, 20X1)

So, Loss to be recognised (30,000/3) x 2 = ₹ 20,000 in the year ended 31st March, 20X1. Rest ₹ 10,000 will be recognised in the following year.

Question 12

AXE Limited purchased fixed assets costing $ 5,00,000 on 1st Jan. 20X2 from an American company M/s M&M Limited. The amount was payable after 6 months. The company entered into a forward contract on 1st January 20X2 for five months @ ₹ 62.50 per dollar. The exchange rate per dollar was as follows:

On 1st January, 20X2 ₹ 60.75 per dollar

On 31st March, 20X2 ₹ 63.00 per dollar

Answer

As per **AS 11** "The Effects of Changes in Foreign Exchange Rates", an enterprise may enter into a forward exchange contract to establish the amount of the reporting currency required, the premium or discount arising at the inception of such a forward exchange contract should be amortized as expenses or income over the life of the contract.

Forward Rate	₹ 62.50
Less: Spot Rate	(₹ 60.75)
Premium on Contract	**₹ 1.75**
Contract Amount	US$ 5,00,000
Total Loss (5,00,000 x 1.75)	**₹ 8,75,000**

Out of total contract period 5 months **3 months falling in the year 20X1-X2; therefore, loss to be recognized in 20X1-X2 (8,75,000/5) x 3 = ₹ 5,25,000. Rest ₹ 3,50,000 will be recognized in the following year 20X2-X3.**

Question 13

Mr. A bought a forward contract for three months of US$ 1,00,000 on 1st December at 1 US$ = ₹ 47.10 when exchange rate was US$ 1 = ₹ 47.02. On 31st December when he closed his books exchange rate was US$ 1 = ₹ 47.15. On 31st January, he decided to sell the contract at ₹ 47.18 per dollar. Show how the profits from contract will be recognised in the books.

Answer

Since the forward contract was **for speculation purpose** the premium on contract i.e. the **difference between the spot rate and contract rate will not be recorded** in the books. Only **when the contract is sold the difference between the contract rate and sale rate will be recorded in the Profit & Loss Account.**

Sale Rate	₹ 47.18
Less: Contract Rate	(₹ 47.10)
Premium on Contract	**₹ 0.08**
Contract Amount	US$ 1,00,000
Total Profit (1,00,000 x 0.08)	**₹ 8,000**

Early Payment or Late Payment Decision

Question 14

Trower Limited is an Indian importer. It imports goods from True View Limited situated at London. Trower Limited has a payable of £ 50,000 to True View Limited as on 31st March, 20X1. True View Limited has given Trower Limited the following two options:

(i) Pay immediately with a cash discount of 1% on the payable.

(ii) Pay after 6 months with interest @ 5% p.a. on the payable.

The borrowing rate for Trower Limited in rupees is 15% p.a.

The following are the exchange rates:

Date	₹/£
31st March, 20X1	97
30th September, 20X1	99

You are required to give your opinion to Trower Limited on which of the above two options to be chosen.

Answer

Option (i) Pay immediately with Cash discount of 1% on the payable

Total amount payable on 31.3.20X1	£ 50,000
Less: Cash discount (50,000 x 1/100)	£ (500)
	£ 49,500
In ₹ (£ 49,500 x ₹ 97)	₹ 48,01,500
Add: Borrowing cost @ 15% p.a. for 6 months	₹ 3,60,112.50
If payment made immediate	**₹ 51,61,612.50**

Option (ii) Pay after 6 months with interest @ 5% p.a. on the payable

Total amount payable on 31.3.20X1	£ 50,000
Interest for 6 months @ 5% (50,000 x 5/100 x 6/12)	£ 1,250
	£ 51,250
If payment made after 6 months (£ 51,250 x 99)	**₹ 50,73,750**

Thus, **Option (ii) is beneficial** to Trower Limited as the **Rupee outflow will be lower by** ₹ (51,61,612 – 50,73,750) = **₹ 87,862** in option (ii).

CHAPTER - 12
AS 12: Accounting for Government Grants

Government Grant Related to Specific PPE

Question 1

Z Ltd. purchased a fixed asset for ₹ 50 lakhs, which has the estimated useful life of 5 years with the salvage value of ₹ 5,00,000. On purchase of the asset government granted it a grant for ₹ 10 lakhs. Pass the necessary journal entries in the books of the company for first two years if the grant amount is deducted from the value of fixed asset.

Answer

Journal Entries in the Books of Z Ltd.

Date	Particulars		Debit (₹)	Credit (₹)
Year 1	Fixed Assets Account	Dr.	50,00,000	
	To Bank Account			50,00,000
	(Being Fixed Assets purchased)			
	Bank Account	Dr.	10,00,000	
	To Fixed Assets Account			10,00,000
	(Being grant received from the government)			
	Depreciation Account	Dr.	7,00,000	
	To Fixed Assets Account			7,00,000
	(Being Depreciation charged on SLM)			
	Profit & Loss Account	Dr.	7,00,000	
	To Depreciation Account			7,00,000
	(Being Depreciation transferred to P&L Account)			
Year 2	Depreciation Account	Dr.	7,00,000	
	To Fixed Assets Account			7,00,000
	(Being Depreciation charged on SLM)			
	Profit & Loss Account	Dr.	7,00,000	
	To Depreciation Account			7,00,000
	(Being Depreciation transferred to P&L Account)			

Question 2

Z Ltd. purchased a fixed asset for ₹ 50 lakhs, which has the estimated useful life of 5 years with the salvage value of ₹ 5,00,000. On purchase of the asset, government granted it a grant for ₹ 10 lakhs (This amount was reduced from the cost of fixed asset). Grant was considered as refundable in the end of 2nd year to the extent of ₹ 7,00,000. Pass the journal entry for refund of the grant.

Answer

Date	Particulars	Debit (₹)	Credit (₹)

Year 2	Fixed Assets Account	Dr.	7,00,000	
	To Bank Account			7,00,000
	(Being government grant on asset refunded)			

Question 3

A fixed asset is purchased for ₹ 20 lakhs. Government grant received towards it is ₹ 8 lakhs. Residual Value is ₹ 4 lakhs and useful life is 4 years. Assume depreciation on the basis of Straight-Line method. Asset is shown in the balance sheet net of grant. After 1 year, grant becomes refundable to the extent of ₹ 5 lakhs due to non-compliance with certain conditions. Pass journal entries for first two years.

Answer

Journal Entries **(₹) in lakhs**

Date	Particulars		Debit (₹)	Credit (₹)
Year 1	Fixed Assets Account	Dr.	20	
	To Bank Account			20
	(Being Fixed Assets purchased)			
	Bank Account	Dr.	8	
	To Fixed Assets Account			8
	(Being grant received from the government)			
	Depreciation Account	Dr.	2	
	To Fixed Assets Account			2
	(Being Depreciation charged on SLM)			
	Profit & Loss Account	Dr.	2	
	To Depreciation Account			2
	(Being Depreciation transferred to P&L Account)			
Year 2	Fixed Assets Account	Dr.	5	
	To Bank Account			5
	(Being government grant on asset partly refunded which increased the cost of fixed asset)			
	Depreciation Account	Dr.	3.67	
	To Fixed Assets Account			3.67
	(Being depreciation charged on SLM on revised value of fixed asset prospectively)			
	Profit & Loss Account	Dr.	3.67	
	To Depreciation Account			3.67
	(Being Depreciation transferred to P&L Account)			

Working Notes:

1. Depreciation for Year 1

	₹ in lakhs
Cost of the Asset	20

Less: Government grant received	(8)
	12
Depreciation [(12 – 4)/4]	2

2. Depreciation for Year 2

	₹ in lakhs
Cost of the Asset	20
Less: Government grant received	(8)
	12
Less: Depreciation for the first year [(12 – 4)/4]	2
	10
Add: Government grant refundable	5
	15
Depreciation for the second year [(15 – 4)/3]	3.67

Question 4

On 1.4.20X1, ABC Ltd. received Government grant of ₹ 300 lakhs for acquisition of machinery costing ₹ 1,500 lakhs. The grant was credited to the cost of the asset. The life of the machinery is 5 years. The machinery is depreciated at 20% on WDV basis. The Company had to refund the grant in May 20X4 due to non-fulfillment of certain conditions.

How you would deal with the refund of grant in the books of ABC Ltd. assuming that the company did not charge any depreciation for year 20X4?

Answer

According to para 21 of AS 12 on Accounting for Government Grants, the amount refundable in respect of a grant related to a specific fixed asset should be recorded by increasing the book value of the asset or by reducing deferred income balance, as appropriate, by the amount refundable. Where the book value is increased, depreciation on the revised book value should be provided prospectively over the residual useful life of the asset.

		(₹ in lakhs)
1st April, 20X1	Acquisition cost of machinery (₹ 1,500 – ₹ 300)	1,200.00
31st March, 20X2	Less: Depreciation @ 20%	(240.00)
	Book value	960.00
31st March, 20X3	Less: Depreciation @ 20%	(192.00)
	Book value	768.00
31st March, 20X4	Less: Depreciation @ 20%	(153.60)
1st April, 20X4	Book value	614.40
May, 20X4	Add: Refund of grant	300.00
	Revised book value	**914.40**

Depreciation @ 20% on the revised book value amounting ₹ 914.40 lakhs is to be provided prospectively over the residual useful life of the asset.

Question 5

Hygiene Ltd. had received a grant of ₹ 50 lakh in 20X1 from a State Government towards installation of pollution control machinery on fulfilment of certain conditions. The company, however, failed to comply with the said conditions and consequently was required to refund the said amount in 20X5. The company debited the said amount to its machinery account in 20X5 on payment of the same. It also reworked the depreciation for the said machinery from the date of its purchase and passed necessary adjusting entries in the year 20X5 to incorporate the retrospective impact of the same. State whether the treatment done by the company is correct or not.

Answer

As per the facts of the case, Hygiene Ltd. had received a grant of ₹ 50 lakh in 20X1 from a State Government towards installation of pollution control machinery on fulfilment of certain conditions. However, the amount of grant has to be refunded since it failed to comply with the prescribed conditions. In such circumstances, **AS 12,** "Accounting for Government Grants", requires that the **amount refundable in** respect of a government **grant** related to a specific fixed asset is recorded by increasing the book value of the asset or by reducing the capital reserve or the deferred income balance, as appropriate, by the amount refundable. The Standard further makes it clear that in the first alternative, i.e., where the **book value of the asset is increased**, **depreciation on the revised book value should be provided prospectively** over the residual useful life of the asset. Accordingly, the accounting treatment given by Hygiene Ltd. of increasing the value of the plant and machinery is quite proper. However, the accounting treatment in respect of depreciation given by the company of **adjustment of depreciation with retrospective effect is improper and constitutes violation of AS 12.**

Question 6

D Ltd. acquired a machine on 1.4.20X1 for ₹ 20,00,000. The useful life is 5 years. The company had applied on 1.4.20X1, for a subsidy to the tune of 80% of the cost. The sanction letter for subsidy was received in November 20X4. The Company's Fixed Assets Account for the financial year 20X4-X5 shows a credit balance as under:

Particulars	**₹**
Machine (Original Cost)	20,00,000
Accumulated Depreciation (from 20X1-X2 to 20X3-X4 on Straight Line Method)	12,00,000
	8,00,000
Less: Grant received	(16,00,000)
Balance	(8,00,000)

You are required to explain how should the company deal with this asset in its accounts for 20X4-X5?

Answer

From the above account, it is inferred that the Company has deducted grant from the book value of asset for accounting of Government Grants. Accordingly, out of the ₹ 16,00,000 that has been received, **₹ 8,00,000** (being the balance in Machinery A/c) **should be credited to the machinery A/c**.

The **balance ₹ 8,00,000 may be credited to P&L A/c**, since already the cost of the asset to the tune of ₹ 12,00,000 had been debited to P&L A/c in the earlier years by way of depreciation charge, and ₹ 8,00,000 transferred to P&L A/c now would be partial recovery of that cost.

There is no need to provide depreciation for 20X4-X5 or 20X5-X6 as the **depreciable amount is now Nil**.

Question 7

Z Ltd. purchased a fixed asset for ₹ 50 lakhs, which has the estimated useful life of 5 years with the salvage value of ₹ 5,00,000. On purchase of the asset, government granted it a grant for ₹ 10 lakhs. Pass the necessary journal entries in the books of the company for first two years if the grant is treated as deferred income.

Answer

Journal Entries in the Books of Z Ltd.

Date	Particulars		Debit (₹)	Credit (₹)
Year 1	Fixed Assets Account	Dr.	50,00,000	
	To Bank Account			50,00,000
	(Being Fixed Assets purchased)			
	Bank Account	Dr.	10,00,000	
	To Deferred Government Grant Account			10,00,000
	(Being grant received from the government)			
	Depreciation Account	Dr.	9,00,000	
	To Fixed Assets Account			9,00,000
	(Being Depreciation charged on SLM)			
	Profit & Loss Account	Dr.	9,00,000	
	To Depreciation Account			9,00,000
	(Being Depreciation transferred to P&L Account)			
	Deferred Government Grants Account	Dr.	2,00,000	
	To Profit & Loss Account			2,00,000
	(Being proportionate government grant taken to P/L)			
Year 2	Depreciation Account	Dr.	9,00,000	
	To Fixed Assets Account			9,00,000
	(Being Depreciation charged on SLM)			
	Profit & Loss Account	Dr.	9,00,000	
	To Depreciation Account			9,00,000
	(Being Depreciation transferred to P&L Account)			
	Deferred Government Grants Account	Dr.	2,00,000	
	To Profit & Loss Account			2,00,000
	(Being proportionate government grant taken to P/L)			

Question 8

Darshan Ltd. purchased a Machinery on 1st April, 20X1 for ₹ 130 lakhs (Useful life is 4 Years). Government grant received is ₹ 40 lakhs for the purchase of above Machinery.

Salvage value at the end of useful life is estimated at ₹ 60 lakhs. Darshan Ltd. decides to treat the grant as deferred income.

You are required to calculate the amount of depreciation and grant to be recognized in profit & loss account for the year ending 31st March, 20X2, 31st March, 20X3, 31st March, 20X4 & 31st March, 20X5.

Darshan Ltd. follows straight line method for charging depreciation.

Answer

As per **AS 12** "Accounting for government grants", grants **related to depreciable assets**, if treated as deferred income are recognized in the profit and loss statement on a systematic and rational basis over the useful life of the asset. Amount of depreciation and grant to be recognized in the profit and loss account each year.

Calculation of Depreciation per year:

	₹ in lakhs
Cost of the Asset	130
Less: Salvage value	(60)
	70
Depreciation per year (70lakhs/4)	17.50

₹ 17.50 Lakhs depreciation will be recognized for the year ending 31st March, 20X2, 31st March, 20X3, 31st March, 20X4 & 31st March, 20X5

Amount of grant recognized in Profit and Loss account each year:

40 lakhs /4 years = ₹ 10 Lakhs for the year ending 31st March, 20X2, 31st March, 20X3, 31st March, 20X4 & 31st March, 20X5

Question 9

A Ltd. purchased a machinery for ₹ 40 lakhs. (Useful life 4 years and residual value ₹ 8 lakhs) Government grant received is ₹ 16 lakhs.

Show the Journal Entry to be passed at the time of refund of grant in the beginning of the third year and the value of the fixed assets, if:

(1) the grant is credited to Fixed Assets A/c.

(2) the grant is credited to Deferred Grant A/c.

Answer

(1) If the grant is credited to Fixed Assets Account:

Particulars		**Debit (₹)**	**Credit (₹)**
Fixed Assets Account	Dr.	16 lakhs	
To Bank Account			16 lakhs
(Being government grant on asset refunded)			

The **balance of fixed assets** after two years depreciation will be ₹ 16 lakhs (W.N.1) and **after refund** of grant it will become (₹ 16 lakhs + ₹ 16 lakhs) **= ₹ 32 lakhs** on which depreciation will be charged for remaining two years. **Depreciation** = (32 – 8)/2 = **₹ 12 lakhs p.a. will be charged for next two years**.

(2) If the grant is credited to Deferred Grant Account:

As per para 14 of AS 12 'Accounting for Government Grants,' income from Deferred Grant Account is allocated to Profit & Loss account usually over the periods and in the proportions in which depreciation on related assets is charged. Accordingly, in the first two years (₹ 16 lakhs/4 years) = ₹ 4 lakhs p.a. x 2 years = ₹ 8 lakhs were credited to Profit and Loss Account and ₹ 8 lakhs was the balance of Deferred

Grant Account after two years.

Particulars		Debit (₹)	Credit (₹)
Deferred Grant Account	Dr.	8 lakhs	
Profit & Loss Account		8 lakhs	
To Bank Account			16 lakhs
(Being government grant on asset refunded)			

Deferred grant account will become Nil. The **fixed assets will continue** to be shown in the books **at ₹ 24 lakhs** (W.N.2) **and depreciation will continue to be charged at ₹ 8 lakhs per annum** for the remaining two years.

Working Notes:

1. Balance of Fixed Assets after two years but before refund (under first alternative)

Fixed assets initially recorded in the books = ₹ 40 lakhs – ₹ 16 lakhs = ₹ 24 lakhs

Depreciation p.a. = (₹ 24 lakhs – ₹ 8 lakhs)/4 years = ₹ 4 lakhs per year

Value of fixed assets after two years but before refund of grant = ₹ 24 lakh – (₹ 4 lakh x 2 yrs) = ₹ 16 lakhs

2. Balance of Fixed Assets after two years but before refund (under second alternative)

Fixed assets initially recorded in the books = ₹ 40 lakhs

Depreciation p.a. = (₹ 40 lakhs – ₹ 8 lakhs)/4 years = ₹ 8 lakhs per year

Book value of fixed assets after two years = ₹ 40 lakhs – (₹ 8 lakhs x 2 years) = ₹ 24 lakhs

Question 10

A specific government grant of ₹ 15 lakhs was received by USB Ltd. for acquiring Hi-Tech Diary plant of ₹ 95 lakhs during the year 20X1-X2. Plant has useful life of 10 years. The grant received was credited to deferred income in the balance sheet. At beginning of 20X4-X5, due to non-compliance of conditions laid down for the grant, the company had to refund the whole grant to the Government. Balance in the deferred income on that date was ₹ 10.50 lakhs and written down value of plant was ₹ 66.50 lakhs.

(i) What should be the treatment of the refund of the grant and the effect on cost of plant and the amount of depreciation to be charged during the year 20X4-X5 in profit and loss account?

(ii) What should be the treatment of the refund, if grant was deducted from cost of plant during 20X1-X2 assuming plant account showed the balance of ₹ 56 lakhs as on 1.4.20X4?

You are required to explain in the line with provisions of AS 12.

Answer

As per para 21 of **AS 12**, 'Accounting for Government Grants', "the amount refundable in respect of a grant related to specific fixed asset should be recorded by reducing the deferred income balance. To the extent the amount refundable exceeds any such deferred credit, the amount should be charged to profit and loss statement.

(i) In this case the grant refunded is ₹ 15 lakhs and balance in deferred income is ₹ 10.50 lakhs, **₹ 4.50 lakhs shall be charged to the profit and loss** account for the year 20X4-X5. There will be **no effect on the cost of the fixed asset** and depreciation charged will be on the same basis as charged in the earlier years.

(ii) If the grant was deducted from the cost of the plant in the year 20X1-X2 then, para 21 of AS 12 states that the amount refundable in respect of grant which relates to specific fixed assets should be recorded by increasing the book value of the assets, by the amount refundable. Where the book value of the asset is increased, depreciation on the revised book value should be provided prospectively over the residual useful life of the asset. Therefore, in this case, the **book value of the plant shall be increased by ₹ 15 lakhs**. The increased cost of ₹ 15 lakhs of the plant should be amortized over 7 years (residual life). **Depreciation charged during the year 20X4-X5 shall be** (56 + 15)/7 years = **₹ 10.14 lakhs** presuming the depreciation is charged on SLM.

Government Grant Related to Revenue

Question 11

X ltd. runs a charitable hospital. It incurs salary of doctors, staff etc. to the extent of ₹ 30 lakhs per annum. As a support, the local govt grants a lumpsum payment of ₹ 90 lakhs to meet the salary expense for a period of next 5 years.

You are required to pass the necessary journal entries in the books of the company for first year of the grant and present in the statement of profit & loss when the grant is:

(a) Shown separately as Other Income; and

(b) Deducted against the Salary costs.

Answer

(a) Shown separately as Other Income

Particulars		Debit (₹)	Credit (₹)
Bank Account	Dr.	90,00,000	
To Deferred Income Account			90,00,000
(Being receipt of grant from government)			
Salary Expense Account	Dr.	30,00,000	
To Bank Account			30,00,000
(Being Salary expense paid for the year)			
Deferred Income Account	Dr.	18,00,000	
To profit and loss Account			18,00,000
(Being Year 1 Grant income recognised in Profit & Loss)			
Profit and loss Account	Dr.	30,00,000	
To Salary Expense Account			30,00,000
(Being salary expense charged to Profit & Loss)			

Note: The grant has been spread on a straight-line basis over a period of 5 years [₹ 90,00,000/5 years = ₹ 18,00,000

Statement of Profit and Loss (Extract)

Particulars	Note No.	(₹)
Other income		18,00,000

(b) Shown as deduction from the salary costs

Particulars		Debit (₹)	Credit (₹)
Bank Account	Dr.	90,00,000	
To Deferred Income Account			90,00,000
(Being receipt of grant from government)			
Salary Expense Account	Dr.	30,00,000	
To Bank Account			30,00,000
(Being Salary expense paid for the year)			
Deferred Income Account	Dr.	18,00,000	
To Salary Expense Account			18,00,000
(Being Year 1 grant adjusted against Salary expense for the year)			
Profit and loss Account	Dr.	12,00,000	
To Salary Expense Account			12,00,000
(Being salary expense charged to Profit & Loss)			

Statement of Profit and Loss (Extract)

Particulars		Note No.	(₹)
Salary Cost	30,00,000		
Less: Deferred grant income	(18,00,000)		12,00,000

Question 12

Co X runs a charitable hospital. It incurs salary of doctors, staff etc. to the extent of ₹ 30 lakhs per annum. As a support, the local govt grants a lumpsum payment of ₹ 90 lakhs to meet the salary expense for a period of next 5 years.

At the start of Year 4, Co. X is unable to meet the conditions attached to the grant and is required to refund the entire grant of ₹ 90 lakhs.

You are required to pass the necessary journal entries in the books of the company for refund of the grant if the grant was shown separately as Other Income.

Answer

Particulars		Debit (₹)	Credit (₹)
Deferred Grant Account	Dr.	36 lakhs	
Profit & Loss Account	Dr.	54 lakhs	
To Bank Account			90 lakhs
(Being government grant on asset refunded)			

Workings:

Total grant received	₹ 90 Lakhs
Grant recognised as income for first 3 years: ₹ 18 lakhs x 3	₹ 54 lakhs
Remaining Deferred Income	₹ 36 lakhs

Question 13

Supriya Ltd. received a grant of ₹ 2,500 lakhs during the accounting year 20X1-20X2 from government for welfare activities to be carried on by the company for its employees. The grant prescribed conditions for its utilisation. However, during the year 20X2-20X3, it was found that the conditions of grants were not complied with and the grant had to be refunded to the government in full. Elucidate the current accounting treatment, with reference to the provisions of AS-12.

Answer

As per **AS 12** 'Accounting for Government Grants', Government grants sometimes become refundable because certain conditions are not fulfilled. A government grant that becomes refundable is treated as an extraordinary item as per AS 5.

The amount refundable in respect of a government **grant related to revenue** is applied first against any unamortised deferred credit remaining in respect of the grant. To the extent that the amount refundable exceeds any such deferred credit, or where no deferred credit exists, the amount is charged immediately to profit and loss statement.

In the present case, the amount of **refund** of government grant should be **first adjusted against the unamortised deferred income** in the books **and the excess if any** will be **debited to profit & loss account** of the company **as** an **extraordinary item in the year 20X2-20X3.**

Government Grant Related to Promoter's Contribution

Question 14

Top & Top Limited has set up its business in a designated backward area which entitles the company to receive from the Government of India a subsidy of 20% of the cost of investment, for which no repayment was ordinarily expected. Moreover, there was no condition that the company should purchase any specified assets for this subsidy. Having fulfilled all the conditions under the scheme, the company on its investment of ₹ 50 crore in capital assets received ₹ 10 crore from the Government in January, 20X2 (accounting period being 20X1-20X2). The company wants to treat this receipt as an item of revenue and thereby reduce the losses on profit and loss account for the year ended 31st March, 20X2.

Keeping in view the relevant Accounting Standard, discuss whether this action is justified or not.

Answer

As per para 10 of **AS 12** 'Accounting for Government Grants', where the government grants are of the nature of **promoters' contribution**, i.e. they are given with reference to the total investment in an undertaking or by way of contribution towards its total capital outlay (for example, central investment subsidy scheme) and no repayment is ordinarily expected in respect thereof, the grants are **treated as capital reserve** which can be neither distributed as dividend nor considered as deferred income.

In the given case, the subsidy received is neither in relation to specific fixed asset nor in relation to revenue. Thus, it is inappropriate to recognise government grants in the profit and loss statement, since they are not earned but represent an incentive provided by government without related costs. The correct treatment is to credit the subsidy to capital reserve. Therefore, the **accounting treatment** desired by company is **not proper.**

Mixed Topics

Question 15

On 1st April 20X1, Eleanor Limited purchased a manufacturing Plant for ₹ 60 lakhs, which has an estimated useful life of 10 years with a salvage value of ₹ 10 lakhs. On purchase of the Plant, a grant of ₹ 20 lakhs was received from the government.

You are required to calculate the amount of depreciation as per AS-12 for the financial year 20X2-X3 in the following cases:

(i) If the grant amount is deducted from the value of Plant.

(ii) If the grant is treated as deferred income.

(iii) If the grant amount is deducted from the value of Plant, but at the end of the year 20X2-X3 grant is refunded to the extent of ₹ 4 lakhs, due to non-compliance of certain conditions.

(iv) If the grant is treated as the promoter's contribution.

(Assume depreciation on the basis of Straight-Line Method.)

Answer

Calculation of depreciation as per AS 12 for the financial year 20X2-X3:

(i) If the grant amount is deducted from the value of Plant, then the amount of **deprecation will be ₹ 3,00,000 p.a.** (₹ 60,00,000 – ₹ 10,00,000 – ₹ 20,00,000)/10 year.

(ii) If the grant is treated as deferred income, then amount of **depreciation will be ₹ 5,00,000 p.a.** (₹ 60,00,000 – ₹ 10,00,000)/10 year.

(iii) If the grant amount is deducted from the value of plant, but at the end of the year 20X2-X3 grant is refunded to the extent of ₹ 4 lakh then the amount of **depreciation will be ₹ 3,00,000** (₹ 60,00,000 – ₹ 10,00,000 – ₹ 20,00,000)/10 year **for year 20X1-X2 and for the year 20X2-X3** Depreciation will be ₹ 3,00,000 calculated as follows (₹ 60,00,000 – ₹ 10,00,000 – ₹ 20,00,000 – ₹ 3,00,000)/10 years.

(iv) If the grant is treated as promoter's contribution, then the amount of **depreciation will be ₹ 5,00,000 p.a.** (₹ 60,00,000 – ₹ 10,00,000)/10 year.

Question 16

Santosh Ltd. has received a grant of ₹8 crores from the Government for setting up a factory in a backward area. Out of this grant, the company distributed ₹ 2 crores as dividend. Also, Santosh Ltd. received land free of cost from the State Government but it has not recorded it at all in the books as no money has been spent. In the light of AS 12 examine, whether the treatment of both the grants is correct.

Answer

As per **AS 12** 'Accounting for Government Grants', when government grant is received for a **specific purpose**, it should be utilised for the same. So, the grant received for setting up a factory is **not available for distribution of dividend.**

In the **second case**, even if the company has not spent money for the acquisition of land, **land** should be recorded in the books of accounts **at a nominal value**. The treatment of both the elements of the grant is **incorrect as per AS 12.**

Question 17

How would you treat the following in the accounts in accordance with AS 12 'Government Grants'?

(i) ₹ 35 Lakhs received from the Local Authority for providing medical facilities to the employees.

(ii) ₹ 100 Lakhs received as Subsidy from the Central Government for setting up a unit in notified backward area. This subsidy is in nature of nature of promoters' contribution.

Answer

(i) ₹ 35 lakhs received from the local authority for providing medical facilities to the employees is a grant received in nature of **revenue grant.** Such grants are generally presented as a credit in the profit and loss statement, either separately or under a general heading such as '**Other Income**'. **Alternatively**, ₹ 35 lakhs may be **deducted in reporting the related expense** i.e. employee benefit expenses.

(ii) As per **AS 12** 'Accounting for Government Grants', where the government grants are in the **nature of promoters' contribution,** i.e. they are given with reference to the total investment in an undertaking or by way of contribution towards its total capital outlay and no repayment is ordinarily expected in respect thereof, the grants are treated as capital reserve which can be neither distributed as dividend nor considered as deferred income. In the given case, the subsidy received from the Central Government for setting up a unit in notified backward area is neither in relation to specific fixed asset nor in relation to revenue. Thus, amount of ₹ 100 lakhs should be **credited to capital reserve**.

Question 18

Alps Limited has received the following Grants from the Government during the year ended 31st March, 20X1:

(i) ₹ 120 Lakhs received as Subsidy from the Central Government for setting up an Industrial undertaking in Medak, a notified backward area.

(ii) ₹ 15 Lakhs Grant received from the Central Government on installation of Effluent Treatment Plant.

(iii) ₹ 25 Lakhs received from State Government for providing Medical facilities to its workmen during the pandemic.

Advise Alps Limited on the treatment of the above Grants in its books of Account in accordance with AS-12 "Government Grants".

Answer

(i) As per **AS 12** 'Accounting for Government Grants', where the government grants are in the **nature of promoters' contribution** i.e., they are given with reference to the total investment in an undertaking or by way of contribution towards its total capital outlay and no repayment is ordinarily expected in respect thereof, the grants are treated as capital reserve which can be neither distributed as dividend nor considered as deferred income. In the given case, the subsidy received from the Central Government for setting up an industrial undertaking in Medak is neither in relation to specific fixed asset nor in relation in revenue. Thus, the amount of ₹ 120 Lakhs should be **credited to capital reserve**. (Note: Subsidy for setting up an industrial undertaking is considered to be in the nature of promoter's contribution)

(ii) As per **AS 12** 'Accounting for Government Grants', two methods of presentation in financial statements of grants related to **specific fixed assets** are regarded as acceptable **alternatives-**

(a) The grant is shown as a **deduction from the gross value of the asset** concerned in arriving at its book value. The grant is thus recognised in the profit and loss statement over the useful life of a

depreciable asset by way of a reduced depreciation charge. Where the grant equals the whole, or virtually the whole, of the cost of the asset, the asset is shown in the balance sheet at a nominal value.

(b) Grants related to depreciable asset are treated as **deferred income** which is recognised in the profit and loss statement on a systematic and rational basis over the useful life of the asset.

In the given case, ₹ 15 Lakhs was received as grant from the Central Government for installation of Effluent Treatment Plant. Since the grant was received for a fixed asset, either of the above methods can be adopted.

(iii) ₹ 25 lakhs received from State Government for providing medical facilities to its workmen during the pandemic is a grant received in nature of **revenue grant**. Such grants are generally presented as credit in the profit and loss statement, either separately or under a general heading such as **"Other Income"**. **Alternatively**, ₹ 25 lakhs may be **deducted in reporting the related expense** i.e., employee benefit expense.

Question 19

Suraj Limited provides you the following information:

(i) It received a Government Grant @ 40% towards the acquisition of Machinery worth ₹ 25 Crores.

(ii) It received a Capital Subsidy of ₹ 150 Lakhs from Government for setting up a Plant costing ₹ 300 Lakhs in a notified backward region.

(iii) It received ₹ 50 Lakhs from Government for setting up a project for supply of arsenic free water in a notified area.

(iv) It received ₹ 5 Lakhs from the Local Authority for `providing Corona Vaccine free of charge to its employees and their families.

(v) It also received a performance award of ₹ 500 Lakhs from Government with a condition of major renovation in the Power Plant within 3 years. Suraj Limited incurred 90% of amount towards Capital expenditure and balance for Revenue Expenditure.

State, how you will treat the above in the books of Suraj Limited.

Answer

(i) As per **AS 12** "Accounting for Govt. Grants", two methods of presentation in financial statements of grants related to **specific fixed assets** are regarded as acceptable alternatives. Under the first alternative, the grant of ₹ 10 crores (40% of 25 crores) is shown as a **deduction from the gross value** of the asset concerned in arriving at its book value. The grant is thus recognized the profit and loss statement over the useful life of a depreciable asset by way of a reduced depreciation charge. Under **second alternative** method, grant amounting ₹ 10 crores is treated as **deferred income** which is recognized in the profit and loss statement on a systematic and rational basis over the useful life of the asset.

(ii) In the given case, the grant amounting ₹ 150 lakhs received from the Central Government for setting up a plant in notified backward area may be considered as in the nature of **promoters' contribution**. Thus, amount of ₹ 150 lakhs should be **credited to capital reserve** and the plant will be shown at ₹ 300 lakhs.

(iii) ₹ 50 lakhs received from Govt. for setting up a project for supply of arsenic free water in notified area should be **credited to capital reserve**.

(iv) ₹ 5 lakhs received from the local authority for providing corona vaccine to the employees is a **grant**

received in nature of revenue grant. Such grants are generally presented as a credit in the profit and loss account, either separately or under a general heading '**Other Income'**. **Alternatively**, ₹ 5 lakhs may be **deducted in reporting the related expense** i.e. employee benefit expenses.

(v) ₹ 500 Lakhs will be **reduced from the renovation cost of power plant or** will be **treated as deferred income** irrespective of the expenditure done by the entity out of it as it was specifically received for the purpose major renovation of power plant. However, it may be, later on, decided by the Govt. whether the grant will have to be refunded or not due to non-compliance of conditions attached to the grant.

CHAPTER - 13
AS 13: Accounting for Investments

Accounting for Investment in Equity Shares

Question 1

On 1.4.20X1, Mr. Krishna Murty purchased 1,000 equity shares of ₹ 100 each in TELCO Ltd. @ ₹ 120 each from a Broker, who charged 2% brokerage. He incurred 50 paise per ₹ 100 as cost of shares transfer stamps. On 31.1.20X2, Bonus was declared in the ratio of 1:2. Before and after the record date of bonus shares, the shares were quoted at ₹ 175 per share and ₹ 90 per share respectively. On 31.3.20X2, Mr. Krishna Murty sold bonus shares to a Broker, who charged 2% brokerage. On 31.3.20X2, the market price of each share is ₹ 90.

Show the Investment Account in the books of Mr. Krishna Murty, who held the shares as Current assets and closing value of investments shall be made at Cost or Market value whichever is lower.

Answer

In the books of Mr. Krishna Murty

Investment Account for the year ended 31st March, 20X2

(Scrip: Equity Shares of TELCO Ltd.)

Date	Particulars	Nominal Value (₹)	Cost (₹)	Date	Particulars	Nominal Value (₹)	Cost (₹)
1.4.20X1	To Bank A/c (W.N.1)	1,00,000	1,23,000	31.3.20X2	By Bank A/c (W.N.2)	50,000	44,100
31.1.20X2	To Bonus shares (W.N.5)	50,000	–	31.3.20X2	By Balance c/d (W.N.4)	1,00,000	82,000
31.3.20X2	To P&L A/c (W.N.3)	–	3,100				
		1,50,000	**1,26,100**			**1,50,000**	**1,26,100**

Working Notes:

1. Cost of equity shares purchased on 1.4.20X1
   = (1,000 x ₹ 120) + (2% of ₹ 1,20,000) + (½% of ₹ 1,20,000) = ₹ 1,23,000
2. Sale proceeds of equity shares (bonus) sold on 31st March, 20X2
   = (500 x ₹ 90) – (2% of ₹ 45,000) = ₹ 44,100
3. Profit on sale of bonus shares on 31st March, 20X2 = Sale proceeds – Average cost
   Sale proceeds = ₹ 44,100
   Average cost = (₹ 1,23,000/1,50,000) x 50,000 = ₹ 41,000
   Profit = ₹ 44,100 – ₹ 41,000 = ₹ 3,100
4. Valuation of equity shares on 31st March, 20X2
   Cost = (₹ 1,23,000/1,50,000) x 1,00,000 = ₹ 82,000
   Market Value = 1,000 shares × ₹ 90 = ₹ 90,000
   Closing balance has been valued at ₹ 82,000 being lower than the market value.
5. Bonus shares do not have any cost.

Question 2

Mr. X purchased 500 equity shares of ₹ 100 each in Omega Co. Ltd. for ₹ 62,500 inclusive of brokerage and stamp duty. Some years later the company resolved to capitalise its profits and to issue to the holders of equity shares, one equity bonus share for every share held by them. Prior to capitalisation, the shares of Omega Co. Ltd. were quoted at ₹ 175 per share. After the capitalisation, the shares were quoted at ₹ 92.50 per share. Mr. X. sold the bonus shares and received at ₹ 90 per share. On 31.3.20X2, the market price of each share is ₹ 90.

Prepare the Investment Account in X's books.

Answer

In the books of X

Investment Account

[Scrip: Equity shares in Omega Co. Ltd.]

Particulars	Nominal Value	Cost	Particulars	Nominal Value	Cost
To Cash	50,000	62,500	By Cash - Sale (500 x 90)	50,000	45,000
To Bonus shares (W.N.1)	50,000	–	By Balance c/d (W.N. 3)	50,000	31,250
To P & L A/c (W.N. 2)	–	13,750			
	1,00,000	**76,250**		**1,00,000**	**76,250**
To Balance b/d	50,000	31,250			

Working Notes:

1. Bonus shares do not have any cost.
2. Profit on sale of bonus shares = Sales proceeds – Average cost

   Sales proceeds = ₹ 45,000

   Average cost = $\frac{500}{1,000}$ x 62,500 = ₹ 31,250

   Profit = ₹ 45,000 – ₹ 31,250 = ₹ 13,750
3. Valuation of Closing Balance of Shares at the end of year

   The total cost of 1,000 share including bonus is ₹ 62,500

   Therefore, cost of 500 shares (carried forward) is = $\frac{500}{1,000}$ x 62,500 = ₹ 31,250

   Market price of 500 shares = ₹ 90 x 500 shares = ₹ 45,000

   Cost being lower than the market price, therefore shares are carried forward at cost.

Question 3

Mr. X acquires 200 shares of a company on cum-right basis for ₹ 70,000. He subsequently receives an offer of right to acquire fresh shares in the company in the proportion of 1:1 at ₹ 107 each. He does not subscribe but sells all the rights for ₹ 12,000. The market value of the shares after their becoming ex-rights has also gone down to ₹ 60,000. What should be the accounting treatment in this case?

Answer

As per AS 13, where the investments are acquired on cum-right basis and the market value of investments immediately after their becoming ex-right is lower than the cost for which they were acquired, it may be appropriate to apply the sale proceeds of rights to reduce the carrying amount of such investments to the market value. In this case, the amount of the ex-right market value of 200 shares bought by X immediately after the declaration of rights falls to ₹ 60,000. In this case, out of sale proceeds of ₹ 12,000, **₹ 10,000 may be applied to reduce the carrying amount** to bring it to the market value and **₹ 2,000 would be credited to the profit and loss account.**

Question 4

On 1st April, 20X1 Mr. Shyam had an opening balance of 1,000 equity shares of X Ltd ₹ 1,20,000 (face value ₹ 100 each).

On 5.04.20X1 he further purchased 200 cum-right shares for ₹ 135 each. On 8.04.20X1 the director of X Ltd announced right issue in the ratio of 1:6.

Mr. Shyam waived off 100% of his entitlement of right issue in the favour of Mr. Rahul at the rate of ₹ 20 each.

All the shares held by Shyam had been acquired on cum right basis and the total market price (ex-right) of all these shares after the declaration of rights got reduced by ₹ 3,400.

On 10.10.20X1, Shyam sold 350 shares for ₹ 140 each.

On 31.03.20X2, the market price of each share is ₹ 125.

You are required to prepare the Investment account in the books of Mr. Shyam for the year ended 31.03.20X2 assuming that the shares are being valued at cost or market value, whichever is lower.

Answer

In the books of Mr. Shyam for the year ending on 31.3.20X2

(Scrip: Equity Shares of X Limited)

Date	Particulars	Nos	Amount	Date	Particulars	Nos	Amount
1.4.20X1	To Balance b/d	1,000	1,20,000	8.4.20X1	By Bank (W.N.1)	–	3,400
5.04.20X1	To Bank (200 x ₹ 135)	200	27,000	10.10.20X1	By Bank (350 x ₹ 140)	350	49,000
10.10.20X1	To P & L (W.N.2)	–	7,117	31.3.20X2	By Bal. c/d (W.N.3)	850	1,01,717
		1,200	**1,54,117**			**1,200**	**1,54,117**

Working Notes:

1. **Income by Sale of Rights = ₹ 4,000**

   The market price of all shares of X Ltd after shares becoming ex-rights has been reduced by ₹ 3,400

   In this case out of sale proceeds of ₹4,000; ₹ 3,400 may be applied to reduce the carrying amount to the market value and ₹ 600 would be credited to the profit and loss account.

2. **Profit on sale of 350 shares**

Sale price of 350 shares (350 shares x 140 each)	₹ 49,000
Less: Cost of 350 shares [(1,20,000 + 27,000 – 3,400) x 350]/1200	₹ 41,883
Profit	**₹ 7,117**

3. Valuation of 850 shares as on 31.03.20X2

Cost price of 850 shares [(1,20,000 + 27,000 – 3,400) x 850]/1,200	₹ 1,01,717
Fair Value as on 31.03.20X2 [850 x ₹ 125 each]	₹ 1,06,250
Cost price or fair value whichever is less	**₹ 1,01,717**

Question 5

On 1st April, 20X1, Rajat has 50,000 equity shares of P Ltd. at a book value of ₹ 15 per share (nominal value ₹ 10 each). He provides you the further information:

(1) On 20th June, 20X1 he purchased another 10,000 shares of P Ltd. at ₹ 16 per share.

(2) On 1st August, 20X1, P Ltd. issued one equity bonus share for every six shares held by the shareholders.

(3) On 31st October, 20X1, the directors of P Ltd. announced a right issue which entitles the holders to subscribe three shares for every seven shares at ₹ 15 per share. Shareholders can transfer their rights in full or in part.

Rajat sold 1/3rd of entitlement to Umang for a consideration of ₹ 2 per share and subscribed the rest on 5th November, 20X1.

You are required to prepare Investment A/c in the books of Rajat for the year ending 31st March, 20X2.

Answer

In the books of Rajat

Investment Account (Equity shares in P Ltd.)

Date	Particulars	Nos	Amount	Date	Particulars	Nos	Cost (₹)
1.4.20X1	To Balance b/d	50,000	7,50,000	31.3.20X2	By Balance c/d (B/f)	90,000	12,10,000
20.6.20X1	To Bank A/c	10,000	1,60,000				
1.8.20X1	To Bonus issue (W.N.1)	10,000	–				
5.11.20X1	To Bank A/c (R.S.) (W.N.4)	20,000	3,00,000				
		90,000	**12,10,000**			**90,000**	**12,10,000**

Working Notes:

(1) Bonus shares = $\frac{50,000 + 10,000}{6}$ = 10,000 shares

(2) Right shares = $\frac{50,000 + 10,000 + 10,000}{7}$ x 3 = 30,000 shares

(3) Sale of rights = $\frac{30,000 \text{ shares} \times 1}{3}$ x ₹ 2 = ₹ 20,000 credited to statement of P&L

(4) Rights subscribed = 30,000 shares x 2 x ₹ 15 = ₹ 3,00,000

Question 6

On 1.4.20X1, Sundar had 25,000 equity shares of 'X' Ltd. at a book value of ₹ 15 per share (Nominal value ₹ 10). On 20.6.20X1, he purchased another 5,000 shares of the company at ₹ 16 per share. The directors of 'X' Ltd. announced a bonus and rights issue. No dividend was payable on these issues. The terms of the issue are as follows:

Bonus basis 1:6 (Date 16.8.20X1).

Rights basis 3:7 (Date 31.8.20X1) Price ₹ 15 per share.

Due date for payment 30.9.20X1.

Shareholders were entitled to transfer their rights in full or in part. Accordingly, Sundar sold 33.33% of his entitlement to Sekhar for a consideration of ₹ 2 per share.

Dividends for the year ended 31.3.20X1 at the rate of 20% were declared by X Ltd. and received by Sundar on 31.10.20X1. Dividends for shares acquired by him on 20.6.20X1 are to be adjusted against the cost of purchase.

On 15.11.20X1, Sundar sold 25,000 equity shares at a premium of ₹ 5 per share. You are required to prepare in the books of Sundar.

(1) Investment Account

(2) Profit & Loss Account.

For your exercise, assume that the books are closed on 31.3.20X2 and shares are valued at average cost.

Answer

Books of Sundar

Investment Account (Scrip: Equity Shares in X Ltd.)

Date	Particulars	Nos.	Div.	Amount	Date	Particulars	Nos.	Div.	Amount
1.4.X1	To Bal. b/d	25,000	–	3,75,000	31.10.X1	By Bank	–	50,000	10,000
20.6.X1	To Bank	5,000	–	80,000	15.11.X1	By Bank (Sale)	25,000	–	3,75,000
16.8.X1	To Bonus (W.N.1)	5,000	–	–	31.3.X2	By Bal. c/d (W.N.6)	20,000	–	2,64,444
30.9.X1	To Bank (R.S.) (W.N.3)	10,000	–	1,50,000					
15.11.X1	To P&L (Profit)	–	–	44,444					
31.3.X2	To P&L	–	50,000	–					
		45,000	**50,000**	**6,49,444**			**45,000**	**50,000**	**6,49,444**

Profit and Loss Account (An extract)

Particulars	Amount	Particulars	Amount
To Balance c/d	1,04,444	By Profit transferred	44,444
		By Sale of rights (W.N.3)	10,000
		By Dividend (W.N.4)	50,000
	1,04,444		**1,04,444**

Working Notes:

(1) **Bonus shares** = $\frac{(25,000 + 5,000)}{6}$ = 5,000 shares

(2) **Right shares** = $\frac{(25,000 + 5,000 + 5,000)}{7}$ x 3 = 15,000 shares

(3) **Right shares** renounced = 15,000 x 1/3 = 5,000 shares

Sale of right shares = 5,000 x 2 = ₹ 10,000

Right shares subscribed = 15,000 – 5,000 = 10,000 shares

Amount paid for subscription of right shares = 10,000 x 15 = ₹ 1,50,000

(4) **Dividend received =** 25,000 (shares as on 1st April 20X1) x 10 x 20% = ₹ 50,000

Dividend on shares purchased on 20.6.X1 = 5,000 x 10 x 20% = ₹ 10,000 is adjusted to Investment A/c

(5) **Profit on sale** of 25,000 shares = Sales proceeds – Average cost

Sales proceeds = ₹ 3,75,000

Average cost = $\frac{3,75,000 + 80,000 + 1,50,000 - 10,000}{45,000}$ x 25,000 = ₹ 3,30,556

Profit = ₹ 3,75,000 – ₹ 3,30,556 = ₹ 44,444

(6) **Cost of shares** on 31.3.X2 = $\frac{3,75,000 + 80,000 + 1,50,000 - 10,000}{45,000}$ x 20,000 = ₹ 2,64,444

Question 7

On 1st April, 20X1, XY Ltd. has 15,000 equity shares of ABC Ltd. at a book value of ₹ 15 per share (nominal value ₹ 10 per share). On 1st June, 20X1, XY Ltd. acquired 5,000 equity shares of ABC Ltd. for ₹ 1,00,000. ABC Ltd. announced a bonus and right issue.

(1) Bonus was declared, at the rate of one equity share for every five shares held, on 1st July 20X1.

(2) Right shares are to be issued to the existing shareholders on 1st September 20X1. The company will issue one right share for every 6 shares at 20% premium. No dividend was payable on these shares.

(3) Dividend for the year ended 31.3.20X1 were declared by ABC Ltd. @ 20%, which was received by XY Ltd. on 31st October 20X1.

XY Ltd.

(i) Took up half the right issue.

(ii) Sold the remaining rights for ₹ 8 per share.

(iii) Sold half of its shareholdings on 1st January 20X2 at ₹ 16.50 per share. Brokerage being 1%.

You are required to prepare Investment account of XY Ltd. for the year ended 31st March 20X2 assuming the shares are being valued at average cost.

Answer

In the books of XY Ltd.

Investment in equity shares of ABC Ltd. for the year ended 31st March, 20X2

Date	Particulars	Nos.	Div.	Amount	Date	Particulars	Nos.	Div.	Amount
20X1					**20X1**				
1.4	To Bal b/d	15,000	–	2,25,000	31.10	By Bank A/c (W.N.5)	–	30,000	10,000
1.6	To Bank A/c	5,000	–	1,00,000	**20X2**				
1.7	To Bonus (W.N.1)	4,000	–	–	1.1	By Bank A/c (W.N.4)	13,000	–	2,12,355
1.9	To Bank A/c (W.N.2)	2,000	–	24,000	31.3	By Bal c/d (W.N.6)	13,000	–	1,69,500
20X2									
1.1	To P&L A/c (W.N.4)	–	–	42,855					
31.3	To P&L A/c	–	30,000	–					
		26,000	**30,000**	**3,91,855**			**26,000**	**30,000**	**3,91,855**

Working Notes:

1. Calculation of no. of bonus shares issued

$$\text{Bonus shares} = \frac{15{,}000 \text{ shares} + 5{,}000 \text{ shares}}{5} \times 1 = 4{,}000 \text{ shares}$$

2. Calculation of right shares subscribed

$$\text{Right shares} = \frac{15{,}000 \text{ shares} + 5{,}000 \text{ shares} + 4{,}000 \text{ shares}}{6} = 4{,}000 \text{ shares}$$

$$\text{Shares subscribed by XY Ltd.} = \frac{4{,}000}{2} = 2{,}000 \text{ shares}$$

3. Calculation of sale of right entitlement

= 2,000 shares x ₹ 8 per share = ₹ 16,000

Amount received from sale of rights will be credited to statement of profit and loss.

4. Calculation of profit on sale of shares

Total holding =	15,000 shares	original
	5,000 shares	purchased
	4,000 shares	bonus
	2,000 shares	right shares
	26,000 shares	

50% of the holdings were sold i.e. 13,000 shares (26,000 x 1/2) were sold.

Cost of total holdings of 26,000 shares = ₹ 2,25,000 + ₹ 1,00,000 + ₹ 24,000 – ₹ 10,000 = ₹ 3,39,000

$$\text{Average cost of 13,000 shares would be} = \frac{3{,}39{,}000}{26{,}000} \times 13{,}000 = ₹\ 1{,}69{,}500$$

	₹
Sale proceeds of 13,000 shares (13,000 x ₹ 16.50)	2,14,500
Less: 1% Brokerage	(2,145)
	2,12,355

Less: Cost of 13,000 shares	(1,69,500)
Profit on sale	42,855

5. Dividend received on investment held as on 1st April, 20X1

= 15,000 shares x ₹ 10 x 20% = ₹ 30,000 will be transferred to Profit and Loss A/c

Dividend received on shares purchased on 1st June, 20X1:

= 5,000 shares x ₹ 10 x 20% = ₹10,000 will be adjusted to Investment A/c

Note: It is presumed that no dividend is received on bonus shares as bonus shares are declared on 1st July, 20X1 and dividend pertains to the year ended 31.3.20X1.

6. Calculation of closing value of shares (on average basis) as on 31st March, 20X2

$= 13,000 \times \frac{3,39,000}{26,000} = ₹\ 1,69,500$

Question 8

On 1st April, 20X1, Mr. Vijay had 30,000 Equity shares in X Ltd. at a book value of ₹ 4,50,000 (Face Value ₹ 10 per share). On 22nd June, 20X1, he purchased another 5000 shares of the same company for ₹ 80,000.

The Directors of X Ltd. announced a bonus of equity shares in the ratio of one share for seven shares held on 10th August, 20X1.

On 31st August, 20X1 the Company made a right issue in the ratio of three shares for every eight shares held, on payment of ₹ 15 per share. Due date for the payment was 30th September, 20X1, Mr. Vijay subscribed to 2/3rd of the right shares and sold the remaining of his entitlement to Viru for a consideration of ₹ 2 per share.

On 31st October, 20X1, Vijay received dividends from X Ltd. @ 20% for the year ended 31st March, 20X1. Dividend for the shares acquired by him on 22nd June, 20X1 to be adjusted against the cost of purchase.

On 15th November, 20X1 Vijay sold 20,000 Equity shares at a premium of ₹ 5 per share.

You are required to prepare Investment Account in the books of Mr. Vijay for the year ended 31st March, 20X2 assuming the shares are being valued at average cost.

Answer

Investment Account in Books of Vijay (Scrip: Equity Shares in X Ltd.)

Date	Particulars	Nos.	Div.	Amount	Date	Particulars	Nos.	Div.	Amount
1.4.X1	To Bal b/d	30,000	–	4,50,000	31.10.X1	By Bank	–	60,000	10,000
22.6.X1	To Bank	5,000	–	80,000	15.11.X1	By Bank	20,000	–	3,00,000
10.8.X1	To Bonus	5,000	–	–	31.3.X2	By Bal. c/d	30,000	–	4,02,000
30.9.X1	To Bank (R.S.)	10,000	–	1,50,000					
15.11.X1	To P&L A/c (Profit)	–	–	32,000					
31.3.X2	To P&L A/c	–	60,000	–					
		50,000	**60,000**	**7,12,000**			**50,000**	**60,000**	**7,12,000**

Working Notes:

(1) **Bonus shares** = $\frac{(30,000 + 5,000)}{7}$ = 5,000 shares

(2) **Right shares** = $\frac{(30,000 + 5,000 + 5,000)}{8}$ x 3 = 15,000 shares

(3) **Right shares sold =** 15,000 x 1/3 = 5,000 shares

(4) **Dividend received =** 30,000 x 10 x 20% = ₹ 60,000 will be taken to P&L statement

(5) **Dividend on share purchase on 22.6.X1 =** 5,000 x 10 x 20% = ₹ 10,000 is adjusted to Investment A/c

(6) **Profit on sale** of 20,000 shares = Sales proceeds – Average cost

Sales proceeds = ₹ 3,00,000

Average cost = $\frac{4,50,000 + 80,000 + 1,50,000 - 10,000}{50,000}$ x 20,000 = ₹ 2,68,000

Profit = ₹ 3,00,000 – ₹ 2,68,000 = ₹ 32,000

(7) **Cost of shares on 31.3.X2 =** $\frac{4,50,000 + 80,000 + 1,50,000 - 10,000}{50,000}$ x 30,000 = ₹ 4,02,000

(8) Sale of rights amounting ₹ 10,000 (₹ 2 x 5,000 shares) will not be shown in investment A/c but will directly be taken to P & L statement.

Question 9

Meera carried out the following transactions in the shares of Kumar Ltd.:

(1) On 1st April, 20X1 she purchased 40,000 equity shares of ₹ 1 each fully paid up for ₹ 60,000.

(2) On 15th May 20X1, Meera sold 8,000 shares for ₹ 15,200.

(3) At a meeting on 15th June 20X1, the company decided:

(i) To make a bonus issue of one fully paid up share for every four shares held on 1st June 20X1, and

(ii) To give its members the right to apply for one share for every five shares held on 1st June 20X1 at a price of ₹ 1.50 per share of which 75 paise is payable on or before 15th July 20X1 and the balance, 75 paise per share, on or before 15th September, 20X1.

The shares issued under (i) and (ii) were not to rank for dividend for year ending 31st March 20X2.

(4) Meera received her bonus shares and took up 4,000 shares under the right issue, paying the sum thereon when due and selling the rights of the remaining shares at 40 paise per share; the proceeds were received on 30th September 20X1.

(5) On 15th March 20X2, she received interim dividend from Kumar Ltd. of 15% in respect of the current accounting year.

(6) On 30th March 20X2, she received ₹ 28,000 from the sale of 20,000 shares.

You are required to record these transactions in the Investment Account in Meera's books for the year ended 31st March 20X2 transferring any profits or losses on these transactions to Profit and Loss account. Apply average cost basis. Expenses and tax to be ignored.

Answer

Investment Account (Shares in Kumar Limited) in the books of Meera

Date	Particulars	Nos	Div.	Amount	Date	Particulars	Nos	Div.	Amount
20X1					**20X1**				
1.4	To Bank	40,000	–	60,000	15.5	By Bank	8,000	–	15,200
15.5	To P&L (W.N.1)	–	–	3,200	**20X2**				
15.6	To Bonus Share	8,000	–	Nil	15.3	By Bank	–	4,800	–
15.7	To Bank	4,000	–	3,000		(Div. @ 15% on			
	(@ 75 p. paid on					₹ 32,000)			
	4,000 shares)				30.3	By Bank	20,000	–	28,000
15.9	Bank	–	–	3,000	31.3	By Bal. c/d	24,000	–	29,455
	(@ 75 p. paid on								
	4,000 shares)								
20X2									
31.3	P&L (W.N.2)	–	–	3,455					
31.3	P&L	–	4,800	–					
		52,000	**4,800**	**72,655**			**52,000**	**4,800**	**72,655**

Working Notes:

(1) Profit on Sale on 15.5.20X1

Cost of 8,000 shares @ ₹ 1.50	₹ 12,000
Less: Sales price	₹ 15,200
Profit	**₹ 3,200**

(2) Cost of 20,000 shares sold

Cost of 44,000 shares (48,000 + 6,000)	₹ 54,000
Cost of 20,000 shares [(₹ 54, 000/44,000 Shares) x 20,000 shares]	₹ 24,545
Profit on sale of 20,000 shares (₹ 28,000 – ₹ 24,545)	**₹ 3,455**

Accounting for Investment in Interest Bearing Securities [Debentures, Bonds, etc.]

Question 10

In 20X1, M/s. Wye Ltd. issued 12% fully paid debentures of ₹ 100 each, interest being payable half yearly on 30th September and 31st March of every accounting year.

On 1st December, 20X2, M/s. Bull & Bear purchased 10,000 of these debentures at ₹ 101 ex-interest price, also paying brokerage @ 1% of ex-interest amount of the purchase. On 1st March, 20X3 the firm sold all these debentures at ₹ 103 ex-interest price, again paying brokerage @ 1% of ex-interest amount. Prepare Investment Account in the books of M/s. Bull & Bear for the period 1st December, 20X2 to 1st March, 20X3.

Answer

In the books of M/s Bull & Bear

Investment Account for the period from 1st December 20X2 to 1st March, 20X3

(Scrip: 12% Debentures of M/s. Wye Ltd.)

Date	Particulars	F.V.	Int.	Cost	Date	Particulars	F.V.	Int.	Cost
20X2					**20X3**				
1.12	To Bank (W.N.1)	10,00,000	20,000	10,20,100	1.3	By Bank (W.N.2)	10,00,000	50,000	10,19,700
20X3					1.3	By P&L (Loss)	–	–	400
1.3	To P&L A/c* (b.f.)	–	30,000	–					
		10,00,000	**50,000**	**10,20,100**			**10,00,000**	**50,000**	**10,20,100**

*This represents income for M/s. Bull & Bear for the period 1st December, 20X2 to 1st March, 20X3, i.e., interest for three months - 1st December, 20X2 to 28th February, 20X3)

Working Notes:

1. Cost of 12% debentures purchased on 1.12.20X2 ₹

Cost Value (10,000 x ₹ 101)	10,10,000
Add: Brokerage (1% of ₹ 10,10,000)	10,100
Total	**10,20,100**

2. Sale proceeds of 12% debentures sold ₹

Sales Price (10,000 x ₹ 103)	10,30,000
Less: Brokerage (1% of ₹ 10,30,000)	(10,300)
Total	**10,19,700**

Question 11

The following information is presented by Mr. Z (a stock broker), relating to his holding in 9% Central Government Bonds.

Opening balance (nominal value) ₹ 1,20,000, Cost ₹ 1,18,000 (Nominal value of each unit is ₹ 100).

1.3.20X1 Purchased 200 units, ex-interest at ₹ 98.

1.7.20X1 Sold 500 units, ex-interest out of original holding at ₹ 100.

1.10.20X1 Purchased 150 units at ₹ 98, cum interest.

1.11.20X1 Sold 300 units, ex-interest at ₹ 99 out of original holdings.

Interest dates are 30th September and 31st March. Mr. Z closes his books every 31st December. Show the investment account as it would appear in his books. Mr. Z follows FIFO method.

Answer

In the Books of Mr. Z

9% Central Government Bonds (Investment) Account

Date	Particulars	Nominal Value	Int.	Cost	Date	Particulars	Nominal Value	Int.	Cost
20X1					**20X1**				
1.1	To Balance b/d (W.N.1)	1,20,000	2,700	1,18,000	31.3	By Bank (W.N.3)	–	6,300	–

1.3	To Bank A/c (W.N.2)	20,000	750	19,600	1.7	By Bank (W.N.4)	50,000	1,125	50,000
1.7	To P&L A/c (W.N.5)	–	–	833	30.9	By Bank (W.N.6)	–	4,050	–
1.10	To Bank A/c (150 x 98)	15,000	–	14,700	1.11	By Bank (W.N.7)	30,000	225	29,700
1.11	To P&L A/c (W.N.8)	–	–	200	31.12	By Bal. c/d (W.N. 9 & W.N.10)	75,000	1,688	73,633
31.12	To P&L (B/f)	–	9,938	–					
		1,55,000	**13,388**	**1,53,333**			**1,55,000**	**13,388**	**1,53,333**

Working Note:

1. **Interest** element in opening balance of bonds = 1,20,000 x 9% x 3/12 = ₹ 2,700
2. **Purchase of bonds on 1.3.20X1**

   Interest element in purchase of bonds = 200 x 100 x 9% x 5/12 = ₹ 750

   Investment element in purchase of bonds = 200 x 98 = ₹ 19,600
3. **Interest** for half-year ended 31 March = 1,400 x 100 x 9% x 6/12 = ₹ 6,300
4. **Sale of bonds on 1.7.20X1**

   Interest element = 500 x 100 x 9% x 3/12 = ₹ 1,125

   Investment element = 500 x 100 = ₹ 50,000
5. **Profit on sale of bonds on 1.7.20X1**

   Cost of bonds = (1,18,000/1,200) x 500 = ₹ 49,167

   Sale proceeds = ₹ 50,000

   Profit element = ₹ 833
6. **Interest for half-year ended 30 September**

   = 900 x 100 x 9% x 6/12 = ₹ 4,050
7. **Sale of bonds on 1.11.20X1**

   Interest element = 300 x 100 x 9% x 1/12 = ₹ 225

   Investment element = 300 x 99 = ₹ 29,700
8. **Profit on sale of bonds on 1.11.20X1**

   Cost of bonds = (1,18,000/1,200) x 300 = ₹ 29,500

   Sale proceeds = ₹ 29,700

   Profit element = ₹ 200
9. **Closing value of investment**

Calculation of closing balance	**Nominal value**		**₹**
Bonds in hand remained in hand at 31.12.20X1			
From original holding (1,20,000 – 50,000 30,000)	40,000	(1,18,000/1,20,000) x 40,000	39,333
Purchased on 1st March	20,000		19,600

Purchased on 1st October	15,000		14,700
	75,000		**73,633**

10. Interest element in closing balance of bonds = 750 x 100 x 9% x 3/12 = ₹ 1,688

Question 12

Mr. Purohit furnishes the following details relating to his holding in 8% Debentures (₹ 100 each) of P Ltd., held as Current assets:

1.4.20X1 Opening balance – Nominal value ₹ 1,20,000, Cost ₹ 1,18,000

1.7.20X1 100 Debentures purchased ex-interest at ₹ 98

1.10.20X1 Sold 200 Debentures ex-interest at ₹ 100

1.1.20X2 Purchased 50 Debentures at ₹ 98 ex-interest

1.2.20X2 Sold 200 Debentures ex-interest at ₹99

Due dates of interest are 30th September and 31st March.

Mr. Purohit closes his books on 31.3.20X2. Brokerage at 1% is to be paid for each transaction (at ex-interest price). Show Investment account as it would appear in his books. Assume FIFO method. Market value of 8% Debentures of P Limited on 31.3.20X2 is ₹ 99.

Answer

Investment A/c of Mr. Purohit for the year ending on 31-3-20X2

(Scrip: 8% Debentures of P Limited)

(Interest Payable on 30th September and 31st March)

Date	Particulars	F.V.	Int.	Cost	Date	Particulars	F.V.	Int.	Cost
20X1					**20X1**				
1.4	To Bal. b/d	1,20,000	–	1,18,000	30.9	By Bank (1,300 x 100 x 8% x 6/12)	–	5,200	–
1.7	To Bank	10,000	200	9,898	1.10	By Bank	20,000	–	19,800
1.10	To P&L	–	–	133	**20X2**				
20X2					1.2	By Bank	20,000	533	19,602
1.1	To Bank	5,000	100	4,949	1.2	By P&L A/c	–	–	64
31.3	To P&L (B/f)	–	9,233	–	31.3	By Bank (950 x 100 x 8% x 6/12)	–	3,800	–
					31.3	By Balance c/d	95,000	–	93,514
		1,35,000	**9,533**	**1,32,980**			**1,35,000**	**9,533**	**1,32,980**

Working Notes:

1. Purchase of debentures on 1.7.20X1

Interest element = 100 x 100 x 8% x 3/12 = ₹ 200

Investment element = (100 x 98) + [1% (100 x 98)] = ₹ 9,898

2. Purchase of debentures on 1.1.20X2

Interest element = 50 x 100 x 8% x 3/12 = ₹ 100

Investment element = [(50 x 98) + {1% (50 x 98)}] = ₹ 4,949

3. Valuation of closing balance as on 31.3.20X2

		₹
Market value of 950 Debentures at ₹ 99		94,050
Cost of 800 Debentures cost = (1,18,000/1,20,000) x 80,000	78,667	
100 Debentures cost	9,898	
50 Debentures cost	4,949	93,514
Value at the end at whichever is less		**93,514**

4. Profit on sale of debentures as on 1.10.20X1

	₹
Sales price of debentures (200 x ₹ 100)	20,000
Less: Brokerage @ 1%	(200)
	19,800
Less: Cost of Debentures = (1,18,000/1,20,000) x 20,000	(19,667)
Profit on sale	**133**

5. Loss on sale of debentures as on 1.2.20X2

	₹
Sales price of debentures (200 x ₹ 99)	19,800
Less: Brokerage @ 1%	(198)
	19,602
Less: Cost of Debentures = (1,18,000/1,20,000) x 20,000	(19,666)
Loss on sale	**64**
Interest element in sale of investment = 200 x 100 x 8% x 4/12	**₹ 533**

Question 13

ABC Ltd. holds 2,000, 15% Debentures of ₹ 100 each in XYZ Ltd. as on April 1, 20X1 at a cost of ₹ 2,50,000.

Interest is payable on June, 30 and December, 31 each year.

Following are the details of 15% Debentures purchased and sold during the year 20X1-X2.

Particulars
On May 1, 20X1, 1,000 debentures are purchased cum-interest at ₹ 1,05,000.
On November 1, 20X1, 1200 debentures are sold ex-interest at ₹ 1,28,200.
On November 30, 20X1, 500 debentures are purchased ex-interest at ₹ 54,500.
On December 31, 20X1, 900 debentures are sold cum-interest for ₹ 1,18,000

You are required to prepare the investment Account showing value of holdings on March 31, 20X2 at cost, using FIFO Method.

Answer

In the Books of ABC Ltd

15% Debentures (Investment) Account

Date	Particulars	F.V.	Int.	Cost	Date	Particulars	F.V.	Int.	Cost
20X1					**20X1**				
1.4	To Balance b/d	2,00,000	7,500	2,50,000	30.6	By Bank A/c	–	22,500	–
1.5	To Bank A/c	1,00,000	5,000	1,00,000	1.11	By Bank A/c	1,20,000	6,000	1,28,200
30.11	To Bank A/c	50,000	3,125	54,500	1.11	By P&L A/c	–	–	21,800
31.12	To P&L A/c	–	–	1,250	31.12	By Bank A/c	90,000	6,750	1,11,250
20X2					31.12	By Bank A/c	–	10,500	–
31.3	To P&L A/c	–	35,375	–	**20X2**				
	(Transfer)				31.3	By Balance c/d	1,40,000	5,250	1,44,500
		3,50,000	**51,000**	**4,05,750**			**3,50,000**	**51,000**	**4,05,750**

1. Loss on sale of debentures on 1.11.X1

Cost = 2,50,000/2,000 x 1,200 ₹ 1,50,000

Sale proceeds ₹ 1,28,200

Loss = ₹ 1,50,000 less ₹ 1,28,200 ₹ 21,800

2. Profit on sale of debentures on 31.12.X1

Cost = (2,50,000/2,000 x 800) + (1,00,000/1,000 x 100) = 1,00,000 + 10,000 = ₹ 1,10,000

Sale proceeds = ₹ 1,11,250

Loss = ₹ 1,11,250 less ₹ 1,10,000 = ₹ 1,250

3. Calculation of closing balance

Debentures in hand remained in hand at 31.3.X2	Units		₹
Purchased on 1st May, X1	900	1,00,000 x 9/10	90,000
Purchased on 30th Nov. X1	500	54,500	54,500
	1,400		**1,44,500**

Accounting for Investment in Equity Shares & Interest Bearing Securities

Question 14

The following information is given for Mr. Atwood for the year ended 31.03.20X3:

01.04.20X2	Mr. Atwood has 3,000 equity shares in Sun Limited at a book value of ₹ 3,30,000 (nominal value ₹ 100 each.)
01.07.20X2	Purchased 1,500 equity shares in Sun Limited for ₹ 1,38,600.
01.08.20X2	Purchased 5,000, 9% Bonds at ₹ 97 cum-interest (face value ₹ 100). The due dates of interest are 1st September and 1st March.
02.10.20X2	Dividend declared on equity shares and paid by Sun Limited for year 20X1-20X2 @ 10%.
15.10.20X2	Sun Limited made a bonus issue of two equity shares for every five shares held.

01.01.20X3	1,000 equity shares in Sun Limited sold @₹ 115 per share.
31.03.20X3	Sold 4,000,9% Bonds @ ₹ 99 ex-interest

- The market price of Equity Shares of Sun Limited is ₹ 125 each and Bonds ₹ 98 each on 31st March 20X3.
- Interest on bonds was received on due dates.

You are required to prepare Investment Account in the books of Mr. Atwood for the year ended 31st March 20X3, assuming that the investments are valued at the average cost or market value, whichever is lower. (Round off to nearest Rupee)

Answer

In the books of Atwood

Investment in Equity Shares of Sun Ltd. Account

Date	Particulars	Nos	Div.	Amount	Date	Particulars	Nos	Div.	Amount
20X2					**20X2**				
1.4	To Balance b/d	3,000		3,30,000	2.10	By Bank (W.N. 5)	–	30,000	15,000
1.7	To Bank A/c	1,500		1,38,600	**20X3**				
15.10	To Bonus Issue	1,800		–	1.1	By Bank	1,000		1,15,000
20X3					31.3	By Balance c/d	5,300		3,81,600
1.1	To P&L (W.N. 6)	–		43,000		(W.N.7)			
31.3	To P&L (b.f.)	–	30,000	–					
		6,300	**30,000**	**5,11,600**			**6,300**	**30,000**	**5,11,600**

9% Bonds Account [Interest Payable: 1st September & 1st March]

Date	Particulars	F.V.	Int.	Cost	Date	Particulars	F.V.	Int.	Cost
20X2					**20X2**				
1.8	To Bank	5,00,000	18,750	4,66,250	1.9	By Bank	–	22,500	–
	(W.N.1)					(5,00,000 x			
20X3						9% x 6/12)			
31.3	To P&L	–		23,000	**20X3**				
	(W.N 3)				1.3	By Bank	–	22,500	–
31.3	To P&L	–	30,000	–	31.3	By Bank (W.N. 2)	4,00,000	3,000	3,96,000
					31.3	By Bal. c/d (WN4)	1,00,000	750	93,250
		5,00,000	**48,750**	**4,89,250**			**5,00,000**	**48,750**	**4,89,250**

Working Notes:

1. Cost of Bond purchased on 1st August, 20X2

5,000, 9% bonds were purchased @ ₹ 97 cum-interest.

Total amount paid 5,000 bonds x ₹ 97 = 4,85,000 which includes accrued interest for 5 months, i.e., 1st March, 20X2 to 31st July, 20X2.

Accrued interest will be ₹ 5,00,000 x 9/100 x 5/12 = ₹ 18,750.

Therefore, cost of Bond purchased = ₹ 4,85,000 – 18,750 = ₹ 4,66,250.

2. Sale of bonds on 31st March, 20X3

4,000 bonds were sold @ ₹ 99 ex-interest, i.e., Total amount received

= 4,000 x 99 + accrued interest for 1 month = ₹ 3,96,000 + ₹ 3,000 (4,00,000 x 9/100 x 1/12)

3. Profit on sale of bonds

	₹
Sale value	3,96,000
Cost of 4,00,000 9% bonds = (4,66,250/5,000) x 4,000	3,73,000
Profit	23,000

4. Value of bonds on 31.3.20X3

Lower of: Cost of bonds on 31.3.20X3 will be ₹ (4,66,250/5,000) x 1,000 = ₹ 93,250. Market Value on 31.3.20X3 will be ₹ 1,000 x 98 = 98,000

Value of bonds on 31.3.20X3 = ₹ 93,250

Interest accrued on bonds on 31.3.20X3 = 1,00,000 x 9% x 1/12 = ₹ 750

5. Dividend on equity shares for 20X1-X2

Post acquisition dividend = 3,00,000 x 10% = ₹ 30,000 transferred to Profit & Loss account

Pre-acquisition dividend = 1,50,000 x 10% = ₹ 15,000 credited to investment A/c

6. Profit on sale of equity shares

	₹
Sale value	1,15,000
Cost of shares = (4,53,600/6,300) x 1,000 (Average cost method being followed)	72,000
Profit	43,000

7. Value of equity shares at end of year

Lower of:

Cost of shares on 31.3.20X3 will be ₹ (4,53,600/6,300) x 5,300 = ₹ 3,81,600

Market Value on 31.3.20X3 will be ₹ 5,300 x 125 = 6,62,500

So, Value of shares = ₹ 3,81,600

Carrying Value of Investment

Question 15

On 1st December, 20X1 Ziva Limited had made an investment of ₹ 5,00,000 in 4,000 Equity Shares of Garry Limited at a price of ₹ 125 per share with an intention to hold it for not more than six months. In the first week of March, 20X2, Garry Limited suffered heavy loss due to an earthquake; the loss was not covered by an insurance policy. On 31st March,20X2, the shares of Garry Ltd. were traded at a price of ₹ 80 per share on the Stock Exchange.

How would you deal with the above investments in the books of Ziva Limited for the year ended 31st March, 20X2 as per the provisions of Accounting Standard 13 'Accounting for Investments'?

Answer

Equity Shares in Garry Ltd. will be considered as current investment as intended to hold for not more than six months. As per AS 13, "Accounting for Investments", carrying amount for current investments is the lower of cost and fair value. In respect of current Investments for which as active market exists, market value

generally provides the best evidence of fair value.

Since on 31st March, 20X2, the shares of Garry Limited were trading at a price of ₹ 80 per share on the stock exchange, the equity shares of Garry Ltd. should be carried in the financial statements at realizable value i.e. **at ₹ 3,20,000** (4,000 shares @ ₹ 80 per share). The reduction of **₹ 1,80,000 in carrying value of current investment will be charged to the statement of profit and loss** for the year ended 31st March, 20X2.

Question 16

An unquoted long-term investment is carried in the books at a cost of ₹ 2 lakhs. The published accounts of the unlisted company received in May, 20X1 showed that the company was incurring cash losses with declining market share and the long-term investment may not fetch more than ₹ 20,000. The reduction in value is apparent to be non-temporary. How will you deal with this in preparing the financial statements of R Ltd. for the year ended 31st March, 20X1?

Answer

As stated in the question that financial statements for the year ended 31st March, 20X1 are still under preparation. The answer has been given on the assumption that the financial statements are yet to be completed and approved by the Board of Directors.

Also, the fall in value of investments has been considered on account of conditions existing on the balance sheet date.

Investments classified as long-term investments should be carried in the financial statements at cost. However, provision for diminution should be made to recognise a decline, other than temporary, in the value of the investments, such reduction being determined and made for each investment individually. AS 13 (Revised) 'Accounting for Investments' states that indicators of the value of an investment are obtained by reference to its market value, the investee's assets and results and the expected cash flows from the investment. On the above basis, the facts of the given case clearly suggest that the provision for diminution should be made to reduce the carrying amount of long-term investment to **₹ 20,000 in the financial statements** for the year ended 31st March, 20X1.

Question 17

A company is engaged in the business of refining, transportation and marketing of petroleum products. During the financial year ended 31st March, 20X1, the company acquired controlling interest from Government of India in another public sector undertaking @ ₹ 1,551 per share as against the book value of ₹ 192.58 per share and market value of ₹ 876 per share as on 18th February, 20X1.

Thus, strategic premium of ₹ 675 per share has been paid considering various tangible and intangible factors.

The above investment in the shares of the acquired company has been considered as long term strategic investment and, therefore, has been accounted for at cost, i.e. at ₹ 1,551 per share in the financial statements. No provision for diminution in value has been made in the books of account.

As per the requirement of Schedule III to the Companies Act, 2013, the aggregate market value of the quoted shares has been properly reflected in the financial statements.

On 28th March, 20X1, the acquired shares were quoted at ₹ 880 per share on BSE and the current market price as on 18th July was around ₹ 300.

Considering the tangible and intangible benefits the Management is of the view that there is no permanent diminution in the value of the strategic investment in the acquired company, as the same has been considered as a long-term investment. Therefore, there is no need for provision for diminution in the value of the shares of the acquired company.

Required:

(i) Whether the accounting treatment 'at cost' under the head 'Long Term Investments' without providing for any diminution in value is correct and in accordance with the provisions of AS 13.

(ii) If any provision for diminution in the value is to be made, whether such provision should be charged to the profit and loss account or whether same can be considered as deferred expenditure and amortised over a period of 5 years. Whether it is open for the company to charge off such diminution in the value in the books of account instead of creating provision.

(iii) Whether the premium paid for strategic benefits for investment described in facts of the case, can be accounted for separately in the books of account keeping in view that AS 13 specifies that long term investments should be recorded at cost and there is no specific provision in the standard in respect of accounting for premium paid for strategic benefits.

Answer

(i) The accounting treatment 'at cost' under head 'Long Term Investment' in separate financial statements of company without providing for any diminution in value is **correct** and is in accordance with the provisions of AS 13 provided that there is no decline, other than temporary, in the value of investment.

(ii) The provision for diminution in the value of investment should be a charge to profit and loss statement. As per requirements of AS 13, the diminution in the value of **investment can neither be accounted for as deferred revenue expenditure** nor it can be written off in the statement of profit and loss.

(iii) The long-term investments should be carried at cost as per the requirements of AS 13. The amount paid over and above market price should be treated as cost and **cannot be accounted for separately**.

Question 18

X Ltd. on 1.1.20X1 had made an investment of ₹ 600 lakhs in the equity shares of Y Ltd. of which 50% is made in the long-term category and the rest as temporary investment. The realisable value of all such investment on 31.3.20X1 became ₹ 200 lakhs as Y Ltd. lost a case of copyright. From the given market conditions, it is apparent that the reduction in the value is not temporary in nature. How will you recognise the reduction in financial statements for the year ended on 31.3.20X1?

Answer

X Ltd. invested ₹ 600 lakhs in the equity shares of Y Ltd. Out of the same, the company intends to hold 50% shares for long term period i.e. ₹ 300 lakhs and remaining as temporary (current) investment i.e. ₹ 300 lakhs. Irrespective of the fact that investment has been held by X Ltd. only for 3 months (from 1.1.20X1 to 31.3.20X1), AS 13 (Revised) lays emphasis on intention of the investor to classify the investment as current or long term even though the long-term investment may be readily marketable.

In the given situation, the realisable value of all such investments on 31.3.20X1 became ₹ 200 lakhs i.e. ₹ 100 lakhs in respect of current investment and ₹ 100 lakhs in respect of long-term investment.

As per AS 13 (Revised), 'Accounting for Investment', the carrying amount for current investments is the

lower of cost and fair value. In respect of current investments for which an active market exists, market value generally provides the best evidence of fair value.

Accordingly, the carrying value of investment held as temporary investment should be **shown at realisable value i.e. at ₹ 100 lakhs.** The reduction of ₹ 200 lakhs in the carrying value of current investment will be charged to the profit and loss account.

The Standard further states that long-term investments are usually carried at cost. However, when there is a decline, other than temporary, in the value of long-term investment, the carrying amount is reduced to recognise the decline.

Here, Y Ltd. lost a case of copyright which drastically reduced the realisable value of its shares to one third which is quiet a substantial figure. Losing the case of copyright may affect the business and the performance of the company in the long run. Accordingly, it will be appropriate to reduce the carrying amount of long-term investment by ₹ 200 lakhs and **show the investments at ₹ 100 lakhs**, since the downfall in the value of shares is other than temporary. The reduction of ₹ 200 lakhs in the carrying value of long-term investment will also be charged to the Statement of profit and loss.

Question 19

Gowtham Limited invested in shares of another company (with the intention to hold the shares for short-term period) on 30th November, 20X3 at a cost of ₹ 4,25,000. It also earlier purchased Gold of ₹ 8,00,000 and Silver of ₹ 3,50,000 on 31st March, 20X1.

Market values as on 31st March, 20X4, of the above investments are as follows:

Shares	₹ 3,50,000
Gold	₹ 10,25,000
Silver	₹ 5,10,000

You are required to explain how will the above investments be shown (individually and in total) in the books of account of Gowtham Limited for the year ending 31st March, 20X4 as per the provisions of AS 13.

Answer

As per AS 13 (Revised) 'Accounting for Investments', for investment in shares - if the investment is purchased with an intention to hold for short-term period (less than one year), then it will be classified as current investment and to be carried at lower of cost and fair value, i.e., in case of shares, at lower of cost (₹ 4,25,000) and market value (₹ 3,50,000) as on 31st March 20X4, i.e., **₹ 3,50,000**.

Gold and silver are generally purchased with an intention to hold it for long term period (more than one year) until and unless given otherwise. Hence, the investment in Gold and Silver (purchased on 31st March, 20X1) should continue to be shown at cost (since there is no 'other than temporary' diminution) as on 31st March, 20X4, i.e., **₹ 8,00,000 and ₹ 3,50,000** respectively, though their market values have been increased.

Thus, the shares, gold and silver will be shown at ₹ 3,50,000, ₹ 8,00,000 and ₹ 3,50,000 respectively and hence, total investment will be valued at ₹ 15,00,000 for the year ending on 31st March, 20X4 as per AS 13.

Question 20

Mr. Mohan has invested some money in various Mutual funds. Following information in this regard is given:

Mutual Funds	Date of purchase	Purchase cost (₹)	Brokerage Cost (₹)	Stamp duty (₹)	Market value as on 31.03.20X5 (₹)
A	01.05.20X1	50,000	200	20	48,225
B	05.08.20X4	25,000	150	25	24,220
C	01.01.20X5	75,000	300	75	78,190
D	07.05.20X4	70,000	275	50	65,880

You are required to:

(i) Classify his investment in accordance with AS-13 (revised).

(ii) Value of Investment in mutual fund as on 31.03.20X5

Note: The reduction in value is apparent to be non-temporary.

Answer

As per AS 13 "Accounting for Investments", a current investment is an investment that is by its nature readily realizable and is intended to be held for not more than one year from the date on which such investment is made. The carrying amount for current investments is the lower of cost and fair value.

A long-term investment is an investment other than a current investment. Long term investments are usually carried at cost. If there is a decline, other than temporary, in the value of a long-term investment; the carrying amount is reduced to recognize the decline.

Mutual Funds	Classification	Cost (₹)	Market value (₹)	Carrying value (₹)
A	Long-term Investment	50,220	48,225	48,225
B	Current Investment	25,175	24,220	24,220
C	Current Investment	75,375	78,190	75,375
D	Current Investment	70,325	65,880	65,880
Total				**2,13,700**

Reclassification of Investments

Question 21

ABC Ltd. wants to re-classify its investments in accordance with AS 13 (Revised). Decide and state on the amount of transfer, based on the following information:

(1) A portion of current investments purchased for ₹ 20 lakhs, to be reclassified as long-term investment, as the company has decided to retain them. The market value as on the date of Balance Sheet was ₹ 25 lakhs.

(2) Another portion of current investments purchased for ₹ 15 lakhs, to be reclassified as long-term investments. The market value of these investments as on the date of balance sheet was ₹ 6.5 lakhs.

(3) Certain long-term investments no longer considered for holding purposes, to be reclassified as current investments. The original cost of these was ₹ 18 lakhs but had been written down to ₹ 12 lakhs to recognise other than temporary decline as per AS 13 (Revised).

Answer

As per AS 13 (Revised), where investments are reclassified from current to long-term, transfers are made at

the lower of cost and fair value at the date of transfer.

(1) In the first case, the market value of the investment is ₹ 25 lakhs, which is higher than its cost i.e. ₹ 20 lakhs. Therefore, the transfer to long term investments should be **carried at cost i.e. ₹ 20 lakhs**.

(2) In the second case, the market value of the investment is ₹ 6.5 lakhs, which is lower than its cost i.e. ₹ 15 lakhs. Therefore, the transfer to long term investments should be carried in the books at the market **value i.e. ₹ 6.5 lakhs. The loss of ₹ 8.5 lakhs should be charged to profit and loss account**.

As per AS 13 (Revised), where long-term investments are re-classified as current investments, transfers are made at the lower of cost and carrying amount at the date of transfer.

(3) In the third case, the book value of the investment is ₹ 12 lakhs, which is lower than its cost i.e. ₹ 18 lakhs. Here, the transfer should be at carrying amount and hence this re-classified current investment **should be carried at ₹ 12 lakhs.**

Question 22

Blue-chip Equity Investments Ltd., wants to re-classify its investments in accordance with AS 13 (Revised). State the values, at which the investments have to be reclassified in the following cases:

(i) Long term investments in Company A, costing ₹ 8.5 lakhs are to be re-classified as current. The company had reduced the value of these investments to ₹ 6.5 lakhs to recognise 'other than temporary' decline in value. The fair value on date of transfer is ₹ 6.8 lakhs.

(ii) Long term investments in Company B, costing ₹ 7 lakhs are to be re-classified as current. The fair value on date of transfer is ₹ 8 lakhs and book value is ₹ 7 lakhs.

(iii) Current investment in Company C, costing ₹ 10 lakhs are to be re-classified as long term as the company wants to retain them. The market value on date of transfer is ₹ 12 lakhs.

Answer

As per AS 13 (Revised) 'Accounting for Investments', where long-term investments are reclassified as current investments, transfers are made at the lower of cost and carrying amount at the date of transfer. And where investments are reclassified from current to long term, transfers are made at lower of cost and fair value on the date of transfer.

Accordingly, the re-classification will be done on the following basis:

(i) In this case, carrying amount of investment on the date of transfer is less than the cost; hence this re-classified current investment should be **carried at ₹ 6.5 lakhs** in the books.

(ii) The carrying/book value of the long-term investment is same as cost i.e. ₹ 7 lakhs. Hence this long-term investment will be reclassified as current investment **at book value of ₹ 7 lakhs only**.

(iii) In this case, reclassification of current investment into long-term investments will be made **at ₹ 10 lakhs** as cost is less than its market value of ₹ 12 lakhs.

Question 23

On 15th June, 20X2, Y limited wants to re-classify its investments in accordance with AS 13 (revised). Decide and state the amount of transfer, based on the following information:

(i) A portion of long-term investments purchased on 1st March, 20X1 are to be re-classified as current

investments. The original cost of these investments was ₹ 14 lakhs but had been written down by ₹ 2 lakhs (to recognise 'other than temporary' decline in value). The market value of these investments on 15th June, 20X2 was ₹ 11 lakhs.

(ii) Another portion of long-term investments purchased on 15th January, 20X1 are to be re-classified as current investments. The original cost of these investments was ₹ 7 lakhs but had been written down to ₹ 5 lakhs (to recognize 'other than temporary' decline in value). The fair value of these investments on 15th June, 20X2 was ₹ 4.5 lakhs.

(iii) A portion of current investments purchased on 15th March, 20X2 for ₹ 7 lakhs are to be re-classified as long term investments, as the company has decided to retain them. The market value of these investments on 31st March, 20X2 was ₹ 6 lakhs and fair value on 15th June 20X2 was ₹ 8.5 lakhs.

(iv) Another portion of current investments purchased on 7th December, 20X1 for ₹ 4 lakhs are to be re-classified as long term investments. The market value of these investments was:

on 31st March, 20X2	₹ 3.5 lakhs
on 15th June, 20X2	₹ 3.8 lakhs

Answer

As per AS 13 (Revised) 'Accounting for Investments', where long-term investments are reclassified as current investments, transfers are **made at the lower of cost and carrying amount** at the date of transfer; and where investments are reclassified from current to long term, transfers are made **at lower of cost and fair value** on the date of transfer.

Accordingly, the re-classification will be done on the following basis:

(i) In this case, carrying amount of investment on the date of transfer is less than the cost; hence this re-classified current investment should be **carried at ₹ 12 lakhs in the books**.

(ii) In this case also, carrying amount of investment on the date of transfer is less than the cost; hence this re-classified current investment should be **carried at ₹ 5 lakhs in the books.**

(iii) In this case, reclassification of current investment into long-term investments will be **made at ₹ 7 lakhs** as cost is less than its fair value of ₹ 8.5 lakhs on the date of transfer.

(iv) In this case, market value (considered as fair value) is ₹ 3.8 lakhs on the date of transfer which is lower than the cost of ₹ 4 lakhs. The reclassification of current investment into long-term investments will be **made at ₹ 3.8 lakhs.**

Question 24

The Investment portfolio of XYZ Ltd. as on 31.03.20X1 consisted of the following: **(₹ in lacs)**

Current Investments	**Cost**	**Fair Value as on 31.03.20X1**
(1) 1,000 Equity Shares of A Ltd.	5	7
(2) 500 Equity Shares of B Ltd.	10	15
(3) 1,000 Equity Shares of C Ltd.	15	12
Total	**30**	**34**

Give your comments on the following:

(i) The company wants to value the above portfolio at ₹ 30 lakhs being lower of cost or fair market value.

(ii) Company wants to transfer 1,000 Equity Shares of C Ltd. from current investments to long term investments on 31.03.20X1 at cost of ₹ 15 lakhs.

Answer

As per **AS 13** "Accounting for Investments", Valuation of current investments on overall (or global) basis is not considered appropriate. Sometimes, the concern of an enterprise may be with the value of a category of related current investments and not with each individual investment, and accordingly the investments may be carried at the lower of cost and fair value computed category-wise (i.e. equity shares, preference shares, convertible debentures, etc.). However, the more prudent and appropriate method is to carry investments individually at the lower of cost and fair value.

(i) Hence the company has to value the current investment at **₹ 27 Lacs** (A Ltd. shares at ₹ 5 lacs; B Ltd. shares at ₹ 10 lacs and C Ltd. shares at ₹ 12 lacs). The company's decision to value the portfolio at **₹ 30 lacs is not appropriate.**

(ii) Moreover, where investments are reclassified from current to long-term, transfers are made at the lower of cost and fair value at the date of transfer. Hence, company has to make transfer of 1,000 equity shares of C Ltd. **at ₹ 12 lacs** (fair value) and **not ₹ 15 lacs** (cost) as the fair value is less than cost.

CHAPTER - 14
AS 14: Accounting for Amalgamations

Calculation of Purchase Consideration (PC)

Question 1

A Ltd. take over B Ltd. on April 01, 20X1 and discharges consideration for the business as follows:

(i) Issued 42,000 fully paid equity shares of ₹ 10 each at par to the equity shareholders of B Ltd.

(ii) Issued fully paid up 15% preference shares of ₹ 100 each to discharge the preference shareholders (₹ 1,70,000) of B Ltd. at a premium of 10%.

(iii) It is agreed that the debentures of B Ltd. (₹ 50,000) will be converted into equal number and amount of 13% debentures of A Ltd.

Determine the amount of purchase consideration as per AS 14.

Answer

Particulars	**₹**
Equity Shares (42,000 x 10)	4,20,000
15% Preference Share Capital	1,70,000
Add: Premium on Redemption	17,000
Purchase Consideration	**6,07,000**

Note: As per AS 14, consideration for the amalgamation means the aggregate of the shares and other securities issued and the payment made in the form of cash or other assets by the transferee company to the shareholders of the transferor company. Thus, payment to debenture holders are not covered by the term 'consideration'.

Question 2

S Ltd. is absorbed by P Ltd. S ltd. gives the following information on the date of absorption:

Sundry Assets	13,00,000
Share capital:	
2,000 7% Preference shares of ₹ 100 each (fully paid-up)	2,00,000
5,000 Equity shares of ₹ 100 each (fully paid-up)	5,00,000
Reserves	3,00,000
6% Debentures	2,00,000
Trade payables	1,00,000

Additional information: P Ltd. has agreed:

(i) to issue 9% Preference shares of ₹ 100 each, in ratio of 3 shares of P Ltd. for 4 preference shares in S Ltd.

(ii) to issue to the debenture-holders in S Ltd. 8% Mortgage Debentures at ₹ 96 in lieu of 6% Debentures in S Ltd. which are to be redeemed at a premium of 20%;

(iii) to pay ₹ 20 per share in cash and to issue six equity shares of ₹ 100 each issued at the market value ₹ 125 in lieu of every five shares held in S Ltd.; and

(iv) to assume the liability to trade payables.

You are required to calculate the purchase consideration.

Answer

The purchase consideration will be:

	₹	Form
Preference shareholders: 2,000 x 3/4 x 100	1,50,000	9% Pref. shares
Equity shareholders: 5,000 x 20	1,00,000	Cash
5,000 x 6/5 x 125	7,50,000	Equity shares
	10,00,000	

Note:

1. According to AS 14, 'consideration' exclude amount payable to debenture-holders. The liability in respect of debentures of S Ltd. will be taken by P Ltd., which will then be settled by issuing new 8% debentures.
2. The issue of the equity shares is done at ₹ 125 (market value) as it has been mentioned in the question. The face value shall not be considered for this purpose.

Question 3

Astha Ltd. is absorbed by Nistha Ltd.; the consideration being the takeover of liabilities, the payment of cost of absorption not exceeding ₹ 10,000 (actual cost ₹ 9,000); the payment of the 9% debentures of ₹ 50,000 at a premium of 20% through 8% debentures issued at a premium of 25% of face value and the payment of ₹ 15 per share in cash and allotment of three 11% preference shares of ₹ 10 each and four equity shares of ₹ 10 each at a premium of 20% fully paid for every five shares in Astha Ltd.

The number of shares of the vendor company are 1,50,000 of ₹ 10 each fully paid. Calculate purchase consideration as per AS 14.

Answer

As per AS 14 'Accounting for Amalgamations', the term 'consideration' has been defined as the aggregate of the shares and other securities issued and the payment made in the form of cash or other assets by the transferee company to the shareholders of the transferor company.

The payment made by transferee company to discharge the Debenture holders and outside liabilities and cost of winding up of transferor company shall not be considered as part of purchase consideration.

Computation of Purchase Consideration

	₹
Cash payment [₹ 15 x 1,50,000]	22,50,000
11% Preference Shares of ₹ 10 each [(1,50,000 x 3/5) x ₹ 10]	9,00,000
Equity shares of ₹ 10 each @ 20% premium [(1,50,000 x 4/5) x ₹ 12]	14,40,000
Total Purchase consideration	**45,90,000**

Question 4

Let us consider the Balance Sheet of X Ltd. as at 31st March, 20X1:

Particulars			Note No.	₹ (000)
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	100,00
	(b)	Reserves and Surplus	2	12,50
2		**Non-current liabilities**		
	(a)	Long-term borrowings	3	40,00
3		**Current liabilities**		
	(a)	Trade Payables		20,00
		Total		**172,50**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment	4	105,50
	(b)	Non-current investment	5	5,00
2		**Current Assets**		
	(a)	Inventories		23,00
	(b)	Trade receivables		24,00
	(c)	Cash and Cash equivalents		15,00
		Total		**172,50**

Notes to accounts

S. No.		₹ in ('000)
1	**Share Capital**	
	7,50,000 Equity Shares of ₹ 10 each	75,00
	25,000 14% Preference Shares of ₹ 100 each	25,00
		100,00
2	**Reserves and Surplus**	
	General reserve	12,50
3	**Long-term borrowings**	
	Secured	
	14% Debentures	40,00
4	**Property, plant and Equipment**	
	Land and Building	50,00
	Plant and machinery	45,00
	Furniture	10,50
		105,50
5	**Non-current investments**	
	Investments at cost	5,00

Other Information:

(i) Y Ltd. takes over X Ltd. on 10th April, 20X1.

(ii) Debenture holders of X Ltd. are discharged by Y Ltd. at 10% premium by issuing 15% own debentures of Y Ltd.

(iii) 14% Preference Shareholders of X Ltd. are discharged at a premium of 20% by issuing necessary number of 15% Preference Shares of Y Ltd. (Face value ₹ 100 each).

(iv) Intrinsic value per share of X Ltd. is ₹ 20 and that of Y Ltd. ₹ 30. Y Ltd. will issue equity shares to satisfy the equity shareholders of X Ltd. on the basis of intrinsic value. However, the entry should be made at par value only. The nominal value of each equity share of Y Ltd. is ₹ 10.

Compute the purchase consideration.

Answer

	₹	Form
For Preference Shareholders of X Ltd.	3,000	30,000 15% Pref. shares in Y Ltd.
For equity shareholders of X Ltd. [(20/30 x 7,50,000) x ₹ 10]	5,000	5,00,000 Equity shares in Y Ltd.
	8,000	

Note: According to AS 14, amount paid to the debenture holders should not be included in the purchase consideration calculation. Such debentures will be taken over by Y Ltd. and then discharged by them later.

Question 5

The following is the summarized Balance Sheet of 'A' Ltd. as on 31.3.20X1:

Liabilities	**₹**	**Assets**	**₹**
14,000 Equity shares of ₹ 100 each	14,00,000	Sundry assets	18,00,000
General reserve	10,000		
10% Debentures	2,00,000		
Trade payables	1,40,000		
Bank overdraft	50,000		
	18,00,000		**18,00,000**

B Ltd. agreed to take over the business of 'A' Ltd. Calculate purchase consideration under Net Assets method on the basis: Market value of 75% of the sundry assets is estimated to be 12% more than the book value and that of the remaining 25% at 8% less than the book value. The liabilities are taken over at book values. There is an unrecorded liability of ₹ 25,000.

Answer

Calculation of Purchase Consideration under Net Assets Method

	₹	₹
Sundry assets		
18,00,000 x 75/100 x 112%	15,12,000	
18,00,000 x 25/100 x 92%	4,14,000	19,26,000
Less: Liabilities:		
10% Debentures	2,00,000	
Trade payables	1,40,000	

Bank overdraft	50,000	
Unrecorded liability	25,000	(4,15,000)
Purchase consideration		**15,11,000**

Question 6

Following is the balance sheet of A Ltd. as on 31st March, 20X1

Particulars			**Note No.**	**₹ (000)**
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	22,50
	(b)	Reserves and Surplus	2	9,00
2		**Non-current liabilities**		
	(a)	Long-term borrowings	3	7,00
3		**Current liabilities**		
	(a)	Trade Payables		5,00
		Total		**43,50**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment	4	32,50
	(b)	Non-current investment	5	6,00
2		**Current Assets**		
	(a)	Inventories		2,00
	(b)	Trade receivables		2,00
	(c)	Cash and Cash equivalents		1,00
		Total		**43,50**

Notes to accounts

S. No.		**₹ in ('000)**
1	**Share Capital**	
	1,50,000 Equity Shares of ₹ 10 each	15,00
	7,500 14% Preference Shares of ₹ 100 each	7,50
		22,50
2	**Reserves and Surplus**	
	General reserve	9,00
3	**Long-term borrowings**	
	Secured	
	15% Debentures	7,00
4	**Property, plant and Equipment**	
	Land and Building	32,50

5	**Non-current investments**	
	Investments at cost	6,00

B Ltd. agreed to take over the assets and liabilities on the following terms and conditions:

(a) Discharge 15% debentures at a premium of 10% by issuing 15% debentures of B Ltd.

(b) PPE at 10% above the book value and investments at par value.

(c) Current assets at a discount of 10% and Current liabilities at book value.

(d) Preference shareholders are discharged at a premium of 10% by issuing 15% preference shares of ₹ 100 each.

(e) Issue 3 equity shares of ₹ 10 each for every 2 equity shares in B Ltd. and pay the balance in cash.

Calculate Purchase consideration.

Answer

Calculation of Purchase Consideration (Net Asset value Method)

Particulars		**(₹ in '000's)**
Value of assets taken over:		
Property, Plant and Equipment		35,75
Non-Current Investments		6,00
Current Assets		4,50
Total Assets	**(A)**	**46,25**
Less: Liabilities taken over:		
15% Debentures		7,70
Current Liabilities		5,00
Total Liabilities	**(B)**	**12,70**
Purchase consideration	**(A – B)**	**33,55**
Mode of Purchase Consideration		
In the form of 15% Preference shares		8,25
In the form of Equity shares		22,50
In the form of Cash (Balance)		2,80
Total		**33,55**

Accounting for Amalgamation in Nature of Purchase [In Books of Selling Company]

Question 7

The following are the Balance Sheets of X Ltd. and Y Ltd.:

Particulars			**Notes**	**X Ltd. (₹)**	**Y Ltd. (₹)**
		Equity and Liabilities			
1		**Shareholders' funds**			
	(a)	Share capital	1	1,00,000	50,000
	(b)	Reserve and surplus	2	10,000	(10,000)

2		**Non-current liabilities**			
	(a)	Long-term borrowings	3	–	15,000
3		**Current liabilities**			
	(a)	Trade Payables		25,000	5,000
		Total		**1,35,000**	**60,000**
		Assets			
1		**Non-current assets**			
	(a)	PPE and intangible asset			
		i Property, plant and Equipment		1,20,000	60,000
	(b)	Non-current investment	4	15,000	–
		Total		**1,35,000**	**60,000**

Notes to accounts

S. No.	Particulars	X Ltd. (₹)	Y Ltd. (₹)
1	**Share Capital**		
	Equity share capital	1,00,000	50,000
		1,00,000	**50,000**
2	**Reserves and Surplus**		
	Profit and loss A/c	10,000	–
	Profit and loss A/c (debit balance)	–	(10,000)
		10,000	**(10,000)**
3	**Long term borrowings**		
	Loan from X Ltd.	–	**15,000**
4	**Non-current investments**		
	Loan to Y Ltd.	**15,000**	–

A new company XY Ltd. is formed to acquire the PPE and trade payables of X Ltd. and Y Ltd. and for this purpose, the PPE of X Ltd. are revalued at ₹ 1,00,000. The debt due to X Ltd. is also to be discharged in shares of XY Ltd.

Show the Ledger Accounts to close the books of X Ltd.

Answer

Books of X Ltd.

Realization Account

Particulars	₹	Particulars	₹
To Sundry Assets	1,20,000	By Trade payables	25,000
		By XY Ltd. (Purchase consideration)	75,000
		By Shareholders (Loss on realization)	20,000
	1,20,000		**1,20,000**

Shareholders Account

Particulars	₹	Particulars	₹
To Realization Account (Loss)	20,000	By Equity Share Capital	1,00,000

To Shares in XY Ltd.	90,000	By Profit and Loss Account	10,000
	1,10,000		**1,10,000**

Loan to Y Ltd.

Particulars	**₹**	**Particulars**	**₹**
To balance b/d	15,000	By Shares in XY Ltd.	15,000
	15,000		**15,000**

Shares in XY Ltd.

Particulars	**₹**	**Particulars**	**₹**
To XY Ltd.	75,000	By Shareholders	90,000
To Loan to Y Ltd.	15,000		
	90,000		**90,000**

XY Ltd.

Particulars	**₹**	**Particulars**	**₹**
To Realization Account	75,000	By Shares in XY Ltd.	75,000
	75,000		**75,000**

Question 8

Wye Ltd. acquires the business of Zed Ltd. whose balance sheet as at 31st March, 20X1 is as under:

Particulars			**Notes**	**₹**
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	12,00,000
	(b)	Reserve and surplus	2	1,58,000
2		**Non-current liabilities**		
	(a)	Long term borrowings	3	2,00,000
3		**Current liabilities**		
	(a)	Trade Payables		1,20,000
	(b)	Other Current Liabilities (Interest payable on debentures)		12,000
		Total		**16,90,000**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, Plant and Equipment	4	10,00,000
		ii Intangible Asset	5	2,90,000
	(b)	Non-current investments		
2		**Current Assets**		
	(a)	Inventory		1,50,000
	(b)	Trade receivables		1,80,000

	(c)	Cash and Cash equivalents		70,000
		Total		**16,90,000**

Notes to accounts:

		₹
1	**Share Capital**	
	Equity Share capital (₹ 100 each)	8,00,000
	6% Preference Share capital (₹ 100 each)	4,00,000
		12,00,000
2	**Reserves and Surplus**	
	Capital reserve	1,00,000
	Profit and loss A/c	50,000
	Workmen compensation reserve (Expected liability ₹ 5,000)	8,000
		1,58,000
3	**Long-term borrowings**	
	6% Debentures	2,00,000
		2,00,000
4	**Property, Plant and Equipment**	
	Land and Building	4,00,000
	Plant and machinery	6,00,000
		10,00,000
5	**Intangible assets**	
	Goodwill	2,40,000
	Patents	50,000
		2,90,000

Wye Ltd. was to take over all assets (except cash) and liabilities (except for interest due on debentures) and to pay following amounts:

(i) ₹ 2,00,000 7% Debentures (₹ 100 each) in Wye Ltd. for the existing debentures in Zed Ltd.; for the purpose, each debenture of Wye Ltd. is to be treated as worth ₹ 105.

(ii) For each preference share in Zed Ltd. ₹ 10 in cash and one 9% preference share of ₹ 100 each in Wye Ltd.

(iii) For each equity share in Zed Ltd. ₹ 20 in cash and one equity share in Wye Ltd. of ₹ 100 each having the market value of ₹ 140.

(iv) Expense of liquidation of Zed Ltd. are to be reimbursed by Wye Ltd. to the extent of ₹ 10,000. Actual expenses amounted to ₹ 12,500.

(v) Wye Ltd. valued Land and building at ₹ 5,50,000 Plant and Machinery at ₹ 6,50,000 and patents at ₹ 20,000 of Zed Ltd for the purpose of amalgamation.

Pass journal entries to close the books of Zed ltd.

Answer

Purchase Consideration

	₹	₹	Form
(i) Preference Shares:			
₹ 10 per share	40,000		Cash
Preference shares	4,00,000	4,40,000	Preference shares
(ii) Equity shares:			
₹ 20 per share	1,60,000		Cash
8,000 equity shares in Wye Ltd. @ ₹ 140	11,20,000	12,80,000	Equity shares
		17,20,000	

Journal Entries in the Books of Zed Ltd.

Date	Particulars		Debit (₹)	Credit (₹)
20X1	Realization A/c	Dr.	16,20,000	
Apr. 1	To Goodwill A/c			2,40,000
	To Land & Building A/c			4,00,000
	To Plant & Machinery A/c			6,00,000
	To Patents A/c			50,000
	To Inventory A/c			1,50,000
	To Trade receivables A/c			1,80,000
	(Transfer of assets to Realization A/c on sale of business to Wye Ltd.)			
	6% Debentures	Dr.	2,00,000	
	Workmen's Compensation Reserve	Dr.	5,000	
	Trade payables	Dr.	1,20,000	
	To Realization A/c			3,25,000
	(Transfer of liabilities taken over by Wye Ltd. to Realization A/c)			
	Wye Ltd.	Dr.	17,20,000	
	To Realization A/c			17,20,000
	(Amount receivable from Wye Ltd. for sale of business)			
	Cash	Dr.	2,00,000	
	9% Preference shares in Wye Ltd.	Dr.	4,00,000	
	Equity shares in Wye Ltd.	Dr.	11,20,000	
	To Wye Ltd. A/c			17,20,000
	(Receipt of purchase consideration from the purchase company)			
	Wye Ltd.	Dr.	10,000	
	Realization A/c	Dr.	2,500	
	To Cash A/c			12,500
	(Liquidation expenses out of which ₹ 10,000 is payable by Wye Ltd.)			
	Cash A/c	Dr.	10,000	
	To Wye Ltd. A/c			10,000
	(Account reimbursed by Wye Ltd. for expense)			
	Interest Outstanding	Dr.	12,000	
	To Debenture holder's A/c			12,000

(Amount due to debenture holders for debentures interest)			
Debenture holder's A/c	Dr.	12,000	
To Cash A/c			12,000
(Debenture holders paid cash ₹ 12,000 for outstanding interest)			
6% Pref. Share Capital A/c	Dr.	4,00,000	
Realization A/c	Dr.	40,000	
To Preference Shareholders A/c			4,40,000
(The amount due to preference shareholders for capital and the extra amount payable under the scheme of absorption)			
Preference Shareholders A/c	Dr.	4,40,000	
To Cash A/c			40,000
To 9% Preference shares in Wye Ltd. A/c			4,00,000
(Cash & preference shares in Wye Ltd. given to preference shareholders)			
Equity Share Capital A/c	Dr.	8,00,000	
Capital Reserve A/c	Dr.	1,00,000	
Profit and Loss A/c	Dr.	50,000	
Workmen's Compensation Reserve A/c	Dr.	3,000	
Realization A/c	Dr.	3,82,500	
To Equity Shareholders A/c			13,35,500
(Various A/c representing capital and profit t/f to Equity Shareholders A/c)			
Equity Shareholders A/c	Dr.	13,35,500	
To Equity Shares in Wye Ltd. A/c			11,20,000
To Cash A/c (W.N.2)			2,15,500
(Being final payment made to Equity Shareholders)			

Working Notes

1. Realization Account

Particulars	₹	Particulars	₹
To Sundry Assets	16,20,000	By Sundry Liabilities	3,25,000
To Cash (excess expenses of liquidation)	2,500	By Wye Ltd.	17,20,000
To Preference Shareholders	40,000		
To Equity Shareholders (profit transferred)	3,82,500		
	20,45,000		**20,45,000**

2. Cash Account

Particulars	₹	Particulars	₹
To Balance b/d	70,000	By Realization	2,500
To Wye Ltd. (consideration for amalgamation)	2,00,00	By Wye Ltd.	10,000
To Wye Ltd. (liquidation expenses reimbursed)	10,000	By Debenture-holders	12,000
		By Preference shareholder	40,000
		By Equity Shareholder (B/f)	2,15,500
	2,80,000		**2,80,000**

Question 9

K Ltd. and L Ltd. amalgamate to form a new company LK Ltd. The financial position of these two companies as at the date of amalgamation was as under:

Particulars			Notes	₹ K Ltd.	₹ L Ltd.
		Equity and Liabilities			
1		**Shareholders' funds**			
	(a)	Share capital	1	12,00,000	6,00,000
	(b)	Reserve and surplus	2	3,71,375	1,97,175
2		**Non-current liabilities**			
	(a)	Long-term borrowings	3	2,00,000	2,00,000
3		**Current liabilities**			
	(a)	Trade Payables		1,00,000	2,10,000
		Total		**18,71,375**	**12,07,175**
		Assets			
1		**Non-current assets**			
	(a)	PPE and intangible asset			
		i Property, plant and Equipment	4	11,30,000	8,20,000
		ii Intangible assets	5	80,000	–
2		**Current Assets**			
	(a)	Inventories		2,25,000	1,40,000
	(b)	Trade receivables		2,75,000	1,75,000
	(c)	Cash and Cash equivalents	6	1,61,375	72,175
		Total		**18,71,375**	**12,07,175**

Notes to accounts

S. No.	Particulars	K Ltd.	L Ltd.
1	**Share Capital**		
	Equity shares of ₹ 100 each	8,00,000	3,00,000
	7% Preference Shares of ₹ 100 each	4,00,000	3,00,000
		12,00,000	**6,00,000**
2	**Reserves and Surplus**		
	General reserve	–	1,00,000
	Profit and loss account	3,71,375	97,175
		3,71,375	**1,97,175**
3	**Long-term borrowings**		
	5% Debentures	2,00,000	–
	Secured loan	–	2,00,000
		2,00,000	**2,00,000**
4	**Property, plant and Equipment**		
	Land and Building	4,50,000	3,00,000
	Plant and machinery	6,20,000	5,00,000

	Furniture and fittings	60,000	20,000
		11,30,000	**8,20,000**
5	**Intangible assets**		
	Goodwill	80,000	–
		80,000	–
6	**Cash and Cash Equivalents**		
	Cash at Bank	1,20,000	55,000
	Cash in hand	41,375	17,175
		1,61,375	**72,175**

The terms of amalgamation are as under:

(a) (i) The assumption of liabilities of both the Companies.

(ii) Issue of 5 Preference shares of ₹ 20 each in LK Ltd. @ ₹ 18 paid up at premium of ₹ 4 per share for each preference share held in both the Companies.

(iii) Issue of 6 Equity shares of ₹ 20 each in LK Ltd. @ ₹ 18 paid up at a premium of ₹ 4 per share for each equity share held in both the Companies. In addition, necessary cash should be paid to the Equity Shareholders of both the Companies as is required to adjust the rights of shareholders of both the Companies in accordance with the intrinsic value of the shares of both the Companies.

(iv) Issue of such amount of fully paid 6% debentures in LK Ltd. as is sufficient to discharge the 5% debentures in K Ltd. at a discount of 5% after takeover.

(b) (i) The assets and liabilities are to be taken at book values inventory and trade receivables for which provisions at 2% and 2½ % respectively to be raised.

(ii) The trade receivables of K Ltd. include ₹ 20,000 due from L Ltd.

(c) The LK Ltd. is to issue 15,000 new equity shares of ₹ 20 each, ₹ 18 paid up at premium of ₹ 4 per share so as to have sufficient working capital.

Prepare ledger accounts in the books of K Ltd. and L Ltd. to close their books.

Answer

Books of K Ltd.

Realization Account

Particulars	**₹**	**Particulars**	**₹**
To Goodwill	80,000	By 5% Debentures	2,00,000
To Land & Building	4,50,000	By Trade payables	1,00,000
To Plant & Machinery	6,20,000	By LK Ltd. (Purchase consideration)	15,60,000
To Furniture & Fitting	60,000	By Equity shareholders A/c (loss)	51,375
To Trade receivables	2,75,000		
To Stores & inventory	2,25,000		
To Cash at Bank	1,20,000		
To Cash in hand	41,375		
To Pref. shareholders (excess paid)	40,000		
	19,11,375		**19,11,375**

Equity Shareholders Account

Particulars	₹	Particulars	₹
To Realization A/c (loss)	51,375	By Share capital	8,00,000
To Equity Shares in LK Ltd.	10,56,000	By Profit & Loss A/c	3,71,375
To Cash	64,000		
	11,71,375		**11,71,375**

7% Preference Shareholders Account

Particulars	₹	Particulars	₹
To Preference Shares in LK Ltd.	4,40,000	By Share capital	4,00,000
		By Realization A/c	40,000
	4,40,000		**4,40,000**

LK Ltd. Account

Particulars	₹	Particulars		₹
To Realization A/c	15,60,000	By Shares in LK Ltd.		
		For Equity	10,56,000	
		For Preference	4,40,000	14,96,000
		By Cash		64,000
	15,60,000			**15,60,000**

Books of L Ltd.

Realization Account

Particulars	₹	Particulars	₹
To Land & Building	3,00,000	By Trade payables	2,10,000
To Plant & Machinery	5,00,000	By Secured loan	2,00,000
To Furniture & Fittings	20,000	By LK Ltd. (Purchase consideration)	7,90,000
To Trade receivables	1,75,000	By Equity shareholders A/c (Loss)	37,175
To Inventory of stores	1,40,000		
To Cash at bank	55,000		
To Cash in hand	17,175		
To Preference shareholders	30,000		
	12,37,175		**12,37,175**

Equity Shareholders Account

Particulars	₹	Particulars	₹
To Equity shares in LK Ltd.	3,96,000	By Share Capital	3,00,000
To Realization	37,175	By Profit & Loss A/c	97,175
To Cash	64,000	By Reserve	1,00,000
	4,97,175		**4,97,175**

7% Preference Shareholders Account

Particulars	₹	Particulars	₹

To Preference Shares in LK Ltd.	3,30,000	By Share capital	3,00,000
		By Realization A/c	30,000
	3,30,000		**3,30,000**

LK Ltd. Account

Particulars	**₹**	**Particulars**		**₹**
To Realization A/c	7,90,000	By shares in LK Ltd.		3,00,000
		For Equity	3,96,000	
		For Preference	3,30,000	7,26,000
		By Cash		64,000
	7,90,000			**7,90,000**

Working Notes:

	Particulars		**K Ltd.**	**L Ltd.**
(i)	**Mode of payment of Purchase consideration:**			
	Payable to preference shareholders:			
	Preference shares at ₹ 22 per share		4,40,000	3,30,000
	Payable to equity shareholders:			
	Equity Shares at ₹ 22 per share		10,56,000	3,96,000
	Cash [See W.N. (ii)]		64,000	64,000
			15,60,000	**7,90,000**
(ii)	**Computation of Purchase consideration (Value of Net Assets)**			
	Goodwill		80,000	–
	Land & Building		4,50,000	3,00,000
	Plant & Machinery		6,20,000	5,00,000
	Furniture & Fittings		60,000	20,000
	Trade receivables less 2.5%		2,68,125	1,70,625
	Inventory less 2%		2,20,500	1,37,200
	Cash at Bank		1,20,000	55,000
	Cash in hand		41,375	17,175
	Total	**(A)**	**18,60,000**	**12,00,000**
	Debentures		2,00,000	–
	Trade payables		1,00,000	2,10,000
	Secured Loans		–	2,00,000
	Total	**(B)**	**3,00,000**	**4,10,000**
	Purchase consideration (Net Asset)	**(A – B)**	**15,60,000**	**7,90,000**
	Payable in shares		14,96,000	7,26,000
	Payable in cash		64,000	64,000

Accounting for Amalgamation in Nature of Purchase [In Books of Purchasing Company]

Question 10

On 1st April, 20X1, Tina Ltd. take over the business of Rina Ltd. and discharged purchase consideration as follows:

(i) Issued 50,000 fully paid Equity shares of ₹ 10 each at a premium of ₹ 5 per share to the equity shareholders of Rina Ltd.

(ii) Cash payment of ₹ 50,000 was made to equity shareholders of Rina Ltd.

(iii) Issued 2,000 fully paid 12% Preference shares of ₹ 100 each at par to discharge the preference shareholders of Rina Ltd.

(iv) Debentures of Rina Ltd. 20,000 will he converted into equal number and amount of 10% debentures of Tina Ltd.

Calculate the amount of Purchase consideration as per AS-14 and pass Journal Entry relating to discharge of purchase consideration in the books of Tina Ltd.

Answer

As per AS 14, consideration for amalgamation means aggregate of shares and other securities issued and the payment made in form of cash or other assets by transferee company to shareholders of transferor company.

Computation of Purchase Consideration

Particulars	**₹**
Equity Shares (50,000 x 15)	7,50,000
Cash payment	50,000
12% Preference Share Capital	2,00,000
Purchase Consideration	**10,00,000**

Note: Payment to debenture holders are not covered by the term 'consideration'.

Journal entry

S. No.	Particulars		Debit (₹)	Credit (₹)
1	Liquidation of Rina Ltd. A/c	Dr.	10,00,000	
	To Equity share capital A/c			5,00,000
	To 12% Preference share capital A/c			2,00,000
	To Securities Premium A/c			2,50,000
	To Bank/Cash A/c			50,000
	(Being payment of cash and issue of shares for discharge of purchase consideration)			

Question 11

A Ltd. and B Ltd. were amalgamated on and from 1st April, 20X1. A new company C Ltd. was formed to take over the business of the existing companies. A Ltd. and B Ltd. have the following ledger balances as on 31st March, 20X1:

	A Ltd. (₹ in lakhs)	B Ltd. (₹ in lakhs)

Land and Building	550	400
Plant and Machinery	350	250
Investments (Non-current)	150	50
Inventory	350	250
Trade Receivables	300	350
Cash and Bank	300	200
Share Capital:		
Equity Shares of ₹ 100 each	800	750
12% Preference shares of ₹ 100 each	300	200
Reserves and Surplus:		
Revaluation Reserve	150	100
General Reserve	170	150
Investment Allowance Reserve	50	50
Profit and Loss Account	50	30
Secured Loans:		
10% Debentures (₹ 100 each)	60	30
Trade Payables	420	190

Additional Information:

(1) 10% Debenture holders of A Ltd. and B Ltd. are discharged by C Ltd. issuing such number of its 15% Debentures of ₹ 100 each so as to maintain the same amount of interest.

(2) Preference shareholders of the two companies are issued equivalent number of 15% preference shares of C Ltd. at a price of ₹ 150 per share (face value of ₹ 100).

(3) C Ltd. will issue 5 equity shares for each equity share of A Ltd. and 4 equity shares for each equity share of B Ltd. The shares are to be issued @ ₹ 30 each, having a face value of ₹ 10 per share.

(4) Investment allowance reserve is to be maintained for 4 more years.

Prepare the Balance Sheet of C Ltd. as on 1st April, 20X1 after the amalgamation has been carried out on the basis of Amalgamation in the nature of purchase.

Answer

Balance Sheet of C Ltd. as at 1st April, 20X1

Particulars			Note No.	(₹ in lakhs)
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	1,200
	(b)	Reserves and Surplus	2	1,650
2		**Non current liabilities**		
	(a)	Long-term borrowings	3	60
3		**Current liabilities**		
	(a)	Trade Payables	4	610
		Total		**3,520**

		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment	5	1,550
		ii Intangible asset	6	20
	(b)	Non current investment	7	200
2		**Current Assets**		
	(a)	Inventories (350 + 250)		600
	(b)	Trade receivables	8	650
	(c)	Cash and Cash equivalents (300 + 200)		500
		Total		**3,520**

Notes to Accounts

S. No.	Particulars	₹ in lakhs
1	**Share Capital**	
	Equity share capital (W.N.1)	
	70,00,000 Equity shares of ₹ 10 each	700
	5,00,000 Preference shares of ₹ 100 each	500
	(all the above shares are allotted as fully paid-up pursuant to contracts without payment being received in cash)	
		1,200
2	**Reserves and surplus**	
	Securities Premium Account (W.N.4) (950 + 700)	1,650
	Investment Allowance Reserve (50 + 50)	100
	Amalgamation Adjustment Reserve (50 + 50)	(100)
		1,650
3	**Long-term borrowings**	
	15% Debentures	**60**
4	**Trade payables** (420 + 190)	**610**
5	**Property, Plant and Equipment**	
	Land and Building (550 + 400)	950
	Plant and Machinery (350 + 250)	600
		1,550
6	**Intangible assets**	
	Goodwill [W.N. 3] (110 – 90)	**20**
7	**Non-current Investments**	
	Investments (150 + 50)	**200**
8	**Trade receivables** (300 + 350)	**650**

Working Notes: **₹ in lakhs**

S. No.	Particulars	A Ltd.	B Ltd.
1	**Computation of Purchase consideration**		

	Preference shareholders	450	300
	Equity shareholders	1,200	900
		1,650	**1,200**
2	**Net Assets Taken Over**		
	Assets taken over:		
	Land and Building	550	400
	Plant and Machinery	350	250
	Investments	150	50
	Inventory	350	250
	Trade receivables	300	350
	Cash and bank	300	200
	Total (A)	**2,000**	**1,500**
	Less: Liabilities taken over:		
	Debentures	40	20
	Trade payables	420	190
	Total (B)	**460**	**210**
	Net Asset (A – B)	**1,540**	**1,290**
3	**Calculation of goodwill or capital reserve**		
	Purchase consideration	1,650	1,200
	Net asset	1,540	1,290
	Goodwill (Purchase consideration more than net asset)	**110**	
	Capital reserve (Net asset more than Purchase consideration)		**90**
4	**Computation of securities premium**		
	On preference share capital:		
	A Ltd. – 3,00,000 x 50	150	
	B Ltd. – 2,00,000 x 50		100
	On equity share capital:		
	A Ltd. – 40,00,000 x 20	800	
	B Ltd. – 30,00,000 x 20		600
	Total	**950**	**700**

Question 12

Meet Ltd. and Preet Ltd. were amalgamated on and from 1st April, 20X1. A new company Heer Ltd. was formed to take over the business of the existing companies. The Balance Sheets of Meet Ltd. and Preet Ltd. as at 31st March, 20X1 are given below: **(₹ in Lakhs)**

Particulars			**Notes**	**Meet Ltd.**	**Preet Ltd.**
		Equity and Liabilities			
1		**Shareholders' funds**			
	(a)	Share capital	1	3,300	2,850
	(b)	Reserve and surplus	2	1,260	990

2		**Non-current liabilities**			
	(a)	Long-term borrowings (10% Debentures of ₹ 100 each)		180	90
3		**Current liabilities**			
	(a)	Trade Payables		1,260	570
		Total		**6,000**	**4,500**
		Assets			
1		**Non-current assets**			
	(a)	PPE and intangible asset			
		i Property, plant and Equipment		2,700	1,950
	(b)	Non-current investment		450	150
		Current Assets			
	(a)	Inventories		1,050	750
	(b)	Trade receivables		900	1,050
	(c)	Cash and Cash equivalents		900	600
		Total		**6,000**	**4,500**

Notes to accounts **(₹ in lakhs)**

S. No.	Particulars	Meet Ltd.	Preet Ltd.
1	**Share Capital**		
	Equity Shares of ₹ 100 each	2,400	2,250
	14% Preference Shares of ₹ 100 each	900	600
	Total	**3,300**	**2,850**
2	**Reserves and Surplus**		
	Revaluation Reserve	150	150
	General Reserve	510	450
	Investment Allowance Reserve	450	300
	Profit and Loss Account	150	90
	Total	**1,260**	**990**

Additional Information:

(1) Heer Limited will issue 5 equity shares for each equity share of Meet Limited and 4 equity shares for each equity share of Preet Limited. The shares are to be issued @ ₹ 35 each having a face value of ₹ 10 per share.

(2) Preference shareholders of the two companies are issued equivalent number of 16% preference shares of Heer Limited at a price of ₹ 160 per share (face value ₹ 100).

(3) 10% Debenture holders of Meet Limited and Preet Limited are discharged by Heer Limited, issuing such number of its 16% Debentures of ₹ 100 each so as to maintain the same amount of interest.

(4) Investment allowance reserve is to be maintained for 4 more years.:

(5) Liquidation expenses are for Meet Limited ₹ 12,00,000 and for Preet Limited ₹ 6,00,000. It is decided that these expenses would be borne by Heer Limited.

(6) All the assets and liabilities of Meet Limited and Preet Limited are taken over at book value.

(7) Authorised equity share capital of Heer Limited is ₹ 30,00,00,000 divided into equity shares of ₹ 10 each.

After issuing required number of shares to the liquidators of Meet Limited and Preet Limited, Heer Limited issued balance shares to public. The issue was fully subscribed.

You are required to prepare Balance Sheet of Heer Limited as at 1st April, 20X1 after amalgamation has been carried out on the basis of Amalgamation in the nature of purchase.

Answer

Balance Sheet of Heer Ltd. as at 1st April 20X1

Particulars			Notes	(₹ in lakhs)
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	4,500
	(b)	Reserve and surplus	2	8,400
2		**Non-current liabilities**		
	(a)	Long term borrowings	3	168.75
3		**Current liabilities**		
	(a)	Trade Payables	4	1,830
		Total		**14,898.75**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, Plant and Equipment	5	4,650
		ii Intangible Asset	6	1,266.75
	(b)	Non-current investments	7	600
2		**Current Assets**		
	(a)	Inventory	8	1,800
	(b)	Trade receivables	9	1,950
	(c)	Cash and Cash equivalents	10	4,632
		Total		**14,898.75**

Notes to accounts

S. No.	Particulars	(₹ in Lakhs)	(₹ in Lakhs)
1.	**Share Capital**		
	Authorized Share Capital:		
	a) Equity Share Capital		
	300 Lakhs equity shares of ₹ 10 each		3,000
	b) Preference Share Capital		
	15 Lakhs Preference shares of ₹ 100		1,500
			4,500
	Issued, Subscribed & Paid-up Capital:		
	a) Equity Share Capital		
	300 Lakhs equity shares of ₹ 10 each		3,000

	(Out of above 210 lakhs of equity shares are issued for consideration other than cash)		
	b) Preference Share Capital		
	15 Lakhs Preference shares of ₹ 100		1,500
	(All shares are issued for consideration other than cash)		
			4,500
2.	**Reserves and Surplus**		
	Investments allowances reserves (450 + 300)		750
	Securities premium (300 x 25) + (15 x 60)		8,400
	Less: Amalgamation adjustment reserve		(750)
	Total		**8,400**
3.	**Long-term borrowings**		
	16% Debentures		**1,68.75**
4.	**Trade payables**		
	Meet Ltd.	1,260	
	Preet Ltd.	570	**1,830**
5.	**PPE**		
	Land and Building	2,700	
	Plant and Machinery	1,950	**4,650**
6.	**Intangible assets**		
	Goodwill [W.N. 2]	1248.75	
	Add: Liquidation exp. (12 + 6)	18	**1,266.75**
7.	**Non-current Investments**		
	Investments (450 + 150)		**600**
8.	**Inventories**		
	Meet Ltd.	1,050	
	Preet Ltd.	750	**1,800**
9.	**Trade receivables**		
	Meet Ltd.	900	
	Preet Ltd.	1,050	**1,950**
10.	**Cash & cash equivalents**		
	Meet Ltd.	900	
	Preet Ltd.	600	
	Liquidation Expenses (12 + 6)	(18)	
	Share issued for cash (90 lakh shares x ₹ 35)	3,150	**4,632**

Working Notes:

1. Calculation of Purchase Consideration: **(₹ in lakhs)**

	Particulars	**Meet Ltd.**	**Preet Ltd.**
A.	**Preference Shareholders:**		
	[9,00,00,000 x ₹ 160]/100	1,440	

	[6,00,00,000 x ₹ 160]/100		960
B.	**Equity Shareholders:**		
	[24,00,00,000 x 5 x ₹ 35]/100	4,200	
	[22,50,00,000 x 4 x ₹ 35]/100		3,150
C.	**Purchase Consideration (A + B)**	**5,640**	**4,110**

2. Net Assets (Calculation of goodwill) **(₹ in lakhs)**

	Particulars	**Meet Ltd**	**Preet Ltd**
A	Assets taken over:		
	Property Plant & Equity	2,700	1,950
	Non-Current Investments	450	150
	Inventory	1,050	750
	Trade receivables	900	1,050
	Cash and bank	900	600
		6,000	**4,500**
B	Liabilities taken over:		
	10% Debentures	112.50	56.25
	Trade payables	1,260	570
		1,372.5	**626.25**
C	Net assets taken over	4,627.5	3,873.75
D	Purchase consideration (W.N. 1)	5.64	4110
E	**Goodwill**	**1,012.5**	**236.25**

3. Issue of Debentures

Particulars	**Meet Ltd.**	**Preet Ltd.**
Existing debentures	₹ 1,80,00,000	₹ 90,00,000
Debenture interest (10%)	₹ 18,00,000	₹ 9,00,000
Amount of 16% debentures to be issued		
[₹ 18,00,000 x 100]/16	**₹ 1,12,50,000**	
[₹ 9,00,000 x 100]/16		**₹ 56,25,000**

Question 13

Sun and Neptune had been carrying on business independently. They agreed to amalgamate and form a new company Jupiter Ltd. with an authorised share capital of ₹ 4,00,000 divided into 80,000 equity shares of ₹ 5 each. On 31st March, 20X3 the respective information of Sun and Neptune were as follows:

	Sun (₹)	**Neptune (₹)**
Share capital	3,65,000	3,52,500
Current liabilities	5,97,000	1,80,250
Property, Plant and Equipment	6,35,000	3,65,000
Current assets	3,27,000	1,67,750

Additional Information:

(a) Revalued figures of non-current and Current assets were as follows:

	Sun (₹)	Neptune (₹)
Property, Plant and Equipment	7,10,000	3,90,000
Current Assets	2,99,500	1,57,750

(b) The debtors and creditors include ₹ 43,350 owed by Sun to Neptune.

(c) The purchase consideration is satisfied by issue of the following shares and debentures.

(i) 60,000 equity shares of Jupiter Ltd. to Sun and Neptune in proportion to the profitability of their respective business based on average net profit during the last three years which were as follows:

	Sun (₹)	Neptune (₹)
20X1 Profit	4,49,576	2,73,900
20X2 (Loss)/Profit	(2,500)	3,42,100
20X3 Profit	3,77,924	3,59,000

(ii) 15% debenture in Jupiter Ltd. at par to provide an income equivalent to 8% return business as on capital employed in their respective business as on 31st March, 20X3 after revaluation of assets.

You are required to:

(1) Compute the amount of debentures and shares to be issued to Sun and Neptune.

(2) A Balance sheet of Jupiter Ltd. showing the position immediately after amalgamation.

Answer

(1) Computation of Amount of Debentures and Shares to be issued

		Sun	Neptune
(i)	**Average Net Profit**		
	₹ (4,49,576 – 2,500 + 3,77,924)/3	2,75,000	
	₹ (2,73,900 + 3,42,100 + 3,59,000)/3		3,25,000
(ii)	**Equity Shares Issued**		
	(a) Ratio of distribution	275	325
	(b) Numbers (out of total 60,000 equity shares)	27,500	32,500
	(c) Amount: 27,500 shares of ₹ 5 each	**1,37,500**	
	32,500 shares of ₹ 5 each		**1,62,500**
(iii)	**Capital Employed (after revaluation of assets)**		
	Property, plant and equipment	7,10,000	3,90,000
	Current Assets	2,99,500	1,57,750
		10,09,500	5,47,750
	Less: Current Liabilities	(5,97,000)	(1,80,250)
		4,12,500	**3,67,500**
(iv)	**Debentures Issued**		
	8% Return on capital employed	33,000	29,400
	15% Debentures to be issued to provide equivalent income:		
	33,000 x 100/15	**2,20,000**	
	29,400 x 100/15		**1,96,000**

(2) Balance Sheet of Jupiter Ltd. As at 31st March 20X3 (after amalgamation)

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	3,00,000
	(b)	Reserve and surplus	2	64,000
2		**Non-current liabilities**		
	(a)	Long-term borrowings	3	4,16,000
3		**Current liabilities**		
	(a)	Other current liabilities		7,33,900
		Total		**15,13,900**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i. Property, plant and Equipment		11,00,000
2		**Current Assets**		
	(a)	Other current assets		4,13,900
		Total		**15,13,900**

Notes to Accounts

S. No.	Particulars	₹	₹
1	**Share Capital**		
	Authorized		
	80,000 Equity Shares of ₹ 5 each		**4,00,000**
	Issued and Subscribed		
	60,000 Equity Shares of ₹ 5 each		**3,00,000**
	(all the above shares are allotted as fully paid-up pursuant to a contract without payment being received in cash)		
2	**Reserve and Surplus**		
	Capital Reserve		**64,000**
3	**Long-term borrowings**		
	Secured Loans		
	15% Debentures		**4,16,000**

Working Notes:

	Sun	Neptune	Total
(1) Purchase Consideration			
Equity Shares Issued	1,37,500	1,62,500	3,00,000
15% Debentures Issued	2,20,000	1,96,000	4,16,000
	3,57,500	**3,58,500**	**7,16,000**
(2) Capital Reserve			
(a) Net Assets taken over			

	Property, plant & equipment	7,10,000	3,90,000	11,00,000
	Current Assets	2,99,500	1,57,750	4,57,250
		10,09,500	5,47,750	15,57,250
	Less: Current Liabilities	(5,97,000)	(1,80,250)	(7,77,250)
		4,12,500	**3,67,500**	**7,80,000**
(b)	Purchase Consideration	3,57,500	3,58,500	7,16,000
(c)	Capital Reserve [(a) – (b)]	**55,000**	**9,000**	**64,000**

Question 14

Intelligent Limited and Diligent Limited are carrying their business independently for last two years. Following financial information in respect of both the companies as at 31st March, 20X1 has been given to you:

Particulars	Intelligent Limited (₹)	Diligent Limited (₹)
Equity Shares Capital of ₹ 100 each	12,00,000	10,00,000
8% Preference shares of ₹ 100 each	3,00,000	2,00,000
Trade Payables	12,00,000	4,00,000
Retirement Gratuity Fund (Long Term)	3,00,000	2,00,000
Profit and Loss Account:		
Opening balance	4,50,000	2,50,000
Profit for the current year	2,50,000	1,50,000
Land and Buildings	10,00,000	8,00,000
Plant and Machinery	10,00,000	6,00,000
Inventories	7,00,000	4,00,000
Trade Receivables	6,00,000	3,00,000
Cash and Bank	4,00,000	1,00,000

On 1st April, 20X1, both the companies agreed to amalgamate and form a new company 'Genius Limited, with an authorized capital of ₹ 40,00,000 divided into 30,000 equity shares of ₹ 100 each and 10,000 8% preference shares of ₹ 100 each.

The amalgamation has to be carried out on the basis of following agreement:

(1) Assets of both the companies were to be revalued as follows:

Particulars	Intelligent Limited (₹)	Diligent Limited (₹)
Land and Buildings	11,00,000	8,50,000
Plant and Machinery	9,00,000	4,00,000
Inventories	6,00,000	3,00,000

(2) Trade payables of Intelligent Limited includes ₹ 1,00,000 due to Diligent Ltd. and the Trade receivables of Diligent Limited shows ₹ 1,00,000 receivables from Intelligent Limited.

(3) The purchase consideration is to be discharged in the following manner:

(i) Issue 22,000 Equity Shares of ₹ 100 each fully paid up in the proportion of the sum of their profitability in the preceding two financial years.

(ii) Preference shareholders of both companies are issued equivalent number of 8% Preference Shares of ₹ 100 each of Genius Limited at a price of ₹ 125 per share.

(iii) 12% debentures of ₹ 100 each in Genius Limited at par to provide an income equivalent to 10% return on the basis of net assets in their respective business as on 1st April, 2024 after revaluation of assets.

You are required to:

(a) Compute the amount of Shares & Debentures to be issued to Intelligent Limited and Diligent Limited.

(b) Prepare a Balance Sheet of Genius Limited showing the position immediately after amalgamation.

Answer

Computation of shares and debentures to be issued

		Intelligent Ltd.	Diligent Ltd.
Equity shares	22,000 x 7/11 = 14,000 (W.N. 1)	14,00,000	
	22,000 x 4/11 = 8,000 (W.N. 1)		8,00,000
Preference shares	(3,00,000 x 125/100)	3,75,000	
	(2,00,000 x 125/100)		2,50,000
Debentures	Refer (W.N. 3)	17,50,000	11,25,000
Total Purchase Consideration (i + ii + iii)		**35,25,000**	**21,75,000**

Balance Sheet of Genius Limited as at 1st April, 20X1 (after amalgamation)

Particulars			Notes	Amount
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	27,00,000
	(b)	Reserve and surplus	2	1,25,000
2		**Non-current liabilities**		
	(a)	Long-term borrowings	3	28,75,000
	(b)	Other non-current liabilities	4	5,00,000
3		**Current liabilities**		
	(a)	Trade Payables (12,00,000 + 4,00,000 – 1,00,000)		15,00,000
		Total		**77,00,000**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment	5	32,50,000
		ii Intangible asset	6	22,50,000
2		**Current Assets**		
	(a)	Inventories (6,00,000 + 3,00,000)		9,00,000
	(b)	Trade receivables (6,00,000 + 3,00,000 – 1,00,000)		8,00,000
	(c)	Cash and Cash equivalents		5,00,000
		Total		**77,00,000**

Notes to Accounts:

S. No.	Particulars	

1	**Share Capital**	
	Authorized Share Capital	
	a) Equity Share Capital	
	30,000 Equity Shares of ₹ 100 each	30,00,000
	b) Preference Share Capital	
	10% 10,000 Preference Shares ₹ 100 each	10,00,000
		40,00,000
	Issued, Subscribed & Paid-up Capital	
	a) Equity Share Capital	
	22,000 Equity Shares of ₹ 100 each	22,00,000
	(out of the above all shares are issued for consideration other than cash)	
	b) Preference Share Capital	
	10% 5,000 Preference Shares of ₹ 100 each	5,00,000
	(out of the above all shares are issued for consideration other than cash)	
		27,00,000
2	**Reserves & Surplus**	
	Securities Premium	**1,25,000**
3	**Long term borrowings**	
	12% Debentures of ₹ 100 each	**28,75,000**
4	**Other Non-current Liabilities**	
	Gratuity Fund	**5,00,000**
5	**Property, Plant & Equipment**	
	Land & Building (11,00,000 + 8,50,000)	19,50,000
	Plant & Machinery (9, 00,000 + 4,00,000)	13,00,000
		32,50,000
6	**Intangible Assets**	
	Goodwill	**22,50,000**

Working Notes:

1. Calculation of Ratio of Equity Shares

	Intelligent Ltd.	**Diligent Ltd**
Opening balance P&L	4,50,000	2,50,000
Profit for the current year	2,50,000	1,50,000
Total	**7,00,000**	**4,00,000**

The total profits = ₹ 7,00,000 + ₹ 4,00,000 = ₹ 11,00,000

No. of shares to be issued = 22,000 equity shares in proportion of preceding 2 years' profits. i.e. in 7:4.

2. Calculation of Net assets as on 31.3.20X1

Particulars	**Intelligent Ltd.**	**Diligent Ltd**
Assets (after revaluation):		
Land and Buildings	11,00,000	8,50,000

Plant & Machinery	9,00,000	4,00,000
Inventories	6,00,000	3,00,000
Trade Receivables	6,00,000	3,00,000
Cash & Cash Equivalents	4,00,000	1,00,000
Total (a)	**36,00,000**	**19,50,000**
Liabilities:		
Trade Payables	12,00,000	4,00,000
Gratuity Fund	3,00,000	2,00,000
Total (b)	**15,00,000**	**6,00,000**
Net Assets (a – b)	**21,00,000**	**13,50,000**

3. Calculation of 12% Debentures to be issued to Intelligent Ltd. and Diligent Ltd.

	Intelligent Ltd.	Diligent Ltd
Net assets (Refer working note)	21,00,000	13,50,000
10% return on Net assets	2,10,000	1,35,000
12% Debentures to be issued		
[2,10,000 x 100] = 17,50,000 of ₹ 100 each 12]	17,500	
[1,35,000 x 100 = 11,25,000 of ₹ 100 each 12]		11,250

4. Calculation of Goodwill / Capital Reserve

S. No.	Particulars	Intelligent Ltd.	Diligent Ltd.	
(i)	Purchase Consideration Paid	35,25,000	21,75,000	
(ii)	Less: Net Assets	(21,00,000)	(13,50,000)	
(iii)	**Goodwill**	**14,25,000**	**8,25,000**	**22,50,000**

Question 15

The following are summarized Balance Sheets of Well Ltd. and Nice Ltd. as at 31st March, 20X1: **(₹ in '000)**

Particulars			Notes	Nice Ltd.	Well Ltd.
		Equity and Liabilities			
1		**Shareholders' funds**			
	(a)	Share capital	1	41,000	14,300
	(b)	Reserve and surplus	2	19,500	(7,350)
2		**Non-current liabilities**			
	(a)	Long-term borrowings	3	20,500	5,425
3		**Current liabilities**			
	(a)	Short-term borrowings		–	1,975
	(b)	Trade Payables		15,740	4,850
		Total		**96,740**	**19,200**
		Assets			
1		**Non-current assets**			

	(a)	PPE and intangible asset			
		i Property, plant and Equipment		62,550	16,380
	(b)	Non-current investment		22,500	–
		Current Assets			
	(a)	Inventories		300	870
	(b)	Trade receivables		6,590	1,950
	(c)	Cash and Cash equivalents		4,800	–
		Total		**96,740**	**19,200**

Notes to accounts **(₹ in '000)**

S. No.	Particulars	Nice Ltd.	Well Ltd.
1.	**Share Capital**		
	Equity Share Capital		
	Issued, subscribed & paid up capital		
	Equity Shares of ₹ 100 each	31,500	12,500
	Preference Share Capital		
	Issued, subscribed & paid up capital		
	9% Preference Shares of ₹ 100 each	9,500	
	10% Preference Shares of ₹ 100 each	–	1,800
		41,000	**14,300**
2.	**Reserves and Surplus**		
	Balance of Profit and Loss A/c	**19,500**	**(7,350)**
3.	**Long-term borrowings**		
	9% Debentures of ₹ 100 each	11,200	
	10% Debentures of ₹ 100 each		900
	Loan from Banks	9,300	4,525
		20,500	**5,425**

Details of Trade receivables and Trade payables are as under: **(₹ in '000)**

		Nice Ltd.	Well Ltd.
1.	**Trade receivables**		
	Debtors	6,200	1,800
	Bills Receivables	390	150
		6,590	**1,950**
2.	**Trade payables**		
	Creditors	14,750	4,400
	Bills Payables	990	450
		15,740	**4,850**

On 31.03.20X1, Nice Ltd. absorbs the business of Well Ltd. on the following terms:

- For every five equity shares held by the equity shareholders of Well Ltd., they receive three equity shares of Nice Ltd. issued at a premium of ₹ 20 per share.

- The 10% debenture-holders of Well Ltd. were to be allotted such 9% debentures in Nice Ltd. as would bring the same amount of interest.
- 10% Preference Shareholders of Well Ltd. are to be paid at 10% discount by issue of 9% Preference Shares at par in Nice Ltd.
- Banks agreed to waive off the loan of ₹ 270 thousand of Well Ltd.
- Expenses of Liquidation of Well Ltd. are to be reimbursed by Nice Ltd. ₹ 55 thousand.
- Inventory of Well Ltd. is taken over at 10% more than their book value by Nice Ltd.
- Debtors of Nice Ltd. include ₹ 215 thousand receivables from Well Ltd.
- Property, Plant, and Equipment of Well Ltd. are revalued at 20% above their book value.
- The remaining Assets and Liabilities of Well Ltd. are taken over at book value by Nice Ltd.

You are required to:

1. Record Journal Entries in the books of Nice Ltd.
2. Prepare Balance Sheet of Nice Ltd. after absorption as at 31st March, 20X1.

Answer

Journal Entries in the Books of Nice Ltd. **(₹ in '000)**

Date	Particulars		Debit	Credit
31.3. 20X1	Business Purchase Account	Dr.	10,620	
	To Liquidator of Well Ltd.			10,620
	(Consideration payable for the business taken over from Well Ltd.)			
	Property, Plant and Equipment (120% of ₹ 16,380)	Dr.	19,656	
	Inventory (110% of ₹ 870)	Dr.	957	
	Trade receivables	Dr.	1,950	
	Goodwill A/c (Balancing figure)	Dr.	137	
	To Trade payables			4,850
	To Debenture Holders Account			1,000
	To Loan from bank (4,525 – 270)			4,255
	To Short term borrowings			1,975
	To Business Purchase Account			10,620
	(Incorporation of various assets and liabilities taken over from Well Ltd. at agreed values and difference of net assets and purchase consideration debited to Goodwill A/c)			
	Liquidator of Well Ltd.	Dr.	10,620	
	To Equity Share Capital (75,000 x 100)			7,500
	To 9% Preference Share Capital			1,620
	To Securities premium (7,5000 x 20)			1,500
	(Discharge of consideration for Well Ltd.'s business)			
	Debenture holders A/c	Dr.	1,000	
	To 9% Debentures A/c			1,000
	(Being 9% debentures issued to 10% debenture holders)			

	Sundry Creditors of Well Ltd.	Dr.	215	
	To Sundry Debtors of Nice Ltd.			215
	(Cancellation of mutual owing)			
	Goodwill	Dr.	55	
	To Bank			55
	(Being liquidation expenses reimbursed to Well Ltd.)			

Working notes:

1. Calculation of purchase consideration

	₹	₹	Form
Preference shareholders:			
10% Preference shares	18,00,000		
Less: 10% discount	1,80,000		
16,200 x 100		16,20,000	9% Pref. shares
Equity shareholders: 1,25,000 x 3/5 x 120		90,00,000	Equity shares
		1,06,20,000	

2. Calculation of Issue of Debentures

Particulars	**₹**
Existing 10% debentures	9,00,000
Debenture interest (10%)	90,000
Amount of 9% debentures to be issued [(₹ 90,000 x 100)/9]	**10,00,000**

Balance Sheet of Nice Ltd. (After absorption) as at 31st March 20X1

Particulars			**Notes**	**(₹ in '000)**
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	50,120
	(b)	Reserve and surplus	2	21,000
2		**Non-current liabilities**		
	(a)	Long term borrowings	3	25,755
3		**Current liabilities**		
	(a)	Short term borrowings		1,975
	(b)	Trade Payables	4	20,375
		Total		**1,19,225**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, Plant and Equipment	5	82,206
		ii Intangible Asset	6	192
	(b)	Non-current investments		22,500
2		**Current Assets**		

	(a)	Inventory	7	1,257
	(b)	Trade receivables	8	8,325
	(c)	Cash and Cash equivalents	9	4,745
		Total		**1,19,225**

Notes to accounts

S. No.	Particulars	(₹ in '000)	(₹ in '000)
1.	**Share Capital**		
	Equity share capital		
	Issued, subscribed and paid up		
	3,90,000 Equity shares of ₹ 100 each		39,000
	(75,000 shares are issued for consideration other than cash)		
	Preference Shares		
	Issued, subscribed and paid up		
	1,11,200 9% Preference Shares of ₹ 100 each [9,500 + 1,620]		11,120
	(16,200 shares are issued for consideration other than cash)		
			50,120
2.	**Reserves and Surplus**		
	Securities premium	1,500	
	Reserves and surplus	19,500	**21,000**
3.	**Long-term borrowings**		
	9 % Debentures (11,200 + 1,000)	12,200	
	Loan from bank (9,300 + 4255)	13,555	**25,755**
4.	**Trade Payable**		
	Nice Limited	15,740	
	Well Limited	4,850	
		20,590	
	Less: Inter Company holdings	(215)	**20,375**
5.	**Property, Plant and Equipment and Intangibles**		
	Property, Plant and Equipment	62,550	
	Acquired during the year	19,656	**82,206**
6.	**Intangibles assets**		
	Goodwill (137 + 55)		**192**
7.	**Inventories**	300	
	Acquired during the year	957	**1,257**
8.	**Trade receivables**	6,590	
	Acquired during the year (1,585 + 150)	1,735	**8,325**
9.	**Cash and Cash Equivalents**		
	Nice Limited	4,800	
	Less: Expenses on liquidation	(55)	**4,745**

Question 16

Galaxy Ltd. and Glory Ltd., are two companies engaged in the same business of chemicals. To mitigate competition, a new company Glorious Ltd, is to be formed to which the assets and liabilities of the existing companies, with certain exception, are to be transferred. The summarized Balance Sheet of Galaxy Ltd. and Glory Ltd. as at 31st March, 20X1 are as follows:

			Galaxy Ltd.	Glory Ltd.
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital		
		Equity shares of ₹ 10 each	8,40,000	4,55,000
	(b)	Reserve and surplus		
		General Reserve	4,48,000	40,000
		Profit & Loss A/c	1,12,000	72,000
2		**Non-current liabilities**		
	(a)	Long-term borrowings:		
		Secured Loan: 6% Debentures	–	3,30,000
3		**Current liabilities**		
	(a)	Trade Payables	4,20,000	1,83,000
		Total	**18,20,000**	**10,80,000**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment:		
		Freehold property, at cost	5,88,000	3,36,000
		Plant & Machinery, at cost less dep.	1,40,000	84,000
		Motor vehicles, at cost less dep.	56,000	–
2		**Current Assets**		
	(a)	Inventory	3,36,000	4,38,000
	(b)	Trade receivables	4,62,000	1,18,000
	(c)	Cash at Bank	2,38,000	1,04,000
		Total	**18,20,000**	**10,80,000**

Assets and Liabilities are to be taken at book value, with the following exceptions:

(i) The Debentures of Glory Ltd. are to be discharged, by the issue of 8% Debentures of Glorious Ltd. at a premium of 10%.

(ii) Plant and Machinery of Galaxy Ltd. are to be valued at ₹ 2,52,000.

(iii) Goodwill is to be valued at: Galaxy Ltd. ₹ 4,48,000 Glory Ltd. ₹ 1,68,000

(iv) Liquidator of Glory Ltd. is appointed for collection from trade debtors and payment to trade creditors. He retained the cash balance and collected ₹ 1,10,000 from debtors and paid ₹ 1,80,000 to trade creditors. Liquidator is entitled to receive 5% commission for collection and 2.5% for payments. The balance cash will be taken over by new company.

You are required to:

(1) Compute the number of shares to be issued to the shareholders of Galaxy Ltd. and Glory Ltd, assuming the nominal value of each share in Glorious Ltd. is ₹ 10.

(2) Prepare Balance Sheet of Glorious Ltd., as on 1st April, 20X1 and also prepare notes to the accounts as per Schedule III of the Companies Act, 2013.

Answer

(1) Calculation of Purchase consideration or basis for issue of shares of Glorious Ltd.

	Galaxy Ltd.	Glory Ltd.
Goodwill	4,48,000	1,68,000
Freehold property	5,88,000	3,36,000
Plant and Machinery	2,52,000	84,000
Motor vehicles	56,000	–
Inventory	3,36,000	4,38,000
Trade receivables	4,62,000	–
Cash at Bank	2,38,000	24,000
	23,80,000	**10,50,000**
Less: Liabilities:		
6% Debentures	–	(3,30,000)
Trade payables	(4,20,000)	
Net Assets taken over	**19,60,000**	**7,20,000**
To be satisfied by issue of shares of Glorious. Ltd. @ ₹ 10 each	**1,96,000**	**72,000**

(2) Balance Sheet of Glorious Ltd. as at 1st April, 20X1

Particulars			Notes	Amount
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	26,80,000
	(b)	Reserve and surplus	2	30,000
2		**Non-current liabilities**		
	(a)	Long-term borrowings	3	3,00,000
3		**Current liabilities**		
	(a)	Trade Payables		4,20,000
		Total		**34,30,000**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment	4	13,16,000
		ii Intangible asset	5	6,16,000
2		**Current Assets**		
	(a)	Inventories	6	7,74,000
	(b)	Trade receivables		4,62,000

	(c)	Cash and Cash equivalents	7	2,62,000
		Total		**34,30,000**

Notes to accounts:

S. No.	Particulars	₹	₹
1	**Share Capital**		
	Equity share capital		
	2,68,000 shares of ₹ 10 each		**26,80,000**
	(All shares are issued for consideration other than cash)		
2	**Reserves and surplus**		
	Securities Premium (10% premium on debentures)		**30,000**
3	**Long-term borrowings**		
	Secured:		
	8% 3,000 Debentures of ₹ 100 each		**3,00,000**
4	**Property Plant and Equipment**		
	Freehold property:		
	Galaxy Ltd.	5,88,000	
	Glory Ltd.	3,36,000	9,24,000
	Plant and Machinery:		
	Galaxy Ltd.	2,52,000	
	Glory Ltd.	84,000	3,36,000
	Motor vehicles – Galaxy Ltd.		56,000
			13,16,000
5	**Intangible assets**		
	Goodwill:		
	Galaxy Ltd.	4,48,000	
	Glory Ltd.	1,68,000	**6,16,000**
6	**Inventories**		
	Galaxy Ltd.	3,36,000	
	Glory Ltd.	4,38,000	**7,74,000**
7	**Cash and cash equivalents**		
	Galaxy Ltd.		
	Glory Ltd. (As per working note)	2,38,000	
		24,000	**2,62,000**

Working note: Calculation of cash balance of Glory Limited to be taken over by Glorious Limited

Cash balance as at 31st March, 20X1	1,04,000
Add: Received from debtors	1,10,000
	2,14,000
Less: paid to creditors	(1,80,000)
	34,000

Less: Commission to liquidators		
On Debtors @ 5%	5,500	
On Creditors @ 2.5%	4,500	(10,000)
		24,000

Note: It is assumed that the nominal value of debentures of Glory Ltd. is ₹ 100 each.

Question 17

Heera Ltd. and Rita Ltd. agreed to amalgamate their business. The scheme envisaged a share capital, equal to the combined capital of Heera Ltd. and Rita Ltd. for the purpose of acquiring the assets, liabilities and undertakings of the two companies in exchange for share in HR Ltd.

Heera Ltd. and Rita Ltd. make available following information as on 31st March, 20X4 (date of amalgamation):

	Heera Ltd. ₹	**Rita Ltd. ₹**
Property, plant and Equipment	7,20,000	10,80,000
Inventories	3,60,000	6,60,000
Trade receivables	4,80,000	7,80,000
Cash at Bank	3,00,000	–
Share Capital	6,00,000	8,40,000
Reserves	10,20,000	6,00,000
Bank Overdraft	–	5,40,000
Trade payables	2,40,000	5,40,000

The consideration was to be based on the net assets of companies as shown above but subject to an additional payment to Heera Ltd. for its goodwill to be calculated as its weighted average of net profits for the three years ended 31st March, 20X4. The weights for this purpose for the years 20X1-X2, 20X2-X3 and 20X3-X4 were agreed as 1, 2 and 3 respectively.

The profit had been:

20X1-X2 ₹ 3,00,000; 20X2-X3 ₹ 5,25,000 and 20X3-X4 ₹ 6,30,000.

The shares of HR Ltd. were to be issued to Heera Ltd. and Rita Ltd.at a premium and in proportion to the agreed net assets value of these companies.

In order to raise working capital, HR Ltd. proceeded to issue 72,000 shares of ₹ 10 each at the same rate of premium as issued for discharging purchase consideration to Heera Ltd. and Rita Ltd.

You are required to calculate the number of shares issued to Heera Ltd. and Rita Ltd. and prepare necessary journal entries in the books of HR Ltd.

Answer

Calculation of number of shares issued to Heera Ltd. and Rita Ltd.

Amount of Share Capital as per balance sheet	**₹**
Heera Ltd.	6,00,000
Rita Ltd.	8,40,000
	14,40,000
Share of Heera Ltd. = ₹ 14,40,000 x [21,60,000/ (21,60,000 + 14,40,000)]	

	= ₹ 8,64,000 or 86,400 shares
Securities premium	= ₹ 21,60,000 – ₹ 8,64,000 = ₹ 12,96,000
Premium per share	= ₹ 12,96,000/₹ 86,400 = ₹ 15
Issued 86,400 shares @ ₹ 10 each at a premium of ₹ 15 per share	
Share of Rita Ltd.	= ₹ 14,40,000 x [14,40,000/ (21,60,000 + 14,40,000)]
	= ₹ 5,76,000 or 57,600 shares
Securities premium	= ₹ 14,40,000 – ₹ 5,76,000 = ₹ 8,64,000
Premium per share	= ₹ 8,64,000/₹ 57,600 = ₹ 15
Issued 57,600 shares @ ₹ 10 each at a premium of ₹ 15 per share	

Journal Entries in the books of HR Ltd.

Date	Particulars		Debit (₹)	Credit (₹)
20X4 March 31	Business purchase account	Dr.	36,00,000	
	To Liquidator of Heera Ltd. account			21,60,000
	To Liquidator of Rita Ltd. account			14,40,000
	(Being the amount of purchase consideration payable to liquidator of Heera Ltd. and Rita ltd. for assets taken over)			
	Goodwill	Dr.	5,40,000	
	PPE account	Dr.	7,20,000	
	Inventory account	Dr.	3,60,000	
	Trade receivables account	Dr.	4,80,000	
	Cash at bank	Dr.	3,00,000	
	To Trade payables account			2,40,000
	To Business purchase account			21,60,000
	(Being assets and liabilities of Heera Ltd. taken over)			
	PPE account	Dr.	10,80,000	
	Inventory account	Dr.	6,60,000	
	Trade receivables account	Dr.	7,80,000	
	To bank overdraft account			5,40,000
	To Trade payables account			5,40,000
	To Business purchase account			14,40,000
	(Being assets and liabilities of Rita Ltd. taken over)			
	Liquidator of Heera Ltd. Account	Dr.	21,60,000	
	To Equity share capital account (86,400 x ₹ 10)			8,64,000
	To Securities premium (86,400 x ₹ 15)			12,96,000
	(Being the allotment of shares as per agreement for discharge of purchase consideration)			
	Liquidator of Rita Ltd. account	Dr.	14,40,000	
	To Equity share capital account (57,600 x ₹ 10)			5,76,000
	To Securities premium (57,600 x ₹ 15)			8,64,000
	(Being allotment of shares as per agreement for discharge of PC)			

	Bank A/c	Dr.	18,00,000	
	To Equity share capital account (72,000 x ₹10)			7,20,000
	To Securities premium (72,000 x ₹ 15)			10,80,000
	(Equity share capital issued to raise working capital)			

Working Notes:

1. Calculation of goodwill of Heera Ltd.

Particulars	Amount	Weight	Weighted amount
20X1-X2	3,00,000	1	3,00,000
20X2-X3	5,25,000	2	10,50,000
20X3-X4	6,30,000	3	18,90,000
Total (a + b + c)	14,55,000	6	32,40,000
Weighted average = Total weighted amount/Total of weight = ₹ 32,40,000/6			
Goodwill = ₹ 5,40,000			

2. Calculation of Net assets

	Heera Ltd. (₹)	Rita Ltd. (₹)
Assets		
Goodwill	5,40,000	
PPE	7,20,000	10,80,000
Inventory	3,60,000	6,60,000
Trade receivable	4,80,000	7,80,000
Cash at bank	3,00,000	
Less: Liabilities		
Bank overdraft		5,40,000
Trade payables	2,40,000	5,40,000
Net assets or Purchase consideration	**21,60,000**	**14,40,000**

Question 18

The balance sheets of Truth Limited and Myth Limited as at 31.03.20X4 is given below. Myth Limited is to be amalgamated with Truth Limited from 1.04.20X4. The amalgamation is to be carried out in nature of purchase.

Particulars	Note No.	Truth Ltd. (₹)	Myth Ltd. (₹)
(1) Equity and Liabilities			
1. Shareholders' Funds			
(a) Share Capital	1	10,00,000	4,00,000
(b) Reserves and Surplus	2	11,35,000	4,13,000
2. Non-Current Liabilities	3	–	1,50,000
3. Current Liabilities	4	1,40,000	1,82,000
Total		**22,75,000**	**11,45,000**
(2) Assets			
1. Non-Current Assets			

	(a) Property, Plant & Equipment		15,75,000	6,80,000
	(b) Investments		1,87,500	1,00,000
2.	**Current Assets**	5	5,12,500	3,65,000
	Total		**22,75,000**	**11,45,000**

Note No.	Particulars	Truth Ltd (₹)	Myth Ltd (₹)
1	**Share Capital**		
	Equity shares of ₹ 10 each	**10,00,000**	**4,00,000**
2	**Reserves & Surplus**		
	General Reserve	5,05,000	2,30,000
	Profit & Loss A/c	4,45,000	1,58,000
	Export Profit Reserve	1,85,000	25,000
		11,35,000	**4,13,000**
3	**Non- Current Liabilities**		
	14% Debentures	–	**1,50,000**
4	**Current Liabilities**		
	Trade Payables	90,000	1,42,000
	Other Current Liabilities	50,000	40,000
		1,40,000	**1,82,000**
5	**Current Assets**		
	Inventory	2,15,000	85,000
	Trade Receivables	2,02,500	1,75,000
	Cash and Cash equivalents	95,000	1,05,000
		5,12,500	**3,65,000**

Truth Limited would issue 12% debentures to discharge the claim of the debenture holders of Myth Limited so as to maintain their present annual interest income. Non-trade investment, which constitute 80% of their respective total investments yielded income of 20% to Truth Limited and 15% to Myth Limited. This income is to be deducted from profits while computing average profit for the purpose of calculating goodwill. Profit before tax of both the companies during the last 3 years were as follows:

	Truth Ltd (₹)	Myth Ltd (₹)
20X1-20X2	8,20,000	2,55,000
20X2-20X3	7,45,000	2,15,000
20X3-20X4	6,04,000	2,14,000

Goodwill is to be calculated on the basis of simple average of three years profit by using Capitalization method taking 18% as normal rate of return. Ignore taxation. Purchase consideration is to be discharged by Truth Limited on the basis of intrinsic value per share. Prepare Balance Sheet of Truth Limited after amalgamation.

Answer

Balance Sheet of Truth Ltd. (after amalgamation with Myth Ltd.) as at 1.4.20X4

Particulars			Notes	₹
		Equity and Liabilities		

1		**Shareholders' funds**		
	(a)	Share capital	1	13,13,750
	(b)	Reserve and surplus	2	20,76,250
2		**Non-current liabilities**		
	(a)	Long-term borrowings	3	1,75,000
3		**Current liabilities**		
	(a)	Trade Payables	4	2,32,000
	(b)	Other current liabilities	5	90,000
		Total		**38,87,000**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment	6	22,55,000
		ii Intangible assets (Goodwill) [WN 1]		4,67,000
	(b)	Non-current investments	7	2,87,500
2		**Current Assets**		
	(a)	Inventories (2,15,000 + 85,000)		3,00,000
	(b)	Trade receivables (2,02,500 + 1,75,000)		3,77,500
	(c)	Cash and Cash equivalents (95,000 + 1,05,000)		2,00,000
		Total		**38,87,000**

Notes to Accounts

S. No.	Particulars	(₹)	(₹)
1	**Share Capital**		
	1,31,375 Equity Shares of ₹ 10 each [1,00,000 + 31,375]		**13,13,750**
	(31,375 shares were issued to the vendors other than for cash)		
2	**Reserves and surplus**		
	General Reserve		5,05,000
	Profit and Loss A/c		4,45,000
	Securities Premium [31,375 x 30]		9,41,250
	Export profit reserve	1,85,000	
	Add: Balance of Myth Ltd.	25,000	2,10,000
	Amalgamation Adjustment Reserve		(25,000)
			20,76,250
3	**Long Term Borrowings**		
	12% Debentures issued to Myth Ltd.		**1,75,000**
4	**Trade payables**		
	Trade payables	90,000	
	Add: Taken over	1,42,000	**2,32,000**
5	**Other Current Liabilities**		
	Truth Ltd.	50,000	

	Myth Ltd.	40,000	**90,000**
6	**Property, Plant & Equipment**		
	Truth Ltd.	15,75,000	
	Myth Ltd.	6,80,000	**22,55,000**
7	**Investment**		
	Truth Ltd.		1,87,500
	Myth Ltd.		1,00,000
			2,87,500

Working Notes:

(1) Valuation of Goodwill

(i) Capital Employed

	Truth Ltd. (₹)		**Myth Ltd. (₹)**	
Assets as per Balance Sheet		22,75,000		11,45,000
Less: Non-trade Investment		(1,50,000)		(80,000)
		21,25,000		**10,65,000**
Less: Liabilities:				
14% Debentures	–		1,50,000	
Trade payables	90,000		1,42,000	
Other current liabilities	50,000	(1,40,000)	40,000	(3,32,000)
Capital Employed		**19,85,000**		**7,33,000**

(ii) Average profit before tax

	Truth Ltd.	**Myth Ltd.**
20X1-20X2	8,20,000	2,55,000
20X2-20X3	7,45,000	2,15,000
20X3-20X4	6,04,000	2,14,000
Total profit of 3 years (a)	21,69,000	6,84,000
Simple Average [(a)/3]	7,23,000	2,28,000
Less: Non-trading income		
Truth Ltd.: 1,87,500 x 80% x 20%	(30,000)	
Myth Ltd.: 1,00,000 x 80% x 15%		(12,000)
	6,93,000	**2,16,000**

(iii) Goodwill

	Truth Ltd.	**Myth Ltd.**
Capitalised value of average profit		
(6,93,000/18) x 100	38,50,000	
(2,16,000/18) x 100		12,00,000
Less: Capital Employed [From (i) above]	(19,85,000)	(7,33,000)
Goodwill	**18,65,000**	**4,67,000**

(2) Intrinsic Value per Share

	Truth Ltd. (₹)		Myth Ltd. (₹)	
Goodwill [W.N. 1]	18,65,000		4,67,000	
Other Assets	22,75,000	41,40,000	11,45,000	16,12,000
Less: Liabilities				
12% Debentures	–		1,75,000	
Trade payables	90,000		1,42,000	
Other current liabilities	50,000	(1,40,000)	40,000	(3,57,000)
Net Assets		**40,00,000**		**12,55,000**
Intrinsic value per share [Net Assets/No. of Shares]		40,00,000/1,00,000 **= ₹ 40**		12,55,000/40,000 **= ₹ 31.375**

*1,50,000 x 14%/12%]

(3) Purchase Consideration & manner of its discharge

Intrinsic Value of Myth Ltd.	[a]	₹ 31.375 per share
No. of shares	[b]	40,000 shares
Purchase Consideration	[c = a x b]	₹ 12,55,000
Intrinsic Value of Truth Ltd.	[d]	₹ 40 per share
No. of shares to be issued	[c/d]	31,375 shares

Question 19

The summarized Balance Sheet of A Ltd. and B Ltd. as at 31st March, 20X1 are as under:

	A Ltd. (in ₹)	B Ltd. (in ₹)
Equity shares of ₹ 10 each, fully paid up	30,00,000	24,00,000
Securities Premium Account	4,00,000	
General Reserve	6,20,000	5,00,000
Profit and Loss Account	3,60,000	3,20,000
Retirement Gratuity Fund Account	1,00,000	
10% Debentures	20,00,000	
Unsecured short-term loan (including loan from A Ltd.)	6,00,000	8,20,000
Trade Payables	1,00,000	3,40,000
	71,80,000	**43,80,000**
Land and Buildings	28,00,000	21,00,000
Plant and Machinery	20,00,000	7,60,000
Long term advance to B Ltd.	2,20,000	
Inventories	10,40,000	7,00,000
Trade Receivables	8,20,000	5,20,000
Cash and Bank	3,00,000	3,00,000
	71,80,000	**43,80,000**

B Ltd. is to declare and pay ₹ 1 per equity share as dividend, before the following amalgamation takes place with Z Ltd.

Z Ltd. was incorporated to take over the business of both A Ltd. and B Ltd.

(a) The authorized share capital of Z Ltd. is ₹ 60 lakhs divided into ₹ 6 lakhs equity shares of ₹ 10 each.

(b) As per Registered Valuer the value of equity shares of A Ltd. is ₹ 18 per share and of B Ltd. is ₹ 12 per share respectively and agreed by respective shareholders of the companies.

(c) 10% Debentures of A Ltd. to be issued 12% Debentures of Z Ltd. at par in consideration of their holdings.

(d) A contingent liability of A Ltd. of ₹ 2,00,000 is to be treated as actual liability.

(e) Liquidation expenses including Registered Valuer fees of A Ltd.₹ 50,000 and B Ltd. ₹ 30,000 respectively to be borne by Z Ltd.

(f) The shareholders of A Ltd. and B Ltd. is to be paid by issuing sufficient number of fully paid-up equity shares of ₹ 10 each at a premium of ₹ 10 per share.

Assuming amalgamation in the nature of purchase, you are required to pass the necessary journal entries (narrations not required) in the books of Z Ltd. and Prepare Balance Sheet of Z Ltd. immediately after amalgamation of both the companies.

Answer

Journal Entries in the books of Z Ltd

Date	Particulars		Debit (₹)	Credit (₹)
20X1 March 31	Business Purchase A/c	Dr.	54,00,000	
	To Liquidator of A Ltd. A/c			54,00,000
	Land & Building A/c	Dr.	28,00,000	
	Plant & Machinery A/c	Dr.	20,00,000	
	Long term advance to B Ltd. A/c	Dr.	2,20,000	
	Inventories A/c	Dr.	10,40,000	
	Trade Receivables A/c	Dr.	8,20,000	
	Cash and Bank A/c	Dr.	3,00,000	
	Goodwill A/c	Dr.	12,20,000	
	To Retirement Gratuity Fund A/c			1,00,000
	To Liability for Debentures A/c			20,00,000
	To Unsecured Loan A/c			6,00,000
	To Trade Payables A/c			1,00,000
	To Other liabilities A/c			2,00,000
	To Business Purchase A/c			54,00,000
	Liability for Debentures A/c	Dr.	20,00,000	
	To 12% Debentures A/c			20,00,000
	Liquidator of A Ltd. A/c	Dr.	54,00,000	
	To Equity Share Capital A/c			27,00,000
	To Securities Premium A/c			27,00,000
	Business Purchase A/c	Dr.	28,80,000	
	To Liquidator of B Ltd. A/c			28,80,000
	Land and Building A/c	Dr.	21,00,000	
	Plant & Machinery A/c	Dr.	7,60,000	

	Inventories A/c	Dr.	7,00,000	
	Trade Receivables A/c	Dr.	5,20,000	
	Cash and Bank (less dividend) A/c	Dr.	60,000	
	To Unsecured Loan A/c			8,20,000
	To Trade Payables A/c			3,40,000
	To Business Purchase A/c			28,80,000
	To Capital Reserve A/c			1,00,000
	Liquidators of B Ltd. A/c	Dr.	28,80,000	
	To Equity Share Capital A/c			14,40,000
	To Securities Premium A/c			14,40,000
	Unsecured Loans A/c	Dr.	2,20,000	
	To Long term Advance to B Ltd. A/c			2,20,000
	Capital Reserve A/c	Dr.	1,00,000	
	To Cash and Bank A/c (Liquidation expenses)			80,000
	To Goodwill A/c			20,000

Balance Sheet of Z Ltd. as at 31st March, 20X1

Particulars			Notes	Amount
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	41,40,000
	(b)	Reserve and surplus	2	41,40,000
2		**Non-current liabilities**		
	(a)	Long-term borrowings	3	20,00,000
	(b)	Long-term provisions	4	1,00,000
3		**Current liabilities**		
	(a)	Short-term borrowings	5	12,00,000
	(b)	Trade Payables	6	4,40,000
	(c)	Other current liability		2,00,000
		Total		**1,22,20,000**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment	7	76,60,000
		ii Intangible asset (Goodwill 12,20,000 – 20,000)		12,00,000
2		**Current Assets**		
	(a)	Inventories	8	17,40,000
	(b)	Trade receivables	9	13,40,000
	(c)	Cash and Cash equivalents	10	2,80,000
		Total		**1,22,20,000**

Notes to Accounts

S. No.	Particulars	₹	₹
1	**Share Capital**		
	Authorized Share Capital		
	6,00,000 Equity shares of ₹ 10 each		**60,00,000**
	Issued: 4,14,000 Equity shares of ₹ 10 each		**41,40,000**
	(all these shares were Issued for consideration other than cash)		
2	**Reserves and surplus**		
	Securities Premium Account (4,14,000 shares × ₹ 10)		**41,40,000**
3	**Long-term borrowings**		
	12% Debentures		**20,00,000**
4	**Long term Provisions**		
	Retirement gratuity fund		**1,00,000**
5	**Short-term borrowings**		
	Unsecured loans:		
	A Ltd.	6,00,000	
	B Ltd.	8,20,000	
		14,20,000	
	Less: Mutual	(2,20,000)	**12,00,000**
6	**Trade payables**		
	A Ltd.	1,00,000	
	B Ltd.	3,40,000	**4,40,000**
7	**Property, plant & equipment**		
	Land and Building		
	A Ltd.	28,00,000	
	B Ltd.	21,00,000	49,00,000
	Plant and Machinery:		
	A Ltd.	20,00,000	
	B Ltd.	7,60,000	27,60,000
			76,60,000
8	**Inventories**		
	A Ltd.	10,40,000	
	B Ltd.	7,00,000	**17,40,000**
9	**Trade receivables**		
	A Ltd.	8,20,000	
	B Ltd.	5,20,000	**13,40,000**
10	**Cash & cash equivalents**		
	A Ltd.	3,00,000	
	B Ltd. [3,00,000 – 2,40,000 (dividend)]	60,000	
		3,60,000	
	Less: Liquidation Expenses	(80,000)	**2,80,000**

Working Note:

Calculation of amount of Purchase Consideration

	A Ltd.	B Ltd.
Existing shares	3,00,000	2,40,000
Agreed value per share	₹ 18	₹ 12
Purchase consideration	54,00,000	28,80,000
No. of shares to be issued of ₹ 20 each (including ₹ 10 premium)	2,70,000	1,44,000
Face value of shares at ₹ 10	27,00,000	14,40,000
Premium of shares at ₹ 10	27,00,000	14,40,000

Question 20

The following are the Balance Sheets of P Ltd. and Q Ltd. as at 31st March, 20X1:

Particulars			Notes	₹ P Ltd	₹ Q Ltd
		Equity and Liabilities			
1		**Shareholders' funds**			
	(a)	Share capital	1	8,00,000	4,00,000
	(b)	Reserve and surplus		3,00,000	2,00,000
2		**Non-current liabilities**			
	(a)	Long-term borrowings	2	2,00,000	1,50,000
3		**Current liabilities**			
	(a)	Trade Payables		2,50,000	1,50,000
		Total		**15,50,000**	**9,00,000**
		Assets			
1		**Non-current assets**			
	(a)	PPE and intangible asset			
		i Property, plant and Equipment		7,00,000	2,50,000
	(b)	Non-current investment		80,000	80,000
2		**Current Assets**			
	(a)	Inventories		2,40,000	3,20,000
	(b)	Trade receivables		4,20,000	2,10,000
	(c)	Cash and Cash equivalents		1,10,000	40,000
		Total		**15,50,000**	**9,00,000**

Notes to accounts

		P Ltd.	Q Ltd.
1	**Share Capital**		
	Equity shares of ₹ 10 each	6,00,000	3,00,000
	10% Preference Shares of ₹ 100 each	2,00,000	1,00,000
		8,00,000	**4,00,000**
2	**Long term borrowings**		

	12% Debentures	2,00,000	1,50,000
		2,00,000	**1,50,000**

Details of Trade receivables and trade payables are as under:

	P Ltd. (₹)	Q Ltd. (₹)
Trade receivables:		
Debtors	3,60,000	1,90,000
Bills Receivable	60,000	20,000
	4,20,000	**2,10,000**
Trade payables:		
Sundry Creditors	2,20,000	1,25,000
Bills Payable	30,000	25,000
	2,50,000	**1,50,000**

Property, plant and equipment of both the companies are to be revalued at 15% above book value. Both the companies are to pay 10% Equity dividend, but Preference dividend having been already paid.

After the above transactions are given effect to, P Ltd. will absorb Q Ltd. on the following terms:

(i) 8 Equity Shares of ₹ 10 each will be issued by P Ltd. at par against 6 shares of Q Ltd.

(ii) 10% Preference Shareholders of Q Ltd. will be paid at 10% discount by issue of 10% Preference Shares of ₹ 100 each at par in P Ltd.

(iii) 12% Debenture holders of Q Ltd. are to be paid at 8% premium by 12% Debentures in P Ltd. issued at a discount of 10%.

(iv) ₹ 30,000 is to be paid by P Ltd. to Q Ltd. for Liquidation expenses. Sundry Creditors of Q Ltd. include ₹ 10,000 due to P Ltd.

(v) Inventory in Trade and Debtors are taken over at 5% lesser than their book value by P Ltd.

Prepare:

(a) Journal entries in the books of P Ltd.

(b) Statement of consideration payable by P Ltd.

Answer

(a) Journal Entries in the Books of P Ltd.

Date	Particulars		Debit (₹)	Credit (₹)
20X1 March 31	Property, Plant and Equipment	Dr.	1,05,000	
	To Revaluation Reserve A/c			1,05,000
	(Revaluation of PPE at 15% above book value)			
	Reserve and Surplus	Dr.	60,000	
	To Equity Dividend A/c			60,000
	(Declaration of equity dividend @ 10%)			
	Equity Dividend	Dr.	60,000	
	To Bank A/c			60,000
	(Payment of equity dividend)			

	Business Purchase	Dr.	4,90,000	
	To Liquidator of Y Ltd. A/c			4,90,000
	(Consideration payable for the business taken over from Q Ltd.)			
	Property, Plant and Equipment (115% of ₹ 2,50,000)	Dr.	2,87,500	
	Inventory (95% of ₹ 3,20,000)	Dr.	3,04,000	
	Debtors	Dr.	1,90,000	
	Bills Receivable	Dr.	20,000	
	Investment	Dr.	80,000	
	Cash at Bank (₹ 40,000 – ₹ 30,000 dividend paid)	Dr.	10,000	
	To Provision for Bad Debts A/c (5% of ₹ 1,90,000)			9,500
	To Sundry Creditors A/c			1,25,000
	To 12% Debentures in Q Ltd. A/c			1,62,000
	To Bills Payable A/c			25,000
	To Business Purchase Account A/c			4,90,000
	To Capital Reserve A/c (Balancing figure)			80,000
	(Incorporation of various assets and liabilities taken over from Q Ltd. at agreed values and difference of net assets and purchase consideration being credited to Capital Reserve)			
	Liquidator of Q Ltd.	Dr.	4,90,000	
	To Equity Share Capital A/c			4,00,000
	To 10% Preference Share Capital A/c			90,000
	(Discharge of consideration for Q Ltd.' s business)			
	12% Debentures in Q Ltd. (₹ 1,50,000 x 108%)	Dr.	1,62,000	
	Discount on Issue of Debentures	Dr.	18,000	
	To 12% Debentures A/c			1,80,000
	(Allotment of 12% Debentures to debenture holders of Q Ltd. at a discount of 10%)			
	Sundry Creditors of Q Ltd.	Dr.	10,000	
	To Sundry Debtors of P Ltd.			10,000
	(Cancellation of mutual owing)			
	Capital Reserve	Dr.	30,000	
	To Bank A/c			30,000
	(Being liquidation expenses reimbursed to Q Ltd.)			

(b) Statement of Consideration payable by P Ltd. for 30,000 shares (payment method):

Shares to be allotted = (30,000/6) x 8 = 40,000 shares of P Ltd.

(i)	Issued 40,000 shares of ₹ 10 each i.e.	₹ 4,00,000
(ii)	For 10% preference shares, to be paid at 10% discount [(₹ 1,00,000 x 90)/100]	₹ 90,000
(iii)	Consideration amount [(i) + (ii)]	**₹ 4,90,000**

Question 21

The summarized Balance Sheets of Black Limited and White Limited as on 31st March, 20X1 is as follows:

Particulars			Notes	(in'000)	
				Black Limited	White Limited
		Equity and Liabilities			
1		**Shareholders' funds**			
	(a)	Share capital	1	6,000	3,600
	(b)	Reserve and surplus	2	1,080	660
2		**Current liabilities**			
	(a)	Trade Payables		600	360
		Total		**7,680**	**4,620**
		Assets			
1		**Non-current assets**			
	(a)	PPE and intangible asset			
		i Property, plant and Equipment		3,600	2,400
2		**Current Assets**			
	(a)	Inventories		960	720
	(b)	Trade receivables		1,680	1,080
	(c)	Cash and Cash equivalents		1,440	420
		Total		**7,680**	**4,620**

Notes to Accounts **(₹ in 000)**

S. No.	Particulars	Black Limited	White Limited
1	**Share Capital**		
	Equity Shares of ₹ 100 each	**6,000**	**3,600**
2	**Reserves and Surplus**		
	General Reserve	360	180
	Profit and Loss Account	720	480
		1,080	**660**

Black Limited takes over White Limited on 1st July, 20X1.

No Balance Sheet of White Limited is available as on that date. It is, however estimated that White Limited earned profit of ₹ 2,40,000 after charging proportionate depreciation @ 10% p.a. on Property Plant and Equipment, during April-June, 20X1.

Estimated profit of Black Limited during these 3 months was ₹ 4,80,000 after charging proportionate depreciation @ 10% p.a. on Property Plant and Equipment.

Both the companies have declared and paid 10% dividend within this 3 months' period.

Goodwill of White Limited is valued at ₹ 2,40,000 and Property Plant and Equipment are valued at ₹ 1,20,000 above the depreciated book value on the date of takeover.

Purchase consideration is to be satisfied by Black Limited by issuing shares at par. Ignore income tax. You are required to:

(i) Compute No. of shares to be issued by Black Limited to White Limited against purchase consideration.

(ii) Calculate the balance of Net Current Assets of Black Limited and White Limited as on 1st July, 20X1.

(iii) Give balance of Profit or Loss of Black Limited as on 1st July, 20X1.

(iv) Give balance of Property Plant and Equipment as on 1st July, 20X1 after takeover.

Answer

(i) No. of shares issued by Black Ltd. to White Ltd. against purchase consideration

White Ltd.		**₹**	**₹**
Goodwill			2,40,000
Property, plant and equipment		24,00,000	
Less: Depreciation [24,00,000 x 10% x 3/12]		(60,000)	
		23,40,000	
Add: Appreciation		1,20,000	24,60,000
Inventory			7,20,000
Trade receivables			10,80,000
Cash and Bank balances		4,20,000	
Add: Profit after depreciation	2,40,000		
Add: Depreciation (non-cash)	60,000	3,00,000	
Less: Dividend [36,00,000 x 10%]		(3,60,000)	3,60,000
			48,60,000
Less: Trade payables			(3,60,000)
Purchase Consideration			**45,00,000**
Number of shares to be issued by Black Ltd. @ ₹ 100 each			**45,000 shares**

(ii) Calculation of Net Current Assets as on 01.07.20X1

		Black Ltd.		**White Ltd.**
Current assets:				
Inventory		9,60,000		7,20,000
Trade receivables		16,80,000		10,80,000
Cash and Bank:	14,40,000		4,20,000	
Less: Dividend	(6,00,000)		(3,60,000)	
Add: Profit after depreciation	4,80,000		2,40,000	
Add: Depreciation being non cash	90,000	14,10,000	60,000	3,60,000
		40,50,000		21,60,000
Less: Trade payables		(6,00,000)		(3,60,000)
		34,50,000		**18,00,000**

(iii) Profit and Loss Account balance of Black Ltd. as on 1.07.20X1

	₹
P&L A/c balance as on 31.03.20X1	7,20,000
Less: Dividend paid	(6,00,000)

	1,20,000
Add: Estimated profit for 3 months after charging depreciation	4,80,000
	6,00,000

(iv) Property, plant and equipment as on 01.07.20X1

Property, plant and equipment of Black Ltd. as on 31.03.20X1		36,00,000
Less: Depreciation for 3 months [36,00,000 x 10% x 3/12]		(90,000)
		35,10,000
PPE of White Ltd. Taken over as on 31.03.20X1	24,00,000	
Less: Proportionate depreciation for 3 months on fixed assets	(60,000)	
	23,40,000	
Add: Appreciation above the estimated book value	1,20,000	24,60,000
Total Property, plant and equipment as on 1.7.20X1		**59,70,000**

Accounting for Amalgamation in Nature of Purchase [In Selling & Purchasing Company]

Question 22

Following is summarized Balance Sheet of Light Limited and Bright Limited as at 31.3.20X1: **(₹ in Lakhs)**

Particulars			Notes	Light Limited	Bright Limited
		Equity and Liabilities			
1		**Shareholders' funds**			
	(a)	Share capital	1	50.00	40.00
	(b)	Reserve and surplus	2	1,260	990
2		**Non-current liabilities**			
	(a)	Long-term provisions		1.50	–
3		**Current liabilities**			
	(a)	Trade Payables		3.40	2.00
		Total		**81.90**	**66.00**
		Assets			
1		**Non-current assets**			
	(a)	PPE and intangible asset			
		i Property, plant and Equipment	3	68.70	50.25
2		**Current Assets**			
	(a)	Inventories		5.75	7.10
	(b)	Trade receivables		4.30	5.80
	(c)	Cash and Cash equivalents		3.15	2.85
		Total		**81.90**	**66.00**

Notes to accounts **(₹ in lakhs)**

S. No.	Particulars	Light Limited	Bright Limited
1.	**Share Capital**		

	50,000 Equity Shares of ₹ 100 each	**50.00**	**40.00**
2.	**Reserves and Surplus**		
	Statutory Reserve	2.00	–
	General Reserve	18.00	15.00
	Securities Premium	–	5.00
	Profit and Loss	7.00	4.00
		27.00	**24.00**
3.	**Property, Plant and Equipment**		
	Land and Building	58.00	44.00
	Plant and machinery	7.50	4.50
	Other Assets	3.20	1.75
		68.70	**50.25**

Other Information:

(i) A company Rainbow Limited is formed to acquire the Assets and Liability of both the companies. Assets were acquired at book values except Land and Building of Light Limited, which is revalued at ₹ 62 lakhs.

(ii) Other Assets of Bright Limited are obsolete and are scrapped and sold for ₹ 50,000 by Bright Limited itself before acquisition of its assets and liabilities by Rainbow Limited.

(iii) Light Limited and Bright Limited will be issued 80,000 and 64,000 equity shares of ₹ 100 each respectively of new company Rainbow Limited in lieu of purchase consideration due to them.

You are required to Prepare:

(a) Realisation Account and Equity Shareholders Account in the books of Light Limited and Bright Limited;

(b) Opening Balance Sheet of Rainbow Limited as at 31st March, 20X1.

Answer

Adjustment in bank balance and profit & loss A/c before amalgamation

Other assets of Bright limited

	₹ In lakhs
Book value	1.75
Less: Sale proceeds	(0.50)
Loss on sale of other assets (debited to Profit & Loss A/c)	**1.25**

The new balance of Bank = 2.85 + 0.5 = 3.35 (₹ In lakhs)

The new balance of Profit & Loss A/c = 4 – 1.25 = 2.75 (₹ In lakhs)

(a) (i) Realisation Account (₹ in lakhs)

Particulars	**Light Ltd.**	**Bright Ltd.**	**Particulars**	**Light Ltd.**	**Bright Ltd.**
To Land & Building	58.00	44.00	By Long term provision	1.50	–
To Plant & machinery	7.50	4.50	By Trade payables	3.40	2.00
To Other assets	3.20	–	By Rainbow Ltd. (PC)	80.00	64.00
To Inventories	5.75	7.10			
To Trade receivable	4.30	5.80			

To Cash & Bank	3.15	3.35			
To Eq. Shareholders (profit)	3.00	1.25			
	84.90	**66.00**		**84.90**	**66.00**

(ii) **Shareholders Account** **(₹ in lakhs)**

Particulars	Light Ltd.	Bright Ltd.	Particulars	Light Ltd.	Bright Ltd.
To Shares in Rainbow Ltd.	80.00	64.00	By Share Capital	50.00	40.00
			By Statutory reserve	2.00	–
			By General Reserve	18.00	15.00
			By Securities premium	–	5.00
			By Profit & Loss	7.00	2.75
			By Realisation	3.00	1.25
	80.00	64.00		80.00	64.00

(b) Balance Sheet of Super Rainbow Ltd.

Particulars			Notes	(₹ in lakhs)
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	144.00
	(b)	Reserve and surplus	2	1.00
2		**Non-current liabilities**		
	(a)	Long term provisions		1.50
3		**Current liabilities**		
	(a)	Trade Payables		5.40
		Total		**151.90**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, Plant and Equipment	3	121.20
		ii Intangible Asset	4	1.25
2		**Current Assets**		
	(a)	Inventory		12.85
	(b)	Trade receivables		10.10
	(c)	Cash and Cash equivalents		6.50
		Total		**151.90**

Notes to accounts

S. No.	Particulars	(₹ in Lakhs)
1.	**Share Capital**	
	Equity share capital	
	Issued, subscribed and paid up	
	1,44,000 Equity shares of ₹ 100 each	**144.00**

	(all shares are issued for consideration other than cash)	
2.	**Reserves and Surplus**	
	Statutory Reserves	2.00
	Amalgamation Adjustment Reserves	(2.00)
	Capital Reserves	1.00
		1.00
3.	**PPE**	
	Land and Buildings	106.00
	Plant and Machinery	12.00
	Other Assets	3.20
		121.20
4.	**Intangible assets**	
	Goodwill	**1.25**

Working notes:

1. Calculation of purchase consideration **(₹ In lakhs)**

	Light ltd.	**Bright Ltd.**
80,000 Equity Shares of ₹ 100	80	
64,000 Equity Shares of ₹ 100		64

2. Calculation of Net assets taken over **(₹ In lakhs)**

Particulars		**Light Ltd.**	**Bright Ltd.**
Assets taken over:			
Land and Buildings		62.00	44.00
Plant and Machinery		7.50	4.50
Other Assets		3.20	–
Inventory		5.75	7.10
Trade Receivable		4.30	5.80
Cash at Bank (2.85 + 0.50)		3.15	3.35
	(i)	**85.90**	**64.75**
Liabilities taken over:			
Long term provisions		1.50	–
Trade payable		3.40	2.00
	(ii)	**4.90**	**2.00**
Net assets taken over	**(i) – (ii)**	**81.00**	**62.75**

3. Calculation of Goodwill/Capital Reserve **(₹ In lakhs)**

Particulars	**Light Ltd.**	**Bright Ltd.**
Net Assets takeover	81.00	62.75
Less: Purchase Consideration	(80.00)	(64.00)
Goodwill/(Capital Reserve)	**(1.00)**	**1.25**

Question 23

The financial position of two companies Hari Ltd. and Vayu Ltd. as at 31st March, 20X1 was as under:

Particulars			Notes	Hari Ltd.	Vayu Ltd.
		Equity and Liabilities			
1		**Shareholders' funds**			
	(a)	Share capital	1	11,00,000	4,00,000
	(b)	Reserve and surplus	2	70,000	70,000
2		**Non-current liabilities**			
	(a)	Long-term provision	3	50,000	20,000
3		**Current liabilities**			
	(a)	Trade Payables		1,30,000	80,000
		Total		**13,50,000**	**5,70,000**
		Assets			
1		**Non-current assets**			
	(a)	PPE and intangible asset			
		i Property, plant and Equipment	4	8,00,000	2,50,000
		ii Intangible assets	5	50,000	25,000
2		**Current Assets**			
	(a)	Inventories		2,50,000	1,75,000
	(b)	Trade receivables		2,00,000	1,00,000
	(c)	Cash and Cash equivalents		50,000	20,000
		Total		**13,50,000**	**5,70,000**

Notes to accounts

S. No.	Particulars	Hari Ltd.	Vayu Ltd.
1	**Share Capital**		
	Equity shares of ₹ 10 each	10,00,000	3,00,000
	9% Preference Shares of ₹ 100 each	1,00,000	–
	10% Preference Shares of ₹ 100 each	–	1,00,000
		11,00,000	**4,00,000**
2	**Reserves and Surplus**		
	General reserve	**70,000**	**70,000**
3	**Long term Provisions**		
	Retirement gratuity fund	**50,000**	**20,000**
4	**Property, plant and Equipment**		
	Land and Building	3,00,000	1,00,000
	Plant and machinery	5,00,000	1,50,000
		8,00,000	**2,50,000**
5	**Intangible assets**		
	Goodwill	**50,000**	**25,000**

Hari Ltd. absorbs Vayu Ltd. on the following terms:

(a) 10% Preference Shareholders are to be paid at 10% premium by issue of 9% Preference Shares of Hari Ltd.

(b) Goodwill of Vayu Ltd. is valued at ₹ 50,000. Buildings are valued at ₹ 1,50,000 and the Machinery at ₹ 1,60,000.

(c) Inventory to be taken over at 10% less value and Provision for Doubtful Debts to be created @ 7.5%.

(d) Equity Shareholders of Vayu Ltd. will be issued necessary Equity Shares @ 5% premium.

Prepare necessary Ledger Accounts to close the books of Vayu Ltd. and show the acquisition entries in the books of Hari Ltd. Also draft the Balance Sheet after absorption as at 31st March, 20X1.

Answer

In the Books of Vayu Ltd.

Realization Account

Particulars	₹	Particulars	₹
To Sundry Assets	5,70,000	By Retirement Gratuity Fund	20,000
To Preference Shareholders	10,000	By Trade payables	80,000
(Premium on Redemption)		By Hari Ltd. (Purchase Consideration)	5,30,000
To Equity SH (Profit on Realization)	50,000		
	6,30,000		**6,30,000**

Equity Shareholders Account

Particulars	₹	Particulars	₹
To Equity Shares of Hari Ltd.	4,20,000	By Share Capital	3,00,000
		By General Reserve	70,000
		By Realization Account (Profit)	50,000
	4,20,000		**4,20,000**

Preference Shareholders Account

Particulars	₹	Particulars	₹
To 9% Preference Shares of Hari Ltd.	1,10,000	By Preference Share Capital	1,00,000
		By Realization A/c (Premium on Redemption of Preference Shares)	10,000
	1,10,000		**1,10,000**

Hari Ltd. Account

Particulars	₹	Particulars	₹
To Realization Account	5,30,000	By 9% Preference Shares	1,10,000
		By Equity Shares	4,20,000
	5,30,000		**5,30,000**

Journal Entries in the Books of Hari Ltd.

Date	Particulars		Debit (₹)	Credit (₹)
20X1 March 31	Business Purchase	Dr.	5,30,000	
	To Liquidators of Vayu Ltd. A/c			5,30,000

	(Being business of Vayu Ltd. taken over)			
	Goodwill	Dr.	50,000	
	Building	Dr.	1,50,000	
	Machinery	Dr.	1,60,000	
	Inventory	Dr.	1,57,500	
	Trade Receivables	Dr.	1,00,000	
	Bank A/c	Dr.	20,000	
	To Retirement Gratuity Fund Account			20,000
	To Trade payables Account			80,000
	To Provision for Doubtful Debts Account			7,500
	To Business Purchase A/c			5,30,000
	(Being Assets and Liabilities taken over as per agreed valuation)			
	Liquidator of Vayu Ltd.	Dr.	5,30,000	
	To 9% Preference Share Capital A/c			1,10,000
	To Equity Share Capital A/c			4,00,000
	To Securities Premium A/c			20,000
	(Being Purchase Consideration satisfied as above)			

Balance Sheet of Hari Ltd. (after absorption) as at 31st March, 20X1

Particulars			Notes	
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	16,10,000
	(b)	Reserve and surplus	2	90,000
2		**Non-current liabilities**		
	(a)	Long-term provisions	3	70,000
3		**Current liabilities**		
	(a)	Trade Payables		2,10,000
		Total		**19,80,000**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment	4	11,10,000
		ii Intangible assets	5	1,00,000
2		**Current Assets**		
	(a)	Inventories		4,07,500
	(b)	Trade receivables	6	2,92,500
	(c)	Cash and Cash equivalents		70,000
		Total		**19,80,000**

Notes to accounts

S. No.	Particulars	₹

1	**Share Capital**	
	1,40,000 Equity Shares of ₹ 10 each fully paid	14,00,000
	(40,000 Equity Shares issued in consideration other than for cash)	
	2,100 9% Preference Shares of ₹ 100 each	2,10,000
	(1,100 Preference Shares issued in consideration other than for cash)	
		16,10,000
2	**Reserves and Surplus**	
	Securities Premium	20,000
	General Reserve	70,000
		90,000
3	**Long-term provisions**	
	Retirement Gratuity fund	**70,000**
4	**Property, Plant and Equipment**	
	Buildings	4,50,000
	Machinery	6,60,000
		11,10,000
5	**Intangible assets**	
	Goodwill	**1,00,000**
6	**Trade receivables**	3,00,000
	Less: Provision for Doubtful Debts	(7,500)
		2,92,500

Working Note: Purchase Consideration

Goodwill	50,000
Building	1,50,000
Machinery	1,60,000
Inventory	1,57,500
Trade receivables	92,500
Cash at Bank	20,000
	6,30,000
Less: Liabilities:	
Retirement Gratuity Fund	(20,000)
Trade payables	(80,000)
Net Assets/Purchase Consideration	**5,30,000**
To be satisfied as under:	
10% Preference Shareholders of Vayu Ltd.	1,00,000
Add: 10% Premium	10,000
1,100 9% Preference Shares of Hari Ltd.	1,10,000
Eq. Shareholders of Vayu Ltd.: Issue of 40,000 Equity Shares of Hari Ltd. at 5% Premium	4,20,000
Total	**5,30,000**

Question 24

The financial position of X Ltd. and Y Ltd. as on 31st March, 20X6 was as under:

	X Ltd. (₹)	Y Ltd. (₹)
Equity and Liabilities		
Equity Shares of ₹ 10 each	30,00,000	9,00,000
9% Preference Shares of ₹ 100 each	3,00,000	–
10% Preference Shares of ₹ 100 each	–	3,00,000
General Reserve	2,10,000	2,10,000
Retirement Gratuity Fund (long term)	1,50,000	60,000
Trade Payables	3,90,000	2,40,000
Total	**40,50,000**	**17,10,000**
Assets		
Goodwill	1,50,000	75,000
Land & Buildings	9,00,000	3,00,000
Plant & Machinery	15,00,000	4,50,000
Inventories	7,50,000	5,25,000
Trade Receivables	6,00,000	3,00,000
Cash and Bank	1,50,000	60,000
Total	**40,50,000**	**17,10,000**

X Ltd. absorbs Y Ltd. on the following terms:

(i) 10% Preference Shareholders are to be paid at 10% premium by issue of 9% Preference Shares of X Ltd.

(ii) Goodwill of Y Ltd. on absorption is to be computed based on two times of average profits of preceding three financial years (20X4-X5: ₹ 90,000; 20X3-X4: ₹ 78,000 and 20X2-X3: ₹ 72,000). Profits of 20X2-X3 included credit of an insurance claim of ₹ 25,000 (fire occurred in 20X1-X2 and loss by fire ₹ 30,000 was booked in Profit and Loss Account of that year). In the year 20X3-X4, there was an embezzlement of cash by an employee amounting to ₹ 10,000.

(iii) Land & Buildings are valued at ₹ 5,00,000 and the Plant & Machinery at ₹ 4,00,000.

(iv) Inventories are to be taken over at 10% less value and Provision for Doubtful Debts is to be created @ 2.5%.

(v) There was an unrecorded current asset in the books of Y Ltd. whose fair value amounted to ₹ 15,000 and such asset was also taken over by X Ltd.

(vi) The trade payables of Y Ltd. included ₹ 20,000 payable to X Ltd.

(vii) Equity Shareholders of Y Ltd. will be issued Equity Shares @ 5% premium.

You are required to

(i) Prepare Realisation A/c in the books of Y Ltd.

(ii) Prepare the Balance Sheet of X Ltd. after absorption as at 31st March, 20X6.

Answer

In the Books of Y Ltd.

Realisation Account

Particulars		₹	Particulars	₹
To Sundry Assets:			By Retirement Gratuity Fund	60,000
Goodwill	75,000		By Trade payables	2,40,000
Land & Building	3,00,000		By X Ltd. (Purchase Consideration)	15,90,000
Plant & Machinery	4,50,000			
Inventory	5,25,000			
Trade receivables	3,00,000			
Bank	60,000	17,10,000		
To Pref. Sh. holders		30,000		
To Eq. Shareholders (Profit on Realisation)		1,50,000		
		18,90,000		**18,90,000**

Balance Sheet of X Ltd. (after absorption) as at 31st March, 20X6

Particulars			Notes	Amount
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	48,30,000
	(b)	Reserve and surplus	2	2,70,000
2		**Non-current liabilities**		
	(a)	Long-term provisions	3	2,10,000
3		**Current liabilities**		
	(a)	Trade Payables	4	6,10,000
		Total		**59,20,000**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment	5	33,00,000
		ii Intangible asset	6	3,00,000
2		**Current Assets**		
	(a)	Inventories	7	12,22,500
	(b)	Trade receivables	8	8,72,500
	(c)	Cash and Cash equivalents	9	2,10,000
	(d)	Other current Assets	10	15,000
		Total		**59,20,000**

Notes to accounts

S. No.	Particulars	Vayu Ltd.
1	**Share Capital**	
	Equity share capital	
	4,20,000 Equity Shares of ₹ 10 each fully paid	42,00,000
	(Out of above 1,20,000 Equity Shares issued in consideration other than for cash)	

	Preference share capital	
	6,300 9% Preference Shares of ₹ 100 each	6,30,000
	(Out of above 3,300 Preference Shares issued in consideration other than for cash)	
		48,30,000
2	**Reserves and Surplus**	
	Securities Premium	60,000
	General Reserve	2,10,000
		2,70,000
3	**Long-term provisions**	
	Retirement Gratuity fund	**2,10,000**
4	**Trade payables** (3,90,000 + 2,40,000 – 20,000 Mutual Owings)	**6,10,000**
5	**Tangible assets**	
	Land & Buildings	14,00,000
	Plant & Machinery	19,00,000
		33,00,000
6	**Intangible assets**	
	Goodwill (1,50,000 +1,50,000)	**3,00,000**
7	**Inventories** (7,50,000 + 4,72,500)	**12,22,500**
8	**Trade receivables** (6,00,000 + 3,00,000 – 20,000 – 7,500)	**8,72,500**
9	**Cash and cash equivalents** (1,50,000 + 60,000)	**2,10,000**
10	**Other current Assets**	**15,000**

Working Notes:

1. Computation of goodwill

Profit of 20X4-X5	90,000
Profit of 20X3-X4 adjusted (₹ 78,000 + 10,000)	88,000
Profit of 20X2-X3 adjusted (₹ 72,000 – 25,000)	47,000
	2,25,000
Average profit	75,000

Goodwill to be valued at 2 times of average profits = ₹ 75,000 x 2 = ₹ 1,50,000

2. Purchase Consideration:

	₹
Goodwill	1,50,000
Land & Building	5,00,000
Plant & Machinery	4,00,000
Inventory	4,72,500
Trade receivables	3,00,000
Unrecorded assets	15,000
Cash at Bank	60,000
	18,97,500

Less: Liabilities:		
Retirement Gratuity	60,000	
Trade payables	2,40,000	
Provision for doubtful debts	7,500	(3,07,500)
Net Assets/Purchase Consideration		**15,90,000**
To be satisfied as under:		
10% Preference Shareholders of Y Ltd.		3,00,000
Add: 10% Premium		30,000
9% Preference Shares of X Ltd.		3,30,000
Equity Shareholders of Y Ltd. to be satisfied by issue of 1,20,000 equity Shares of X Ltd. at 5% Premium		12,60,000
Total		**15,90,000**

Question 25

The following information from Balance Sheet of X Ltd. as at 31st March, 20X1:

	₹
4,000 Equity shares of ₹ 100 each	4,00,000
10% Debentures	2,00,000
Loans	80,000
Trade payables	1,60,000
General Reserve	40,000
Building	1,70,000
Machinery	3,20,000
Inventory	1,10,000
Trade receivables	1,30,000
Bank	68,000
Patent	65,000
Share issue Expenses	17,000

Y Ltd. agreed to absorb X Ltd. on the following terms and conditions:

(1) Y Ltd. would take over all assets, except bank balance and Patent at their book values less 10%. Goodwill is to be valued at 4 year's purchase of super profits, assuming that the normal rate of return be 8% on the combined amount of share capital and general reserve.

(2) Y Ltd. is to take over trade payables at book value.

(3) The purchase consideration is to be paid in cash to the extent of ₹ 3,00,000 and the balance in fully paid equity shares of ₹ 100 each at ₹ 125 per share.

The average profit is ₹ 62,200. The liquidation expenses amounted to ₹ 8,000. Y Ltd. sold prior to 31st March, 20X1 goods costing ₹ 60,000 to X Ltd. for ₹ 80,000. ₹ 50,000 worth of goods are still in Inventory of X Ltd. on 31st March, 20X1. Trade payables of X Ltd. include ₹ 20,000 still due to Y Ltd.

Show the necessary Ledger Accounts to close the books of X Ltd. and prepare the Balance Sheet of Y Ltd. as at 1st April, 20X1 after the takeover.

Answer

Books of X Limited

Realisation Account

Particulars	₹	Particulars	₹
To Building	1,70,000	By Trade payables	1,60,000
To Machinery	3,20,000	By Y Ltd.	6,05,000
To Inventory	1,10,000	By Equity Shareholders (Loss)	38,000
To Trade receivables	1,30,000		
To Patent	65,000		
To Bank (Exp.)	8,000		
	8,03,000		**8,03,000**

Bank Account

Particulars	₹	Particulars	₹
To Balance b/d	68,000	By Realisation (Exp.)	8,000
To Y Ltd.	3,00,000	By 10% Debentures	2,00,000
		By Loan	80,000
		By Equity shareholders	80,000
	3,68,000		**3,68,000**

10% Debentures Account

Particulars	₹	Particulars	₹
To Bank	2,00,000	By Balance b/d	2,00,000
	2,00,000		**2,00,000**

Loan Account

Particulars	₹	Particulars	₹
To Bank	80,000	By Balance b/d	80,000
	80,000		**80,000**

Share Issue Expenses Account

Particulars	₹	Particulars	₹
To Balance b/d	17,000	By Equity shareholders	17,000
	17,000		**17,000**

General Reserve Account

Particulars	₹	Particulars	₹
To Equity shareholders	40,000	By Balance b/d	40,000
	40,000		**40,000**

Y Ltd. Account

Particulars	₹	Particulars	₹
Realisation A/c	6,05,000	By Bank	3,00,000

		By Equity share in Y Ltd. (2,440 shares at ₹ 125 each)	3,05,000
	6,05,000		**6,05,000**

Equity Shares in Y Ltd. Account

Particulars	₹	Particulars	₹
To Y Ltd.	3,05,000	By Equity shareholders	3,05,000
	3,05,000		**3,05,000**

Equity Share Holders Account

Particulars	₹	Particulars	₹
To Realisation	38,000	By Equity share capital	4,00,000
To Share issue Expenses	17,000	By General reserve	40,000
To Equity shares in B Ltd.	3,05,000		
To Bank	80,000		
	4,40,000		**4,40,000**

Books of Y Limited

Balance Sheet as on 1st April, 20X1 (An extract)

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	2,44,000
	(b)	Reserve and surplus	2	61,000
2		**Current liabilities**		
	(a)	Trade Payables	3	1,40,000
	(b)	Short term borrowings (Bank overdraft)		3,00,000
		Total		**7,45,000**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment	4	4,41,000
		ii Intangible asset	5	1,15,500
2		**Current Assets**		
	(a)	Inventories	6	91,500
	(b)	Trade receivables	7	97,000
		Total		**7,45,000**

Notes to Accounts

S. No.	Particulars	₹	₹
1	**Share Capital**		
	Equity share capital		
	2,440 Equity shares of ₹ 100 each		**2,44,000**

	(Shares have been issued for consideration other than cash)		
2	**Reserves and Surplus (an extract)**		
	Securities Premium		61,000
			61,000
3	**Trade payables**		
	Opening balance	1,60,000	
	Less: Inter-company transaction cancelled	(20,000)	**1,40,000**
4	**Property, Plant and Equipment**		
	Buildings		1,53,000
	Machinery		2,88,000
			4,41,000
5	**Intangible assets**		
	Goodwill (1,08,000 + 7,500)		**1,15,500**
6	**Inventories**		
	Opening balance	99,000	
	Less: Cancellation of profit upon amalgamation	(7,500)	**91,500**
7	**Trade receivables**		
	Opening balance	1,17,000	
	Less: Intercompany transaction cancelled	(20,000)	**97,000**

Working Notes:

1.	**Valuation of Goodwill**	**₹**
	Average profit	62,200
	Less: 8% of ₹ 4,40,000	(35,200)
	Super profit	27,000
	Value of Goodwill = 27,000 x 4	**1,08,000**
2.	**Net Assets for purchase consideration**	
	Goodwill as valued in W.N. 1	1,08,000
	Building	1,53,000
	Machinery	2,88,000
	Inventory	99,000
	Trade receivables (1,30,000 – 13,000)	1,17,000
	Total Assets	7,65,000
	Less: Trade payables	(1,60,000)
	Net Assets	**6,05,000**
3.	**Mode of payment of purchase consideration**	
	(i) By Cash	**3,00,000**
	(ii) By equity shares (B.F.)	**3,05,000**
	(iii) Number of equity shares to be issued = 3,05,000/125	**2,440 shares**
4.	**Unrealised Profit on Inventory**	**₹**

The Inventory of X Ltd. includes goods worth ₹ 50,000 which was sold by Y Ltd. on profit. Unrealized profit on this Inventory will be [20,000/80,000 x 50,000]	12,500
Less: As Y Ltd purchased assets of X Ltd. at a price 10% less than the book value, 10% need to be adjusted from the Inventory i.e., 10% of ₹ 50,000.	(5,000)
Amount of unrealized profit	**7,500**

Question 26

Mohan Ltd. gives you the following information as on 31st March, 20X1:

	₹
Share capital:	
Equity shares of ₹ 10 each	3,00,000
6,000, 9% cumulative preference shares of ₹ 10 each	60,000
Profit and Loss Account (Dr. balance)	1,70,000
10% Debentures of ₹ 100 each	2,00,000
Interest payable on Debentures	20,000
Trade Payables	1,50,000
Property, Plant and Equipment	3,40,000
Goodwill	10,000
Inventory	80,000
Trade Receivables	1,10,000
Bank Balance	20,000

A new company Ravi Ltd. is formed with authorised share capital of ₹ 4,00,000 divided into 40,000 Equity Shares of ₹ 10 each. The new company will acquire the assets and liabilities of Mohan Ltd. on following terms:

(i) (a) Mohan Ltd.'s debentures are paid by similar debentures in new company and for outstanding accrued interest on debentures, equity shares of equal amount are issued at par.

(b) The trade payables are paid by issue of 12,000 equity shares at par in full and final settlement of their claims.

(c) Preference shareholders are to get equal number of equity shares issued at par. Dividend on preference shares is in arrears for three years. Preference shareholders to forgo dividend for two years. For balance dividend, equity shares of equal amount are issued at par.

(d) Equity shareholders are issued one share at par for every three shares held in Mohan Ltd.

(ii) Current Assets are to be taken at book value (except inventory, which is to be reduced by 10%). Goodwill is to be eliminated. The Property, plant and equipment is taken over at ₹ 3,08,400.

(iii) Remaining equity shares of the new company are issued to public at par fully paid up.

(iv) Expenses of ₹ 5,000 to be met from bank balance of Mohan Ltd. This is to be adjusted from the bank balance of Mohan Ltd. before acquisition by Ravi Ltd.

You are required to prepare:

(a) Realisation account and Equity Shareholders' account in the books of Mohan Ltd.

(b) Bank Account and Balance Sheet with notes to accounts in the books of Ravi Ltd.

Answer

In the books of Mohan Ltd.

(i) Realisation Account

Particulars	₹	Particulars	₹
To Goodwill	10,000	By 10% Debentures	2,00,000
To Property, plant and equipment	3,40,000	By Interest accrued on debentures	20,000
To Inventory	80,000	By Trade payables	1,50,000
To Trade receivables	1,10,000	By Ravi Ltd. (P.C.) (W.N. 1)	1,65,400
To Bank (Expenses)	5,000	By Equity shareholders A/c	30,000
To Bank (20,000 – 5,000)	15,000	(loss on realization) (Bal. fig.)	
To Preference shareholder (W.N.2)	5,400		
	5,65,400		**5,65,400**

(ii) Equity shareholders' Account

Particulars	₹	Particulars	₹
To Profit & loss A/c	1,70,000	By Equity Share capital	3,00,000
To Equity shares in Ravi Ltd.	1,00,000		
To Realization A/c	30,000		
	3,00,000		**3,00,000**

In the books of Ravi Ltd.

(i) Bank Account

Particulars	₹	Particulars	₹
To Business Purchase	15,000	By Balance c/d (Bal. fig.)	1,09,600
To Equity shares application & allotment A/c (W.N. 3)	94,600		
	1,09,600		**1,09,600**

(ii) Balance Sheet as at 31st March, 20X1

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	4,00,000
2		**Non-current liabilities**		
	(a)	Long-term borrowings	2	2,00,000
		Total		**6,00,000**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment		3,08,400
2		**Current Assets**		
	(a)	Inventories		72,000

	(b)	Trade receivables		1,10,000
	(c)	Cash and Cash equivalents		1,09,600
		Total		**6,00,000**

Notes to Accounts

S. No.	Particulars	₹
1	**Share Capital**	
	Equity share capital	
	Authorised share capital	
	40,000 equity shares of ₹ 10 each	**4,00,000**
	Issued and subscribed	
	40,000 shares of ₹ 10 each fully paid up	**4,00,000**
	(out of the above, 30,540 (W.N. 3) shares have been allotted as fully paid-up pursuant to contract without payment being received in cash)	
2	**Long Term Borrowings**	
	10% Debentures	**2,00,000**

Working Notes:

1. Calculation of Purchase consideration

	₹
Payment to preference shareholders:	
6,000 equity shares @ ₹ 10	60,000
For arrears of dividend: (6,000 x ₹ 10) x 9%	5,400
Payment to equity shareholders	
(30,000 shares x 1/3) @ ₹ 10	1,00,000
Total purchase consideration	**1,65,400**

2. Preference shareholders' Account in books of Mohan Ltd.

Particulars	₹	Particulars	₹
To Equity Shares in Ravi Ltd.	65,400	By Preference Share capital	60,000
		By Realization A/c (Bal. fig.)	5,400
	65,400		**65,400**

3. Calculation of number of Equity shares issued to public

		Number of shares
Authorized equity shares		40,000
Less: Equity shares issued for		
Interest accrued on debentures	2,000	
Trade payables of Mohan Ltd.	12,000	
Preference shareholders of Mohan Ltd.	6,000	
Arrears of preference dividend	540	
Equity shareholders of Mohan Ltd.	10,000	(30,540)
Number of equity shares issued to public at par for cash		**9,460**

Question 27

The following Balance Sheets are given as at 31st March, 20X1: **(₹ in lakhs)**

Particulars			Best Ltd.	Better Ltd.
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital (shares of ₹ 100 each, fully paid)	20	10
	(b)	Reserve and surplus	10	8
2		**Current liabilities**	20	2
		Total	**50**	**20**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment	25	15
	(b)	Non current investment	5	–
2		**Current Assets**	20	5
		Total	**50**	**20**

The following further information is given:

(a) Better Limited issued bonus shares on 1st April, 20X1, in the ratio of one share for every two held, out of Reserves and Surplus.

(b) It was agreed that Best Ltd. will take over the business of Better Ltd., on the basis of the latter's Balance Sheet, the consideration taking the form of allotment of shares in Best Ltd.

(c) The value of shares in Best Ltd. was considered to be ₹ 150 and the shares in Better Ltd. were valued at ₹ 100 after the issue of the bonus shares. The allotment of shares is to be made on the basis of these values.

(d) Liabilities of Better Ltd., included ₹ 1 lakh due to Best Ltd., for purchases from it, on which Best Ltd., made profit of 25% of the cost. The goods of ₹ 50,000 out of the said purchases, remained in stock on the date of the above Balance Sheet.

Make the closing ledger in the Books of Better Ltd. and the opening journal entries in the Books of Best Ltd., and prepare the Balance Sheet as at 1st April, 20X1 after the takeover.

Answer

Ledger of Better Limited

Property, Plant and Equipment (PPE) Account

Particulars	₹	Particulars	₹
To Balance b/d	15,00,000	By Realization A/c (transfer)	15,00,000
	15,00,000		**15,00,000**

Current Assets Account

Particulars	₹	Particulars	₹
To Balance b/d	5,00,000	By Realization A/c (transfer)	5,00,000
	5,00,000		**5,00,000**

Liabilities Account

Particulars	₹	Particulars	₹
To Realization A/c	2,00,000	By Balance b/d	2,00,000
	2,00,000		**2,00,000**

Realization Account

Particulars	₹	Particulars	₹
To PPE A/c	15,00,000	By Liabilities A/c	2,00,000
To Current Assets A/c	5,00,000	By Best Limited (PC)	15,00,000
		By Shareholders A/c (Loss on Real.)	3,00,000
	20,00,000		**20,00,000**

Share Capital Account

Particulars	₹	Particulars	₹
To Sundry shareholders (transfer)	15,00,000	By Balance b/d	10,00,000
		By Reserves & Surplus (Bonus issue)	5,00,000
	15,00,000		**15,00,000**

Reserves & Surplus Account

Particulars	₹	Particulars	₹
To Share Capital (Bonus issue)	5,00,000	By Balance b/d	8,00,000
To Sundry Shareholders	3,00,000		
	8,00,000		**8,00,000**

Best Ltd.

Particulars	₹	Particulars	₹
To Realization A/c - PC	15,00,000	By Shares in Best Ltd	15,00,000
	15,00,000		**15,00,000**

Shares in Best Ltd.

Particulars	₹	Particulars	₹
To Best Ltd.	15,00,000	By Sundry Shareholders A/c	15,00,000
	15,00,000		**15,00,000**

Sundry Shareholders Account

Particulars	₹	Particulars	₹
To Realization A/c (Loss)	3,00,000	By Share Capital A/c	15,00,000
To Share in Best Ltd.	15,00,000	By Reserves & Surplus A/c	3,00,000
	18,00,000		**18,00,000**

Journal of Best Ltd.

Date	Particulars		Debit (₹)	Credit (₹)
20X1	Property, Plant and Equipment A/c	Dr.	15,00,000	
Apr. 1	Current Assets A/c	Dr.	5,00,000	

To Liabilities A/c			2,00,000
To Liquidator of Better Ltd.			15,00,000
To Capital Reserve A/c			3,00,000
(Assets & Liabilities of Better Ltd. taken over for an agreed purchase consideration of ₹ 15,00,000 as per agreement dated.....)			
Liquidator of Better Ltd.	Dr.	15,00,000	
To Share Capital A/c			10,00,000
To Securities Premium A/c			5,00,000
(Discharge of Purchase consideration by the issue of equity shares of ₹ 10,00,000 at a premium of ₹ 50 per share as per agreement)			
Trade payables A/c	Dr.	1,00,000	
To Trade Receivables A/c			1,00,000
(Amount due from Better Ltd., and included in its creditors taken over, cancelled against own Trade receivables)			
Capital Reserve A/c	Dr.	10,000	
To Current Asset (Stock) A/c			10,000
(Unrealized profit on stock included in current assets of Better Ltd. written off to Reserve Account. 20% on sale value of ₹ 50,000 shall be eliminated as unrealized profit)			

Working Note:

(i) Calculation of Purchase consideration:

Issued Capital of Better Ltd. (after bonus issue) at ₹ 100 per share ₹ 15,00,000

Purchase consideration has been discharged by Best Ltd. by the issue of shares for ₹ 10,00,000 at a premium of ₹ 5,00,000. This gives the value of ₹ 150 per share.

Balance Sheet of Best Ltd. (After absorption)

Particulars			Note No.	
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	30,00,000
	(b)	Reserves and Surplus	2	17,90,000
2		**Current liabilities**		21,00,000
		Total		**68,90,000**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment	3	40,00,000
	(b)	Non current investment		5,00,000
2		**Current Assets**		23,90,000
		Total		**68,90,000**

Notes to accounts

S. No.	Particulars	₹
1	**Share Capital**	
	30,000 shares of ₹ 100	**30,00,000**
	(of the above 10,000 shares issued for consideration other than cash)	
2	**Reserves and Surplus**	
	Capital Reserve (3,00,000 – 10,000)	2,90,000
	Securities Premium	5,00,000
	Other reserves and surplus	10,00,000
		17,90,000
3	**Property, Plant and Equipment**	
	PPE	25,00,000
	Acquired during the year	15,00,000
		40,00,000

Accounting for Amalgamation in Nature of Merger

Question 28

X Co. Ltd. having share capital of ₹ 50 lakhs divided into equity shares of ₹ 10 each was taken over by Y Co. Ltd. Y Co. Ltd. issued 11 equity shares of ₹ 10 each for every 10 shares of X Co. Ltd.

Explain how the difference will be adjusted in the books of Y Co. Ltd. for the shares issued under the 'Pooling of interests method' of amalgamation as per AS 14.

Answer

Particulars	₹
Purchase consideration = 5,00,000 x 11/10 = 55,000 shares of ₹ 10 each	55,00,000
Less: Share capital of X Co. Ltd.	50,00,000
Difference Adjusted through General Reserve	**5,00,000**

Question 29

Super Express Ltd. and Fast Express Ltd. were in competing business. They decided to form a new company named Super-Fast Express Ltd. The balance sheets of both the companies were as under:

Particulars			Notes	Super Express Ltd.	Fast Express Ltd.
		Equity and Liabilities			
1		**Shareholders' funds**			
	(a)	Share capital	1	20,00,000	10,00,000
	(b)	Reserve and surplus	2	1,00,000	2,60,000
2		**Non-current liabilities**			
	(a)	Long term provisions	3	1,00,000	–
3		**Current liabilities**			

	(a)	Trade Payables		60,000	40,000
		Total		**22,60,000**	**13,00,000**
		Assets			
1		**Non-current assets**			
	(a)	PPE and intangible asset			
		i Property, plant and Equipment		14,00,000	11,00,000
		ii Intangible assets		–	1,00,000
2		**Current Assets**			
	(a)	Inventories		3,00,000	40,000
	(a)	Trade receivables		2,40,000	40,000
	(b)	Cash and Cash equivalents		3,20,000	20,000
		Total		**22,60,000**	**13,00,000**

Notes to accounts

		Super Express Ltd.	**Fast Express Ltd.**
1.	**Share Capital**		
	Equity shares of ₹ 100 each	**20,00,000**	**10,00,000**
2.	**Reserves and Surplus**		
	Insurance reserve	1,00,000	–
	Employee profit sharing reserve	–	60,000
	Reserve account	–	1,00,000
	Surplus	–	1,00,000
		1,00,000	**2,60,000**
3.	**Long term provisions**		
	Provident fund	1,00,000	–
		1,00,000	–
4.	**Property, Plant and Equipment**		
	Land and Building	10,00,000	6,00,000
	Plant and machinery	4,00,000	5,00,000
		14,00,000	**11,00,000**
5.	**Intangible assets**		
	Goodwill	–	1,00,000
		–	**1,00,000**
6.	**Cash and Cash Equivalents**		
	Cash at Bank	2,20,000	10,000
	Cash in hand	1,00,000	10,000
		3,20,000	**20,000**

The assets and liabilities of both the companies were taken over by the new company at their book values. The companies were allotted equity shares of ₹ 100 each in lieu of purchase consideration amounting to ₹ 30,00,000 (20,000 for Super Express Ltd and 10,000 for Fast Express Ltd.).

Prepare opening balance sheet of Super-Fast Express Ltd. considering pooling method.

Answer

Balance Sheet of Super-Fast Express Ltd.

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	30,00,000
	(b)	Reserve and surplus	2	3,60,000
2		**Non-current liabilities**		
	(a)	Long-term provisions	3	1,00,000
3		**Current liabilities**		
	(a)	Trade Payables		1,00,000
		Total		**35,60,000**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment	4	25,00,000
		ii Intangible asset	5	1,00,000
	(b)	Non-current investments		
2		**Current Assets**		
	(a)	Inventories		3,40,000
	(b)	Trade receivables		2,80,000
	(c)	Cash and Cash equivalents	6	3,40,000
		Total		**35,60,000**

Notes to Accounts

S. No.	Particulars	₹
1	**Share Capital**	
	Equity share capital	
	Issued, subscribed and paid up	
	30,000 Equity shares of ₹ 100 each	30,00,000
	Total	**30,00,000**
2	**Reserves and Surplus**	
	Reserve account	1,00,000
	Surplus	1,00,000
	Insurance reserve	1,00,000
	Employees profit sharing account	60,000
	Total	**3,60,000**
3	**Long-term provisions**	
	Provident fund	1,00,000
	Total	**1,00,000**
4	**Property, Plant and Equipment**	
	Buildings	16,00,000

	Machinery	9,00,000
	Total	**25,00,000**
5	**Intangible assets**	
	Goodwill	1,00,000
	Total	**1,00,000**
6	**Cash and cash equivalents**	
	Balances with banks	2,30,000
	Cash on hand	1,10,000
	Total	**3,40,000**

Question 30

The following are the Balance Sheets of Yes Ltd. and No Ltd. as at 31st March, 20X1: **(₹ in crores)**

Particulars			**Notes**	**Yes Ltd**	**No Ltd**
		Equity and Liabilities			
1		**Shareholders' funds**			
	(a)	Share capital	1	12	5
	(b)	Reserve and surplus		88	10
2		**Non-current liabilities**			
	(a)	Long-term borrowings	2	–	10
3		**Current liabilities**		33	15
		Total		**133**	**40**
		Assets			
1		**Non-current assets**			
	(a)	PPE and intangible asset			
		i Property, plant and Equipment	3	20	6
	(b)	Non-current investment	4	13	–
2		**Current Assets**		100	34
		Total		**133**	**40**

Notes of accounts **(₹ in crores)**

S. No.	**Particulars**	**Yes Ltd.**	**No Ltd.**
1	**Share Capital**		
	Equity share capital		
	Authorized share capital	25	5
	Issued and subscribed:		
	Equity shares of ₹ 10 each fully paid	**12**	**5**
2	**Long term borrowings**		
	Unsecured loan from Yes Ltd.	–	**10**
3	**Property, Plant and Equipment**		
	Gross value	70	30

	Depreciation	(50)	(24)
		20	**6**
4	**Non-current investments**		
	30 lakhs equity shares of ₹ 10 each	3	–
	Long term loan to No Ltd.	10	–
		13	–

On that day Yes Ltd. absorbed No Ltd. The members of No Ltd. are to get one equity share of Yes Ltd. issued at a premium of ₹ 2 per share for every five equity shares held by them in No Ltd. The necessary approvals are obtained.

You are asked to pass journal entries in the books of the two companies to give effect to the above if the amalgamation is in the nature of merger.

Answer

Journal Entries in the books of No Ltd. **(₹ in crores)**

Date	Particulars		Debit (₹)	Credit (₹)
20X1 March 31	Realization A/c	Dr.	64.00	
	To Property, plant and equipment A/c			30.00
	To Current Assets A/c			34.00
	(Being the assets taken over transferred to Realization Account)			
	Provision for depreciation A/c	Dr.	24.00	
	Current Liabilities A/c	Dr.	15.00	
	Unsecured Loan from Yes Ltd. A/c	Dr.	10.00	
	To Realization A/c			49.00
	(Being transfer of liabilities and provision to Realization Account)			
	Yes Ltd.	Dr.	1.20	
	To Realization A/c			1.20
	(Being the amount of consideration due from Yes Ltd. credited to Realization Account)			
	Equity Shareholders A/c	Dr.	13.80	
	To Realization A/c			13.80
	(Being the loss on Realization transferred to equity shareholders account)			
	Equity Share Capital A/c	Dr.	5.00	
	Reserves and Surplus A/c	Dr.	10.00	
	To Equity Shareholders A/c			15.00
	(Being the amount of share capital, reserves and surplus credited to equity shareholders account)			
	Equity shares of Yes Ltd. A/c	Dr.	1.20	
	To Yes Ltd. A/c			1.20
	(Being the receipt of 10 lakhs equity shares of ₹ 10 each at ₹ 12 per share for allotment to shareholders)			

	Equity shareholders A/c Dr.	1.20	
	To Equity shares of Yes Ltd. A/c		1.20
	(Being the distribution of equity shares received from Yes Ltd. to shareholders)		

Journal Entries in the books of Yes Ltd. **(₹ in crores)**

Date	Particulars	Debit (₹)	Credit (₹)
20X1 March 31	Business Purchase A/c Dr.	1.20	
	To Liquidator of No Ltd. Account A/c		1.20
	(Being the amount of purchase consideration agreed under approved scheme of amalgamation – W.N.)		
	Property, plant and equipment A/c Dr.	6.00	
	Current Assets A/c Dr.	34.00	
	To Current Liabilities A/c		15.00
	To Unsecured Loan (from Yes Ltd.)		10.00
	To Business Purchase Account		1.20
	To Reserve & Surplus A/c		10.00
	To Profit & loss A/c		3.80
	(Being the assets and liabilities taken over and the surplus transferred to Profit and loss account)		
	Liquidator of No Ltd. Dr.	1.20	
	To Equity Share Capital A/c		1.00
	To Securities Premium A/c		0.20
	(Being the allotment to shareholders of No Ltd. 10 lakhs equity shares of ₹ 10 each at a premium of ₹ 2 per share)		
	Unsecured Loan (from Yes Ltd.) A/c Dr.	10.00	
	To Loan to No. Ltd A/c		10.00
	(Being the cancellation of unsecured loan given to No Ltd.)		

Working Note:

Purchase Consideration

= (50 lakhs/5) x ₹ 12 i.e., 10 lakhs equity shares at ₹ 12 per share = **₹ 1.20 crores**

Number of equity shares of ₹ 10 each to be issued (1.20 crores/12) = 10 lakhs

Question 31

The following were the Balance Sheets of P Ltd. and V Ltd. as at 31st March, 20X1: **(₹ in Lakhs)**

Particulars			Notes	P Ltd.	V Ltd.
1		**Equity and Liabilities**			
		Shareholders' funds			
	(a)	Share capital	1	15,000	6,000
	(b)	Reserve and surplus	2	15,370	4,335

2		**Non-current liabilities**			
	(a)	Long-term borrowings	3	–	1,000
3		**Current liabilities**			
	(a)	Trade Payables		1,200	463
	(b)	Short term provisions		1,830	702
		Total		**33,400**	**12,500**
		Assets			
1		**Non-current assets**			
	(a)	PPE and intangible asset			
		i Property, plant and Equipment	4	22,304	6,750
2		**Current Assets**			
	(a)	Inventory		7,862	4,041
	(b)	Trade receivables		2,120	1,100
	(c)	Cash and Cash equivalents		1,114	609
		Total		**33,400**	**12,500**

Notes to accounts **(₹ in Lakhs)**

S. No.	Particulars	P Ltd	V Ltd
1	**Share Capital**	**15,000**	**6,000**
2	**Reserves and Surplus**		
	Securities premium	3,000	–
	Foreign project reserve	–	310
	General reserve	9,500	3,200
	Profit and loss account	2,870	825
		15,370	**4,335**
3	**Long term borrowings**		
	12% debentures	–	**1,000**
4	**Property, Plant and Equipment**		
	Land and Building	6,000	–
	Plant and machinery	14,000	5,000
	Furniture and fixtures	2,304	1,750
		22,304	**6,750**

All the bills receivable held by V Ltd. were P Ltd.'s acceptances.

On 1st April 20X1, P Ltd. took over V Ltd in an amalgamation in the nature of merger. It was agreed that in discharge of consideration for the business P Ltd. would allot three fully paid equity shares of ₹ 10 each at par for every two shares held in V Ltd. It was also agreed that 12% debentures in V Ltd. would be converted into 13% debentures in P Ltd. of the same amount and denomination.

Details of trade receivables and trade payables as under: **(₹ in lakhs)**

	P Ltd.	V Ltd.
Trade payables:		
Bills Payable	120	–

Trade Creditors	1,080	463
	1,200	**463**
Trade receivables:		
Trade debtors	2,120	1,020
Bills Receivable	–	80
	2,120	**1,100**

Expenses of amalgamation amounting to ₹ 1 lakh were borne by P Ltd.

You are required to: (i) pass journal entries in the books of P Ltd. and (ii) prepare P Ltd.'s Balance Sheet immediately after the merger.

Answer

Books of P Ltd.

Journal Entries **(₹ in Lakhs)**

Date	Particulars		Debit (₹)	Credit (₹)
20X1 April 1	Business Purchase A/c	Dr.	9,000	
	To Liquidator of V Ltd. A/c			9,000
	(Being business of V Ltd. taken over for Consideration settled as per agreement)			
	Plant and Machinery A/c	Dr.	5,000	
	Furniture & Fittings A/c	Dr.	1,750	
	Inventory A/c	Dr.	4,041	
	Debtors	Dr.	1,020	
	Cash at Bank	Dr.	609	
	Bills Receivable	Dr.	80	
	To Foreign Project Reserve A/c			310
	To General Reserve (3,200 – 3,000)			200
	To Profit and Loss A/c			825
	To Liability for 12% Debentures			1,000
	To Creditors			463
	To Provisions			702
	To Business Purchase			9,000
	(Being assets & liabilities taken over from V Ltd.)			
	Liquidator of V Ltd.	Dr.	9,000	
	To Equity Share Capital A/c			9,000
	(Purchase consideration discharged in the form of equity shares)			
	General Reserve A/c	Dr.	1	
	To Bank A/c			1
	(Liquidation expenses paid by P Ltd debited to General reserve)			
	Liability for 12% Debentures A/c	Dr.	1,000	
	To 13% Debentures A/c			1,000

	(12% debentures discharged by issue of 13% debentures)		
	Bills Payable A/c Dr.	80	
	To Bills Receivable A/c		80
	(Cancellation of mutual owing on account of bills)		

Balance Sheet of P Ltd. as at 1st April, 20X1 (after merger)

Particulars			Notes	₹ (in lakhs)
		Equity and Liabilities		
1		**Shareholders' funds**	1	24,000
	(a)	Share capital	2	16,704
	(b)	Reserve and surplus		
2		**Non-current liabilities**		
	(a)	Long-term borrowings	3	1,000
3		**Current liabilities**		
	(a)	Trade Payables (1,543 + 40)		1,583
	(b)	Short-term provisions		2,532
		Total		**45,819**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment	4	29,054
2		**Current Assets**		
	(a)	Inventories		11,903
	(b)	Trade receivables		3,140
	(c)	Cash and Cash equivalents		1,722
		Total		**45,819**

Notes to accounts

S. No.	Particulars	₹
1.	**Share Capital**	
	Equity share capital	
	Authorized, issued, subscribed and paid up	
	24 crores equity shares of ₹ 10 each	**24,000**
	(9 crores shares issued for consideration other than cash)	
2.	**Reserves and Surplus**	
	General Reserve	9,699
	Securities Premium	3,000
	Foreign Project Reserve	310
	Profit and Loss Account	3,695
		16,704
3.	**Long-term borrowings**	
	Secured	

	13% Debentures	**1,000**
4.	**Property, Plant and Equipment**	
	Land & Buildings	6,000
	Plant & Machinery	19,000
	Furniture & Fittings	4,054
		29,054

Working Note: Computation of purchase consideration

The purchase consideration was discharged in the form of three equity shares of P Ltd. for every two equity shares held in V Ltd.

Purchase consideration = ₹ 6,000 lacs x 3/2 = **₹ 9,000 lacs**

Question 32

A Limited and B Limited are carrying on business of same nature. On 31st March, 20X1 the information given by both these companies is as follows:

	A Ltd. (₹)	**B Ltd. (₹)**
Share Capital:		
Equity Shares 10 each (Fully Paid)	12,00,000	7,20,000
10% Preference Shares of ₹ 100 each	6,00,000	–
8% Preference Shares of ₹ 100 each	–	5,00,000
General Reserve	3,00,000	2,50,000
Investment Allowance Reserve	–	60,000
Security Premium	2,40,000	–
Export Profit Reserve	1,80,000	1,20,000
Profit & Loss Account	2,16,000	1,92,000
9% Debentures (₹ 10 each)	3,00,000	2,00,000
Secured Loan	–	3,60,000
Sundry Creditors	3,12,000	2,04,000
Bills Payable	75,000	1,00,000
Other Current Liabilities	50,000	75,000
Land and Building	10,80,000	8,40,000
Plant and Machinery	6,00,000	5,60,000
Office Equipment	3,45,000	2,10,000
Investments	96,000	3,00,000
Stock in Trade	6,30,000	4,20,000
Sundry Debtors	4,90,000	3,20,000
Bills Receivables	60,000	70,000
Cash at Bank	1,72,000	61,000

A Limited take over B Limited on the above date, both companies agreeing on a scheme of Amalgamation on the following terms:

(a) A Limited will issue 80,000 Equity Shares of ₹ 10 each at par to the Equity Shareholders of B Limited.

(b) A Limited will issue 10% Preference Shares of ₹ 100 each to discharge the Preference Shareholders of B Limited at 15% premium in such a way that the existing dividend quantum of the preference shareholders of B Limited will not get affected.

(c) The Debentures of B Limited will be converted into equivalent number of Debentures of A Limited.

(d) All the Bills Receivable of A Limited were accepted by B Limited.

(e) A contingent liability of B Limited amounting to ₹ 72,000 to be treated as actual liability in trade payables.

(f) Expenses of Amalgamation amounted to ₹ 12,000 were borne by A Limited.

You are required to pass opening Journal Entries in the books of A Limited and prepare the opening Balance Sheet of A Limited as on 1st April, 20X1 after amalgamation, assuming that the amalgamation is in the nature of Merger.

Answer

Journal Entries in the books of A Ltd.

Date	Particulars		Debit (₹)	Credit (₹)
20X1	Business purchase A/c (W.N.1)	Dr.	13,75,000	
April 1	To Liquidator of B Ltd.			13,75,000
	(Being business of B Ltd. taken over)			
	Land & Building A/c	Dr.	8,40,000	
	Plant and machinery A/c	Dr.	5,60,000	
	Office equipment A/c	Dr.	2,10,000	
	Investments A/c	Dr.	3,00,000	
	Inventory A/c	Dr.	4,20,000	
	Debtors A/c	Dr.	3,20,000	
	Bills receivables A/c	Dr.	70,000	
	Bank A/c	Dr.	61,000	
	To General reserve A/c (W.N.2) (2,50,000 – 1,55,000)			95,000
	To Export profit reserve A/c			1,20,000
	To Investment allowance reserve A/c			60,000
	To Profit and loss A/c			1,20,000
	To Liability for 9% Debentures A/c (₹ 100 each)			2,00,000
	To Secured Loan			3,60,000
	To Trade creditors A/c			2,76,000
	To Bills payables A/c			1,00,000
	To Other current liabilities A/c			75,000
	To Business purchase A/c			13,75,000
	(Being assets and liabilities taken over)			
	Liquidator of B Ltd.	Dr.	13,75,000	
	To Equity share capital A/c			8,00,000
	To 10% Preference share capital A/c			4,00,000
	To Securities premium A/c			1,75,000

	(Being purchase consideration discharged)		
	General Reserve A/c Dr.	12,000	
	To Cash at bank		12,000
	(Being expenses of amalgamation paid)		
	Liability for 9% Debentures in B Ltd. A/c Dr.	2,00,000	
	To 9% Debentures A/c		2,00,000
	(Being debentures in B ltd. discharged by issuing own 9% debentures)		
	Bills payables A/c Dr.	60,000	
	To Bill receivables A/c		60,000
	(Cancellation of mutual owing on account of bills of exchange)		

Opening Balance Sheet of A Ltd. (after absorption) as at 1st April, 20X1

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	30,00,000
	(b)	Reserve and surplus	2	14,94,000
2		**Non-current liabilities**		
	(a)	Long-term borrowings	3	8,60,000
3		**Current liabilities**		
	(a)	Trade Payables	4	7,03,000
	(b)	Other current liabilities	5	1,25,000
		Total		**61,82,000**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment	6	36,35,000
	(b)	Non-current investments	7	3,96,000
2		**Current Assets**		
	(a)	Inventories	8	10,50,000
	(b)	Trade receivables	9	8,80,000
	(c)	Cash and Cash equivalents	10	2,21,000
		Total		**61,82,000**

Notes to accounts

S. No.	Particulars		
1	**Share Capital**		
	Equity share capital		
	2,00,000 Equity shares of ₹ 10 each		20,00,000
	(80,000 shares were issued for consideration other than cash)		
	Preference share capital		

	10,000 10% Preference shares of ₹ 100 each		10,00,000
	(4,000 shares were issued for consideration other than cash)		
			30,00,000
2	**Reserves and Surplus**		
	General Reserve:		
	Opening balance	3,00,000	
	Add: Adjustment under scheme of amalgamation	95,000	
	Less: Amalgamation expense paid	(12,000)	3,83,000
	Securities premium (2,40,000 + 1,75,000)		4,15,000
	Export profit reserve:		
	Opening balance	1,80,000	
	Add: Adjustment under scheme of amalgamation	1,20,000	3,00,000
	Investment allowance reserve		60,000
	Profit and loss account:		
	Opening balance	2,16,000	
	Add: Adjustment under scheme of amalgamation	1,20,000	3,36,000
			14,94,000
3	**Long-term borrowings**		
	Secured:		
	9% Debentures	3,00,000	
	Add: Adjustment under scheme of amalgamation	2,00,000	
	Secured loan	3,60,000	**8,60,000**
4	**Trade payables**		
	Creditors:		
	Opening balance	3,12,000	
	Add: Adjustment under scheme of amalgamation	2,76,000	5,88,000
	Bills Payables:		
	Opening balance	75,000	
	Add: Adjustment under scheme of amalgamation	1,00,000	
	Less: Cancellation of mutual owning upon amalgamation	(60,000)	1,15,000
			7,03,000
5	**Other current liabilities**		
	Opening balance	50,000	
	Add: Adjustment under scheme of amalgamation	75,000	**1,25,000**
6	**PPE**		
	Land & Building:		
	Opening balance	10,80,000	
	Add: Adjustment under scheme of amalgamation	8,40,000	19,20,000
	Plant and machinery:		
	Opening balance	6,00,000	

	Add: Adjustment under scheme of amalgamation	5,60,000	11,60,000
	Office equipment:		
	Opening balance	3,45,000	
	Add: Adjustment under scheme of amalgamation	2,10,000	5,55,000
			36,35,000
7	**Investments**		
	Opening balance	96,000	
	Add: Adjustment under scheme of amalgamation	3,00,000	**3,96,000**
8	**Inventories**		
	Opening balance	6,30,000	
	Add: Adjustment under scheme of amalgamation	4,20,000	**10,50,000**
9	**Trade receivables**		
	Debtors:		
	Opening balance	4,90,000	
	Add: Adjustment under scheme of amalgamation	3,20,000	8,10,000
	Bills Payables:		
	Opening balance	60,000	
	Add: Adjustment under scheme of amalgamation	70,000	
	Less: Cancellation of mutual owning upon amalgamation	(60,000)	70,000
			8,80,000
10	**Cash and cash equivalents**		
	Opening balance	1,72,000	
	Add: Adjustment under scheme of amalgamation	61,000	
	Less: Amalgamation expense paid	(12,000)	**2,21,000**

Working Notes:

1. Calculation of purchase consideration

	₹
Equity shareholders of B Ltd. (80,000 x ₹ 10)	8,00,000
Preference shareholders of B Ltd. (5,00,000 x 115%)	5,75,000
Purchase consideration would be	**13,75,000**

2. Amount to be adjusted from general reserve

The difference between the amount recorded as share capital issued and the amount of share capital of transferor company should be adjusted in General Reserve.

Thus, General reserve will be adjusted as follows:

	₹
Purchase consideration	13,75,000
Less: Share capital issued (₹ 7,20,000 + ₹ 5,00,000)	(12,20,000)
Amount to be adjusted from general reserve	**1,55,000**

3. Calculation of balances of Profit & Loss and Sundry Creditors of B Limited to be taken over by A

Limited

	P&L (₹)	Creditors (₹)
Balance as per Balance Sheet of B Limited	1,92,000	2,04,000
Less/Add: Contingent Trade Payable treated as Actual Liability	(72,000)	72,000
Taken by A Limited	**1,20,000**	**2,76,000**

4. ₹ 5,00,000 pref. shares are discharged at ₹ 5,75,000 (5,00,000 x 115%) by issue of 4,000 preference shares of ₹ 100 each at premium of ₹ 43.75 each.

Question 33

The Summarized Balance Sheets of Gyan Ltd. and Kiran Ltd. as on 31st March 20X1 are given below:

(₹ in lakhs)

	Gyan Ltd.	Kiran Ltd.
Liabilities		
Share capital		
Equity share capital of ₹10 each fully paid- up	650	600
10% Preference shares of ₹ 100 each fully paid-up	150	200
Reserves and Surplus		
General Reserve	–	360
Profit and Loss Account	(260)	–
Non-Current Liabilities		
12% Debentures	75	100
Loans from Bank	40	–
Current Liabilities		
Bank overdraft	15	–
Trade payables	95	105
Dividend payable	–	60
	765	**1,425**
Assets		
Non-Current Assets		
PPE	700	900
Investments	–	250
Current Assets		
Trade receivables	65	135
Cash at bank	–	140
	765	**1,425**

Gyan Ltd. has acquired the business of Kiran Ltd. as on 31st March 20X1 as per following scheme of merger:

(1) Banks agreed to waive-off 50% loan of Gyan Ltd.

(2) Gyan Ltd. will reduce its shares to ₹ 2 per share and then consolidate 5 such shares into one share of ₹ 10 (new share).

(3) Gyan Ltd. will issue 2 equity shares (new) for 3 equity shares of Kiran Ltd. The new shares are to be issued @ ₹ 20 each having a face value of ₹ 10 per share.

(4) Preference shareholders of Kiran Ltd. will be paid off by issuing equivalent number of 10% Preference shares of Gyan Ltd. of ₹ 100 each at a price of ₹ 105 per share.

(5) Dividend of Kiran Ltd. will be paid after merger to the shareholders of Kiran Ltd.

(6) Trade payables of Gyan Ltd. include ₹ 50 lakhs payable to Kiran Ltd.

Pass necessary Journal entries in the books of Gyan Ltd. and prepare Balance Sheet after merger.

Answer

Journal Entries in the books of Gyan Ltd. **(₹ in lakhs)**

Date	Particulars		Debit	Credit
31.3. 20X1	Loan from bank A/c (40 x 50%)	Dr.	20	
	To Reconstruction A/c			20
	(Being loan from bank waived off to the extent of 50%)			
	Equity share capital A/c (₹ 10)	Dr.	650	
	To Equity share capital A/c (₹ 2) [(650 x 2)/10]			130
	To Reconstruction A/c (650 –130)			520
	(Being Equity share of ₹ 10 each reduced to ₹ 2 each)			
	Equity share capital A/c (₹ 2)	Dr.	130	
	To Equity share capital A/c (₹ 10 each)			130
	(Being 5 Equity shares of ₹ 2 each consolidated to one share of ₹ 10 each)			
	Reconstruction A/c (20 + 520)	Dr.	540	
	To Profit and loss A/c (loss)			260
	To Capital reserve A/c			280
	(Being debit balance of P/L A/c set off against reconstruction account and balance transferred to capital reserve account)			
	Business purchase A/c	Dr.	1010	
	To Liquidator of Kiran Ltd.			1010
	(Being purchase of business of Kiran Ltd.)			
	PPE A/c	Dr.	900	
	Investment A/c	Dr.	250	
	Trade receivables A/c	Dr.	135	
	Cash at bank A/c	Dr.	140	
	To Trade payables A/c			105
	To Dividend payable A/c			60
	To 12% Debenture A/c			100
	To Business purchase A/c			1010
	To General Reserves A/c			150
	(Being assets, liabilities and reserves taken over under pooling of interest method)			

	Liquidator of Kiran Ltd. A/c	Dr.	1010	
	To Equity share capital A/c			400
	To 10% Preference share capital			200
	To Securities Premium [(40 x 10) + (2 x 5)]			410
	(Being payment made to liquidators of Kiran Ltd. by allotment of 40 lakh @ ₹ 10 new equity shares and 2 lakh preference shares @ ₹ 105)			
	Trade payables A/c	Dr.	50	
	To Trade receivables A/c			50
	(Being mutual owing cancelled)			
	Dividend Payable A/c	Dr.	60	
	To Bank A/c			60
	(Being dividend paid off)			

Balance Sheet of Gyan Ltd. (and reduced) after merger as on 31.3.20X1

Particulars			Notes	(₹ in lakhs)
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	880
	(b)	Reserve and surplus	2	840
2		**Non-current liabilities**		
	(a)	Long term borrowings	3	195
3		**Current liabilities**		
	(a)	Short term borrowings	4	15
	(b)	Trade Payables	5	150
		Total		**2,080**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, Plant and Equipment	6	1,600
	(b)	Non-current investments	7	250
2		**Current Assets**		
	(a)	Trade receivables	8	150
	(b)	Cash and Cash equivalents	9	80
		Total		**2,080**

Notes to accounts

S. No.	Particulars	(₹ in Lakhs)	(₹ in Lakhs)
1.	**Share Capital**		
	50 lakhs (13 lakh + 40 lakh) Equity shares of 10 each fully paid	530	
	(40 lakh shares issued for consideration other than cash)		
	3.5 lakhs (1.5 + 2) 10% Preference share of ₹ 100 each fully paid	350	
	(2 lakhs shares issued for consideration other than cash)		**880**

2.	**Reserves and Surplus**		
	Capital reserve	280	
	Securities Premium	410	
	General reserve	150	**840**
3.	**Long-term borrowings**		
	12% Debentures (75 + 100)	175	
	Loan from bank (40 – 20)	20	**195**
4.	**Trade payables** (95 + 105 – 50)		**150**
5.	**Short-term borrowings**		
	Bank overdraft		**15**
6.	**PPE** (700 + 900)		**1,600**
7.	**Non-current Investments**		**250**
8.	**Trade Receivables** (65 + 135 – 50)		**150**
9.	**Cash & cash equivalents**		
	Cash at Bank (140 – 60)		**80**

Working Note: Calculation of purchase consideration

	Shares
2 shares of Gyan Ltd. will be issued in exchange of every 3 shares of Kiran Ltd. (i.e. 40,00,000 equity shares of Gyan Ltd will be issued against 60,00,000 equity shares of Kiran Ltd.) [60 lakhs x 2/3]	40,00,000
	₹ in lakhs
Payment to equity shareholders (40 lakhs x ₹ 20)	800
Payment to preference shareholders (2 lakhs x ₹ 105)	210
Total Purchase consideration	**1,010**

Accounting for Amalgamation in Nature of Purchase & Merger

Question 34

Consider the following balance sheets of X Ltd. and Y Ltd. as at 31st March, 20X1:

Particulars			**Notes**	**X Ltd. ('000)**	**Y Ltd. ('000)**
		Equity and Liabilities			
1		**Shareholders' funds**			
	(a)	Share capital	1	72,00	47,00
	(b)	Reserve and surplus	2	15,50	10,50
2		**Non-current liabilities**			
	(a)	Long-term borrowings	3	5,00	3,50
3		**Current liabilities**			
	(a)	Trade Payables		4,50	3,50
	(b)	Other current liabilities		2,00	1,50
		Total		**99,00**	**66,00**

		Assets			
1		**Non-current assets**			
	(a)	PPE and intangible asset			
		i Property, plant and Equipment	4	63,25	36,00
	(b)	Non-current investment	5	7,00	5,00
2		**Current Assets**			
	(a)	Inventories		12,50	9,50
	(b)	Trade receivables		9,00	10,30
	(c)	Cash and Cash equivalents		7,25	5,20
		Total		**99,00**	**66,00**

Notes to accounts

S. No.	Particulars	X Ltd. ('000)	Y Ltd. ('000)
1	**Share Capital**		
	Equity shares capital (₹ 10 each)	50,00	30,00
	14% Preference Shares capital ₹ 100 each	22,00	17,00
		72,00	**47,00**
2	**Reserves and Surplus**		
	General reserve	5,00	2,50
	Export profit reserve	3,00	2,00
	Investment allowance reserve	–	1,00
	Profit and loss account	7,50	5,00
		15,50	**10,50**
3	**Long-term borrowings**		
	13% Debentures of ₹ 100 each	**5,00**	**3,50**
4	**Property, Plant and Equipment**		
	Land and Building	25,00	15,50
	Plant and machinery	32,50	17,00
	Furniture	5,75	3,50
		63,25	**36,00**
5	**Non-current investments**		
	Investments at cost	**7,00**	**5,00**

X Ltd. takes over Y Ltd. on 1st April, 20X1. X Ltd. discharges the purchase consideration as below:

(i) Issued 3,50,000 equity shares of ₹ 10 each at par to the equity shareholders of Y Ltd.

(ii) Issued 15% preference shares of ₹ 100 each to discharge the preference shareholders of Y Ltd. at 10% premium.

The debentures of Y Ltd. will be converted into equivalent number of debentures of X Ltd. The statutory reserves of Y Ltd. are to be maintained for 2 more years.

Show the (i) Journal entries and (ii) Balance sheet of X Ltd. after amalgamation on the assumption that:

(a) the amalgamation is in the nature of merger.

(b) the amalgamation is in the nature of purchase.

Answer

(a) Amalgamation in the nature of merger:

(i) Journal Entries in the Books of X Ltd.

Date	Particulars		Debit (₹)	Credit (₹)
20X1	Business Purchase	Dr.	53,70,000	
Apr. 1	To Liquidator of Y Ltd. A/c			53,70,000
	(Consideration payable for business taken over from Y Ltd)			
	Sundry Assets of Y Ltd	Dr.	66,00,000	
	General Reserve A/c	Dr.	4,20,000	
	To Sundry Liabilities of Y Ltd A/c			8,50,000
	To Export profit Reserve A/c			2,00,000
	To Investment allowance Reserve A/c			1,00,000
	To Profit & Loss A/c			5,00,000
	To Business Purchase A/c			53,70,000
	(Incorporation of assets and liabilities of Y Ltd. at book values and difference of share capital & PC being adjusted with free Reserves)			
	Liquidator of Y Ltd.	Dr.	53,70,000	
	To Equity Share Capital A/c			35,00,000
	To 15% Preference Share Capital A/c			18,70,000
	(Discharge of consideration for Y Ltd.' s business)			
	Sundry Liabilities in Y Ltd (13% Debentures in Y Ltd.)	Dr.	3,50,000	
	To 13% Debentures			3,50,000
	(Allotment of 13% Debenture to debenture holders of Y Ltd. at Par)			

(ii) Balance Sheet of X Ltd.

Particulars			Notes	₹ in '000
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	12,570
	(b)	Reserve and surplus	2	1,930
2		**Non-current liabilities**		
	(a)	Long-term borrowings	3	850
3		**Current liabilities**		
	(a)	Trade Payables		800
	(b)	Other current liabilities		350
		Total		**16,500**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment	4	9,925
	(b)	Non-current investment		1,200

2		**Current Assets**		
	(a)	Inventories		2,200
	(b)	Trade receivables		1,930
	(c)	Cash and Cash equivalents		1,245
		Total		**16,500**

Notes to accounts

S. No.	Particulars		₹ in '000	₹ in '000
1	**Share Capital**			
	8,50,000 Equity Shares of ₹ 10 each			8,500
	18,700, 15% Preference Shares of ₹ 100 each			1,870
	22,000, 14% Preference Shares of ₹ 100 each			2,200
				12,570
2	**Reserves and Surplus**			
	General Reserve of X Ltd.	500		
	Add: General reserve of Y Ltd.	250	750	
	Less: Adjustment for amalgamation*		(670)	80
	Export Profit Reserve of X Ltd.		300	
	Add: Export Profit Reserve of Y Ltd.		200	500
	Investment Allowance Reserve			100
	Profit & Loss A/c of X Ltd.		750	
	Add: Profit & Loss A/c of Y Ltd.		500	1,250
				1,930
3	**Long-term borrowings**			
	Secured			
	8,500 13% Debentures of ₹ 100 each			**850**
4	**Property, Plant and Equipment**			
	Land & Buildings			4,050
	Plant & Machinery			4,950
	Furniture & Fittings			925
				9,925

*The difference between the amount recorded as share capital issued and the amount of share capital of transferor-company should be adjusted in reserves.

Thus, Adjustment for amalgamation = ₹ '000 (53,70 – 47,00) = ₹ ('000) 670

(b) Amalgamation in the nature of purchase:

(i) Journal Entries in the Books of X Ltd.

Date	Particulars		Debit (₹)	Credit (₹)
20X1 Apr. 1	Business Purchase	Dr.	53,70,000	
	To Liquidator of Y Ltd. A/c			53,70,000

	(Consideration payable for business taken over from Y Ltd)		
	Sundry Assets of Y Ltd Dr.	66,00,000	
	To Sundry Liabilities of Y Ltd A/c		8,50,000
	To Capital Reserve A/c		3,80,000
	To Business Purchase A/c		53,70,000
	(Incorporation of various assets and liabilities taken over from Y Ltd. at book values and difference of share capital and purchase consideration being credited to Capital Reserve)		
	Liquidator of Y Ltd. Dr.	53,70,000	
	To Equity Share Capital A/c		35,00,000
	To 15% Preference Share Capital A/c		18,70,000
	(Discharge of consideration for Y Ltd.' s business)		
	13% Debentures in Y Ltd. Dr.	3,50,000	
	To 13% Debentures		3,50,000
	(Allotment of 13% Debentures to debenture holders of Y Ltd. at Par)		
	Amalgamation adjustment reserve A/c Dr.	3,00,000	
	To Export profit Reserve A/c		2,00,000
	To Investment allowance Reserve A/c		1,00,000
	(Being statutory reserve recognizes by notional entry)		

(ii) Balance Sheet of X Ltd.

Particulars			Notes	₹ in'000
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	12,570
	(b)	Reserve and surplus	2	1,930
2		**Non-current liabilities**		
	(a)	Long-term borrowings	3	850
3		**Current liabilities**		
	(a)	Trade Payables		800
	(b)	Other current liabilities		350
		Total		**16,500**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment	4	9,925
	(b)	Non-current investment		1,200
2		**Current Assets**		
	(a)	Inventories		2,200
	(b)	Trade receivables		1,930

	(c)	Cash and Cash equivalents		1,245
		Total		**16,500**

Notes to accounts

S. No.	Particulars	₹ in '000	₹ in '000
1	**Share Capital**		
	8,50,000 Equity Shares of ₹ 10 each		8,500
	18,700, 15% Preference Shares of ₹ 100 each		1,870
	22,000, 14% Preference Shares of ₹ 100 each		2,200
			12,570
2	**Reserves and Surplus**		
	Capital Reserve		380
	General Reserve		500
	Amalgamation adjustment reserve		(300)
	Export Profit Reserve		500
	Investment Allowance Reserve		100
	Surplus (Profit & Loss A/c)		750
			1,930
3	**Long-term borrowings**		
	Secured		
	8,500 13% Debentures of ₹ 100 each		**850**
4	**Property, Plant and Equipment**		
	Land & Buildings		4,050
	Plant & Machinery		4,950
	Furniture & Fittings		925
			9,925

Workings Notes: Capital Reserve arising on Amalgamation:

		₹ ('000)	₹ ('000)
(A)	**Net Assets taken over:**		
	Sundry Assets		66,00
	Less: 13% Debentures	3,50	
	Trade payables	3,50	
	Other current liabilities	1,50	(8,50)
			57,50
(B)	**Purchase consideration:**		
	To Equity Shareholders of Y Ltd.		35,00
	To Preference Shareholders of Y Ltd.		18,70
			53,70
(C)	**Capital Reserve (A – B)**		**3,80**

CHAPTER - 15
AS 15: Employee Benefits

Accounting of Short Term Employee Benefits

Question 1

Entity XY is required to pay salary of ₹ 2 crore for the year 20X1-X2. It actually paid a salary of ₹ 1.90 crore up to 31st March 20X2, and balance in April 20X2. Determine actual costs to be recognized in the year 20X1-X2 and any amounts to be shown through balance sheet.

Answer

Particular	₹
Total expense for the year (20X1-X2)	2 crore
Amount to be shown under liability unpaid (₹ 2 crore – ₹ 1.90 crore)	0.10 crore

Accounting of Post Employment Benefits

Question 2

An employee Roshan has joined a company XYZ Ltd. in the year 20X1. The annual emoluments of Roshan as decided is ₹ 14,90,210. The company also has a policy of giving a lump sum payment of 25% of the last drawn annual salary of the employee for each completed year of service if the employee retires after completing minimum 5 years of service. The salary of the Roshan is expected to grow @ 10% per annum.

The company has inducted Roshan in the beginning of the year and it is expected that he will complete the minimum five year term before retiring. Thus, he will get 5 yearly increments.

What is the amount the company should charge in its Profit and Loss account every year as cost for the Defined Benefit obligation? Also calculate the current service cost and the interest cost to be charged per year assuming a discount rate of 8%.

(P.V factor for 8%: 0.735, 0.794, 0.857, 0.926, 1)

Answer

Calculation of Defined Benefit Obligation (DBO)

Expected last drawn salary = ₹ 14,90,210 x 110% x 110% x 110% x 110% x 110% = ₹ 24,00,000

Defined Benefit Obligation (DBO) = ₹ 24,00,000 x 25% x 5 = ₹ 30,00,000

Amount of ₹ 6,00,000 will be charged to Profit and Loss Account of the company every year as cost for Defined Benefit Obligation.

Calculation of Current Service Cost

Year	Equal apportioned amount of DBO [i.e. ₹ 30,00,000/5 years]	Discounting @ 8% PV factor	Current service cost (Present Value)
A	B	C	D = B x C
1	6,00,000	0.735 (4 Years)	4,41,000
2	6,00,000	0.794 (3 Years)	4,76,400
3	6,00,000	0.857 (2 Years)	5,14,200

4	6,00,000	0.926 (1 Year)	5,55,600
5	6,00,000	1 (0 Year)	6,00,000

Calculation of Interest Cost to be charged per year

Year	Opening balance	Interest cost	Current service cost	Closing balance
A	**B**	**C = B x 8%**	**D**	**E = B + C + D**
1	0	0	4,41,000	4,41,000
2	4,41,000	35,280	4,76,400	9,52,680
3	9,52,680	76,214	5,14,200	15,43,094
4	15,43,094	1,23,447	5,55,600	22,22,141
5	22,22,141	1,77,859* (B.F.)	6,00,000	30,00,000

*Due to approximations used in calculation, this figure is adjusted accordingly.

Question 3

Omega Limited belongs to the engineering industry. The company received an actuarial valuation for the first time for its pension scheme which revealed a surplus of ₹ 6 lakhs. It wants to spread the same over the next 2 years by reducing the annual contribution to ₹ 2 lakhs instead of ₹ 5 lakhs. The average remaining life of the employees is estimated to be 6 years. You are required to advise the company on the following items from the viewpoint of finalization of accounts, taking note of the mandatory accounting standards.

Answer

According to **AS 15** (Revised 2005) 'Employee Benefits', actuarial gains and losses should be **recognized immediately** in the statement of profit and loss as income or expense. Therefore, surplus amount of **₹ 6 lakhs** is required to be **credited to the profit and loss statement of the current year**.

Question 4

The following data apply to 'X' Ltd. defined benefit pension plan for the year ended 31.03.20X2 calculate the actual return on plan assets:

Benefits paid	2,00,000
Employer contribution	2,80,000
Fair market value of plan assets on 31.03.20X2	11,40,000
Fair market value of plan assets as on 31.03.20X1	8,00,000

Answer

Calculation of actual return on plan asset

Particular		₹
Fair value of plan assets on 31.3.20X1		8,00,000
Add: Employer contribution		2,80,000
Less: Benefits paid		(2,00,000)
	(A)	8,80,000

Fair market value of plan assets at 31.3.20X2	**(B)**	11,40,000
Actual return on plan assets	**(B – A)**	**2,60,000**

Question 5

Pendora Ltd. has given the following details in respect of employee benefit pension plan:

Particulars	**Amount (₹)**
The fair value of plan assets as on 01-04-20X1	5,00,000
The benefits paid out on 30-11-20X1	63,000
Inward contributions received on 30-09-20X1	1,42,000
The fair value of plan assets as on 31-03-20X2	7,50,000

On 01.04.20X1, the company made following estimates, based on its market studies and prevailing prices:

Particulars	**%**
Interest and dividend income (after tax) payable by fund	10.50
Realised gains on plan assets (after tax)	2.00
Fund administrative costs	–2.00
Expected rate of annual return (Interest is compounded annually)	10.50

You are required to find the expected and actual returns on plan assets as on 31.03.20X2 as per AS 15.

Answer

Computation of Expected and Actual Returns on Plan Assets

	₹
Return on ₹ 5,00,000 held for 12 months at 10.50%	52,500
Return on ₹ 1,42,000 for 6 months at 10.50%	7,455
Loss of interest on benefits paid for 4 months on ₹ 63,000 for 4 months @ 10.50%	(2,205)
Expected return on plan assets for 20X1-20X2	**57,750**

Fair value of plan assets as on 31st March 20X2		7,50,000
Less: Fair value of plan assets as on 1st April, 20X1	5,00,000	
Contributions received on 30.9.20X1	1,42,000	(6,42,000)
		1,08,000
Add: Benefits paid on 30th Nov 20X1		63,000
Actual return on plan assets		**1,71,000**

Question 6

As on 1st April, 20X1 the fair value of plan assets was ₹ 1,00,000 in respect of a pension plan of Zeleous Ltd. On 30th September, 20X1 the plan paid out benefits of ₹ 19,000 and received inward contributions of ₹ 49,000. On 31st March, 20X2 the fair value of plan assets was ₹ 1,50,000 and present value of the defined benefit obligation was ₹ 1,47,920. Actuarial losses on the obligations for the year 20X1-20X2 were ₹ 600.

Compounding happens half-yearly. The normal interest rate for 6 months period is 10% per annum.

On 1st April, 20X1, the company made the following estimates, based on its market studies, understanding and prevailing prices.

Particular	%
Interest & dividend income, after tax payable by the fund	9.25
Realised and unrealised gains on plan assets (after tax)	2.00
Fund administrative costs	(1.00)
Expected Rate of Return (Effective interest rate for 12 months)	10.25

You are required to find the expected and actual returns on plan assets.

Answer

Computation of Expected and Actual Returns on Plan Assets

Expected return on plan assets	₹
Return on ₹ 1,00,000 held for 12 months at 10.25%	10,250
Return on ₹ 30,000 (49,000 – 19,000) held for six months at 5% (equivalent to 10.25% annually, compounded every six months)	1,500
Expected return on plan assets for 20X1-20X2	**11,750**

Actual return on plan assets		₹
Fair value of plan assets as on 31st March, 20X2		1,50,000
Less: Fair value of plan assets as on 1st April, 20X1	1,00,000	
Contributions received	49,000	(1,49,000)
		1,000
Add: Benefits paid		19,000
Actual return on plan assets		**20,000**

Question 7

The fair value of plan assets of Anupam Ltd. was ₹ 2,00,000 in respect of employee benefit pension plan as on 1st April, 20X1. On 30th September, 20X1 the plan paid out benefits of ₹ 25,000 and received inward contributions of ₹ 55,000. On 31st March, 20X2 the fair value of plan assets was ₹ 3,00,000.

Compounding happens half-yearly. The normal interest rate for 6 months period is 10% per annum.

On 1st April, 20X1 the company made the following estimates, based on its market studies and prevailing prices.

Particular	%
Interest and dividend income (after tax) payable by fund	10.25
Realized gains on plan assets (after tax)	3.00
Fund administrative costs	(3.00)
Expected rate of return (Effective interest rate for 12 months)	10.25

Calculate the expected and actual returns on plan assets as on 31st March, 20X2, as per AS 15.

Answer

Computation of Expected Returns on Plan Assets as on 31st March, 20X2, as per AS 15

Particular	₹
Return on opening value of plan assets of ₹ 2,00,000 (held for the year) @ 10.25%	20,500
Add: Return on net gain of ₹ 30,000 (i.e. ₹ 55,000 – ₹ 25,000) during the year i.e. held for six months @ 5% (equivalent to 10.25% annually, compounded every six months)	1,500
Expected return on plan assets as on 31st March, 20X2	**22,000**

Computation of Actual Returns on Plan Assets as on 31st March, 20X2, as per AS 15

Particular		₹
Fair value of Plan Assets as on 31st March, 20X2		3,00,000
Less: Fair value of Plan Assets as on 1st April, 20X1	2,00,000	
Less: Contribution received as on 30th September, 20X1	55,000	(2,55,000)
		45,000
Add: Benefits paid as on 30th September, 20X1		25,000
Actual returns on Plan Assets as on 31st March, 20X2		**70,000**

Question 8

What is the difference between Defined Contribution Plan and Defined Benefit Plan? From the following information calculate the amount of defined benefit liability/asset:

Particulars	₹ in lakhs
Present Value of Defined Benefit Obligation as on 31-3-20X1	36.0
Fair Value of Plan asset	38.5
Past service cost not yet recognized	7.5
Present value of available future refund from the plan	6.0

Answer

(a) Difference between Defined Contribution Plan and Defined Benefit Plan:

S. No.	Defined Contribution Plan	Defined Benefit Plan
1	Fixed Contributions are paid by the employer into a separate fund and will have **no obligation to pay further contributions**.	Detailed **actuarial calculation is performed to determine the charge**.
2	The employer has no obligation to pay further contributions if the fund does not hold sufficient assets to pay all employee benefits and the **employee has to bear** the investment and actuarial **risk**.	The employer ensures that sufficient funds are available to meet the promised benefits regardless of fund performance and the actuarial and investment **risk fall on the employer**.

(b) Computation of defined benefit liability /Asset:

Particulars	₹ in lakhs
Present value of the defined benefit obligation as on 31.3.20X1	36.00

Less: Past service cost not yet recognized	(7.50)
	28.50
Less: The fair value of plan assets	(38.50)
Defined benefit Asset	**10.00**

In case where fair value of plan assets is high, it may so happen that the net amount under defined benefit liability turns negative (giving rise to net assets).

As per AS 15 the enterprise, in such a situation, should measure the resulting asset at the **lower of**:

the amount so determined, i.e. **₹ 10 lakh**; and the present value of available future refunds from the plan i.e. **₹ 6 lakh**. Therefore, defined benefit asset will be **recognised at ₹ 6 lakhs.**

Question 9

Rock Star Ltd. discontinues a business segment. Under the agreement with employee's union, the employees of the discontinued segment will earn no further benefit. This is a curtailment without settlement, because employees will continue to receive benefits for services rendered before discontinuance of the business segment. Curtailment reduces gross obligation for various reasons including change in actuarial assumptions made before curtailment. If the benefits are determined based on the last pay drawn by employees, the gross obligation reduces after the curtailment because the last pay earlier assumed is no longer valid.

Rock Star Ltd. estimates the share of unamortized service cost that relates to the part of the obligation at ₹ 18 (10% of ₹ 180). Calculate the gain from curtailment and liability after curtailment to be recognised in the balance sheet of Rock Star Ltd. on the basis of given information:

(a) Immediately before the curtailment, gross obligation is estimated at ₹ 6,000 based on current actuarial assumption.

(b) The fair value of plan assets on the date is estimated at ₹ 5,100.

(c) The unamortized past service cost is ₹ 180.

(d) Curtailment reduces the obligation by ₹ 600, which is 10% of the gross obligation.

Answer

Gain from curtailment is estimated as under:

Particular	**₹**
Reduction in gross obligation	600
Less: Proportion of unamortised past service cost	(18)
Gain from curtailment	**582**

The liability to be recognised after curtailment in the balance sheet is estimated as under:

Particular	**₹**
Reduced gross obligation (90% of ₹ 6,000)	5,400
Less: Fair value of plan assets	(5,100)
	300
Less: Unamortised past service cost (90% of ₹ 180)	(162)
Liability to be recognised in the balance sheet	**138**

CHAPTER - 16
AS 16: Borrowing Costs

Treatment of Borrowing Costs

Question 1

Take Ltd. has borrowed ₹ 30 lakhs from State Bank of India during the financial year 20X1-20X2. The borrowings are used to invest in shares of Give Ltd., a subsidiary company of Take Ltd., which is implementing a new project, estimated to cost ₹ 50 lakhs. As on 31st March, 20X2, since the said project was not complete, the directors of Take Ltd. resolved to capitalise the interest accruing on borrowings amounting to ₹ 4 lakhs and add it to the cost of investments. Comment.

Answer

As per **AS 13** (Revised) "Accounting for Investments", the cost of investment includes acquisition charges such as brokerage, fees and duties. In the present case, Take Ltd. has used borrowed funds for purchasing shares of its subsidiary company Give Ltd. ₹ 4 lakhs **interest** payable by Take Ltd. to State Bank of India cannot be called as acquisition charges, therefore, **cannot be constituted as cost of investment**.

Further, as per para 3 of **AS 16** "Borrowing Costs", a qualifying asset is an asset that necessarily takes a substantial period of time to get ready for its intended use or sale. Since, shares are ready for its intended use at the time of sale, it **cannot be considered as qualifying asset** that can enable a company to add the borrowing cost to investments. Therefore, the directors of Take Ltd. **cannot capitalise** the **borrowing cost** as part of cost of investment. Rather, it has to be **charged to the Statement of Profit and Loss** for the year ended 31st March, 20X2.

Period of Capitalisation of Borrowing Cost on Qualifying Asset

Question 2

H Ltd. incurs borrowing costs for the purpose of construction of a qualifying asset for its own use. The construction gets completed on May 31, 20X1. However, decoration work is under process which is expected to be completed by November 20X1 after which H Ltd. will be able to start using the said asset for its own use. H Ltd. wants to capitalize the eligible borrowing costs incurred up to November 20X1.

Answer

The capitalization of borrowing costs shall cease when substantially all the activities necessary to prepare the qualifying assets for its intended use or sale is completed.

In the given case, H Ltd. should **capitalize borrowing costs only up to May 31, 20X1**. The **borrowing cost incurred thereafter cannot be capitalized** as the asset was ready for its intended use on May 31, 20X1. The fact that decoration work was being carried out should not be considered as the asset was ready for its intended use on May 31, 20X1.

Question 3

ABC Ltd. is in the process of getting an entertainment park constructed. For this purpose, it has taken loan from a bank. The said park consists of several rides and facilities, each of which can be used individually. Three

fourth part of the park has been constructed and can be opened up for public, while construction on the remaining part is continuing. Whether the capitalization of borrowing cost should continue for the whole park until construction continues?

Answer

ABC Ltd. is in process of constructing an entertainment park which consists of several rides and facilities that can operate independently for their intended use. Even though the park as whole is not complete, the individual facilities are ready for their intended use.

The cessation of capitalization depends upon the nature of the qualifying assets, particularly where the qualifying assets consists of various parts. There are qualifying assets where each part is capable of being used while the construction continues on other parts. There are qualifying assets where all parts have to be completed before any earlier completed part can be put to use.

Since in the given scenario, the individual facilities are capable of operating independently and are ready for their intended use, therefore the **borrowing costs shall cease to be capitalized for the three-fourth part** of the project.

If Multiple Assets are Purchased/Constructed using Specific Borrowing

Question 4

PRM Ltd. obtained a loan from a bank for ₹ 120 lakhs on 30.04.20X1. It was utilised as follows:

Particulars	₹ in lakhs
Construction of a shed	50
Purchase of a machinery	40
Working Capital	20
Advance for purchase of truck	10

Construction of shed was completed in March 20X2. The machinery was installed on the date of acquisition. Delivery of truck was not received. Total interest charged by the bank for the year ending 31.03.20X2 was ₹ 18 lakhs. Show the treatment of interest.

Answer

According to **AS 16 '**Borrowing costs', qualifying asset is an asset that necessarily takes substantial period of time to get ready for its intended use.

Borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset should be capitalised as part of the cost of that asset. Other borrowing costs should be recognised as an expense in the period in which they are incurred.

The treatment of interest can be shown as: **₹ in lakhs**

Purpose	Nature	Interest to be capitalized	Interest to be charged to profit and loss account
Construction of a shed	Qualifying asset	(50/120) x 18 = 7.5	
Purchase of a machinery	Not a qualifying asset		(40/120) x 18 = 6
Working Capital	Not a qualifying asset		(20/120) x 18 = 3

Advance for purchase of truck	Not a qualifying asset		(10/120) x 18 = 1.5
Total		**7.5**	**10.5**

Question 5

The company has obtained Institutional Term Loan of ₹ 580 lakhs for modernisation and renovation of its Plant & Machinery. Plant & Machinery acquired under the modernisation scheme and installation completed on 31st March, 20X2 amounted to ₹ 406 lakhs, ₹ 58 lakhs has been advanced to suppliers for additional assets (additional asset has taken substantial period of time in its installation) and the balance loan of ₹ 116 lakhs has been utilised for working capital purpose. The Accountant is on a dilemma as to how to account for the total interest of ₹ 52.20 lakhs incurred during 20X1-20X2 on the entire Institutional Term Loan of ₹ 580 lakhs.

Answer

As per para 6 of AS 16 'Borrowing Costs', borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset should be capitalised as part of the cost of that asset. Other borrowing costs should be recognised as an expense in the period in which they are incurred.

A qualifying asset is an asset that necessary takes a substantial period of time to get ready for its intended use or sale.

The treatment for total interest amount of ₹ 52.20 lakhs can be given as: **₹ in lakhs**

Purpose	Nature	Interest to be capitalised	Interest to be charged to profit and loss account
Modernisation and renovation of plant and machinery	Qualifying asset	(406/580) x 52.2 = 36.54	
Advance to supplies for additional assets	Qualifying asset	(58/580) x 52.2 = 5.22	
Working Capital	Non qualifying asset		(116/580) x 52.2 = 10.44
Total		**41.76**	**10.44**

Question 6

On 1st April, 20X1, Amazing Construction Ltd. obtained a loan of ₹ 32 crores to be utilised as under:

(i)	Construction of sealink across two cities (work was held up totally for a month during the year due to high water levels)	₹ 25 crores
(ii)	Purchase of equipments and machineries	₹ 3 crores
(iii)	Working capital	₹ 2 crores
(iv)	Purchase of vehicles	₹ 50,00,000
(v)	Advance for tools/cranes etc.	₹ 50,00,000
(vi)	Purchase of Technical know-how	₹ 1 crores
(vii)	Total Interest charged by the bank for the year ending 31st March 20X2	₹ 80,00,000

Show the treatment of interest by Amazing Construction Ltd.

Answer

According to AS 16 'Borrowing costs', qualifying asset is an asset that necessarily takes substantial period of time to get ready for its intended use.

Borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset should be capitalised as part of the cost of that asset. Other borrowing costs should be recognised as an expense in the period in which they are incurred.

The treatment of interest by Amazing Construction Ltd. can be shown as:

Purpose	Qualifying Asset	Interest to be capitalized	Interest to be charged to P&L A/c	Calculation
Construction of sea-link	Yes	62,50,000		[80,00,000 x (25/32)]
Purchase of equipment and machineries	No		7,50,000	[80,00,000 x (3/32)]
Working capital	No		5,00,000	[80,00,000 x (2/32)]
Purchase of vehicles	No		1,25,000	[80,00,000 x (0.5/32)]
Advance for tools, cranes etc.	No		1,25,000	[80,00,000 x (0.5/32)]
Purchase of technical know-how	No		2,50,000	[80,00,000 x (1/32)]
Total		**62,50,000**	**17,50,000**	

Note: It is assumed that work held up for a month due to high water level is normal during the construction of sealink and capitalization of borrowing cost should not be suspended for necessary temporary delay.

Question 7

Expert Limited issued 12% secured debentures of ₹ 100 lakhs on 01.06.20X1. Money raised from debentures to be utilized as under:

Intended Purpose	Amount (₹ in lakhs)
Construction of factory building	40
Working Capital	30
Purchase of Machinery	15
Purchase of Furniture	2
Purchase of truck	13

Additional Information:

(i) Interest on debentures for the Financial Year 20X1-X2 was paid by the Company.

(ii) During the year, the company invested idle fund of ₹ 5 lakhs (out of the money raised from debentures) in Bank's fixed deposit and earned interest of ₹ 50,000.

(iii) In March, 20X2 construction of factory building was not completed (it is expected that it will take another 6 months).

(iv) In March 20X2, Machinery was installed and ready for its intended use.

(v) Furniture was put to use at the end of March 20X2.

(vi) Truck is going to be received in April, 20X2.

You are required to show the treatment of interest as per AS 16 in respect of borrowing cost for the year ended 31st March, 20X2 in the Books of Expert Limited.

Answer

According to AS 16 "Borrowing Costs", a qualifying asset is an asset that necessarily takes a substantial period of time to get ready for its intended use. As per the Standard, borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset should be capitalized as part of the cost of that asset. The amount of borrowing costs eligible for capitalization should be determined in accordance with this Standard. Other borrowing costs should be recognized as an expense in the period in which they are incurred. It also states that to the extent that funds are borrowed specifically for the purpose of obtaining a qualifying asset, the amount of borrowing costs eligible for capitalization on that asset should be determined as the actual borrowing costs incurred on that borrowing during the period less any income on the temporary investment of those borrowings.

Thus, eligible borrowing cost = ₹ 10,00,000 (100 lakhs x 12% x 10/12) – ₹ 50,000 = ₹ 9,50,000

Particulars	**Nature of assets**	**Interest to be capitalized (₹)**	**Interest to be charged to Profit & Loss Account (₹)**
Construction of factory building	Qualifying Asset	9,50,000 x 40/100 = ₹ 3,80,000	NIL
Purchase of Machinery	Not a Qualifying Asset	NIL	9,50,000 x 15/100 = 1,42,500
Purchase of furniture	Not a Qualifying Asset	NIL	9,50,000 x 2/100 = 19,000
Purchase of truck	Not a Qualifying Asset	NIL	9,50,000 x 13/100 = 1,23,500
Working Capital	Not a Qualifying Asset	NIL	9,50,000 x 30/100 = 2,85,000
Total		**₹ 3,80,000**	**₹ 5,70,000**

Question 8

Harish Construction Company is constructing a huge building project consisting of four phases. It is expected that the full building will be constructed over several years but Phase I and Phase II of the building will be started as soon as they are completed.

Following is the detail of the work done on different phases of the building during the current year:

(₹ in lakhs)

Particulars	**Phase I**	**Phase II**	**Phase III**	**Phase IV**
Cash expenditure	10	30	25	30
Building purchased	24	34	30	38
Total expenditure	34	64	55	68
Total expenditure of all phases				221
Loan taken @ 15% at the beginning of the year				200

During mid of the current year, Phase I and Phase II have become operational. Find out the total amount to be capitalized and to be expensed during the year.

Answer

Computation of amount to be capitalized

No.	**Particulars**	**₹**
1.	Interest expense on loan ₹ 2,00,00,000 at 15%	30,00,000

2.	Total cost of Phases I and II (₹ 34,00,000 + ₹ 64,00,000)	98,00,000
3.	Total cost of Phases III and IV (₹ 55,00,000 + ₹ 68,00,000)	1,23,00,000
4.	Total cost of all 4 phases	2,21,00,000
5.	Total loan	2,00,00,000
6.	Interest on loan used for Phases I & II, based on proportionate Loan amount = (30,00,000/2,21,00,000) x 98,00,000	3,30,317 (approx.)
7.	Interest on loan used for Phases III & IV, based on proportionate Loan amount = (30,00,000/2,21,00,000) x 1,23,00,000	16,69,683 (approx.)

Accounting treatment

For Phase I and Phase II

Since Phase I and Phase II have become operational at the mid of the year, **half of the interest amount of ₹ 6,65,158.50** (i.e. ₹ 13,30,317/2) relating to Phase I and Phase II should be **capitalized** (in the ratio of asset costs 34:64) and added to respective assets in Phase I and Phase II and remaining half of the interest amount of ₹ 6,65,158.50 (i.e. ₹ 13,30,317/2) relating to Phase I and Phase II should be expensed during the year.

For Phase III and Phase IV

Interest of ₹ 16,69,683 relating to Phase III and Phase IV should be held in Capital Work-in-Progress till assets construction work is completed, and thereafter **capitalized** in the ratio of cost of assets. No part of this interest amount should be charged/expensed off during the year since the work on these phases has not been completed yet.

If Single Qualifying Asset is Purchased/Constructed using Specific & General Borrowing

Question 9

Rainbow Limited borrowed an amount of ₹ 150 crores on 1.4.20X1 for construction of boiler plant @ 11% p.a. The plant is expected to be completed in 4 years. Since the weighted average cost of capital is 13% p.a., the accountant of Rainbow Ltd. capitalized ₹ 19.50 crores for the accounting period ending on 31.3.20X2. Due to surplus fund out of ₹ 150 crores, income of ₹ 3.50 crores was earned and credited to profit and loss account. Comment on the above treatment of accountant with reference to relevant accounting standard.

Answer

Para 10 of AS 16 'Borrowing Costs' states "To the extent that funds are borrowed specifically for the purpose of obtaining a qualifying asset, the amount of borrowing costs eligible for capitalization on that asset should be determined as the actual borrowing costs incurred on that borrowing during the period less any income on the temporary investment of those borrowings."

The capitalization rate should be the weighted average of the borrowing costs applicable to the borrowings of the enterprise that are outstanding during the period, other than borrowings made specifically for the purpose of obtaining a qualifying asset.

Thus, the treatment of accountant of Rainbow Ltd. is incorrect.

Amount of borrowing costs capitalized should be calculated as follows:

Particulars	₹ in crores
Actual interest for 20X1-20X2 (11% of ₹ 150 crores)	16.50

Less: Income on temporary investment from specific borrowings	(3.50)
Borrowing costs to be capitalized during year 20X1-20X2	**13.00**

Question 10

ABC Limited has started construction of an asset on 1st December, 20X1, which continues till 31st March, 20X2 (and is expected to go beyond a year). The entity has not taken any specific borrowings to finance the construction of the asset but has incurred finance costs on its general borrowings during the construction period. The directly attributable expenditure at the beginning of the month on this asset was ₹ 10 lakh in December 20X1 and ₹ 4 lakh in each of the months of January to March 20X2. At the beginning of the year, the entity had taken Inter Corporate Deposits of ₹ 20 lakh at 9% rate of interest and had an overdraft of ₹ 4 lakh, which increased to ₹ 8 lakh on 1st March, 20X2. Interest was paid on the overdraft at 10% until 1st January, 20X2 and then the rate was increased to 12%. You are required to calculate the annual capitalization rate for computation of borrowing cost in accordance with AS 16 'Borrowing Costs'.

Answer

Calculation of capitalization rate on borrowings other than specific borrowing

Nature of general borrowings	Period of outstanding balance	Amount of loan (₹)	Rate of interest p.a.	Weighted average amount of interest (₹)
	a	b	c	d = [(b x c) x (a/12)]
9% Debentures	12 months	20,00,000	9%	1,80,000
Bank Overdraft	9 months	4,00,000	10%	30,000
	2 months	4,00,000	12%	8,000
	1 months	8,00,000	12%	8,000
		36,00,000		**2,26,000**

Weighted average cost of borrowings = {20,00,000 x (12/12)} + {4,00,000 x (11/12)} + {8,00,000 x (1/12)}
= 24,33,334

Capitalisation rate = [(Weighted average amount of interest/Weighted average of general borrowing) x 100]
= [(2,26,000/24,33,334) x 100] = 9.29% p.a.

Question 11

X Ltd. began construction of a new building on 1st January, 20X1. It obtained ₹ 1 lakh special loan to finance the construction of the building on 1st January, 20X1 at an interest rate of 10%. The company's other outstanding two non-specific loans were:

Amount	Rate of Interest
₹ 5,00,000	11%
₹ 9,00,000	13%

The expenditures that were made on the building project were as follows:

	₹
1st January 20X1	2,00,000

1st April 20X1	2,50,000
1st July 20X1	4,50,000
1st December 20X1	1,20,000

Building was completed by 31st December 20X1. Following the principles prescribed in AS 16 'Borrowing Cost,' calculate the amount of interest to be capitalised and pass one Journal Entry for capitalising the cost and borrowing cost in respect of the building.

Answer

(i) Calculation of weighted average interest rate other than for specific borrowings

Amount of loan (₹)	Rate of interest	Amount Interest (₹)
5,00,000	11%	55,000
9,00,000	13%	1,17,000
14,00,000		1,72,000

Weighted average rate of interest = [(1,72,000/14,00,000) x 100] = **12.285% (approx.)**

(ii) Computation of weighted average accumulated expenses

	₹
₹ 2,00,000 x 12/12	2,00,000
₹ 2,50,000 x 9/12	1,87,500
₹ 4,50,000 x 6/12	2,25,000
₹ 1,20,000 x 1/12	10,000
	6,22,500

(iii) Interest on weighted average accumulated expenses

	₹
Specific borrowings (₹ 1,00,000 x 10%)	10,000
Non-specific borrowings [(₹ 6,22,500 – ₹ 1,00,000) x 12.285%]	64,189
Amount of interest to be capitalized	**74,189**

(iv) Total expenses to be capitalized for building

	₹
Cost of building ₹ (2,00,000 + 2,50,000 + 4,50,000 + 1,20,000)	10,20,000
Add: Amount of interest to be capitalized	74,189
Amount of interest to be capitalized	**10,94,189**

(v) Journal Entry

Date		Debit (₹)	Credit (₹)
31.12.20X1	Building account Dr.	10,94,189	
	To Bank account		10,94,189
	(Being amount of cost of building and borrowing cost there on capitalised)		

Question 12

On 1st April, 20X1, Green Limited started the construction of an Office Building (qualified asset). The land under the building is regarded as a separate asset and is not a part of qualifying asset.

For the purpose of construction of building, the company raised a specific loan of ₹ 14 lakhs from a Bank at an interest rate of 12% per annum. An interest income of ₹ 15,000 was earned on this loan while it was held in anticipation of payments.

The company's other outstanding loans on 1st April, 20X1 were as follows:

Amount of Loan	Rate of Interest per annum
₹ 20,00,000	15%
₹ 30,00,000	8%

The construction of building started on 1st April, 20X1 and was completed on 31st January, 20X2 when it was ready for its intended use. Up to the date of completion of the building, the following payments were made to the contractor:

Payment date	Amount in ₹
1st April, 20X1	4,00,000
1st August, 20X1	10,00,000
1st December, 20X1	25,00,000
31st January, 20X2	5,00,000

The life of building is estimated to be 20 years and depreciation is calculated on straight line method.

You are required to:

(i) Calculate the amount of borrowing cost to be capitalized.

(ii) Pass initial journal entry to recognise the cost of building.

(iii) Depreciation on building for the year ending 31st March, 20X2.

(iv) Carrying value of building as on 31st March, 20X2.

Answer

(i) Computation of borrowing cost to be capitalized for specific borrowings and general borrowings based on weighted average accumulated expenses

Date of expenditure	Amount spent	Financed through	Calculation	₹
1.4.20X1	4,00,000	Specific borrowing	4,00,000 x 12% x 10/12	40,000
1.8.20X1	10,00,000	Specific borrowing	10,00,000 x 12% x 10/12	1,00,000
1.12.20X1	25,00,000	General borrowing	25,00,000 x 10.8% x 2/12	45,000
31.1.20X2	5,00,000	General borrowing	5,00,000 x 10.8% x 0/12	Nil
				1,85,000
Less: interest income on borrowing				(15,000)
Total amount borrowing cost to be capitalized				**1,70,000**

(ii) Journal Entry

Date			Debit (₹)	Credit (₹)
31.1.20X2	Building account	Dr.	45,70,000	

	To Bank account (Being amount of cost of building and borrowing cost there on capitalised)		45,70,000

(iii) Depreciation on building for the year ending 31.3.20X2

Cost of building = 45,70,000

Life of building = 20 years

Depreciation = (45,70,000/20) x 2/12 = 38,083.33

(iv) Carrying Value of Building on 31st March 20X2:

Carrying Value = Cost of Building – Accumulated Depreciation

= 45,70,000 – 38,083.33

= 45,31,917

Working Notes:

1. Calculation of capitalization rate on borrowings other than specific borrowings

Amount of loan (₹)	Rate of interest	Amount of interest (₹)
20,00,000	15%	3,00,000
30,00,000	8%	2,40,000
50,00,000		**5,40,000**
Weighted average rate of interest = (5,40,000/50,00,000 x 100)		10.8%

2. Total expenses to be capitalized for building

	₹
Cost of building ₹ (4,00,000 + 10,00,000 + 25,00,000 + 5,00,000)	44,00,000
Add: Amount of interest to be capitalized	1,70,000
	45,70,000

Exchange Difference on Foreign Currency Borrowing to be Treated as Borrowing Cost

Question 13

ABC Builders Limited had borrowed a sum of US $ 15,00,000 at the beginning of Financial year 20X1-X2 for its residential project at London Interbank Offered Rate (LIBOR) + 4 %. The interest is payable at the end of the Financial Year. At the time of availing the loan, the exchange rate was ₹ 72 per US $ and the rate as on 31st March, 20X2 was ₹ 76 per US $. If ABC Builders Limited borrowed the loan in Indian Rupee equivalent, the pricing of loan would have been 9.50%. Compute Borrowing Cost and exchange difference for the year ending 31st March, 20X2 as per applicable Accounting Standards. (Applicable LIBOR is 1%).

Answer

(i) Interest for the period 20X1-X2 = US $ 15 lakhs x 5% x ₹ 76 per US $ = ₹ 57 lakhs

(ii) Increase in the liability towards the principal amount = US $ 15 lakhs x ₹ (76 – 72) = ₹ 60 lakhs

(iii) Interest that would have resulted if the loan was taken in Indian currency = US $ 15 lakhs x ₹ 72 x 9.5% = ₹ 102.60 lakhs

(iv) Difference between interest on local currency borrowing and foreign currency borrowing = ₹ 102.60 lakhs less ₹ 57 lakhs = ₹ 45.60 lakhs.

Therefore, **out of ₹ 60 lakhs** increase in the liability towards principal amount, only **₹ 45.60 lakhs will be considered as the borrowing cost**. Thus, **total borrowing cost would be ₹ 102.60 lakhs** being the aggregate of interest of ₹ 57 lakhs on foreign currency borrowings plus the exchange difference to the extent of difference between interest on local currency borrowing and interest on foreign currency borrowing of ₹ 45.60 lakhs.

Hence, ₹ 102.60 lakhs would be considered as the borrowing cost to be accounted for as per AS 16 "Borrowing Costs" and the **remaining ₹ 14.4 lakhs (60 – 45.60) would be considered as the exchange difference** to be accounted for as per AS 11 "The Effects of Changes in Foreign Exchange Rates".

Miscellaneous

Question 14

Glen Ltd. began construction of a new building on 1st January, 20X1. On 1st April, 20X1, following two loans were obtained to fund the construction cost:

(i) Loan of ₹ 60,00,000 from Data Bank Ltd. was taken at interest rate of 8% per annum. This loan was fully utilized for construction of the new building.

(ii) Loan of ₹ 20,00,000 from Satya Bank Ltd. Out of this, loan amount of ₹ 6,00,000 was utilized for working capital purpose. Total interest of ₹ 1,92,000 were paid to Satya Bank Ltd. for the financial year 20X1-X2.

Construction of the new building was completed on 31st January, 20X2 and was ready for its intended use on the same date.

None of the loan was repaid during the year. The building is a qualifying asset for the purpose of AS-16.

Out of loan from Data Bank Ltd., surplus funds were temporarily invested for the short period of time. This temporary investment earned interest of ₹ 30,000.

You are required to calculate the amount of interest to be capitalized and to be charged to profit and loss account from the total interest incurred as borrowing cost during the year 20X1-X2 (as per AS-16).

Answer

According to AS 16 "Borrowing Costs", borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset should be capitalized as part of the cost of that asset. The amount of borrowing costs eligible for capitalization should be determined in accordance with this Standard. Other borrowing costs should be recognised as an expense in the period in which they are incurred.

The standard also states that to the extent that funds are borrowed specifically for the purpose of obtaining a qualifying asset, the amount of borrowing costs eligible for capitalization on that asset should be determined as the actual borrowing costs incurred on that borrowing during the period less any income on the temporary investment of those borrowings.

Thus, eligible borrowing cost on Loan of data bank to be capitalized = ₹ (60,00,000 x 8%) x 10/12 – ₹ 30,000 = ₹ 4,00,000 – ₹ 30,000 = ₹ 3,70,000

Loan	Particulars	Nature of assets	Interest to be Capitalized (₹)	Interest to be charged to Profit & Loss Account (₹)
Data bank	Construction of factory building	Qualifying Asset	₹ 3,70,000	(4,80,000 – 4,00,000) = ₹ 80,000

Satya Bank	Construction of factory building	Qualifying Asset	(1,92,000 x 14/20) x 10/12 = ₹ 1,12,000	(1,92,000 x 14/20) x 2/12 = ₹ 22,400
Satya Bank	Working Capital	Not a Qualifying Asset	NIL	(1,92,000 x 6/20) = ₹ 57,600
Total			**₹ 4,82,000**	**₹ 1,60,000**

Note: Loan from Satya bank is considered to be specific borrowings.

Question 15

On 1st April, 20X1 Workhouse Limited took a loan from a Financial Institution for ₹ 25,00,000 for the construction of Building. The rate of interest is 12%.

In addition to above loan, the company has taken multiple borrowings as follows:

(i) 8% Debentures ₹ 15,00,000

(ii) 15% Term Loan ₹ 30,00,000

(iii) 10% Other Loans ₹ 18,00,000

The company has utilised the above funds in construction/purchase of the following assets:

(i) Building ₹ 70,00,000

(ii) Furniture ₹ 22,00,000

(iii) Plant & Machinery ₹ 90,00,000

(iv) Factory Shed ₹ 43,00,000

The construction of Building, Plant & Machinery and Factory Shed was completed on 31st March 20X2. Readymade Furniture was purchased directly from the market. The factory was ready for production on 1st April 20X2.

You are required to calculate the borrowing cost for both qualifying and non-qualifying assets.

Answer

Interest to be Capitalized (on qualifying asset)

			₹
i.	On financial institution Borrowings	25,00,000 x 12%	3,00,000
ii.	On other borrowings	(W.N.1)	6,67,500
iii.	Amount of interest to be Capitalised	(i + ii)	9,67,500

Interest transferred to P&L (on non-qualifying asset)

			₹
i.	On other Borrowings	(W.N.1)	82,500

Working note:

1. Treatment of interest under AS 16 on other borrowings

S.N.	Particulars	Qualifying asset	Expenses Incurred	Share in borrowings	Interest-capitalized	Interest-charged to P&L A/c
i.	Building	Yes	45,00,000	7,50,000 x 45/200	1,68,750	–
ii.	Furniture	No	22,00,000	7,50,000 x 22/200	–	82,500

iii.	Plant & Machinery	Yes	90,00,000	7,50,000 x 90/200	3,37,500	–
iv.	Factory shed	Yes	43,00,000	7,50,000 x 43/200	1,61,250	–
Total			**2,00,00,000**		**6,67,500**	**82,500**

2. Total amount of Interest on other borrowings

Particulars	Amount of loan (a)	Rate of interest (b)	Amount of interest (c) = (a) x (b)
Debentures	15,00,000	8%	1,20,000
Term loan	30,00,000	15%	4,50,000
Other loans	18,00,000	10%	1,80,000
	63,00,000		**7,50,000**

Question 16

How will interest be capitalized when qualifying assets are funded by borrowings in the nature of bonds that are issued at a discount? X Ltd. issued in year 1, a 3 year 10% p.a. (interest paid annually) bond with a face value of ₹ 1,00,000 at a price of ₹ 90,000 to finance a qualifying asset which is ready for intended use at the end of year 2. Compute the amount of borrowings costs to be capitalized if the company uses for amortization of discount straight line basis.

Answer

As per **AS 16**, "Borrowing costs are **interest and other costs incurred** by an enterprise in connection with the borrowing of funds". Further, as per para 4 (b) of the standard, "amortization of discounts or premiums relating to borrowings" as a component of borrowing costs. Thus, the borrowing costs comprise the periodic interest payable on the bonds in question and the amount of discount amortised during the period.

Paragraph 6 of the Statement, inter-alia, states that "Borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset should be capitalized as part of the cost of that asset".

Further, paragraph 19 states that "Capitalisation of borrowing costs should cease when substantially all the activities necessary to prepare the qualifying asset for its intended use or sale are complete". Thus, only that portion of the amortised discount should be capitalised as part of the cost of a qualifying asset which relates to the period during which acquisition, construction or production of the asset takes place.

Straight line basis

Year	Interest	Amortisation of discount	Total borrowing costs
Year 1	10,000	3,333	13,333
Year 2	10,000	3,333	13,333
Year 3	10,000	3,334	13,334

In the above case, the amount of borrowing costs capitalized would be ₹ 13,333 in Year 1 and Year 2. The borrowing costs of ₹ 13,334 incurred in Year 3 would be expensed since the asset is ready for its intended use at the end of Year 2.

Question 17

Loyal Ltd. has undertaken a project for expansion of capacity as per the following details:

	Plan (₹)	Actual (₹)
October, 20X1	5,00,000	4,00,000
November, 20X1	6,50,000	7,95,000
December, 20X1	20,00,000	–
January, 20X2	2,00,000	50,000
February, 20X2	9,00,000	2,00,000
March, 20X2	10,00,000	12,00,000

The company pays to its bank interest at a rate of 15% p.a., which is debited on a monthly basis. During the half year, company had ₹ 20 lakh overdraft up to 31st December, surplus cash in January and again overdraft of ₹ 14 lakh from 1.2.20X2 and ₹ 30 lakh from 1.3.20X2. The company had a strike during December and hence could not continue the work during said period. However, the substantial administrative work related to the project was continued. Onsite work was again commenced on 1st January and all the work were completed on 31st March. Assume that expenditure was incurred on 1st day of each month.

Calculate interest to be capitalized giving reason wherever necessary. Assume overdraft will be less, if there is no capital expenditure.

Answer

Month	Actual Expenditure (₹)	Interest on outstanding amount @ 15% p.a.	Interest capitalized (₹)	Outstanding Cumulative amount (₹)
October, 20X1	4,00,000	4,00,000 x 15% x 1/12	5,000	4,00,000 + 5,000 = 4,05,000
November, 20X1	7,95,000	(4,05,000 + 7,95,000) x 15% x 1/12	15,000	4,05,000 + 7,95,000 + 15,000 = 12,15,000
December, 20X1	–	(12,15,000) x 15% x 1/12	15,188	12,15,000 + 15,188 = 12,30,188
January, 20X2	50,000	–	–	12,30,188 + 50,000 = 12,80,188
February, 20X2	2,00,000	14,00,000 x 15% x 1/12	17,500	12,80,188 + 2,00,000 + 17,500 = 14,97,688
March, 20X2	12,00,000	(14,97,688 + 12,00,000) x 15% x 1/12	33,721	14,97,688 + 12,00,000 + 33,721 = 27,31,409
	26,45,000		**86,409**	

Note:

1. As per para 18 of AS 16, 'Borrowing Cost', capitalisation of borrowing costs is not normally suspended during a period when substantial technical and administrative work is being carried out. Therefore, the interest for that period i.e. for the month of December has also been capitalized.
2. During January, the company did not incur any interest as there was surplus cash in January. Therefore, no amount should be capitalized during January as per para 14(b) of AS 16.
3. During February, actual overdraft (borrowings) was ₹ 14 lakh only. Hence, interest of ₹ 17,500 on ₹ 14,00,000 has been calculated even though actual expenditure on project exceeds ₹ 14 lakh.

CHAPTER - 17
AS 17: Segment Reporting

Reportable Segments

Question 1

XYZ Ltd. has 5 business segments. Profit/Loss of each of the segments for the year ended 31st March, 20X2 have been provided below. You are required to identify from the following whether reportable segments or not reportable segments, on the basis of "profitability test" as per AS-17.

Segment	Profit/(Loss) (₹ in lakhs)
A	225
B	25
C	(175)
D	(20)
E	(105)

Answer

As per AS 17 'Segment Reporting', a business segment or geographical segment should be identified as a reportable segment if:

Its segment results whether profit or loss is 10% or more of:

- The combined result of all segments in profit; i.e. ₹ 250 Lakhs or
- The combined result of all segments in loss; i.e. ₹ 300 Lakhs

Whichever is greater in absolute amount i.e. ₹ 300 Lakhs.

Operating Segment	Absolute amount of Profit or Loss (₹ in lakhs)	Reportable Segment (Yes or No)
A	225	Yes
B	25	No
C	175	Yes
D	20	No
E	105	Yes

On the basis of the profitability test (result criteria), segments **A, C and E are reportable segments** (since their results in absolute amount is 10% or more of₹ 300 lakhs i.e. 30 lakhs).

Question 2

ABC Limited has 5 segments namely A, B, C, D and E. The profit/loss of each segment for the year ended March 31, 20X2 is as follows:

Segment	Profit/(Loss) (₹ in crore)
A	780
B	1,500
C	(2,300)
D	(4,500)

E	6,000
Total	1,480

Identify the Reportable segments.

Answer

In compliance with AS 17, the segment profit/loss of respective segment will be compared with the greater of the following:

(i) All segments in profit, i.e., A, B and E - Total profit ₹ 8,280 crores.

(ii) All segments in loss, i.e., C and D - Total loss ₹ 6,800 crores.

Greater of the above - ₹ 8,280 crores.

Based on the above, reportable segments will be determined as follows:

Segment	Profit/(Loss)	Absolute Profit/Loss as a % of ₹ 8,280	Reportable Segment
A	780	9%	No
B	1,500	18%	Yes
C	(2,300)	28%	Yes
D	(4,500)	54%	Yes
E	6,000	72%	Yes
Total	**1,480**		

Question 3

M/s XYZ Ltd. has three segments namely X, Y, Z. The total Assets of the Company are ₹ 10 crores. Segment X has ₹ 2 crores, segment Y has ₹ 3 crores and segment Z has ₹ 5 crores. Deferred tax assets included in the assets of each segment are X - ₹ 0.50 crores, Y - ₹ 0.40 crores and Z - ₹ 0.30 crores. The accountant contends that all the three segments are reportable segments. Comment.

Answer

According to AS 17 "Segment Reporting", segment assets do not include income tax assets. Therefore, the revised total assets are ₹ 8.8 crores [₹ 10 crores – (₹ 0.5 + ₹ 0.4 + ₹ 0.3)]. Segment X holds total assets of ₹ 1.5 crores (₹ 2 crores – ₹ 0.5 crores); Segment Y holds ₹ 2.6 crores (₹ 3 crores – ₹ 0.4 crores); and Segment Z holds ₹ 4.7 crores (₹ 5 crores – ₹ 0.3 crores). Thus, all the three segments hold more than 10% of the total assets, all segments are reportable segments.

Question 4

Nathan Limited has three segments namely P, Q and R. The assets of the company are ₹ 15 crores. Segment P has ₹ 4 crores, Segment Q has ₹ 6 crores and Segment R has ₹ 5 crores. Deferred tax assets included in the assets of each segment are P - ₹ 1 crore, Q - ₹ 0.90 crores and R - ₹ 0.80 crores. The accountant contends all these three segments are reportable segments. Comment

Answer

According to AS 17 "Segment Reporting", segment assets do not include income tax assets.

Therefore, the revised total assets are ₹ 12.3 crores [₹ 15 – (₹ 1 + ₹ 0.9 + ₹ 0.8)].

Details of Segment wise assets:

Segment P holds total assets of ₹ 3 crores (₹ 4 crores – ₹ 1 crores);

Segment Q holds ₹ 5.1 crores (₹ 6 crores – ₹ 0.9 crores);

Segment R holds ₹ 4.2 crores (₹ 5 crores – ₹ 0.8 crores).

Thus, all the three segments hold more than 10% of the total assets, all segments are reportable segments.

Hence, the contention of the accountant that all three segments are reportable segments is **correct.**

Question 5

The Chief Accountant of Sports Ltd. gives the following data regarding its six segments:

₹ in lakhs

Particulars	M	N	O	P	Q	R	Total
Segment Assets	40	80	30	20	20	10	200
Segment Results	50	(190)	10	10	(10)	30	(100)
Segment Revenue	300	620	80	60	80	60	1,200

The Chief accountant is of the opinion that segments "M" and "N" alone should be reported. Is he justified in his view? Discuss.

Answer

As per **AS 17** 'Segment Reporting', a business segment or geographical segment should be identified as a reportable segment if:

Its revenue from sales to external customers and from other transactions with other segments is 10% or more of the total revenue- external and internal of all segments; or

Its segment result whether profit or loss is 10% or more of:

- The combined result of all segments in profit; or
- The combined result of all segments in loss, whichever is greater in absolute amount; or

Its segment assets are 10% or more of the total assets of all segments.

If the total external revenue attributable to reportable segments constitutes less than 75% of total enterprise revenue, additional segments should be identified as reportable segments even if they do not meet the 10% thresholds until atleast 75% of total enterprise revenue is included in reportable segments.

On the basis of turnover criteria segments **M and N are reportable** segments.

On the basis of the **result criteria**, segments **M, N and R** are reportable segments (since their results in absolute amount is 10% or more of ₹ 200 lakhs).

On the basis of **asset criteria**, **all segments except R** are reportable segments.

Since all the segments are covered in at least one of the above criteria, **all segments have to be reported** in accordance with Accounting Standard (AS) 17. Hence the opinion of chief **accountant is wrong**.

Question 6

Heavy Goods Ltd. has 6 segments namely L-Q (below). The total revenues (internal and external), profits or losses and assets are set out below: **(₹)**

Segment	Inter Segment Sales	External Sales	Profit/loss	Total assets
L	4,200	12,300	3,000	37,500
M	3,500	7,750	1,500	23,250
N	1,000	3,500	(1,500)	15,750
0	0	5,250	(750)	10,500
P	500	5,500	900	10,500
Q	1,200	1,050	600	5,250
	10,400	35,350	3,750	1,02,750

Heavy Goods Ltd. needs to determine how many reportable segments it has. You are required to advice Heavy Goods Ltd. as per the criteria defined in AS 17.

Answer

Quantitative Threshold Test:

Revenue Test:

Combined total sales of all the segment = ₹ 10,400 + ₹ 35,350 = ₹ 45,750

10% thresholds = ₹ 45,750 x 10% = 4,575

Profitability Test:

In the given situation, combined reported profit = ₹ 6,000 and combined reported loss (₹ 2,250). Hence, for 10% thresholds ₹ 6,000 will be considered.

10% thresholds = ₹ 6,000 x 10% = ₹ 600

Asset Test:

Combined total assets of all the segment = ₹ 1,02,750

10% thresholds = ₹ 1,02,750 x 10% = ₹ 10,275

Accordingly, quantitative thresholds are calculated below:

Segments	**L**	**M**	**N**	**O**	**P**	**Q**	**Reportable segments**
% segment sales to total sales	36.66%	24.59%	9.84%	11.48%	13.11%	4.92%	L, M, O, P
% segment profit to total profits	50%	25%	25%	12.5%	15%	10%	L, M, N, O, P, Q
% segment assets to total assets	36.50%	22.63%	15.33%	10.22%	10.22%	5.11%	L, M, N, O, P

Conclusion:

Segments L, M, O and P clearly satisfy the revenue and assets tests and they are separate reportable segments.

Segment N does not satisfy the revenue test, but it does satisfy the asset test and it is a reportable segment.

Segment Q does not satisfy the revenue or the assets test but is does satisfy the profits test. Therefore, Segment Q is also a reportable segment.

Hence all segments i.e. L, M, N, O, P and Q are reportable segments.

Preparation of Segment Report

Question 7

Calculate the segment results of a manufacturing organization from the following information:

Segments	A	B	C	Total
Directly attributed revenue	5,00,000	3,00,000	1,00,000	9,00,000
Enterprise revenue (allocated in 5:4:2 basis)				1,10,000
Revenue from transactions with other segments				
Transaction from B	1,00,000		50,000	1,50,000
Transaction from C	10,000	50,000		60,000
Transaction from A		25,000	1,00,000	1,25,000
Operating expenses	3,00,000	1,50,000	75,000	5,25,000
Enterprise expenses (allocated in 5:4:2 basis)				77,000
Expenses on transactions with other segments				
Transaction from B	75,000		30,000	
Transaction from C	6,000	40,000		
Transaction from A		18,000	82,000	

Answer

Computation of segment result:

Segments		A	B	C
Directly attributed revenue		5,00,000	3,00,000	1,00,000
Enterprise revenue (allocated in 5:4:2 basis)		50,000	40,000	20,000
Revenue from transactions with other segments				
Transaction from B		1,00,000	–	50,000
Transaction from C		10,000	50,000	–
Transaction from A		–	25,000	1,00,000
Total segment revenue	**(1)**	**6,60,000**	**4,15,000**	**2.70,000**
Operating expenses		3,00,000	1,50,000	75,000
Enterprise expenses (allocated in 5:4:2 basis)		35,000	28,000	14,000
Expenses on transactions with other segments				
Transaction from B		75,000	–	30,000
Transaction from C		6,000	40,000	–
Transaction from A		–	18,000	82,000
Total segment expenses	**(2)**	**4,16,000**	**2,36,000**	**2,01,000**
Segment result	**(1 – 2)**	**2,44,000**	**1,79,000**	**69,000**

Question 8

Prepare a segmental report for publication in Diversifiers Ltd. from the following details of the company's three divisions and the head office:

Particulars	₹ (000)
Forging Shop Division	
Sales to Bright Bar Division	4,575
Other Domestic Sales	90
Export Sales	6,135
	10,800
Bright Bar Division	
Sales to Fitting Division	45
Export Sales to Rwanda	300
	345
Fitting Division	
Export Sales to Maldives	270

₹ ('000)

Particulars	Head Office	Forging Shop Division	Bright Bar Division	Fitting Division
Pre-tax operating result		240	30	(12)
Head office cost reallocated		72	36	36
Interest costs		6	8	2
Fixed assets	75	300	60	180
Net current assets	72	180	60	135
Long-term liabilities	57	30	15	180

Answer

Diversifiers Ltd. Segmental Report **(₹ '000)**

Particulars	Divisions			Inter Segment Eliminations	Consolidated Total
	Forging shop	Bright Bar	Fitting		
Segment Revenue					
Sales:					
Domestic	90	–	–		90
Export	6,135	300	270		6,705
External Sales	6,225	300	270		6,795
Inter-Segment Sales	4,575	45	–	4,620	–
Total Revenue	**10,800**	**345**	**270**	**4,620**	**6,795**
Segment Result (Given)	240	30	(12)		258
Head Office Expenses					(144)
Operating Profit					114
Interest Expense					(16)
Profit Before Tax					**98**

Information in Relation to Assets and to Assets and Liabilities:					
Fixed Assets	300	60	180		540
Net Current Assets	180	60	135		375
Segment assets	480	120	315		915
Unallocated Corporate Assets (75 + 72)					147
Total assets					**1,062**
Segment liabilities	30	15	180		225
Unallocated corporate Liabilities					57
Total liabilities					**282**

Sales Revenue by Geographical Market **(₹ '000)**

Particulars	**Home Sales**	**Export Sales (by forging shop division)**	**Export to Rwanda**	**Export to Maldives**	**Consolidated Total**
External sales	90	6,135	300	270	6,795

CHAPTER - 18
AS 18: Related Party Disclosures

Identification of Related Party

Question 1

Consider a scenario wherein Mr. Robert holds 70% shares and voting rights in P Ltd.

Determine whether Andy (spouse of Mr. Robert) is a related party to P Ltd. under AS-18?

Answer

Yes – Andy is a related party to P Ltd., in view of the requirements of **AS-18**.

It may be recalled that under AS-18 '**relatives of individuals** owning an interest in the voting power of the reporting enterprise that gives them control or significant influence over the enterprise' are considered as related parties.

Question 2

Consider a scenario wherein:

- Mr. Robert is a Managing Director of P Ltd.
- Andy (spouse of Robert) received a remuneration of ₹ 5 lakhs from P Ltd. – for the services she rendered to P Ltd. for the period 1st April 20X1 through 30th June 20X1
- Andy left the services of P Ltd. on 1st July 20X1
- Consider 31st March 20X2 as the year-end date for P Ltd.

Whether Andy is to be identified as related party at the year-end date (31st March 20X2) for the purposes of AS-18?

Answer

Yes – This is because as per **AS-18**, parties are **considered** to be **related if at any time during** the reporting period one party has the **ability to control** the other party **or** exercise **significant influence** over the other party in making financial and/or operating decisions.

Hence Andy (being the spouse and relative of the KMP of P Ltd.) **needs to be reported** as related party at the year-end date (i.e. 31st March 20X2). This is because the remuneration Andy received from P Ltd. (for the period April 20X1 to 30th June 20X1) falls within the reporting year April 20X1 to March 20X2.

Question 3

Mr. Raj, a relative of key management personnel, received remuneration of ₹ 2,50,000 for his services in the company for the period from 1.4.20X1 to 30.6.20X1. On 1.7.20X1, he left the service of the company.

Should the relative be identified as at the closing date i.e. on 31.3.20X2 for the purposes of AS 18?

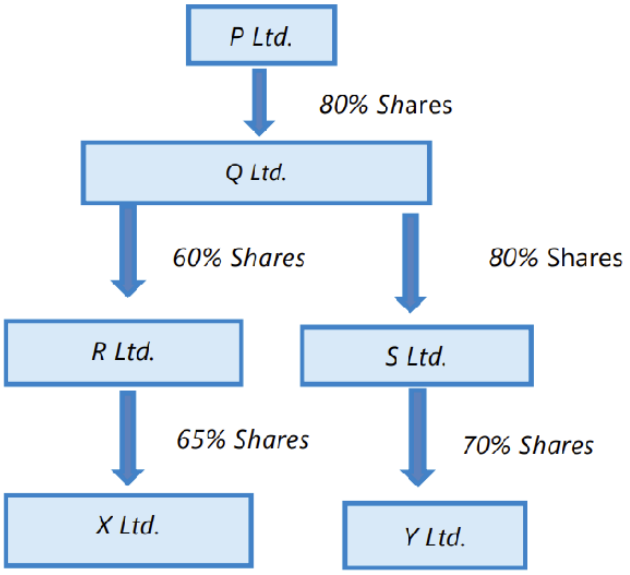
Answer

According to **AS 18** on 'Related Party Disclosures', parties are considered to be related if **at any time during the reporting period** one party has the **ability to control** the other party **or** exercise **significant influence**

over the other party in making financial and/or operating decisions. Hence Mr. Raj, a relative of key management personnel, **should be identified as related party** for disclosure in the financial statements for the year ended 31.3.20X2.

Question 4

Consider the following organization structure related to P Ltd.



Given the above structure: Identify related party relationships, if R Ltd. is the reporting enterprise.

Answer

The following table identifies the related party relationships for R Ltd. (being the reporting enterprise):

Party Name	Relationship under AS-18
P Ltd.	• P Ltd. has indirect control on R Ltd. (through Q Ltd.) • Hence, R Ltd. is **related** to P Ltd.
Q Ltd.	• Q Ltd. has direct control of R Ltd. • Hence, R Ltd. is **related** to Q Ltd.
S Ltd.	• R Ltd. and S Ltd. are under common control of Q Ltd. • Hence, R Ltd. is **related** to S Ltd.
X Ltd.	• X Ltd. is controlled by R Ltd. • Hence, R Ltd. is **related** to X Ltd.
Y Ltd.	• Y Ltd. is the sub-subsidiary of Q Ltd. • Both R Ltd. and Y Ltd. are under common control of Q Ltd. • Hence, R Ltd. is **related** to Y Ltd.

Question 5

Identify the related parties in the following case as per AS 18:

A Ltd. holds 51% of B Ltd.

B Ltd. holds 51% of O Ltd.

Z Ltd. holds 49% of O Ltd.

(Give your answer - Reporting Entity wise for A Ltd., B Ltd., O Ltd. and Z Ltd.)

Answer

In relation to Reporting enterprise - A Ltd.

- B Ltd. (subsidiary) is a related party
- O Ltd.(subsidiary) is a related party

In relation to Reporting enterprise - B Ltd.

- A Ltd. (holding company) is a related party
- O Ltd. (subsidiary) is a related party

In relation to Reporting enterprise - O Ltd.

- A Ltd. (ultimate holding company) is a related party
- B Ltd. (holding company) is a related party
- Z Ltd. (investor/investing party) is a related party (O Ltd being Associate of Z Ltd)

In relation to Reporting enterprise - Z Ltd.

- O Ltd. (Associate) is a related party

Question 6

You are required to identify the related parties in the following cases as per AS 18:

M Ltd. holds 61 % shares of S Ltd.

S Ltd. holds 51 % shares of F Ltd.

C Ltd. holds 49% shares of F Ltd.

(Give your answer - Reporting Entity wise for M Ltd., S Ltd., C Ltd. and F Ltd.)

Answer

Reporting Entity	Related Party
M Ltd.	S Ltd. (subsidiary) F Ltd.(subsidiary)
S Ltd.	M Ltd. (holding company) F Ltd. (subsidiary)
F Ltd.	M Ltd. (ultimate holding company) S Ltd. (holding company) C Ltd. (investor/investing party)
C Ltd.	F Ltd. (associate)

Question 7

The following information is provided for the year ended 31st March, 20X1:

(i) AX Limited holds 70% shares of BX Limited

(ii) BX Limited holds 30% shares of CX Limited

(iii) DX Limited holds 40% shares of in CX Limited

(iv) DX Limited holds 49% shares in EX Limited You are required to:

(a) Identity the related parties for the reporting entities – AX Limited, CX Limited and EX Limited.

(b) If DX Limited would have sold its investment in EX Limited on 1st October, 20X0, but goods were continued to be supplied by DX Limited to EX Limited throughout the year, will this scenario change your answer with respect to any of the reporting entity mentioned in point (a)?

Give reasons for your answer as per AS 18.

Answer

(a)

Reporting Entity	Related Party
AX Limited	**BX** Limited (AX Limited controls BX Limited directly as holding company **CX** Limited (AX Limited has significant influence in CX Limited indirectly through BX Limited)
CX Limited	**AX** Limited (AX Limited. has significant influence in CX Limited indirectly through BX Limited) **BX** Limited (BX Limited has significant influence in CX Limited) **DX** Limited (DX Limited holds 40% shares, means substantial interest of more than or equal to 20%, hence significant influence exists in this case)
EX Limited	**DX** Limited (DX Limited holds 49% shares, means substantial interest of more than or equal to 20%, hence significant influence exists in this case)

(b) **No,** DX would **still be a related party** of EX Limited EX Limited will report DX Limited as a related party as per AS 18. However, the transaction for the period in which the related party relationship exists will only be disclosed.

Question 8

Consider a scenario wherein:

- UK Bank holds 23% equity shares with voting rights in P Ltd.
- The bank has provided a loan of ₹ 20 million to P Ltd. at market interest rate
- As per the terms and conditions of the loan agreement, the bank has appointed one person as its nominee to the board of director of P Ltd. and any major transaction to be entered into by P Ltd. will require the consent of the Bank

Determine whether under AS-18 - UK Bank is a related party to P Ltd. (the reporting enterprise)?

Answer

In the instant case, the UK Bank holds 23% shares with voting rights in P Ltd. and hence is deemed to exercise significant influence over P Ltd.

The bank is also a provider of finance to P Ltd. (the reporting enterprise) and as per AS-18, parties like providers of finance are deemed not to be considered as a related party in the course of normal dealings with an enterprise by virtue only of those dealings. However, this exemption will not be available to UK Bank in this case – since it exercises significant influence over P Ltd. (by virtue of holding 23% shares with voting rights in P Ltd.)

Accordingly, for P Ltd. (the reporting enterprise), the **UK Bank is a related party** and it will be required to disclose the transactions with UK Bank in its financial statements.

Question 9

Consider a scenario wherein:

- A Ltd. has 60% voting right in B Ltd.
- A Ltd. also has 22% voting right in C Ltd.; and
- B Ltd. has 30% voting right in C Ltd.

Whether C Ltd. is to be treated under AS-18 as a party related to A Ltd.?

Answer

Yes – in relation to A Ltd. (the reporting enterprise), C Ltd. is a related party under AS-18. This is because A Ltd. indirectly controls C Ltd. In this case, A Ltd. (together with its subsidiary B Ltd.) controls more than one half of the voting rights of C Ltd.

Question 10

Consider the following organization structure related to UH Ltd. (the ultimate parent company of a Group), wherein UH Ltd. has made the following investments:

- Investment in two of the wholly owned subsidiaries, viz. Sub 1 and Sub 2
- Investment in JC 1, in which UH Ltd. has a joint control
- 28% investment in Ass 1 (and hence, Ass 1 is an associate of UH Ltd.)

Given the above structure: Identify related party relationships for each of the above entities under AS-18

Answer

The following table identifies the related party relationships for each of the entities in the Group:

Reporting enterprise	Related Party as per AS-18
UH Ltd.	All the four entities (viz. Sub 1, Sub 2, JC 1 and Ass 1)
Sub 1	Only two of the entities in the Group (viz. UH Ltd. and Sub 2)
Sub 2	Only two of the entities in the Group (viz. UH Ltd. and Sub 1)
JC 1	Only UH Ltd.
Ass 1	Only UH Ltd.

Question 11

Consider a scenario wherein:

- X Ltd. holds 28% voting right in Y Ltd. (and hence Y Ltd. is an associate of X Ltd.)
- Y Ltd. holds 32% voting right in Z Ltd. (and hence Z Ltd. is an associate of Y Ltd.)

In the above case, since Y Ltd. is an associate of X Ltd. – Y Ltd. is a related party to X Ltd.

Likewise, since Z Ltd. is an associate of Y Ltd. - Z Ltd. is a related party to Y Ltd.

Whether Z Ltd. is to be treated under AS-18 as a party related to X Ltd.?

Answer

No – in relation to X Ltd. (the reporting enterprise), **Z Ltd.** is a **not** a related party.

This is because as per the requirements of AS-18, '**associate of an associate' is not a related party**.

Question 12

A Limited has two Associates, B Limited and C Limited, and owns 25% of the voting power of B Limited and 30% of the voting power of C Limited. Would B Limited be considered a related party for the purpose of financial statements of C Limited?

Answer

Both B Limited and C Limited are 'associates' of A Limited. **Follow-associates cannot be regarded as a related parties** only by virtue of the relationship. AS 18 states that "enterprise that directly, or indirectly through one or more intermediaries, control, or are controlled by, or are under common control with, the reporting enterprise" are related parties. Further, it is given that "associates and joint ventures of the reporting enterprise and the investing party or venture in respect of which the reporting enterprise is an associate or a joint venturer" are also related parties. As B Limited is not an associate of C Limited, nor is it being controlled, directly or indirectly, by C Limited or is not so controlling C Limited, it **is not a related party** of C Limited.

Question 13

In respect of a key supplier who is dependent on the company for its existence and the company enjoys influence over the prices of this supplier (which may not be formally demonstrable), can the supplier and the company be considered as related parties?

Answer

The supplier and the company cannot be considered to be related parties merely because the latter is able to influence the transaction price between the parties. Paragraph 3 of AS 18 states that "enterprises that directly, or indirectly through one or more intermediaries, control, or are controlled by, or are under common control with, the reporting enterprise" are considered to be related party relationships. However, the conditions which define the existence of control, as follows, are not satisfied in the given example.

- Ownership, directly or indirectly, of more than one-half of the voting power of an enterprise, or
- Control of the composition of the board of directors in the case of a company or of the composition of the corresponding governing body in case of any other enterprise, or

- A substantial interest in voting power and the power to direct, by statue or agreement, the financial and/or operating policies of the enterprise".

Paragraph 10 of the standard defines significant influence as "participation in the financial and/or operating policy decisions of an enterprise, but not control of those policies". In the given example, although the supplier and the company have entered into a commercial transaction, the terms of which are influenced by the latter because of its better bargaining power in the specific market for such goods, it cannot be concluded that there is participation in the financial and/or operating policy decisions. Therefore, as the conditions specified by the Standard for being classified as a related party are not satisfied in the given example, the company **cannot be said to be related to the supplier.** This view is supported by paragraph 4 (b) of the Standard which states that "a single customer, supplier, franchiser, distributor, or general agent with whom an enterprise transacts a significant volume of business merely by virtue of the resulting economic dependence" would not be deemed to be related parties.

Question 14

Khushi Limited enter into an agreement with Mr. Happy for running a business for a fixed amount payable to the later every year. The contract states that the day-to-day management of the business will be handled by Mr. Happy, while all financial and operating policy decisions are taken by the Board of Directors of the Company. Mr. Happy does not own any voting power in Khushi Limited.

Answer

Mr. Happy will **not be considered as a related party** of Khushi Limited in view of provisions of AS 18 "Related Party Disclosures" which states, "individuals owning, directly or indirectly, an interest in the voting power of the reporting enterprise that gives them control or significant influence over the enterprise, and relatives of any such individual are related parties".

In the given case, in the absence of share ownership, Mr. Happy would not be considered to exercise significant influence on Khushi Limited, even though there is an agreement giving him the power to manage the company. Further, the fact that Mr. Happy does not have the ability to direct or instruct the board of directors does not qualify him as a key management personnel.

Related Party Disclosures

Question 15

Who are related parties under AS 18? What are the related party disclosure requirements?

Answer

Parties are considered to be related if at any time during the reporting period one party has the ability to **control** the other party or exercise **significant influence** over the other party in making financial and/or operating decisions.

If there have been transactions between related parties, during the existence of a related party relationship, the reporting enterprise should disclose the following:

(i) The **name** of the transacting related party;

(ii) A **description of the relationship** between the parties;

(iii) A description of the **nature of transactions**;

(iv) **Volume of the transactions** either as an amount or as an appropriate proportion;

(v) **Any other elements** of the related party transactions necessary for an understanding of the financial statements;

(vi) The amounts or appropriate proportions of outstanding items pertaining to related parties at the balance sheet date and **provisions for doubtful debts** due from such parties at that date;

(vii) Amounts **written off or written back** in the period in respect of debts due from or to related parties.

Question 16

Should the related parties be identified as at the reporting date (i.e. balance sheet date) for the purposes of AS-18? In disclosing transactions with related parties, are the transactions of the entire reporting period to be disclosed or only those for the period during which related party relationship exists?

Answer

As per the definition of related parties in **AS-18,** the existence of a related party relationship should be identified at all points during the year (and not only at the close of the financial year). However, AS 18 requires disclosure of transactions with these parties **only during the existence of the related party relationship.**

Question 17

X Ltd. sold goods to its associate company during the 1st quarter ended 30.6.20X1. After that, the related party relationship ceased to exist. However, goods were supplied as were supplied to any other ordinary customer. Decide whether transactions of the entire year have to be disclosed as related party transaction.

Answer

As per **AS 18**, transactions of X Ltd. with its associate company for the **first quarter ending 30.06.20X1** only are required to be **disclosed as related party transactions**. The **transactions** for the **period in which related party relationship did not exist would not be reported**.

Question 18

Consider a scenario wherein:

- P Ltd. hold 22% shares and voting rights in Q Ltd. (and hence Q Ltd. is an associate of P Ltd.)
- On 1st April 20X1, P Ltd. sold certain goods to Q Ltd. amounting to ₹ 5 lakhs
- On 30th June 20X1, P Ltd. sold its entire 22% stake in Q Ltd. (and hence the related party relationship ceased to exist after 30th June 20X1)
- However, P Ltd. continued supply goods to Q Ltd. subsequent to 30th June 20X1 (just like any other customer) and sold goods worth ₹ 15 lakhs during 9-month period ended 31st March 20X2
- Consider 31st March 20X2 as the year-end date for P Ltd.

Determine whether the transaction for the entire year (ending on 31st March 20X2) is required to be disclosed under AS-18 as related party transaction.

Answer

No – This is because as per AS-18, the disclosure requirements under the Standard relate only to the period **during related party relationship existed**.

Accordingly, only transactions between P Ltd and Q Ltd **till 30th June 20X1** (being sale of goods worth ₹. 5 lacs) are required to be reported/**disclosed under AS-18.**

Transactions entered into **after 30th June 20X1** are **not required** to be disclosed under AS-18.

Question 19

Narmada Ltd. sold goods for ₹ 90 lakhs to Ganga Ltd. during financial year ended 31.03.20X1. The Managing Director of Narmada Ltd. owns 100% shares of Ganga Ltd. The sales were made to Ganga Ltd. at normal selling prices by Narmada Ltd. The Chief accountant of Narmada Ltd. contends that these sales need not require a different treatment from the other sales made by the company and hence no disclosure is necessary as per the accounting standard. Is the Chief Accountant correct?

Answer

As per **AS 18** 'Related Party Disclosures', Enterprises over which key management personnel are able to exercise significant influence are related parties. This includes enterprises owned by directors or major shareholders of the reporting enterprise and enterprise that have a member of key management in common with the reporting enterprise.

In the given case, **Narmada Ltd. and Ganga Ltd. are related parties** and hence **disclosure of transaction** between them is **required irrespective of whether the transaction was done at normal selling price**.

Hence the contention of **Chief Accountant** of Narmada Ltd is **wrong**.

Question 20

Will transactions with related parties, for services provided/received free of cost, be required to be disclosed?

A Limited has a corporate communications department, which centralises the public relations function for the whole group of A Limited and its subsidiaries. No charges are, however, levied by A Limited on its subsidiaries and accordingly, these transactions are not given accounting recognition. Would these constitute related party transactions requiring disclosure under AS 18 in the standalone financial statements of A Limited?

Answer

These transactions would require disclosure under AS 18 in the standalone financial statements of A Limited. As per paragraph 10 of AS 18, a related party transaction is "a transfer of resources or obligations between related parties, regardless of whether or not a price is charged". In the given situation, there is a transfer of resources from A Limited to its subsidiaries, though no price is charged for the same. Hence, it will constitute as related party transaction and will require disclosure in the financial statements of A Ltd.

Question 21

Is remuneration paid to Board of Directors a related party transaction? Explain.

Answer

In case of a Company, the Managing Director, whole time director, manager and any person in accordance with whose directions or instructions the board of directors of the company is accustomed to act, are **usually considered Key Managerial Personnel (KMP).**

Persons who do not have the authority and responsibility for planning, directing and controlling the activities of the enterprise would not be KMP. Conversely, persons without any formal titles may be considered to be KMP, if they plan, direct and control the activities of the enterprise.

Further, as per Companies Act, 2013, a related party includes a director or his relative. The Act, defines a director as a director appointed to the Board of a Company.

Hence, remuneration paid to Board of Directors will be **considered as related party transaction**.

Question 22

ABC Limited is in the business of manufacturing textiles. It has certain commercial contracts with its customers and those customer contracts carry various clauses, imposing restriction on ABC Limited for disclosure of certain information. Accordingly, the company doesn't intend to provide related party disclosure under AS-18 in its ensuing financial statements. Is this correct?

Answer

As per **AS-18** stipulate that related party disclosure requirements under AS-18 **do not apply** in circumstances, where providing such disclosures would conflict with the reporting enterprise's duties of confidentiality, as specifically required in terms of a statute or by any regulator or similar competent authority.

In case, where (1) a statute or (2) a regulator or (3) a similar competent authority governing an enterprise prohibit the enterprise to disclose certain information, which is required to be disclosed as per AS 18, disclosure of such information is **not warranted**. For example, banks are obliged by law to maintain confidentiality in respect of their customers transactions and AS-18 would not override the obligation to preserve the confidentiality of customers dealings.

However, this exemption is **not available** in respect of confidentiality provisions in a commercial contract between two enterprises - where confidentiality is not specifically required in terms of (1) a statute or (2) by any regulator or (3) similar competent authority.

Therefore, in the given case AS-18 related party **disclosures would have to be made** by ABC Limited in its ensuing financial statements.

Mixed Topics

Question 23

Answer the following with respect to AS-18:

(i) ABC Ltd. sold goods of ₹ 2,00,000 to its associate company for the 1st quarter ending 30.06.20X1. After that the related party relationship ceased to exist. However, goods were supplied to any other ordinary customer. Decide whether transactions of the entire year have to be disclosed as related party transaction.

(ii) If the majority of directors of Arjun Ltd. constitute the majority of the Board of another Company Bheem

Ltd. in their individual capacity as professionals (and not by virtue of their being Directors in Arjun Ltd.). Are both the companies related?

(iii) Asha Ltd. sells all the manufactured furniture of ₹ 1,00,00,000 to Sasha Ltd, as per agreement. Sasha Ltd. is the only customer to Asha Ltd. In the financial statements, Asha Ltd. wants to present Sasha company as a related party. Comment on the disclosure requirement.

Answer

(i) As per AS 18, parties are considered to be related if any time during the reporting period one party has the ability to control the other party or exercise significant influence over the other party. Transactions of ABC Ltd. with its associate company for the **first quarter ending 30.06.20X1** only are required to be **disclosed as related party transactions** as the company has the ability to exercise significant influence only till 30.6.20X1.

The transactions for the period in which related party relationship did not exist need not be reported.

(ii) In the given case, Arjun Ltd. cannot be said to control the composition of board of directors of Bheem Ltd. as the directors have been appointed in their individual capacity as professionals and not by virtue of their being directors in Arjun Ltd.

Hence, it **cannot be concluded** that the companies are **related** merely because the majority of the directors of one company became the majority of the directors of the second in their individual capacity as professionals.

(iii) In the context of AS 18, a single customer, supplier, franchiser, distributor, or general agent with whom an enterprise transacts a significant volume of business cannot be construed as Related Party Relationship merely by virtue of the resulting economic dependence. There is an economic dependence between the companies but no one controls or exercise significant influence on the other.

In the given case, Asha Ltd. need **not report** Sasha Company as its **related party** in its financial statements.

CHAPTER - 19
AS 19: Leases

Accounting of Operating Lease

Question 1

A machine was given on 3 years operating lease by a dealer of the machine for equal annual lease rentals to yield 30% profit margin on cost ₹ 1,50,000. Economic life of the machine is 5 years and output from the machine are estimated as 40,000 units, 50,000 units, 60,000 units, 80,000 units and 70,000 units consecutively for 5 years. Straight line depreciation in proportion of output is considered appropriate. Compute the following:

(i) Annual Lease Rent

(ii) Lease Rent income to be recognized in each operating year and

(iii) Depreciation for 3 years of lease

Answer

(i) Annual lease rent

Total lease rent

= 130% of ₹ 1,50,000 x (Output during lease period/Total output)

= 130% of ₹ 1,50,000 x [(40,000 + 50,000 + 60,000)/(40,000 + 50,000 + 60,000 + 80,000 + 70,000)]

= 1,95,000 x (1,50,000 units/3,00,000 units) = ₹ 97,500

Annual lease rent = ₹ 97,500/3 = ₹ 32,500

(ii) Lease rent Income to be recognized in each operating year

Total lease rent should be recognised as income in proportion of output during lease period, i.e. in the proportion of 40:50:60.

Hence income recognised in years 1, 2 and 3 will be as:

Year 1 ₹ 26,000,

Year 2 ₹ 32,500 and

Year 3 ₹ 39,000.

(iii) Depreciation for three years of lease

Since depreciation in proportion of output is considered appropriate, the depreciable amount ₹ 1,50,000 should be allocated over useful life 5 years in proportion of output, i.e. in proportion of 40:50:60:80:70.

Depreciation for year 1 is ₹ 20,000, year 2 = 25,000 and year 3 = 30,000.

Accounting of Finance Lease in Lessee's Books

Question 2

S. Square Private Limited has taken machinery on finance lease from S.K. Ltd. The information is as under:

Lease term = 4 years

Fair value at inception of lease = ₹ 20,00,000

Lease rent = ₹ 6,25,000 p.a. at the end of year

Guaranteed residual value = ₹ 1,25,000

Expected residual value = ₹ 3,75,000

Implicit interest rate = 15%

Discounted rates for 1st year, 2nd year, 3rd year and 4th year are 0.8696, 0.7561, 0.6575 and 0.5718 respectively.

Calculate the value of the lease liability as per AS-19.

Answer

According to para 11 of **AS 19 "Leases",** the **lessee** should **recognise** the lease as an **asset and a liability** at an amount equal to the **lower of the fair value** of the leased asset at the inception of the finance lease and the **present value of the minimum lease payments** from the standpoint of the lessee.

In calculating the present value of the minimum lease payments the discount rate is the interest rate implicit in the lease. Present value of minimum lease payments will be calculated as follows:

Year	Minimum Lease Payment (₹)	PV factor @15%	Present value (₹)
1	6,25,000	0.8696	5,43,500
2	6,25,000	0.7561	4,72,563
3	6,25,000	0.6575	4,10,937
4	(6,25,000 + 1,25,000) = 7,50,000	0.5718	4,28,850
Total	**26,25,000**		**18,55,850**

Present value of **minimum lease payments ₹ 18,55,850 is less than fair value** at the inception of lease i.e. ₹ 20,00,000, therefore, the **asset and corresponding lease liability should be recognised at ₹ 18,55,850** as per AS 19.

Question 3

You are required to give the necessary journal entry at the inception of lease to record the asset taken on finance lease in books of lessee from the following information:

Lease period = 5 years

Annual lease rents = ₹ 50,000 at the end of each year

Guaranteed residual value = ₹ 25,000

Fair Value at the inception (beginning) of lease = ₹ 2,00,000

Interest rate implicit on lease is = 12.6% (Discounted rates for year 1 to 5 are .890, .790, .700, .622 and .552 respectively).

Answer

Present value of minimum lease payment is computed below:

Year	MLP (₹)	DF (12.6%)	PV (₹)
1	50,000	0.890	44,500
2	50,000	0.790	39,500
3	50,000	0.700	35,000

4	50,000	0.622	31,100
5	50,000	0.552	27,600
5	25,000	0.552	13,800
			1,91,500

Present value of minimum lease payment = ₹ 1,91,500

Fair value of leased asset = ₹ 2,00,000

As per **AS 19,** on the date of inception of Lease, Lessee should **show it as an asset and corresponding liability** at **lower of Fair value** of leased asset at the inception of the lease and **present value of minimum lease payments** from the standpoint of the lessee. The accounting entry at the inception of lease to record the asset taken on finance lease in books of lessee is suggested below:

Particulars		**Debit (₹)**	**Credit (₹)**
Asset A/c	Dr.	1,91,500	
To Lessor (Lease Liability) A/c			1,91,500
(Being recognition of finance lease as asset and liability)			

Question 4

Lessee Ltd. took a machine on lease from Lessor Ltd., the fair value being ₹ 7,00,000.

The economic life of machine as well as the lease term is 3 years. At the end of each year Lessee Ltd. pays ₹ 3,00,000. The Lessee has guaranteed a residual value of ₹ 22,000 on expiry of the lease to the Lessor. However, Lessor Ltd., estimates that the residual value of the machinery will be only ₹ 15,000. The implicit rate of return is 15% p.a. and present value factors at 15% are 0.869, 0.756 and 0.657 at the end of first, second and third years respectively.

Calculate the value of machinery to be considered by Lessee Ltd. and the finance charges in each year.

Answer

As per para 11 of **AS 19 "Leases",** the **lessee** should **recognize** the lease as an **asset and a liability** at the inception of a finance lease. Such recognition should be at an amount equal to the **fair value** of the leased asset at the inception of lease. However, **if the fair value of the leased asset exceeds the present value of minimum lease payment** from the standpoint of the lessee, the amount **recorded as an asset and liability should be the present value of minimum lease payments** from the standpoint of the lessee.

Computation of Value of machinery:

Present value of minimum lease payment = ₹ 6,99,054 (See working note below)

Fair value of leased asset = ₹ 7,00,000

Therefore, the recognition will be at the lower of the two i.e. 6,99,054

Working Note - Present value of minimum lease payments:

Annual lease rental x PVIF + Present value of guaranteed residual value

= ₹ 3,00,000 x (0.869 + 0.756 + 0.657) + ₹ 22,000 x 0.657

= ₹ 6,84,600 + ₹ 14,454

= 6,99,054

Computation of finance charges:

Year	Finance charge	Payment	Reduction in o/s Liability	Outstanding liability
1st Year beginning	–	–	–	6,99,054
End of 1st year	1,04,858	3,00,000	1,95,142	5,03,912
End of 2nd year	75,587	3,00,000	2,24,413	2,79,499
End of 3rd year	41,925	3,00,000	2,58,075	21,424

Accounting of Finance Lease in Lessor's Books

Question 5

Prakash Limited leased a machine to Badal Limited on the following terms:

		(₹ In lakhs)
(i)	Fair value of the machine	28.3
(ii)	Lease term	5 years
(iii)	Lease rental per annum	8.00
(iv)	Guaranteed residual value	1.60
(v)	Expected residual value	3.00
(vi)	Internal rate of return	15%

Discounted rates for 1st year to 5th year are 0.8696, 0.7561, 0.6575, 0.5718, and 0.4972 respectively.

Ascertain Unearned Finance Income.

Answer

As per **AS 19** on Leases, **unearned finance income** is the difference between (a) the **gross investment** in the lease and (b) the **present value of minimum lease payments** under a finance lease from the standpoint of the lessor; and any unguaranteed residual value accruing to the lessor, at the interest rate implicit in the lease.

Where:

(a) **Gross investment** in the lease is the aggregate of (i) minimum lease payments from the stand point of the lessor and (ii) any unguaranteed residual value accruing to the lessor.

Gross investment = Minimum lease payments + Unguaranteed residual value (URV)

= [Total lease rent + Guaranteed residual value (GRV)] + URV

= [(₹ 8,00,000 x 5 years) + ₹ 1,60,000] + ₹ 1,40,000

= ₹ 43,00,000

(b) Table showing present value of (i) Minimum lease payments (MLP) and (ii) Unguaranteed residual value

Year	MLP inclusive of URV (₹)	PV Factors @ 15%	Present Value (₹)
1	8,00,000	0.8696	6,95,680
2	8,00,000	0.7561	6,04,880
3	8,00,000	0.6575	5,26,000
4	8,00,000	0.5718	4,57,440
5	8,00,000	0.4972	3,97,760

(GRV)	1,60,000	0.4972	79,552
	41,60,000		27,61,312
(URV)	1,40,000	0.4972	69,608
	43,00,000		**28,30,920**

Unearned Finance Income = ₹ 43,00,000 – ₹ 28,30,920 = **₹ 14,69,080**

Question 6

J Limited availed an equipment on lease from K Limited. The conditions of the lease terms are as under:

(i) Lease starts from 1st April, 20X1 for a period of 4 Years and useful life of the equipment is 6 years. Both the cost and fair value of equipment are ₹ 12,50,000.

(ii) The equipment reverts back to the lessor on termination of the lease.

(iii) The unguaranteed residual value is estimated at ₹ 1,20,000 at the end of the financial year 20X4-20X5.

(iv) The amount will be paid in 4 equal instalments at the end of each year.

(v) Consider IRR = 8%.

(vi) The present value of ₹ 1 at the end of 4th year at 8% of interest is ₹ 0.735.

(vii) The present value of annuity of ₹ 1 due at the end of 4th year at 8% IRR is ₹ 3.312

State whether this lease is operating lease or Finance lease (by applying two deterministic parameters). Also calculate unearned finance Income.

Answer

Computation of annual lease payment:

Particulars	**₹**
Cost of equipment	12,50,000.00
Unguaranteed residual value	1,20,000.00
Present value of unguaranteed residual value (₹ 1,20,000 x 0.735)	88,200.00
Present value of lease payments (₹ 12,50,000 – ₹ 88,200)	11,61,800.00
Present value of annuity for four years is 3.312	
Annual lease payment [11,61,800/3.312]	**3,50,785.02**

Classification of lease:

Parameter 1:

The present value of the lease payment i.e. ₹ 11,61,800 which equals **92.94%** of the fair market value i.e. ₹ 12,50,000.

The present value of minimum lease payments **substantially covers the fair value** of the leased asset.

Parameter 2:

The lease term (i.e. 4 years) **covers the major part of the life of asset** (i.e. 6 years).

Therefore, it **constitutes a finance lease**.

Computation of Unearned Finance Income:

Particulars	**₹**

Total lease payments (₹ 3,50,785.02 x 4)	14,03,140.08
Add: Unguaranteed residual value	1,20,000.00
Gross investment in the lease	15,23,140.08
Less: PV of lease payments and residual value i.e. Net Investment (₹ 88,200 + ₹ 11,61,800)	(12,50,000.00)
Unearned finance income	**2,73,140.08**

Accounting of Sale and Lease Back

Question 7

On 1st April, 20X1, Mansi Ltd. sold a plant for ₹ 8,52,800. The carrying amount of the plant on that date was ₹ 1,80,000. The sale was a part of the package under which Akash Ltd. leased the asset to Mansi Ltd. for eight years term.

The economic life of the asset is estimated as 8 years. The minimum lease rents payable by the lessee has fixed at ₹ 1,60,000 payable annually beginning from 31st March, 20X2.

The incremental borrowing interest rate of Mansi Ltd. is estimated at 10% p.a.

Calculate the net effect on the Statement of profit and loss in the books of Mansi Ltd.

Answer

Net effect on the Statement of Profit and Loss in the year of sale in the books of Lessee (Mansi Ltd.)

For calculation of net effect on the statement of profit and loss on sale of equipment, it has to be judged whether lease is an operating lease or finance lease.

The **lease term is for 8 years** which **covers the entire economic life of the equipment**. At the inception of the lease, the present value of the **minimum lease payments (MLP) is ₹ 8,53,600** [₹ 1,60,000 x 5.335 (Annuity factor of ₹ 1 @10% for 8 years)] and amounts to at least **substantially all of the fair value** (sale price i.e. ₹ 8,52,800) of the leased equipment. Thus, lease is a **finance lease**.

As per para 48 of AS 19 "Leases", if a sale and leaseback transaction results in a **finance lease, profit of ₹ 6,72,800** (Sale value ₹ 8,52,800 less carrying amount ₹ 1,80,000) will **not be recognized** as income in the **year of sale** in the books of lessee i.e. Mansi Ltd. It **should be deferred and amortised over the lease term** in proportion to the depreciation of the leased asset.

Therefore, assuming that **depreciation** is charged on straight line basis, Mansi Ltd. will recognize depreciation of **₹ 1,06,600 per annum** for 8 years (₹ 8,52,800/8) and **amortise profit** of ₹ 6,72,800 over the lease term of 8 years, i.e. **₹ 84,100 p.a.**

The **net effect is a debit** of (₹ 1,06,600 – 84,100) **₹ 22,500 p.a**. to the Statement of Profit and Loss, for 8 years as covered under the lease term.

Question 8

X Ltd. sold machinery having WDV of ₹ 300 lakhs to Y Ltd. for ₹ 400 lakhs and the same machinery was leased back by Y Ltd. to X Ltd. The lease back arrangement is operating lease.

Give your comments in the following situations:

(i) Sale price of ₹ 400 lakhs is equal to fair value.

(ii) Fair value is ₹ 450 lakhs.

(iii) Fair value is ₹ 350 lakhs and the sale price is ₹ 250 lakhs.

(iv) Fair value is ₹ 300 lakhs and sale price is ₹ 400 lakhs.

(v) Fair value is ₹ 250 lakhs and sale price is ₹ 290 lakhs.

Answer

Accounting Treatment:

S. No.	Particulars	Accounting Treatment
(i)	When sale price of ₹ 400 lakhs is equal to fair value	X Ltd. should **immediately** recognize the **profit of ₹ 100** lakhs (i.e. 400 – 300) in its books.
(ii)	When fair value is ₹ 450 lakhs	**Profit of ₹ 100** lakhs should be **immediately** recognized by X Ltd.
(iii)	When fair value of leased machinery is ₹ 350 lakhs & sales price is ₹ 250 lakhs	Then, **loss of ₹ 50 lakhs** (300 – 250) to be **immediately recognized** by X Ltd. in its books provided loss is not compensated by future lease payment.
(iv)	When fair value is ₹ 300 lakhs & sales price is ₹ 400 lakhs	Then, **profit of ₹ 100** lakhs is to be deferred and **amortized over the lease period**.
(v)	When fair value is ₹ 250 lakhs & sales price is ₹ 290 lakhs	Then, the **loss of ₹ 50 lakhs** (300 – 250) to be **immediately** recognized by X Ltd. in its books and **profit of ₹ 40 lakhs** (290 – 250) should be **amortized/deferred over lease period**.

Question 9

A Ltd. sold machinery having WDV of ₹ 40 lakhs to B Ltd. for ₹ 50 lakhs and the same machinery was leased back by B Ltd. to A Ltd. The lease back is operating lease. Comment if

(a) Sale price of ₹ 50 lakhs is equal to fair value.

(b) Fair value is ₹ 60 lakhs.

(c) Fair value is ₹ 45 lakhs and sale price is ₹ 38 lakhs.

(d) Fair value is ₹ 40 lakhs and sale price is ₹ 50 lakhs.

(e) Fair value is ₹ 46 lakhs and sale price is ₹ 50 lakhs

(f) Fair value is ₹ 35 lakhs and sale price is ₹ 39 lakhs.

Answer

Following will be the treatment in the given cases:

(a) When sales price of ₹ 50 lakhs is equal to fair value, A Ltd. should **immediately** recognise the **profit of ₹ 10 lakhs** (i.e. 50 – 40) in its books.

(b) When fair value is ₹ 60 lakhs then also **profit of ₹ 10 lakhs** should be **immediately** recognised by A Ltd.

(c) When fair value of leased machinery is ₹ 45 lakhs & sales price is ₹ 38 lakhs, then **loss of ₹ 2 lakhs** (40 – 38) to be **immediately** recognised by A Ltd. in its books provided loss is not compensated by future lease payment, otherwise defer and amortise the loss.

(d) When fair value is ₹ 40 lakhs & sales price is ₹ 50 lakhs then, **profit of ₹ 10 lakhs** is to be deferred and amortised **over the lease period**.

(e) When fair value is ₹ 46 lakhs & sales price is ₹ 50 lakhs, profit of **₹ 6 lakhs** (46 – 40) to be **immediately** recognised in its books and balance profit of **₹ 4 lakhs** (50 – 46) is to be amortised/deferred **over lease period.**

(f) When fair value is ₹ 35 lakhs & sales price is ₹ 39 lakhs, then the **loss of ₹ 5 lakhs** (40 – 35) to be **immediately** recognised by A Ltd. in its books and **profit of ₹ 4 lakhs** (39 – 35) should be amortised/deferred **over lease period.**

Determination of Operating Lease or Finance Lease

Question 10

Classify the following into either operating or finance lease:

(i) Lessee has option to purchase the asset at lower than fair value, at the end of lease term;

(ii) Economic life of the asset is 7 years, lease term is 6 years, but asset is not acquired at the end of the lease term;

(iii) Economic life of the asset is 6 years, lease term is 2 years, but the asset is of special nature and has been procured only for use of the lessee;

(iv) Present value (PV) of Minimum lease payment (MLP) "X" = Fair value of the asset is "Y".

(v) Lease payments should be recognized as an expense in the statement of Profit & Loss of a lessee

Answer

(i) If it becomes certain at the inception of lease itself that the option will be exercised by the lessee, it is a **Finance Lease**.

(ii) The lease will be classified as a **finance lease**, since a substantial portion of the life of the asset is covered by the lease term.

(iii) Since the asset is procured only for the use of lessee, it is a **finance lease**.

(iv) The lease is a **finance lease** if X = Y, or where X substantially equals Y.

(v) It is an **operating lease** under which lease payments are recognized as expense in the profit and loss account of lessee to have better matching between cost and revenue.

Question 11

Sun Limited wishes to obtain a machine costing ₹ 30 lakhs by way of lease. The effective life of the machine is 14 years, but the company requires it only for the first 3 years. It enters into an agreement with Star Ltd., for a lease rental for ₹ 3 lakhs p.a. payable in arrears and the implicit rate of interest is 15%. The chief accountant of Sun Limited is not sure about the treatment of these lease rentals and seeks your advice. (Use annuity factor at @ 15% for 3 years as 2.28)

Answer

As per **AS 19** 'leases', a lease will be classified as **finance lease** if at the inception of the lease, the **present value of minimum lease payment** amounts to at least **substantially all of the fair value** of leased asset. In the given case, the implicit rate of interest is given at 15%. The present value of minimum lease payments at 15% using PV- Annuity Factor can be computed as:

Annuity Factor (Year 1 to Year 3)	2.28
Present Value of minimum lease payments (₹ 3 lakhs each year)	₹ 6.84 lakhs

Thus, present value of **minimum lease payments is ₹ 6.84 lakhs** and the fair value of the **machine is ₹ 30 lakhs**. In a **finance lease**, the **lease term** should be for a **major part of the economic life** of the asset even if title is not transferred. However, in the given case, the effective **useful life of the machine is 14 years** while the **lease is only for three years**. **Therefore**, lease agreement is an **operating lease**. **Lease payments** under an operating lease should be **recognized as an expense** in the statement of profit and loss on a **straight-line basis over the lease term** unless another systematic basis is more representative of the time pattern of the user's benefit.

CHAPTER - 20
AS 20: Earnings Per Share

Calculation of Basic EPS

Question 1

Date	Particulars			Balance
1st January	Balance at beginning of year	1,800	–	1,800
31st May	Issue of shares for cash	600	–	2,400
1st November	Buy Back of shares	–	300	2,100

Calculate Weighted Number of Shares.

Answer

Computation of Weighted Average:

(1,800 x 12/12) + (600 x 7/12) – (300 x 2/12) = 2,100 shares

Question 2

Date	Particulars	No. of Shares	Face Value	Paid up Value
1st January	Balance at beginning of year	1,800	₹ 10	₹ 10
31st October	Issue of Shares	600	₹ 10	₹ 5

Calculate Weighted Number of Shares.

Answer

Assuming that partly paid shares are entitled to participate in the dividend to the extent of amount paid, number of partly paid equity shares would be taken as 300 for the purpose of calculation of earnings per share.

Computation of weighted average would be as follows: (1,800 x 12/12) + (600 x 2/12 x 5/10) **= 1,850 shares**

Question 3

On 1st April, 20X1 a company had 6,00,000 equity shares of ₹ 10 each (₹ 5 paid up by all shareholders). On 1st September, 20X1 the remaining ₹ 5 was called up and paid by all shareholders except one shareholder having 60,000 equity shares. The net profit for the year ended 31st March, 20X2 was ₹ 21,96,000 after considering dividend on preference shares of ₹ 3,40,000.

You are required to compute Basic EPS for the year ended 31st March, 20X2 as per Accounting Standard 20 "Earnings Per Share".

Answer

$$\text{Basic Earnings per share (EPS)} = \frac{\text{Net profit attributable to equity shareholders}}{\text{Weighted average number of equity shares outstanding during the year}}$$

$$= \frac{21,96,000}{4,57,500 \text{ Shares (as per working note)}} = ₹ 4.80 \text{ per share}$$

Working Note:

Calculation of weighted average number of equity shares

As per AS 20 'Earnings Per Share', partly paid equity shares are treated as a fraction of equity share to the extent that they were entitled to participate in dividend relative to a fully paid equity share during the reporting period. Assuming that the partly paid shares are entitled to participate in the dividend to the extent of amount paid, weighted average number of shares will be calculated as follows:

Date	No. of equity Shares	Amount paid per share	Weighted average no. of equity shares
1.4.20X1	6,00,000	5	6,00,000 x 5/10 x 5/12 = 1,25,000
1.9.20X1	5,40,000	10	5,40,000 x 7/12 = 3,15,000
1.9.20X1	60,000	5	60,000 x 5/10 x 7/12 = 17,500
Total weighted average equity shares			**4,57,500**

Calculation of Basic EPS in Case of Bonus Issue

Question 4

Net profit for the year 20X1 ₹ 18,00,000

Net profit for the year 20X2 ₹ 60,00,000

No. of equity shares outstanding until 30th September 20X2 20,00,000

Bonus issue 1st October 20X2 was 2 equity shares for each equity share outstanding at 30th September, 20X2

Calculate Basic Earnings Per Share.

Answer

No. of Bonus Issue 20,00,000 x 2 = 40,00,000 shares

Earnings per share for the year 20X2 = $\frac{₹\ 60,00,000}{(20,00,000 + 40,00,000)}$ = ₹ 1.00

Adjusted earnings per share for the year 20X1 = $\frac{₹\ 18,00,000}{(20,00,000 + 40,00,000)}$ = ₹ 0.30

Since the bonus issue is an issue without consideration, the issue is treated as if it had occurred prior to the beginning of the year 20X1, the earliest period reported.

Question 5

NAT, a listed entity, as on 1st April, 20X1 had the following capital structure:

Particulars	₹
10,00,000 Equity Shares having face value of ₹ 1 each	10,00,000
10,00,000 8% Preference Shares having face value of ₹ 10 each	1,00,00,000

During the year 20X1-20X2, the company had profit after tax of ₹ 90,00,000.

On 1st January, 20X2, NAT made a bonus issue of one equity share for every 2 equity shares outstanding as at 31st December, 20X1.

On 1st January, 20X2, NAT issued 2,00,000 equity shares of ₹ 1 each at their full market price of ₹ 7.60 per share.

NAT's shares were trading at ₹ 8.05 per share on 31st March, 20X2.

Further it has been provided that the basic earnings per share for the year ended 31st March, 20X1 was previously reported at ₹ 62.30.

You are required to:

(i) Calculate the basic earnings per share to be reported in the financial statements of NAT for the year ended 31st March, 20X2 including the comparative figure, in accordance with AS-20 Earnings Per Share.

(ii) Explain why the bonus issue of shares and the shares issue at full market price are treated differently in the calculation of the basic earnings per share?

Answer

(i) Computation of Basic Earnings per share for the year ended 31st March, 20X2: (including the comparative figure)

Earnings for the year ended 31st March, 20X1 = EPS x Number of shares outstanding during 20X0-20X1

= ₹ 62.30 x 10,00,000 equity shares

= ₹ 6,23,00,000

Adjusted/Restated Earnings per share for the year ended 31st March 20X1: (after taking into consideration bonus issue)

Adjusted/Restated Basic EPS = Earnings for year 20X0-20X1/(Total outstanding shares + Bonus issue)

= ₹ 6,23,00,000/(10,00,000 + 5,00,000)

= ₹ 6,23,00,000/15,00,000 = ₹ 41.53 per share

Computation of Basic EPS for the year 20X1-20X2:

Basic EPS = (Total Earnings – Preference Shares Dividend)/(Total shares outstanding at the beginning + Bonus issue + weighted average of the shares issued in January, 20X2)

= (₹ 90,00,000 – ₹ (1,00,00,000 x 8%))/(10,00,000 + 5,00,000 + (2,00,000 x 3/12))

= ₹ 82,00,000/15,50,000 shares = ₹ 5.29 per share

(ii) In case of a **bonus issue, equity shares are issued to existing shareholders for no additional consideration**. Therefore, the number of equity shares outstanding is increased without an increase in resources. Since the bonus issue is an issue without consideration, the issue is **treated as if it had occurred prior to the beginning of the year 20X1**, the earliest period reported.

However, the **share issued at full market price does not carry any bonus element** and usually results in a proportionate change in the resources available to the enterprise. Therefore, it is **taken into consideration from the time it has been issued** i.e. the time- weighting factor is considered based on the specific shares outstanding as a proportion of the total number of days in the period.

Calculation of Basic EPS in Case of Rights Issue

Question 6

Net profit for the year 20X1	₹ 11,00,000
Net profit for the year 20X2	₹ 15,00,000
No. of shares outstanding prior to rights issue	5,00,000 shares

Rights issue price ₹ 15.00

Last date to exercise rights 1st March 20X2

Rights issue is one new share for each five outstanding (i.e. 1,00,000 new shares)

Fair value of one equity share immediately prior to exercise of rights on 1st March 20X2 was ₹ 21.00. Compute Basic Earnings Per Share.

Answer

Theoretical ex-rights fair value per share:

$$= \frac{\text{Fair value of shares immediately prior to exercise of rights + Total amount received from exercise}}{\text{Number of shares outstanding prior to exercise + Number of shares issued in the exercise}}$$

$$= \frac{(₹\ 21.00 \times 5{,}00{,}000 \text{ shares}) + (₹\ 15.00 \times 1{,}00{,}000 \text{ Shares})}{5{,}00{,}000 \text{ Shares} + 1{,}00{,}000 \text{ Shares}}$$

Theoretical ex-rights fair value per share = ₹ 20.00

Computation of adjustment factor:

$$= \frac{\text{Fair value per share prior to exercise of rights}}{\text{Theoretical ex-rights value per share}}$$

$$= \frac{₹\ (21.00)}{₹\ (20.00)} = 1.05$$

Computation of earnings per share:

EPS for the year 20X1 as originally reported: ₹ 11,00,000/5,00,000 shares = ₹ 2.20

EPS for the year 20X1 restated for rights issue: ₹ 11,00,000/ (5,00,000 shares x 1.05) = ₹ 2.10

EPS for year 20X2 incl. effects of rights issue: (5,00,000 x 1.05 x 2/12) + (6,00,000 x 10/12) = 5,87,500 shares

EPS = 15,00,000/5,87,500 = ₹ 2.55

Question 7

X Ltd. supplied the following information. You are required to compute the basic earnings per share:

(Accounting year 1.1.20X1-31.12.20X1)

Net Profit	: Year 20X1: ₹ 20,00,000
	: Year 20X2: ₹ 30,00,000
No. of shares outstanding prior to Right Issue	: 10,00,000 shares
Right Issue	: One new share for each four outstanding i.e., 2,50,000 shares
	Right Issue price - ₹ 20
	Last date of exercise right - 31.3.20X2
Fair rate of one Equity shares immediately prior to exercise of rights on 31.3.20X2	: ₹ 25

Answer

Computation of Basic Earnings Per Share

	Year 20X1 (₹)	Year 20X2 (₹)
EPS for the year 20X1 as originally reported		
[Net profit attributable to equity shareholders/Weighted average number of equity shares outstanding during the year]		
= (₹ 20,00,000/10,00,000 shares)	2.00	
EPS for the year 20X1 restated for rights issue		
= [₹ 20,00,000/{10,00,000 shares x 1.04 (WN 2)}]	1.91(approx.)	
EPS for the year 20X2 including effects of rights issue		
= ₹ 30,00,000/[(10,00,000 share x 1.04 x 3/12) + (12,50,000 share x 9/12)]		
= ₹ 30,00,000/11,97,500 shares		2.51(approx.)

Working Notes:

1. Computation of theoretical ex-rights fair value per share

$$= \frac{\text{Fair value of all outstanding shares prior to exercise of rights + Total amount received from exercise}}{\text{Number of shares outstanding prior to exercise + Number of shares issued in the exercise}}$$

$$= \frac{(₹\ 25 \times 10,00,000 \text{ shares}) + (₹\ 20 \times 2,50,000 \text{ shares})}{10,00,000 \text{ shares} + 2,50,000 \text{ shares}} = \frac{₹\ 3,00,00,000}{12,50,000 \text{ shares}} = ₹\ 24$$

2. Computation of adjustment factor

$$= \frac{\text{Fair value per share prior to exercise of rights}}{\text{Theoretical ex-rights value per share}}$$

$$= \frac{₹\ 25}{₹\ 24 \text{ (Refer Working Note 1)}} = 1.04 \text{ (approx.)}$$

Calculation of Diluted EPS

Question 8

Net profit for the current year	₹ 1,00,00,000
No. of equity shares outstanding	50,00,000
Basic earnings per share	₹ 2.00
No. of 12% convertible debentures of ₹ 100 each	1,00,000
Each debenture is convertible into 10 equity shares	
Interest expense for the current year	₹ 12,00,000
Tax relating to interest expense (30%)	₹ 3,60,000

Compute Diluted Earnings Per Share.

Answer

Adjusted net profit for the current year (1,00,00,000 + 12,00,000 – 3,60,000) = ₹ 1,08,40,000

No. of equity shares resulting from conversion of debentures: 10,00,000 Shares

No. of equity shares used to compute diluted EPS: (50,00,000 + 10,00,000) = 60,00,000 Shares

Diluted earnings per share: (1,08,40,000/60,00,000) = ₹ 1.81

Question 9

No. of equity shares outstanding = 30,00,000

Basic earnings per share ₹ 5.00

No. of 12% convertible debentures of ₹ 100 each; 50,000

Each debenture is convertible into 10 equity shares

Tax Rate 30%

Compute Diluted Earnings per Share. Working notes should form part of the answer.

Answer

Earnings for the year = No. of Shares x Basic EPS = 30,00,000 shares x ₹ 5 per share = ₹ 1,50,00,000

Computation of Adjusted Net Profit = Earnings for the year + Interest on debentures net of tax

= 1,50,00,000 + (6,00,000 – 1,80,000) = ₹ 1,54,20,000

Computation of Adjusted Denominator = No. of equity shares resulting from conversion of debentures

= 50,000 x 10 shares = 5,00,000 shares

No. of equity shares for diluted EPS = 30,00,000 + 5,00,000 = 35,00,000 shares

Computation of Diluted EPS = ₹ 1,54,20,000/35,00,000 shares = ₹ 4.4 per share

Question 10

"At the time calculating diluted earnings per share, effect is given to all dilutive potential equity shares that are outstanding during the period". Comment and also calculate the basic and diluted earnings per share for the year 20X0-X1 from the following information:

(i)	Net profit after tax for the year	₹ 64,12,500
(ii)	No. of equity shares outstanding	15,00,000
(iii)	No. of 9% convertible debentures of ₹ 100 issued on 1st July, 20X0	75,000
(iv)	Each debenture is convertible into 8 Equity Shares	
(v)	Tax relating to interest expenses	35%

Answer

In calculating diluted earnings per share, effect is given to all dilutive potential equity shares that were outstanding during the period." As per AS 20 'Earnings per Share', net profit or loss for the period attributable to equity shareholders and the weighted average number of shares outstanding during the period should be adjusted for the effects of all dilutive potential equity shares for the purpose of calculation of diluted EPS.

No. of equity shares resulting from conversion of debentures	= (75,000 x 8)	= 6,00,000 Shares
Weighted average no. of equity shares used to compute diluted EPS	= (15,00,000 x 12/12 + 6,00,000 x 9/12)	= 19,50,000 Shares
Adjusted net profit for the current year will be	= (64,12,500 + 5,06,250 – 1,77,188)	= ₹ 67,41,562
Basic EPS for the year 20X0-X1	= 64,12,500/15,00,000	= ₹ 4.275 or ₹ 4.28
Diluted earnings per share	= (67,41,562/19,50,000)	= ₹ 3.46

(Adjusted net profit for current year/Weighted average number of equity shares)

Working Note:

Interest expense for 9 months = 75,00,000 x 9% x 9/12 = ₹ 5,06,250

Tax expense 35 % on interest is ₹ 1,77,188 (5,06,250 x 35%)

Question 11

On 1st April 20X1, ABC Limited has given the following information:

	₹
50,000 equity shares of ₹ 100 each (₹ 80 paid up by all shareholders)	40,00,000
2,00,000 8% Preference shares of ₹ 10 each	20,00,000
10,000, 12% Debentures of ₹ 100 each (Each debenture is convertible into 3 equity shares of ₹ 100 each)	10,00,000

On 1st July 20X1, the remaining ₹ 20 was called up and paid by all the shareholders except one shareholder holding 10,000 equity shares. During the year 20X1-X2 the company had a profit after tax of ₹ 3,44,000.

Tax rate is 30%.

You are required to compute Basic and Diluted EPS.

Answer

$$\text{Basic Earnings per share (EPS)} = \frac{\text{Net profit attributable to equity shareholders}}{\text{Weighted average number of equity shares outstanding during the year}}$$

$$= \frac{1,84,000}{46,000 \text{ Shares (as per working note)}} = ₹ 4 \text{ per share}$$

Diluted earnings per share

Net profit for the current year				₹ 3,44,000
No. of equity shares outstanding				50,000
Basic earnings per share	=	(₹ 3,44,000/50,000)		₹ 4
No. of 12% convertible debentures of ₹ 100 each				10,000
Interest expense for the current year				₹ 1,20,000
Tax relating to interest expense (30%)				₹ 36,000
Adjusted net profit for the current year	=	₹ (1,84,000 + 1,20,000 – 36,000)	=	₹ 2,68,000
No. of equity shares from conversion of debentures			=	30,000
No. of equity shares used to compute diluted EPS	=	46,000 + 30,000	=	76,000
Diluted earnings per share	=	2,68,000/76,000	=	₹ 3.53

Working Note:

1. **Net profit attributable to equity shareholders** = Net profit less preference dividends
   = Total earnings – preference shares dividend
   = ₹ 3,44,000 – ₹ (8% x 20,00,000)
   = ₹ 3,44,000 – ₹ 1,60,000 = ₹ 1,84,000

2. Calculation of weighted average number of equity shares

As per AS 20 'Earnings Per Share', partly paid equity shares are treated as a fraction of equity share to the extent that they were entitled to participate in dividend relative to a fully paid equity share during the reporting period. Assuming that the partly paid shares are entitled to participate in the dividend to the extent of amount paid, weighted average number of shares will be calculated as follows:

Date	No. of equity shares	Amount paid per share	Weighted avg. no. of equity shares
01.04.20X1	50,000	80	50,000 x 80/100 x 3/12 = 10,000
01.07.20X1	40,000	100	40,000 x 9/12= 30,000
01.07.20X1	10,000	80	10,000 x 80/100 x 9/12= 6,000
Total weighted average equity shares			**46,000**

Question 12

Net profit for the year 20X1	₹ 12,00,000
Weighted average number of equity shares outstanding during the year 20X1	5,00,000 shares
Average fair value of one equity shares during the year 20X1	₹ 20.00
Weighted average number of shares under option during the year 20X1	1,00,000 shares
Exercise price for shares under option during the year 20X1	₹ 15.00

You are required to compute Basic and Diluted EPS.

Answer

Computation of earnings per share

	Earnings (₹)	Shares	EPS (₹)
Net profit for the year 20X1	12,00,000		
Weighted average no. of shares during year 20X1		5,00,000	
Basic earnings per share = (12,00,000/5,00,000)			2.40
Number of shares under option		1,00,000	
No. of shares that have issued at fair value [(1,00,000 x 15.00)/20.00]		(75,000)	
Diluted earnings per share = (12,00,000/5,00,000)	12,00,000	5,25,000	2.29

Note: The earnings have not been increased as the total number of shares has been increased only by the number of shares (25,000) deemed for the purpose of computation to have been issued for no consideration.

Calculation of Diluted EPS in Case of Multiple Potential Equity Shares

Question 13

XYZ Limited has provided you the following information as on 31st March, 20X1:

Particulars	₹
Net profit (After Tax)	₹ 31,20,000
No. of shares outstanding as on 31-3-20X1 of ₹ 10 each	8,00,000
Average fair value of one equity share during the year 20X0-X1	₹ 25

Weighted average no. of shares under option during the year 20X0-X1	80,000
Exercise price for shares under option during the year 20X0-X1	₹ 20
12% Debentures of ₹ 100 each (Each debenture is convertible into 4 equity shares)	₹ 30,00,000
Tax rate	30%

The company issued one equity share as bonus for every 5 equity shares outstanding as on 1st October, 20X0. It further issued 2,00,000 equity shares of ₹ 10 each as on 1st January, 20X1. The Financial Year of the company ends on 31st March each year.

You are required to calculate Basic and Diluted earnings per share as on 31.3.20X1 (round off to 2 decimals).

Answer

(a) Computation of Basic Earnings per Share

	Earnings (₹)	No. of Shares	EPS (₹)
Earnings per share for the year 20X0-20X1	31,20,000	6,50,000 (W.N 2)	4.80

(b) Computation of Dilutive Earnings per Share

	Earnings (₹)	Shares	EPS (₹)
Net profit for the year	31,20,000		
Weighted average no. of shares during year on 31.3.20X1 (i)		6,50,000	
Number of shares under option		80,000	
No. of shares issued at fair value: (80,000 x 20.00)/25.00		(64,000)	
No. of incremental shares issued for no consideration (ii)		16,000	
Diluted earnings per share after options	31,20,000	6,66,000 (i + ii)	**4.68**
12% Convertible Debentures (W.N. 3)	2,52,000	1,20,000	–
Diluted earnings	33,72,000	7,86,000	**4.29**

Working notes:

1. Computation of shares issued on bonus

No. of shares outstanding as on 31st March 20X1	8,00,000
Less: Shares issued on 1st Jan 20X1	(2,00,000)
Outstanding shares as on 31st December 20X0	6,00,000
Bonus shares [6,00,000 x 1/(1+ 5)]	1,00,000
Outstanding shares before bonus issue as on 1st April 20X0 (6,00,000 x 5/6)	5,00,000

2. Weighted Average number of Equity shares

	Shares	Months	Weighted average
Opening balance as on 1.4.20X0	5,00,000 (W.N.1)	12/12	5,00,000
Bonus	1,00,000	12/12	1,00,000
Further issue of shares on 1.1.20X1	2,00,000	3/12	50,000
			6,50,000

3. 12% Convertible Debentures

Increase in net profit [₹ 30,00,000 x 0.12 x (1 – 0.30)]	₹ 2,52,000
No. of incremental shares (30,000 x 4)	1,20,000

Miscellaneous

Question 14

X Limited, during the year ended March 31,20X1, has income from continuing ordinary operations of ₹ 2,40,000, a loss from discontinuing operations of ₹ 3,60,000 and accordingly a net loss of ₹ 1,20,000. The Company has 1,000 equity shares and 200 potential equity shares outstanding as at March 31, 20X1.

You are required to compute Basic and Diluted EPS?

Answer

As per AS 20 "Potential equity shares should be treated as dilutive when, and only when, their conversion to equity shares would decrease net profit per share from continuing ordinary operations".

As income from continuing ordinary operations, ₹ 2,40,000 would be considered and not ₹ (1,20,000), for ascertaining whether 200 potential equity shares are dilutive or anti-dilutive. Accordingly, 200 potential equity shares would be dilutive potential equity shares since their inclusion would decrease the net profit per share from **continuing ordinary operations from ₹ 240 to ₹ 200**. Thus, the **basic EPS would be ₹ (120) and diluted EPS would be ₹ (100)**.

Question 15

XYZ Limited has a wholly owned subsidiary BC Limited. The Group prepares consolidated Financial Statements for the year ended 31st March, 20X1. XYZ Limited (in its separate financial statements) has incurred a loss of ₹ 2 crore during the year, while the consolidated profit for the group during the year is ₹ 40 lakh.

XYZ Limited has 5,00,000 shares outstanding as at 31st March, 20X1. Further, it has granted options to issue equity shares as at that date. In respect of such options, 1,00,000 shares are considered to be the shares issued for no consideration. There are no changes in income or expenses that are expected from the issue of equity shares on exercise of these options.

Calculate Basic and Diluted EPS for XYZ Limited for separate financial statements and for the Group.

Answer

Computation of earnings per share

Particulars	Consolidated financial statements	Standalone financial statements of XYZ Limited
Basic earnings/(loss) per share	[₹ 40,00,000/5,00,000] = ₹ 8	[₹ 2,00,00,000/5,00,000] = (₹ 40)
Diluted earnings/(loss) per share	[₹ 40,00,000/6,00,000] = ₹ 6.66	[₹ 2,00,00,000/5,00,000] = (₹ 40)

As per paragraph 39 of AS 20 "Potential equity shares should be treated as dilutive when, and only when, their conversion to equity shares would decrease net profit per share from continuing ordinary operations.

In the above case, if the exercise of options was considered for separate financial statements of XYZ Limited, the diluted loss per share would have reduced to ₹ 33.33 [₹ 2,00,00,000/6,00,000]. As this is antidilutive, the options would not be treated as potentially dilutive equity shares. Accordingly, in the separate financial statements of XYZ Limited, the Diluted EPS would be same as Basic EPS.

CHAPTER - 21
AS 21, 23, 27: Consolidated Financial Statements

Calculation of Goodwill/Capital Reserve, Minority Interest & Consolidated Reserves

Question 1

Long Limited acquired 60% stake in Short Limited for a consideration of ₹ 112 lakhs. On the date of acquisition Short Limited's Equity Share Capital was ₹ 100 lakhs, Revenue Reserve was ₹ 40 lakhs and balance in Profit & Loss Account was ₹ 30 lakhs. From the above information you are required to calculate Goodwill/Capital Reserve in the following situations:

(i) On consolidation of Balance Sheet.

(ii) If Long Limited showed the investment in subsidiary at a carrying amount of ₹ 104 lakhs.

(iii) If the consideration paid for acquiring the 60% stake was ₹ 92 lakhs.

Answer

	₹
60% of the Equity Share Capital ₹ 100 Lakhs	60
60% of Accumulated Reserve ₹ 70 Lakhs (40 + 30) Lakhs	42
Book value of shares of Short Ltd.	**102**

(i) Goodwill/Capital Reserve computation on consolidation of balance sheet

Long Ltd. paid a positive differential of ₹ 10 Lakhs (112 – 102). This differential ₹ 10 Lakhs is called goodwill and is shown in the balance sheet under the head intangibles.

(ii) If Long Ltd. showed the investment in Short Ltd. at carrying amount of ₹ 104 Lakhs, then the goodwill will be ₹ 2 Lakhs.

(iii) If the consideration paid is ₹ 92 lakhs, then there would have been capital reserve amounting ₹ 10 Lakhs (102 – 92).

Question 2

A Ltd. acquired 70% of equity shares of B Ltd. on 1.4.20X1 at cost of ₹ 10,00,000 when B Ltd. had an equity share capital of ₹ 10,00,000 and reserves and surplus of ₹ 80,000. In the four consecutive years, B Ltd. fared badly and suffered losses of ₹ 2,50,000, ₹ 4,00,000, ₹ 5,00,000 and ₹ 1,20,000 respectively. Thereafter in 20X5-X6, B Ltd. experienced turnaround and registered an annual profit of ₹ 50,000. In the next two years i.e. 20X6-X7 and 20X7-X8, B Ltd. recorded annual profits of ₹ 1,00,000 and ₹ 1,50,000 respectively. Show the minority interests and cost of control at the end of each year for the purpose of consolidation.

Answer

The losses applicable to the minority in a consolidated subsidiary may exceed the minority interest in the equity of the subsidiary. In such cases, AS 21 prescribes that the excess, and any further losses applicable to the minority, are adjusted against the majority interest except to the extent that the minority has a binding obligation to, and is able to, make good the losses. If the subsidiary subsequently reports profits, all such profits are allocated to the majority interest until the minority's share of losses previously absorbed by the majority has been recovered.

Where minority interest has a binding obligation (say by way of a shareholders' agreement), then the share of losses will be attributed to minority interest even if it exceeds the minority interest in the equity (i.e., debit balance in minority interest). Since information on existence of a binding obligation is not given in question, we solve as if such obligation does not exist, and hence the minority interests will be computed as follows:

Year	Profit/(Loss)	Minority Interest (30%)	Additional Consolidated P&L (Dr.)/Cr. (for year ended balance)	Minority's Share of losses borne by A Ltd.		Cost of Control
				₹	Balance	
At time of acquisition in 20X1		3,24,000 (W.N.)				
20X1-X2	(2,50,000)	(75,000)	(1,75,000)			2,44,000 (W.N.)
Balance		2,49,000				
20X2-X3	(4,00,000)	(1,20,000)	(2,80,000)			2,44,000
Balance		1,29,000				
20X3-X4	(5,00,000)	(1,50,000)	(3,50,000)			2,44,000
		(21,000)				
	Loss of minority borne by Holding Co.	21,000	(21,000)	21,000	21,000	
Balance		Nil	(3,71,000)			
20X4-X5	(1,20,000)	(36,000)	(84,000)			2,44,000
	Loss of minority borne by Holding Co.	36,000	(36,000)	36,000	57,000	
Balance		Nil	(1,20,000)			
20X5-X6	50,000	15,000	35,000			2,44,000
	Profit share of minority adjusted against losses of minority absorbed by Holding Co.	(15,000)	15,000	(15,000)	42,000	
Balance		Nil	50,000			
20X6-X7	1,00,000	30,000	70,000			
	Profit share of minority adjusted against losses of minority absorbed by Holding Co.	(30,000)	30,000	(30,000)	12,000	2,44,000
Balance		Nil	100,000			
20X7-X8	1,50,000	45,000	1,05,000	(12,000)	Nil	2,44,000
	Profit of minority adjusted against losses of minority absorbed by Holding Co.	(12,000)	12,000			
Balance		33,000	1,17,000			

Working Note: Calculation of Minority interest and Cost of control on 1.4.20X1

		Share of Holding Co.	Minority Interest
	100%	70%	30%
Share Capital	10,00,000	7,00,000	3,00,000
Reserve	80,000	56,000	24,000
		7,56,000	3,24,000
Less: Cost of investment		(10,00,000)	
Goodwill		**2,44,000**	

Question 3

From the following data, determine in each case:

(1) Minority interest at the date of acquisition and at the date of consolidation.

(2) Goodwill or Capital Reserve.

(3) Amount of holding company's profit in the consolidated Balance Sheet assuming holding company's own Profit & Loss Account to be ₹ 2,00,000 in each case.

Case	Subsidiary Company	% shares owned	Cost	Date of acquisition		Consolidation Date	
				1.1.20X1		31.12.20X1	
				Share Capital	Profit & Loss Account	Share Capital	Profit & Loss Account
Case 1	A	90%	1,40,000	1,00,000	50,000	1,00,000	70,000
Case 2	B	85%	1,04,000	1,00,000	30,000	1,00,000	20,000
Case 3	C	80%	56,000	50,000	20,000	50,000	20,000
Case 4	D	100%	1,00,000	50,000	40,000	50,000	55,000

Answer

(1) Minority Interest = Equity attributable to minorities

Equity is the residual interest in the assets of an enterprise after deducting all its liabilities i.e. in this case it should be equal to Share Capital + Profit & Loss A/c

	Minority % Shares Owned	Minority interest as at the date of acquisition (₹)	Minority interest as at the date of consolidation (₹)
	[E]	[E] x [A + B]	[E] x [C + D]
Case 1 [100 – 90]	10%	15,000	17,000
Case 2 [100 – 85]	15%	19,500	18,000
Case 3 [100 – 80]	20%	14,000	14,000
Case 4 [100 – 100]	NIL	Nil	Nil

A = Share capital on 1.1.20X1

B = Profit & loss account balance on 1.1.20X1

C = Share capital on 31.12.20X1

D = Profit & loss account balance on 31.12.20X1

(2) Calculation of Goodwill or Capital Reserve

	Shareholding %	Cost	Total Equity	Parent's Portion of equity	Goodwill	Capital Reserve
	[F]	[G]	[A] + [B] = [C]	[F] x [C] = H	[G] – [H]	[H] – [G]
Case 1	90%	1,40,000	1,50,000	1,35,000	5,000	–
Case 2	85%	1,04,000	1,30,000	1,10,500	–	6,500
Case 3	80%	56,000	70,000	56,000	Nil	Nil
Case 4	100%	1,00,000	90,000	90,000	10,000	–

(3) The balance in the Profit & Loss Account:

On the date of acquisition (1.1.20X1) is Capital profit, as such the balance of Consolidated Profit & Loss Account shall be equal to Holding Co.'s profit.

On 31.12.20X1 in each case the following amount shall be added or deducted from the balance of holding Co.'s Profit & Loss account.

	% Share holding	P&L as on 1.1.20X1	P&L as on consolidate on date	P&L post-acquisition	Amount to be Adjusted from holding's P&L
	[K]	[L]	[M]	[N] = [M] – [L]	[O] = [K] x [N]
Case 1	90%	50,000	70,000	20,000	18,000
Case 2	85%	30,000	20,000	(10,000)	(8,500)
Case 3	80%	20,000	20,000	NIL	NIL
Case 4	100%	40,000	55,000	15,000	15,000

Preparation of Consolidated Balance Sheet

Question 4

Prepare consolidated balance sheet of H Ltd. and its subsidiary as at 31st March, 20X1 from the following information:

	H Ltd. (₹)	S Ltd. (₹)
PPE	5,00,000	3,00,000
Investments (20,000 equity shares of S Ltd.)	2,20,000	–
Current Assets	1,55,000	1,00,000
Share capital (Fully paid equity shares of ₹ 10 each)	5,00,000	2,50,000
Profit and loss account	2,00,000	1,00,000
Trade Payables	1,75,000	50,000

H Ltd. acquired the shares of S Ltd. on 31st March, 20X1.

Answer

Percentage of holding:

	No. of Shares	Percentage
Holding Co.	20,000	(80%)

Minority shareholders	5,000	(20%)
TOTAL SHARES	25,000	

Consolidated Balance Sheet of H Ltd. and its subsidiary S Ltd. as at 31st March, 20X1

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	5,00,000
	(b)	Reserves and Surplus	2	2,60,000
2		**Minority Interest**	3	70,000
3		**Current liabilities**	4	
	(a)	Trade Payables		2,25,000
		Total		**10,55,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i Property, plant and Equipment	5	8,00,000
2		**Current assets**	6	2,55,000
		Total		**10,55,000**

Notes to Accounts

S. No.	Particulars	₹	₹
1	**Share capital**		
	50,000 Equity Shares @ ₹ 10 each		**5,00,000**
2	**Reserve and Surplus**		
	Capital Reserve (W.N.)		60,000
	Profit and loss account		2,00,000
			2,60,000
3	**Minority Interest**		
	Paid up value of shares	50,000	
	Add: Share in Profit and loss account	20,000	**70,000**
4	**Trade payables**		
	H Ltd.		1,75,000
	S Ltd.		50,000
			2,25,000
5	**PPE**		
	H Ltd.		5,00,000
	S Ltd.		3,00,000
			8,00,000
6	**Current Assets**		
	H Ltd.		1,55,000

	S Ltd.		1,00,000
			2,55,000

Working Note:

Determination of Goodwill/(Capital Reserve)		**(₹)**
Cost of investment		2,20,000
Less: Paid up value of shares (80% of 2,50,000)	2,00,000	
Share in pre-acquisition profits (80% of 1,00,000)	80,000	(2,80,000)
Capital Reserve		**(60,000)**

Question 5

H Ltd. and S Ltd. provide the following information as at 31st March, 20X2:

	H Ltd. (₹)	**S Ltd. (₹)**
PPE	1,00,000	1,30,000
Investments (8,000 equity shares of S Ltd.)	1,26,000	
Current Assets	74,000	70,000
Share capital (Fully paid equity shares of ₹ 10 each)	1,50,000	1,00,000
Profit and loss account	50,000	40,000
Trade Payables	1,00,000	60,000

Additional information:

H Ltd. acquired the shares of S Ltd. on 1.7.20X1 and Balance of profit and loss account of S Ltd. on 1.4.20X1 was 30,000.

Prepare consolidated balance sheet of H Ltd. and its subsidiary as at 31st March, 20X2.

Answer

Percentage of holding:

	No. of Shares	**Percentage**
Holding Co.	8,000	(80%)
Minority shareholders	2,000	(20%)
TOTAL SHARES	10,000	

Consolidated Balance Sheet of H Ltd. and its subsidiary S Ltd. as at 31st March, 20X2

Particulars			**Notes**	**₹**
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	1,50,000
	(b)	Reserves and Surplus	2	56,000
2		**Minority Interest**	3	28,000
3		**Current liabilities**		
	(a)	Trade Payables	4	1,60,000

		Total		**3,94,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i Property, plant and Equipment	5	2,30,000
		Ii Intangible Asset	6	20,000
2		**Current assets**	7	1,44,000
		Total		**3,94,000**

Notes to Accounts

S. No.	Particulars	₹	₹
1	**Share capital**		
	15,000 Equity Shares @ ₹ 10 each		**1,50,000**
2	**Reserve and Surplus**		
	Profit and loss account (₹ 50,000 + 80% of 9/12 x 10,000)		**56,000**
3	**Minority Interest**		
	Share capital (20% of ₹ 1,00,000)	20,000	
	Add: Share in Profit and loss account (₹ 40,000 x 20%)	8,000	**28,000**
4	**Trade payables**		
	H Ltd.		1,00,000
	S Ltd.		60,000
			1,60,000
5	**PPE**		
	H Ltd.		1,00,000
	S Ltd.		1,30,000
			2,30,000
6	**Intangible Asset**		
	Cost of Investment		1,26,000
	Less: Paid up value of shares (80% of ₹ 1,00,000)	(80,000)	
	Share in pre profits [80% of {30,000 + 3/12 (40,000 – 30,000)}]	(26,000)	(1,06,000)
	Goodwill		**20,000**
7	**Current Assets**		
	H Ltd.		74,000
	S Ltd.		70,000
			1,44,000

Question 6

From the Balance Sheets and information given below, prepare Consolidated Balance Sheet of Virat Ltd. and Anushka Ltd. as at 31st March, 20X1. Virat Ltd. holds 80% of Equity Shares in Anushka Ltd. since its (Anushka Ltd.'s) incorporation.

Balance Sheet of Virat Ltd. and Anushka Ltd. as at 31st March, 20X1

Particulars			Notes	Virat Ltd. (₹)	Anushka Ltd. (₹)
		Equity and Liabilities			
1		**Shareholders' funds**			
	(a)	Share capital	1	6,00,000	4,00,000
	(b)	Reserves and Surplus	2	1,00,000	1,00,000
2		**Non-current liabilities**			
	(a)	Long term borrowings		2,00,000	1,00,000
3		**Current liabilities**			
	(a)	Trade Payables		1,00,000	1,00,000
		Total		**10,00,000**	**7,00,000**
		Assets			
1		**Non-current assets**			
	(a)	PPE and Equipment and intangible asset			
		i Property, plant and Equipment		4,00,000	3,00,000
	(b)	Non current investment	3	3,20,000	–
2		**Current assets**			
	(a)	Inventories		1,60,000	2,00,000
	(b)	Trade receivables		80,000	1,40,000
	(c)	Cash and Cash equivalents		40,000	60,000
		Total		**10,00,000**	**7,00,000**

Notes to Accounts

	Particulars	Virat Ltd. (₹)	Anushka Ltd. (₹)
1.	**Share capital**		
	60,000 equity shares of ₹ 10 each fully paid up	6,00,000	–
	40,000 equity shares of ₹ 10 each fully paid up	–	4,00,000
	Total	**6,00,000**	**4,00,000**
2.	**Reserves and Surplus**		
	General Reserve	1,00,000	1,00,000
	Total	**1,00,000**	**1,00,000**
3.	**Non-current investments**		
	Shares in Anushka Ltd	3,20,000	–

Answer

Consolidated balance Sheet of Virat Ltd. and its Subsidiary Anushka Ltd.as at 31st March, 20X1

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	6,00,000
	(b)	Reserves and Surplus	2	1,80,000

2		**Minority Interest**	3	1,00,000
3		**Non-current liabilities**		
	(a)	Long term borrowings	4	3,00,000
4		**Current liabilities**		
	(a)	Trade Payables	5	2,00,000
		Total		**13,80,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i Property, plant and Equipment	6	7,00,000
2		**Current assets**		
	(a)	Inventories	7	3,60,000
	(b)	Trade receivables	8	2,20,000
	(c)	Cash and Cash equivalents	9	1,00,000
		Total		**13,80,000**

Notes to Accounts

S. No.	Particulars	₹	₹
1	**Share capital**		
	60,000 equity shares of ₹10 each fully paid up		**6,00,000**
2	**Reserves and Surplus**		
	General Reserve	1,00,000	
	Add: General reserve of Anushka Ltd (80%)	80,000	**1,80,000**
3	**Minority interest**		
	20% share in Anushka Ltd (WN 3)		**1,00,000**
4	**Long term borrowings**		
	Long term borrowings of Virat	2,00,000	
	Add: Long term borrowings of Anushka Total	1,00,000	**3,00,000**
5.	**Trade payables**		
	Trade payables of Virat	1,00,000	
	Add: Trade payables of Anushka	1,00,000	**2,00,000**
6.	**Property, Plant and Equipment (PPE)**		
	PPE of Virat Ltd	4,00,000	
	Add: PPE of Anushka Ltd	3,00,000	**7,00,000**
7.	**Inventories**		
	Inventories of Virat Ltd	1,60,000	
	Add: Inventories of Anushka Ltd	2,00,000	**3,60,000**
8.	**Trade receivables**		
	Trade receivables of Virat Ltd	80,000	
	Add: Trade receivables of Anushka Ltd	1,40,000	**2,20,000**
9	**Cash and cash equivalents**		

	Cash and cash equivalents of Virat Ltd	40,000	
	Add: Cash and cash equivalents of Anushka Ltd	60,000	**1,00,000**

Working Notes:

1. Basic Information

Company Status	Dates	Holding Status
Holding Co. = Virat Ltd. Subsidiary = Anushka Ltd.	Acquisition: Anushka's Incorporation Consolidation: 31st March, 20X1	Holding Company = 80% Minority Interest = 20%

2. Analysis of General Reserves of Anushka Ltd

Since Virat holds shares in Anushka since its incorporation, the entire Reserve balance of ₹1,00,000 will be Revenue nature.

3. Consolidation of Balances

Holding: 80%, Minority: 20%	Total	Minority Int.	Holding Company	
Equity Capital	4,00,000	80,000	3,20,000	–
General Reserves	1,00,000	20,000	Nil (pre-acq)	80,000 (post-acq)
Total		1,00,000	3,20,000	80,000
Cost of Investment			(3,20,000)	–
Goodwill/capital reserve			NIL	
Parent's Balance				1,00,000
Amount for Consolidated Balance Sheet				1,80,000

Consolidated Balance Sheet [With Mutual Debt, Stock Reserve & Cash in Transit]

Question 7

The summarized Balance Sheets of Super Limited and Clear Limited as on 31st March, 20X1 is as below:

Particulars			Note	Super Ltd. (₹)	Clear Ltd (₹)
		Equity and Liabilities			
1		**Shareholders' funds**			
	(a)	Share capital	1	95,00,000	50,00,000
	(b)	Reserve and surplus	2	25,75,000	12,25,000
2		**Non–current liabilities**			
	(a)	Long-term borrowings	3	5,00,000	2,00,000
3		**Current liabilities**			
	(a)	Short-term borrowings		4,50,000	–
	(b)	Trade Payables		3,65,000	2,45,000
		Total		**1,33,90,000**	**66,70,000**
		Assets			
1		**Non–current assets**			
	(a)	PPE and intangible asset			
		i Property, plant and Equipment	4	77,00,000	54,00,000

	(b)	Non-current investment	5	41,50,000	–
		Current Assets			
	(a)	Inventories		6,75,000	5,65,000
	(b)	Trade receivables		5,85,000	4,90,000
	(c)	Cash and Cash equivalents		2,80,000	2,15,000
		Total		**1,33,90,000**	**66,70,000**

Notes to accounts

S. No.	Particulars	Super Ltd. (₹)	Clear Ltd (₹)
1.	**Share Capital**		
	8,00,000 Equity Shares of ₹ 10 each fully paid up	80,00,000	–
	5,00,000 Equity Shares of ₹ 10 each fully paid up	–	50,00,000
	15,000 Preference Shares of ₹ 100 each fully paid up	15,00,000	–
		95,00,000	**50,00,000**
2.	**Reserves and Surplus**		
	General Reserve	15,50,000	6,50,000
	Profit and Loss Account	10,25,000	5,75,000
		25,75,000	**12,25,000**
3.	**Long-term borrowings**		
	10% Debentures	5,00,000	–
	9% Debentures	–	2,00,000
4.	**Property, plant & equipment**		
	Land & Building	65,00,000	45,50,000
	Plant & Machinery	9,50,000	6,75,000
	Furniture & Fittings	2,50,000	1,75,000
		77,00,000	**54,00,000**
5.	**Non-Current Investment**		
	Investment in Clear Limited	41,50,000	–

Additional Information:

(1) Super Limited holds 75% of Equity Shares in Clear Limited since the incorporation of Clear Limited.

(2) 25% of Trade Receivables of Super Limited is due from Clear Limited.

(3) During the year Super Limited sold inventory costing ₹ 2,00,000 to Clear Limited at a price of 15% above cost. The entire inventory remains unsold with Clear Limited at the end of financial year.

You are required to prepare Consolidated Balance Sheet of Super Limited and Clear Limited as on 31st March, 20X1.

Answer

Consolidated Balance Sheet of Super Ltd. and its subsidiary Clear Ltd. as at 31st March, 20X1

Particulars			Note No.	₹
		Equity and Liabilities		
1		**Shareholders' funds**		

	(a)	Share capital	1	95,00,000
	(b)	Reserve and surplus	2	34,63,750
2		**Minority Interest** [W.N. 4]		15,56,250
3		**Non–current liabilities**		
	(a)	Long term borrowings	3	7,00,000
4		**Current liabilities**		
	(a)	Short term borrowings		4,50,000
	(b)	Trade Payables	4	4,63,750
		Total		**1,61,33,750**
		Assets		
1		**Non–current assets**		
	(a)	PPE and intangible asset		
		i Property, Plant and Equipment	5	1,31,00,000
		ii Intangible Asset (Goodwill)		4,00,000
2		**Current Assets**		
	(a)	Inventory	6	12,10,000
	(b)	Trade receivables	7	9,28,750
	(c)	Cash and Cash equivalents		4,95,000
		Total		**1,61,33,750**

Notes to ₹accounts

S. No.	Particulars	₹	₹
1.	**Share Capital**		
	Equity Share Capital		
	8,00,000 Equity Shares of ₹ 10 each fully paid up		80,00,000
	Preference Share Capital		
	15,000 Preference Shares of ₹ 100 each fully paid up		15,00,000
			95,00,000
2.	**Reserves and Surplus**		
	General Reserve (WN 5)		20,37,500
	Profit & Loss A/c (WN 5)		14,26,250
			34,63,750
3.	**Long–term borrowings**		
	10% Debentures		5,00,000
	9% Debentures		2,00,000
			7,00,000
4.	**Trade Payables**		
	Super Ltd.	3,65,000	
	Clear Ltd.	2,45,000	
	Less: Mutual Owing	(1,46,250)	**4,63,750**
5.	**Property, plant & equipment**		

	Land & Building		
	Super Ltd.	65,00,000	
	Clear Ltd.	45,50,000	1,10,50,000
	Plant & Machinery		
	Super Ltd.	9,50,000	
	Clear Ltd.	6,75,000	16,25,000
	Furniture & Fittings		
	Super Ltd.	2,50,000	
	Clear Ltd.	1,75,000	4,25,000
			1,31,00,000
6.	**Inventory**		
	Super Ltd.	6,75,000	
	Clear Ltd.	5,65,000	
	Less: Unrealized profit	(30,000)	**12,10,000**
7.	**Trade Receivables**		
	Super Ltd.	5,85,000	
	Clear Ltd.	4,90,000	
	Less: Mutual Owing	(1,46,250)	**9,28,750**

Working Notes:

1. Shareholding Pattern

Super Ltd	5,00,000 Shares
Holding 75%	3,75,000 shares
Minority Interest 25%	1,25,000 shares

2. Analysis of Profit of Clear Ltd.

	Capital Profit	Revenue Reserve	Revenue Profit
Opening Balance of General Reserve	–	6,50,000	–
Opening Balance of P&L	–	–	5,75,000
Total (₹)		**6,50,000**	**5,75,000**
Share of Minority (25%)		1,62,500	1,43,750
Share of Holding (75%)		4,87,500	4,31,250

3. Computation of Cost of Control (Goodwill/Capital Reserve)

	Computation	₹
Cost of Investment	Given	41,50,000
Less: Share of Equity Capital in Clear Ltd.	(50,00,000 x 75%)	(37,50,000)
Less: Pre-acquisition Profit	WN 2	–
Goodwill		**4,00,000**

4. Calculation of Minority Interest

Particulars	Computation	₹

Share in Equity Share Capital	50,00,000 x 25%	12,50,000
Share in Revenue Reserve	6,50,000 x 25%	1,62,500
Share in profit & loss	5,75,000 x 25%	1,43,750
Total		**15,56,250**

5. General Reserve and Consolidated Profit & Loss A/c

Particulars	**General Reserve**	**Profit & Loss A/c**
Balance from Balance Sheet	15,50,000	10,25,000
Revenue Profit (WN 2)	–	4,31,250
Revenue Reserve (WN 2)	4,87,500	–
Unrealized Profit	–	(30,000)
Total	**20,37,500**	**14,26,250**

Question 8

White Ltd. acquired 2,250 shares of Black Ltd. on 1st October, 20X1. The summarized balance sheets of both the companies as on 31st March, 20X2 are given below:

		White Ltd. (₹)	**Black Ltd. (₹)**
(I)	**Equity and Liabilities**		
(1)	**Shareholder's fund**		
	Share capital (Equity shares of ₹ 100 each fully paid up)	6,50,000	3,00,000
	Reserves and Surplus		
	General Reserve	60,000	30,000
	Profit and loss account	1,50,000	90,000
(2)	**Current Liabilities**		
	Trade payables	1,15,000	75,000
	Due to White Ltd.	–	30,000
	Total	**9,75,000**	**5,25,000**
(II)	**Assets:**		
(1)	**Non-current assets**		
	Property, Plant and Equipment	5,80,000	3,51,000
	Investments: Shares in Black Ltd. (2,250 shares)	2,70,000	–
(2)	**Current assets**		
	Inventories	50,000	1,20,000
	Due from Black Ltd.	36,000	–
	Cash and Cash equivalents	39,000	54,000
	Total	**9,75,000**	**5,25,000**

Other information:

(i) During the year, Black Limited fabricated a machine, which is sold to White Ltd. for ₹ 39,000, the transaction being completed on 30th March, 20X2.

(ii) Cash in transit from Black Ltd. to White Ltd. was ₹ 6,000 on 31st March, 20X2.

(iii) Profits during the year 20X1-20X2 were earned evenly.

(iv) The balances of General Reserve and Profit and Loss account as on 1st April, 20X1 were as follows:

	General Reserve	Profit & Loss A/c
White Ltd.	30,000	15,000 Profit
Black Ltd.	30,000	10,000 Loss

You are required to prepare consolidated Balance Sheet of the group as on 31st March, 20X2 as per the requirement of Schedule III of the Companies Act, 2013.

Answer

Consolidated Balance Sheet of White Ltd. and its Subsidiary Black Ltd. as at 31st March, 20X2

Particulars			Note No.	(₹)
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	6,50,000
	(b)	Reserves and Surplus	2	2,55,000
2		**Minority Interest**	3	1,05,000
3		**Current liabilities**		
	(a)	Trade Payables	4	1,90,000
		Total		**12,00,000**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment	5	9,31,000
2		**Current Assets**		
	(a)	Inventories	6	1,70,000
	(b)	Cash and Cash equivalents	7	99,000
		Total		**12,00,000**

Notes to Accounts

S. No.	Particulars	₹	₹
1	**Share capital**		
	6,500 equity shares of ₹ 100 each, fully paid up		**6,50,000**
2	**Reserves and Surplus**		
	General Reserves		60,000
	Profit and Loss Account	1,50,000	
	Add: 75% share of Black Ltd.'s post-acquisition profits (W.N.1)	37,500	1,87,500
	Capital reserve (W.N. 5)		7,500
			2,55,000
3.	**Minority interest in Black Ltd. (WN 4)**		**1,05,000**
4.	**Trade payables**		
	White Ltd.	1,15,000	

	Black Ltd.	75,000	**1,90,000**
5.	**Property, plant and equipment**		
	White Ltd.	5,80,000	
	Black Ltd.	3,51,000	**9,31,000**
6	**Inventory**		
	White Ltd.	50,000	
	Black Ltd.	1,20,000	**1,70,000**
7	**Cash & cash equivalent**		
	White Ltd.	39,000	
	Black Ltd.	54,000	
	Cash in transit	6,000	**99,000**

Working Notes:

1.	**Post-acquisition profits of Black Ltd.**		**₹**
	Profits earned during the year [₹ 90,000 + ₹ 10,000]		1,00,000
	Pre-acquisition profits (1.4.X1 to 30.9.X1)		50,000
	Post-acquisition profits (1.10.X1 to 31.3.X2)		50,000
	White Ltd.'s share 75% of 50,000		**37,500**
	Minority Interest 25% of 50,000		**12,500**
2.	**Pre-acquisition profits and reserves of Black Ltd.**		
	Reserves as on 1.4.20X1		30,000
	Profit and Loss Account [10,000 (loss as on 1.4.X1) + 50,000 (6 month Adjusted pre-acquisition profits)]		40,000
			70,000
	White Ltd.'s = (75%) x 70,000		**52,500**
	Minority Interest = (25%) x 70,000		**17,500**
3.	**Post-acquisition reserves of Black Ltd.**		
	Post-acq. reserves (Total reserves less pre-acquisition reserves = ₹ 30,000 – 30,000)		**Nil**
4.	**Minority Interest**		
	Paid-up value of (3,000 – 2,250) = 750 shares held by outsiders i.e. 750 x ₹ 100		75,000
	Add: 25% share of pre-acquisition reserves & Profit		17,500
	25% share of post-acquisition profit		12,500
			1,05,000
5.	**Capital Reserve**		
	Price paid by White Ltd. for 2,250 shares	**(A)**	2,70,000
	Intrinsic value of the shares:		
	Paid-up value of 2,250 shares held by White Ltd. i.e. 2,250 x ₹ 100	2,25,000	
	Add: 75% share of pre-acquisition reserves & profit (70,000 x 75%)	52,500	
		(B)	2,77,500
	Capital reserve	**(A – B)**	**7,500**

Consolidated Balance Sheet [With Revaluation of Assets of Subsidiary]

Question 9

King Ltd. acquires 70% of equity shares of Queen Ltd. as on 31st March, 20X1 at a cost of ₹ 140 lakhs. The following information is available from the balance sheet of Queen Ltd. as on 31st March, 20X1:

	₹ in lakhs
Property, plant and equipment	240
Investments	110
Current Assets	140
Loans & Advances	30
15% Debentures	180
Current Liabilities	100

The following revaluations have been agreed upon (not included in the above figures):

Property, plant and equipment: up by 20% and Investments: down by 10%.

King Ltd. purchased the shares of Queen Ltd. @ ₹ 20 per share (Face value: ₹10).

Calculate the amount of goodwill/capital reserve on acquisition of shares of Queen Ltd.

Answer

Revalued net assets of Queen Ltd. as on 31st March, 20X1

	₹ in lakhs	₹ in lakhs
PPE [240 x 120%]		288
Investments [110 x 90%]		99
Current Assets		140
Loans and Advances		30
Total Assets after revaluation		557
Less: 15% Debentures	180.0	
Current Liabilities	100.0	(280)
Equity/Net Worth		277
King Ltd.'s share of net assets (70% of 277)		193.9
King Ltd.'s cost of acquisition of shares of Queen Ltd.		(140)
Capital reserve		**53.9**

Question 10

Variety Ltd. holds 46% of the paid-up share capital of VR Ltd. The shares were acquired at a market price of ₹ 17 per share. The balance of shares of VR Ltd. are held by a foreign collaborating company. A memorandum of understanding has been entered into with the foreign company providing for the following:

(a) The shares held by the foreign company will be sold to Variety Ltd. The price per share will be calculated by capitalising the yield at 15%. Yield, for this purpose, would mean 40% of the average of pre-tax profits for the last 3 years, which were ₹ 30 lakhs, ₹ 40 lakhs and ₹ 65 lakhs.

(b) The actual cost of the shares to the foreign company was ₹ 5,40,000 only. The profit that would accrue

to them would be taxable at an average rate of 30%. The tax payable will be deducted from the proceeds and Variety Ltd. will pay it to the Government.

(c) Out of the net consideration, 50% would be remitted to the foreign company immediately and the balance will be an unsecured loan repayable after two years.

The above agreement was approved by all concerned for being given effect to on 1.4.20X1. The total assets of VR Ltd. as on 31st March, 20X1 was ₹ 1,00,00,000. It was decided to write down Property, Plant and Equipment by ₹ 1,75,000. Current liabilities of VR Ltd. as on the same date were ₹ 20,00,000. The paid-up share capital of VR Ltd. was ₹ 20,00,000 divided into 2,00,000 equity shares of ₹ 10 each.

Find out goodwill/capital reserve to Variety Ltd. on acquiring wholly the shares of VR Ltd.

Answer

1. Computation of Purchase Consideration

(a) Yield of VR Ltd.:

[(30 + 40 + 65)/3] x 40% = 18 lakhs

(b) Price per share of VR Ltd.:

Capitalized Yield = 18 Lakhs/0.15 = ₹ 120 lakhs

No. of shares = 2 lakhs

Therefore, price per share = ₹ 120 lakhs/2 lakhs = ₹ 60

(c) Purchase Consideration for 54% shares in VR Ltd.:

= 2 lakh shares x 54% x ₹ 60 per shares

= ₹ 64.80 lakhs

(d) Discharge of Purchase Consideration:

Tax at source (₹ 64.80 lakhs – ₹ 5.40 lakhs) x 30% = ₹ 17.82 lakhs

50% of purchase consideration (net of tax) in cash [₹ (64.80 – 17.82) x 50%] = ₹ 23.49 lakhs

Balance – Unsecured Loan = ₹ 23.49 lakhs

2. Goodwill/Capital Reserve to Variety Ltd.

	₹ in lakhs	
Total Assets	100.00	
Less: Reduction in Value of Property, Plant and Equipment	(1.75)	
	98.25	
Less: Current Liabilities	(20.00)	
Net Assets of VR Ltd. on Date of Acquisition		78.25
Purchase Consideration: 54% purchased from Foreign Co.	64.80	
Investment: 46% existing stake	15.64	(80.44)
Goodwill on Date of Acquisition		**2.19**

Question 11

From the following balance sheets of H Ltd. and its subsidiary S Ltd. drawn up at 31st March, 20X1, prepare a consolidated balance sheet as at that date, having regard to the following:

(i) General Reserves and Profit and Loss Account of S Ltd. stood at ₹ 25,000 and ₹ 15,000 respectively on the date of acquisition of its 80% shares by H Ltd. on 1st April, 20X0.

(ii) Machinery (Book value ₹ 1,00,000) and Furniture (Book value ₹ 20,000) of S Ltd. were revalued at ₹ 1,50,000 and ₹ 15,000 respectively on 1st April, 20X0 for the purpose of fixing the price of its shares. [Rates of depreciation computed on the basis of useful lives: Machinery 10%, Furniture 15%.]

Balance Sheet of H Ltd. and S Ltd. as at 31st March, 20X1

Particulars			Notes	H Ltd. (₹)	S Ltd. (₹)
		Equity and Liabilities			
1		**Shareholders' funds**			
	(a)	Share capital	1	6,00,000	1,00,000
	(b)	Reserves and Surplus	2	3,00,000	1,00,000
2		**Current liabilities**			
	(a)	Trade Payables		1,50,000	57,000
		Total		**10,50,000**	**2,57,000**
		Assets			
1		**Non-current assets**			
	(a)	PPE and intangible asset			
		i Property, plant and Equipment	3	4,50,000	1,07,000
	(b)	Non-current investment	4	6,00,000	1,50,000
		Total		**10,50,000**	**2,57,000**

Notes to Accounts

		H Ltd. (₹)	S Ltd. (₹)
1.	**Share capital**		
	6,000 equity shares of ₹ 100 each, fully paid up	6,00,000	–
	1,000 equity shares of ₹ 100 each, fully paid up	–	1,00,000
	Total	**6,00,000**	**1,00,000**
2.	**Reserves and Surplus**		
	General reserves	2,00,000	75,000
	Profit and loss account	1,00,000	25,000
	Total	**3,00,000**	**1,00,000**
3.	**Property, Plant and Equipment**		
	Machinery	3,00,000	90,000
	Furniture	1,50,000	17,000
	Total	**4,50,000**	**1,07,000**
4.	**Other non-current investments**		
	Non-current Investments	4,40,000	1,50,000
	Shares in S Ltd. (800 shares at ₹ 200 each)	1,60,000	–
	Total	**6,00,000**	**1,50,000**

Answer

Consolidated Balance Sheet of H Ltd. and its Subsidiary S Ltd. as at 31st March, 20X1

Particulars			Notes	(₹)
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	6,00,000
	(b)	Reserves and Surplus	2	3,44,600
2		**Minority Interest**	3	48,150
3		**Current liabilities**		
	(a)	Trade Payables		2,07,000
		Total		**11,99,750**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i Property, plant and Equipment	4	5,97,750
		ii Intangible Asset	5	12,000
	(b)	Noncurrent investment	6	5,90,000
		Total		**11,99,750**

Notes to Accounts

S. No.	Particulars		₹	₹
1	**Share capital**			
	6,000 equity shares of ₹ 100 each, fully paid up			**6,00,000**
2	**Reserves and Surplus**			
	General Reserves		2,00,000	
	Add: 4/5th share of S Ltd.'s post-acquisition reserves (W.N.3)		40,000	2,40,000
	Profit and Loss Account		1,00,000	
	Add: 4/5th share of S Ltd.'s post-acquisition profits (W.N.4)		4,600	1,04,600
				3,44,600
3	**Minority interest in S Ltd. (WN 5)**			**48,150**
4	**Property, plant and equipment**			
	Machinery:			
	H Ltd.		3,00,000	
	S Ltd.	1,00,000		
	Add: Appreciation	50,000		
		1,50,000		
	Less: Depreciation (1,50,000 x 10%)	(15,000)	1,35,000	4,35,000
	Furniture:			
	H Ltd.		1,50,000	
	S Ltd.	20,000		
	Less: Decrease in value	(5,000)		
		15,000		

	Less: Depreciation (15,000 x 15%)	(2,250)	12,750	1,62,750
				5,97,750
5	**Intangible assets**			
	Goodwill [WN 6]			**12,000**
6	**Other non-current investments**			
	H Ltd.			4,40,000
	S Ltd.			1,50,000
				5,90,000

Working Notes:

S. No.	Particulars	₹
1	**Pre-acquisition profits and reserves of S Ltd.**	
	Reserves	25,000
	Profit and Loss Account	15,000
		40,000
	H Ltd.'s = 4/5 (or 80%) x 40,000	32,000
	Minority Interest = 1/5 (or 20%) × 40,000	8,000
2	**Profit on revaluation of assets of S Ltd.**	
	Profit on Machinery ₹ (1,50,000 – 1,00,000)	50,000
	Less: Loss on Furniture ₹ (20,000 – 15,000)	5,000
	Net Profit on revaluation	45,000
	H Ltd.'s share [4/5 x 45,000]	36,000
	Minority Interest [1/5 x 45,000]	9,000
3	**Post-acquisition reserves of S Ltd.**	
	Post-acquisition reserves (Total reserves less pre-acq. reserves = ₹ 75,000 – 25,000)	50,000
	H Ltd.'s share [4/5 x 50,000]	40,000
	Minority interest [1/5 x 50,000]	10,000
4	**Post-acquisition profits of S Ltd.**	
	Post-acquisition profits (P&L balance less pre-acquisition profits = ₹ 25,000 – 15,000)	10,000
	Add: Excess dep. charged on furniture @ 15% on ₹ 5,000 i.e. (20,000 – 15,000)	750
		10,750
	Less: Under dep. on machinery @ 10% on ₹ 50,000 i.e. (1,50,000 – 1,00,000)	(5,000)
	Adjusted post-acquisition profits	5,750
	H Ltd.'s share [4/5 x 5,750]	4,600
	Minority Interest [1/5 x 5,750]	1,150
5	**Minority Interest**	
	Paid-up value of 200 shares held by outsiders i.e. 200 x ₹ 100 or (1,00,000 x 20%)	20,000
	Add: 1/5th share of pre-acquisition profits and reserves	8,000
	1/5th share of profit on revaluation	9,000
	1/5th share of post-acquisition reserves	10,000
	1/5th share of post-acquisition profit	1,150

			48,150
6	**Cost of Control or Goodwill**		
	Price paid by H Ltd. for 800 shares	(A)	1,60,000
	Intrinsic value of the shares:		
	Paid-up value of 800 shares held by H Ltd. i.e. 800 x ₹ 100 or (1,00,000 x 80%)		80,000
	Add: 4/5th share of pre-acquisition profits and reserves		32,000
	4/5th share of profit on the revaluation		36,000
	Intrinsic value of shares on the date of acquisition	(B)	1,48,000
	Cost of control or Goodwill	(A – B)	12,000

Question 12

The following are the extract of balance sheet of P Ltd., and its subsidiary Q Ltd., as at 31st March 20X2:

		Particulars	**P Ltd. (₹)**	**Q Ltd. (₹)**
		Equity & Liabilities		
(1)		**Shareholders' Funds**		
	(a)	Share capital (Equity shares of ₹100 each fully paid up)	16,00,000	4,00,000
	(b)	Reserve & Surplus	2,00,000	80,000
(2)		**Current liability**	30,00,000	19,20,000
		Total	**48,00,000**	**24,00,000**
		Assets		
(1)		**Non-current assets**		
	(a)	PPE	10,00,000	3,80,000
(2)		**Investment**		
		3,600 equity shares in Q Ltd. on 1st April 20X1	5,60,000	–
(3)		**Current Assets**		
	(a)	Other current assets	32,40,000	20,20,000
		Total	**48,00,000**	**24,00,000**

On 1st April 20X1, Profit & Loss A/c of Q Ltd. showed a credit balance of ₹ 32,000 and equipment of Q Ltd. was revalued by P Ltd. 20% above its book value of ₹ 4,00,000 (but no such adjustment effected in the books of Q Ltd.). Prepare the consolidated balance sheet as at 31st March 20X2.

Answer

Consolidated Balance Sheet of P Ltd. and its Subsidiary Q ltd. as on 31.3.20X2

		Particulars	**Note No.**	**₹**
		Equity & Liabilities		
(1)		**Shareholders' Funds**		
	(a)	Share capital	1	16,00,000
	(b)	Reserve & Surplus	2	2,39,600
(2)		**Minority Interest**		55,600

(3)		**Current liability**		
	(a)	Other Current Liabilities (30,00,000 + 19,20,000)		49,20,000
		Total		**68,15,200**
		Assets		
(1)		**Non-current assets**		
	(a)	PPE (10,00,000 + 3,80,000 + 80,000 – 4,000)		14,56,000
	(b)	Intangible Asset (Goodwill)		99,200
(3)		**Current Assets**		
	(a)	Other current assets (32,40,000 + 20,20,000)		52,60,000
		Total		**68,15,200**

Notes to accounts

		₹
1.	**Share capital**	
	Authorized share capital	–
	Issued, subscribed & paid-up capital	
	16,000 equity shares of ₹ 100 each	**16,00,000**
2.	**Reserve & Surplus**	
	Profit & Loss A/c (W.N. 5)	**2,39,600**

Working Notes:

1. Shareholding

Held by P Ltd.	Minority interest
3,600 shares (90%)	400 shares (10%)

2. Analysis of profit

Profit & Loss A/c

Particulars	₹	Particulars	₹
To Bal. c/d	80,000	By Bal. b/d	32,000
		By Profit	48,000
	80,000		**80,000**

Particulars	Capital profit	Revenue profit
Opening balance in P&L A/c	32,000	–
Profit during the year	–	48,000
Revaluation of equipment (W.N.6)	80,000	–
Short depreciation on equipment	–	(4,000)
Total	**1,12,000**	**44,000**
Q Ltd. (Minority) (10%)	11,200	4,400
P Ltd. (90%)	1,00,800	39,600

2. Cost of Control

Particulars	Computation	₹
Cost of investment	As per balance sheet	5,60,000
Less: Dividend out of pre-acquisition profit		–
	(A)	**5,60,000**
Share in net assets of Q ltd.:		
Share capital	4,00,000 x 90%	3,60,000
Capital profit	W.N. 2	1,00,800
	(B)	**4,60,800**
Goodwill	**A – B**	**99,200**

3. Calculation of Minority Interest

Particulars	Computation	₹
Share capital	4,00,000 x 10%	40,000
Capital profit	WN 2	11,200
Revenue profit	WN 2	4,400
Total	**[i + ii + iii]**	**55,600**

4. Calculation of Minority Interest

Particulars	General Reserve	Profit & Loss A/c
Balance As Per Balance sheet	–	2,00,000
Share in profit of Q ltd.	–	39,600
Total	–	**2,39,600**

5. Appreciation/Depreciation on revalued asset

Particulars		₹
Book value as on 31.3.X2 (As per B/S)	(i)	3,80,000
Book value as on 1.4.X1 (Given)	(ii)	4,00,000
Depreciation	(iii)	20,000
Depreciation rate (iii/ii x 100%)		5%
Revaluation of asset (ii + 20%)		4,80,000
Revaluation reserve		80,000
Depreciation on revalued asset (4,80,000 x 5%)		24,000
Short depreciation		4,000

Question 13

The following summarised Balance Sheets of H Ltd. and its subsidiary S Ltd. as on 31st March, 20X2:

	H Ltd. (₹)	S Ltd. (₹)
Equity and Liabilities		
Shareholders' Funds		
Equity Share Capital (fully paid-up shares of ₹ 10 each)	12,00,000	2,00,000
Reserves and Surplus		

General Reserve	4,35,000	1,55,000
Profit and Loss Account	2,80,000	65,000
Current Liabilities		
Trade Payables	3,22,000	1,23,000
Total	**22,37,000**	**5,43,000**
	H Ltd. (₹)	**S Ltd. (₹)**
Assets		
Non-Current Assets		
Machinery	6,40,000	1,80,000
Furniture	3,75,000	34,000
Non-Current Investments		
Shares in S Ltd. - 16,000 shares @ ₹ 20 each	3,20,000	–
Current Assets		
Inventories	2,68,000	62,000
Trade Receivables	4,70,000	2,35,000
Cash and Bank	1,64,000	32,000
Total	**22,37,000**	**5,43,000**

H Ltd. acquired the 80% shares of S Ltd. on 1st April, 20X1. On the date of acquisition, General Reserve and Profit Loss Account of S Ltd. stood at ₹ 50,000 and ₹ 30,000 respectively.

Machinery (book value ₹ 2,00,000) and Furniture (book value ₹ 40,000) of S Ltd. were revalued at ₹ 3,00,000 and ₹ 30,000 respectively on 1st April, 20X1 for the purpose of fixing the price of its shares (rates of depreciation computed on the basis of useful lives: Machinery 10% and Furniture 15%). Trade Payables of H Ltd. include ₹ 35,000 due to S Ltd. for goods supplied since the acquisition of the shares. These goods are charged at 10% above cost. The inventories of H Ltd. include goods worth ₹ 55,000 purchased from S Ltd.

You are required to prepare the Consolidated Balance Sheet as at 31st March, 20X2.

Answer

Consolidated Balance Sheet of H Ltd. and its Subsidiary S Ltd. as at 31st March, 20X2

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital (1,20,000 equity shares of ₹ 10 each)		12,00,000
	(b)	Reserves and Surplus	1	8,16,200
2		**Minority Interest**		99,300
3		**Current liabilities**		
	(a)	Trade Payables	2	4,10,000
		Total		**25,25,500**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i Property, plant and Equipment	3	13,10,500

		ii Intangible Asset	4	24,000
2		**Current assets**		
	(a)	Inventories	5	3,25,000
	(b)	Trade receivables	6	6,70,000
	(c)	Cash and Cash equivalents	7	1,96,000
		Total		**25,25,500**

Notes to Accounts

S. No.	Particulars		₹	₹
1	**Reserves and Surplus**			
	General Reserves		4,35,000	
	Add: 80% share of S Ltd.'s post-acquisition reserves (W.N.3)		84,000	5,19,000
	Profit and Loss Account		2,80,000	
	Add: 80% share of S Ltd.'s post-acquisition profits (W.N.3)		21,200	
	Less: Unrealised gain		(4,000)	2,97,200
				8,16,200
2	**Trade Payables**			
	H Ltd.		3,22,000	
	S Ltd.		1,23,000	
	Less: Mutual transaction		(35,000)	**4,10,000**
3	**Property, plant and equipment**			
	Machinery:			
	H Ltd.		6,40,000	
	S Ltd.	2,00,000		
	Add: Appreciation	1,00,000		
		3,00,000		
	Less: Depreciation	(30,000)	2,70,000	9,10,000
	Furniture:			
	H Ltd.		3,75,000	
	S Ltd.	40,000		
	Less: Decrease in value	(10,000)		
		30,000		
	Less: Depreciation	(4,500)	25,500	4,00,500
				13,10,500
4	**Intangible assets**			
	Goodwill [WN 5]			**24,000**
5	**Inventories**			
	H Ltd.		2,68,000	
	S Ltd.		62,000	3,30,000
	Less: Inventory reserve			(5,000)
				3,25,000

6	**Trade Receivables**			
	H Ltd.	4,70,000		
	S Ltd.	2,35,000	7,05,000	
	Less: Mutual transaction		(35,000)	**6,70,000**
7	**Cash and Bank**			
	H Ltd.		1,64,000	
	S Ltd.		32,000	**1,96,000**

Working Notes:

1. Profit or loss on revaluation of assets in the books of S Ltd. and their book values as on 1.4.20X1

	₹
Machinery:	
Revaluation as on 1.4.20X1	3,00,000
Less: Book value as on 1.4.20X1	(2,00,000)
Profit on revaluation	**1,00,000**
Furniture:	
Revaluation as on 1.4.20X1	30,000
Less: Book value as on 1.4.20X1	(40,000)
Loss on revaluation	**(10,000)**

2. Calculation of short/excess depreciation

	Machinery	Furniture
Upward/(Downward) Revaluation (W.N. 4)	1,00,000	(10,000)
Rate of depreciation	10% p.a.	15% p.a.
Difference [(short)/excess]	(10,000)	1,500

3. Analysis of reserves and profits of S Ltd. as on 31.03.20X2

	Pre-acquisition profit upto 1.4.20X1 (Capital profits)	Post-acquisition profits (1.4.20X1 – 31.3.20X2)	
		General Reserve	Profit and loss account
General reserve as on 31.3.20X2	50,000	1,05,000	–
Profit and loss account as on 31.3.20X2	30,000	–	35,000
Upward Revaluation of machinery as on 1.4.20X1	1,00,000	–	–
Downward Revaluation of Furniture as on 1.4.20X1	(10,000)	–	–
Short depreciation on machinery (W.N. 5)	–	–	(10,000)
Excess depreciation on furniture (W.N. 5)	–	–	1,500
Total	**1,70,000**	**1,05,000**	**26,500**

4. Minority Interest

Paid-up value of (2,00,000 x 20%)	40,000
Add: 20% share of pre-acquisition profits and reserves [(20% of (50,000 + 30,000)]	16,000
20% share of profit on revaluation	18,000

20% share of post-acquisition reserves	21,000
20% share of post-acquisition profit	5,300
	1,00,300
Less: Unrealised Profit on Inventory [(55,000 x 10/110) x 20%]	(1,000)
	99,300

5. Cost of Control or Goodwill

Cost of Investment		3,20,000
Less: Paid-up value of 80% shares	1,60,000	
80% share of pre-acquisition reserve (₹ 64,000 + ₹ 72,000)	1,36,000	(2,96,000)
Cost of control or Goodwill		**24,000**

Consolidated Balance Sheet [With Dividend Declared/Paid by Subsidiary]

Question 14

XYZ Ltd. purchased 80% shares of ABC Ltd. on 1st January, 20X1 for ₹ 1,40,000. The issued capital of ABC Ltd., on 1st January, 20X1 was ₹ 1,00,000 and the balance in the Profit & Loss Account was ₹ 60,000.

During the year ended 31st December, 20X1, ABC Ltd. earned a profit of ₹ 20,000 and at year end, declared and paid a dividend of ₹ 15,000.

Show by an entry how the dividend should be recorded in the books of XYZ Ltd.

What is the amount of minority interest as on 1st January, 20X1 and 31st December, 20X1? Also please check whether there should be any goodwill/capital reserve at the date of acquisition.

Answer

Total dividend paid is ₹ 15,000 (assumed to be out of post-acquisition profits), hence dividend received by XYZ will be credited to P&L. XYZ Ltd.'s share of dividend = ₹ 15,000 x 80% = ₹ 12,000

In the books of XYZ Ltd.

S. No.	Particulars		Debit (₹)	Credit (₹)
1	Bank A/c	Dr.	12,000	
	To Profit & Loss A/c			12,000
	(Dividend received from ABC Ltd credited to P&L A/c being out of post-acquisition profits - as explained above)			

Goodwill on consolidation (at the date of acquisition):

	₹	₹
Cost of shares		1,40,000
Less: Face value of capital i.e. 80% of capital	80,000	
Add: Share of capital profits [60,000 x 80%]	48,000	(1,28,000)
Goodwill		**12,000**

Minority interest on:

	₹

1st January, 20X1:	
20% of ₹ 1,60,000 [1,00,000 + 60,000]	32,000
31st December, 20X1:	
20% of ₹ 1,65,000 [1,00,000 + 60,000 + 20,000 – 15,000]	33,000

Question 15

Exe Ltd. acquires 70% of equity shares of Zed Ltd. as on 31st March, 20X1 at a cost of ₹ 70 lakhs. The following information is available from the balance sheet of Zed Ltd. as on 31st March, 20X1:

	₹ in lakhs
Property, plant and equipment	120
Investments	55
Current Assets	70
Loans & Advances	15
15% Debentures	90
Current Liabilities	50

The following revaluations have been agreed upon (not included in the above figures):

Property, plant and equipment — Up by 20%

Investments — Down by 10%

Zed Ltd. declared and paid dividend @ 20% on its equity shares as on 31st March, 20X1 (Face value - ₹ 10 per share). Exe Ltd. purchased the shares of Zed Ltd. @ ₹ 20 per share.

Calculate the amount of goodwill/capital reserve on acquisition of shares of Zed Ltd.

Answer

Calculation of amount of goodwill/capital reserve

	₹ in lakhs	₹ in lakhs
Property, plant and equipment [120 x 120%]		144.0
Investments [55 x 90%]		49.5
Current Assets		70.0
Loans and Advances		15.0
Total Assets after revaluation		278.5
Less: 15% Debentures	90.0	
Current Liabilities	50.0	(140.0)
Equity/Net Worth		**138.5**
Exe Ltd.'s share of net assets (70% of 138.5)		96.95
Exe Ltd.'s cost of acquisition of shares of Zed Ltd. (₹ 70 lakhs – ₹ 7 lakhs*)		63.00
Capital reserve		**33.95**

*Total Cost of 70% Equity of Zed Ltd — ₹ 70 lakhs

Purchase Price of each share — ₹ 20

Number of shares purchased [70 lakhs/₹ 20] — 3.5 lakhs

Dividend @ 20% i.e. ₹ 2 per share ₹ 7 lakhs

Since dividend received is for pre-acquisition period, it has been reduced from the cost of investment in the subsidiary company.

Question 16

A Ltd. acquired 60% shares of B Ltd. @ ₹ 20 per share. Following is the extract of Balance Sheet of B Ltd.:

	₹
10,00,000 Equity Shares of ₹ 10 each	1,00,00,000
10% Debentures	10,00,000
Trade Payables	55,00,000
Property, Plant and Equipment	70,00,000
Investments	45,00,000
Current Assets	68,00,000
Loans and Advances	22,00,000

On the same day, B Ltd. declared dividend at 20% and as agreed between both the companies Property, Plant and Equipment were to be depreciated @ 10% and investment to be taken at market value of ₹ 60,00,000. Calculate the Goodwill or Capital Reserve to be recorded in Consolidated Financial Statements.

Answer

Since dividend is declared by B Ltd. on the date of acquisition itself, it would be out of the divisible profits of B Ltd. existing on the date of acquisition i.e., pre-acquisition profits from the perspective of A Ltd. Accordingly, as per AS 13, such pre-acquisition dividend would be reduced from the cost of investment, as seen below in the determination of Goodwill on the date of acquisition.

	₹	₹
Assets		
Property, Plant and Equipment	70,00,000	
Less: Value written off (₹ 70 lakhs x 10%)	(7,00,000)	
	63,00,000	
Investments at Market Value	60,00,000	
Current Assets	68,00,000	
Loans and Advances	22,00,000	2,13,00,000
Less: Liabilities		
Trade Payables	55,00,000	
10% Debentures	10,00,000	(65,00,000)
Net Assets of B Ltd.		1,48,00,000
Share of A Ltd. in Net Assets of B Ltd. (60%)		88,80,000
Less: Cost of Investment in B Ltd. (60% stake)		
10,00,000 Equity Shares x 60% x ₹ 20 per share	1,20,00,000	
Less: Pre-acquisition dividend = 6,00,000 shares x ₹ 2	(12,00,000)	(1,08,00,000)
Goodwill on Date of Acquisition		**19,20,000**

Question 17

A Ltd acquired 1,600 ordinary shares of ₹ 100 each of B Ltd on 1st July, 20X1. On 31st December, 20X1, the balance sheets of the two companies were as given below:

Balance Sheet of A Ltd. and its subsidiary B Ltd. as at 31st December, 20X1

Particulars			Notes	A Ltd. (₹)	B Ltd. (₹)
		Equity and Liabilities			
1		**Shareholders' funds**			
	(a)	Share capital	1	5,00,000	2,00,000
	(b)	Reserves and Surplus	2	2,97,200	1,82,000
2		**Current liabilities**			
	(a)	Short term borrowings	3	80,000	
	(b)	Trade Payables		47,100	17,400
		Total		**9,24,300**	**3,99,400**
		Assets			
1		**Non-current assets**			
	(a)	PPE and intangible asset			
		i Property, plant and Equipment	4	3,90,000	3,15,000
	(b)	Non-current investment	5	3,40,000	–
2		**Current Assets**			
	(a)	Inventories		1,20,000	36,400
	(b)	Trade receivables		59,800	40,000
	(c)	Cash and Cash equivalents	6	14,500	8,000
		Total		**9,24,300**	**3,99,400**

Notes to Accounts

		A Ltd. (₹)	B Ltd. (₹)
1.	**Share Capital**		
	5,000 shares of ₹ 100 each, fully paid up	5,00,000	–
	2,000 shares of ₹ 100 each, fully paid up	–	2,00,000
	Total	**5,00,000**	**2,00,000**
2.	**Reserves and Surplus**		
	General Reserves	2,40,000	1,00,000
	Profit & loss	57,200	82,000
	Total	**2,97,200**	**1,82,000**
3.	**Short term borrowings**		
	Bank overdraft	**80,000**	–
4.	**Property plant and equipment**		
	Land and building	1,50,000	1,80,000
	Plant & Machinery	2,40,000	1,35,000
	Total	**3,90,000**	**3,15,000**
5.	**Non-current Investments**		

	Investment in B Ltd (at cost)	**3,40,000**	–
6.	**Cash & Cash equivalents**		
	Cash	**14,500**	**8,000**

The Profit & Loss Account of B Ltd. showed a credit balance of ₹ 30,000 on 1st January, 20X1 out of which a dividend of 10% was paid on 1st August, 20X1; A Ltd. credited the dividend received to its Profit & Loss Account. The Plant & Machinery which stood at ₹ 1,50,000 on 1st January, 20X1 was considered as worth ₹ 1,80,000 on 1st July, 20X1; this figure is to be considered while consolidating the Balance Sheets. The rate of depreciation on plant & machinery is 10% (computed on the basis of useful lives).

Prepare consolidated Balance Sheet as at 31st December, 20X1.

Answer

Consolidated Balance Sheet of A Ltd. and its subsidiary B Ltd. as at 31st December, 20X1

Particulars			**Notes**	**B Ltd. (₹)**
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	5,00,000
	(b)	Reserves and Surplus	2	3,08,800
2		**Minority Interest**		83,600
3		**Current liabilities**		
	(a)	Short term borrowings	3	80,000
	(b)	Trade Payables	4	64,500
		Total		**10,36,900**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment	5	7,41,000
		ii Intangible Asset	6	17,200
2		**Current Assets**		
	(a)	Inventories	7	1,56,400
	(b)	Trade receivables	8	99,800
	(c)	Cash and Cash equivalents	9	22,500
		Total		**10,36,900**

Notes to Accounts

S. No.	**Particulars**	**₹**	**₹**
1	**Share Capital**		
	5,000 shares of ₹ 100 each		**5,00,000**
2	**Reserves and Surplus**		
	Reserves		2,40,000
	Profit & loss (Refer to W.N 8)		68,800
			3,08,800

3	**Short term borrowings**		
	Bank overdraft		**80,000**
4	**Trade Payables**		
	A Ltd.		47,100
	B Ltd		17,400
			64,500
5	**Property, plant and equipment**		
	Land and building		
	A Ltd.	1,50,000	
	B Ltd	1,80,000	3,30,000
	Plant & Machinery (Refer to W.N 7)		4,11,000
			7,41,000
6	**Intangible assets**		
	Goodwill (refer to W.N 6)		**17,200**
7	**Inventories**		
	A Ltd.		1,20,000
	B Ltd.		36,400
			1,56,400
8	**Trade Receivables**		
	A Ltd.		59,800
	B Ltd.		40,000
			99,800
9	**Cash & Cash equivalents**		
	A Ltd.		14,500
	B Ltd.		8,000
			22,500

Share holding Pattern

Total Shares of B Ltd	2,000 shares
Shares held by A Ltd	1,600 shares i.e. 80%
Minority Shareholding	400 shares i.e. 20%

Working Notes:

1. The dividend @ 10% on 1,600 shares: ₹ 16,000 received by A Ltd. should have been credited to the investment A/c, being out of pre-acquisition profits. A Ltd., must pass a rectification entry, viz.

Particulars		**Debit (₹)**	**Credit (₹)**
Profit & Loss Account	Dr.	16,000	
To Investment			16,000

2. The Plant & Machinery of B Ltd. would stand in the books at ₹ 1,42,500 on 1st July, 20X1, considering only six months' depreciation on ₹ 1,50,000 total depreciation being ₹ 15,000. The value put on the assets being ₹ 1,80,000, there is an appreciation to the extent of ₹ 37,500 (1,80,000 – 1,42,500).

3. Capital profits of B Ltd.

		₹	₹
Reserve on 1st January, 20X1			1,00,000
(Assumed there is no movement in reserves during the year and hence balance as on 1st January 20X1 is same as of 31st December 20X1)			
Profit & Loss Account Balance on 1st January, 20X1		30,000	
Less: Dividend paid		(20,000)	10,000
Profit for 20X1:			
Total	₹ 82,000		
Less:	₹10,000		
	₹ 72,000		
Proportionate upto 1st July, 20X1 on time basis (₹ 72,000/2)			36,000
Appreciation in value of Plant & Machinery			37,500
			1,83,500
Less: 20% due to outsiders			(36,700)
Holding company's share			1,46,800

4. Revenue profits of B Ltd.:

Profit after 1st July, 20X1 [(82,000 – 10,000) x ½]		36,000
Less: Depreciation		
10% depreciation on ₹ 1,80,000 for 6 months	9,000	
Less: Depreciation already charged for 2nd half year on 1,50,000	(7,500)	(1,500)
		34,500
Less: 1/5 due to outsiders		(6,900)
Share of A Ltd.		27,600

5. Minority interest:

Par value of 400 shares (2,00,000 x 20%)	40,000
Add: 1/5 Capital Profits [WN 3]	36,700
1/5 Revenue Profits [WN 4]	6,900
	83,600

6. Cost of Control:

Amount paid for 1,600 shares	3,40,000	
Less: Dividend out of pre-acquisition profits	(16,000)	3,24,000
Par value of shares	1,60,000	
Capital Profits - share of A Ltd. [WN 3]	1,46,800	(3,06,800)
Cost of Control or Goodwill		17,200

7. Value of plant & Machinery:

A Ltd.		2,40,000
B Ltd.	1,35,000	
Add: Appreciation on 1st July, 20X1 [1,80,000 – (1,50,000 – 7,500)]	37,500	

	1,72,500	
Add: Deprecation for 2nd half charged on pre-revalued value	7,500	
Less: Depreciation on ₹ 1,80,000 for 6 months	(9,000)	1,71,000
		4,11,000

8. Profit & Loss Account (Consolidated):

A Ltd. as given	57,200	
Less: Dividend transferred to Investment A/c	(16,000)	41,200
Share of A Ltd. in revenue profits of B Ltd. (WN 4)		27,600
		68,800

Question 18

H Limited acquired 64,000 Equity Shares of ₹ 10 each in S Ltd. as on 1st October, 20X2. The Balance Sheets of the two companies as on 31st March, 20X3 were as under:

Particulars	H Ltd. (₹)	S Ltd. (₹)
Equities and Liabilities:		
Equity Share Capital: Shares of ₹ 10 each	20,00,000	8,00,000
General Reserve (1st April, 20X2)	9,60,000	4,20,000
Profit & Loss Account	2,28,800	3,28,000
Preliminary Expenses (1st April, 20X2)	–	(20,000)
Bank Overdraft	3,00,000	–
Bills Payable	–	52,000
Trade Payables	1,66,400	80,000
Total	**36,55,200**	**16,60,000**
Assets:		
Land and Building	7,20,000	7,60,000
Plant & Machinery	9,60,000	5,40,000
Investment in Equity Shares of S Ltd.	12,27,200	–
Inventories	4,56,000	1,68,000
Trade Receivables	1,76,000	1,60,000
Bills Receivable	59,200	–
Cash in Hand	56,800	32,000
Total	**36,55,200**	**16,60,000**

Additional Information:

(1) The Profit & Loss Account of S Ltd. showed credit balance of ₹ 1,20,000 on 1st April, 20X2. S Ltd. paid a dividend of 10% out of the same on 1st November, 20X2 for the year 20X1-X2. The dividend was correctly accounted for by H Ltd.

(2) The Plant & Machinery of S Ltd. which stood at ₹ 6,00,000 on 1st April, 20X2 was considered worth ₹ 5,20,000 on the date of acquisition by H Ltd. S Ltd. charges depreciation @ 10% per annum on Plant & Machinery.

Prepare consolidated Balance Sheet of H Ltd. and its subsidiary S Ltd. as on 31st March, 20X3 as per Schedule III of the Companies Act, 2013.

Answer

Consolidated Balance Sheet of H Ltd. and its subsidiary S Ltd. as at 31st March, 20X3

Particulars			Note No.	(₹)
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	20,00,000
	(b)	Reserves and Surplus	2	13,07,200
2		**Minority Interest** (W.N. 4)		2,96,400
3		**Current liabilities**		
	(a)	Short term borrowings		3,00,000
	(b)	Trade Payables	3	2,98,400
		Total		**42,02,000**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment	4	29,34,000
		ii Intangible Asset (W.N. 5)		1,60,000
2		**Current Assets**		
	(a)	Inventories	5	6,24,000
	(b)	Trade receivables	6	3,95,200
	(c)	Cash and Cash equivalents (Cash)	7	88,800
		Total		**42,02,000**

Notes to Accounts

S. No.	Particulars	₹	₹
1.	**Share Capital**		
	2,00,000 equity shares of ₹ 10 each		**20,00,000**
2.	**Reserves and Surplus**		
	General Reserves		9,60,000
	Profit & loss		
	H Ltd.	2,28,800	
	S Ltd. (As per W.N. 3)	1,18,400	3,47,200
			13,07,200
3.	**Trade Payables**		
	H Ltd.		1,66,400
	S Ltd. (80,000 + 52,000)		1,32,000
			2,98,400
4.	**Property, Plant and Equipment**		

	Land and building		
	H Ltd.	7,20,000	
	S Ltd.	7,60,000	14,80,000
	Plant & Machinery		
	H Ltd.	9,60,000	
	S Ltd. (As per W.N. 7)	4,94,000	14,54,000
			29,34,000
5	**Inventories**		
	H Ltd.		4,56,000
	S Ltd.		1,68,000
			6,24,000
6	**Trade Receivables**		
	H Ltd.	1,76,000	
	S Ltd.	1,60,000	3,36,000
	Bills receivable: H Ltd.		59,200
			3,95,200
7.	**Cash & Cash equivalents**		
	Cash		
	H Ltd.		56,800
	S Ltd.		32,000
			88,800

Working Notes:

1. Share holding pattern

Total Shares of S Ltd	80,000 shares
Shares held by H Ltd	64,000 shares i.e. 80%
Minority Shareholding	16,000 shares i.e. 20%

2. Capital profits of S Ltd.

		₹	₹
Reserve on 1st October, 20X2			4,20,000
(Assumed there is no movement in reserves during the year and hence balance as on 1st October, 20X2 is same as of 31st March 20X3)			
Profit & Loss Account Balance on 1st April, 20X2:		1,20,000	
Less: Dividend paid		(80,000)	40,000
Profit for year: Total	₹ 3,28,000		
Less: (opening balance)	₹ 40,000		
	₹ 2,88,000		
Proportionate up to 1st October, 20X2 on time basis (₹ 2,88,000/2)			1,44,000
Reduction in value of Plant & Machinery (WN 6)			(50,000)
			5,54,000
Less: Preliminary expenses written off			(20,000)

Total Capital Profit		5,34,000
Holding company's share (5,34,000 x 80%)		4,27,200
Minority Interest (5,34,000 x 20%)		1,06,800

Note: Preliminary expenses as on 1st April, 20X2 amounting ₹ 20,000 have been written off.

3. Revenue profits of S Ltd.

Profit after 1st October, 20X2 (3,28,000 – 40,000)/2		1,44,000
Less: 10% depreciation on ₹ 5,20,000 for 6 months	(26,000)	
Add: Depreciation already charged for 2nd half year on 6,00,000	30,000	4,000
		1,48,000
Holding company's share (1,48,000 x 80%)		1,18,400
Minority Interest (1,48,000 x 20%)		29,600

4. Minority interest

Par value of 16,000 shares (8,00,000 x 20%)	1,60,000
Add: 1/5 Capital Profits [WN 2]	1,06,800
1/5 Revenue Profits [WN 3]	29,600
	2,96,400

5. Cost of Control

Amount paid for 64,000 shares		12,27,200
Less: Par value of shares (8,00,000 x 80%)	6,40,000	
Capital Profits - share of H Ltd. [WN 2]	4,27,200	(10,67,200)
Cost of Control or Goodwill		1,60,000

6. Calculation of revaluation loss on Plant and Machinery of S Ltd. on 1st October, 20X2

Value of plant and machinery as on 1st April,20X2	6,00,000
Less: Depreciation for the six months	(30,000)
Value of plant and machinery as on 1st October, 20X2	5,70,000
Less: Plant and machinery valued by H Ltd. on 1st October,20X2	(5,20,000)
Revaluation Loss	50,000

7. Value of plant & Machinery of S Ltd. On 31st March,20X3

Value of machinery on 1st October, 20X2	5,20,000
Less: Depreciation for next six month	(26,000)
	4,94,000

Question 19

A Ltd. and B Ltd. provide the following information: **₹ '000s**

	A Ltd.	B Ltd.
Equity Shares	6,000	5,000
6% Preference Shares	NIL	1,000

General Reserve	1,200	800
Profit and Loss Account	1,020	1,790
Trade Payables	3,850	3,410
Dividend Payable	600	500
Goodwill	100	20
Property, Plant and Equipment	3,850	2,750
Investment	1,620	1,100
Inventory	1,900	4,150
Trade Receivables	4,600	4,080
Cash & Bank	600	400

A Ltd. purchased 3/4th interest in B Ltd. at the beginning of the year at the premium of 25%. Following other information is available:

a. Profit & Loss Account of B Ltd. includes ₹ 1,000 thousands brought forward from the previous year (after adjusting dividend amount).

b. The General Reserve balance is brought forward from the previous year.

c. The directors of both the companies have declared a dividend of 10% on equity share capital for the previous year in current year.

From the above information calculate Pre and Post-acquisition Profits, Minority Interest and Cost of Control.

Answer

Calculation of Pre and Post-Acquisition Profits:

	Pre-Acquisition Profits (₹)	Post-Acquisition Profits (₹)
Profit & Loss Account	10,00,000	7,90,000
General Reserve	8,00,000	NIL
	18,00,000	7,90,000
Less: Share of Minority Interest (¼)	(4,50,000)	(1,97,500)
Attributable to Parent	13,50,000	5,92,500
	(Cost of Control)	(Post-acquisition Profits)

Calculation of Minority Interest:

Particulars	**₹**
Paid-up Equity Share Capital (₹ 50,00,000 x ¼)	12,50,000
Paid-up Preference Share Capital	10,00,000
Share in Reserves:	
Profit & Loss Account: ₹ 17,90,000 x ¼	4,47,500
General Reserve: ₹ 8,00,000 x ¼	2,00,000
Minority Interest	**28,97,500**

Calculation of Goodwill/Capital Reserve

	₹	₹
Cost of Investment: ₹ 50,00,000 x 75% x 125% (cost + 25% premium)	46,87,500	

Less: Pre-acquisition dividend	(3,75,000)	43,12,500
Less: Net Worth of B Ltd. on Date of Acquisition (attributable to A Ltd.):		
Paid-up Capital	37,50,000	
Pre-acquisition Reserves	13,50,000	(51,00,000)
Capital Reserve		**7,87,500**

Consolidated Balance Sheet [With Bonus Shares Issued by Subsidiary]

Question 20

On 31st March, 20X1, P Ltd. acquired 1,05,000 shares of Q Ltd. for ₹ 12,00,000. The position of Q Ltd. on that date was as under:

	₹
Property, plant and equipment	10,50,000
Current Assets	6,45,000
1,50,000 equity shares of ₹ 10 each fully paid	15,00,000
Pre-incorporation profits	30,000
Profit and Loss Account	60,000
Trade payables	1,05,000

P Ltd. and Q Ltd. give the following information on 31st March, 20X3:

	P Ltd. (₹)	Q Ltd. (₹)
Equity shares of ₹ 10 each fully paid (before bonus issue)	45,00,000	15,00,000
Securities Premium	9,00,000	–
Pre-incorporation profits	–	30,000
General Reserve	60,00,000	19,05,000
Profit and Loss Account	15,75,000	4,20,000
Trade payables	5,55,000	2,10,000
Property, plant and equipment	79,20,000	23,10,000
Investment: 1,05,000 Equity shares in Q Ltd. at cost	12,00,000	–
Current Assets	44,10,000	17,55,000

Directors of Q Ltd. made bonus issue on 31.3.20X3 in the ratio of one equity share of ₹ 10 each fully paid for every two equity shares held on that date. Bonus shares were issued out of post-acquisition profits by using General Reserve.

Calculate as on 31st March, 20X3 (i) Cost of Control/Capital Reserve; (ii) Minority Interest; (iii) Consolidated Profit and Loss Account in each of the following cases:

(a) Before issue of bonus shares.

(b) Immediately After issue of bonus shares.

Answer

Shareholding pattern

Particulars		No. of Shares	% of holding
a.	P Ltd.		
	(i) Purchased on 31.03.20X1	1,05,000	
	(ii) Bonus Issue (1,05,000/2)	52,500	
	Total	1,57,500	70%
b.	Minority Interest	67,500	30%

Calculations of (i) Cost of Control/Capital Reserve; (ii) Minority Interest; (iii) Consolidated Profit and Loss Account as on 31st March, 20X3:

(a) Before issue of bonus shares

(i)	**Cost of control/capital reserve**	**₹**	**₹**
	Investment in Q Ltd.		12,00,000
	Less: Face value of investments (Share Capital)	10,50,000	
	Capital profits (W.N.)	63,000	(11,13,000)
	Cost of control (i.e., Goodwill)		**87,000**
(ii)	**Minority Interest**		**₹**
	Share Capital		4,50,000
	Capital profits (W.N.)		27,000
	Revenue profits (W.N.)		6,79,500
			11,56,500
(iii)	**Consolidated profit and loss account - P Ltd.**		**₹**
	Balance		15,75,000
	Add: Share in revenue profits of Q Ltd. (3,60,000 x 70%)		2,52,000
			18,27,000

(b) Immediately after issue of bonus shares

(i)	**Cost of control/capital reserve**	**₹**	**₹**
	Face value of investments (₹ 10,50,000 + ₹ 5,25,000)	15,75,000	
	Capital Profits (W.N.)	63,000	16,38,000
	Less: Investment in Q Ltd.		(12,00,000)
	Capital reserve		**4,38,000**
(ii)	**Minority Interest**		**₹**
	Share Capital (₹ 4,50,000 + ₹ 2,25,000)		6,75,000
	Capital Profits (W.N.)		27,000
	Revenue Profits (W.N.)		4,54,500
			11,56,500
(iii)	**Consolidated Profit and Loss Account - P Ltd.**		**₹**
	Balance		15,75,000
	Add: Share in revenue profits of Q Ltd. (3,60,000 x 70%)		2,52,000
			18,27,000

Working Note:

Analysis of Profits of Q Ltd.

	Capital Profits (Pre-acquisition) (Before and after issue of bonus shares)	Revenue Profits (Post-acquisition)	
		Before Bonus Issue	After Bonus Issue
Pre-incorporation profits	30,000	–	–
Profit and loss account on 31.3.20X1	60,000	–	–
General reserve	–	19,05,000	19,05,000
Less: Bonus shares	–	–	(7,50,000)
Profit for period of 1st April, 20X1 to 31st March, 20X3 (₹ 4,20,000 – ₹ 60,000)	–	3,60,000	3,60,000
	90,000	22,65,000	15,15,000
P Ltd.'s share (70%)	63,000	15,85,500	10,60,500
Minority's share (30%)	27,000	6,79,500	4,54,500

Question 21

On 31st March, 20X1, the Balance Sheets of H Ltd. and its subsidiary S Ltd. stood as follows:

Balance Sheet of H Ltd. and its subsidiary S Ltd. as at 31st March, 20X1

Particulars			Notes	H Ltd. (₹ in Lacs)	S Ltd. (₹ in Lacs)
		Equity and Liabilities			
1		**Shareholders' funds**			
	(a)	Share capital	1	12,000	4,800
	(b)	Reserves and Surplus	2	5,499	3,000
2		**Current liabilities**			
	(a)	Trade Payables	3	1,833	1,014
	(b)	Short term provisions	4	855	394
	(c)	Other current liabilities (Dividend payable)		1,200	–
		Total		**21,387**	**9,208**
		Assets			
1		**Non-current assets**			
	(a)	PPE and intangible asset			
		i Property, plant and Equipment	5	9,468	5,486
	(b)	Non-current investment (Shares in S Ltd.)		3,000	–
2		**Current Assets**			
	(a)	Inventories		3,949	1,956
	(b)	Trade receivables	6	2,960	1,562
	(c)	Cash and Cash equivalents		1,490	204
	(d)	Short term loans and advances	7	520	–
		Total		**21,387**	**9,208**

Notes to Account

S. No.	Particulars	H Ltd. (₹ in lacs)	S Ltd. (₹ in lacs)
1	**Share Capital**		
	Authorized share capital		
	Equity shares of ₹ 10 each, fully paid up	**15,000**	**6,000**
	Issued and Subscribed:		
	Equity shares of ₹ 10 each, fully paid up	**12,000**	**4,800**
2	**Reserves and surplus**		
	General Reserve	2,784	1,380
	Profit and Loss Account	2,715	1,620
		5,499	**3,000**
3	**Trade Payables**		
	Creditors	1,461	854
	Bills Payable	372	160
		1,833	**1,014**
4	**Short term provisions**		
	Provision for Taxation	**855**	**394**
5	**Property, plant and equipment**		
	Land and Buildings	2,718	–
	Plant and Machinery	4,905	4,900
	Furniture and Fittings	1,845	586
		9,468	**5,486**
6	**Trade receivables**		
	Debtors	2,600	1,363
	Bills Receivable	360	199
		2,960	**1,562**
7	**Short term loans and advances**		
	Sundry Advances	**520**	–

The following information is also provided to you:

(a) H Ltd. purchased 180 lakh shares in S Ltd. on 31st March, 20X0 when the balances of General Reserve and Profit and Loss Account of S Ltd. stood at ₹ 3,000 lakh and ₹ 1,200 lakh respectively.

(b) On 1st April, 20X0, S Ltd. declared a dividend @ 20% for the year ended 31st March, 20X0. H Ltd. credited the dividend received by it to its Profit and Loss Account.

(c) On 1st January, 20X1, S Ltd. issued 3 fully paid-up bonus shares for every 5 shares held out of balances of its general reserve as on 31st March, 20X0.

(d) On 31st March, 20X1, all the bills payable in S Ltd.'s balance sheet were acceptances in favour of H Ltd. But on that date, H Ltd. held only ₹ 45 lakh of these acceptances in hand, the rest having been endorsed in favour of its trade payables.

(e) On 31st March, 20X1, S Ltd.'s inventory included goods which it had purchased for ₹ 100 lakh from H Ltd. which made a profit @ 25% on cost.

Prepare a Consolidated Balance Sheet of H Ltd. and its subsidiary S Ltd. as at 31st March, 20X1.

Answer

Consolidated Balance Sheet of H Ltd. and its subsidiary S Ltd. as at 31st March, 20X1

Particulars			Notes	(₹ in Lacs)
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	12,000
	(b)	Reserves and Surplus	2	7,159
2		**Minority Interest** [W.N.6]		3,120
3		**Current liabilities**		
	(a)	Trade Payables	3	2,802
	(b)	Short-term provisions	4	1,249
	(c)	Other current liabilities	5	1,200
		Total		**27,530**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment	6	14,954
2		**Current Assets**		
	(a)	Inventories	7	5,885
	(b)	Trade receivables	8	4,477
	(c)	Cash and Cash equivalents	9	1,694
	(d)	Short term loans and advances	10	520
		Total		**27,530**

Notes to Accounts

S. No.	Particulars		(₹ in lacs)	(₹ in lacs)
1	**Share Capital**			
	Authorized share capital			
	Equity shares of ₹ 10 each, fully paid up			**15,000**
	Issued and Subscribed:			
	Equity shares of ₹ 10 each, fully paid up			**12,000**
2	**Reserves and surplus**			
	Capital Reserve (Note 5)			1,320
	General Reserve (2,784 + 108)			2,892
	Profit and Loss Account:			
	H Ltd.		2,715	
	Less: Dividend wrongly credited	36		
	Unrealized Profit	2	(380)	
			2,335	

	Add: Share in S Ltd.'s Revenue profits	612	2,947
			7,159
3	**Trade payables**		
	Creditors:		
	H Ltd.	1,461	
	S Ltd.	854	2,315
	Bills Payable:		
	H Ltd.	372	
	S Ltd.	160	
		532	
	Less: Mutual owing	(45)	487
			2,802
4	**Short term provisions**		
	Provision for Taxation:		
	H Ltd.		855
	S Ltd.		394
			1,249
5	**Other current liabilities**		
	Dividend payable:		
	H Ltd.		**1,200**
6	**Property, plant and equipment**		
	Land and Buildings:		
	H Ltd.		2,718
	Plant and Machinery:		
	H Ltd.	4,905	
	S Ltd.	4,900	9,805
	Furniture and Fittings:		
	H Ltd.	1,845	
	S Ltd.	586	2,431
			14,954
7	**Inventories**		
	Stock:		
	H Ltd.	3,949	
	S Ltd.	1,956	5,905
	Less: Unrealized profit		(20)
			5,885
8	**Trade receivables**		
	Debtors:		
	H Ltd.	2,600	
	S Ltd.	1,363	3,963

	Bills Receivable:		
	H Ltd.	360	
	S Ltd.	199	
		559	
	Less: Mutual Owing	(45)	514
			4,477
9	**Cash and cash equivalents**		
	Cash and Bank Balances		**1,694**
10	**Short term loans and advances**		
	Sundry Advances		**520**

Share holding pattern of S Ltd.

Shares as on 31st March, 20X1 (Includes bonus shares issued on 1.1.X1)	480 lakh shares (4,800 lakhs/₹ 10)
H Ltd.'s holding as on 1st April, 20X0	180 lakhs
Add: Bonus received on 1st January, 20X1	108 lakhs [(180/5) x 3]
Total H Ltd.'s holding as on 31st March, 20X1	288 lakhs i.e. 60 % (288/480 x 100)
Minority Shareholding	40%

Working Notes:

1. S Ltd.'s General Reserve Account

Particulars	**₹ in lakhs**	**Particulars**	**₹ in lakhs**
To Bonus to equity shareholders (WN-8)	1,800	By Balance b/d	3,000
To Balance c/d	1,380	By P&L A/c (Bal. figure)	180
	3,180		**3,180**

2. S Ltd.'s Profit and Loss Account

Particulars	**₹ in lakhs**	**Particulars**	**₹ in lakhs**
To General Reserve [WN 1]	180	By Balance b/d	1,200
To Dividend paid (20% on ₹ 3,000 lakhs)	600	By N.P. for the year* (Bal. figure)	1,200
To Balance c/d	1,620		
	2,400		**2,400**

*Out of ₹ 1,200 lakhs profit for the year, ₹ 180 lakhs has been transferred to reserves.

3. Distribution of Revenue profits

	₹ in lakhs
Revenue profits (W. N. 2)	1,200
Less: Share of H Ltd. 60% (General Reserve ₹ 108 + Profit and Loss Account ₹ 612)	(720)
Share of Minority Shareholders (40%)	480

Note: The question can also be solved by taking ₹ 1,020 lakhs as post-acquisition Profit and Loss balance and ₹ 180 lakhs as post-acquisition General Reserve balance. The final answer will be same.

4. Calculation of Capital Profits

	₹ in lakhs

General Reserve on the date of acquisition less bonus shares (₹ 3,000 – ₹ 1,800)	1,200
Profit and loss account on the date of acquisition less dividend paid (₹ 1,200 – ₹ 600)	600
	1,800

H Ltd.'s share = 60% of ₹ 1,800 lakhs = ₹ 1,080 lakhs

Minority interest = ₹ 1,800 – ₹ 1,080 = ₹ 720 lakhs

5. Calculation of capital reserve

	₹ in lakhs
Paid up value of shares held (60% of ₹ 4,800)	2,880
Add: Share in capital profits [WN 4]	1,080
	3,960
Less: Cost of shares less dividend received (₹ 3,000 – ₹ 360)	(2,640)
Capital reserve	1,320

6. Calculation of Minority Interest

	₹ in lakhs
40% of share capital (40% of ₹ 4,800)	1,920
Add: Share in revenue profits [WN 3]	480
Share in capital profits [WN 4]	720
	3,120

7. Unrealized profit in respect of inventory

₹ 100 lakhs x $\frac{25}{125}$ = ₹ 20 lakhs

8. Computation of bonus to equity shareholders

	₹ In lakhs
Shares as on 31st March 20X1 including bonus share issued on 1st January 20X1	4,800
Or we can say these are $1 + \frac{3}{5}$ Or $\frac{8}{5}$	
i.e. Shares before bonus issue should have been $\frac{4,800}{8/5}$ =	3,000
Accordingly, bonus issue would be (4,800 – 3,000)	1,800

Consolidated Balance Sheet [With Uniformity of Accounting Policy]

Question 22

Subsidiary B Ltd. provides the following balance sheet:

Particulars			Notes	20X0 (₹)	20X1 (₹)
		Equity and Liabilities			
1		**Shareholders' funds**			
	(a)	Share capital	1	5,00,000	5,00,000

	(b)	Reserves and Surplus	2	2,86,000	7,14,000
2		**Current liabilities**			
	(a)	Short term borrowings	3	–	1,70,000
	(b)	Trade Payables		4,90,000	4,94,000
	(c)	Short-term provisions	4	3,10,000	4,30,000
		Total		**15,86,000**	**23,08,000**
		Assets			
1		**Non-current assets**			
	(a)	PPE and intangible asset			
		i Property, plant and Equipment	5	2,72,000	2,24,000
	(b)	Non-current investment			4,00,000
2		**Current Assets**			
	(a)	Inventories		5,97,000	7,42,000
	(b)	Trade receivables		5,94,000	8,91,000
	(c)	Cash and Cash equivalents		51,000	3,000
	(d)	Other current assets	6	72,000	48,000
		Total		**15,86,000**	**23,08,000**

Notes to Accounts

S. No.	Particulars	20X0 (₹)	20X1 (₹)
1	**Share capital**		
	5,000 equity shares of ₹ 10 each, fully paid up	5,00,000	5,00,000
2	**Reserves and Surplus**		
	General Reserves	2,86,000	7,14,000
3	**Short term borrowings**		
	Bank overdraft	–	1,70,000
4	**Short term provisions**		
	Provision for taxation	3,10,000	4,30,000
5	**Property, plant and equipment**		
	Cost	3,20,000	3,20,000
	Less: Depreciation	(48,000)	(96,000)
	Total	2,72,000	2,24,000
6	**Other current Assets**		
	Prepaid expenses	72,000	48,000

Also consider the following information:

(a) B Ltd. is a subsidiary of A Ltd. Both the companies follow calendar year as the accounting year.

(b) A Ltd. values inventory on weighted average basis while B Ltd. used FIFO basis. To bring B Ltd.'s values in line with those of A Ltd, its value of inventory is required to be reduced by ₹ 12,000 at the end of 20X0 and ₹ 34,000 at the end of 20X1.

(c) B Ltd. deducts 1% from Trade Receivables as a general provision against doubtful debts. This policy is not followed by A Ltd.

(d) Prepaid expenses in B Ltd. include advertising expenditure carried forward of ₹ 60,000 in 20X0 and ₹ 30,000 in 20X1, being part of initial advertising expenditure of ₹ 90,000 in 20X0 which is being written off over three years. Similar amount of advertising expenditure of A Ltd. has been fully written off in 20X0.

Restate the balance sheet of B Ltd. as at 31st December, 20X1 after considering the above information, for the purpose of consolidation. Would restatement be necessary to make the accounting policies adopted by A Ltd. and B Ltd. uniform.

Answer

As per para 20 and 21 of AS 21, Consolidated financial statements:

Consolidated financial statements should be prepared using uniform accounting policies for like transactions and other events in similar circumstances. If it is not practicable to use uniform accounting policies in preparing the consolidated financial statements, that fact should be disclosed together with the proportions of the items in the consolidated financial statements to which the different accounting policies have been applied.

If a member of the group uses accounting policies other than those adopted in the consolidated financial statements for like transactions and events in similar circumstances, appropriate adjustments are made to its financial statements when they are used in preparing the consolidated financial statements.

Accordingly in the given case, restatement would be required to make the accounting policies of A Ltd and B Ltd uniform.

Adjusted reserves of B Ltd.:

	₹	₹
Reserves as given		7,14,000
Add: Provision for doubtful debts [{(8,91,000/99) x 100} – 8,91,000]		9,000
		7,23,000
Less: Reduction in value of Inventory	34,000	
Advertising expenditure to be written off	30,000	(64,000)
Adjusted reserves		**6,59,000**

Note: No adjustment would be required in respect of opening inventory of B Ltd as that will not have any impact on P&L.

Restated Balance Sheet of B Ltd. as at 31st December, 20X1

Particulars			Notes	20X1 (₹)
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	5,00,000
	(b)	Reserves and Surplus	2	6,59,000
2		**Current liabilities**		
	(a)	Short term borrowings	3	1,70,000
	(b)	Trade Payables		4,94,000
	(c)	Short-term provisions	4	4,30,000
		Total		**22,53,000**

		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment	5	2,24,000
	(b)	Non-current investment		4,00,000
2		**Current Assets**		
	(a)	Inventories	6	7,08,000
	(b)	Trade receivables	7	9,00,000
	(c)	Cash and Cash equivalents		3,000
	(d)	Other current assets	8	18,000
		Total		**22,53,000**

Notes to Accounts

S. No.	Particulars	20X1 (₹)
1	**Share capital**	
	5,000 equity shares of ₹ 10 each, fully paid up	**5,00,000**
2	**Reserves and Surplus**	
	General Reserves (refer to WN)	**6,59,000**
3	**Short term borrowings**	
	Bank overdraft	**1,70,000**
4	**Short term provisions**	
	Provision for taxation	**4,30,000**
5	**Property, plant and equipment**	
	Cost	3,20,000
	Less: Depreciation	(96,000)
	Total	**2,24,000**
6	**Inventory**	
	Actual inventory	7,42,000
	Less: Change in method of valuation	(34,000)
		7,08,000
7	**Trade receivables**	
	Actual trade receivables	8,91,000
	Add: Adjustment for provision	9,000
		9,00,000
8	**Other current Assets**	
	Prepaid expenses	**48,000**

Question 23

The Balance Sheets of Art Limited and Craft Limited as on 31st March 20X1 are as below:

Particulars	Note	Art Limited (₹)	Craft Limited (₹)

		Equity and Liabilities			
1		**Shareholders' funds**			
	(a)	Share capital	1	6,50,000	4,00,000
	(b)	Reserve and surplus	2	3,12,000	2,48,000
2		**Current liabilities**			
	(a)	Short–term borrowings	3	70,000	–
	(b)	Trade Payables		1,45,000	92,000
		Total		**11,77,000**	**7,40,000**
		Assets			
1		**Non–current assets**			
	(a)	PPE and intangible asset			
		i Property, plant and Equipment	4	4,21,000	3,60,000
	(b)	Non–current investment	5	4,32,000	–
2		**Current Assets**			
	(a)	Inventories		1,66,000	2,05,000
	(b)	Trade receivables		1,33,500	1,68,300
	(c)	Cash and Cash equivalents	6	24,500	6,700
		Total		**11,77,000**	**7,40,000**

S. No.	Particulars	Art Limited (₹)	Craft Limited (₹)
1.	**Share Capital**		
	6,500 shares of ₹ 100 each fully paid up	6,50,000	–
	4,000 shares of ₹ 100 each fully paid-up	–	4,00,000
		6,50,000	**4,00,000**
2.	**Reserves and Surplus**		
	General Reserve	1,20,000	40,000
	Profit and Loss Account	1,92,000	2,08,000
		3,12,000	**2,48,000**
3.	**Short–term borrowings**		
	Bank Overdraft	**70,000**	–
4.	**Property, plant & equipment**		
	Land & Building	1,90,000	1,35,000
	Plant & Machinery	2,31,000	2,25,000
		4,21,000	**3,60,000**
5.	**Non–Current Investment**		
	Investment in Craft Limited (Cost)	**4,32,000**	–
6.	**Cash & Cash equivalents**		
	Cash	**24,500**	**6,700**

Additional information:

(i) Art Limited acquired 3,200 ordinary shares of Craft Limited on 1st October, 20X0. The General Reserve

and Profit & Loss Account of Craft Limited showed a credit balance of ₹ 40,000 and ₹ 58,700 respectively as on 1st April, 20X0.

(ii) The Plant & Machinery of Craft Limited which stood at ₹ 2,50,000 as on 1st April, 20X0 was considered worth ₹ 2,20,000 on the date of acquisition. The depreciation on Plant & Machinery is calculated @ 10% p.a. on the basis of useful life. The revaluation of Plant & Machinery is to be considered at the time of consolidation.

(iii) Craft Limited deducts 1% from Trade Receivables as a general provision against doubtful debts. This policy is not followed by Art Limited.

(iv) On 31st March 20X1, Craft Limited's inventory includes goods which it had purchased from Art Limited for 1,03,500 which made a profit of 15% on cost price.

You are required to prepare a consolidated Balance Sheet as on 31st March 20X1.

Answer

Consolidated Balance Sheet of Art and Craft Ltd as on 31st March, 20X1

Particulars			Note No.	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	6,50,000
	(b)	Reserve and surplus	2	3,73,460
2		**Minority Interest**	3	1,26,740
3		**Current liabilities**		
	(a)	Short term borrowings	4	70,000
	(b)	Trade Payables (1,45,000 + 92,000)		2,37,000
		Total		**14,57,200**
		Assets		
1		**Non–current assets**		
	(a)	PPE and intangible asset		
		i Property, Plant and Equipment	5	7,65,000
2		**Current Assets**		
	(a)	Inventory	6	3,57,500
	(b)	Trade receivables	7	3,03,500
	(c)	Cash and Cash equivalents	8	31,200
		Total		**14,57,200**

Notes to accounts

S. No.	Particulars	₹	₹
1.	**Share Capital**		
	Equity Share Capital		
	6,500 shares of ₹ 100 each fully paid up		**6,50,000**
2.	**Reserves and Surplus**		
	Profit & Loss A/c (WN 5)		2,40,100
	General Reserve (WN 5)		1,20,000

	Capital Reserve (W.N. 3)		13,360
			3,73,460
3.	**Minority Interest in Craft Ltd. (W.N.4)**		**1,26,740**
4.	**Short–term borrowings**		
	Bank Overdraft		**70,000**
5.	**Property, plant & equipment**		
	Land & Building		
	Art Ltd.	1,90,000	
	Craft Ltd.	1,35,000	3,25,000
	Plant & Machinery		
	Art Ltd.	2,31,000	
	Craft Ltd. (2,25,000 – 17,500 + 1,500)	2,09,000	4,40,000
			7,65,000
6.	**Inventory**		
	Art Ltd.	1,66,000	
	Craft Ltd.	2,05,000	
	Less: Unrealized profit	(13,500)	**3,57,500**
7.	**Trade Receivables**		
	Art Ltd.	1,33,500	
	Craft Ltd.	1,70,000	**3,03,500**
8.	**Cash & Cash Equivalents**		
	Art Ltd.	24,500	
	Craft Ltd.	6,700	**31,200**

Working Notes:

1. Shareholding Pattern

Total 4,000 shares	
3,200 shares	800 shares
Art Ltd (80%)	20% Minority Interest

2. Analysis of Profit

Particulars	**General reserve**	**P&L account**
Opening balance	40,000	58,700
Closing balance	40,000	2,08,000
Changes during the year	–	1,49,300

Analysis of Profit

Particulars	**Pre profit (6 months) (₹)**	**Post profit (6 months) (₹)**
Opening Balances (40,000 + 58,700)	98,700	–
Profit for 6 months (1,49,300 x 6/12)	74,650	74,650
Provision reversed (1,700) (W.N. 8)	850	850
Revaluation Loss (W.N. 6)	(17,500)	–

Savings in depreciation (W.N. 6)	–	1,500
Total	**1,56,700**	**77,000**
Holding (80%)	1,25,360	61,600
Minority Interest (20%)	31,340	15,400

3. Cost of Control

Particulars	**₹**	**₹**
Cost of Investment (Given)		4,32,000
Less: Share in Net Assets:		
(a) Share Capital (3,200 shares x ₹100)	3,20,000	
(b) Capital Profit (W.N. 2)	1,25,360	(4,45,360)
Capital Reserve		**13,360**

4. Minority Interest

Particulars	**₹**
Share Capital (800 shares x 100)	80,000
Capital Profit (W.N. 2)	31,340
Revenue Profit (W.N. 2)	15,400
Total	**1,26,740**

5. Consolidated Profit and General Reserve of Art Ltd

Particulars	**P&L A/c (₹)**	**General reserve (₹)**
Balance as per Balance Sheet	1,92,000	1,20,000
Revenue Profit	61,600	–
Unrealized Profit (Downstream)	(13,500)	–
Total	**2,40,100**	**1,20,000**

6. Calculation of Revaluation Profit/Loss

Particulars	**₹**
Balance as on 01.04.20X0 (given)	2,50,000
Depreciation for 6 months (2,50,000 x 10% x 6/12)	(12,500)
WDV as on date of acquisition	2,37,500
Revalued amount	2,20,000
Revaluation Loss	17,500

7. Savings in Depreciation

= Depreciation Provided for 6 months – Depreciation Should be

= 12,500 – (2,20,000 x 10% x 6/12) = 1,500

8. Calculation of provision reversed

Trade Receivable (Given) = 1,68,300 it is after provision i.e. 99%. So, 100% will be 1,70,000 therefore provision will be 1,700.

As per para 20 and 21 of AS 21, Consolidated financial statements: Consolidated financial statements should be prepared using uniform accounting policies for like transactions and other events

in similar circumstances. If it is not practicable to use uniform accounting policies in preparing the consolidated financial statements, that fact should be disclosed together with the proportions of items in the consolidated financial statements to which the different accounting policies have been applied.

Preparation of Consolidated Statement of P&L

Question 24

H Ltd and its subsidiary S Ltd provide the following information for the year ended 31st March, 20X3:

	H Ltd. (₹ in lacs)	S Ltd. (₹ in lacs)
Sales and other income	5,000	1,000
Increase in Inventory (closing less opening)	1,000	200
Raw material consumed	800	200
Wages and Salaries	800	150
Production expenses	200	100
Administrative Expenses	200	100
Selling and Distribution Expenses	200	50
Interest	100	50
Depreciation	100	50

Other Information:

H Ltd. sold goods to S Ltd. of ₹ 120 lacs at cost plus 20%. Inventory of S Ltd. includes such goods valuing ₹ 24 lacs. Administrative expenses of S Ltd. include ₹ 5 lacs paid to H Ltd. as consultancy fees. Selling and distribution expenses of H Ltd. include ₹ 10 lacs paid to S Ltd. as commission.

H Ltd. holds 80% of equity share capital of ₹ 1,000 lacs in S Ltd. prior to 20X1-20X2. H Ltd. took credit to its Profit & Loss A/c, the proportionate amount of dividend declared and paid by S Ltd. for the year 20X1-20X2.

Prepare a consolidated statement of profit and loss.

Answer

Consolidated statement of profit and loss of H Ltd. and S Ltd. for the year ended on 31st March, 20X3

Particulars		Note No.	₹ in Lacs
I.	Revenue from operations	1	5,865
II.	**Total Income**		**5,865**
III.	Expenses		
	Cost of material purchased/consumed	2	880
	Changes of inventories of finished goods	3	(1,196)
	Employee benefit expense	4	950
	Finance cost	5	150
	Depreciation and amortization expense	6	150
	Other expenses	7	835
	Total expenses		**1,769**
IV.	**Profit before tax (II – III)**		**4,096**

Notes to Accounts

S. No.	Particulars	₹ in Lacs	₹ in Lacs
1	**Revenue from operations**		
	Sales and other income		
	H Ltd.	5,000	
	S Ltd.	1,000	
		6,000	
	Less: Inter-company sales	(120)	
	Consultancy fees received by H Ltd. from S Ltd.	(5)	
	Commission received by S Ltd. from H Ltd.	(10)	**5,865**
2	**Cost of material purchased/consumed**		
	H Ltd.	800	
	S Ltd.	200	
		1,000	
	Less: Purchases by S Ltd. from H Ltd.	(120)	**880**
3	**Changes of inventories of finished goods**		
	H Ltd.	1,000	
	S Ltd.	200	
	Less: Unrealized profits [₹ 24 lacs x 20/120]	(4)	**1,196**
4	**Employee benefits and expenses**		
	Wages and salaries:		
	H Ltd.	800	
	S Ltd.	150	**950**
5	**Finance cost**		
	Interest:		
	H Ltd.	100	
	S Ltd.	50	**150**
6	**Depreciation**		
	H Ltd.	100	
	S Ltd.	50	**150**
7	**Other expenses**		
	Administrative expenses:		
	H Ltd.	200	
	S Ltd.	100	
	Less: Consultancy fees received by H Ltd. from S Ltd.	(5)	295
	Selling and distribution Expenses:		
	H Ltd.	200	
	S Ltd.	50	
	Less: Commission received by S Ltd. from H Ltd.	(10)	240
	Direct expenses (Production):		

	H Ltd.	200	
	S Ltd.	100	300
			835

Question 25

Chand Ltd. and its subsidiary Sitara Ltd. provided information for the year ended 31st March, 20X4:

Particulars	Chand Ltd (₹)	Sitara Ltd. (₹)
Equity Share Capital	20,00,000	6,00,000
Finished Goods Inventory as on 01.04.20X3	4,20,000	3,01,000
Finished Goods Inventory as on 31.03.20X4	8,57,500	3,76,250
Dividend Income	1,68,000	43,750
Other non-operating Income	35,000	10,500
Raw material consumed	13,93,000	4,72,500
Selling and Distribution Expenses	3,32,500	1,57,500
Production Expenses	3,15,000	1,40,000
Loss on sale of investments	26,250	Nil
Sales and other operating income	33,25,000	19,07,500
Wages and Salaries	13,30,000	2,45,000
General and Administrative Expenses	2,80,000	1,22,500
Royalty paid	Nil	5,000
Depreciation	31,500	14,000
Interest expense	17,500	5,250

Other information

- On 1st September 20X1 Chand Ltd., acquired 5,000 equity shares of ₹ 100 each fully paid up in Sitara Ltd.
- Sitara Ltd. paid a dividend of 10% for the year ended 31st March 20X3. The dividend was correctly accounted for by Chand Ltd.
- Chand Ltd. sold goods of ₹ 1,75,000 to Sitara Ltd. at a profit of 20% on selling price. Inventory of Sitara Ltd. includes goods of ₹ 70,000 received from Chand Ltd.
- Selling and Distribution expenses of Sitara Ltd. include ₹ 21,250 paid to Chand Ltd. as brokerage fees.
- General and Administrative expenses of Chand Ltd. include ₹ 28,000 paid to Sitara Ltd. as consultancy fees.
- Sitara Ltd. used some resources of Chand Ltd., and Sitara Ltd. paid ₹ 5,000 to Chand Ltd. as royalty.
- Consultancy fees, Royalty and brokerage received is to be considered as operating revenues.

Prepare Consolidated Statement of Profit and Loss of Chand Ltd. and its subsidiary Sitara Ltd. for the year ended 31st March, 20X4 as per Schedule III to the Companies Act, 2013.

Answer

Consolidated statement of P&L of Chand Ltd. and its subsidiary Sitara Ltd. for year ended 31.3.20X4

Particulars	Note No.	₹

Revenue from operations	1	50,03,250
Other Income	2	2,57,250
Total Income (I)		**52,60,500**
Expenses:		
Cost of material purchased/consumed	3	16,90,500
Changes (Increase) in inventories of finished goods	4	(4,98,750)
Employee benefit expense	5	15,75,000
Finance cost	6	22,750
Depreciation and amortization expense	7	45,500
Other expenses	8	13,24,500
Total expenses (II)		**41,59,500**
Profit before tax (II – III)		**11,01,000**

Notes to Accounts:

S. No.	Particulars	₹	₹
1	**Revenue from operations**		
	Sales and other income:		
	Chand Ltd.	33,25,000	
	Sitara Ltd.	19,07,500	
		52,32,500	
	Less: Inter-company sales	(1,75,000)	
	Consultancy fees received by Sitara Ltd. from Chand Ltd.	(28,000)	
	Royalty received by Chand Ltd. from Sitara Ltd.	(5,000)	
	Brokerage received by Chand Ltd. from Sitara Ltd.	(21,250)	**50,03,250**
2	**Other Income**		
	Dividend income:		
	Chand Ltd.	1,68,000	
	Sitara Ltd.	43,750	2,11,750
	Other Non-operating Income		
	Chand Ltd.	35,000	
	Sitara Ltd.	10,500	45,500
			2,57,250
3	**Cost of material purchased/consumed**		
	Cost of material purchased/consumed:		
	Chand Ltd.	13,93,000	
	Sitara Ltd.	4,72,500	
		18,65,500	
	Less: Purchases by Sitara Ltd. From Chand Ltd.	(1,75,000)	**16,90,500**
4	**Changes (Increase) in inventories of finished goods**		
	Chand Ltd.	4,37,500	
	Sitara Ltd.	75,250	

		5,12,750	
	Less: Unrealized profits [₹ 7,00,000 x 20/100]	(14,000)	**4,98,750**
5	**Employee benefits and expenses**		
	Wages and salaries:		
	Chand Ltd.	13,30,000	
	Sitara Ltd.	2,45,000	**15,75,000**
6	**Finance cost**		
	Interest:		
	Chand Ltd.	17,500	
	Sitara Ltd.	5,250	**22,750**
7	**Depreciation**		
	Chand Ltd.	31,500	
	Sitara Ltd.	14,000	**45,500**
8	**Other expenses**		
	General & Administrative expenses:		
	Chand Ltd.	2,80,000	
	Sitara Ltd.	1,22,500	
		4,02,500	
	Less: Consultancy fees received by Sitara Ltd. from Chand Ltd.	(28,000)	3,74,500
	Royalty:		
	Sitara Ltd.	5,000	
	Less: Received by Chand Ltd. Selling and distribution	(5,000)	Nil
	Expenses:		
	Chand Ltd.	3,32,500	
	Sitara Ltd.	1,57,500	
		4,90,000	
	Less: Brokerage received by Chand Ltd. from Sitara Ltd.	(21,250)	4,68,750
	Direct expenses (Production):		
	Chand Ltd.	3,15,000	
	Sitara Ltd.	1,40,000	4,55,000
	Loss on sale of investments Sitara Ltd.		26,250
			13,24,500

Accounting for Investment in Associate Company [AS 23]

Question 26

Hill Ltd. has a share capital of 50,000 shares @ ₹ 100 per share. Sun Ltd. acquired 15% shares in Hill Ltd. on 1.4.20X1. It also acquired all the 5,000, 12% convertible debentures of ₹ 100 each of Hill Ltd. These debentures will be converted at par into equity shares of Hill Ltd. after 3 years. State whether, as per AS 23, Hill Ltd. is an Associate of Sun Ltd. or not with reasons?

Answer

As per para 3 of AS 23 'Accounting for Investments in Associates in Consolidated Financial Statements', an associate is an enterprise in which the investor has significant influence and which is neither a subsidiary nor a joint venture of the investor.

Standard further explains in para 4 that as regards share ownership, if an investor holds, directly or indirectly through subsidiary (ies), 20% or more of the voting power of the investee, it is presumed that the investor has significant influence, unless it can be clearly demonstrated that this is not the case. Conversely, if the investor holds, directly or indirectly through subsidiary (ies), less than 20% of the voting power of the investee, it is presumed that the investor does not have significant influence, unless such influence can be clearly demonstrated.

Further as per an explanation to para 4 of the standard, for the purpose of classification of associate, the potential equity shares of the investee held by the investor will not be taken into account for determining the voting power of the investor. In other words, the voting power should be determined on the basis of the current outstanding securities with voting rights.

As per the information given in the question, Sun Ltd. presently holds indirectly 22.7% shares (with and without voting rights) (Refer W.N.) in Hill Ltd. However, the current outstanding securities with voting rights in Hill Ltd. is only 15% and the remaining holding is on account of potential equity shares. Since potential equity shares do not have voting rights they will not be taken into consideration while determining the significant influence of Sun Ltd. on Hill Ltd. Hence, Hill Ltd. is not an associate of Sun Ltd.

Working Note:

Calculation of percentage of holding of shares after conversion

	₹
Current holding is 15% i.e. 7,500 shares of ₹ 100 each	7,50,000
Potential equity shares i.e. 5,000 shares of ₹ 100 each	5,00,000
	12,50,000

Total share capital of Hill Ltd. after conversion of debentures into equity shares will be = ₹ 50,00,000 + ₹ 5,00,000 = ₹ 55,00,000

Question 27

A Ltd. acquire 45% of B Ltd. shares on April 01, 20X1, the price paid was ₹ 15,00,000. Following are the extracts of balance sheet of B Ltd. as of 1 April 20X1:

Paid up Equity Share Capital	₹ 10,00,000
Securities Premium	₹ 1,00,000
Reserve & Surplus	₹ 5,00,000

B Ltd. has reported net profits of ₹ 3,00,000 and paid dividends of ₹ 1,00,000 for the year ended 31 March 20X2. Calculate the amount at which the investment in B Ltd. should be shown in the consolidated balance sheet of A Ltd. as on March 31, 20X2.

Answer

Calculation of Goodwill/Capital Reserve under Equity Method

Particulars		₹	₹
Investment in B Ltd.	(A)		15,00,000
Equity Shares		10,00,000	
Security Premium		1,00,000	
Reserves & Surplus		5,00,000	
Net Assets		16,00,000	
45% of Net Asset	(B)		7,20,000
Goodwill (A – B)			**7,80,000**

Calculation of Carrying Amount of Investment in the year ended on 31st March, 20X2

Particulars	₹
Share of Net Assets on 1 April 20X1	7,20,000
Add: Goodwill	7,80,000
Cost of Investment	15,00,000
Add: Profit during the year (3,00,000 x 45%)	1,35,000
Less: Dividend paid (1,00,000 x 45%)	(45,000)
Carrying Amount of Investment	**15,90,000**

Question 28

A Ltd. acquired 25% of shares in B Ltd. as on 31.3.20X1 for ₹ 3 lakhs. The Balance Sheet of B Ltd. as on 31.3.20X1 is given below:

	₹
Share Capital	5,00,000
Reserves and Surplus	5,00,000
	10,00,000
PPE	5,00,000
Investments	2,00,000
Current Assets	3,00,000
	10,00,000

During the year ended 31.3.20X2 the following are the additional information available:

(i) A Ltd. received dividend from B Ltd., for the year ended 31.3.20X1 at 40% from the Reserves.

(ii) B Ltd., made a profit after tax of ₹ 7 lakhs for the year ended 31.3.20X2.

(iii) B Ltd., declared a dividend @ 50% for the year ended 31.3.20X2 on 30.4.20X2.

A Ltd. is preparing Consolidated Financial Statements in accordance with AS 21 for its various subsidiaries. Calculate:

(i) Goodwill if any on acquisition of B Ltd.'s shares.

(ii) How A Ltd., will reflect the value of investment in B Ltd., in the Consolidated Financial Statements?

(iii) How the dividend received for 31.3.20X2 on 30.4.20X2 from B Ltd. will be shown in the Consolidated Financial Statements?

Answer

In terms of AS 23, B Ltd. will be considered as an associate company of A Ltd. as shares acquired represent to more than 20%.

(i) Calculation of Goodwill **(₹ in lakhs)**

Amount paid towards acquisition of stake in B Ltd.	3.00
Less: Pre-acquisition dividend (₹ 5,00,000 x 40% x 25%)	0.50
Cost of Investment in B Ltd.	2.50
Less: Share in the value of Equity of B Ltd. as at the date of investment [25% of ₹ 8 lakhs (₹ 5 lakhs + ₹ 5 lakhs – ₹ 2 lakhs)]	(2.00)
Goodwill	**0.50**

(ii) A Ltd.

Consolidated Profit and Loss Account for the year ended 31st March, 20X2 (An extract)

		₹ in lakhs
Other income:		
Share of profits in B Ltd.		1.75
Pre-acquisition Dividend received from B Ltd.	0.50	
Transfer to investment A/c	(0.50)	Nil

(iii) A Ltd.

Consolidated Balance Sheet as on 31.3.20X2 (An extract)

		₹ in lakhs
Non-current investments		
Investment in B Ltd.		
Cost of Investment in B Ltd. (including goodwill)	2.50	
Share of profit for year 20X1-20X2	1.75	4.25

Working Notes:

1. Pre-acquisition dividend received from B Ltd. amounting to ₹ 0.50 lakhs will be reduced from investment value in the books of A Ltd.
2. B Ltd. made a profit of ₹ 7 lakhs for the year ended 31st March, 20X2. A Ltd.'s share in the profits of ₹ 7 lakhs is ₹ 1.75 lakhs. Investment in B Ltd. will be increased by ₹ 1.75 lakhs and consolidated profit and loss account of A Ltd. will be credited with ₹ 1.75 lakhs in the consolidated financial statement of A Ltd.
3. Dividend declared on 30.4.20X2 will not be recognized in the consolidated financial statement of A Ltd.

Question 29

Bright Ltd. acquired 30% of East India Ltd. shares for ₹ 2,00,000 on 01-06-20X1. By such an acquisition Bright can exercise significant influence over East India Ltd. During the financial year ending on 31-03-20X1 East India earned profits ₹ 80,000 and declared a dividend of ₹ 50,000 on 12-08-20X1. East India reported earnings of ₹ 3,00,000 for the financial year ending on 31-03-20X2 (assume profits to accrue evenly) and declared dividends of ₹ 60,000 on 12-06-20X2.

Calculate the carrying amount of investment in:

(i) Separate financial statements of Bright Ltd. as on 31-03-20X2;

(ii) Consolidated financial statements of Bright Ltd.; as on 31-03-20X2;

(iii) What will be the carrying amount as on 30-06-20X2 in consolidated financial statements?

Answer

(i) Carrying amount of investment in Separate Financial Statement of Bright Ltd. as on 31.03.20X2

	₹
Amount paid for investment in Associate (on 1.06.20X1)	2,00,000
Less: Pre-acquisition dividend (₹ 50,000 x 30%)	(15,000)
Carrying amount as on 31.3.20X2 as per AS 13	**1,85,000**

(ii) Carrying amount of investment in Consolidated Financial Statements of Bright Ltd. as on 31.3.20X2 as per AS 23.

	₹
Carrying amount as per separate financial statements	1,85,000
Add: Proportionate share of 10-month profit of investee as per equity method (30% of ₹ 3,00,000 x 10/12)	75,000
Carrying amount as on 31.3.20X2	**2,60,000**

(iii) Carrying amount of investment in Consolidated Financial Statement of Bright Ltd. as on 30.6.20X2 as per AS 23

	₹
Carrying amount as on 31.3.20X2	2,60,000
Less: Dividend received (₹ 60,000 x 30%)	(18,000)
Carrying amount as on 30.6.20X2	**2,42,000**

Question 30

A Ltd. acquired 40% share in B Ltd. on April 01, 20X1 for ₹ 10 lacs. On that date, B Ltd. had 1,00,000 equity shares of ₹ 10 each fully paid and accumulated profits of ₹ 2,00,000. During the year 20X1-20X2, B Ltd. suffered a loss of ₹ 10,00,000; during 20X2-20X3 loss of ₹ 12,50,000 and during 20X3-20X4 again a loss of ₹ 5,00,000. Show extract of consolidated balance sheet of A Ltd. on all four dates recording the above events.

Answer

Calculation of Goodwill/Capital Reserve under Equity Method

Particulars	₹
Equity Shares	10,00,000
Reserves & Surplus	2,00,000
Net Assets	12,00,000
40% share of Net Assets	4,80,000
Less: Cost of Investment	(10,00,000)
Goodwill	**5,20,000**

Consolidated Balance Sheet (Extract) as on April 01, 20X1: ASSETS

Investment in Associate as per AS 23	₹	₹
Share of Net Assets on April 1	4,80,000	
Add: Goodwill	5,20,000	10,00,000

Calculation of Carrying Amount of Investment as at 31 March 20X2:

Investment in Associate as per AS 23	₹
Share of Net Assets on 1 April, 20X1	4,80,000
Add: Goodwill	5,20,000
Cost of Investment	10,00,000
Less: Loss for the year (10,00,000 x 40%)	(4,00,000)
Carrying Amount of Investment	**6,00,000**

Consolidated Balance Sheet (Extract) as on March 31, 20X2: ASSETS

Investment in Associate as per AS 23	₹	₹
Share of Net Assets on 1 April, 20X1	4,80,000	
Less: Share of Loss as above	(4,00,000)	
	80,000	
Add: Goodwill	5,20,000	6,00,000

Calculation of Carrying Amount of Investment as at 31 March 20X3:

Investment in Associate as per AS 23	₹
Carrying Amount of Investment as on 31 March 20X2	6,00,000
Less: Loss for the year (12,50,000 x 40%)	(5,00,000)
Carrying Amount of Investment	**1,00,000**

Consolidated Balance Sheet (Extract) as on March 31, 20X3: ASSETS

Investment in Associate as per AS 23	₹	₹
Share of Net Assets on 1 April, 20X1	4,80,000	
Less: Share of Loss as above (₹ 4,00,000 + ₹ 5,00,000)	(9,00,000)	
	(4,20,000)	
Add: Goodwill	5,20,000	1,00,000

Calculation of Carrying Amount of Investment as at 31 March 20X4:

Investment in Associate as per AS 23	₹
Carrying Amount of Investment	1,00,000
Less: Loss for the year (5,00,000 x 40% = 2,00,000, restricted to Carrying amount of Investment in B Ltd.) - refer note below	
Carrying Amount of Investment	

Consolidated Balance Sheet (Extract) as on March 31, 20X4: ASSETS

Investment in Associate as per AS 23	₹
Investment in B Ltd.	–

Question 31

A Ltd. invested ₹ 1,00,000 to acquire 10% stake (Investment I) in B Ltd. and later invested ₹ 3,00,000 to acquire additional 20% (Investment II). The net asset value of the B ltd. at the respective investment dates was ₹ 7,50,000 and ₹ 12,50,000 respectively. Determine whether B Ltd. is an associate of A Ltd. Also, calculate goodwill arising on the acquisition of the associate.

Answer

As per para 3 of AS 23 an associate is an enterprise in which the investor has significant influence and which is neither a subsidiary nor a joint venture of the investor. Significant influence may be gained by share ownership, statute or agreement. As regards share ownership, if an investor holds, directly or indirectly through subsidiary(ies), 20% or more of the voting power of the investee, it is presumed that the investor has significant influence, unless it can be clearly demonstrated that this is not the case. In this case, A Ltd. has invested 30% in B Ltd. so B Ltd. is to be considered as an associate of A Ltd.

The goodwill arising on the acquisition of the associate will be computed as follows:

		₹
Investment I	Cost of Investment	1,00,000
	Share in net asset (10 percent of ₹ 7,50,000)	(75,000)
	Goodwill (A)	**25,000**
Investment II	Cost of Investment	3,00,000
	Share in net asset (20 percent of ₹ 12,50,000)	(2,50,000)
	Goodwill (B)	**50,000**
Total goodwill (A + B)		**75,000**

Accounting for Investment in Subsidiary [AS 21] & Associate [AS 23]

Question 32

On 1st February, 20X2, Best Ltd. acquired 80% Equity shares of Cool Ltd. for ₹ 14,80,000. On 31st March, 20X2, Best Ltd. also acquired 25% Equity shares of Good Ltd. for ₹ 3,80,000. The following are the balances extracted from the books of Best Ltd., Cool Ltd., and Good Ltd. as on 31st March, 20X2:

Particulars	Best Ltd. (₹)	Cool Ltd. (₹)	Good Ltd. (₹)
Equity Shares of ₹ 100 each fully paid	30,00,000	20,00,000	10,00,000
Securities Premium	–	2,20,000	–
9% Debentures	6,30,000	–	2,40,000
General Reserve	2,69,000	84,000	1,20,000
Profit & Loss Account (Credit Balance)	3,26,000	2,70,000	50,000
Investments	17,50,000	6,10,000	–
Property, Plant, and Equipment	18,90,000	18,14,000	12,10,000
Current Assets	9,65,000	5,60,000	2,25,000
Trade Payable (Including Bills Payable)	3,80,000	4,10,000	25,000
Sales and other income	56,00,000	38,00,000	27,00,000
Raw material consumed	36,50,000	31,20,000	22,30,000

Wages and Salaries	5,07,000	4,01,000	2,69,000
Production expenses	1,35,000	1,06,000	98,000

Additional information:

- The Profit and Loss account of Cool Ltd. showed a credit balance of ₹ 30,000 on 1st April, 20X1.
- The General Reserve balance is brought forward from the previous year.
- On 31st March, 20X2, all the bills payable in Cool Ltd.'s balance sheet were acceptances in favour of Best Ltd. However, on the date, Best Ltd. held only ₹ 3,00,000 of these acceptances in hand, the rest having been endorsed in favour of its creditor.
- Best Ltd. purchased goods costing ₹ 5,00,000 from Cool Ltd. on 1st June, 20X1 at a price of ₹ 6,50,000. The entire goods remain unsold with Best Ltd. at the end of the financial year.
- Best Ltd. is preparing Consolidated Financial Statements for the year ending 31.03.20X2.

You are required to calculate:

(1) Trade Payable (Consolidated)

(2) Current Assets (Consolidated)

(3) Minority Interest

(4) Goodwill/Capital Reserve on the acquisition of Cool Ltd.'s shares

(5) Goodwill/Capital Reserve on the acquisition of Good Ltd.'s shares

(6) Profit & Loss Account (Consolidated)

(7) General Reserve (Consolidated)

(8) Revenue from Operations (Consolidated)

(9) Cost of material purchased/consumed (Consolidated)

Answer

1. Trade payable (Consolidated)

Best limited	3,80,000
Add: Cool Ltd	4,10,000
Less: Elimination	(3,00,000)
Total	**4,90,000**

2. Current Assets (Consolidated)

Best limited	9,65,000
Add: Cool Ltd	5,60,000
Less: Elimination of inter-company owing	(3,00,000)
Total	**12,25,000**

3. Minority interest Cool Ltd

Share Capital (20,00,000 x 20%)	4,00,000
Add: Securities premium (2,20,000 x 20%)	44,000
Add: General Reserve (84,000 x 20%)	16,800
Add: Profit and loss balance (20% of 2,70,000)	54,000

Total	**5,14,800**

4. Goodwill/Capital Reserve on Acquisition of Cool Ltd.:

Purchase Consideration	14,80,000
Less: Share Capital (20,00,000 x 80%)	16,00,000
Less: Securities premium (2,20,000 x 80%)	1,76,000
Less: General Reserve (84,000 x 80%)	67,200
Less: Profit and loss balance opening (30,000 x 80%)	24,000
Less: Pre acquisition profits [(2,70,000 – 30,000) x 10/12 x 80%]	1,60,000
Capital Reserves	**5,47,200**

5. Goodwill/Capital Reserve on Acquisition of Good Ltd.:

Purchase Consideration	3,80,000
Less: Share Capital (10,00,000 x 25%)	2,50,000
Less: General Reserve (1,20,000 x 25%)	30,000
Less: Profit and loss balance (50,000 x 25%)	12,500
Goodwill	**87,500**

6. Profit and Loss Account (Consolidated)

Best limited	3,26,000
Add: Post acquisition profit of Cool Ltd [(2,70,000 – 30,000) x 2/12 x 80%]	32,000
Total	**3,58,000**

7. General Reserve (Consolidated)

Best limited	**2,69,000**

8. Revenue (Consolidated) as per para no 15 and 22 of AS 21

Revenue of Best Ltd	56,00,000
Add: Revenue of Cool Ltd. (38,00,000 x 2/12)	6,33,333
	62,33,333

9. Cost of materials purchased/consumed (Consolidated) as per para no 15 and 22 of AS 21

Raw material of Best Ltd	36,50,000
Add: Raw material of Cool Ltd (31,20,000 x 2/12)	5,20,000
	41,70,000

Accounting for Investment in Joint Venture [AS 27]

Question 33

A Ltd. a UK based company entered into a joint venture with B Ltd. in India, wherein B Ltd. will import the goods manufactured by A Ltd. on account of joint venture and sell them in India. A Ltd. and B Ltd. agreed to share the expenses & revenues in the ratio of 5:4 respectively whereas profits are distributed equally. A Ltd. invested 49% of total capital but has equal share in all the assets and is equally liable for all the liabilities of the joint venture. Following is the trial balance of the joint venture at the end of the first year:

Particulars	Dr. (₹)	Cr. (₹)
Purchases	9,00,000	
Other Expenses	3,06,000	
Sales		13,05,000
Property, Plant and Equipment	6,00,000	
Current Assets	2,00,000	
Unsecured Loans		2,00,000
Current Liabilities		1,00,000
Capital		4,01,000

Closing inventory was valued at ₹ 1,00,000.

You are required to prepare the Consolidated Financial Statement.

Answer

Consolidated Profit & Loss Account

Particulars	Note No.	(₹)
Revenue from operations	1	13,05,000
Total Revenue (A)		13,05,000
Purchases	2	9,00,000
Other expenses	3	3,06,000
Changes in inventories of finished goods	4	(1,00,000)
Total Expenses (B)		11,06,000
Profit Before Tax (A–B)		**1,99,000**

Consolidated Balance Sheet

		Note No.	(₹)
I	**Equity and liabilities**		
	1. Shareholders' funds		
	Share Capital	5	4,01,000
	Reserves and Surplus	6	1,99,000
	2. Non-current liabilities		
	Long term borrowings	7	2,00,000
	3. Current Liabilities	8	1,00,000
			9,00,000
II	**Assets**		
	1. Non-current Assets		
	Property, Plant and Equipment	9	6,00,000
	2. Current Assets		
	Inventories	10	1,00,000
	Other current assets	11	2,00,000
			9,00,000

Notes to Accounts

	Particulars	(₹)	(₹)
1.	**Revenue from operations**		
	Sales:		
	A Ltd.	7,25,000	
	B Ltd.	5,80,000	13,05,000
2.	**Purchase**		
	A Ltd.	5,00,000	
	B Ltd.	4,00,000	9,00,000
3.	**Other expenses**		
	A Ltd.	1,70,000	
	B Ltd.	1,36,000	3,06,000
4.	**Closing Inventory**		
	A Ltd.	50,000	
	B Ltd.	50,000	1,00,000
5.	**Share Capital**		
	A Ltd.	1,96,490	
	B Ltd.	2,04,510	4,01,000
6.	**Reserve & Surplus**		
	Profit & Loss Account:		
	A Ltd.	99,500	
	B Ltd.	99,500	1,99,000
7.	**Long Term Borrowings**		
	Unsecured Loans:		
	A Ltd.	1,00,000	
	B Ltd.	1,00,000	2,00,000
8.	**Current Liabilities**		
	A Ltd.	50,000	
	B Ltd.	50,000	1,00,000
9.	**Property, Plant and Equipment**		
	A Ltd.	3,00,000	
	B Ltd.	3,00,000	6,00,000
10.	**Inventories**		
	A Ltd.	50,000	
	B Ltd.	50,000	1,00,000
11.	**Other Current Assets**		
	A Ltd.	1,00,000	
	B Ltd.	1,00,000	2,00,000

Question 34

Mr. A, Mr. B and Mr. C entered into a joint venture to purchase a land, construct and sell flats. Mr. A purchased a land for ₹ 60,00,000 on 01.01.20X1 and for the purpose he took loan from a bank for ₹ 50,00,000 @ 8%

interest p.a. He also paid registering fees ₹ 60,000 on the same day. Mr. B supplied the materials for ₹ 4,50,000 from his godown and further he purchased the materials for ₹ 5,00,000 for the joint venture. Mr. C met all other expenses of advertising, labour and other incidental expenses which turnout to be ₹ 9,00,000. On 30.06.20X1 each of the venturer agreed to take away one flat each to be valued at ₹ 10,00,000 each flat and rest were sold by them as follow: Mr. A for ₹ 40,00,000; Mr. B for ₹ 20,00,000 and Mr. C for ₹ 10,00,000. Loan was repaid on the same day by Mr. A along with the interest and net proceeds were shared by the partners equally.

You are required to prepare the draft Consolidated Profit & Loss Account and Joint Venture Account in the books of each venturer.

Answer

Draft Consolidated Profit & Loss Account

Particulars	₹	₹	Particulars	₹	₹
To Purchase of Land:			By Sale of Flats		
Mr. A		60,00,000	Mr. A	40,00,000	
To Registration Fees:			Mr. B	20,00,000	
Mr. A		60,000	Mr. C	10,00,000	70,00,000
To Materials:			By Flats taken by Venturers:		
Mr. B		9,50,000	Mr. A	10,00,000	
To Other Expenses:		9,00,000	Mr. B	10,00,000	
To Bank Interest:			Mr. C	10,00,000	30,00,000
Mr. A		2,00,000			
To Profits:					
Mr. A	6,30,000				
Mr. B	6,30,000				
Mr. C	6,30,000	18,90,000			
		1,00,00,000			**1,00,00,000**

Joint Venture Account [In the Books of Mr. A]

Particulars	₹	Particulars	₹
To Bank Loan (Purchase of Land)	50,00,000	By Bank (Sale of Flats)	40,00,000
To Bank (Purchase of Land)	10,00,000	By Land & Building	10,00,000
To Bank (Registration Fees)	60,000	By Bank (Received from Mr. B)	14,20,000
To Bank (Bank Interest)	2,00,000	By Bank (Received from Mr. C)	4,70,000
To Profit on JV	6,30,000		
	68,90,000		**68,90,000**

Joint Venture Account [In the Books of Mr. B]

Particulars	₹	Particulars	₹
To Purchases (Material Supplied)	4,50,000	By Bank (Sale of Flats)	20,00,000
To Bank (Materials)	5,00,000	By Land & Building	10,00,000
To Profit on JV	6,30,000		

To Bank (Paid to Mr. A)	14,20,000		
	30,00,000		**30,00,000**

Joint Venture Account [In the Books of Mr. C]

Particulars	**₹**	**Particulars**	**₹**
To Bank (Misc. Expenses)	9,00,000	By Bank (Sale of Flats)	10,00,000
To Profit on JV	6,30,000	By Land & Building	10,00,000
To Bank (Paid to Mr. A)	4,70,000		
	20,00,000		**20,00,000**

Question 35

A Ltd., B Ltd. and C Ltd. decided to jointly construct a pipeline to transport the gas from one place to another that was manufactured by them. For the purpose following expenditure was incurred by them: Buildings ₹ 12,00,000 to be depreciated @ 5% p.a., Pipeline for ₹ 60,00,000 to be depreciated @ 15% p.a., computers and other electronics for ₹ 3,00,000 to be depreciated @ 40% p.a. and various vehicles of ₹ 9,00,000 to be depreciated @ 20% p.a.

They also decided to equally bear the total expenditure incurred on the maintenance of the pipeline that comes to ₹ 6,00,000 each year.

You are required to show the consolidated balance sheet and the extract of Statement of Profit & Loss and Balance Sheet for each venturer.

Answer

Consolidated Balance Sheet

		Note	**(₹)**
I	**Equity and liabilities**		
	Shareholders' funds		
	Share Capital	1	71,40,000
			71,40,000
II	**Assets**		
	Non-current Assets		
	Property, Plant and Equipment:	2	71,40,000
			71,40,000

Notes to Accounts

		(₹)	**(₹)**
1.	**Share capital**		
	A Ltd.	23,80,000	
	B Ltd.	23,80,000	
	C Ltd.	23,80,000	71,40,000
2.	**Property, Plant and Equipment**		
	Land & Building:		

	A Ltd.	3,80,000	
	B Ltd.	3,80,000	
	C Ltd.	3,80,000	11,40,000
	Plant & Machinery:		
	A Ltd.	17,00,000	
	B Ltd.	17,00,000	
	C Ltd.	17,00,000	51,00,000
	Computers:		
	A Ltd.	60,000	
	B Ltd.	60,000	
	C Ltd.	60,000	1,80,000
	Vehicles:		
	A Ltd.	2,40,000	
	B Ltd.	2,40,000	
	C Ltd.	2,40,000	7,20,000

In the Books of A Ltd.

Extract of statement of Profit & Loss

Particulars	**Note No.**	**₹**
Depreciation and amortisation expense	1	4,20,000
Other operating Expenses (Pipeline Expenses)		200,000

Extract of Balance Sheet

Particulars	**Note No.**	**₹**
Assets		
Non-current assets		
Property, Plant and Equipment	2	23,80,000

Notes to Accounts

		(₹)	**(₹)**
1.	**Depreciation and amortisation expense**		
	Land & Building	20,000	
	Plant & Machinery	3,00,000	
	Computers	40,000	
	Vehicles	60,000	4,20,000
2.	**Property, Plant and Equipment**		
	Land & Building	4,00,000	
	Less: Depreciation	(20,000)	3,80,000
	Plant & Machinery	20,00,000	
	Less: Depreciation	(3,00,000)	17,00,000
	Computers	1,00,000	
	Less: Depreciation	(40,000)	60,000
	Vehicles	3,00,000	

	Less: Depreciation	(60,000)	2,40,000
			23,80,000

In the Books of B Ltd.

Extract of draft Profit & Loss Account

Particulars	Note No.	₹
Depreciation and amortisation expense	1	4,20,000
Other operating Expenses (Pipeline Expenses)		200,000

Extract of Balance Sheet

Particulars	Note No.	₹
Assets		
Non-current assets		
Property, Plant and Equipment	2	23,80,000

Notes to Accounts

		(₹)	(₹)
1.	**Depreciation and amortisation expense**		
	Land & Building	20,000	
	Plant & Machinery	3,00,000	
	Computers	40,000	
	Vehicles	60,000	4,20,000
2.	**Property, Plant and Equipment**		
	Land & Building	4,00,000	
	Less: Depreciation	(20,000)	3,80,000
	Plant & Machinery	20,00,000	
	Less: Depreciation	(3,00,000)	17,00,000
	Computers	1,00,000	
	Less: Depreciation	(40,000)	60,000
	Vehicles	3,00,000	
	Less: Depreciation	(60,000)	2,40,000
			23,80,000

In the Books of C Ltd.

Extract of draft Profit & Loss Account

Particulars	Note No.	₹
Depreciation and amortisation expense	1	4,20,000
Other operating Expenses (Pipeline Expenses)		200,000

Extract of Balance Sheet

Particulars	Note No.	₹
Assets		
Non-current assets		

Property, Plant and Equipment	2	23,80,000

Notes to Accounts

		(₹)	(₹)
1.	**Depreciation and amortisation expense**		
	Land & Building	20,000	
	Plant & Machinery	3,00,000	
	Computers	40,000	
	Vehicles	60,000	4,20,000
2.	**Property, Plant and Equipment**		
	Land & Building	4,00,000	
	Less: Depreciation	(20,000)	3,80,000
	Plant & Machinery	20,00,000	
	Less: Depreciation	(3,00,000)	17,00,000
	Computers	1,00,000	
	Less: Depreciation	(40,000)	60,000
	Vehicles	3,00,000	
	Less: Depreciation	(60,000)	2,40,000
			23,80,000

Question 36

A Ltd. entered into a joint venture with B Ltd. on 1:1 basis and a new company C Ltd. was formed for the same purpose and following is the balance sheet of all the three companies:

Particulars	A Ltd.	B Ltd.	C Ltd.
Share Capital	10,00,000	7,50,000	5,00,000
Reserve & Surplus	18,00,000	16,00,000	12,00,000
Loans	3,00,000	4,00,000	2,00,000
Current Liabilities	4,00,000	2,50,000	1,00,000
Property, Plant and Equipment	30,50,000	26,25,000	19,50,000
Investment in JV	2,50,000	2,50,000	–
Current Assets	2,00,000	1,25,000	50,000

Prepare the balance sheet of A Ltd. and B Ltd. under proportionate consolidation method.

Answer

Balance Sheet of A Ltd.

		Note No.	(₹)
I	**Equity and liabilities**		
	1. Shareholders' funds		
	Share Capital	1	10,00,000
	Reserves and Surplus	2	24,00,000

	2. Non-current liabilities		
	Long term borrowings	3	4,00,000
	3. Current Liabilities	4	4,50,000
	TOTAL		**42,50,000**
II	**Assets**		
	1. Non-current Assets		
	Property, Plant and Equipment	4	40,25,000
	2. Current Assets	5	2,25,000
	TOTAL		**42,50,000**

Notes to Accounts

		₹	₹
1.	**Reserves and Surplus**		
	A Ltd.	18,00,000	
	C Ltd.	6,00,000	24,00,000
2.	**Long Term Borrowings**		
	Loans:		
	A Ltd.	3,00,000	
	C Ltd.	1,00,000	4,00,000
3.	**Current Liabilities**		
	A Ltd.	4,00,000	
	C Ltd.	50,000	4,50,000
4.	**Property, Plant and Equipment:**		
	A Ltd.	30,50,000	
	C Ltd.	9,75,000	40,25,000
5.	**Current Assets**		
	A Ltd.	2,00,000	
	C Ltd.	25,000	2,25,000

Balance Sheet of B Ltd.

		Note No.	(₹)
I	**Equity and liabilities**		
	1. Shareholders' funds		
	Share Capital	1	7,50,000
	Reserves and Surplus	2	22,00,000
	2. Non-current liabilities		
	Long term borrowings	3	5,00,000
	3. Current Liabilities	4	1,50,000
	TOTAL		**37,50,000**
II	**Assets**		
	1. Non-current Assets		
	Property, Plant and Equipment	4	36,00,000
	2. Current Assets	5	36,00,000

	TOTAL		**37,50,000**

Notes to Accounts

		₹	₹
1.	**Reserves and Surplus**		
	B Ltd.	16,00,000	
	C Ltd.	6,00,000	22,00,000
2.	**Long Term Borrowings**		
	Loans:		
	B Ltd.	4,00,000	
	C Ltd.	1,00,000	5,00,000
3.	**Current Liabilities:**		
	B Ltd.	2,50,000	
	C Ltd.	50,000	3,00,000
4.	**Property, Plant and Equipment:**		
	B Ltd.	26,25,000	
	C Ltd.	9,75,000	36,00,000
5.	**Current Assets:**		
	B Ltd.	1,25,000	
	C Ltd.	25,000	1,50,000

CHAPTER - 22
AS 22: Accounting for Taxes on Income

Calculation of Deferred Tax

Question 1

Rama Ltd., has provided the following information:

	₹
Depreciation as per accounting records	2,00,000
Depreciation as per income tax records	5,00,000
Unamortised preliminary expenses as per tax record	30,000

There is adequate evidence of future profit sufficiency. How much net deferred tax asset/liability should be recognised as transition adjustment? Tax rate 50%.

Answer

Table showing calculation of deferred tax asset/liability

Particulars	Amount	Timing differences	Deferred tax	Amount @ 50%
Excess depreciation as per tax records (₹ 5,00,000 – ₹ 2,00,000)	3,00,000	Timing	Deferred tax liability	1,50,000
Unamortised preliminary expenses as per tax records	30,000	Timing	Deferred tax asset	(15,000)
Net deferred tax liability				**1,35,000**

Question 2

Ultra Ltd. has provided the following information:

Depreciation as per accounting records = ₹ 4,00,000

Depreciation as per tax records = ₹ 10,00,000

Unamortized preliminary expenses as per tax record = ₹ 30,000

There is adequate evidence of future profit sufficiency. How much deferred tax asset/liability should be recognized as transition adjustment when the tax rate is 50%?

Answer

Calculation of difference between taxable income and accounting income

Particulars	Amount (₹)
Excess depreciation as per tax ₹ (10,00,000 – 4,00,000)	6,00,000
Less: Expenses unamortized in tax records	(30,000)
Timing difference	**5,70,000**

Tax expense is more than the current tax due to timing difference. Therefore, deferred tax liability = 50% x 5,70,000 = 2,85,000

Question 3

Saras Ltd. closes its books as on 31st March 20X2. They have accrued ₹ 5,00,000 towards GST Liability for the month of March 20X2 by debiting their Profit and loss statement which is expected to be paid off by 21st April 20X2. As per the provisions of Section 43B of the Income Tax Act, 1961, any expenditure of the nature mentioned in section 43B (e.g. taxes, duty, cess, fees, etc.) accrued in the statement of profit and loss on mercantile basis will be allowed for tax purposes in subsequent years on payment basis only. Assuming a Tax rate of 30% determine the Deferred Tax Asset/Liability as at 31st March 20X2.

Answer

Calculation of difference between taxable income and accounting income

Particulars	Amount (₹)
GST Liability debited in books	5,00,000
Less: GST Liability allowed under Income Tax Act (Section 43B)	Nil
Timing difference	**5,00,000**

Tax expense is less than the current tax due to timing difference.

Therefore, deferred tax Asset = 30% x 5,00,000 = 1,50,000

Question 4

Omega Limited is working on different projects which are likely to be completed within 3 years period. It recognises revenue from these contracts on percentage of completion method for financial statements during 20X0-20X1, 20X1-20X2 and 20X2-20X3 for ₹ 11,00,000, ₹ 16,00,000 and ₹ 21,00,000 respectively. However, for Income-tax purpose, it has adopted the completed contract method under which it has recognised revenue of ₹ 7,00,000, ₹ 18,00,000 and ₹ 23,00,000 for the years 20X0-20X1, 20X1-20X2 and 20X2-20X3 respectively. Income-tax rate is 35%. Compute the amount of deferred tax asset/liability for the years 20X0-20X1, 20X1-20X2 and 20X2-20X3.

Answer

Calculation of Deferred Tax Asset/Liability in Omega Limited

Year	Accounting Income	Taxable Income	Timing Difference	Timing Difference (balance)	Deferred Tax	Deferred Tax Liability (balance)
20X0-20X1	11,00,000	7,00,000	4,00,000	4,00,000	1,40,000	1,40,000
20X1-20X2	16,00,000	18,00,000	(2,00,000)	2,00,000	(70,000)	70,000
20X2-20X3	21,00,000	23,00,000	(2,00,000)	NIL	(70,000)	NIL
	48,00,000	**48,00,000**				

Question 5

Delta Ltd. is working on different projects those are likely to be completed within 3 years period. It recognizes revenue from these contracts on Percentage of Completion Method for Financial Statements for the years ending 20X1, 20X2 and 20X3 for ₹ 34 Lakhs, ₹ 50 Lakhs and ₹ 65 Lakhs respectively.

However, for Income Tax purpose, it has adopted the Completed Contract Method under which it has

recognized revenue of ₹ 30 Lakhs, ₹ 52 Lakhs and ₹ 67 Lakhs for the years ending 20X1, 20X2 and 20X3 respectively. Income Tax rate is 30%.

Compute the amount of Deferred Tax Asset/Liability and Total Tax Expenses for the years ending 31st March 20X1, 20X2 and 20X3.

Answer

Calculation of Deferred Tax Asset/Liability in Delta Limited

Year	Accounting Income	Taxable Income	Timing Difference	Timing Difference (balance)	Deferred Tax	Deferred Tax Liability (balance)
20X1	34,00,000	30,00,000	4,00,000	4,00,000	1,20,000	1,20,000
20X2	50,00,000	52,00,000	(2,00,000)	2,00,000	(60,000)	60,000
20X3	65,00,000	67,00,000	(2,00,000)	NIL	(60,000)	NIL

Calculation of total tax

Year	₹	Current tax expense	Total tax
20X1	1,20,000	(30,00,000 x 30%) = 9,00,000	10,20,000
20X2	(60,000)	(52,00,000 x 30%) = 15,60,000	15,00,000
20X3	(60,000)	(67,00,000 x 30%) = 20,10,000	19,50,000

Note: It is assumed that the revenue and the taxable profit is the same.

Question 6

ABC Company limited had an investment in Venture Capital amounting ₹ 10 Crores. Venture capital in turn had invested in the below portfolio companies (New Start-ups) on behalf of ABC Limited:

Portfolio Companies	Amount of investment (₹ in Crores)
Oscar Limited	2
Zee Limited	3
Star Limited	4
Sony Limited	1
Total	**10**

During the FY 20X1-20X2, Venture Capital had sold their investment in Star Limited and realised an amount of ₹ 8 Crores on sale of shares of star Limited and entire proceeds of ₹ 8 Crores have been transferred by Venture Capital to ABC Company Limited.

The accounts manager has received the following additional information from venture capital on 31.03.20X2:

(1) 8 Crores has been deducted from the cost of investment and carrying amount of investment as at year end is 2 Crores.

(2) Company had to pay a capital gain tax @ 20% on the net sale consideration of ₹ 4 Crores.

(3) Due to COVID-19, the remaining start-ups (i.e. Oscar Limited, Zee Limited, and Sony Limited) are not performing well and will soon wind up their operations. Venture capital is monitoring the situation and if required they will provide an impairment loss in June 20X2 Quarter.

You need to suggest the accounts manager what should be the correct accounting treatment as per AS 22

"Accounting for Taxes on Income".

Answer

As company had to pay capital gain tax @ 20% on the net sale consideration as per income tax laws, the company has to recognise a current tax liability of 0.8 Crores computed as under:

Particulars	Amount (₹ in Crores)
Sales Consideration	8
Cost of Investment	4
Net gain on Sale	4
Tax @ 20%	0.8

As per AS 22, Timing differences are those differences between taxable income and accounting income for a period that originate in one period and are capable of reversal in one or more subsequent periods.

Particulars	Amount (₹ in Crores)	Rationale
Taxable Income	4	As per income tax laws
Accounting Income	Nil	As the same is deducted from the cost of investment
Timing Difference	4	

As per AS 22, deferred tax assets should be recognised and carried forward only to the extent that there is a reasonable certainty that sufficient future taxable income will be available against which such deferred tax assets can be realised.

Since in current scenario, due to Covid 19 the portfolio companies are not performing well, thus the company may not have sufficient future taxable income which will reverse deferred tax assets. Therefore, the company should not recognise DTA of ₹ 0.8 Crores and company should recognise only current tax liability of ₹ 0.8 Crores.

Question 7

The following information is furnished in respect of Mohit Limited for the year ending 31st March, 20X2.

(i) Depreciation as per accounting records ₹ 56,000

Depreciation for income tax records ₹ 38,000

The above depreciation does not include depreciation on new addition.

(ii) A new machinery purchased on 1st April, 20X1 costing ₹ 24,000 on which 100% depreciation in allowed in the 1st Year for income tax purpose, whereas straight line method of depreciation is considered appropriate for accounting purpose with a life estimation of 4 years.

(ii) The company has made a profit of ₹ 1,28,000 before depreciation and taxes.

(iv) Donation to private trust during the year is ₹ 15,000 (not allowed under Income tax laws).

(v) Corporate tax is 40%.

Prepare relevant extract of statement of Profit & Loss for the year ending 31st March, 20X2. Also show the effect of the above items on Deferred Tax Liability/Assets as per AS 22.

Answer

Statement of profit and Loss for the year ended 31st March, 20X2 (An Extract)

	₹
Profit before taxes and depreciation	1,28,000
Less: Depreciation (56,000 + 6,000)	62,000
Profit before tax	66,000
Less: Current tax (W.N)	(32,400)
Deferred Tax	Nil
Profit after tax	**33,600**

Working Note: Computation of taxable income

	₹
Profit before taxes and depreciation	1,28,000
Less: Depreciation (38,000 + 24,000)	(62,000)
	66,000
Add: Donation	15,000
	81,000
Current tax (40%)	32,400

Note: The profit of ₹ 1,28,000 given in the question is before depreciation and taxes. It has been considered that this amount is after making adjustment of donation amounting ₹ 15,000.

Impact of various items in terms of deferred tax liability/deferred tax asset

Transactions	Nature of difference	Effect	Amount
(1) Difference in depreciation (old machinery)	Timing difference	Reversal of DTL	(56,000 – 38,000) x 40% = (+) ₹ 7,200
(2) Depreciation on new machinery	Timing difference	Creation of DTL	(24,000 – 6,000) x 40% = (–) ₹ 7,200
(3) Donation to private trusts	Permanent difference	Not applicable	–
Net Effect of deferred Tax			**NIL**

Question 8

The following particulars are stated in the Balance Sheet of Siddhi Limited as on 31st March, 20X2:

Particulars	(₹ In lakhs)
Deferred Tax Liabilities (Cr.)	2.50
Deferred Tax Assets (Dr.)	1.35

The following transactions were reported during the year 20X2-X3:

		₹ in lakhs
(i)	Depreciation as per accounting records	15.00
(ii)	Depreciation as per income tax records	20.00
(iii)	Interest paid to NBFC accounted in books on accrual basis but paid on 30.06.20X3, i.e., before the due date of filing return and allowed for tax purpose also	6.00
(iv)	Items disallowed for tax purposes in 20X1-X2 but allowed in 20X2-X3	1.05

(v) Donation to Private Trust (not allowed under Income tax laws)	40.00
(vi) Tax rate	15%
(vii) There were no additions to fixed assets during the year.	

You are required to calculate Deferred Tax Asset and Deferred Tax Liability as on 31-03-20X3 as per AS-22.

Answer

Balances of Deferred tax assets and Deferred tax liability as on 31st March, 20X3

	₹ (in lakhs)
Deferred tax liability (Cr.) (2.5 + 0.75)	3.25
Deferred tax asset (Dr.) (1.35 – 0.158)	1.192

Working Note:

Impact of various items in terms of deferred tax liability/deferred tax asset

S. No.	Transactions	Nature of difference	Effect	Amount (₹)
(i)	Difference in depreciation	Responding timing difference	Creation of DTL	(20 – 15) x 15% = 0.75
(ii)	Interest to financial Institutions	No timing difference	Not applicable	Not applicable
(iii)	Disallowances, as per IT Act, of earlier years	Timing difference	Reversal of DTA	₹ 1.05 lakh x 15% = ₹ 0.158 lakh
(iv)	Donation to private trusts	Permanent difference	Not applicable	Not applicable

Question 9

The following particulars are stated in the Balance Sheet of Deep Limited as on 31st March, 20X2:

	(₹ In Lakhs)
Deferred Tax Liability (Cr.)	28.00
Deferred Tax Assets (Dr.)	14.00

The following transactions were reported during the year 20X2-20X3:

(i) Depreciation as per books was ₹ 70 Lakhs whereas Depreciation for Tax purposes was ₹ 42 Lakhs. There were no additions to Fixed Assets during the year.

(ii) Expenses disallowed in 20X1-X2 and allowed for tax purposes in 20X2-X3 were ₹ 14 Lakhs.

(iii) Share issue expenses allowed under section 35(D) of the Income Tax Act, 1961 for the year 20X2-X3 (1/10th of ₹ 70.00 lakhs incurred in 20X1-X2).

(iv) Repairs to Plant and Machinery were made during the year for ₹ 140.00 Lakhs and was spread over the period 20X2-X3 and 20X3-X4 equally in the books. However, the entire expenditure was allowed for income-tax purposes in the year 20X2-X3.

Tax Rate to be taken at 40%. You are required to show the impact of above items on Deferred Tax Assets and Deferred Tax Liability as on 31st March, 20X3.

Answer

Impact of various items in terms of deferred tax liability/deferred tax asset on 31.3.X3

Transactions	Analysis	Nature of difference	Effect	Amount (₹)
Difference in depreciation	Generally, written down value method of depreciation is adopted under IT Act which leads to higher depreciation in earlier years of useful life of the asset in comparison to later years.	Responding timing difference	Reversal of DTL	28 lakhs x 40% = ₹ 11.20 lakhs
Disallowances, as per IT Act, of earlier years	Tax payable for the earlier year was higher on this account.	Responding timing difference	Reversal of DTA	14 lakhs x 40% = 5.6 lakhs
Share issue expenses	Due to disallowance of full expenditure under IT Act, tax payable in the earlier years was higher.	Responding timing difference	Reversal of DTA	7 lakhs x 40% = ₹ 2.8 lakhs
Repairs to plant and machinery	Due to allowance of full expenditure under IT Act, tax payable of the current year will be less.	Originating timing difference	Increase in DTL	70 lakhs x 40% = 28 lakhs

Special Cases [Carry Forward Loss, MAT, Tax Holiday Period]

Question 10

PQR Ltd.'s accounting year ends on 31st March. The company made a loss of ₹ 2,00,000 for the year ending 31.3.20X1. For the years ending 31.3.20X2 and 31.3.20X3, it made profits of ₹ 1,00,000 and ₹ 1,20,000 respectively. It is assumed that the loss of a year can be carried forward for eight years and tax rate is 40%. By the end of 31.3.20X1, the company feels that there will be sufficient taxable income in the future years against which carry forward loss can be set off. There is no difference between taxable income and accounting income except that the carry forward loss is allowed in the years ending 20X2 and 20X3 for tax purposes. Prepare a statement of Profit and Loss for the years ending 20X1, 20X2 and 20X3.

Answer

Statement of Profit and Loss

	31.3.20X1	31.3.20X2	31.3.20X3
Profit (Loss)	(2,00,000)	1,00,000	1,20,000
Less: Current tax (20,000 x 40%)			(8,000)
Deferred tax:			
Tax effect of timing differences originating during the year (2,00,000 x 40%)	80,000		
Tax effect of timing differences reversed/adjusted during the year (1,00,000 x 40%)		(40,000)	(40,000)
Profit/(Loss) After Tax Effect	**(1,20,000)**	**60,000**	**72,000**

Question 11

From the following details of A Ltd. for the year ended 31-03-20X1, calculate the deferred tax asset/liability as per AS 22 and amount of tax to be debited to the Profit and Loss Account for the year.

Particulars	₹
Accounting Profit	6,00,000
Book Profit as per MAT	3,50,000
Profit as per Income Tax Act	60,000
Tax rate	20%
MAT rate	7.50%

Answer

Tax as per accounting profit = 6,00,000 x 20% = ₹ 1,20,000

Tax as per Income-tax Profit = 60,000 x 20% = ₹ 12,000

Tax as per MAT = 3,50,000 x 7.50% = ₹ 26,250

Tax expense = Current Tax + Deferred Tax

₹ 1,20,000 = ₹ 12,000 + Deferred tax

Therefore, Deferred Tax liability as on 31-03-20X1 = ₹ 1,20,000 – ₹ 12,000 = ₹ 1,08,000

Amount of tax to be debited in Profit and Loss account for the year 31-03-20X1

= Current Tax + Deferred Tax liability + Excess of MAT over current tax

= ₹ 12,000 + ₹ 1,08,000 + ₹ 14,250 (26,250 – 12,000) = ₹ 1,34,250

Question 12

Y Ltd. is a full tax-free enterprise for the first ten years of its existence and is in the second year of its operation. Depreciation timing difference is INR 200 lakhs and INR 400 lakhs respectively which will result in a tax liability in year 1 and 2. From the third year it is expected that the timing difference would reverse each year by INR 10 lakhs. Assuming tax rate of 40%, find out the deferred tax liability at the end of the second year and any charge to the Profit and Loss account.

Answer

As per **AS 22**, 'Accounting for Taxes on Income', deferred tax in respect of timing differences which originate during the tax holiday period and reverse during the tax holiday period, should not be recognised to the extent deduction from the total income of an enterprise is allowed during the tax holiday period as per the provisions of sections 10A and 10B of the Income- tax Act. Deferred tax in respect of timing differences which originate during the tax holiday period but reverse after the tax holiday period should be recognised in the year in which the timing differences originate. However, recognition of deferred tax assets should be subject to the consideration of prudence. For this purpose, the timing differences which originate first should be considered to reverse first.

Out of ₹ 200 lakhs timing difference due to depreciation, difference amounting ₹ 80 lakhs (₹ 10 lakhs x 8 years) will reverse in the tax holiday period and therefore, should not be recognised. However, for ₹ 120 lakhs (₹ 200 lakhs – ₹ 80 lakhs), deferred tax liability will be recognised for ₹ 48 lakhs (40% of ₹ 120 lakhs) in first year. In the second year, the entire amount of timing difference of ₹ 400 lakhs will reverse only after-tax holiday period

and hence, will be recognised in full. Deferred tax liability amounting ₹ 160 lakhs (40% of ₹ 400 lakhs) will be created by charging it to profit and loss account and the total balance of deferred tax liability account at the end of second year will be ₹ 208 lakhs (₹ 48 lakhs + ₹ 160 lakhs).

Mixed Topics

Question 13

ABC Ltd. prepares its accounts annually on 31st March. On 1st April, 20X2, it purchases a machine at a cost of ₹ 1,50,000. The machine has a useful life of three years and an expected scrap value of zero. Although it is eligible for a 100% first year depreciation allowance for tax purposes, the straight line method is considered appropriate for accounting purposes. ABC Ltd. has profits before depreciation and taxes of ₹ 2,00,000 each year and corporate tax rate is 40 percent each year.

The purchase of machine at a cost of ₹ 1,50,000 in 20X2 gives rise to a tax saving of ₹ 60,000. The corporate tax rate has been assumed to be same in each of the three years. Calculate deferred tax and pass necessary journal entries.

What will be the amount of deferred tax, if the substantively enacted tax rates for 20X2, 20X3 and 20X4 are 40%, 35% and 38% respectively.

Answer

If the cost of machine is spread over three years of its life for accounting purposes, the amount of the tax saving should also be spread over the same period as shown below:

Statement of Profit and Loss (for the three years ending 31st March, 20X2, 20X3, 20X4)

	(₹ in thousand)		
	20X2	**20X3**	**20X4**
Profit before depreciation and taxes	200	200	200
Less: Depreciation for accounting purposes	50	50	50
Profit before taxes	150	150	150
Tax expense			
Current tax:			
0.40 x (200 – 150)	20		
0.40 x 200		80	80
Deferred tax:			
Tax effect of timing differences			
Originating during the year leading to DTL [0.40 (150 – 50)]	40		
Tax effect of timing differences reversing during the year [0.40 (0 – 50)]	–	(20)	(20)
Tax expense	60	60	60
Profit after tax = (PBT – Tax expense)	90	90	90
Net timing differences	100	50	0
Deferred tax liability balance	**40**	**20**	**0**

In 20X2, the amount of depreciation allowed for tax purposes exceeds the amount of depreciation charged for accounting purpose by ₹ 1,00,000 and, therefore, taxable income is lower than the accounting income. This

gives rise to a deferred tax liability of ₹ 40,000. In 20X3 and 20X4 accounting income is lower than taxable income because the amount of depreciation charged for accounting purposes exceeds the amount of depreciation allowed for tax purposes by ₹ 50,000 each year. Accordingly, deferred tax liability is reduced by ₹ 20,000 each in both the years. As may be seen, tax expense in based on the accounting income of each period.

In 20X2, the profit and loss account is debited and deferred tax liability account is credited with the amount of tax on the originating timing difference of ₹ 1,00,000 while in each of the following two years, deferred tax liability account is debited and profit and loss account is credited with the amount of tax on the reversing timing difference of ₹ 50,000.

The following Journal entries will be passed:

Year 20X2		**Debit**	**Credit**
Profit and Loss A/c	Dr.	20,000	
To Current tax A/c			20,000
(Being the amount of taxes payable for the year 20X2 provided for)			
Profit and Loss A/c	Dr.	40,000	
To Deferred tax liability A/c			40,000
(Being the DTL created for originating timing difference of ₹ 1,00,000)			
Year 20X3			
Profit and Loss A/c	Dr.	80,000	
To Current tax A/c			80,000
(Being the amount of taxes payable for the year 20X3 provided for)			
Deferred tax liability A/c	Dr.	20,000	
To Profit and Loss A/c			20,000
(Being the DTL adjusted for reversing timing difference of ₹ 50,000)			
Year 20X4			
Profit and Loss A/c	Dr.	80,000	
To Current tax A/c			80,000
(Being the amount of taxes payable for the year 20X4 provided for)			
Deferred tax liability A/c	Dr.	20,000	
To Profit and Loss A/c			20,000
(Being the DTL adjusted for reversing timing difference of ₹ 50,000)			

Presentation:

In the year 20X2, the balance of deferred tax account i.e. ₹ 40,000 would be shown separately from the current tax payable for the year in terms of paragraph 30 of AS 22. In the year 20X3, the balance of deferred tax liability account would be ₹ 20,000 and be shown separately from the current tax payable for the year as in year 20X2. In year 20X4, the balance of deferred tax liability account would be nil.

If the rate of tax changes, it would be necessary for the enterprises to adjust the amount of deferred tax liability carried forward by applying the tax rate that has been enacted or substantively enacted by the balance sheet date on accumulated timing differences at the end of the accounting year

The amount of deferred tax liability would be computed as follows:

The deferred tax liability carried forward each year would appear in the balance sheet as under:

31st March, 20X2 = 0.40 (1,00,000) = ₹ 40,000

31st March, 20X3 = 0.35 (50,000) = ₹ 17,500

31st March, 20X4 = 0.38 (Zero) = ₹ Zero

Accordingly, the amount debited (credited) to the profit and loss account (with corresponding credit or debit to deferred tax liability) for each year would be as under:

31st March, 20X2 Debit = ₹ 40,000

31st March, 20X3 (Credit) = ₹ (22,500)

31st March, 20X4 (Credit) = ₹ (17,500)

CHAPTER - 23
AS 24: Discontinuing Operations

Meaning of Discontinuing Operation

Question 1

What are discontinuing operations as per AS 24? Should an enterprise include prescribed information relating to a discontinuing operation in its financial statements?

Answer

A **discontinuing operation** is a **component** of an enterprise:

a. That the enterprise, pursuant to a **single plan**, is:

   (i) **Disposing of substantially in its entirety**, such as by selling the component in a single transaction or by demerger or spin-off of ownership of the component to the enterprise's shareholders or

   (ii) **Disposing of piecemeal**, such as by selling off the component's assets and settling its liabilities individually or

   (iii) **Terminating through abandonment** and

b. That represents a **separate major line** of business or geographical area of operations.

c. That can be **distinguished operationally** and for **financial** reporting purposes.

An enterprise **should include prescribed information** relating to a **discontinuing operation** in its **financial statements**, as per requirements of AS 24, beginning with the financial statements for the period in which the initial disclosure event occurs.

Question 2

A consumer goods producer has changed the product line as follows:

	Dish washing Bar (Per month)	Clothes washing Bar (Per month)
January 20X1 - September 20X1	2,00,000	2,00,000
October 20X1 - December 20X1	1,00,000	3,00,000
January 20X2 - March 20X2	Nil	4,00,000

The company has enforced a gradual enforcement of change in product line on the basis of an overall plan. The Board of Directors has passed a resolution in March 20X1 to this effect. The company follows calendar year as its accounting year.

You required to advise the company whether it should be treated as discontinuing operation or not as per AS 24?

Answer

As per AS 24 'Discontinuing Operations', a **discontinuing operation** is a **component** of an enterprise:

(i) that the enterprise, pursuant to a **single plan**, is:

   (1) **disposing of substantially in its entirety**,

(2) **disposing of piecemeal**, or

(3) **terminating through abandonment**; and

(ii) that represents a **separate major line** of business or geographical area of operations; and

(iii) that can be **distinguished operationally** and for **financial** reporting purposes.

As per provisions of the standard, business enterprises frequently close facilities, abandon products or even product lines, and change the size of their work force in response to market forces. While those kinds of terminations generally are not, in themselves, discontinuing operations, they can occur in connection with a discontinuing operation. Examples of activities that do **not necessarily satisfy criterion of discontinuing operation** are **gradual or evolutionary phasing** out of a product line or class of service, discontinuing, even if relatively abruptly, several products within an ongoing line of business;

In the **given case**, the company has **enforced a gradual enforcement of change** in product line and does not represent a separate major line of business and hence is **not a discontinued operation**. If it were a discontinuing operation, the initial disclosure event is the occurrence of one of the following, whichever occurs earlier:

(i) the enterprise has entered into a binding sale agreement for substantially all of the assets attributable to the discontinuing operation; or

(ii) the enterprises board of directors or similar governing body has both approved a detailed, formal plan for discontinuance and made an announcement of the plan.

Question 3

Rohini Limited is in the business of manufacture of passenger cars and commercial vehicles. The Company is working on a strategic plan to close the production of passenger cars and to produce only commercial vehicles over the coming 5 years. However, no specific plans have been drawn up for sale of neither the division nor its assets. As part of its prospective plan it will reduce the production of passenger cars by 20% annually. It also plans to establish another new factory for the manufacture of commercial vehicles and transfer surplus employees in a phased manner.

You are required to comment:

(i) If mere gradual phasing out in itself can be considered as a 'discontinuing operation' within the meaning of AS-24.

(ii) If the Company passes a resolution to sell some of the assets in the passenger car division and also to transfer few other assets of the passenger car division to the new factory, does this trigger the application of AS-24?

(iii) Would your answer to (ii) above be different if the Company resolves to sell the assets of the passenger car division in a phased but time bound manner?

Answer

(i) A **discontinuing operation is** a **component** of an enterprise:

(a) that the enterprise, pursuant to a **single plan**, is:

(i) **disposing of substantially in its entirety**, such as by selling the component in a single transaction or by demerger or spin-off of ownership of the component to the enterprise's shareholders; or

(ii) **disposing of piecemeal**, such as by selling off the component's assets and settling its liabilities individually; or

(iii) terminating through **abandonment**; and

(b) that represents a **separate major line** of business or geographical area of operations; and

(c) that can be **distinguished operationally** and for **financial** reporting purposes.

Mere **gradual phasing out is not considered as discontinuing operation** as defined under AS 24, 'Discontinuing Operations'.

Examples of activities that do not necessarily satisfy criterion of the definition, but that might do so in combination with other circumstances, include:

(i) **Gradual or evolutionary** phasing out of a product line or class of service;

(ii) **Shifting** of some production or marketing activities for a particular line of business from one location to another; and

(iii) **Closing of a facility** to achieve productivity improvements or other cost savings.

In this case, it cannot be considered as Discontinuing Operation as per AS-24 as the companies' strategic plan has **no final approval from the board** through a resolution and there is **no specific time bound activities** like shifting of assets and employees. Moreover, the new segment i.e. commercial vehicle production line in a **new factory has not started**.

(ii) **No,** the **resolution is silent** about **stoppage of the Car** segment in **definite time period**. Though, sale of some assets and some transfer proposals were passed through a resolution to the new factory, but the closure road map and new segment starting roadmap are missing.

Hence AS 24 will not be applicable and it **cannot be considered as Discontinuing operations**.

(iii) **Yes,** phased and time bound program resolved in the board clearly indicates the closure of the passenger car segment in a definite time frame and will constitute a clear roadmap.

Hence this action will attract compliance of AS 24 and it will be **considered as Discontinuing Operations as per AS-24**.

Disclosure Requirements for Discontinuing Operation

Question 4

What are the initial disclosure requirements of AS 24 for discontinuing operations?

Answer

An enterprise should include the following information relating to a discontinuing operation in its financial statements beginning with the financial statements for the period in which the initial disclosure event occurs:

(a) A **description** of the discontinuing operation(s)

(b) The **business or geographical** segment(s) in which it is reported as per AS 17.

(c) The **date and nature of the initial disclosure event**.

(d) The date or period in which the discontinuance is **expected to be completed** if known or determinable

(e) The **carrying amounts**, as of the balance sheet date, of the **total assets** to be disposed of and the total **liabilities** to be settled.

(f) The amounts of **revenue and expenses** in respect of the ordinary activities attributable to the discontinuing operation during the current financial reporting period.

(g) The amount of **pre-tax profit** or loss from ordinary activities attributable to the discontinuing operation during the current financial reporting period, and the income tax expense related thereto.

(h) The amounts of **net cash flows** attributable to the operating, investing, and financing activities of the discontinuing operation during the current financial reporting period.

Question 5

What are the disclosure requirements in interim financial reports as per AS 24 for discontinuing operations?

Answer

Disclosure in interim financial reports

Disclosures in an interim financial report in respect of a discontinuing operation should be made in accordance with AS 25, 'Interim Financial Reporting', including:

(a) **Any significant activities** or events since the end of the most recent annual reporting period relating to a discontinuing operation and

(b) **Any significant changes** in the amount or timing of cash flows relating to the assets to be disposed or liabilities to be settled.

Question 6

(i) What are the disclosure and presentation requirements of AS 24 for discontinuing operations?

(ii) Give four examples of activities that do not necessarily satisfy criterion of paragraph 3 of AS 24, but that might do so in combination with other circumstances.

Answer

(i) An enterprise should include prescribed information relating to a discontinuing operation in its financial statements beginning with the financial statements for the period in which the initial disclosure event (as defined in paragraph 15 of AS 24) occurs.

Initial Disclosure

An enterprise should include the following information relating to a discontinuing operation in its financial statements beginning with the financial statements for the period in which the initial disclosure event occurs:

(a) A description of the discontinuing operation(s);

(b) The business or geographical segment(s) in which it is reported as per AS 17;

(c) The date and nature of the initial disclosure event;

(d) The date or period in which the discontinuance is expected to be completed if known or determinable;

(e) The carrying amounts, as of the balance sheet date, of the total assets to be disposed of and the total liabilities to be settled;

(f) The amounts of revenue and expenses in respect of the ordinary activities attributable to the

discontinuing operation during the current financial reporting period;

(g) The amount of pre-tax profit or loss from ordinary activities attributable to the discontinuing operation during the current financial reporting period, and the income tax expense related thereto;

(h) The amounts of net cash flows attributable to the operating, investing, and financing activities of the discontinuing operation during the current financial reporting period;

Disclosures Other Than Initial Disclosures Note

All the disclosures above should be presented in the notes to the financial statements except for amounts pertaining to pre-tax profit/loss of the discontinuing operation and the income tax expense thereon (second last bullet above) which should be shown on the face of the statement of profit and loss.

Other disclosures

When an enterprise disposes of assets or settles liabilities attributable to a discontinuing operation or enters into binding agreements for the sale of such assets or the settlement of such liabilities, it should include, in its financial statements, the following information when the events occur:

(a) For any gain or loss that is recognised on the disposal of assets or settlement of liabilities attributable to the discontinuing operation, (i) the amount of the pre-tax gain or loss and (ii) income tax expense relating to the gain or loss and

(b) The net selling price or range of prices (which is after deducting expected disposal costs) of those net assets for which the enterprise has entered into one or more binding sale agreements, the expected timing of receipt of those cash flows and the carrying amount of those net assets on the balance sheet date.

(ii) Examples of activities that do not necessarily satisfy criterion (a) of the definition, but that might do so in combination with other circumstances, include:

(a) **Gradual or evolutionary** phasing out of a product line or class of service;

(b) **Discontinuing**, even if relatively abruptly, several products within an ongoing line of business;

(c) **Shifting** of some production or marketing activities for a particular line of business from one location to another; and

(d) **Closing of a facility** to achieve productivity improvements or other cost savings.

CHAPTER - 24
AS 25: Interim Financial Reporting

Preparation of Interim Financial Statements

Question 1

What are the periods for which Interim financial Statements are required to be presented? You are required to answer your question in light of preparation of financial statements for the quarter period ended and as at 31st December, 20X1. The Financial Year is FY 20X1-X2.

Answer

As per Accounting Standard 25, Interim reports should include interim financial statements (condensed or complete) for periods as given below.

Statement	Current period	Comparative period
Balance sheet	End of current interim period	End of immediately preceding financial year
Statement of profit and loss	Current interim period and cumulatively for the year-to-date	Comparable interim period and year-to-date of immediately preceding financial year
Cash flow statement	Cumulatively for the current financial year- to-date	Comparable year-to-date of immediately preceding financial year

In light of the above, following periods needs to be covered in interim financial statements for the period ended and as at 31st December, 20X1:

Balance Sheet	As of the end of the current interim period and a comparativebalance sheet as of the end of the immediately preceding financial year (**As at 31st December 20X1 and 31st March 20X1**).
Statements of Profit and Loss	For the current interim period and cumulatively for the current financial year to date, with comparative statements ofprofit and loss for the comparable interim periods (current and year-to-date) of the immediately preceding financial year. (**for 3 months and 9 months** i.e., year to date **ended 31st December 20X1 and same for 31st December 20X0** being comparative period).
Cash Flow Statement	Cumulatively for the current financial year to date, with a comparative statement for the comparable year-to-date period of the immediately preceding financial year. (**year to date** i.e., **1st April 20X1 to 31st December 20X1 and 1st April 20X0 to 31st December 20X0**).

Recognition of Items in Interim Financial Statements [Income & Expenses]

Question 2

Sincere Corporation is dealing in seasonal product. Sales pattern of the product quarter-wise is as follows:

1st quarter: 30th June	10%
2nd quarter: 30th September	10%
3rd quarter: 31st December	60%
4th quarter: 31st March	20%

Information regarding the 1st quarter ended on 30th June, 20X1 is as follows:

Sales	₹ 80 crores
Salary and other expenses	₹ 60 crores
Advertisement expenses (routine)	₹ 4 crores
Administrative and selling expenses	₹ 8 crores

While preparing interim financial report for first quarter Sincere Corporation wants to defer ₹ 10 crores expenditure to third quarter on the argument that third quarter is having more sales, therefore, the third quarter should be debited by more expenditure. Considering the seasonal nature of business and the expenditures are uniform throughout all quarters, calculate the result of the first quarter as per AS 25. Also give a comment on the company's view.

Answer

Particulars		**(₹ in crores)**
Result of first quarter ended 30th June, 20X1		
Turnover		80
Other Income		Nil
Total	**(a)**	**80**
Changes in inventories		Nil
Salaries and other cost		60
Administrative and selling Expenses (4 + 8)		12
Total	**(b)**	**72**
Profit	**(a) – (b)**	**8**

According to AS 25, the Income and Expense should be recognized when they are earned and incurred respectively. Therefore, seasonal incomes will be recognized when they occur. Thus, the company's view is not as per AS 25.

Question 3

Intelligent Corporation (I Corp.) is dealing in seasonal products. The quarterly sales pattern of the product is given below:

Quarter	**I**	**II**	**III**	**IV**
Ending	30th June	30th September	31st December	31st March
	15%	15%	50%	25%

For the First quarter ending 30th June, 20X1, I Corp. gives you the following information:

	₹ crores
Sales	50
Salary and other expenses	30
Advertisement expenses (routine)	2
Administrative and selling expenses	8

While preparing interim financial report for the first quarter, 'I Corp.' wants to defer ₹ 21 crores expenditure to third quarter on the argument that third quarter is having more sales, therefore, third quarter should be debited by higher expenditure, considering the seasonal nature of business and that the expenditures are

uniform throughout all quarters.

Calculate the result of first quarter as per AS 25 and comment on the company's view.

Answer

Result of the first quarter ended 30th June, 20X1

		(₹ in crores)
Turnover		50
Add: Other Income		Nil
Total		50
Less: Change in inventories	Nil	
Salaries and other cost	30	
Administrative and selling expenses (8 + 2)	10	(40)
Profit		**10**

As per AS 25 on Interim Financial Reporting, the income and expense should be recognized when they are earned and incurred respectively. As per AS 25, the costs should be anticipated or deferred only when

(i) it is appropriate to anticipate that type of cost at the end of the financial year, and

(ii) costs are incurred unevenly during the financial year of an enterprise.

Therefore, the argument given by I-Corp relating to deferment of ₹ 21 crores is not tenable as expenditures are uniform throughout all quarters.

Question 4

Accountants of Poornima Ltd. showed a net profit of ₹ 7,20,000 for the third quarter of 20X1 after incorporating the following:

(i) Bad debts of ₹ 40,000 incurred during the quarter. 50% of the bad debts have been deferred to the next quarter.

(ii) Extra ordinary loss of ₹ 35,000 incurred during the quarter has been fully recognized in this quarter.

(iii) Additional depreciation of ₹ 45,000 resulting from the change in the method of charge of depreciation assuming that ₹ 45,000 is the charge for the 3rd quarter only.

Ascertain the correct quarterly income.

Answer

In the above case, the quarterly income has not been correctly stated. As per AS 25 "Interim Financial Reporting", the quarterly income should be adjusted and restated as follows:

Bad debts of ₹ 40,000 have been incurred during current quarter. Out of this, the company has deferred 50% (i.e.) ₹ 20,000 to the next quarter. Therefore, ₹ 20,000 should be deducted from ₹ 7,20,000. The treatment of extra-ordinary loss of ₹ 35,000 being recognized in the same quarter is correct.

Recognising additional depreciation of ₹ 45,000 in the same quarter is in tune with AS 25. Hence, no adjustments are required for these two items.

Poornima Ltd should report quarterly income as **₹ 7,00,000 (₹ 7,20,000 – ₹ 20,000).**

Question 5

Antarbarti Limited reported a Profit Before Tax (PBT) of ₹ 4 lakhs for the third quarter ending 30-09-20X1. On enquiry you observe the following. Give the treatment required under AS 25:

(i) Dividend income of ₹ 4 lakhs received during the quarter has been recognized to the extent of ₹ 1 lakh only.

(ii) 80% of sales promotion expenses ₹ 15 lakhs incurred in the third quarter has been deferred to the fourth quarter as the sales in the last quarter is high.

(iii) In the third quarter, the company changed depreciation method from WDV to SLM, which resulted in excess depreciation of ₹ 12 lakhs. The entire amount has been debited in the third quarter, assuming it is the charge for the 3rd quarter only.

(iv) ₹ 2 lakhs extra-ordinary gain received in third quarter was allocated equally to the third and fourth quarter.

(v) Cumulative loss resulting from change in method of inventory valuation was recognized in the third quarter of ₹ 3 lakhs. Out of this loss ₹ 1 lakh relates to previous quarters.

(vi) Sale of investment in the first quarter resulted in a gain of ₹ 20 lakhs. The company had apportioned this equally to the four quarters.

Prepare the adjusted profit before tax for the third quarter.

Answer

As per para 36 of AS 25 "Interim Financial Reporting", seasonal or occasional revenue and cost within a financial year should not be deferred as of interim date until it is appropriate to defer at the end of the enterprise's financial year. Therefore, dividend income, extra-ordinary gain, and gain on sale of investment received during 3rd quarter should be recognised in the 3rd quarter only. Similarly, sales promotion expenses incurred in the 3rd quarter should also be charged in the 3rd quarter only.

Further, as per AS 10, Property, Plant and Equipment, if there is change in the depreciation method, such a change should be accounted for as a change in accounting estimate in accordance with AS 5, Net Profit or Loss for the Period, Prior Period Items and Changes in Accounting Policies, and applied prospectively. Therefore, no adjustment would be required due to change in the method of depreciation.

Accordingly, the adjusted profit before tax for the 3rd quarter will be as follows:

Statement showing Adjusted Profit Before Tax for the third quarter

	(₹in lakhs)
Profit before tax (as reported)	4
Add: Dividend income (4 – 1) lakhs	3
Excess depreciation charged in the 3rd quarter, due to change in the method	–
Extra ordinary gain (2 – 1) lakhs	1
Cumulative loss due to change in the method of inventory valuation should be applied retrospectively (3 – 2) lakhs	1
	9
Less: Sales promotion expenses (80% of ₹ 15 lakhs)	(12)
Gain on sale of investment (occasional gain should not be deferred)	(5)
Adjusted Profit before tax for the third quarter	**(8)**

Question 6

On 30th June, 20X1, Asmitha Ltd. incurred ₹ 2,00,000, net loss from disposal of a business segment. Also, on 31st July, 20X1, the company paid ₹ 60,000 for property taxes assessed for the calendar year 20X1. How the above transactions should be included in determination of net income of Asmitha Ltd. for the six months interim period ended on 30th September, 20X1.

Answer

According to Para 10 of **AS 25** "Interim Financial Reporting", if an enterprise prepares and presents a complete set of financial statements in its interim financial report, the form and content of those statements should confirm to the requirements as applicable to annual complete set of financial statements. As at 30th September, 20X1, Asmitha Ltd would **report the entire amount of ₹ 2,00,000 as loss on the disposal of its business segment since the loss was incurred during interim period**. A cost charged as an expense in an annual period should be allocated to interim periods on accrual basis.

Since ₹ 60,000 **Property tax** payment relates to entire calendar year 20X1, **₹ 30,000** would be reported as an **expense for six months ended on 30th September, 20X1** while out of the **remaining** ₹ 30,000, **₹ 15,000 for January, 20X1 to March, 20X1** should be shown as **payment of the outstanding** amount of previous year **and another ₹ 15,000 related to quarter October, 20X1 to December, 20X1 would be reported as prepaid expenses**.

Recognition of Items in Interim Financial Statements [Income Tax Expense]

Question 7

An enterprise reports quarterly, estimates an annual income of ₹ 10 lakhs. Assume tax rates on 1st ₹ 5,00,000 at 30% and on the balance income at 40%. The estimated quarterly income are ₹ 75,000, ₹ 2,50,000, ₹ 3,75,000 and ₹ 3,00,000.

Calculate the tax expense to be recognized in each quarter.

Answer

As per para 29 of AS 25 'Interim Financial Reporting', income tax expense is recognised in each interim period based on the best estimate of the weighted average annual income tax rate expected for the full financial year.

		₹
Estimated Annual Income	**(A)**	10,00,000
Tax expense:		
30% on ₹ 5,00,000		1,50,000
40% on remaining ₹ 5,00,000		2,00,000
	(B)	3,50,000

Weighted average annual income tax rate = $\frac{B}{A} = \frac{3,50,000}{10,00,000} = 35\%$

Tax expense to be recognized in each of the quarterly reports

		₹
Quarter I	₹ 75,000 x 35%	26,250

Quarter II	₹ 2,50,000 x 35%	87,500
Quarter III	₹ 3,75,000 x 35%	1,31,250
Quarter IV	₹ 3,00,000 x 35%	1,05,000
	₹ 10,00,000	**3,50,000**

Question 8

The accounting year of X Ltd. ends on 30th September, 20X1 and it makes its reports quarterly. However for the purpose of tax, year ends on 31st March every year. For the Accounting year from 1-10-20X0 to 30-9-20X1, the quarterly income is as under:

1st quarter ending on 31st December, 20X0	₹ 200 crores
2nd quarter ending on 31st March, 20X1	₹ 200 crores
3rd quarter ending on 30th June, 20X1	₹ 200 crores
4th quarter ending on 30th September, 20X1	₹ 200 crores
Total	₹ 800 crores

Average actual tax rate for the financial year ending on 31st March, 20X1 is 20% and for financial year ending 31st March, 20X2 is 30%. Calculate tax expense for each quarter.

Answer

Calculation of tax expense

1st quarter ending on 31st December, 20X0	200 x 20%	₹ 40 lakhs
2nd quarter ending on 31st March, 20X1	200 x 20%	₹ 40 lakhs
3rd quarter ending on 30th June, 20X1	200 x 30%	₹ 60 lakhs
4th quarter ending on 30th September, 20X1	200 x 30%	₹ 60 lakhs

CHAPTER - 25
AS 26: Intangible Assets

Cost of Purchased Intangible Asset

Question 1

A Company acquired for its internal use a software on 01.03.20X1 from U.K. for £ 1,50,000. The exchange rate on the date was as ₹ 100 per £. The seller allowed trade discount @ 2.5%. The other expenditures were:

(i) Import Duty 10%

(ii) Additional Import Duty 5%

(iii) Entry Tax 2% (Recoverable later from tax department).

(iv) Installation expenses ₹ 1,50,000.

(v) Professional fees for clearance from customs ₹ 50,000. Compute the cost of software to be Capitalized as per relevant AS.

Answer

Calculation of cost of software (intangible asset) acquired for internal use

Purchase cost of the software	£ 1,50,000
Less: Trade discount @ 2.5%	£ (3,750)
	£ 1,46,250
Cost in ₹ (UK £ 1,46,250 x ₹ 100)	1,46,25,000
Add: Import duty on cost @ 10% (₹)	14,62,500
	1,60,87,500
Add: Additional import duty @ 5% (₹)	8,04,375
	1,68,91,875
Add: Installation expenses (₹)	1,50,000
Add: Professional fee for clearance from customs (₹)	50,000
Cost of the software to be capitalized (₹)	**1,70,91,875**

Note: Since entry tax has been mentioned as a recoverable/refundable tax, it is not included as part of the cost of the asset.

Cost of Internally Generated Intangible Asset

Question 2

AB Ltd. launched a project for producing product X in October, 20X1. The Company incurred ₹ 20 lakhs towards Research. Due to prevailing market conditions, the Management came to conclusion that the product cannot be manufactured and sold in the market for the next 10 years. The Management hence wants to defer the expenditure write off to future years.

Advise the Company as per the applicable Accounting Standard.

Answer

As per para 41 of AS 26 "Intangible Assets", expenditure on research should be recognised as an expense when it is incurred. Hence, the expenses amounting ₹ 20 lakhs incurred on the research has to be charged to the statement of profit and loss in the current year ending 31st March, 20X2.

Question 3

Plymouth Ltd. is engaged in research on a new process design for its product. It had incurred ₹ 10 lakhs on research during first 5 months of the financial year 20X1-X2. The development of the process began on 1st September, 20X1 and up to 31st March, 20X2, a sum of ₹ 8 lakh was incurred as Development Phase Expenditure, which meets assets recognition criteria. From 1st April, 20X2, the Company has implemented the new process design and it is likely that this will result in after tax saving of ₹ 2 lakh per annum for next five years. The cost of capital is 10%. The present value of annuity factor of ₹ 1 for 5 years @ 10% is 3.7908.

Decide the treatment of Research and Development Cost of the project as per AS 26. Also calculate amortisation cost for each year.

Answer

Research Expenditure:

According to **AS 26** 'Intangible Assets', the expenditure on research of new process design for its product ₹ 10 lakhs should be charged to Profit and Loss Account in the year in which it is incurred. It is presumed that the entire expenditure is incurred in the financial year 20X1-X2. Hence, it should be **written off as an expense** in that year itself.

Cost of internally generated intangible asset:

it is given that development phase expenditure amounting ₹ 8 lakhs incurred up to 31st March, 20X2 meets asset recognition criteria. As per AS 26, for measurement of such internally generated intangible asset, fair value should be estimated by discounting estimated future net cash flows.

Savings (after tax) from implementation of new design for next 5 years	₹ 2 lakhs p.a.
Company's cost of capital	10 %
Annuity factor @ 10% for 5 years	3.7908
Present value of net cash flows (₹ 2 lakhs x 3.7908)	₹ 7.582 lakhs

The cost of an internally generated intangible asset would be lower of cost value ₹ 8 lakhs or present value of future net cash flows ₹ 7.582 lakhs.

Hence, cost of an internally generated intangible asset will be ₹ 7.582 lakhs.

The difference of ₹ 0.418 lakhs (i.e. ₹ 8 lakhs – ₹ 7.582 lakhs) will be amortized by Plymouth for the financial year 20X1-X2.

Amortisation:

The company can amortise ₹ 7.582 lakhs over a period of five years by charging ₹ 1.516 lakhs per annum from the financial year 20X2-20X3 onwards.

Question 4

During 20X1-20X2, an enterprise incurred costs to develop and produce a routine, low risk computer software product, as follows:

Particular	₹
Completion of detailed program and design (Phase 1)	25,000
Coding and Testing for establishing technical feasibility (Phase 2)	20,000
Other coding costs (Phase 3)	42,000
Testing costs (Phase 4)	12,000
Product masters for training materials (Phase 5)	13,000
Duplication of computer software & training material from product masters (2,000 unit) (Phase 6)	40,000
Packing the product (1,000 units) (Phase 7)	11,000

After completion of phase 2, it was established that the computer software is technically feasible for the market. What amount should be capitalized as software costs in the books of the company, on the Balance Sheet date?

Answer

As per para 44 of **AS 26**, costs incurred in creating a computer software product should be charged to research and development expense when incurred until technological feasibility/asset recognition criteria has been established for the product. Technological feasibility/asset recognition criteria have been established upon completion of detailed programme design or working model. In this case, **₹ 45,000 would be recorded as an expense** (₹ 25,000 for completion of detailed program design and ₹ 20,000 for coding and testing to establish technological feasibility/asset recognition criteria). Cost incurred from point of technological feasibility/asset recognition criteria until the time when products costs are incurred are **capitalized** as software cost (₹ 42,000 + ₹ 12,000 + ₹ 13,000) **₹ 67,000. Duplication of computer software and training materials, from product masters and packing the products are the cost incurred after development phase. Hence, the same shall be expensed off during the year it is incurred.**

Question 5

Surgical Ltd, is developing a new production process of surgical equipment. During the financial year ended 31st March 20X1 the total expenditure incurred on the process was ₹ 67 lakhs. The production process met the criteria for recognition as an intangible asset on 1st January 20X1. Expenditure incurred till this date was ₹ 35 lakhs.

Further expenditure incurred on the process for the financial year ending 31st March 20X2 ₹ 105 lakhs. As on 31st March 20X2, the recoverable amount of technique embodied in the process is estimated to be ₹ 89 lakhs. This includes estimates of future cash outflows and inflows.

Under the provisions of AS 26, you are required to ascertain:

(i) The expenditure to be charged to Profit and Loss Account for the year ended 31st March 20X1;

(ii) Carrying amount of the intangible asset as on 31st March 20X1;

(iii) Expenditure to be charged to Profit and Loss Account for the year ended 31st March 20X2;

(iv) Carrying amount of the intangible asset as on 31st March 20X2.

Answer

As per AS 26 'Intangible Assets'

(i) Expenditure to be charged to Profit and Loss account for the year ended 31.03.20X1

₹ 35 lakhs is recognized as an expense because the recognition criteria were not met until 1st January

20X1. This expenditure will not form part of the cost of the production process recognized as an intangible asset in the balance sheet.

(ii) Carrying value of intangible asset as on 31.03.20X1

At the end of financial year, on 31st March 20X1, the production process will be recognized (i.e. carrying amount) as an intangible asset at a cost of ₹ 32 (67 – 35) lacs (expenditure incurred since the date the recognition criteria were met, i.e., from 1st January 20X1).

(iii) Expenditure to be charged to Profit and Loss account for the year ended 31.03.20X2

	(₹ in lacs)
Carrying Amount as on 31.03.20X1	32
Expenditure during 20X1-20X2	105
Book Value	137
Recoverable Amount	(89)
Impairment loss	48

₹ 48 lakhs to be charged to Profit and loss account for the year ending 31.03.20X2.

(iv) Carrying value of intangible asset as on 31.03.20X2

	(₹ in lacs)
Book Value	137
Less: Impairment loss	(48)
Carrying amount as on 31.03.20X2	89

Amortisation of Intangible Asset

Question 6

A Ltd. has got the license to manufacture particular medicines for 10 years at a license fee of ₹ 200 lakhs. Given below is the pattern of expected production and expected operating cash inflow:

Year	Production in bottles (in lakhs)	Net operating cash flow (₹ in lakhs)
1	300	900
2	600	1,800
3	650	2,300
4	800	3,200
5	800	3,200
6	800	3,200
7	800	3,200
8	800	3,200
9	800	3,200
10	800	3,200

Net operating cash flow has increased for third year because of better inventory management and handling method. Suggest the amortization method & calculate amortization cost of the license for each of the years.

Note: Round off amortisation ratio in upto 2 decimal places.

Answer

As per **AS 26** 'Intangibles Assets', the amortization method used should reflect the pattern in which economic benefits are consumed by the enterprise. If pattern cannot be determined reliably, then straight-line method should be used.

In the instant case, the pattern of economic benefit in the form of net operating cash flow vis-à-vis production is determined reliably. A Ltd. should amortize the license fee of ₹ 200 lakhs as under:

Year	Net operating Cash inflow (₹)	Ratio	Amortize amount (₹ in lakhs)
1	900	0.03	6
2	1,800	0.06	12
3	2,300	0.08	16
4	3,200	0.12	24
5	3,200	0.12	24
6	3,200	0.12	24
7	3,200	0.12	24
8	3,200	0.12	24
9	3,200	0.12	24
10	3,200	0.11 (bal.)	22
	27,400	**1.00**	**200**

Question 7

Swift Ltd. acquired a patent at a cost of ₹ 80,00,000 for a period of 5 years and the product life-cycle is also 5 years. The company capitalized the cost and started amortizing the asset at ₹ 10,00,000 per annum. The company had amortized the patent at 10,00,000 per annum in first two years on the basis of economic benefits derived from the product manufactured under the patent. After two years it was found that the product life-cycle may continue for another 5 years from then. The patent was renewable and Swift Ltd. got it renewed after expiry of five years. The net cash flows from the product during these 5 years were expected to be ₹ 36,00,000, ₹ 46,00,000, ₹ 44,00,000, ₹ 40,00,000 and ₹ 34,00,000. Find out the amortization cost of the patent for each of the years.

Answer

Swift Limited amortised ₹ 10,00,000 per annum for the first two years i.e. ₹ 20,00,000. The remaining carrying cost can be amortised during next 5 years on the basis of net cash flows arising from the sale of the product. The amortisation may be found as follows:

Years	Net cash flows (₹)	Amortisation Ratio	Amortisation Amount (₹)
I	–	0.125	10,00,000
II	–	0.125	10,00,000
III	36,00,000	0.180	10,80,000
IV	46,00,000	0.230	13,80,000
V	44,00,000	0.220	13,20,000
VI	40,00,000	0.200	12,00,000
VII	34,00,000	0.170	10,20,000

Total	2,00,00,000	1.000	80,00,000

It may be seen from above that from third year onwards, the balance of carrying amount i.e., ₹ 60,00,000 has been amortised in the ratio of net cash flows arising from the product of Swift Ltd.

Question 8

Panna Limited purchased software from Agate Limited for a period of 5 years and capitalized the cost. It provided you the following information:

Cost of software ₹ 57,60,000

Expected Life cycle of the software 5 years

The software was amortised at ₹ 6,40,000 per annum in first three years based on economic benefits derived from the software. After three years, it was found that the software may be used for another 5 years from then. So, Panna Limited got it renewed after expiry of five years for 3 more years.

The net cash flows from the software during these 5 years were expected to be as follows:

Year 1	₹ 23,04,000
Year 2	₹ 29,44,000
Year 3	₹ 28,16,000
Year 4	₹ 25,60,000
Year 5	₹ 21,76,000

You are required to calculate the amortization cost of the software for each of the years.

Answer

Panna Limited amortised ₹ 6,40,000 per annum for the first three years i.e. ₹ 19,20,000. The remaining carrying cost can be amortised during next 5 years on the basis of net cash flows arising from the sale of the product. The amortisation may be found as follows:

Year	Net cash flows (₹)	Amortisation Ratio	Amortisation Amount (₹)
I	–	–	6,40,000
II	–	–	6,40,000
III	–	–	6,40,000
IV	23,04,000	0.180	6,91,200
V	29,44,000	0.230	8,83,200
VI	28,16,000	0.220	8,44,800
VII	25,60,000	0.200	7,68,000
IX	21,76,000	0.170	6,52,800
Total	**1,28,00,000**	**1.000**	**57,60,000**

It may be seen from above that from fourth year onwards, the balance of carrying amount i.e., ₹ 38,40,000 has been amortised in the ratio of net cash flows arising from the product of Panna Ltd.

Question 9

Swift Limited acquired patent rights to manufacture Solar Roof Top Panels at a cost of ₹ 600 lacs. The product life cycle has been estimated to be 5 years and the amortization was decided in the ratio of future cash flows which are estimated as under:

Year	1	2	3	4	5
Cash Flows (₹ in lacs)	300	300	300	150	150

After 3rd year, it was estimated that the patents would have an estimated balance future life of 3 years and Swift Ltd. expected the estimated cash flow after 5th year to be ₹ 75 Lacs. Determine the amortization cost of the patent for each of the above years as per Accounting Standard 26.

Answer

Amortization of cost of patent as per AS 26

Year	Estimated future cash flow (₹ in lakhs)	Amortization Ratio	Amortized Amount (₹ in lakhs)
1	300	.25	150
2	300	.25	150
3	300	.25	150
4	150	.10	60
5	150	.10	60
6	75	.05	30
		1.00	**600**

In the first three years, the patent cost will be amortized in the ratio of estimated future cash flows i.e. (300: 300: 300: 150: 150). The unamortized amount of the patent after third year will be ₹ 150 lakh (600 – 450) which will be amortized in the ratio of revised estimated future cash flows (150:150:75 or 2:2:1) in the fourth, fifth and sixth year.

Question 10

In the following cases, record Journal Entries for amortization in the books of Huge Ltd. for the year ended 31st March, 20X7 with reference to AS-26:

(i) Company had acquired Patent Rights for ₹ 340 lakhs on 01.04.20X5. The estimated product life is 4 years. Amortization was decided in the ratio of estimated future cash flows which are as under:

1st Year	₹ 140 Lakhs
2nd Year	₹ 350 Lakhs
3rd Year	₹ 280 Lakhs
4th Year	₹ 420 Lakhs

(ii) The company had developed know-how by incurring expenditure of ₹ 80 lakhs. The know-how has been used by the company since 01.04.20X1. Its useful life is 8 years from the year of commencement of its use. The company has not amortised the asset until 31.03.20X7.

Answer

(i) Journal Entry for the year ended on 31st March 20X7

Particulars		(Dr.) ₹ in lakhs	(Cr.) ₹ in lakhs
Amortization A/c (340 x 350/1,190)	Dr.	100	
To Patent Rights A/c			100
[Being patent right amortised for current year]			
Profit and Loss A/c	Dr.	100	
To Amortization A/c			100
[Being amortization transferred to P&L A/c]			

Working note: Huge Limited amortised ₹ 340 lakhs during next 4 years on the basis of net cash flows arising of the product. The amortisation for second year will be worked out as under: ₹ 340 x 350/1,190 (140 + 350 + 280 + 420) = ₹ 100 lakhs

(ii) Journal Entry for the year ended on 31st March 20X7

Particulars		(Dr.) ₹ in lakhs	(Cr.) ₹ in lakhs
Prior period item A/c	Dr.	50	
Amortization A/c	Dr.	10	
To Know how A/c			60
[Being amortization of 6 years (out of which amortization of 5 years charged as prior period item i.e. 80 x 6/8 = 60 lakhs)]			
Profit and Loss A/c	Dr.	60	
To Amortization A/c			10
To Prior period item A/c			50
(Being amount transferred to Profit and Loss account)			

Question 11

A company is showing an intangible asset at ₹ 88 lakhs as on 01.04.20X5. This asset was acquired for ₹ 120 lakhs on 01.04.20X1 and the same was available for use from that date. The company has been following the policy of amortization of the intangible assets over a period of 15 years on straight line basis. Comment on the accounting treatment of the above with reference to the relevant Accounting Standard.

Answer

As per **AS 26** 'Intangible Assets', the depreciable amount of an intangible asset should be allocated on systematic basis over the best estimate of its useful life. There is a rebuttable presumption that the useful life of an intangible asset will not exceed ten years from the date when the asset is available for use. Company has been following the policy of amortization of the intangible asset over a period of 15 years on straight line basis. The period of 15 years is more than the maximum period of 10 years specified as per AS 26. Accordingly, the company would be required to restate the carrying amount of intangible asset as on 01.04.20X5 at ₹ 72 lakhs i.e. ₹ 120 lakhs less ₹ 48 lakhs [(120 Lakhs/10 years) x 4 years].

The **difference of ₹ 16 Lakhs** (₹ 88 lakhs – ₹ 72 lakhs) will be **adjusted** against the opening balance of revenue reserve. The carrying amount of **₹ 72 lakhs will be amortized over remaining 6 years by amortizing ₹ 12 lakhs per year**.

Mixed Topics

Question 12

As per provisions of AS-26, how would you deal to the following situations:

(1) ₹ 23,00,000 paid by a manufacturing company to the legal advisor for defending the patent of a product is treated as a capital expenditure.

(2) During the year 20X1-X2, a company spent ₹ 7,00,000 for publicity and research expenses on one of its new consumer product which was marketed in the same accounting year but proved to be a failure.

(3) A company spent ₹ 25,00,000 in the past three years to develop a product, these expenses were charged to profit and loss account since they did not meet AS-26 criteria for capitalization. In the current year approval of the concerned authority has been received. The company wishes to capitalize ₹ 25,00,000 by disclosing it as a prior period item.

(4) A company with a turnover of ₹ 200 crores and an annual advertising budget of ₹ 50,00,000 had taken up for the marketing of a new product by a company. It was estimated that the company would have a turnover of ₹ 20 crore from the new product. The company had debited to its Profit & Loss Account the total expenditure of ₹ 50,00,000 incurred on extensive special initial advertisement campaign for the new product.

Answer

As per AS 26 "Intangible Assets", subsequent expenditure on an intangible asset after its purchase or its completion should be recognized as an expense when it is incurred unless (a) it is probable that the expenditure will enable the asset to generate future economic benefits in excess of its originally assessed standard of performance; and (b) expenditure can be measured and attributed to the asset reliably. If these conditions are met, the subsequent expenditure should be added to the cost of the intangible asset.

(i) In the given case, the legal expenses to defend the patent of a product amounting **₹ 23,00,000** should not be capitalized and be **charged to Profit and Loss** Statement.

(ii) The company is required to expense the entire amount of **₹ 7,00,000 in the Profit and Loss** account for the year ended 31st March, 20X2 because no benefit will arise in the future.

(iii) As per AS 26, expenditure on an intangible item that was initially recognized as an expense by a reporting enterprise in previous annual financial statements should not be recognized as part of the cost of an intangible asset at a later date. Thus, the company cannot capitalize the amount of **₹ 25,00,000** and it should be **recognized as expense**.

(iv) Expenditure of **₹ 50,00,000** on advertising and promotional activities should always be **charged to Profit and Loss** Statement. Hence, the company has done the correct treatment by debiting the sum of 50 lakhs to Profit and Loss Account.

Question 13

Naresh Ltd. had the following transactions during the financial year 20X1-20X2:

(i) Naresh Ltd. acquired the running business of Sunil Ltd. for ₹ 10,80,000 on 15th May, 20X1. The fair value of Sunil Ltd.'s net assets was ₹ 5,16,000. Naresh Ltd. is of the view that due to popularity of Sunil Ltd.'s product in the market, its goodwill exists.

(ii) Naresh Ltd. had taken a franchise on July 20X1 to operate a restaurant from Sankalp Ltd. for ₹ 1,80,000

and at an annual fee of 10% of net revenues (after deducting expenditure). The franchise expires after 6 years. Net revenues were ₹ 60,000 during the financial year 20X1-20X2.

(iii) On 20th August, 20X1, Naresh Ltd, incurred costs of ₹ 2,40,000 to register the patent for its product. Naresh Ltd. expects the patent's economic life to be 8 years.

Naresh Ltd. follows an accounting policy to amortize all intangibles on straight line basis over the maximum period permitted by accounting standards taking a full year amortization in the year of acquisition. Goodwill on acquisition of business to be amortized over 5 years (SLM) as per AS 14.

Prepare a schedule showing the intangible assets section in Naresh Ltd. Balance Sheet at 31st March, 20X2.

Answer

Naresh Ltd.

Balance Sheet (Extract relating to intangible asset) as on 31st March 20X2

		Note No.	₹
Assets			
(1)	**Non-current assets**		
	Intangible assets	1	8,11,200

Notes to Accounts (Extract)

		₹	₹
1	**Intangible assets**		
	Goodwill (Refer to note 1)	4,51,200	
	Franchise (Refer to Note 2)	1,50,000	
	Patents (Refer to Note 3)	2,10,000	**8,11,200**

Working Notes:

		₹
(1)	**Goodwill on acquisition of business**	
	Cash paid for acquiring the business (purchase consideration)	10,80,000
	Less: Fair value of net assets acquired	(5,16,000)
	Goodwill	5,64,000
	Less: Amortisation as per AS 14 i.e. over 5 years (as per SLM)	(1,12,800)
	Balance to be shown in the balance sheet	**4,51,200**
(2)	**Franchise**	1,80,000
	Less: Amortisation (over 6 years)	(30,000)
	Balance to be shown in the balance sheet	**1,50,000**
(3)	**Patent**	2,40,000
	Less: Amortisation (over 8 years as per SLM)	(30,000)
	Balance to be shown in the balance sheet	**2,10,000**

CHAPTER - 26
AS 28: Impairment of Assets

Impairment Loss on Individual Asset

Question 1

An asset does not meet the requirements of environment laws which have been recently enacted. The asset has to be destroyed as per the law. The asset is carried in the Balance Sheet at the year end at ₹ 6,00,000. The estimated cost of destroying the asset is ₹ 70,000. How is the asset to be accounted for?

Answer

As per AS 28 "Impairment of Assets", impairment loss is the amount by which the carrying amount of an asset exceeds its recoverable amount, where recoverable amount is the higher of an asset's net selling price (Note 1) and its value in use (Note 2).

In the given case, recoverable amount will be nil [higher of value in use (nil) and net selling price (negative ₹ 70,000)]. Thus, impairment loss will be calculated as ₹ 6,00,000 [carrying amount (₹ 6,00,000) – recoverable amount (nil)]. Therefore, asset is to be fully impaired and **impairment loss of ₹ 6,00,000** has to be recognized as an expense immediately in the statement of **Profit and Loss** as per para 58 of AS 28.

Further, as per para 60 of AS 28, When the amount estimated for an impairment loss is greater than the carrying amount of the asset to which it relates, an enterprise should recognise a liability if, and only if, that is required by another Accounting Standard. Hence, the entity should **recognize liability for cost of disposal of ₹ 70,000** as per AS 10 & 29.

Notes:

1. Net Selling Price = Selling price – Cost of disposal = Nil – ₹ 70,000 = **(₹ 70,000)**
2. In the given case, value in use is **nil**.

Question 2

Venus Ltd. has a PPE, which is carried in the Balance Sheet on 31.3.20X1 at ₹ 500 lakhs. As at that date the value in use is ₹ 400 lakhs and the net selling price is ₹ 375 lakhs.

From the above data:

(i) Calculate impairment loss.

(ii) Prepare journal entries for adjustment of impairment loss.

(iii) Show how impairment loss will be shown in the Balance Sheet.

Answer

(i) **Recoverable amount** is higher of value in use ₹ 400 lakhs and net selling price ₹ 375 lakhs. Recoverable amount = ₹ 400 lakhs

Impairment loss = Carried Amount – Recoverable amount = ₹ 500 lakhs – ₹ 400 lakhs = ₹ 100 lakhs

(ii) **Journal Entries** **(₹ in lakhs)**

Particulars		Debit (₹)	Credit (₹)
Impairment loss account	Dr.	100	
To PPE Account			100

(Being the entry for accounting impairment loss)			
Profit and loss account	Dr.	100	
To Impairment loss			100
(Being the entry to transfer impairment loss to profit and loss account)			

(iii) Balance Sheet of Venus Ltd. as on 31.3.20X1

	(₹ in lakhs)
PPE	
Asset less depreciation	500
Less: Impairment loss	(100)
	400

Question 3

X Ltd. is having a plant (asset) carrying amount of which is ₹ 100 lakhs on 31.3.20X1. Its balance useful life is 5 years and residual value at the end of 5 years is ₹ 5 lakhs. Estimated future cash flow from using the plant in next 5 years are:

For the year ended on	Estimated cash flow (₹ in lakhs)
31.3.20X2	50
31.3.20X3	30
31.3.20X4	30
31.3.20X5	20
31.3.20X6	20

Calculate "value in use" for plant if the discount rate is 10% and also calculate the recoverable amount if net selling price of plant on 31.3.20X1 is ₹ 60 lakhs.

Answer

Present value of future cash flow

Year ended	Future Cash Flow	Discount @ 10% Rate	Discounted cash flow
31.3.20X2	50	0.909	45.45
31.3.20X3	30	0.826	24.78
31.3.20X4	30	0.751	22.53
31.3.20X5	20	0.683	13.66
31.3.20X6	20	0.620	12.40
			118.82
Present value of residual price on 31.3.20X6 [5 x 0.620]			3.10
Present value of estimated cash flow by use of an asset and residual value, which is called "value in use".			121.92

If net selling price of plant on 31.3.20X1 is ₹ 60 lakhs, the recoverable amount will be higher of ₹ 121.92 lakhs (value in use) and ₹ 60 lakhs (net selling price), hence recoverable amount is ₹ 121.92 lakhs.

Question 4

Ergo Industries Ltd. gives the following estimates of cash flows relating to Property, Plant and Equipment on 31.12.20X1. The discount rate is 15%.

Plant and Equipment on 31.12.20X1. The discount rate is 15%.

Year	Cash Flow (₹ in lakhs)
20X2	4,000
20X3	6,000
20X4	6,000
20X5	8,000
20X6	4,000

Residual value at the end of 20X6 = ₹ 1,000 lakhs

Property, Plant and Equipment purchased on 1.1.20XX = ₹ 40,000 lakhs

Useful life = 8 years

Net selling price on 31.12.20X1 = ₹ 20,000 lakhs

Calculate on 31.12.20X1:

(a) Carrying amount at the end of 20X1

(b) Value in use on 31.12.20X1

(c) Recoverable amount on 31.12.20X1

(d) Impairment loss to be recognized for the year ended 31.12.20X1

(e) Revised carrying amount

(f) Depreciation charge for 20X2.

Note: The year 20XX is the immediately preceding year before the year 20X0.

Answer

Calculation of value in use

Year	Cash Flow	Discount as per 15%	Discounted cash flow
20X2	4,000	0.870	3,480
20X3	6,000	0.756	4,536
20X4	6,000	0.658	3,948
20X5	8,000	0.572	4,576
20X6	4,000	0.497	1,988
20X6	(residual) 1,000	0.497	497
			19,025

(a) Calculation of carrying amount

Original cost = ₹ 40,000 lakhs

Depreciation for 3 years = [(40,000 – 1,000) x 3/8] = ₹ 14,625 lakhs

Carrying amount on 31.12.20X1 = [40,000 – 14,625] = ₹ 25,375 lakhs

(b) Value in use = ₹ 19,025 lakhs

(c) **Recoverable amount** = higher of value in use and net selling price i.e. ₹ 20,000 lakhs. Recoverable amount = ₹ 20,000 lakhs

(d) **Impairment Loss** = ₹ (25,375 – 20,000) = ₹ 5,375 lakhs

(e) **Revised carrying amount** = ₹ (25,375 – 5,375) = ₹ 20,000 lakhs

(f) **Depreciation charge for 20X2** = (20,000 – 1,000)/5 = ₹ 3,800 lakhs

Question 5

X Ltd. purchased a Property, Plant and Equipment four years ago for ₹ 150 lakhs and depreciates it at 10% p.a. on straight line method. At the end of the fourth year, it has revalued the asset at ₹ 75 lakhs and has written off the loss on revaluation to the profit and loss account. However, on the date of revaluation, the market price is ₹ 67.50 lakhs and expected disposal costs are ₹ 3 lakhs. What will be the treatment in respect of impairment loss on the basis that fair value for revaluation purpose is determined by market value and the value in use is estimated at ₹ 60 lakhs?

Answer

Treatment of Impairment Loss

As per para 57 of AS 28 "Impairment of assets", if the recoverable amount (higher of net selling price and its value in use) of an asset is less than its carrying amount, the carrying amount of the asset should be reduced to its recoverable amount. In the given case, net selling price is ₹ 64.50 lakhs (₹ 67.50 lakhs – ₹ 3 lakhs) and value in use is ₹ 60 lakhs. Therefore, recoverable amount will be ₹ 64.50 lakhs. Impairment loss will be calculated as ₹ 10.50 lakhs [₹ 75 lakhs (Carrying Amount after revaluation - Refer Working Note) less ₹ 64.50 lakhs (Recoverable Amount)].

Thus, impairment loss of ₹ 10.50 lakhs should be recognised as an expense in the Statement of Profit and Loss immediately since there was downward revaluation of asset which was already charged to Statement of Profit and Loss.

Working Note:

Calculation of carrying amount of the Property, Plant and Equipment at the end of the fourth year on revaluation

	(₹ in lakhs)
Purchase price of a Property, Plant and Equipment	150.00
Less: Depreciation for four years [(150 lakhs/10 years) x 4 years]	(60.00)
Carrying value at the end of fourth year	90.00
Less: Downward revaluation charged to profit and loss account	(15.00)
Revalued carrying amount	**75.00**

Question 6

From the following details of an asset

(i) Find out impairment loss

(ii) Treatment of impairment loss

(iii) Current year depreciation

Particulars of asset:

Cost of asset	₹ 56 lakhs
Useful life period	10 years
Salvage value	Nil
Current carrying value	₹ 27.30 lakhs
Useful life remaining	3 years
Recoverable amount	₹ 12 lakhs
Upward revaluation done in last year	₹ 14 lakhs

Answer

According to **AS 28** "Impairment of Assets", an impairment loss on a revalued asset is recognised as an expense in the statement of profit and loss. However, an impairment loss on a revalued asset is recognised directly against any revaluation surplus for the asset to the extent that the impairment loss does not exceed the amount held in the revaluation surplus for that same asset.

Impairment Loss and its treatment:

	₹
Current carrying amount (including revaluation amount of ₹ 14 lakhs)	27,30,000
Less: Current recoverable amount	(12,00,000)
Impairment Loss	15,30,000
Impairment loss charged to revaluation reserve	14,00,000
Impairment loss charged to profit and loss account	1,30,000

After the recognition of an impairment loss, the depreciation (amortization) charge for the asset should be adjusted in future periods to allocate the asset's revised carrying amount, less its residual value (if any), on a systematic basis over its remaining useful life.

In the given case, the carrying amount of the asset will be reduced to ₹ 12,00,000 after impairment. This amount is required to be depreciated over remaining useful life of 3 years (including current year). Therefore, the depreciation for the current year will be ₹ 4,00,000.

Question 7

G Ltd., acquired a machine on 1st April, 20X0 for ₹ 7 crore that had an estimated useful life of 7 years. The machine is depreciated on straight line basis and does not carry any residual value. On 1st April, 20X4, the carrying value of the machine was reassessed at ₹ 5.10 crore and the surplus arising out of the revaluation being credited to revaluation reserve. For the year ended March, 20X6, conditions indicating an impairment of the machine existed and the amount recoverable ascertained to be only ₹ 79 lakhs. You are required to calculate the loss on impairment of the machine and show how this loss is to be treated in the books of G Ltd. G Ltd., had followed the policy of writing down the revaluation surplus by the increased charge of depreciation resulting from the revaluation.

Answer

Statement Showing Impairment Loss

	(₹ in crores)

Carrying amount of the machine as on 1st April, 20X0		7.00
Depreciation for 4 years i.e. 20X0-20X1 to 20X3-20X4 [(7 crores/7 years) x 4 years]		(4.00)
Carrying amount as on 31.03.20X4		3.00
Add: Upward Revaluation (credited to Revaluation Reserve account)		2.10
Carrying amount of the machine as on 1st April, 20X4 (revalued)		5.10
Less: Depreciation for 2 years i.e. 20X4-20X5 & 20X5-20X6 [(5.10 crores/3 years) x 2 years]		(3.40)
Carrying amount as on 31.03.20X6		1.70
Less: Recoverable amount		(0.79)
Impairment loss		0.91
Less: Balance in revaluation reserve as on 31.03.20X6:		
Balance in revaluation reserve as on 31.03.20X4	2.10	
Less: Enhanced depreciation met from revaluation reserve		
20X4-20X5 & 20X5-20X6 = [(1.70 – 1.00) x 2 years]	(1.40)	
Impairment loss set off against revaluation reserve balance as per para 58 of AS 28 "Impairment of Assets"		(0.70)
Impairment Loss to be debited to profit and loss account		**0.21**

Question 8

A plant was acquired 15 years ago at a cost of ₹ 5 crores. Its accumulated depreciation as at 31st March, 20X1 was ₹ 4.15 crores. Depreciation estimated for the financial year 20X1-20X2 is ₹ 25 lakhs. Estimated Net Selling Price as on 31st March, 20X1 was ₹ 30 lakhs, which is expected to decline by 20% by the end of the next financial year.

Its value in use has been computed at ₹ 35 lakhs as on 1st April, 20X1, which is expected to decrease by 30% by the end of the financial year.

(i) Assuming that other conditions for applicability of the impairment Accounting Standard are satisfied, what should be the carrying amount of this plant as at 31st March, 20X2?

(ii) How much will be the amount of write off for the financial year ended 31st March, 20X2?

(iii) If the plant had been revalued ten years ago and the current revaluation reserves against this plant were to be ₹ 12 lakhs, how would you answer to questions (i) and (ii) above?

(iv) If the value in use was zero and the enterprise were required to incur a cost of ₹ 2 lakhs to dispose of the plant, what would be your response to questions (i) and (ii) above?

Answer

As per AS 28 "Impairment of Assets", if the recoverable amount of an asset is less than its carrying amount, the carrying amount of the asset should be reduced to its recoverable amount and that reduction is an impairment loss. An impairment loss on a revalued asset is recognized as an expense in the statement of profit and loss. However, an impairment loss on a revalued asset is recognised directly against any revaluation surplus for the asset to the extent that the impairment loss does not exceed the amount held in the revaluation surplus for that same asset.

In the given case, recoverable amount (higher of asset's net selling price and value in use) will be ₹ 24.5 lakhs on 31.3.20X2 according to the provisions of AS 28 [Refer working note].

(₹ in lakhs)

(i)	**Carrying amount of plant (after impairment) as on 31st March, 20X2**	24.50
(ii)	**Amount of write off (impairment loss) for the financial year ended 31st March, 20X2** [₹ 60 lakhs – ₹ 24.5 lakhs]	35.50
(iii)	**If the plant had been revalued ten years ago:**	
	Debit to revaluation reserve	12.00
	Amount charged to profit and loss account (₹ 35.50 lakhs – ₹ 12 lakhs)	23.50
(iv)	**If Value in use is zero:**	
	Value in use (a)	Nil
	Net selling price (b)	(–) 2.00
	Recoverable amount [higher of (a) and (b)]	Nil
	Carrying amount (closing book value after impairment)	Nil
	Amount of write off (impairment loss) (₹ 60 lakhs – Nil)	60.00
	Entire book value of plant will be written off and charged to profit and loss account.	

Working Note:

Calculation of Closing Book Value, Estimated Net Selling Value and Estimated Value in Use of Plant at 31st March, 20X2

	(₹ in lakhs)
Opening book value as on 1.4.20X1 (₹ 500 lakhs – ₹ 415 lakhs)	85
Less: Depreciation for financial year 20X1-20X2	(25)
Closing book value as on 31.3.20X2	60
Estimated net selling price as on 1.4.20X1	30
Less: Estimated decrease during the year (20% of ₹ 30 lakhs)	(6)
Estimated net selling price as on 31.3.20X2	24
Estimated value in use as on 1.4.20X1	35.0
Less: Estimated decrease during the year (30% of ₹ 35 lakhs)	(10.5)
Estimated value in use as on 31.3.20X2	24.5

Impairment Loss on CGU

Question 9

Good Drugs and Pharmaceuticals Ltd. acquired a sachet filling machine on 1st April, 20X1 for ₹ 60 lakhs. The machine was expected to have a productive life of 6 years. At the end of financial year 20X1-20X2 the carrying amount was ₹ 41 lakhs. A short circuit occurred in this financial year but luckily the machine did not get badly damaged and was still in working order at the close of the financial year. The machine was expected to fetch ₹ 36 lakhs, if sold in the market. The machine by itself is not capable of generating cash flows. However, the smallest group of assets comprising of this machine also, is capable of generating cash flows of ₹ 54 crore per annum and has a carrying amount of ₹ 3.46 crore. All such machines put together could fetch a sum of ₹ 4.44 crore if disposed. Discuss the applicability of Impairment loss.

Answer

As per provisions of AS 28 "Impairment of Assets", impairment loss is not to be recognized for a given asset if its cash generating unit (CGU) is not impaired. In the given question, the related **cash generating unit** which is group of assets to which the damaged machine belongs is **not impaired**; and the recoverable amount is more than the carrying amount of group of assets. Hence there is **no need to provide for impairment loss** on the damaged sachet filling machine.

CHAPTER - 27
AS 29: Provisions, Contingent Liabilities and Contingent Assets

Provision

Question 1

When should provision be recognized as per provisions of AS 29? Explain in brief.

Answer

A provision should be **recognised only when**:

(a) An enterprise has a **present obligation** as a result of a past event;

(b) It is **probable that an outflow** of resources embodying economic benefits will be required to settle the obligation; and

(c) A **reliable estimate** can be made of the amount of the obligation.

Question 2

An oil company has been contaminating land for several years. It does not clean up because there is no legislation requiring cleaning up. At 31st March 20X1, it is virtually certain that a law requiring a clean-up of land already contaminated will be enacted shortly after the year end. Is provisioning presently necessary?

Answer

As per para 29 of **AS 29** 'Provisions, Contingent Liabilities and Contingent Assets', a past event will lead to present obligation when the enterprise has no realistic alternative to settle the obligation created by the past event.

However, when environmental damage is caused, there may be no obligation to remedy the consequences. The causing of the damage will become an obligating event when a new law requires the existing damage to be rectified. Where details of a proposed new law have yet to be finalised, an obligation arises only when the legislation is virtually certain to be enacted.

In the given case it is **virtually certain that law will be enacted** requiring clean-up of a land already contaminated. Therefore, an oil company **has to provide** for such clean-up cost in the year in which the law is virtually certain to be enacted.

Question 3

Sun Ltd. has entered into a sale contract of ₹ 5 crores with X Ltd. during 20X1-20X2 financial year. The profit on this transaction is ₹ 1 crore. The delivery of goods to take place during the first month of 20X2-20X3 financial year. In case of failure of Sun Ltd. to deliver within the schedule, a compensation of ₹ 1.5 crores is to be paid to X Ltd. Sun Ltd. planned to manufacture the goods during the last month of 20X1-20X2 financial year. As on balance sheet date (31.3.20X2), the goods were not manufactured, and it was unlikely that Sun Ltd. will be able to meet the contractual obligation.

(i) Should Sun Ltd. provide for contingency as per AS 29?

(ii) Should provision be measured as the excess of compensation to be paid over the profit?

Answer

(i) **AS 29** "Provisions, Contingent Liabilities and Contingent Assets" provides that when an enterprise has a present obligation, as a result of past events, that probably requires an outflow of resources and a reliable estimate can be made of the amount of obligation, a provision should be recognized. Sun Ltd. has the obligation to deliver the goods within the scheduled time as per the contract. It is probable that Sun Ltd. will fail to deliver the goods within the schedule and it is also possible to estimate the amount of compensation. Therefore, Sun Ltd. **should provide for the contingency amounting ₹ 1.5 crores** as per AS 29.

(ii) **Provision should not be measured as the excess of compensation to be paid over the profit**. The goods were not manufactured before 31st March, 20X2 and no profit had accrued for the financial year 20X1-20X2. Therefore, **provision should be made for the full amount** of compensation amounting ₹ 1.50 crores.

Question 4

Chaos Limited is in the process of finalizing its accounts for the year ended 31st March, 20X7. It seeks your advice in the following cases:

(i) Chaos Limited has filed a court case in 20X1-X2 against its competitors. It became evident to its lawyers during the year ended 31st March, 20X7 that Chaos Limited may lose the case and would have to pay ₹ 3,00,000 being the cost of litigation. No entries/provisions have been made in the books.

(ii) A new regulation has been passed in 20X6-20X7 by the healthcare ministry to upgrade facilities. Deadline set by the government is 31.03.20X8. The company estimates an expenditure of ₹ 10,00,000 for the said upgrade.

(iii) The company gives one year warranty for its healthcare equipment under the contract of sale that it will make good any manufacturing defect by repair or replacement. As per past experience, it is probable that there will be 1% such cases and estimated cost of repair/replacement is estimated at 10% of such sale value. During the year, the company has made a sale of ₹ 5 crores.

Kindly give your answer for each of above with proper reasoning according to the relevant Accounting Standard. Also state the principles for recognition of provision, as per AS 29.

Answer

Principles for recognition of provisions: As per AS 29, "a provision shall be recognised when:

(i) An entity has a present obligation (legal or constructive) as a result of a past event;

(ii) It is probable that an outflow of resources embodying economic benefits will be required to settle the obligation; and

(ii) A reliable estimate can be made of the amount of the obligation. If these conditions are not met, no provision shall be recognised."

Accounting treatment under the given scenarios:

(i) On 31st March, 20X7, since it is evident to the lawyer that Chaos Limited may lose the case and also a reliable estimate of the outflow can be made as ₹ 3,00,000, there is a present obligation. Hence, **provision should be recognised** for **₹ 3,00,000** for the amount which may be required to settle the obligation.

(ii) Under new regulation, an entity is required to upgrade its facilities by 31st March, 20X8. However, on 31st March, 20X7, i.e. at the end of the reporting period, there is **no obligation** because there is no obligating event either for the costs of upgrading the facilities or for fines under the regulations. Hence, **no provision** should be **recognized** on 31st March, 20X7 for upgrading the facilities by 31st March, 20X8.

(iii) The obligating event is the sale of health care equipment with a warranty, which gives rise to a legal obligation. Here, an outflow of resources embodying economic benefits in settlement is probable for the warranties as a whole. Hence, a **provision is recognized** for the best estimate of the costs of making good under the warranty products sold before the end of the reporting period as follows:

Probability of warranty cases for the entity where repair/replacement may be required as per past experience = 1% of ₹ 5,00,00,000 = ₹ 5,00,000

Estimated cost of repair/replacement = ₹ 5,00,000 x 10% = **₹ 50,000**

Question 5

An airline is required by law to overhaul its aircraft once in every five years. The pacific Airlines which operate aircrafts does not provide any provision as required by law in its final accounts. You are required to comment on the validity of the treatment done by the company in line with the provisions of AS 29.

Answer

A provision should be recognized only when an enterprise has a present obligation arising from a past event or obligation. In the given case, there is no present obligation but a future one, therefore no provision is recognized as per **AS 29.**

The **cost of overhauling aircraft** is **not recognized as a provision** because it is a **future obligation** and the incurring of the **expenditure depends on the company's decision to continue operating the aircrafts**. Even a legal requirement to overhaul does **not require the company to make a provision** for the cost of overhaul because there is no present obligation to overhaul the aircrafts. Further, the enterprise can avoid the future expenditure by its future action, for example by selling the aircraft. However, an obligation might arise to pay fines or penalties under the legislation after completion of five years. Assessment of probability of incurring fines and penalties depends upon the provisions of the legislation and the stringency of the enforcement regime. A provision should be recognized for the best estimate of any fines and penalties if airline continues to operate aircrafts for more than five years.

Question 6

Alloy Fabrication Limited is engaged in manufacturing of iron and steel rods. The company is in the process of finalisation of the accounts for the year ended 31st March, 20X4 and needs your advice on the following issue in line with the provisions of AS-29:

On 1st April, 20X1, the company installed a huge furnace in their plant. The furnace has a lining that needs to be replaced every five years for technical reasons. At the Balance Sheet date 31st March, 20X4, the company does not provide any provision for replacement of lining of the furnace.

Answer

A provision should be recognized only when an enterprise has a present obligation arising from a past event or obligation. In the **given case**, there is **no present obligation** but a future one, **therefore no provision is**

recognized as per **AS 29**. The **cost of replacement of lining of furnace is not recognized as a provision because it is a future obligation**. Even a legal requirement does not require the company to make a provision for the cost of replacement because there is no present obligation. Even the intention to incur the expenditure depends on the company deciding to continue operating the furnace or to replace the lining.

Question 7

A company incorporated under Section 8 of the Companies Act, 2013, have main objective to promote the trade by organizing trade fairs/exhibitions. When company was organizing the trade fair and exhibitions it decided to charge 5% contingency charges for the participants/outside agencies on the income received from them by the company, while in the case of fairs organized by outside agencies, 5% contingency charges are levied separately in the invoice, the contingency charges in respect of fairs organized by the company itself are inbuilt in the space rent charged from the participants. Both are credited to Income and Expenditure Account of the company.

The intention of levying these charges is to meet any unforeseen liability, which may arise in future. The instances of such unforeseen liabilities could be on account of injury/loss of life to visitors/exhibitors, etc., due to fire, terrorist attack, stampede, natural calamities and other public and third-party liability. The chances of occurrence of these events are high because of large crowds visiting the fair. The decision to levy 5% contingency charges was based on assessment only as actual liability on this account cannot be estimated.

The following accounting treatment and disclosure was made by the company in its financial statements:

1. 5% contingency charges are treated as income and matching provision for the same is also being made in accounts.
2. A suitable disclosure to this effect is also made in the notes forming part of accounts.

Required:

(i) Whether creation of provision for contingencies under the facts and circumstances of the case is in conformity with AS 29.

(ii) If the answer of (i) is "No" then what should be the treatment of the provision which is already created in the balance sheet.

Answer

(i) Para 14 of **AS 29** "Provisions, Contingent Liabilities and Contingent Assets" states that a provision should be recognised when (a) An enterprise has a present obligation as a result of a past event and (b) It is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and (c) A reliable estimate can be made of the amount of the obligation. If these conditions are not met, no provision should be recognised.

From the above, it is clear that in the contingencies considered by the company, **neither a present obligation exists as a result of past event, nor a reliable estimate can be made** of the amount of the obligation. Accordingly, a **provision cannot be recognised** for such contingencies under the facts and circumstances of the case.

(ii) "Provision" is the amount retained by the way of providing for any known liability. Since the contingencies stipulated by the company are not known at the balance sheet date, the **provision in this regard cannot be created.** Therefore, provision so created by company shall be treated as a 'Reserve'.

Question 8

An Engineering goods company provides 'after sales warranty' for 2 years to its customers. Based on the past experience, the company has been following policy for making provision for warranties on the Invoice amount on the remaining balance warranty period:

Invoice less than 1 year: 2.5% provision Invoice more than 1 year: 4.5% provision The Company has raised Invoices as under:

Invoice Date	**₹**
20th February, 20X1	42,000
17th July, 20X1	25,000
27th January, 20X2	47,000
1st March, 20X3	1,10,000
24th August, 20X3	34,000
20th March, 20X4	75,000

You are required to:

(i) Calculate the provision to be make for warranty under AS 29 as at 31st March, 20X3 and 31st March, 20X4.

(ii) Also compute the amount to be debited to Profit and Loss Account for the year ended 31st March, 20X4.

Answer

(i) Provision to be made for warranty under AS 29 'Provisions, Contingent Liabilities and Contingent Assets'

As at 31st March 20X3 = ₹ 25,000 x 2.5% + ₹ 47,000 x 2.5% + ₹ 1,10,000 x 4.5%

= ₹ 625 + ₹ 1,175+ ₹ 4,950 = **₹ 6,750**

As at 31st March 20X4 = ₹ 1,10,000x 2.5% + ₹ 34,000 x 4.5% + ₹ 75,000 x 4.5%

= ₹ 2,750 + ₹ 1,530+ ₹ 3,375 = **₹ 7,655**

(ii) Amount debited to Statement of Profit and Loss for year ended 31st March 20X4

	₹
Balance of provision required as on 31.03.20X4	7,655
Less: Opening Balance as on 1.4.20X3	(6,750)
Amount debited to Statement of Profit and loss	**905**

Note: No provision will be made on 31st March 20X4 in respect of sales amounting ₹ 42,000, 25,000 and 47,000 made on as the warranty period

Question 9

A Ltd. has entered into a binding agreement with Gamma Ltd. to buy a custom-made machine ₹ 1,00,000. At the end of 20X1-X2, before delivery of the machine, A Ltd. had to change its method of production. The new method will not require the machine ordered and it will be scrapped after delivery. The expected scrap value is nil.

You are required to advise the accounting treatment and give necessary journal entry in the year 20X1-X2.

Answer

A liability is recognised when outflow of economic resources in settlement of a present obligation can be anticipated and the value of outflow can be reliably measured. In the given case, A Ltd. should recognise a liability of ₹ 1,00,000 to Gamma Ltd.

When flow of economic benefit to the enterprise beyond current accounting period is considered improbable, the expenditure incurred is recognised as an expense rather than as an asset. In the present case, flow of future economic benefit from the machine to the enterprise is improbable. The entire amount of purchase price of the machine should be recognised as an expense.

Journal entries

Particulars		Debit (₹)	Credit (₹)
Loss on change in production method	Dr.	1,00,000	
To Gamma Ltd.			1,00,000
(Loss due to change in production method)			
Profit and loss A/c	Dr.	1,00,000	
To Loss on change in production method			1,00,000
(Loss transferred to profit and loss account)			

Contingent Liability

Question 10

M/s. XYZ Ltd. is in a dispute with a competitor company. The dispute is regarding alleged infringement of Copyrights. The competitor has filed a suit in the court of law seeking damages of ₹ 200 lacs.

The Directors are of the view that the claim can be successfully resisted by the Company.

How would the matter be dealt in the annual accounts of the Company in the light of AS 29? Explain in brief giving reasons for your answer.

Answer

As per **AS 29**, 'Provisions, Contingent Liabilities and Contingent Assets', **provision** should be recognized **when**

(a) An enterprise has a **present obligation** as a result of a past event;

(b) It is **probable that an outflow** of resources embodying economic benefits will be required to settle the obligation; and

(c) A **reliable estimate** can be made of the amount of the obligation.

If these **conditions are not met**, **no provision** should be **recognized**.

In the given situation, since, the directors of the company are of the opinion that the **claim can be successfully resisted** by the company, therefore there will be **no outflow of the resources**. **Hence, no provision** is required. The company will **disclose the same as contingent liability** by way of the following note:

"Litigation is in process against the company relating to a dispute with a competitor who alleges that the company has infringed copyrights and is seeking damages of ₹ 200 lakhs. However, the directors are of the opinion that the claim can be successfully resisted by the company."

Question 11

At the end of the financial year ending on 31st December, 20X1, a company finds that there are twenty law suits outstanding which have not been settled till the date of approval of accounts by the Board of Directors. The possible outcome as estimated by the Board is as follows:

		Probability	Loss (₹)
In respect of five cases:	Win	100%	–
Next ten cases:			
	Win	50%	–
	Lose (Low damages)	40%	1,20,000
	Lose (High damages)	10%	2,00,000
Remaining five cases:			
	Win	50%	–
	Lose (Low damages)	30%	1,00,000
	Lose (High damages)	20%	2,10,000

Outcome of each case is to be taken as a separate entity. Ascertain the amount of contingent loss and the accounting treatment in respect thereof.

Answer

According to **AS 29** (Revised) 'Provisions, Contingent Liabilities and Contingent Assets', **contingent liability** should be disclosed in the financial statements if following conditions **are satisfied**:

(i) There is a **present obligation** arising out of past events but **not recognized as provision.**

(ii) It is **not probable that an outflow** of resources embodying economic benefits will be required to settle the obligation.

(iii) The **possibility of an outflow** of resources embodying economic benefits is **not remote**.

(iv) The **amount of the obligation cannot be measured** with sufficient reliability to be recognized as provision.

In this case, the probability of winning of first five cases is 100% and hence, question of providing for contingent loss does not arise. The probability of winning of next ten cases is 50% and for remaining five cases is 50%. As per AS 29 (Revised), we make a provision if the loss is probable. As the loss does not appear to be probable and the possibility of an outflow of resources embodying economic benefits is remote, therefore disclosure by way of note should be made. For the purpose of the disclosure of contingent liability by way of note, amount may be calculated as under:

Expected loss in next ten cases = 40% of ₹ 1,20,000 + 10% of ₹ 2,00,000

= ₹ 48,000 + ₹ 20,000 = **₹ 68,000**

Expected loss in remaining five cases = 30% of ₹ 1,00,000 + 20% of ₹ 2,10,000

= ₹ 30,000 + ₹ 42,000 = **₹ 72,000**

To **disclose contingent liability** on the basis of maximum loss will be highly unrealistic. Therefore, the better approach will be to disclose the overall expected loss of **₹ 10,40,000** (₹ 68,000 x 10 + ₹ 72,000 x 5) as contingent liability.

Mixed Topics

Question 12

(a) The company has not made provision for warranty in respect of certain goods considering that the company can claim the warranty cost from the original supplier.

You are required to examine in line with the provisions of AS 29.

(b) Explain whether provision is required in the following situations in line with AS 29:

(i) There is a present obligation that probably requires an outflow of resources and a reliable estimate can be made of the amount of obligation;

(ii) There is a possible obligation or a present obligation that may, but probably will not, require an outflow of resources.

(iii) There is a possible obligation or a present obligation where the likelihood of an outflow of resources is remote.

Answer

(a) As per provisions of **AS 29** "Provisions, Contingent Liabilities and Contingent Assets", where some or all of the expenditure required to settle a provision is expected to be reimbursed by another party, the reimbursement should be recognized when, and only when, it is virtually certain that reimbursement will be received if the enterprise settles the obligation. The reimbursement should be treated as a separate asset. The amount recognized for the reimbursement should not exceed the amount of the provision.

It is apparent from the question that the company had not made provision for warranty in respect of certain goods considering that the company can claim the warranty cost from the original supplier. However, the provision for warranty should have been made as per AS 29 and the amount claimable as reimbursement should be treated as a separate asset in the financial statements of the company rather than omitting the disclosure of such liability. Accordingly, it can be said that the accounting treatment adopted by the company with respect to warranty is **not correct.**

(b) (i) There is a present obligation that probably requires an outflow of resources and a reliable estimate can be made of the amount of obligation – **Provision is recognised. Disclosures are required for the provision.**

(ii) There is a possible obligation or a present obligation that may, but probably will not, require an outflow of resources – **No provision is recognised. Disclosures are required for the contingent liability**.

(iii) There is a possible obligation or a present obligation where the likelihood of an outflow of resources is remote – **No provision is recognised. No disclosure is required**.

Question 13

With reference to AS 29, how would you deal with the following in the annual accounts of the company at the Balance Sheet dates:

During 20X1-X2 Ace Ltd. gives a guarantee of certain borrowings of Brew Ltd., whose financial condition at that time is sound. During 20X2-X3, the financial condition of Brew Ltd. deteriorates and on 31st Dec. 20X2, it goes into liquidation. (Balance Sheet date 31-3-X2).

Answer

As per **AS 29,** for a liability to qualify for recognition there must be not only a present obligation but also the probability of an outflow of resources embodying economic benefits to settle that obligation.

The obligating event is the giving of the guarantee by Ace Ltd. for certain borrowings of Brew Ltd., which gives rise to an obligation. No outflow of benefits is probable at **31st March 20X2**.Thus **no provision is recognized.** The guarantee is **disclosed as a contingent liability** unless probability of any outflow is regarded as remote.

During 20X2-X3, the financial condition of Brew Ltd. deteriorates and finally goes into liquidation. The obligating event is the giving of the guarantee, which gives rise to a legal obligation. At 31st March 20X3, it is **probable that an outflow** of resources embodying economic benefits will be required to settle the obligation. Thus, **provision is recognized** for the best estimate of the obligation.

Question 14

EXOX Ltd. is in the process of finalising its accounts for the year ended 31st March, 20X2. The company seeks your advice on the following:

(i) The Company's sales tax assessment for assessment year 20X1-X2 has been completed on 14th February, 20X4 with a demand of ₹ 2.76 crore. The company paid the entire due under protest without prejudice to its right of appeal. The Company files its appeal before the appellate authority wherein the grounds of appeal cover tax on additions made in the assessment order for a sum of 2.10 crore.

(ii) The Company has entered into a wage agreement in May, 20X2 whereby the labour union has accepted a revision in wage from June, 20X1. The agreement provided that the hike till May, 20X2 will not be paid to the employees but will be settled to them at the time of retirement. The company agrees to deposit the arrears in Government Bonds by September, 20X2.

Answer

(i) Since the company is not appealing against the addition of ₹ 0.66 crore the same should be provided for in its accounts for the year ended on 31st March, 20X4. The amount paid under protest can be kept under the heading '**Loans & Advances' and disclosed as a contingent liability of ₹ 2.10 crore**.

(ii) The arrears for the period from June, 20X1 to March, 20X2 are **required to be provided** for in the accounts of the company for the year ended on 31st March, 20X2.

Question 15

During the year, QA Ltd. delivered manufactured products to customer K. The products were faulty and on 1st October, 20X1 customer K commenced legal action against the Company claiming damages in respect of losses due to the supply of faulty product. Upon investigating the matter, QA Ltd. discovered that the products were faulty due to defective raw material procured from supplier F. Therefore, on 1st December, 20X1, the Company commenced legal action against F claiming damages in respect of the supply of defective raw materials.

QA Ltd. has estimated that it's probability of success of both legal actions, the action of K against QA Ltd. and action of QA Ltd. against F, is very high.

On 1st October, 20X1, QA Ltd. has estimated that the damages it would have to pay K would be ₹ 5 crore. This estimate was revised to ₹ 5.2 crore as on 31st March, 20X2 and ₹ 5.25 crore as at 15th May, 20X2. This case was eventually settled on 1st June, 20X2, when the Company paid damages of ₹ 5.3 crore to K.

On 1st December, 20X1, QA Ltd. had estimated that it would receive damages of ₹ 3.5 crore from F. This estimate was revised to ₹ 3.6 crore as at 31st March, 20X2 and ₹ 3.7 crore as on 15th May, 20X2. This case was eventually settled on 1st June, 20X2 when F paid ₹ 3.75 crore to QA Ltd. QA Ltd. had, in its financial statements for the year ended 31st March, 20X2, provided ₹ 3.6 crore as the financial statements were approved by the Board of Directors on 26th April, 20X2.

(i) Whether the Company is required to make provision for the claim from customer K as per applicable AS? If yes, please give the rationale for the same.

(ii) If the answer to (a) above is yes, what is the entry to be passed in the books of account as on 31st March, 20X2?

(iii) What will the accounting treatment of the action of QA Ltd. against supplier F as per applicable AS?

Answer

(i) **Yes,** QA Ltd. is required to make provision for the claim from customer K as per AS 29 since the claim is a present obligation as a result of delivery of faulty goods manufactured. Also, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligations. Further, a reliable estimate of **₹ 5.2 crore** can be made of the amount of the obligation while preparing the financial statements as on 31st March, 20X2.

(ii)

Statement of Profit and Loss A/c		Dr.	₹ 5.2 crore
To Current Liability A/c			₹ 5.2 crore

(iii) As per para 30 of AS 29, QA Ltd. shall **not recognise a contingent asset**. Here the probability of success of legal action is very high but there is no concrete evidence which makes the inflow virtually certain. Hence, it will be considered as contingent asset only and shall not be recognized.

Question 16

Saharsh Ltd. is engaged in manufacturing of electric home appliances. The company is in the process of finalizing its accounts for the year ended 31.3.20X1 and needs your expert advice on the following issues:

(i) The company has its plants at 3 different locations. It has to shut down one of its plants due to internal reasons. The said plant site is under a rental agreement till 31.3.20X2. The rent per month is ₹ 80,000. If the company cancels the agreement, it has to pay a penal amount equal to six month's rent. The company also has an option to sub-let the site at a rent of ₹ 45,000 per month.

(i) A case has been filed against the company in the consumer court and a notice for levy of a penalty of ₹ 20 lakhs has been received. The company has appointed a lawyer to defend the case for a fee of ₹ 2 lakhs. 50% of the fees has been paid and balance 50% will be paid after finalisation of the case. There are 75% chances that the penalty may not be levied.

(ii) The company had committed to supply a consignment worth ₹ 1 crore to one of its dealers by the year-end. As per the contract, if delivery is not made on time, a compensation of 15% of the value is to be paid. While the consignment was in transit, one of the trucks carrying goods worth ₹ 30 lakhs met with an accident. It was however covered by Insurance. According to the surveyor's report, the policy amount is collectable, subject to 10% deduction. Before closing the books of accounts, the company has received the information that the policy amount has been processed and the dealer has also claimed for the compensation.

Give your answers based on relevant accounting standard.

Answer

(i) As per AS 29, an 'onerous contract' is a contract in which the unavoidable costs of meeting the obligations under the contract exceed the economic benefits expected to be received under it. The unavoidable costs under a contract is the lower of net cost of fulfilling it and any compensation or penalties arising from failure to fulfil it.

In the given case, Saharsh Ltd. is required to pay:

In case of cancellation of agreement = ₹ 80,000 x 6 months = **₹ 4,80,000**

In case of continuance of agreement (in case of sub-let):

Net of rent paid over rent collected from sub-tenant (₹ 80,000 – 45,000) x 12 = **₹ 4,20,000**

Lower of the above is to be **provided** for i.e**. ₹ 4,20,000** is to be provided for.

(ii) As per AS 29, an obligation is a present obligation if, based on the evidence available, its existence at the balance sheet date is considered probable, i.e., more likely than not. Liability is a present obligation of the enterprise arising from past events, the settlement of which is expected to result in an outflow from the enterprise of resources embodying economic benefits.

In the given case, there are **75% chances that the penalty may not be levied**. Accordingly, Saharsh Ltd. should **not make the provision for penalty**.

However, a **provision should be made for remaining 50% fees** of the lawyer in the financial statements of financial year 20X1-20X2.

(iii)

Loss due to accident	₹ 30,00,000
Insurance claim receivable by company = ₹ 30,00,000 x 90%	₹ 27,00,000
Loss to be recognised in the books for 20X1-20X2	₹ 3,00,000
Insurance claim receivable to be recorded in the books	₹ 27,00,000
Compensation claim against company to be provided for in books = 30,00,000 x 15%	₹ 4,50,000

Question 17

With reference to AS 29, how would you deal with the following in the Annual Accounts of the company at the Balance Sheet date:

(i) The company operates an offshore oilfield where its licensing agreement requires it to remove the oil rig at the end of production and restore the seabed. Eighty five percent of the eventual costs relate to the removal of the oil rig and restoration of damage caused by building it, and fifteen percent arise through the extraction of oil. At the balance sheet date, rig has been constructed but no oil has been extracted.

(ii) The Government introduces a number of changes to the taxation laws. As a result of these changes, the company will need to train a large proportion of its accounting and legal workforce in order to ensure continued compliances with tax law regulations. At the balance sheet date, no retraining of staff has taken place.

Answer

(i) The construction of the oil rig creates an obligation under the terms of the license to remove the rig and restore the seabed and is thus an obligating event. At the balance sheet date, however, there is no obligation to rectify the damage that will be caused by extraction of the oil. An outflow of resources embodying economic benefits in settlement is probable. **Thus, a provision is recognized** for the best

estimate of **85% of** the eventual **costs that relate to the removal of the oil rig and restoration** of damage caused by building it. These costs are included as part of the cost of the oil rig.

However, there is **no obligation to rectify the damage that will be caused by extraction of oil**, as no oil has been extracted at the balance sheet date. So, **no provision** is required **for the cost of extraction of oil** at balance sheet date. 15% of costs that arise through the extraction of oil are recognized as a liability when the oil is extracted.

(ii) As per AS 29, a provision for restructuring costs is recognized only when the recognition criteria for provisions are met. A restructuring provision does not include costs as of retraining or relocating continuing staff.

The expenditures of training the staff related to the future conduct of the business and **are not liabilities for restructuring** at the balance sheet date. Such expenditures are recognized on the same basis as if they arose independently of a restructuring. At the balance sheet date, no such expenditure has been incurred hence **no provision is required**.

Question 18

S Ltd. (a Public Sector Company) provides consultancy and engineering services to its clients. In the year 20X5-X6, the Government has set up a commission to decide about the pay revision. The pay will be revised with respect from 1-1-20X1 based on the recommendations of the commission. The company makes the provision of ₹ 680 lakhs for pay revision in the financial year 20X5-X6 on the estimated basis as the report of the commission is yet to come. As per the contracts with the client on cost plus job, the billing is done on the actual payment made to the employees and allocated to jobs based on hours booked by these employees on each job.

The company discloses through notes to accounts:

"Salaries and benefits include the provision of ₹ 680 lakhs in respect of pay revision. The amount chargeable from reimbursable jobs will be billed as per the contract when the actual payment is made".

The accountant feels that the company should also book/recognise the income by ₹ 680 lakhs in Profit and Loss Account as per the terms of the contract. Otherwise, it will be the violation of matching concept & understatement of profit. Comment on the opinion of the Accountant with reference to relevant accounting standards.

Answer

As per **AS 29**, 'Provisions, Contingent Liabilities and Contingent Assets', where some or all of the expenditure required to settle a provision is expected to be reimbursed by another party, the reimbursement should be recognised when, and only when, it is virtually certain that reimbursement will be received if the enterprise settles the obligation. **The reimbursement should be treated as a separate asset**. The amount recognised for the reimbursement **should not exceed the amount of the provisions**.

Accordingly, potential loss to an enterprise may be reduced or avoided because a contingent liability is matched by a related counter-claim or claim against a third party. In such cases, the amount of the provision is determined after taking into account the probable recovery under the claim if no significant uncertainty as to its measurability or collectability exists. In this case, the provision of salary to employees of ₹ 680 lakhs will be ultimately collected from the client, as per the terms of the contract. Therefore, the **liability of ₹ 680 lakhs is matched by the counter claim from the client**. Hence, the provision for salary of employees should be matched with the reimbursable asset to be claimed from the client. It appears that the whole amount of Rs. 680 lakhs is recoverable from client and there is no significant uncertainty about the collection. Hence, the net

charge to profit and loss account should be nil.

The opinion of the accountant regarding **recognition of income of ₹ 680 lakhs is not as per AS29** and also the concept of prudence will not be followed if ₹ 680 lakhs is simultaneously recognized as income. ₹ 680 lakhs is not the revenue at present but **only reimbursement of claim for which an asset is created**. However the accountant is correct to the extent as that non-recognition of ₹ 680 lakhs as income will result in the understatement of profit. To avoid this, in the statement of profit and loss, **expense relating to provision may be presented net of the amount recognized for reimbursement**.

CHAPTER - 28
Preparation of Financial Statements of Companies

Preparation of Balance Sheet

Question 1

From the following particulars furnished by Alpha Ltd., prepare the Balance Sheet as on 31st March 20X1 as required by Part I, Schedule III to the Companies Act, 2013.

Particulars		Debit (₹)	Credit (₹)
Equity Share Capital (Face value of ₹ 100 each)			50,00,000
Call in Arrears		5,000	
Land & Building		27,50,000	
Plant & Machinery		26,25,000	
Furniture		2,50,000	
General Reserve			10,50,000
Loan from State Financial Corporation			7,50,000
Inventory:			
Raw Materials	2,50,000		
Finished Goods	10,00,000	12,50,000	
Provision for Taxation			6,40,000
Trade receivables		10,00,000	
Short term Advances		2,13,500	
Profit & Loss Account			4,33,500
Cash in Hand		1,50,000	
Cash at Bank		12,35,000	
Unsecured Loan			6,05,000
Trade payables (for Goods and Expenses)			8,00,000
Loans & advances from related parties (Short term)			2,00,000
		94,78,500	**94,78,500**

The following additional information is also provided:

(i) 10,000 Equity shares were issued for consideration other than cash.

(ii) Trade receivables of ₹ 2,60,000 are due for more than 6 months.

(iii) The cost of the Assets were:

Land and Building ₹ 30,00,000, Plant & Machinery ₹ 35,00,000 and Furniture ₹ 3,12,500

(iv) The balance of ₹ 7,50,000 in the Loan Account with State Finance Corporation is inclusive of ₹ 37,500 for Interest Accrued but not Due. The loan is secured by hypothecation of Plant & Machinery.

(v) Balance at Bank includes ₹ 10,000 with Omega Bank Ltd., which is not a Scheduled Bank.

(vi) Transfer ₹ 20,000 to general reserve is proposed by Board of directors.

(vii) Board of directors declared dividend of 5% on the paid up capital on 2nd April, 20X1.

Answer

Alpha Ltd.

Balance Sheet as at 31st March, 20X1

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	49,95,000
	(b)	Reserves and Surplus	2	14,83,500
2		**Non-current liabilities**		
	(a)	Long term borrowings	3	13,17,500
3		**Current liabilities**		
	(a)	Short term Borrowing	4	2,00,000
	(b)	Trade Payables		8,00,000
	(c)	Other Current Liabilities	5	37,500
	(d)	Short term provision	6	6,40,000
		Total		**94,73,500**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i. Property, plant and Equipment	7	56,25,000
2		**Current assets**		
	(a)	Inventories	8	12,50,000
	(b)	Trade receivables	9	10,00,000
	(c)	Cash and Cash equivalents	10	13,85,000
	(d)	Short-term loans and advances		2,13,500
		Total		**94,73,500**

Notes to accounts

S. No.	Particulars		₹
1	**Share Capital**		
	Issued & subscribed & called up:		
	50,000 Equity Shares of ₹ 100 each		50,00,000
	(10,000 shares issued for consideration other than cash)		
	Less: Calls in arrears		(5,000)
			49,95,000
2	**Reserves and Surplus**		
	General reserve	10,50,000	
	Add: current year transfer Profit & Loss balance	20,000	10,70,000
	Profit & loss Balance:		
	Profit for the year	4,33,500	
	Less: Appropriations: Transfer to General reserve	(20,000)	4,13,500
			14,83,500

3	**Long term borrowings**		
	Secured-Term Loans:		
	Loan from State Financial Corporation (7,50,000 – 37,500)		7,12,500
	(Secured by hypothecation of Plant and Machinery)		
	Unsecured loan:		6,05,000
			13,17,500
4	**Short term borrowing**		
	Loans and advances		**2,00,000**
5	**Other Current liabilities**		
	Interest accrued but not due on loans (SFC)		**37,500**
6	**Short-term provisions**		
	Provision for taxation		**6,40,000**
7	**Property, Plant and Equipment (PPE)**		
	Buildings	30,00,000	
	Less: Depreciation (b.f.)	(2,50,000)	27,50,000
	Plant & Machinery	35,00,000	
	Less: Depreciation (b.f.)	(8,75,000)	26,25,000
	Furniture & Fittings	3,12,500	
	Less: Depreciation (b.f.)	(62,500)	2,50,000
			56,25,000
8	**Inventories**		
	Raw Material		2,50,000
	Finished goods		10,00,000
			12,50,000
9	**Trade receivables**		
	Debts outstanding for a period exceeding six months		2,60,000
	Other Debts		7,40,000
			10,00,000
10	**Cash and cash equivalents**		
	Cash at bank:		
	with Scheduled Banks	12,25,000	
	with others (Perfect Bank Ltd.)	10,000	12,35,000
	Cash in hand		1,50,000
	Other bank balances		Nil
			13,85,000

Note: The final dividend will not be recognized as a liability at the balance sheet date (even if it is declared after reporting date but before approval of the financial statements) as per Accounting Standards. Hence, it has not been recognized in the financial statements for the year ended 31 March, 20X1. Such dividends will be disclosed in notes only.

Question 2

From the following particulars furnished by Pioneer Ltd., prepare the Balance Sheet as at 31st March, 20X1 as required by Schedule III of the Companies Act. Give notes at foot of Balance Sheet as may be found necessary.

		Debit (₹)	Credit (₹)
Equity Capital (Face value of ₹ 100)			10,00,000
Calls in Arrears		1,000	
Land		2,00,000	
Building		3,50,000	
Plant and Machinery		5,25,000	
Furniture		50,000	
General Reserve			2,10,000
Loan from State Financial Corporation			1,50,000
Inventory:			
Finished Goods	2,00,000		
Raw Materials	50,000	2,50,000	
Provision for Taxation			68,000
Trade receivables		2,00,000	
Advances (Short term)		42,700	
Dividend Payable			60,000
Profit and Loss Account			86,700
Cash Balance		30,000	
Cash at Bank		2,47,000	
Loans (Unsecured)			1,21,000
Trade payables (For Goods and Expenses)			2,00,000
		18,95,700	**18,95,700**

The following additional information is also provided:

(1) 2,000 equity shares were issued for consideration other than cash.

(2) Trade receivables of ₹ 52,000 are due for more than six months.

(3) The cost of assets:

Building	₹ 4,00,000
Plant and Machinery	₹ 7,00,000
Furniture	₹ 62,500

(4) The balance of ₹ 1,50,000 in the loan account with State Finance Corporation is inclusive of ₹ 7,500 for interest accrued but not due. The loan is secured by hypothecation of the Plant and Machinery.

(5) Balance at Bank includes ₹ 2,000 with Perfect Bank Ltd., which is not a Scheduled Bank.

(6) The company had contract for the erection of machinery at ₹ 1,50,000 which is still incomplete.

Answer

Pioneer Ltd.

Balance Sheet as at 31st March, 20X1

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	9,99,000
	(b)	Reserves and Surplus	2	2,96,700
2		**Non-current liabilities**		
	(a)	Long term borrowings	3	2,63,500
3		**Current liabilities**		
	(a)	Trade Payables		2,00,000
	(b)	Other current Liabilities	4	67,500
	(c)	Short term provision	5	68,000
		Total		**18,94,700**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i. Property, plant and Equipment	6	11,25,000
2		**Current assets**		
	(a)	Inventories	7	2,50,000
	(b)	Trade receivables	8	2,00,000
	(c)	Cash and Cash equivalents	9	2,77,000
	(d)	Short-term loans and advances		42,700
		Total		**18,94,700**

Notes to accounts

S. No.	Particulars		₹
1	**Share Capital**		
	Issued & subscribed & called up:		
	10,000 Equity Shares of ₹ 100 each		10,00,000
	(2,000 shares have been issued for consideration other than cash)		
	Less: Calls in arrears		(1,000)
			9,99,000
2	**Reserves and Surplus**		
	General reserve		2,10,000
	Profit & loss Balance:		86,700
			2,96,700
3	**Long term borrowings**		
	Secured-Term Loans:		
	Loan from State Financial Corporation (1,50,000 – 7,500)		1,42,500
	(Secured by hypothecation of Plant and Machinery)		
	Unsecured loan		1,21,000
			2,63,500

4	**Other current liabilities**		
	Interest accrued but not due on loans (SFC)		7,500
	Dividend Payable		60,000
			67,500
5	**Short-term provisions**		
	Provision for taxation		**68,000**
6	**Property, Plant and Equipment (PPE)**		
	Land		2,00,000
	Buildings	4,00,000	
	Less: Depreciation (b.f.)	(50,000)	3,50,000
	Plant & Machinery	7,00,000	
	Less: Depreciation (b.f.)	(1,75,000)	5,25,000
	Furniture & Fittings	62,500	
	Less: Depreciation (b.f.)	(12,500)	50,000
			11,25,000
7	**Inventories**		
	Raw Material		50,000
	Finished goods		2,00,000
			2,50,000
8	**Trade receivables**		
	Debts outstanding for a period exceeding six months		52,000
	Other Debts		1,48,000
			2,00,000
9	**Cash and cash equivalents**		
	Cash at bank		
	with Scheduled Banks	2,45,000	
	with others (Perfect Bank Ltd.)	2,000	2,47,000
	Cash in hand		30,000
	Other bank balances		Nil
			2,77,000

Note: Estimated amount of contract remaining to be executed on capital account and not provided for ₹ 1,50,000. It has been assumed that the company had given this contract for purchase of machinery.

Question 3

On 31st March, 20X1 Bose and Sen Ltd. provides to you the following ledger balances after preparing its Profit and Loss Account for the year ended 31st March, 20X1:

Credit Balances:

	₹
Equity shares capital, fully called shares of ₹ 10 each	70,00,000

General Reserve	15,49,100
Loan from State Finance Corporation	10,50,000
(Secured by hypothecation of Plant & Machinery Repayable within one year ₹ 2,00,000)	
Loans: Unsecured (Long term)	8,47,000
Sundry Creditors for goods &expenses (Payable within 6 months)	14,00,000
Profit & Loss Account	7,00,000
Provision for Taxation	8,16,900
	1,33,63,000

Debit Balances:

	₹
Calls in arrear	7,000
Land	14,00,000
Buildings	20,50,000
Plant and Machinery	36,75,000
Furniture & Fixture	3,50,000
Inventories: Finished goods	14,00,000
Raw Materials	3,50,000
Trade Receivables	14,00,000
Advances: Short-term	2,98,900
Cash in hand	2,10,000
Balances with banks	17,29,000
Preliminary Expenses	93,100
Patents & Trademarks	4,00,000
	1,33,63,000

The following additional information is also provided in respect of the above balances:

(i) 4,20,000 fully paid equity shares were allotted as consideration for land & buildings.

(ii) Cost of Building ₹ 28,00,000

(iii) Cost of Plant & Machinery ₹ 49,00,000

Cost of Furniture & Fixture ₹ 4,37,500

(iv) Trade receivables for ₹ 3,80,000 are due for more than 6 months.

(v) The amount of Balances with Bank includes ₹ 18,000 with a bank which is not a scheduled Bank and the deposits of ₹ 5 lakhs are for a period of 9 months.

(vi) Unsecured loan includes ₹ 2,00,000 from a Bank and ₹ 1,00,000 from related parties.

(vii) Entire amount of Preliminary expenses to be written off, by adjusting from opening balance of General Reserve.

You are not required to give previous year's figures. You are required to prepare the Balance Sheet of the Company as on 31st March, 20X1 as required under Schedule III to the Companies Act, 2013.

Answer

Bose and Sen Ltd.

Balance Sheet as at 31st March, 20X1

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	69,93,000
	(b)	Reserves and Surplus	2	21,56,000
2		**Non-current liabilities**		
	(a)	Long term borrowings	3	16,97,000
3		**Current liabilities**		
	(a)	Short term Borrowing	4	2,00,000
	(b)	Trade Payables		14,00,000
	(c)	Short term provision	5	8,16,900
		Total		**1,32,62,900**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i. Property, plant and Equipment	6	74,75,000
		ii. Intangible assets (Patents & Trade Marks)		4,00,000
2		**Current assets**		
	(a)	Inventories	7	17,50,000
	(b)	Trade receivables	8	14,00,000
	(c)	Cash and Cash equivalents	9	19,39,000
	(d)	Short-term loans and advances		2,98,900
		Total		**1,32,62,900**

Notes to accounts

S. No.	Particulars		₹
1	**Share Capital**		
	Issued & subscribed & called up:		
	7,00,000 Equity Shares of ₹ 10 each		70,00,000
	(4,20,000 shares issued for consideration other than cash)		
	Less: Calls in arrears		(7,000)
			69,93,000
2	**Reserves and Surplus**		
	General reserve	15,49,100	
	Less: Preliminary expenses	(93,100)	14,56,000
	Profit & loss Balance		7,00,000
			21,56,000
3	**Long term borrowings**		
	Secured-Term Loans:		
	Loan from State Financial Corporation (₹ 10,50,000 – ₹ 2,00,000)		8,50,000

	(Secured by hypothecation of Plant and Machinery)		
	Unsecured loan:		
	Bank Loan	2,00,000	
	Loan from related parties	1,00,000	
	Others	5,47,000	8,47,000
			16,97,000
4	**Short term borrowing**		
	Current maturities of long-term		**2,00,000**
	(debt-loan Instalment repayable within one year)		
5	**Short-term provisions**		
	Provision for taxation		**8,16,900**
6	**Property, Plant and Equipment (PPE)**		
	Land		14,00,000
	Buildings	28,00,000	
	Less: Depreciation (b.f.)	(7,50,000)	20,50,000
	Plant & Machinery	49,00,000	
	Less: Depreciation (b.f.)	(12,25,000)	36,75,000
	Furniture & Fittings	4,37,500	
	Less: Depreciation (b.f.)	(87,500)	3,50,000
			74,75,000
7	**Inventories**		
	Raw Material		3,50,000
	Finished goods		14,00,000
			17,50,000
8	**Trade receivables**		
	Debts outstanding for a period exceeding six months		3,80,000
	Other Debts		10,20,000
			14,00,000
9	**Cash and cash equivalents**		
	Cash at bank:		
	with Scheduled Banks	12,11,000	
	with others (Perfect Bank Ltd.)	18,000	12,29,000
	Bank deposits for period of 9 months		5,00,000
	Cash in hand		2,10,000
			19,39,000

Question 4

On 31st March, 20X1, SR Ltd. provides the following ledger balances after preparing its Profit & Loss Account for the year ended 31st March, 20X1.

Particulars	Debit (₹)	Credit (₹)
Equity Share Capital, fully paid shares of ₹ 50 each		80,00,000
Calls in arrear	15,000	
Land	25,00,000	
Buildings	30,00,000	
Plant & Machinery	24,00,000	
Furniture & Fixture	13,00,000	
Securities Premium		15,00,000
General Reserve		9,41,000
Profit & Loss Account		5,80,000
Loan from Public Finance Corporation (Secured by Hypothecation of Land)		26,30,000
Other Long-Term Loans		22,50,000
Short Term Borrowings		4,60,000
Inventories: Finished goods	45,00,000	
Raw materials	13,00,000	
Trade Receivables	17,50,000	
Advances: Short Term	3,75,000	
Trade Payables		8,13,000
Provision for Taxation		3,80,000
Unpaid Dividend		70,000
Cash in Hand	70,000	
Balances with Banks	4,14,000	
Total	**1,76,24,000**	**1,76,24,000**

The following additional information was also provided in respect of the above balances:

(1) 50,000 fully paid equity shares were allotted as consideration for land.

(2) The cost of assets were:

Building	₹ 32,00,000
Plant and Machinery	₹ 30,00,000
Furniture and Fixture	₹ 16,50,000

(3) Trade Receivables for ₹ 4,86,000 due for more than 6 months.

(4) Balances with banks include ₹ 56,000, the Naya bank, which is not a scheduled bank.

(5) Loan from Public Finance Corporation repayable after 3 years.

(6) The balance of ₹ 26,30,000 in the loan account with Public Finance Corporation is inclusive of ₹1,34,000 for interest accrued but not due. The loan is secured by hypothecation of land.

(7) Other long term loans (unsecured) includes:

Loan taken from Nixes Bank (Amount repayable within one year ₹ 4,80,000)	₹ 13,80,000
Loan taken from Directors	₹ 8,50,000

(8) Bills Receivable for ₹ 1,60,000 maturing on 15th June, 20X1 has been discounted.

(9) Short term borrowings include:

Loan from Naya bank	₹ 1,16,000 (Secured)
Loan from directors	₹ 48,000

(10) Transfer of ₹ 35,000 to general reserve has been proposed by the Board of directors out of the profits for the year.

(11) Inventory of finished goods includes loose tools costing ₹ 5 lakhs (which do not meet definition of property, plant & equipment as per AS 10)

You are required to prepare the Balance Sheet of the Company as on March 31st 20X1 as required under Part - I of Schedule III of the Companies Act, 2013.

You are not required to give previous year figures.

Answer

SR Ltd.

Balance Sheet as at 31st March, 20X1

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	79,85,000
	(b)	Reserves and Surplus	2	30,21,000
2		**Non-current liabilities**		
	(a)	Long term borrowings	3	42,66,000
3		**Current liabilities**		
	(a)	Short-term borrowings	4	9,40,000
	(b)	Trade Payables		8,13,000
	(c)	Other Current Liabilities	5	2,04,000
	(d)	Short term provision	6	3,80,000
		Total		**1,76,09,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i. Property, plant and Equipment	7	92,00,000
2		**Current assets**		
	(a)	Inventories	8	58,00,000
	(b)	Trade receivables	9	17,50,000
	(c)	Cash and Cash equivalents	10	4,84,000
	(d)	Short-term loans and advances		3,75,000
		Total		**1,76,09,000**

Notes to accounts

S. No.	Particulars		₹
1	**Share Capital**		
	Issued & subscribed & called up:		

	1,60,000 Equity Shares of ₹ 50 each		80,00,000
	(50,000 shares issued for consideration other than cash)		
	Less: Calls in arrears		(15,000)
			79,85,000
2	**Reserves and Surplus**		
	General reserve	9,41,000	
	Add: Transferred from Profit and loss account	35,000	9,76,000
	Securities premium		15,00,000
	Surplus (Profit & Loss A/c)	5,80,000	
	Less: Appropriation to General Reserve (proposed)	(35,000)	5,45,000
			30,21,000
3	**Long term borrowings**		
	Secured-Term Loans:		
	Loan from State Financial Corporation (₹ 26,30,000 – ₹ 1,34,000)		24,96,000
	(Secured by hypothecation of Land and repayable after 3 years)		
	Unsecured loan:		
	Bank Loan (₹ 13,80,000 – ₹ 4,80,000 repayable within 1 year)	9,00,000	
	Loan from Directors	8,50,000	
	Others	20,000	17,70,000
			42,66,000
4	**Short-term borrowings**		
	Loan from Naya bank (Secured)		1,16,000
	Loan from Nixes bank repayable within one year		4,80,000
	(Current maturity of Long term borrowing)		
	Loan from Directors		48,000
	Others		2,96,000
			9,40,000
5	**Other current liabilities**		
	Interest accrued but not due on loans (SFC)		1,34,000
	Unpaid dividend		70,000
			2,04,000
6	**Short-term provisions**		
	Provision for taxation		**3,80,000**
7	**Property, Plant and Equipment (PPE)**		
	Land		25,00,000
	Buildings	32,00,000	
	Less: Depreciation (b.f.)	(2,00,000)	30,00,000
	Plant & Machinery	30,00,000	
	Less: Depreciation (b.f.)	(6,00,000)	24,00,000
	Furniture & Fittings	16,50,000	

	Less: Depreciation (b.f.)	(3,50,000)	13,00,000
			92,00,000
8	**Inventories**		
	Raw Material		13,00,000
	Finished goods (45,00,000 – 5,00,000)		40,00,000
	Loose tools		5,00,000
			58,00,000
9	**Trade receivables**		
	Debts outstanding for a period exceeding six months		4,86,000
	Other Debts		12,64,000
			17,50,000
10	**Cash and cash equivalents**		
	Cash at bank:		
	with Scheduled Banks	3,58,000	
	with others (Perfect Bank Ltd.)	56,000	4,14,000
	Cash in hand		70,000
	Other bank balances		Nil
			4,84,000

Preparation of P&L and Balance Sheet

Question 5

The following is the Trial Balance of Omega Limited as on 31.3.20X2: **(Figures in ₹ '000)**

	Debit		**Credit**
Land at cost	220	Equity Capital (Shares of ₹ 10 each)	300
Plant & Machinery at cost	770	10% Debentures	200
Trade Receivables	96	General Reserve	130
Inventories (31.3.X2)	86	Profit & Loss A/c	72
Bank	20	Securities Premium	40
Adjusted Purchases	320	Sales	700
Factory Expenses	60	Trade Payables	52
Administration Expenses	30	Provision for Depreciation	172
Selling Expenses	30	Suspense Account	4
Debenture Interest	20		
Interim Dividend Paid	18		
	1670		**1670**

Additional Information:

(i) The authorised share capital of the company is 40,000 shares of ₹ 10 each.

(ii) The company on the advice of independent valuer wish to revalue the land at ₹ 3,60,000.

(iii) Declared final dividend @ 10% on 2nd April, 20X2.

(iv) Suspense account of ₹ 4,000 represents cash received for the sale of some of the machinery on 1.4.20X1. The cost of the machinery was ₹ 10,000 and the accumulated depreciation thereon being ₹ 8,000.

(v) Depreciation is to be provided on plant and machinery at 10% on cost.

You are required to prepare Omega Limited's Balance Sheet as on 31.3.20X2 and Statement of Profit and Loss with notes to accounts for year ended 31.3.20X2 as per Schedule III. Ignore previous years' figures & taxation.

Answer

Omega Limited

Balance Sheet as at 31st March, 20X2

Particulars			Notes	(₹ in 000)
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	300
	(b)	Reserves and Surplus	2	530
2		**Non-current liabilities**		
	(a)	Long term borrowings	3	200
3		**Current liabilities**		
	(a)	Trade Payables		52
		Total		**1082**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i. Property, plant and Equipment	4	880
2		**Current assets**		
	(a)	Inventories		86
	(b)	Trade receivables		96
	(c)	Cash and Cash equivalents		20
		Total		**1082**

Omega Limited

Statement of Profit and Loss for the year ended 31st March, 20X2

Particulars		Notes	(₹ in 000)
I	Revenue from operation		700
II	Other income	5	2
III	**Total Income (I + II)**		**702**
IV	**Expenses**		
	Purchase of stock in trade		320
	Finance costs	6	20
	Depreciation and amortization expense		76
	Other expenses	7	120

V	**Total expenses**		**536**
VI	**Profit before tax (III – V)**		**166**
VII	Tax expense		–
VIII	**Profit after tax (VI – VII)**		**166**

Notes to accounts

S. No.	Particulars		₹ in ('000)
1	**Share Capital**		
	Equity share capital		
	Authorized:		
	40,000 shares of ₹ 10 each		400
	Issued & subscribed & called up		
	30,000 shares of ₹ 10 each		**300**
2	**Reserves and Surplus**		
	Revaluation reserve (360 – 220)		140
	General reserve		130
	Securities premium		40
	Profit & loss Balance:		
	Opening balance	72	
	Profit for the period	166	
		238	
	Less: Appropriations (Interim Dividend)	(18)	220
			530
3	**Long term borrowings**		
	10% Debentures		**200**
4	**Property, Plant and Equipment (PPE)**		
	Land:		
	Opening balance	220	
	Add: Revaluation adjustment	140	
	Closing balance		360
	Plant and Machinery:		
	Opening balance	770	
	Less: Disposed off	(10)	
		760	
	Less: Depreciation (17 – 8 + 76)	(240)	
	Closing balance		520
			880
5	**Other Income**		
	Profit on sale of machinery:		
	Sale value of machinery		4
	Less: Book value of machinery (10 – 8)		(2)

			2
6	**Finance costs**		
	Debenture interest		**20**
7	**Other expenses**		
	Factory expenses		60
	Selling expenses		30
	Administrative expenses		30
			120

Note: The final dividend will not be recognized as a liability at balance sheet date (even if it is declared after reporting date but before approval of financial statements) as per Accounting Standards. Hence, it has not been recognized in financial statements for year ended 31st March, 20X2. Such dividend will be disclosed in notes.

Question 6

Following is the trial balance of Delta limited as on 31.3.20X2. **(Figures in ₹ '000)**

Particulars	Debit	Particulars	Credit
Land at cost	800	Equity share capital of ₹ 10 each	500
Calls in arrears	5	10% Debentures	300
Cash in hand	2	General reserve	150
Plant & Machinery at cost	824	Profit & Loss A/c (bal. on 1.4.X1)	75
Trade receivables	120	Securities premium	40
Inventories (31.3.X2)	96	Sales	1200
Cash at Bank	28	Trade payables	30
Adjusted Purchases	400	Provision for depreciation	150
Factory expenses	80	Suspense Account	10
Administrative expenses	45		
Selling expenses	25		
Debenture Interest	30		
	2455		**2455**

Additional Information:

(i) The authorized share capital of the company is 80,000 shares of ₹ 10 each.

(ii) The company revalued the land at ₹ 9,60,000.

(iii) Equity share capital includes shares of ₹ 50,000 issued for consideration other than cash.

(iv) Suspense account of ₹ 10,000 represents cash received from the sale of some of the machinery on 1.4.20X1. The cost of the machinery was ₹ 24,000 and the accumulated depreciation thereon being ₹ 20,000. The balance of Plant & Machinery given in trial balance is before adjustment of sale of machinery.

(v) Depreciation is to be provided on plant and machinery at 10% on cost.

(vi) Balance at bank includes ₹ 5,000 with ABC Bank Ltd., which is not a Scheduled Bank.

(vii) Make provision for income tax @ 30%.

(viii) Trade receivables of ₹ 50,000 are due for more than six months.

You are required to prepare Delta Limited's Balance Sheet as at 31.3.20X2 and Statement of Profit and Loss with notes to accounts for the year ended 31.3.20X2 as per Schedule Ill. Ignore previous year's figures.

Answer

Delta Limited

Balance Sheet as at 31st March 20X2

Particulars			Notes	in ₹ '000
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	495.00
	(b)	Reserves and Surplus	2	807.20
2		**Non-current liabilities**		
	(a)	Long term borrowings	3	300.00
3		**Current liabilities**		
	(a)	Trade Payables		30.00
	(b)	Short term provision	4	163.80
		Total		**1,796.00**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i. Property, plant and Equipment	5	1,550.00
2		**Current assets**		
	(a)	Inventories		96.00
	(b)	Trade receivables	6	120.00
	(c)	Cash and Cash equivalents	7	30.00
		Total		**1,796.00**

Statement of Profit and Loss for the year ended 31st March 20X2

Particulars		Notes	in ₹ '000
I	Revenue from operation		1200.00
II	Other income	8	6.00
III	**Total Income (I + II)**		**1,206.00**
IV	**Expenses**		
	Purchases (Adjusted)		400.00
	Finance costs	9	30.00
	Depreciation and amortisation expense (10% of 800)		80.00
	Other expenses	10	150.00
V	**Total expenses**		**660.00**
VI	**Profit before tax (III – V)**		**546.00**
VII	Tax expense		163.80
VIII	**Profit after tax (VI – VII)**		**382.20**

Notes to Accounts

S. No.	Particulars		₹ in ('000)
1	**Share Capital**		
	Equity share capital		
	Authorized:		
	80,000 shares of ₹ 10 each		800
	Issued & subscribed & called up		
	50,000 shares of ₹ 10 each		500
	(5,000 shares have been issued for consideration other than cash)		
	Less: Calls in arrears		(5)
			495
2	**Reserves and Surplus**		
	Revaluation reserve (960 – 800)		160.00
	General reserve		150.00
	Securities premium		40.00
	Profit & loss Balance:		
	Opening balance	75.00	
	Profit for the period	382.20	457.20
			807.20
3	**Long term borrowings**		
	8% Debentures		**300**
4	**Short-term provision**		
	Provision for tax		**163.80**
5	**Property, Plant and Equipment (PPE)**		
	Land		
	Opening balance	800	
	Add: Revaluation adjustment	160	
	Closing balance		960
	Plant and Machinery		
	Opening balance	824	
	Less: Disposed off	(24)	
		800	
	Less: Depreciation (150 – 20 + 80)	(210)	
	Closing balance		590
			1,550
6	**Trade receivables**		
	Debts outstanding for a period exceeding six months		50
	Other Debts		70
			120
7	**Cash and cash equivalents**		

	Cash at bank		
	with Scheduled Banks	23	
	with others (ABC Bank Limited)	5	28
	Cash in hand		2
	Other bank balances		Nil
			30
8	**Other Income**		
	Profit on sale of machinery:		
	Sale value of machinery		10
	Less: Book value of machinery (24 – 20)		4
			6
9	**Finance costs**		
	Debenture interest		**30**
10	**Other expenses**		
	Factory expenses		80
	Selling expenses		25
	Administrative expenses		45
			150

Question 7

You are required to prepare Balance sheet and statement of Profit and Loss from the following trial balance of Haria Chemicals Ltd. for the year ended 31st March, 20X1.

Haria Chemicals Ltd.

Trial Balance as at 31st March, 20X1

Particulars	**₹**	**Particulars**	**₹**
Inventory	6,80,000	Equity Shares	
Furniture	2,00,000	Capital (Shares of ₹ 10 each)	25,00,000
Discount	40,000	11% Debentures	5,00,000
Loan to Directors (Short term)	80,000	Bank loans	6,45,000
Advertisement	20,000	Trade payables	2,81,000
Bad debts	35,000	Sales	42,68,000
Commission	1,20,000	Rent received	46,000
Materials consumed	23,19,000	Transfer fees	10,000
Plant and Machinery	8,60,000	Profit & Loss account	1,39,000
Rentals	25,000	Depreciation provision:	
Current account	45,000	Machinery	1,46,000
Cash	8,000		
Interest on bank loans	1,16,000		
Preliminary expenses	10,000		

Fixtures	3,00,000		
Wages	9,00,000		
Consumables	84,000		
Freehold land	15,46,000		
Tools & Equipment	2,45,000		
Goodwill	2,65,000		
Trade receivables	4,40,000		
Dealer aids	21,000		
Transit insurance	30,000		
Trade expenses	37,000		
Distribution freight	54,000		
Debenture interest	55,000		
	85,35,000		**85,35,000**

Additional information: Closing Inventory on 31.3.20X1: ₹ 8,23,000.

Answer

Haria Chemicals Ltd.

Balance Sheet as at 31st March, 20X1

Particulars			**Notes**	**₹**
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	25,00,000
	(b)	Reserves and Surplus	2	7,40,000
2		**Non-current liabilities**		
	(a)	Long term borrowings	3	11,45,000
3		**Current liabilities**		
	(a)	Trade Payables		2,81,000
		Total		**46,66,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i. Property, plant and Equipment	4	30,05,000
		ii. Intangible Asset (Goodwill)		2,65,000
2		**Current assets**		
	(a)	Inventories		8,23,000
	(b)	Trade receivables		4,40,000
	(c)	Cash and Cash equivalents	5	53,000
	(d)	Short term loans and advances	6	80,000
		Total		**46,66,000**

Haria Chemicals Ltd.

Statement of Profit and Loss for the year ended 31st March, 20X1

Particulars		Notes	₹
I	Revenue from operation		42,68,000
II	Other income	7	56,000
III	**Total Income (I + II)**		**43,24,000**
IV	**Expenses**		
	Cost of material consumed		23,19,000
	Changes in inventory of Finished goods, WIP, and Stock on trade	8	(1,43,000)
	Employee benefit expenses	9	9,00,000
	Finance costs	10	1,71,000
	Other expenses	11	4,76,000
V	**Total expenses**		**37,23,000**
VI	**Profit before tax (III – V)**		**6,01,000**
VII	Tax expense		–
VIII	**Profit after tax (VI – VII)**		**6,01,000**

Notes to Accounts

S. No.	Particulars		₹
1	**Share Capital**		
	Equity share capital		
	Authorized:		
	Equity share capital of ₹ 10 each		25,00,000
	Issued & subscribed & called up:		
	Equity share capital of ₹ 10 each		**25,00,000**
2	**Reserves and Surplus**		
	Profit & loss Balance:		
	Opening balance		1,39,000
	Profit for the period		6,01,000
			7,40,000
3	**Long term borrowings**		
	11% Debentures		5,00,000
	Bank loans (assumed long-term)		6,45,000
			11,45,000
4	**Property, Plant and Equipment (PPE)**		
	Freehold land		15,46,000
	Furniture		2,00,000
	Fixtures		3,00,000
	Plant & Machinery	8,60,000	
	Less: Depreciation	1,46,000	7,14,000
	Tools & Equipment		2,45,000
			30,05,000

5	**Cash and cash equivalents**		
	Current account balance		45,000
	Cash		8,000
	Other bank balances		Nil
			53,000
6	**Short-term loans and Advances**		
	Loan to directors		**80,000**
7	**Other Income**		
	Rent received		46,000
	Transfer fees		10,000
			56,000
8	**Changes in inventory of finished goods, WIP & Stock in trade**		
	Opening inventory	6,80,000	
	Closing inventory	(8,23,000)	**(1,43,000)**
9	**Employee benefit expense**		
	Wages		**9,00,000**
10	**Finance cost**		
	Interest on bank loans		1,16,000
	Debenture interest		55,000
			1,71,000
11	**Other Expenses**		
	Consumables		84,000
	Preliminary expenses		10,000
	Bad debts		35,000
	Discount		40,000
	Rentals		25,000
	Commission		1,20,000
	Advertisement		20,000
	Dealers' aids		21,000
	Transit insurance		30,000
	Trade expenses		37,000
	Distribution freight		54,000
			4,76,000

Question 8

You are required to prepare a Statement of Profit and Loss and Balance Sheet from the following Trial Balance extracted from the books of the International Hotels Ltd., on 31st March, 20X2:

	Debit (₹)	Credit (₹)
Authorised Capital:		

Divided into 5,000 6% Preference Shares of ₹ 100 each and 10,000 equity Shares of ₹ 100 each		15,00,000
Subscribed Capital:		
5,000 6% Preference Shares of ₹ 100 each		5,00,000
Equity Capital		8,05,000
Purchases: Wines, Cigarettes, Cigars, etc.	45,800	
Foodstuffs	36,200	
Wages and Salaries	28,300	
Rent, Rates and Taxes	8,900	
Laundry	750	
Sales: Wines, Cigarettes, Cigars, etc.		68,400
Food		57,600
Coal and Firewood	3,290	
Carriage and Cooliage	810	
Sundry Expenses	5,840	
Advertising	8,360	
Repairs	4,250	
Rent of Rooms		48,000
Billiard		5,700
Miscellaneous Receipts		2,800
Discount received		3,300
Transfer fees		700
Freehold Land and Building	8,50,000	
Furniture and Fittings	86,300	
Inventory on hand at 1st April, 20X1: Wines, Cigarettes. Cigars, etc.	12,800	
Foodstuffs	5,260	
Cash in hand	2,200	
Cash with Bankers	76,380	
Preliminary and formation expenses	8,000	
2,000 Debentures of ₹ 100 each (6%)		2,00,000
Profit and Loss Account		41,500
Trade payables		42,000
Trade receivables	19,260	
Investments (Non-current)	2,72,300	
Goodwill at cost	5,00,000	
General Reserve		2,00,000
	19,75,000	**19,75,000**

Wages and Salaries Outstanding	1,280
Inventory on 31st March, 20X2:	
Wines, Cigarettes and Cigars, etc.	22,500
Foodstuffs	16,400

Depreciation: Furniture and Fittings @ 5% p.a.: Land and Building @ 2% p.a.

The Equity capital on 1st April, 20X1 stood at ₹ 7,20,000, that is 6,000 shares fully paid and 2,000 shares ₹ 60 paid. The directors made a call of ₹ 40 per share on 1st October 20X1. A shareholder could not pay the call on 100 shares and his shares were then forfeited and reissued @ ₹ 90 per share as fully paid. The Directors declared a dividend of 8% on equity shares on 2nd April, 20X2, transferring any amount that may be required from General Reserve. Ignore Taxation.

Answer

Balance Sheet of International Hotels Ltd. as at 31st March, 20X2

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	13,00,000
	(b)	Reserves and Surplus	2	2,68,745
2		**Non-current liabilities**		
	(a)	Long term borrowings	3	2,00,000
3		**Current liabilities**		
	(a)	Trade Payables		42,000
	(b)	Other current Liabilities	4	13,280
		Total		**18,24,025**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i. Property, plant and Equipment	5	9,14,985
		ii. Intangible Asset (Goodwill)		5,00,000
	(b)	Non-Current investment		2,72,300
2		**Current assets**		
	(a)	Inventories	6	38,900
	(b)	Trade receivables		19,260
	(c)	Cash and Cash equivalents	7	78,580
		Total		**18,24,025**

Statement of Profit and Loss of International Hotels Ltd.

for the year ended 31st March, 20X2

Particulars		Notes	₹
I	Revenue from operation	8	1,79,700
II	Other income	9	6,800
III	**Total Income (I + II)**		**1,86,500**
IV	**Expenses**		
	Cost of material consumed	10	25,060
	Purchases of Inventory-in-Trade	11	45,800

	Changes in inventory of Finished goods, WIP, and Stock on trade	12	(9,700)
	Employee benefit expenses	13	29,580
	Finance costs	14	12,000
	Depreciation and amortisation expense	15	21,315
	Other expenses	16	40,200
V	**Total expenses**		**1,64,255**
VI	**Profit before tax (III – V)**		**22,245**
VII	Tax expense		–
VIII	**Profit after tax (VI – VII)**		**22,245**

Notes to accounts

S. No.	Particulars		₹
1	**Share Capital**		
	Authorized:		
	10,000 Equity shares of ₹ 100 each		10,00,000
	5,000 6% Preference shares of ₹ 100 each		5,00,000
			15,00,000
	Issued & subscribed & called up:		
	Equity share capital of ₹ 10 each		8,00,000
	5,000 6% Preference shares of ₹ 100 each		5,00,000
			13,00,000
2	**Reserves and Surplus**		
	Capital reserve [100 x (90 – 40)]		5,000
	General reserve		2,00,000
	Profit & loss Balance:		
	Opening balance	41,500	
	Profit for the period	22,245	63,745
			2,68,745
3	**Long term borrowings**		
	Secured: 6% Debentures		**2,00,000**
4	**Other current liabilities**		
	Wages and Salaries Outstanding		1,280
	Interest on debentures		12,000
			13,280
5	**Property, Plant and Equipment (PPE)**		
	Freehold land & Buildings	8,50,000	
	Less: Depreciation	(17,000)	8,33,000
	Furniture and Fittings	86,300	
	Less: Depreciation	(4,315)	81,985
	Plant & Machinery		**9,14,985**
6	**Inventories**		

	Wines, Cigarettes & Cigars, etc.		22,500
	Foodstuffs		16,400
			38,900
7	**Cash and cash equivalents**		
	Cash at bank		76,380
	Cash in hand		2,200
	Other bank balances		Nil
			78,580
8	**Revenue from operations**		
	Sale of products:		
	Wines, Cigarettes, Cigars etc.	68,400	
	Food	57,600	1,26,000
	Sale of services:		
	Room Rent	48,000	
	Billiards	5,700	53,700
			1,79,700
9	**Other Income**		
	Transfer fees		700
	Miscellaneous Receipts		2,800
	Discount received		3,300
			6,800
10	**Cost of materials consumed**		
	Opening Inventory		5,260
	Add: Purchases during the year		36,200
	Less: Closing Inventory		(16,400)
			25,060
11	**Purchases of Inventory-in-Trade**		
	Wines, Cigarettes etc.		**45,800**
12	**Changes in inventory of finished goods, WIP & Stock in trade**		
	Wines, Cigarettes etc.		
	Opening Inventory		12,800
	Less: Closing Inventory		(22,500)
			(9,700)
13	**Employee benefit expense**		
	Wages and Salaries		28,300
	Add: Wages and Salaries Outstanding		1,280
			29,580
14	**Finance cost**		
	Interest on Debentures (2,00,000 x 6%)		**12,000**
15	**Depreciation and amortisation expense**		

	Land and Buildings (8,50,000 x 2%)		17,000
	Furniture & Fittings (86,300 x 5%)		4,315
			21,315
16	**Other Expenses**		
	Rent, Rates and Taxes		8,900
	Coal and Firewood		3,290
	Laundry		750
	Carriage and Cooliage		810
	Repairs		4,250
	Advertising		8,360
	Sundry Expenses		5,840
	Preliminary and formation expenses		8,000
			40,200

Note: The final dividend will not be recognized as a liability at the balance sheet date (even if it is declared after reporting date but before approval of the financial statements) as per Accounting Standards. Hence, it has not been recognized in the financial statements for the year ended 31st March, 20X2. Such dividends will be disclosed in notes only.

Question 9

Ring Ltd. was registered with a nominal capital of ₹ 10,00,000 divided into shares of ₹ 100 each. The following Trial Balance is extracted from the books on 31st March, 20X2:

Particulars	₹	**Particulars**		₹
Buildings	5,80,000	Sales		10,40,000
Machinery	2,00,000	Outstanding Expenses		4,000
Closing Stock	1,80,000	Provision for Doubtful Debts (1.4.20X1)		6,000
Loose Tools	46,000	Equity Share Capital		4,00,000
Purchases (adjusted)	4,20,000	General Reserve		80,000
Salaries	1,20,000	Profit and Loss A/c (1.4.20X1)		50,000
Directors' Fees	20,000	Creditors		1,84,000
Rent	52,000	Provision for depreciation:		
Depreciation	40,000	On Building	1,00,000	
Bad Debts	12,000	On Machinery	1,10,000	2,10,000
Investment (non-current)	2,40,000	14% Debentures		4,00,000
Interest accrued on investment	4,000	Interest on Debentures accrued but not due		28,000
Debenture Interest	56,000	Interest on Investments		24,000
Advance Tax	1,20,000	Unclaimed dividend		10,000
Sundry expenses	36,000			
Debtors	2,50,000			
Bank	60,000			
	24,36,000			**24,36,000**

You are required to prepare statement of Profit and Loss for the year ending 31st March, 20X2 and Balance sheet as at that date after taking into consideration the following information:

(a) Closing stock is more than opening stock by ₹ 1,60,000.

(b) Provide to doubtful debts @ 4% on Debtors.

(c) Make a provision for income tax @30%.

(d) Depreciation expense included depreciation of ₹ 16,000 on Building and that of ₹ 24,000 on Machinery.

(e) The directors declared a dividend @ 25% on 2nd April, 20X2 and transfer to General Reserve @ 10%.

(f) Bills Discounted but not yet matured ₹ 20,000.

Answer

Balance Sheet of Ring Ltd. as at 31ST March, 20X2

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	4,00,000
	(b)	Reserves and Surplus	2	3,42,800
2		**Non-current liabilities**		
	(a)	Long term borrowings (14% debentures)		4,00,000
3		**Current liabilities**		
	(a)	Trade Payables		1,84,000
	(b)	Other Current Liabilities	3	42,000
	(c)	Short term provision	4	91,200
		Total		**14,60,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i. Property, plant and Equipment	5	5,70,000
	(b)	Non-current Investments		2,40,000
2		**Current assets**		
	(a)	Inventories	6	2,26,000
	(b)	Trade receivables	7	2,40,000
	(c)	Cash and Cash equivalents		60,000
	(d)	Short-term loans and advances		1,20,000
	(e)	Other Current Assets (Interest accrued on investments)		4,000
		Total		**14,60,000**

Ring Ltd.

Profit and Loss Statement for the year ended 31st March, 20X2

Particulars		Notes	₹
I	Revenue from operation		10,40,000
II	Other income (Interest on investment)		24,000

III	**Total Income (I + II)**		**10,64,000**
IV	**Expenses**		
	Purchases of Inventory-in-Trade [4,20,000 + 1,60,000]		5,80,000
	Changes in inventory [20,000 – 1,80,000]		(1,60,000)
	Employee benefit expenses		1,20,000
	Finance costs		56,000
	Depreciation and amortisation expense		40,000
	Other expenses	8	1,24,000
V	**Total expenses**		**7,60,000**
VI	**Profit before tax (III – V)**		**3,04,000**
VII	Tax expense		(91,200)
VIII	**Profit after tax (VI – VII)**		**2,12,800**

Notes to Accounts:

S. No.	Particulars		₹
1	**Share Capital**		
	Equity share capital		
	Authorized:		
	10,000 Equity Shares of ₹ 100 each		**10,00,000**
	Issued & subscribed & called up		
	4,000 Equity Shares of ₹ 100 each		**4,00,000**
2	**Reserves and Surplus**		
	General reserve [₹ 80,000 + ₹ 21,280]		1,01,280
	Profit & loss Balance:		
	Opening balance	50,000	
	Profit for the period	2,12,800	
		2,62,800	
	Less: Appropriations (Transfer to General Reserve @ 10%)	(21,280)	2,41,520
			3,42,800
3	**Other Current Liabilities**		
	Unclaimed Dividend		10,000
	Outstanding Expenses		4,000
	Interest accrued on Debentures		28,000
			42,000
4.	**Short-Term Provision**		
	Provision for Tax		**91,200**
5	**Property, Plant and Equipment (PPE)**		
	Buildings	5,80,000	
	Less: Provision for Depreciation	1,00,000	4,80,000
	Plant and Equipment	2,00,000	
	Less: Provision for Depreciation	1,10,000	90,000

			5,70,000
6	**Inventories**		
	Closing Stock of Finished Goods		1,80,000
	Loose Tools		46,000
			2,26,000
7	**Trade Receivables**		
	Sundry Debtors		2,50,000
	Less: Provision for Doubtful Debts		(10,000)
			2,40,000
8.	**Other Expenses**		
	Rent		52,000
	Directors' Fees		20,000
	Bad Debts		12,000
	Provision for Doubtful Debts (4% of ₹ 2,50,000 less ₹ 6,000)		4,000
	Sundry Expenses		36,000
			1,24,000

Note: The final dividend will not be recognized as a liability at the balance sheet date (even if it is declared after reporting date but before approval of the financial statements) as per Accounting Standards. Hence, it has not been recognized in the financial statements for the year ended 31 March, 20X2. Such dividends will be disclosed in notes only.

Question 10

Om Ltd. has the Authorised Capital of ₹ 15,00,000 consisting of 6,000 6% Redeemable Preference shares of ₹ 100 each and 90,000 equity Shares of ₹ 10 each. The following was the Trial Balance of the Company as on 31st March, 20X2:

Particulars	Debit (₹)	Credit (₹)
Investment in shares at cost (non-current investment)	1,50,000	
Purchases	14,71,500	
Selling expenses	2,37,300	
Inventory as at the beginning of the year	4,35,600	
Salaries and wages (included ₹ 30,000 being Director's Remuneration)	1,56,000	
Cash on hand	84,000	
Bills receivable	1,24,500	
Interest on Bank overdraft	29,400	
Interest on debentures upto 30th Sep (1st half year)	11,250	
Sundry Debtors and Sundry Creditors	1,50,300	2,63,550
Freehold property at cost	10,50,000	
Furniture at cost less depreciation of ₹ 45,000	1,05,000	
6% Redeemable Preference share capital		6,00,000
Equity share capital fully paid up		6,00,000

5% mortgage debentures secured on freehold properties		4,50,000
Dividends received		12,750
Profit and Loss A/c (opening balance)		85,500
Sales (Net)		20,11,050
Bank overdraft (secured by hypothecation of stocks and receivables)		4,50,000
Technical knowhow fees (cost paid during the year)	4,50,000	
Audit fees	18,000	
Total	**44,72,850**	**44,72,850**

Other Information:

1. Closing Stock was valued at ₹ 4,27,500.
2. Purchases include ₹ 15,000 worth of goods and articles distributed among valued customers.
3. Salaries and Wages include ₹ 6,000 being Wages incurred for installation of Electrical Fittings which were recorded under "Furniture".
4. Bills Receivable include ₹ 4,500 being dishonoured bills. 50% of which had been considered irrecoverable.
5. Bills Receivable of ₹ 6,000 maturing after 31st March were discounted.
6. Depreciation on Furniture to be charged at 10% on Written Down Value.
7. Interest on Debentures for the half year ending on 31st March was due on that date.
8. Technical Knowhow Fees is to be written off over a period of 10 years.
9. Trade receivables include ₹ 18,000 due for more than six months.
10. It is proposed to capitalize part of the undistributed profits by making bonus issue to the shareholders by allocating one equity share of ₹ 100 each for every 5 shares held.

You are required to prepare the Balance Sheet as at 31st March, 20X2 and Statement of Profit and Loss for the year ended 31st March, 20X2 as per Schedule III to the Companies Act, 2013 after taking into account the above information. Ignore taxation.

Answer

Balance sheet of Om Ltd. as at 31st March, 20X2

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	12,00,000
	(b)	Reserves and Surplus	2	1,14,150
2		**Non-current liabilities**		
	(a)	Long term borrowings	3	4,50,000
3		**Current liabilities**		
	(a)	Short term borrowings	4	4,50,000
	(b)	Trade Payables		2,63,550
	(c)	Other Current Liabilities	5	11,250
		Total		**24,88,950**

		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i. Property, plant and Equipment	6	11,49,900
		ii. Intangible asset	7	4,05,000
	(b)	Non-current Investments (Shares at cost)		1,50,000
2		**Current assets**		
	(a)	Inventories		4,27,500
	(b)	Trade receivables	8	2,72,550
	(c)	Cash and Cash equivalents - Cash on hand		84,000
		Total		**24,88,950**

Note: There is a Contingent liability for Bills receivable discounted with Bank ₹ 6000.

Statement of Profit and Loss of Om Ltd. for the year ended 31st March, 20X2

Particulars		**Notes**	**₹**
I	Revenue from operation		20,11,050
II	Other income (Dividend income)		12,750
III	**Total Income (I + II)**		**20,23,800**
IV	**Expenses**		
	Purchases of Inventory (14,71,500 – Advertisement Expenses 15,000)		14,56,500
	Changes in inventory (4,35,600 – 4,27,500)		8,100
	Employee benefit expenses	9	1,20,000
	Finance costs (Interest on debentures)	10	51,900
	Depreciation and amortisation expense	11	56,100
	Other expenses	12	3,02,550
V	**Total expenses**		**19,95,150**
VI	**Profit before tax (III – V)**		**28,650**
VII	Tax expense		–
VIII	**Profit after tax (VI – VII)**		**28,650**

Notes to accounts

S. No.	**Particulars**		**₹**
1	**Share Capital**		
	Authorized capital:		
	90,000 Equity Shares of ₹ 10 each.		9,00,000
	6,000 6% Preference shares of ₹ 100 each		6,00,000
			15,00,000
	Issued, subscribed & called up:		
	60,000, Equity Shares of ₹ 10 each		6,00,000
	6,000 6% Redeemable Preference Shares of 100 each		6,00,000
			12,00,000

2	**Reserves and Surplus**			
	Profit & Loss Balance:			
	Balance as on 1st April, 20X1			85,500
	Add: Surplus for current year			28,650
				1,14,150
3	**Long Term Borrowings**			
	5% Mortgage Debentures (Secured against Freehold Properties)			**4,50,000**
4	**Short Term Borrowings**			
	Secured Borrowings:			**4,50,000**
	Loans Repayable on Demand Overdraft from Banks			
	(Secured by Hypothecation of Stocks & Receivables)			
5	**Other Current liabilities**			
	Interest due on Borrowings (5% Debentures)			**11,250**
6	**Property, plant and equipment**			
	Furniture:			
	Cost Less depreciation ₹ 45,000 (as given in Trial Balance)		1,05,000	
	Add: Depreciation		45,000	
	Cost of Furniture		1,50,000	
	Add: Installation charge of Electrical Fittings		6,000	
	(wrongly included under the heading Salaries and Wages)			
	Total Gross block of Furniture A/c		1,56,000	
	Accumulated Depreciation Account:			
	Opening Balance as given in Trial Balance	45,000		
	Depreciation for the year:			
	On Opening WDV at 10% i.e. (10% x 1,05,000)	10,500		
	On additional purchase at 10% i.e. (10% x 6,000)	600		
	Less: Accumulated Depreciation		(56,100)	99,900
	Freehold property (at cost)			10,50,000
				11,49,900
7	**Intangible Assets**			
	Technical knowhow			4,50,000
	Less: Written off			45,000
				4,05,000
8	**Trade Receivables**			
	Sundry Debtors			
	(a) Debt outstanding due more than six months		18,000	
	(b) Other Debts (refer Working Note)		1,34,550	1,52,550
	Bills Receivable (1,24,500 – 4,500)			1,20,000
				2,72,550
9	**Employee benefit expenses**			

	Salaries & Wages		1,56,000
	Less: Wages incurred for installation of electrical to be capitalised		6,000
	Less: Directors' Remuneration shown separately		30,000
			1,20,000
10	**Finance Costs**		
	Interest on bank overdraft		29,400
	Interest on debentures		22,500
			51,900
11	**Depreciation & Amortisation Expenses**		
	Depreciation [10% of (1,05,000 + 6,000)]		11,100
	Technical knowhow written of (4,50,000/10)		45,000
			56,100
12	**Other Expenses**		
	Payment to the auditors		18,000
	Director's remuneration		30,000
	Selling expenses		2,37,300
	Advertisement (Goods and Articles Distributed)		15,000
	Bad Debts (4,500 x 50%)		2,250
			3,02,550

Working Note: Calculation of Sundry Debtors – Other Debts

	₹
Sundry Debtors as given in Trial Balance	1,50,300
Add Back: Bills Receivables Dishonored	4,500
	1,54,800
Less: Bad Debts written off (50% ₹ 4,500)	(2,250)
Adjusted Sundry Debtors	1,52,550
Less: Debts due for more than 6 months (as per information given)	(18,000)
Total of other Debtors i.e. Debtors outstanding for less than 6 months	**1,34,550**

Note: Since Bonus issue is in proposal state, no adjustment has been made in the given answer.

Declaration of Dividend to Equity Shareholders

Question 11

Due to inadequacy of profits during the year ended 31st March, 20X2, XYZ Ltd. proposes to declare 10% dividend out of general reserves. From the following particulars, ascertain the amount that can be utilised from general reserves, according to the Companies (Declaration of dividend out of Reserves) Rules, 2014:

	₹
17,500 9% Preference shares of ₹ 100 each, fully paid up	17,50,000
8,00,000 Equity shares of ₹ 10 each, fully paid up	80,00,000

General Reserves as on 1.4.20X1	25,00,000
Capital Reserves as on 1.4.20X1	3,00,000
Revaluation Reserves as on 1.4.20X1	3,50,000
Net profit for the year ended 31st March, 20X2	3,00,000
Average rate of dividend during the last three years has been 12%.	

Answer

Calculation of desired dividend amount to be withdrawn from general reserve

Equity shares dividend (10% dividend on ₹ 80,00,000)		₹ 8,00,000
Profits available		
Current year profit	3,00,000	
Less: Preference dividend	(1,57,500)	(1,42,500)
Amount which can be utilised from reserves		**6,57,500**

Conditions as per Companies (Declaration of dividend out of Reserves) Rules, 2014:

Condition I

Since 10% is lower than the average rate of dividend (12%), 10% dividend can be declared.

Condition II

Maximum amount that can be drawn from the accumulated profits and reserves should not exceed 10% of paid-up capital plus free reserves i.e. ₹ 12,25,000 [10% of (80,00,000 + 17,50,000 + 25,00,000)]

Condition III

The balance of reserves after withdrawal ₹ 18,42,500 (₹ 25,00,000 – ₹ 6,57,500) should not fall below 15% of its paid up capital i.e. ₹ 14,62,500 (15% of ₹ 97,50,000]

Since all the three conditions are satisfied, the company can withdraw ₹ 6,57,500 from accumulated reserves (as per Declaration and Payment of Dividend Rules, 2014.)

Question 12

Following information are available in respect of Z Limited as on 31st March, 20X7

1. Equity shares of ₹ 100 each ₹ 500 lakhs
2. General Reserve ₹ 100 lakhs
3. Loss for the year ending 31st March, 20X7 ₹ 5 lakhs

Due to absence of profits during the year 20X6-X7, the management recommends to declare dividend of 10% on equity share capital out of general reserve.

The rates of equity dividend for the last 5 years immediately preceding the year 20X6-X7 are as follows:

20X5-X6	20X4-X5	20X3-X4	20X2-X3	20X1-X2
12%	14%	10%	10%	7%

As an accountant of the company, you are required to suggest whether the recommendation of the management is justified? If you do not agree, then suggest the rate of dividend.

Answer

In case of declaration of dividend out of free reserves, there are 3 conditions:

(1) Dividend Rate ≤ Average Rate of last 3 years

10% < 12% [(12+14+10)/3]

Condition is Satisfied

(2) Dividend Distributed ≤ [10% of PUSC + Reserve and Surplus]

50,00,000 < 59,50,000 [(5,00,00,000 + 1,00,00,000 – 5,00,000) x 10%]

Condition is Satisfied

(3) Reserves after dividend ≥ 15% of PUSC

45,00,000 not ≥ 75,00,000 (5,00,00,000 x 15%)

Condition is Not Satisfied

(4) The closing balance of reserves after payment of dividend and set off of loss = ₹ 75,00,000

Therefore, can be utilized = 20,00,000 (1,00,00,000 – 5,00,000 – 75,00,000)

Thus, rate of dividend = (20,00,000/5,00,00,000) = 4%

Therefore, the recommendation of management is not justified and a dividend only up to a rate of 4% can be declared.

CHAPTER - 29
Buy Back of Securities

Accounting for Buy Back of Shares

Question 1

Following information are available in respect of Z Limited as on 31st March, 20X4:

4,00,000 Equity share capital of ₹ 10 each	₹ 40,00,000
Capital Reserve	₹ 20,000
Revenue Reserve	₹ 50,00,000
Securities Premium	₹ 6,00,000
Profit and Loss Account	₹ 19,00,000
Investments	₹ 40,00,000

The company decides to buy back 20% of its Equity capital @ ₹ 15 per share on 1st April, 20X4. Buy back is as per provisions of the Companies Act and company passed the necessary resolutions for it. For this purpose, it sold its investments of ₹ 40 lakhs for ₹ 32 lakhs.

You are required to pass the necessary journal entries.

Answer

In the books of Z Limited

Journal Entries

S. No.	Particulars		Debit (₹)	Credit (₹)
1.	Bank A/c	Dr.	32,00,000	
	Profit and Loss A/c	Dr.	8,00,000	
	To Investment A/c			40,00,000
	(Being investment sold for the purpose of buy-back of Equity Shares)			
2.	Equity shares capital A/c	Dr.	8,00,000	
	Premium payable on buy-back	Dr.	4,00,000	
	To Equity shares buy-back A/c			12,00,000
	(Being the amount due on buy-back of equity shares)			
3.	Equity shares buy-back A/c	Dr.	12,00,000	
	To Bank A/c			12,00,000
	(Being payment made for buy-back of equity shares)			
4.	Securities Premium A/c	Dr.	4,00,000	
	To Premium payable on buy-back			4,00,000
	(Being premium payable on buy-back charged from Securities premium)			
5.	Revenue reserve A/c	Dr.	8,00,000	
	To Capital Redemption Reserve A/c			8,00,000
	(Being creation of capital redemption reserve to the extent of the equity shares bought back)			

Question 2

M Ltd. furnishes the following Balance Sheet as at 31st March, 20X1:

Particulars			Notes	₹ (in 000)
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	5,000
	(b)	Reserves and Surplus	2	6,310
2		**Non-current liabilities**		
	(a)	Long term borrowings	3	400
3		**Current liabilities**		
	(a)	Trade Payables		40
		Total		**11,750**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment	4	2,750
	(b)	Non-Current Investments (at cost)		5,000
2		**Current assets**		
	(a)	Inventories		1,000
	(b)	Trade receivables		2,000
	(c)	Cash and Cash equivalents		1,000
		Total		**11,750**

Notes to accounts

S. No.	Particulars	₹ in ('000)
1	**Share Capital**	
	Authorized, Issued and Subscribed Capital:	
	3,00,000 Equity shares of ₹ 10 each fully paid up	3,000
	20,000 9% Preference Shares of 100 each	2,000
	Total	**5,000**
2	**Reserves and Surplus**	
	Capital reserve	10
	Revenue reserve	4,000
	Securities premium	500
	Profit and Loss account	1,800
	Total	**6,310**
3	**Long term borrowings**	
	10% Debentures	**400**
4	**Property, Plant and Equipment (PPE)**	
	PPE: Cost	3,000
	Less: Provision for depreciation	(250)
	Net carrying value	**2,750**

The company passed a resolution to buy-back 20% of its equity capital @ ₹ 15 per share. For this purpose, it sold its investments of ₹ 30 lakhs for ₹ 25 lakhs. You are required to pass necessary Journal entries.

Answer

Journal Entries in the books of M Ltd. **₹ in '000**

S. No.	Particulars		Debit (₹)	Credit (₹)
1.	Bank A/c	Dr.	2,500	
	Profit and Loss A/c	Dr.	500	
	To Investment A/c			3,000
	(Being investment sold for the purpose of buy-back of Equity Shares)			
2.	Equity shares capital A/c	Dr.	600	
	Premium payable on buy-back	Dr.	300	
	To Equity shares buy-back A/c			900
	(Being the amount due on buy-back of equity shares)			
3.	Equity shares buy-back A/c	Dr.	900	
	To Bank A/c			900
	(Being payment made for buy-back of equity shares)			
4.	Securities Premium A/c	Dr.	300	
	To Premium payable on buy-back			300
	(Being premium payable on buy-back charged from Securities premium)			
5.	Revenue reserve A/c	Dr.	600	
	To Capital Redemption Reserve A/c			600
	(Being creation of capital redemption reserve to the extent of the equity shares bought back)			

Question 3

Dee Limited (a non-listed company) furnishes the following Balance Sheet as at 31st March, 20X1:

Particulars			Notes	(in thousand ₹)
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	2,700
	(b)	Reserves and Surplus	2	9,700
2		**Current liabilities**		
	(a)	Trade Payables		1,400
		Total		**13,800**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment		9,300
	(b)	Non-Current Investments (at cost)		3,000
2		**Current assets**		

	(a)	Inventory		500
	(b)	Trade receivables		200
	(c)	Cash and Cash equivalents		800
		Total		**13,800**

Notes to accounts

S. No.	Particulars	(in thousand ₹)
1	**Share Capital**	
	Authorized, issued and subscribed capital:	
	2,50,000 Equity shares of ₹ 10 each fully paid up	2,500
	2,000, 10% Preference shares of ₹ 100 each	200
	(Issued two months back for the purpose of buy-back)	
	Total	**2,700**
2	**Reserves and Surplus**	
	Capital reserve	1,000
	Revenue reserve	3,000
	Securities premium	2,200
	Profit and loss account	3,500
	Total	**9,700**

The company passed a resolution to buy-back 20% of its equity capital @ ₹ 50 per share. For this purpose, it sold all of its investment for ₹ 22,00,000.

You are required to pass necessary journal entries and prepare the Balance Sheet.

Answer

Journal Entries in the books of Dee Limited **(in thousand ₹)**

S. No.	Particulars		Debit (₹)	Credit (₹)
(i)	Bank Account	Dr.	2,200	
	Profit and Loss Account	Dr.	800	
	To Investment Account			3,000
	(Being the investments sold at loss for the purpose of buy-back)			
(ii)	Equity Share buy-back Account	Dr.	2,500	
	To Bank Account			2,500
	(Being the payment made on buy-back)			
(iii)	Equity Share Capital Account	Dr.	500	
	Premium Payable on Buy-Back Account	Dr.	2,000	
	To Equity Shares Buy-Back Account			2,500
	(Being the buy-back amount allocated to equity share capital)			
(iv)	Securities premium Account	Dr.	2,000	
	To Premium payable on buy-back Account			2,000
	(Being the premium payable on buy-back adjusted against securities premium account)			

(v)	Revenue reserve Account	Dr.	300	
	To Capital Redemption Reserve Account			300
	(Being the amount equal to nominal value of equity shares bought back out of free reserves transferred to capital redemption reserve account)			

Balance Sheet of Dee Limited as at 1st April, 20X1 (After buy-back of shares)

Particulars			Notes	(in thousand ₹)
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	2,200
	(b)	Reserves and Surplus	2	6,900
2		**Current liabilities**		
	(a)	Trade Payables		1,400
		Total		**10,500**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment		9,300
2		**Current assets**		
	(a)	Inventory		500
	(b)	Trade receivables		200
	(c)	Cash and Cash equivalents		500
		Total		**10,500**

Notes to accounts

S. No.	Particulars		(in thousand ₹)
1	**Share Capital**		
	Authorized, issued and subscribed capital:		
	2,00,000 Equity shares of ₹ 10 each fully paid up		2,000
	2,000, 10% Preference shares of ₹ 100 each		200
	(Issued two months back for the purpose of buy-back)		
	Total		**2,200**
2	**Reserves and Surplus**		
	Capital reserve		1,000
	Capital redemption reserve		300
	Securities Premium	2,200	
	Less: Premium payable on buy-back of shares	(2,000)	200
	Revenue reserve	3,000	
	Less: Transfer to Capital redemption reserve	(300)	2,700
	Profit and loss A/c	3,500	
	Less: Loss on investment	(800)	2,700
	Total		**6,900**

Question 4

Anu Ltd. (a non-listed company) furnishes you with the following balance sheet as at 31st March, 20X1:

Particulars			Notes	(in crores ₹)
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	100
	(b)	Reserves and Surplus	2	300
2		**Current liabilities**		
	(a)	Trade Payables		40
		Total		**440**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment	3	–
	(b)	Non-Current Investments (at cost)	4	100
2		**Current assets**		
	(a)	Trade receivables		140
	(b)	Cash and Cash equivalents		200
		Total		**440**

Notes to accounts

S. No.	Particulars	(in crores ₹)
1	**Share Capital**	
	Authorized, issued and subscribed share capital:	
	12% Redeemable preference shares of ₹ 100 each, fully paid up	75
	Equity shares of ₹ 10 each, fully paid up	25
	Total	**100**
2	**Reserves and Surplus**	
	Capital reserve	15
	Securities premium	25
	Revenue reserves	260
	Total	**300**
3	**Property, Plant and Equipment**	
	PPE Cost	100
	Less: Provision for depreciation	(100)
	Net carrying value	**NIL**
4	**Non-Current Investments**	
	Non-current investments at cost (Market value ₹ 400 Cr.)	**100**

The company redeemed preference shares on 1st April, 20X1. It also bought back 50 lakhs equity shares of ₹ 10 each at ₹ 50 per share. The payments for the above were made out of the huge bank balances, which appeared as a part of current assets.

You are asked to:

(i) Pass journal entries to record the above.

(ii) Prepare balance sheet as at 1.4.20X1

Answer

(i) **Journal entries in the books of Anu Ltd.** **₹ in crores**

Date	Particulars		Debit (₹)	Credit (₹)
1.4.20X1	12% Preference share capital A/c	Dr.	75	
	To Preference shareholders A/c			75
	(Being preference share capital transfer to shareholders account)			
	Preference shareholders A/c	Dr.	75	
	To Bank A/c			75
	(Being payment made to shareholders)			
	Shares buy-back A/c	Dr.	25	
	To Bank A/c			25
	(Being 50 lakhs equity shares bought back @ ₹ 50 per share)			
	Equity share capital A/c (50 lakhs x ₹ 10)	Dr.	5	
	Securities premium A/c (50 lakhs x ₹ 40)	Dr.	20	
	To Shares buy-back A/c			25
	(Being cancellation of shares bought back)			
	Revenue Reserve A/c	Dr.	80	
	To Capital Redemption Reserve A/c (75 + 5)			80
	(Being creation of capital redemption reserve to extent of face value of preference shares redeemed and equity shares bought back)			

(ii) **Balance Sheet of Anu Ltd as at 1.4.20X1**

Particulars			Notes	(in crores ₹)
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	20
	(b)	Reserves and Surplus	2	280
2		**Current liabilities**		
	(a)	Trade Payables		40
		Total		**340**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment	3	–
	(b)	Non-Current Investments (at cost)	4	100
2		**Current assets**		
	(a)	Trade receivables		140
	(b)	Cash and Cash equivalents	5	100
		Total		**340**

Notes to accounts

S. No.	Particulars		(in crores ₹)
1	**Share Capital**		
	Authorized, issued and subscribed share capital		
	200 lakhs Equity shares of ₹ 10 each fully paid		20
	Total		**20**
2	**Reserves and Surplus**		
	Capital reserve		15
	Capital redemption reserve		80
	Securities premium	25	
	Less: Utilization for buy-back of shares	(20)	5
	Revenue Reserve	260	
	Less: transfer to Capital redemption reserve	(80)	180
	Total		**280**
3	**Property, plant and Equipment**		
	PPE: cost		100
	Less: Provision for depreciation		(100)
	Net carrying value		–
4	**Non-Current Investments**		
	Non-current investments at cost (Market value ₹ 400 Crores)		**100**
5	**Cash and Cash Equivalents**		
	Cash and Cash Equivalents as on 31.3.20X1		200
	Less: Bank payment for redemption and buy-back		(100)
	Total		**100**

Question 5

KG Limited furnishes the following Balance Sheet as at 31st March, 20X1:

Particulars			Notes	(in lakhs ₹)
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	1,200
	(b)	Reserves and Surplus	2	810
2.		**Non-current liabilities**		
	(a)	Long term borrowings	3	750
3.		**Current liabilities**		
	(a)	Trade payable		745
	(b)	Other current liabilities		195
		Total		**3,700**
		Assets		

1		**Non-current assets**		
	(a)	Property, Plant and Equipment	4	2,026
	(b)	Non-Current Investments (at cost)		74
2		**Current assets**		
	(a)	Inventory		600
	(b)	Trade receivable		260
	(c)	Cash and Cash equivalents		740
		Total		**3,700**

Notes to accounts

S. No.	Particulars	(in lakhs ₹)
1	**Share Capital**	**1,200**
	Authorized, issued and subscribed capital Equity share capital (fully paid-up shares of ₹ 10 each)	
2	**Reserves and Surplus**	
	Securities premium	175
	General reserve	265
	Capital redemption reserve	200
	Profit & loss A/c	170
	Total	**810**
3	**Long term borrowings**	
	12% Debentures	**750**
4	**Property, plant and equipment**	
	Land and Building	1,800
	Plant and machinery	226
	Net carrying value	**2,026**

On 1st April, 20X1, the company announced the buy-back of 25% of its equity shares @ ₹ 15 per share. For this purpose, it sold all of its investments for ₹ 75 lakhs.

On 5th April, 20X1, the company achieved the target of buy-back. On 30th April, 20X1 the company issued one fully paid-up equity share of ₹ 10 by way of bonus for every four equity shares held by the equity shareholders.

You are required to:

(1) Pass necessary journal entries for the above transactions.

(2) Prepare Balance Sheet of KG Limited after bonus issue of the shares.

Answer

In the books of KG Limited

Journal Entries **(in lakhs ₹)**

Date	Particulars		Debit	Credit
20X1	Bank A/c	Dr.	75	
April 1	To Investment A/c			74
	To Profit on sale of investment			1

	(Being investment sold on profit)			
April 5	Equity shares capital A/c	Dr.	300	
	Securities premium A/c	Dr.	150	
	To Equity shares buy-back A/c			450
	(Being the amount due to equity shareholders on buy-back)			
	Equity shares buy-back A/c	Dr.	450	
	To Bank A/c			450
	(Being the payment made on account of buy-back of 30 Lakh Equity Shares)			
April 5	General reserve A/c	Dr.	265	
	Profit and Loss A/c	Dr.	35	
	To Capital redemption reserve A/c			300
	(Being amount equal to nominal value of buy- back shares from free reserves transferred to capital redemption reserve account as per the law)			
April 30	Capital redemption reserve A/c	Dr.	225	
	To Bonus shares A/c (W.N.1)			225
	(Being the utilization of capital redemption reserve to issue bonus shares)			
	Bonus shares A/c	Dr.	225	
	To Equity share capital A/c			225
	(Being issue of one bonus equity share for every four equity shares held)			

Balance Sheet (After buy-back and issue of bonus shares)

Particulars			Notes	(in lakhs ₹)
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	1,125
	(b)	Reserves and Surplus	2	436
2.		**Non-current liabilities**		
	(a)	Long term borrowings	3	750
3.		**Current liabilities**		
	(a)	Trade payable		745
	(b)	Other current liabilities		195
		Total		**3,251**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment	4	2,026
2		**Current assets**		
	(a)	Inventory		600
	(b)	Trade receivable		260
	(c)	Cash and Cash equivalents		365
		Total		**3,251**

Notes to accounts

S. No.	Particulars		(in lakhs ₹)
1	**Share Capital**		
	Authorized, issued and subscribed capital:		
	Equity share capital (fully paid up shares of ₹ 10 each)		**1,125**
2	**Reserves and Surplus**		
	General Reserve	265	
	Less: Transfer to CR	(265)	–
	Capital Redemption Reserve	200	
	Add: Transfer due to buy-back of shares from P/L	35	
	Add; Transfer due to buy-back of shares from General Reserve	265	
	Less: Utilisation for issue of bonus shares	(225)	275
	Securities premium	175	
	Less: Adjustment for premium paid on buy-back	(150)	25
	Profit & Loss A/c	170	
	Add: Profit on sale of investment	1	
	Less: Transfer to CRR	(35)	136
	Total		**436**
3	**Long term borrowings**		
	12% Debentures		**750**
4	**Property, Plant and Equipment**		
	Land and Building		1,800
	Plant and machinery		226
	Net carrying value		**2,026**

Working Notes:

1. Amount of bonus shares = 25% of (1,200 – 300) lakhs = ₹ 225 lakhs
2. Cash at bank after issue of bonus shares

Particulars	₹ in lakhs
Cash balance as on 1st April, 20X1	740
Add: Sale of investments	75
	815
Less: Payment for buy-back of shares	(450)
	365

Question 6

X Ltd. furnishes the following summarized Balance Sheet as at 31.03.20X1.

Liabilities	(in ₹)	(in ₹)
Share Capital		
Equity Share Capital of ₹ 20 each fully paid up	50,00,000	
10,000, 10% Preference Shares of ₹ 100 each fully paid up	10,00,000	60,00,000

Reserves & Surplus		
Capital Reserve	1,00,000	
Security Premium	12,00,000	
Revenue Reserve	5,00,000	
Profit and Loss	20,00,000	
Dividend Equalization Fund	5,50,000	43,50,000
Non-Current Liabilities		
12% Debenture		12,50,000
Current Liabilities (trade payable)		5,50,000
Total		**1,21,50,000**
Assets		
Fixed Assets		
Tangible Assets		1,00,75,000
Current Assets		
Investment	3,00,000	
Inventory	2,00,000	
Cash and Bank	15,75,000	20,75,000
Total		**1,21,50,000**

The shareholders adopted the resolution on the date of the above-mentioned Balance Sheet to:

(1) Buy back 25% of the paid-up capital and it was decided to offer a price of 20% over market price. The prevailing market value of the company's share is ₹ 30 per share.

(2) To finance the buy-back of shares, company:

(a) Issues 3000, 14% debentures of ₹ 100 each at a premium of 20%.

(b) Issues 2500, 10% preference shares of ₹ 100 each.

(3) Sell investment worth ₹ 1,00,000 for ₹ 1,50,000.

(4) Maintain a balance of ₹ 2,00,000 in Revenue Reserve.

(5) Later the company issue three fully paid-up equity share of ₹ 20 each by way of bonus share for every 15 equity shares held by the equity shareholders.

You are required to pass the necessary journal entries to record the above transactions and prepare Balance Sheet after buy back.

Answer

Journal Entries in the books of X Limited

S. No.	Particulars		Debit (₹)	Credit (₹)
1.	Bank A/c	Dr.	3,60,000	
	To 14 % Debenture A/c			3,00,000
	To Securities Premium A/c			60,000
	(Being 14 % debentures issued to finance buy back)			
2.	Bank A/c	Dr.	2,50,000	
	To 10% preference share capital A/c			2,50,000

	(Being 10% preference share issued to finance buy back)			
3.	Bank A/c	Dr.	1,50,000	
	To Investment A/c			1,00,000
	To Profit on sale of investment			50,000
	(Being investment sold on profit)			
4.	Equity shares capital A/c (62,500 x ₹ 20)	Dr.	12,50,000	
	Securities premium A/c (62,500 x ₹ 16)	Dr.	10,00,000	
	To Equity shares buy back A/c (62,500 x ₹ 36)			22,50,000
	(Being the amount due to equity shareholders on buy back)			
5.	Equity shares buy back A/c	Dr.	22,50,000	
	To Bank A/c			22,50,000
	(Being the payment made on account of buy back of 62,500 Equity Shares as per the Companies Act)			
6.	Revenue reserve	Dr.	3,00,000	
	Profit and Loss A/c	Dr.	7,00,000	
	To Capital redemption reserve A/c [12,50,000 less 2,50,000]			10,00,000
	(Being amount equal to nominal value of buy back shares from free reserves transferred to capital redemption reserve account as per the law)			
7.	Capital redemption reserve A/c	Dr.	7,50,000	
	To Bonus shares A/c (W.N.1)			7,50,000
	(Being the utilization of capital redemption reserve to issue 37,500 bonus shares)			
8.	Bonus shares A/c	Dr.	7,50,000	
	To Equity share capital A/c			7,50,000
	(Being issue of 3 bonus share for every 15 equity shares held)			

Balance Sheet (After buy back and issue of bonus shares)

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	57,50,000
	(b)	Reserves and Surplus	2	27,10,000
2.		**Non-current liabilities**		
	(a)	Long term borrowings	3	15,50,000
3.		**Current liabilities**		
	(a)	Trade payable		5,50,000
		Total		**1,05,60,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment		1,00,75,000
2		**Current assets**		

	(a)	Current investment		2,00,000
	(b)	Inventory		2,00,000
	(c)	Cash and cash equivalent (WN 2)		85,000
		Total		**1,05,60,000**

Notes to Accounts

S. No.	Particulars		₹
1.	**Share Capital**		
	Equity shares capital of ₹ 20 each [2,50,000 – 62,500 + 37,500 shares]		45,00,000
	10% preference shares @ ₹ 100 each [10,00,000 + 2,50,000]		12,50,000
	Total		**57,50,000**
2.	**Reserves and Surplus**		
	Capital Reserve		1,00,000
	Revenue reserve		2,00,000
	Securities premium:	12,00,000	
	Add: Premium on debenture	60,000	
	Less: Adjustment for premium paid on buy back	(10,00,000)	2,60,000
	Capital Redemption Reserve:		
	Transfer due to buy-back of shares from P&L	10,00,000	
	Less: Utilisation for issue of bonus shares	(7,50,000)	2,50,000
	Profit & Loss A/c:	20,00,000	
	Add: Profit on sale of investment	50,000	
	Less: Transfer to CRR	(7,00,000)	13,50,000
	Dividend equalization reserve		5,50,000
	Total		**27,10,000**
3.	**Long-term borrowings**		
	12% Debentures		12,50,000
	14% Debentures		3,00,000
	Total		**15,50,000**

Working Notes:

1. Amount of bonus shares = [(2,50,000 – 25%) x 3/15] x 20 = 37,500 x 20 = 7,50,000
2. Cash at bank after issue of bonus shares

	₹
Cash balance as on 31.3.20X1	15,75,000
Add: Issue of debenture	3,60,000
Add: issue of preference shares	2,50,000
Add: Sale of investments	1,50,000
	23,35,000
Less: Payment for buy back of shares	(22,50,000)
	85,000

Question 7

Extra Ltd. (a non-listed company) furnishes you with the following Balance Sheet as at 31st March, 20X1:

Particulars			Notes	(in lakhs ₹)
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	120
	(b)	Reserves and Surplus	2	118
2.		**Non-current liabilities**		
	(a)	Long term borrowings	3	4
3.		**Current liabilities**		
	(a)	Other current liabilities		70
		Total		**312**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment		50
	(b)	Non-Current Investments (at cost)		120
2		**Current assets**		
	(a)	Cash and Cash equivalents		142
		Total		**312**

Notes to accounts

S. No.	Particulars	(in lakhs ₹)
1	**Share Capital**	
	Authorized, issued and subscribed capital:	
	Equity shares of ₹ 10 each fully paid	100
	9% Redeemable preference shares of ₹ 100 each fully paid	20
	Total	120
2	**Reserves and Surplus**	
	Capital reserves	3
	Revenue reserves	55
	Securities premium	60
	Total	118
3	**Long term borrowings**	
	10% Debentures	4

(i) The company redeemed the preference shares at a premium of 10% on 1st April, 20X1.

(ii) It also bought back 3 lakhs equity shares of ₹ 10 each at ₹ 30 per share. The payment for the above was made out of huge bank balances.

(iii) Included in its investment were "investments in own debentures" costing ₹ 2 lakhs (face value ₹ 2.20 lakhs). These debentures were cancelled on 1st April, 20X1.

(iv) The company had 1,00,000 equity stock options outstanding on the above-mentioned date, to the employees at ₹ 20 when the market price was ₹ 30 (This was included under other current liabilities).

On 1.04.20X1 employees exercised their options for 50,000 shares.

You are required to pass the journal entries to record the above and prepare Balance Sheet as at 01.04.20X1.

Answer

Journal Entries **(₹ in lakhs)**

Date	Particulars		Debit	Credit
20X1 1st April	9% Redeemable preference share capital A/c	Dr.	20.00	
	Premium on redemption of preference shares A/c	Dr.	2.00	
	To Preference shareholders A/c			22.00
	(Being preference share capital transferred to shareholders account)			
	Preference shareholders A/c	Dr.	22.00	
	To Bank A/c			22.00
	(Being payment made to shareholders)			
	Equity shares buy-back A/c	Dr.	90.00	
	To Bank A/c			90.00
	(Being 3 lakh equity shares of ₹ 10 each bought back @ ₹ 30 per share)			
	Equity share capital A/c	Dr.	30.00	
	Securities premium A/c	Dr.	60.00	
	To Equity Shares buy-back A/c			90.00
	(Being cancellation of shares bought back)			
	Revenue reserve A/c	Dr.	50.00	
	To Capital redemption reserve A/c			50.00
	(Being creation of capital redemption reserve account to the extent of the face value of preference shares redeemed and equity shares bought back as per the law)			
	10% Debentures A/c	Dr.	2.20	
	To Investment (own debentures) A/c			2.00
	To Profit on cancellation of own debentures A/c			0.20
	(Being cancellation of own debentures costing ₹ 2 lakhs, face value being ₹ 2.20 lakhs and the balance being profit on cancellation of debentures)			
	Bank A/c	Dr.	10.00	
	Employees stock option outstanding (Current liabilities) A/c	Dr.	5.00	
	To Equity share capital A/c			5.00
	To Securities premium A/c			10.00
	(Being the allotment to employees, of 50,000 shares of ₹ 10 each at a premium of ₹ 20 per share in exercise of stock options by employees)			
	Revenue reserve A/c	Dr.	2.00	
	To Premium on redemption of preference shares A/c			2.00
	(Being premium on redemption of preference shares adjusted through securities premium)			

Balance Sheet of Extra Ltd. as at 01.04.20X1

Particulars			Notes	(in lakhs ₹)
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	75.00
	(b)	Reserves and Surplus	2	66.20
2.		**Non-current liabilities**		
	(a)	Long term borrowings	3	1.80
3.		**Current liabilities**		
	(a)	Other current liabilities	4	65.00
		Total		**208**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment		50.00
	(b)	Non-Current Investments (at cost)	5	118.00
2		**Current assets**		
	(a)	Cash and Cash equivalents	6	40.00
		Total		**208**

Notes to accounts

S. No.	Particulars		(in lakhs ₹)
1.	**Share Capital**		
	Equity shares of ₹ 10 each fully paid		100
	Less: Cancellation of bought back shares		(30)
	Add: Shares issued against ESOP		5
	Total		**75**
2.	**Reserves and Surplus**		
	Capital Reserve		
	Opening balance	3.00	
	Add: Profit on cancellation of debentures	0.20	3.20
	Revenue reserves		
	Opening balance	55.00	
	Less: Adjustment for premium on redemption of preference shares	(2.00)	
	Less: Creation of Capital Redemption Reserve	(50.00)	3.00
	Securities Premium		
	Opening balance	60.00	
	Less: Adjustment for cancellation of equity shares	(60.00)	
	Add: Shares issued against ESOP at premium	10.00	10.00
	Capital Redemption Reserve		50.00
	Total		**66.20**
3.	**Long term borrowings**		

	10% Debentures		4.00
	Less: Cancellation of own debentures		(2.20)
	Total		**1.80**
4.	**Other Current liabilities**		
	Opening balance		70.00
	Less: Adjustment for ESOP outstanding		(5.00)
	Total		**65.00**
5.	**Non-current investments**		
	Opening balance		120.00
	Less: Investment in own debentures		(2.00)
	Total		**118.00**
6.	**Cash and Cash Equivalents**		
	Opening balance		142.00
	Less: Payment to preference shareholders		(22.00)
	Less: Payment to equity shareholders		(90.00)
	Add: Share price received against ESOP		10.00
	Total		**40.00**

Maximum Number of Equity Shares that can be Bought Back

Question 8

Pratham Ltd. (a non-listed company) has the following Capital structure as on 31st March, 20X1:

Particulars	**₹**	**₹**
Equity Share Capital (shares of ₹ 10 each fully paid)		30,00,000
Reserves & Surplus:		
General Reserve	32,50,000	
Security Premium Account	6,00,000	
Profit & Loss Account	4,30,000	
Revaluation Reserve	6,20,000	49,00,000
Loan Funds		42,00,000

You are required to compute by Debt Equity Ratio Test, the maximum number of shares that can be bought back in the light of above information, when the offer price for buy-back is ₹ 30 per share.

Answer

Debt Equity Ratio Test

Particulars		
(a)	Loan funds	₹ 42,00,000
(b)	Minimum equity to be maintained after buy-back in the ratio of 2:1	₹ 21,00,000
(c)	Present equity shareholders fund	₹ 72,80,000
(d)	Future equity shareholder fund (See Note 2) (72,80,000 – 12,95,000)	₹ 59,85,000

(e)	Maximum permitted buy-back of Equity (See Note 2) [(d) – (b)]	₹ 38,85,000 (by simultaneous equation)
(f)	Maximum shares that can be bought back @ ₹ 30 per share (See Note 2)	1,29,500 shares (by simultaneous equation)

Working Note:

1. **Shareholders' funds**

Particulars	₹
Paid up capital	30,00,000
Free reserves (32,50,000 + 6,00,000 + 4,30,000)	42,80,000
	72,80,000

2. As per section 68 of the Companies Act, 2013, amount transferred to CRR and maximum equity to be bought back will be calculated by simultaneous equation method.

Suppose amount equivalent to nominal value of bought back shares transferred to CRR account is 'x' and maximum permitted buy-back of equity is 'y'.

Equation 1:

(Present equity – Nominal value of buy back transfer to CRR)
– Minimum equity to be maintained = Maximum permissible buy back of equity

(72,80,000 – x) – 21,00,000 = y

Since, 51,80,000 – x = y (1)

Equation 2:

(Maximum buy back/Offer price for buy back) x Nominal Value = Nominal value of the shares bought back to be transferred to CRR

(y/30) x 10 = x

3x = y (2)

x = ₹ 12,95,000 crores and y = ₹ 38,85,000 crores

Question 9

Following is the Balance Sheet of Competent Limited as at 31st March, 20X1:

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	12,50,000
	(b)	Reserves and Surplus	2	18,75,000
2.		**Non-current liabilities**		
	(a)	Long term borrowings	3	28,75,000
3.		**Current liabilities**		
	(a)	Short term borrowing (current maturities of long-term borrowing)		16,50,000
		Total		**76,50,000**

		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset	4	46,50,000
2		**Current assets**		
	(a)	Other current asset		30,00,000
		Total		**76,50,000**

Notes to accounts

S. No.	Particulars	₹
1	**Share Capital**	
	Authorized, issued and subscribed capital:	
	Equity share capital (fully paid up shares of ₹ 10 each)	**12,50,000**
2	**Reserves and Surplus**	
	Securities premium	2,50,000
	Profit and loss account	1,25.000
	Revenue reserve	15,00,000
	Total	**18,75,000**
3	**Long term borrowings**	
	14% Debentures	18,75,000
	Unsecured Loans	10,00,000
	Total	**28,75,000**
4	**Property, plant and equipment**	
	Land and Building	19,30,000
	Plant and machinery	18,00,000
	Furniture and fitting	9,20,000
	Net carrying value	**46,50,000**

The company wants to buy-back 25,000 equity shares of ₹ 10 each, on 1st April, 20X1 at ₹ 20 per share. Buy-back of shares is duly authorized by its articles and necessary resolution has been passed by the company towards this. The payment for buy-back of shares will be made by the company out of sufficient bank balance available shown as part of Current Assets.

Comment with your calculations, whether buy-back of shares by company is within the provisions of the Companies Act, 2013. If yes, pass necessary journal entries towards buy-back of shares and prepare the Balance Sheet after buy-back of shares.

Answer

Determination of Buy-back of maximum no. of shares as per the Companies Act, 2013

1. Shares Outstanding Test

Particulars	(Shares)
Number of shares outstanding	1,25,000
25% of the shares outstanding	31,250

2. Resources Test: Maximum permitted limit is 25% of Equity paid up capital + Free Reserves

Particulars	
Paid up capital (₹)	12,50,000
Free reserves (₹) (15,00,000 + 2,50,000 + 1,25,000)	18,75,000
Shareholders' funds (₹)	31,25,000
25% of Shareholders fund (₹)	7,81,250
Buy-back price per share	₹ 20
Number of shares that can be bought back (shares)	39,062
Actual Number of shares for buy-back	25,000

3. Debt Equity Ratio Test: Loans cannot be in excess of twice the Equity Funds post Buy-Back

(a)	Loan funds (₹) (18,75,000 + 10,00,000 + 16,50,000)	45,25,000
(b)	Minimum equity to be maintained after buy-back in the ratio of 2:1 (₹) (a/2)	22,62,500
(c)	Present equity/shareholders fund (₹)	31,25,000
(d)	Future equity/shareholders fund (₹) (see W.N.) (31,25,000 – 2,87,500)	28,37,500
(e)	Maximum permitted buy-back of Equity (₹) [(d) – (b)]	5,75,000
(f)	Maximum number of shares that can be bought back @ ₹ 20 per share	28,750 shares
(g)	Actual Buy-Back Proposed	25,000 Shares

4. Summary statement determining the maximum number of shares to be bought back

Particulars	No. of shares
Shares Outstanding Test	31,250
Resources Test	39,062
Debt Equity Ratio Test	28,750
Maximum number of shares that can be bought back [least of the above]	**28,750**

Company qualifies all tests for buy-back of shares and came to the conclusion that it can buy maximum 28,750 shares on 1st April, 20X1.

However, company wants to buy-back only 25,000 equity shares @ ₹ 20. Therefore, buy-back of 25,000 shares, as desired by the company is within the provisions of the Companies Act, 2013.

Journal Entries for buy-back of shares

	Particulars		Debit	Credit
(a)	Equity shares buy-back account	Dr.	5,00,000	
	To Bank account			5,00,000
	(Being buy-back of 25,000 equity shares of ₹ 10 each @ ₹ 20 per share)			
(b)	Equity shares capital account	Dr.	2,50,000	
	Securities premium account	Dr.	2,50,000	
	To Equity shares buy-back account			5,00,000
	(Being cancellation of shares bought back)			
(c)	Revenue reserve account	Dr.	2,50,000	
	To Capital redemption reserve account			2,50,000
	(Being transfer of free reserves to capital redemption reserve to the extent of nominal value of capital bought back through free reserves)			

Balance Sheet of M/s. Competent Ltd. as at 31st March, 20X1

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	10,00,000
	(b)	Reserves and Surplus	2	16,25,000
2.		**Non-current liabilities**		
	(a)	Long term borrowings	3	28,75,000
3.		**Current liabilities**		
	(a)	Short term borrowing		16,50,000
		Total		**71,50,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment	4	46,50,000
2		**Current assets**		
	(a)	Other current asset		25,00,000
		Total		**71,50,000**

Notes to accounts

S. No.	Particulars		₹
1	**Share Capital**		
	Authorized, issued and subscribed capital:		
	Equity shares capital (fully paid-up shares of ₹ 10 each)		**10,00,000**
2	**Reserves and Surplus**		
	Profit and Loss A/c		1,25,000
	Revenue reserves	15,00,000	
	Less: Transfer to CRR	(2,50,000)	12,50,000
	Securities premium	2,50,000	
	Less: Utilization for share buy-back	(2,50,000)	–
	Capital Redemption Reserves		2,50,000
	Total		**16,25,000**
3	**Long term borrowings**		
	14% Debentures		18,75,000
	Unsecured Loans		10,00,000
	Total		**28,75,000**
4	**Property, plant and equipment**		
	Land and Building		19,30,000
	Plant and machinery		18,00,000
	Furniture and fitting		9,20,000
	Net carrying value		**46,50,000**

Working Note:

Amount transferred to CRR and maximum equity to be bought back will be calculated by simultaneous equation method.

Suppose amount transferred to CRR account is 'x' and maximum permitted buy-back of equity is 'y'. Then,

(31,25,000 – x) – 22,62,500 = y (1)

(y/20) x 10 = x or 2x = y (2)

by solving the above equation, we get

x = ₹ 2,87,500

y = ₹ 5,75,000

Question 10

SMM Ltd. has the following capital structure as on 31st March, 20X1: **₹ in crore**

	Particulars	Situation I	Situation II
(i)	Equity share capital (shares of ₹ 10 each)	1,200	1,200
(ii)	Reserves:		
	General Reserves	1,080	1,080
	Securities Premium	400	400
	Profit & Loss	200	200
	Infrastructure Development Reserve (Statutory Reserve)	320	320
(iii)	Loan Funds	3,200	6,000

The company has offered buy-back price of ₹ 30 per equity share. You are required to calculate maximum permissible number of equity shares that can be bought back in both situations and also required to pass necessary Journal Entries.

Answer

Statement determining maximum number of shares to be bought back **No. of shares (in crores)**

Particulars	When loan fund is	
	₹ 3,200 crores	₹ 6,000 crores
Shares Outstanding Test (W.N.1)	30	30
Resources Test (W.N.2)	24	24
Debt Equity Ratio Test (W.N.3)	32	Nil
Maximum number of shares that can be bought back [least of above]	**24**	**Nil**

Journal Entries for the Buy-Back (applicable only when loan fund is ₹ 3,200 crores) **₹ in crores**

	Particulars		Debit	Credit
(a)	Equity shares buy-back account	Dr.	720	
	To Bank account			720
	(Being payment for buy-back of 24 crore equity share of ₹ 10 each @ ₹ 30 per share)			
(b)	Equity shares capital account	Dr.	240	
	Premium Payable on buy-back account		480	
	To Equity share buy-back account			720

	(Being cancellation of shares bought back)			
(c)	Securities Premium account	Dr.	400	
	General Reserve	Dr.	80	
	To Premium Payable on buy-back account			480
	(Being Premium Payable on buy-back account charged to securities premium and general reserve A/c)			
(d)	General Reserve	Dr.	240	
	To Capital redemption reserve account			240
	(Being transfer of free reserves to capital redemption reserve to extent of nominal value of share capital bought back out of redeemed through free reserves)			

Working Notes:

1. **Shares Outstanding Test**

Particulars	**(Shares in crores)**
Number of shares outstanding	120
25% of the shares outstanding	30

2. **Resources Test**

Particulars	
Paid up capital (₹ in crores)	1,200
Free reserves (₹ in crores) (1,080 + 400 + 200)	1,680
Shareholders' funds (₹ in crores)	2,880
25% of Shareholders fund (₹ in crores)	₹ 720 crores
Buy-back price per share	₹ 30
Number of shares that can be bought back	24 crores shares

3. **Debt Equity Ratio Test: Loans cannot be in excess of twice the Equity Funds post Buy-Back**

Particulars		**When loan fund is**	
		₹ 3,200 crores	**₹ 6,000 crores**
(a)	Loan funds (₹)	3,200	6,000
(b)	Minimum equity to be maintained after buy-back in the ratio of 2:1 (₹) (a/2)	1,600	3,000
(c)	Present equity shareholders fund (₹)	2,880	2,880
(d)	Future equity shareholders fund (₹) (see W.N.4)	2,560 (2,880 – 320)	N.A.
(e)	Maximum permitted buy-back of Equity (₹) [(d) – (b)]	960	Nil
(f)	Maximum share that can be bought back @ ₹ 30 per share	32 crore shares	Nil
(g)	As per provisions of the Companies Act, 2013, company	Qualifies	Does not Qualify

4. **Amount transferred to CRR and maximum equity to be bought back will be calculated by simultaneous equation method**

Suppose amount transferred to CRR account is 'x' and maximum permitted buy-back of equity is 'y'. Then,

Equation 1:

(Present Equity – Transfer to CRR) – Minimum Equity to be maintained = Maximum Permitted Buy-Back

(2,880 – x) – 1,600 = y

1,280 – x = y (1)

Equation 2:

(Maximum buy back/Offer price for buy back) x Nominal Value = Nominal value of the shares bought back to be transferred to CRR

y/30 x 10 = x

3x = y (2)

by solving the above two equations we get

x= ₹ 320 and y = ₹ 960

Question 11

Perrotte Ltd. (a non-listed company) has the following Capital Structure as on 31.03.20X1:

	Particulars		(₹ in crores)
(1)	Equity Share Capital (Shares of ₹ 10 each fully paid)		330
(2)	Reserves and Surplus:		
	General Reserve	240	–
	Securities Premium Account	90	–
	Profit & Loss Account	90	–
	Infrastructure Development Reserve	180	600
(3)	Loan Funds		1,800

The Shareholders of Perrotte Ltd., on the recommendation of their Board of Directors, have approved on 12.09.20X1 a proposal to buy-back the maximum permissible number of Equity shares considering the large surplus funds available at the disposal of the company.

The prevailing market value of the company's shares is ₹ 25 per share and in order to induce the existing shareholders to offer their shares for buy-back, it was decided to offer a price of 20% over market.

You are also informed that the Infrastructure Development Reserve is created to satisfy Income-tax Act requirements.

You are required to compute the maximum number of shares that can be bought back in the light of the above information and also under a situation where the loan funds of the company were either ₹ 1,200 crores or ₹ 1,500 crores.

Assuming that the entire buy-back is completed by 09.12.20X1, show the accounting entries in the company's books in each situation.

Answer

Statement determining the maximum number of shares to be bought back **Number of shares**

Particulars	When loan fund is		
	₹ 1,800 crores	₹ 1,200 crores	₹ 1,500 crores
Shares Outstanding Test (W.N.1)	8.25	8.25	8.25
Resources Test (W.N.2)	6.25	6.25	6.25

Debt Equity Ratio Test (W.N.3)	Nil	3.75	Nil
Maximum number of shares that can be bought back [least of the above]	**Nil**	**3.75**	**Nil**

Journal Entries for the Buy-Back (applicable only when loan fund is ₹ 1,200 crores) **₹ in crores**

S. No.	Particulars		Debit	Credit
(a)	Equity share buy-back account	Dr.	112.5	
	To Bank account			112.5
	(Being buy-back of 3.75 crores equity shares of ₹ 10 each @ ₹ 30 per share)			
(b)	Equity shares capital account	Dr.	37.5	
	Securities premium account	Dr.	75	
	To Equity share buy-back account			112.5
	(Being cancellation of shares bought back)			
(c)	General reserve account	Dr.	37.5	
	To Capital redemption reserve account			37.5
	(Being transfer of free reserves to capital redemption reserve to extent of nominal value of share capital bought back out of redeemed through free reserves)			

Working Notes:

1. Shares Outstanding Test

Particulars	(Shares in crores)
Number of shares outstanding	33
25% of the shares outstanding	8.25

2. Resources Test

Particulars	
Paid up capital (₹ in crores)	330
Free reserves (₹ in crores)	420
Shareholders' funds (₹ in crores)	**750**
25% of Shareholders fund (₹ in crores)	₹ 187.5 crores
Buy-back price per share	₹ 30
Number of shares that can be bought back (₹ 187.5 crores/₹ 30)	6.25 crores shares

3. Debt Equity Ratio Test

	Particulars	When loan fund is		
		₹ 1,800 crores	₹ 1,200 crores	₹ 1,500 crores
(a)	Loan funds (₹ in crores)	1,800	1,200	1,500
(b)	Minimum equity to be maintained after buy-back in the ratio of 2:1 (₹ in crores)	900	600	750
(c)	Present equity shareholders fund (₹ in crores)	750	750	750
(d)	Future equity shareholder fund (₹ in crores) (See Note 2)	N.A.	712.5 (750 – 37.5)	N.A.

(e)	Maximum permitted buy-back of Equity (₹ in crores) [(d) – (b)] (See Note 2)	Nil	112.5 (by equation)	Nil
(f)	Maximum number of shares that can be bought back @ ₹ 30 per share (shares in crores) (See Note 2)	Nil	3.75 (by equation)	Nil

Note:

1. Under Situations 1 & 3 the company does not qualify for buy-back of shares as per the provisions of the Companies Act, 2013.

2. As per section 68 of Companies Act, 2013, ratio of debt owed by company should not be more than twice the capital and its free reserve after such buy-back. In the question, it is stated that company has surplus funds to dispose of. Therefore, it is presumed that buy-back is out of free reserves or securities premium and hence a sum equal to the nominal value of the share bought back shall be transferred to Capital Redemption Reserve (CRR). Utilization of CRR is restricted to issuance of fully paid-up bonus shares only. It means CRR is not available for distribution as dividend. Hence, CRR is not a free reserve. Therefore, for calculation of future equity i.e. share capital and free reserves, amount transferred to CRR on buy-back has to be excluded from present equity.

   Amount transferred to CRR and maximum equity to be bought back will be calculated by simultaneous equation method.

   Suppose amount equivalent to nominal value of bought back shares transferred to CRR account is 'x' and maximum permitted buy-back of equity is 'y'. Then,

   Equation 1:

   (Present equity – Nominal value of buy back transfer to CRR) – Minimum equity to be maintained = Maximum permissible buy back of equity

   (750 – x) – 600 = y

   Since, 150 – x = y (1)

   Equation 2:

   (Maximum buy back/Offer price for buy back) x Nominal Value = Nominal value of share bought back to be transferred to CRR

   (y/30) x 10 = x

   Or, 3x = y (2)

   by solving the above two equations we get

   x = ₹ 37.5 crores

   y = ₹ 112.5 crores

Question 12

Mohan Ltd. furnishes the following summarised Balance Sheet on 31st March 20X1.

	(₹ in Lakhs)
Equity and liabilities	
Shareholders fund	
Share Capital:	

Equity Shares of ₹ 10 each fully paid up		780
6% Redeemable Preference shares of ₹ 50 each fully Paid up		240
Reserves and Surplus:		
Capital Reserves		58
General Reserve		625
Securities Premium		52
Profit & Loss		148
Revaluation Reserve		34
Infrastructure Development Reserve		16
Non-current liabilities		
7% Debentures		268
Unsecured Loans		36
Current Liabilities		395
	Total	**2,652**
Assets		
Non-current Assets		
Plant and Equipment less depreciation		725
Investment at cost		720
Current Assets		1,207
	Total	**2,652**

Other Information:

(1) The company redeemed preference shares at a premium of 10% on 1st April, 20X1.

(2) It also offered to buy back the maximum permissible number of equity shares of ₹ 10 each at ₹ 30 per share on 2nd April 20X1.

(3) The payment for the above was made out of available bank balance, which appeared as a part of the current assets.

(4) The company had investment in own debentures costing ₹ 60 lakhs (face value ₹ 75 lakhs). These debentures were cancelled on 2nd April 20X1.

(5) On 4th April 20X1 company issued one fully paid-up equity share of ₹ 10 each by way of bonus for every five equity shares held by the shareholders.

You are required to:

(a) Calculate maximum possible number of equity shares that can be bought back as per the Companies Act, 2013 and

(b) Record the Journal Entries for the above-mentioned information.

Answer

(a) Statement determining the maximum number of shares to be bought back

Particulars	**No. of shares (in lakhs)**
Shares Outstanding Test (W.N.1)	19.5
Resources Test (W.N.2)	11.175

Debt Equity Ratio Test (W.N.3)	29.725
Maximum number of shares that can be bought back [least of the above]	**11.175**

Thus, the company can buy 11,17,500 Equity shares at ₹ 30 each.

Working Notes:

1. Shares Outstanding Test

Particulars	**(Shares in lakh)**
Number of shares outstanding	78
25% of the shares outstanding	19.5

2. Resources Test

Particulars	
Paid up capital (₹ in lakh)	780
Free reserves (₹ in lakh) (625 + 52 + 148 – 24 – 240)*	561
Shareholders' funds (₹ in lakh)	1,341
25% of Shareholders fund (₹ in lakh)	335.25
Buy-back price per share	30
Number of shares that can be bought back (in lakh)	11.175

*Amount transferred to CRR is excluded from free reserves. Premium on redemption also reduced.

3. Debt Equity Ratio Test: Loans cannot be in excess of twice the Equity Funds post Buy-Back

	Particulars	**in lakh**
(a)	Loan funds (₹) (268 + 36)	304
(b)	Minimum equity to be maintained after buy-back in ratio of 2:1 (₹) (a/2)	152
(c)	Present equity shareholders fund (₹)	1,341
(d)	Future equity shareholders fund (₹) (see W.N.4) (1,341 – 297.25)	1,043.75
(e)	Maximum permitted buy-back of Equity (₹) [(d) – (b)]	891.75
(f)	Maximum number of shares that can be bought back @ ₹ 30 per share	29.725
	As per the provisions of the Companies Act, 2013, company	Qualifies

4. Amount transferred to CRR and maximum equity to be bought back will be calculated by simultaneous equation method

Suppose amount transferred to CRR is 'x' and maximum permitted buy-back of equity is 'y'. Then,

Equation 1:

(Present Equity – Transfer to CRR) – Minimum Equity to be maintained = Maximum Permitted Buy Back

= (1341 – x) – 152 = y

= 1189 – x = y (1)

Equation 2:

(Maximum buy back/Offer price for buy back) x Nominal Value = Nominal value of share bought back to be transferred to CRR

y/30 x 10 = x or 3x = y (2)

by solving the above two equations we get

x = ₹ 297.25 and y = ₹ 891.75

(b) **Journal Entries for Buy Back** **(₹ in lakhs)**

Date	Particulars		Debit	Credit
20X1	6% Redeemable preference share capital A/c	Dr.	240	
1st April	Premium on redemption of preference shares A/c	Dr.	24	
	To Preference shareholders A/c			264
	(Being preference share capital transferred to shareholders account)			
	Preference shareholders A/c	Dr.	264	
	To Bank A/c			264
	(Being payment made to shareholders)			
	General Reserve A/c	Dr.	24	
	To Premium on redemption of preference shares A/c			24
	(Being redemption premium adjusted through securities premium)			
2nd April	Equity shares buy-back A/c	Dr.	335.25	
	To Bank A/c			335.25
	(Being 11.175 lakh shares of ₹ 10 each bought back @ ₹ 30 per share)			
	Equity share capital A/c	Dr.	111.75	
	Securities Premium A/c	Dr.	52	
	General Reserve A/c	Dr.	171.50	
	To Equity Shares buy-back A/c			335.25
	(Being cancellation of shares bought back)			
	General reserve A/c	Dr.	351.75	
	To Capital redemption reserve A/c [240 + 111.75 lakhs]			351.75
	(Being creation of capital redemption reserve account to the extent of the face value of preference shares redeemed and equity shares bought back as per the law)			
2nd April	7% Debentures A/c	Dr.	75	
	To Investment (own debentures) A/c			60
	To Profit on cancellation of own debentures A/c			15
	(Being cancellation of own debentures costing ₹ 60 lakhs, face value being ₹ 75 lakhs and balance is profit on cancellation of debentures)			
4th April	Capital Redemption Reserve	Dr.	133.65	
	To Bonus Shares A/c			133.65
	(Being issue of one bonus share for every five equity shares held)			
	Bonus shares A/c	Dr.	133.65	
	To Equity share capital A/c			133.65
	(Being bonus shares issued)			

Note: Bonus Share to be issued = 66.825 (78 – 11.175) lakh shares divided by 5 = 13.365 lakh shares

CHAPTER - 30
Internal Reconstruction

Accounting for Alteration of Share Capital

Question 1

On 31-12-20X1, B Ltd. had 20,000, ₹ 10 Equity Shares as authorized capital and the shares were all issued on which ₹ 8 was paid up. In June, 20X2 the company in general meeting decided to sub-divide each share into two shares of ₹ 5 with ₹ 4 paid up. In June, 20X3 the company in general meeting resolved to consolidate 20 shares of ₹ 5, ₹ 4 per share paid up into one share of ₹ 100 each, ₹ 80 paid up.

Pass entries and show how share capital will appear in notes to Balance Sheet as on 31-12-20X1, 31-12-20X2 and 31-12-20X3.

Answer

Journal Entries

Date		Debit (₹)	Credit (₹)
20X2 June	Equity Share Capital (₹ 10) A/c Dr.	1,60,000	
	To Equity Share Capital (₹ 5) A/c		1,60,000
	(Being the sub-division of 20,000 shares of ₹ 10 each with ₹ 8 paid up into 40,000 shares ₹ 5 each with ₹ 4 paid up by resolution in general meeting dated)		
20X3 June	Equity Share Capital (₹ 5) A/c Dr.	1,60,000	
	To Equity Share Capital (₹ 100) A/c		1,60,000
	(Being consolidation of 40,000 shares of ₹ 5 with ₹ 4 paid up into 2,000 ₹ 100 shares with ₹ 80 paid up)		

Notes to Balance Sheet

S. No.	Particulars	₹
	Liabilities	
	As on 31-12-20X1	
1	**Share Capital**	
	Authorized:	
	20,000 Equity Shares of ₹ 10 each	2,00,000
	Issued, Subscribed and Paid up:	
	20,000 Equity Shares of ₹ 10 each ₹ 8 per share paid up	1,60,000
	As on 31-12-20X2	
2	**Share Capital**	
	Authorized:	
	40,000 Equity Shares of ₹ 5 each	2,00,000
	Issued, Subscribed and Paid up:	
	40,000 Equity Shares of ₹ 5 each ₹ 4 per share paid up	1,60,000
	As on 31-12-20X3	
3	**Share Capital**	

	Authorized:	
	2,000 Equity Shares of ₹ 100 each	2,00,000
	Issued, Subscribed and Paid up:	
	2,000 Equity Shares of ₹ 100 each ₹ 80 per share paid up	1,60,000

Question 2

C Ltd. had ₹ 5,00,000 authorized capital on 31-12-20X1 divided into shares of ₹ 100 each out of which 4,000 shares were issued and fully paid up. In June 20X2 the Company decided to convert the issued shares into stock. But in June, 20X3 the Company re-converted the stock into shares of ₹ 10 each, fully paid up.

Pass entries and show how Share Capital will appear in Notes to Balance Sheet as on 31-12-20X1, 31-12-20X2 and 31-12-20X3.

Answer

Journal Entries

Date		Debit (₹)	Credit (₹)
20X2 June	Equity Share Capital (₹ 100) A/c Dr.	4,00,000	
	To Equity Stock A/c		4,00,000
	(Being conversion of 4,000 fully paid Equity Shares of ₹ 100 into ₹ 4,00,000 Equity Stock as per resolution in general meeting dated…)		
20X3 June	Equity Stock A/c Dr.	4,00,000	
	To Equity Share Capital (₹ 10) A/c		4,00,000
	(Being re-conversion of ₹ 4,00,000 Equity Stock into 40,000 shares of ₹ 10 fully paid Equity Shares as per resolution in General Meeting dated...)		

Notes to Balance Sheet

S. No.	Particulars	₹
	Liabilities	
	As on 31-12-20X1	
1	**Share Capital**	
	Authorized:	
	5,000 Equity Shares of ₹ 100 each	5,00,000
	Issued, Subscribed and Paid up:	
	4,000 Equity Shares of ₹ 100 each fully called up	4,00,000
	As on 31-12-20X2	
2	**Share Capital**	
	Authorized:	
	Equity Stock	5,00,000
	Issued, Subscribed and Paid up:	
	Equity Stock- 4,000 Equity Shares of ₹ 100 converted into Stock	4,00,000
	As on 31-12-20X3	
3	**Share Capital**	

	Authorized:	
	50,000 Equity Shares of ₹ 10 each	5,00,000
	Issued, Subscribed and Paid up:	
	40,000 Equity Shares of ₹ 10 each fully called up	4,00,000

Overall Accounting of Internal Reconstruction

Question 3

X Ltd. had ₹ 1,00,000 equity share capital divided into 1,000 shares of ₹ 100 each out of which ₹ 80 per share was called up and paid up. It has 1,500 cumulative preference shares of ₹ 100 each fully paid up. Intangible assets include Goodwill of ₹ 80,000 and patents of ₹ 27,800. Preference dividends are in arrears of ₹ 33,000.

You are required to show the entries (Ignore dates) under each of the following conditions:

(i) If X Ltd. resolves to subdivide the equity shares into 10,000 equity shares of ₹ 10 each of which ₹ 8 per share is called up and paid up.

(ii) If X Ltd. resolves to convert its 1,000 equity shares of ₹ 100 each (assume fully paid) into ₹ 1,00,000 worth of stock.

(iii) The preference shares are to be converted into 11% unsecured debentures of ₹ 100 each (including arrears of dividends).

(iv) Patents and Goodwill to be written-off.

Answer

Journal Entries in the books of X Ltd.

S. No.	Particulars		Debit (₹)	Credit (₹)
1	Equity Share Capital (₹ 100) A/c	Dr.	80,000	
	To Equity Share Capital (₹ 10) A/c			80,000
	(Being sub-division of 1,000 shares of ₹ 100 each with ₹ 80 paid up into 10,000 shares ₹ 10 each with ₹ 8 paid up by resolution in meeting)			
2	Equity Share Capital (₹ 100) A/c	Dr.	1,00,000	
	To Equity Stock A/c			1,00,000
	(Being conversion of 1,000 fully paid Equity Shares of ₹ 100 into ₹ 1,00,000 Equity Stock as per resolution in general meeting dated...)			
3	Cumulative Preference Share Capital A/c	Dr.	1,50,000	
	Capital Reduction (Reconstruction) A/c	Dr.	33,000	
	To 11% Debentures (Unsecured)			1,83,000
	(Being 1,500 preference shares of ₹ 100 each converted into 11% debentures of ₹ 100 each, including arrears of dividends of ₹ 33,000)			
4	Capital Reduction (Reconstruction) A/c	Dr.	1,07,800	
	To Goodwill			80,000
	To Patents			27,800
	(Writing off patents, goodwill)			

Question 4

The following scheme of reconstruction has been approved for Win Limited:

(i) The shareholders to receive in lieu of their present holding at 1,00,000 shares of ₹ 10 each, the following:

(a) New fully paid ₹ 10 Equity shares equal to 3/5th of their holding.

(b) 10% Preference shares fully paid to the extent of 1/5th of the above new equity shares.

(c) ₹ 40,000, 8% Debentures.

(ii) An issue of ₹ 1 lakh 10% first debentures was made and allotted, payment for the same being received in cash forthwith.

(iii) Goodwill which stood at ₹ 1,40,000 was completely written off.

(iv) Plant and machinery which stood at ₹ 2,00,000 was written down to ₹ 1,50,000.

(v) Freehold property which stood at ₹ 1,50,000 was written down by ₹ 50,000.

You are required to draw up the necessary Journal entries in the Books of Win Limited for the above reconstruction. Suitable narrations to Journal entries should form part of your answer.

Answer

Journal Entries

S. No.	Particulars		Debit (₹)	Credit (₹)
1	Equity Share Capital (old) A/c	Dr.	10,00,000	
	To Equity Share Capital (₹ 10) A/c			6,00,000
	To 10% Preference Share Capital A/c			1,20,000
	To 8% Debentures A/c			40,000
	To Capital Reduction A/c			2,40,000
	(Being new equity shares, 10% Preference Shares, 8% Debentures issued and balance transferred to Reconstruction A/c as per Scheme)			
2	Bank A/c	Dr.	1,00,000	
	To 10% First Debentures A/c			1,00,000
	(Being allotment of 10% first Debentures)			
3	Capital Reduction A/c	Dr.	2,40,000	
	To Goodwill Account			1,40,000
	To Plant and Machinery Account			50,000
	To Freehold Property Account			50,000
	(Being Capital Reduction Account utilized for writing off of Goodwill, Plant and Machinery and Freehold property as per the scheme)			

Question 5

The following scheme of reconstruction has been approved for Equity shareholders and Debenture holders of TP Ltd.

(i) The Equity shareholders to receive in lieu of their present holding of 1,50,000 shares of ₹ 10 each, the following:

(1) For ₹ 50,000, equivalent cash

(2) For ₹ 9,00,000, 10% debentures issued at premium of 20% (Face value of debenture is ₹ I00 each)

(3) For balance ₹ 5,50,000, Equity shareholders agreed to accept 50,000 equity shares of ₹ 10 each in full settlement.

(ii) 8% Debenture ₹ 5,00,000.

Debenture holders agreed to accept Freehold property (Book value ₹ 3,50,000) at a valuation of ₹ 4,45,000 in full settlement of their claim.

Pass necessary Journal Entries in the Books of TP Ltd. for the above reconstruction. Narration for Journal entries is not required to be given.

Answer

Journal Entries

		₹	₹
Equity Share Capital (old) A/c	Dr.	15,00,000	
To Equity Share Capital (₹ 10) A/c			5,00,000
To Cash A/c			50,000
To 10% Debentures A/c			7,50,000
To Securities premium			1,50,000
To Capital Reduction/Reconstruction A/c			50,000
(Being new equity shares, 8% Debentures issued, cash of ₹ 50,000 and the balance transferred to Reconstruction account as per the Scheme)			
Freehold Property A/c	Dr.	95,000	
To Capital Reduction/Reconstruction A/c [4,45,000 – 3,50,000]			95,000
(Being the increase in freehold property credited to capital reduction account as per reconstruction scheme)			
8% Debentures A/c	Dr.	5,00,000	
To Freehold Property A/c			4,45,000
To Capital Reduction/Reconstruction A/c			55,000
(Being the debenture holders claim settled partly and foregone partly as per reconstruction scheme)			
Capital Reduction/Reconstruction A/c	Dr.	2,00,000	
To Capital Reserves A/c			2,00,000
(Being balance in capital reduction A/c transferred to Capital Reserves A/c)			

Question 6

Parth Ltd, had laid down the following terms upon the sanction of the reconstruction plan by the court-

1. Furniture and Fixtures which stood at the books at ₹ 1,50,000 to be written down to ₹ 95,000. The freehold premises which was valued at ₹ 7,00,000 showed an appreciation of ₹ 55,000.
2. Plant and machinery showed fall in value of ₹ 89,000, to be recorded in the books. Investment at ₹ 2,00,000 was brought down to the existing market value at ₹ 1,05,000.

3. Debenture holders accepted to receive the following in lieu of their present 9% debentures of ₹ 2,50,000-
   a. 1/5th of the total to be paid in cash to them.
   b. To take over the land and buildings of value ₹ 72,000.
   c. To forgo the remaining unpaid portion as a policy of reconstruction.

Write off the profit and loss A/c debit balance at ₹ 70,000 which had been accumulated over the years. In case of any shortfall, the balance of the General reserve of ₹ 1,50,000 can be utilized to write off the losses under reconstruction scheme.

Show the necessary journal entries as part of the reconstruction process considering that balance in general reserve utilized to write off the losses as per reconstruction scheme.

Answer

Journal entries in the books of Parth Ltd.

S. No.	Particulars		Debit (₹)	Credit (₹)
1	Reconstruction A/c	Dr.	2,39,000	
	To Furniture and Fixtures, A/c			55,000
	To Plant and machinery, A/c			89,000
	To Investment A/c			95,000
	(Writing off overvalued assets as per Reconstruction Scheme dated.)			
2	Freehold premises A/c	Dr.	55,000	
	To Reconstruction A/c			55,000
	(Being the increase in the premises credited to reconstruction account as per reconstruction scheme)			
3	9% Debentures A/c	Dr.	2,50,000	
	To Bank A/c			50,000
	To Land and building A/c			72,000
	To Reconstruction A/c			1,28,000
	(Being the debenture holders claim settled partly and foregone partly as per reconstruction scheme)			
4	Reconstruction A/c	Dr.	70,000	
	To Profit and loss A/c			70,000
	(Being the loss written off as per reconstruction scheme)			
5	General reserve A/c	Dr.	1,26,000	
	To Reconstruction A/c			1,26,000
	(Being the balance in general reserve utilized to write off the losses as per reconstruction scheme)			

Question 7

The following is the Balance Sheet of X Ltd. as at 31st March, 20X1:

Particulars	Notes	₹
Equity and Liabilities		

1		**Shareholders' funds**		
	(a)	Share capital	1	36,00,000
	(b)	Reserves and Surplus	2	(14,40,000)
2		**Non-current liabilities**		
	(a)	Long term borrowings	3	6,00,000
3		**Current liabilities**		
	(a)	Short-term borrowings: Bank overdraft		6,00,000
	(b)	Trade Payables		3,00,000
		Total		**36,60,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i Property, plant and Equipment	4	30,00,000
		ii Intangible Asset	5	90,000
2		**Current assets**		
	(a)	Inventories		2,60,000
	(b)	Trade receivables		2,80,000
	(c)	Cash and Cash equivalents		30,000
		Total		**36,60,000**

Notes to accounts

		₹
1	**Share capital**	
	24,000 Equity Shares of ₹ 100 each	24,00,000
	12,000, 10% Preference Shares of ₹ 100 each	12,00,000
	Total	**36,00,000**
2	**Reserves and Surplus**	
	Debit balance of Profit and loss Account	(14,40,000)
		(14,40,000)
3	**Long-term borrowings**	
	10% debentures	6,00,000
		6,00,000
4.	**Property, plant and Equipment**	
	Land and Building	12,00,000
	Plant and Machinery	18,00,000
		30,00,000
5	**Intangible assets**	
	Goodwill	90,000
		90,000

On the above date, the company adopted the following scheme of reconstruction:

(i) The equity shares are to be reduced to shares of ₹ 40 each fully paid and the preference shares to be

reduced to fully paid shares of ₹ 75 each.

(ii) The debenture holders took over Inventories and Trade receivables in full satisfaction of their claims.

(iii) The Land and Building to be appreciated by 30% and Plant and machinery to be depreciated by 30%.

(iv) The debit balance of profit and loss account and intangible assets are to be eliminated.

(v) Expenses of reconstruction amounted to ₹ 5,000.

Give journal entries incorporating above scheme of reconstruction and prepare reconstructed Balance Sheet.

Answer

Journal Entries in the books of X Ltd.

S. No.	Particulars		Debit (₹)	Credit (₹)
1	Equity Share Capital A/c (₹ 100)	Dr.	24,00,000	
	To Equity Share Capital A/c (₹ 40)			9,60,000
	To Capital Reduction A/c			14,40,000
	(Being 24,000 equity shares of ₹ 100 reduced to ₹ 40 each fully paid up)			
2	10% Preference Share Capital A/c (₹ 100)	Dr.	12,00,000	
	To 10% Preference Share Capital A/c (₹ 75)			9,00,000
	To Capital Reduction A/c			3,00,000
	(Being 12,000 Preference shares of ₹ 100 each reduced to ₹ 75 each fully paid up)			
3	10% Debentures A/c	Dr.	6,00,000	
	To Inventories A/c			2,60,000
	To Trade receivables A/c			2,80,000
	To Capital Reduction A/c			60,000
	(Being debenture holders given Inventories and Trade receivables in full settlement of their claims)			
4	Land & Building A/c	Dr.	3,60,000	
	To Capital Reduction A/c			3,60,000
	(Being Land & Building appreciated by 30%)			
5	Capital reduction A/c	Dr.	5,000	
	To Cash A/c			5,000
	(Being expenses of reconstruction paid)			
6	Capital Reduction A/c	Dr.	20,70,000	
	To Goodwill A/c			90,000
	To Profit and Loss A/c			14,40,000
	To Plant & Machinery A/c			5,40,000
	(Being various losses written off, assets written down through Capital Reserve A/c)			
7	Capital Reduction	Dr.	85,000	
	To Capital Reserve A/c (Bal. Fig.)			85,000
	(Being balance in capital reduction A/c transferred to capital reserve A/c)			

Balance Sheet (And reduced) of X Ltd. as at 31st March, 20X1

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	18,60,000
	(b)	Reserves and Surplus	2	85,000
2		**Current liabilities**		
	(a)	Short-term borrowings: Bank overdraft		6,00,000
	(b)	Trade Payables		3,00,000
		Total		**28,45,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i Property, plant and Equipment	3	28,20,000
2		**Current assets**		
	(a)	Cash and Cash equivalents (30,000 – 5,000)		25,000
		Total		**28,45,000**

Notes to accounts

S. No.	Particulars	₹
1.	**Share Capital**	
	24,000 equity shares of ₹ 40 each fully paid up	9,60,000
	12,000, 10% Preference shares of ₹ 75 each fully paid up	9,00,000
		18,60,000
2.	**Reserves and Surplus**	
	Capital Reserve	**85,000**
3.	**Property, plant and Equipment**	
	Land and Building	15,60,000
	Plant and Machinery	12,60,000
		28,20,000

Question 8

The Balance Sheet of A & Co. Ltd. as at 31-3-20X2 is as follows:

		Particulars	Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	A	Share capital	1	11,50,000
	B	Reserves and Surplus	2	(5,35,000)
2		**Non-current liabilities**		
	A	Long-term borrowings	3	3,75,000

3		**Current liabilities**		
	A	Trade Payables		3,00,000
	B	Short term borrowings - Bank Overdraft		1,95,000
	C	Other current liabilities	4	1,22,500
		Total		**16,07,500**
		Assets		
1		**Non-current assets**		
	A	Property, plant and equipment	5	4,75,000
	B	Intangible assets	6	1,67,500
	C	Non-current investments	7	55,000
2		**Current assets**		
	A	Inventories		4,25,000
	B	Trade receivables		4,85,000
		Total		**16,07,500**

Notes to accounts

		₹
1	**Share Capital**	
	Equity share capital:	
	75,000 Equity Shares of ₹ 10 each	7,50,000
	Preference share capital:	
	4,000 6% Cumulative Preference Shares of ₹ 100 each	4,00,000
		11,50,000
2	**Reserves and Surplus**	
	Debit balance of Profit and loss Account	(5,35,000)
		(5,35,000)
3	**Long-term borrowings**	
	Secured:	
	6% Debentures (secured on the freehold property)	3,75,000
		3,75,000
4	**Other current liabilities**	
	Loan from directors	1,00,000
	Interest payable on 6% debentures	22,500
		1,22,500
5	**Property plant and Equipment**	
	Freehold property	4,25,000
	Plant	50,000
		4,75,000
6	**Intangible assets**	
	Goodwill	1,30,000
	Patents	37,500

		1,67,500
7	**Non-current investments**	
	Investments at cost	55,000
		55,000

The Court approved a Scheme of re-organization to take effect on 1-4-20X2, whereby:

(i) The Preference shares to be written down to ₹ 75 each and Equity Shares to ₹ 2 each.

(ii) Of the Preference Share dividends which are in arrears for four years, three fourths to be waived and Equity Shares of ₹ 2 each to be allotted for the remaining quarter.

(iii) Interest payable on debentures to be paid in cash.

(iv) Debenture-holders agreed to take over freehold property, book value ₹ 1,00,000 at a valuation of ₹ 1,20,000 in part repayment of their holdings and to provide additional cash of ₹ 1,30,000 secured by a floating charge on company's assets at an interest rate of 8% p.a.

(v) Patents and Goodwill to be written off.

(vi) Inventory to be written off by ₹ 65,000.

(vii) Amount of ₹ 68,500 to be provided for bad debts.

(viii) Remaining freehold property after giving to debenture holders, to be re- valued at ₹ 3,87,500.

(ix) Investments be sold for ₹ 1,40,000.

(x) Directors to accept settlement of their loans as to 90% thereof by allotment of equity shares of ₹ 2 each and as to 5% in cash, and balance 5% being waived.

(xi) There were capital commitments totaling ₹ 2,50,000. These contracts are to be cancelled on payment of 5% of the contract price as a penalty.

(xii) Ignore taxation and cost of the scheme.

You are requested to show Journal entries reflecting the above transactions (including cash transactions) and prepare the Balance Sheet of the company after completion of the Scheme.

Answer

Journal of A & Co. Ltd.

Date	Particulars		Debit (₹)	Credit (₹)
20X2	Equity Share Capital A/c (₹ 10)	Dr.	7,50,000	
April 1	To Capital Reduction A/c			6,00,000
	To Equity Share Capital A/c (₹ 2)			1,50,000
	(Reduction of equity shares of ₹ 10 each to shares of ₹ 2 each as per Reconstruction Scheme dated...)			
	6% Cum. Preference Share Capital A/c (₹ 100)	Dr.	4,00,000	
	To Capital Reduction A/c			1,00,000
	To Pref. Share Capital A/c (₹ 75)			3,00,000
	(Reduction of preference shares of ₹ 100 each to shares of ₹ 75 each as per reconstruction scheme)			
	Capital Reduction Account	Dr.	24,000	
	To Equity Share Capital Account			24,000

	(Arrears of preference dividends satisfied by the issue of equity shares, 25% of the amount due, ₹ 96,000)		
	Freehold Property A/c Dr.	82,500	
	To Capital Reduction A/c		82,500
	(Appreciation in the value of property: Book value Revalued Figure ₹ 1,00,000 ₹ 1,20,000 ₹ 3,25,000 ₹ 3,87,500 Total ₹ 4,25,000 ₹ 5,07,500 Profit on revaluation: ₹ 82,500)		
	6% Debentures A/c Dr.	1,20,000	
	To Freehold Property A/c		1,20,000
	(Claims of debenture-holders, in respect of principal discharged by transfer of freehold property vide Scheme of Reconstruction)		
	Interest payable A/c Dr.	22,500	
	To Bank A/c		22,500
	(Debenture interest paid)		
	Bank A/c Dr.	1,30,000	
	To 8% Debentures A/c		1,30,000
	(8% Debentures issued for cash)		
	Bank A/c Dr.	1,40,000	
	To Investment A/c		55,000
	To Capital Reduction A/c		85,000
	(Sale of Investment for ₹ 1,40,000 cost being ₹ 55,000; profit credited to Capital Reduction Account)		
	Directors' Loan A/c Dr.	1,00,000	
	To Equity Share Capital A/c		90,000
	To Bank A/c		5,000
	To Capital Reduction A/c		5,000
	(Directors' loan discharged by issue of equity shares of ₹ 90,000, cash payments of ₹ 5,000 and surrender of ₹ 5,000, vide Scheme)		
	Capital Reduction A/c Dr.	8,48,500	
	To Patents		37,500
	To Goodwill		1,30,000
	To Inventory		65,000
	To Provision for Doubtful Debts		68,500
	To Bank		12,500
	To Profit & Loss Account		5,35,000
	(Writing off patents, goodwill, profit and loss account and reducing the value of stock, making the required provision for doubtful debts and payment for cancellation of capital commitments)		

Note: Penalty charges for cancellation of the contract amounts to ₹ 12,500 (2,50,000 x 5%) being paid in cash.

Balance Sheet of A & Co. Ltd. (And Reduced) as at 1st April, 20X2

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	5,64,000
2		**Non-current liabilities**		
	(a)	Long term borrowings	2	3,85,000
3		**Current liabilities**		
	(a)	Trade Payables		3,00,000
		Total		**12,49,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i Property, plant and Equipment	3	4,37,500
		ii Intangible assets	4	–
2		**Current assets**		
	(a)	Inventories		3,60,000
	(b)	Trade receivables	5	4,16,500
	(c)	Cash and Cash equivalents		35,000
		Total		**12,49,000**

Notes to accounts

S. No.	Particulars	₹	₹
1	**Share Capital**		
	Equity share capital		
	1,32,000 Equity shares of ₹ 2 each		2,64,000
	(57,000 shares issued for consideration other than cash)		
	Preference share capital		
	4,000 6% Preference shares of ₹ 75 each		3,00,000
			5,64,000
2	**Long-term borrowings**		
	Secured:		
	6% Debentures		2,55,000
	8% Debentures		1,30,000
			3,85,000
3	**Property, plant and equipment**		
	Freehold property	4,25,000	
	Add: Appreciation under scheme of Reconstruction	82,500	
	Less: Disposed of	(1,20,000)	3,87,500
	Plant		50,000
			4,37,500

4	**Intangible assets**		
	Goodwill	1,30,000	
	Less: Written off under scheme of Reconstruction	(1,30,000)	NIL
	Patents	37,500	
	Less: Written off under scheme of Reconstruction	(37,500)	NIL
			NIL
5	**Trade Receivables**		4,85,000
	Less: Provision for doubtful debts		68,500
			4,16,500

Question 9

The following information of Rocky Ltd. as at March 31, 20X1:

	₹ in lacs
Fully paid equity shares of ₹ 10 each	500
Capital Reserve	6
12% Debentures	400
Debenture Interest Outstanding	48
Trade payables	165
Directors' Remuneration Outstanding	10
Other Outstanding Expenses	11
Provisions	33
Assets	
Goodwill	15
Land and Building	184
Plant and Machinery	286
Furniture and Fixtures	41
Inventory	142
Trade receivables	80
Cash at Bank	27
Discount on Issue of Debentures	8
Profits and Loss Account	390

The following scheme of internal reconstruction was framed, approved by the Tribunal all the concerned parties and implemented:

(i) All the equity shares be converted into the same number of fully-paid equity shares of ₹ 2.50 each.

(ii) Directors agree to forego their outstanding remuneration.

(iii) The debenture holders also agree to forego outstanding interest in return of their 12% debentures being converted into 13% debentures.

(iv) The existing shareholders agree to subscribe for cash, fully paid equity shares of ₹ 2.50 each for ₹ 125 lacs.

(v) Trade payables are given the option of either to accept fully-paid equity shares of ₹ 2.50 each for the amount due to them or to accept 80% of the amount due in cash. Trade payables for ₹ 65 lacs accept equity shares whereas those for ₹ 100 lacs accept ₹ 80 lacs in cash in full settlement.

(vi) The Assets are revalued as under:

	₹ in lacs
Land and building	230
Plant and Machinery	220
Inventory	120
Trade receivables	76

Pass Journal Entries for all the above mentioned transactions immediately after the reconstruction.

Answer

Journal Entries **₹ in lacs**

Particulars		Debit	Credit
Equity Share Capital (₹ 10 each) A/c	Dr.	500	
To Equity Share Capital (₹ 2.50 each) A/c			125
To Reconstruction A/c			375
(Conversion of all the equity shares into the same number of fully paid equity shares of ₹ 2.50 each as per scheme of reconstruction)			
Director's Remuneration Outstanding A/c	Dr.	10	
To Reconstruction A/c			10
(Outstanding remuneration foregone by directors as per scheme of reconstruction)			
12% Debentures A/c	Dr.	400	
Debenture Interest Outstanding A/c	Dr.	48	
To 13% Debentures A/c			400
To Reconstruction A/c			48
(Conversion of 12% debentures into 13% debentures, Debenture holders forgoing outstanding debenture interest)			
Bank A/c	Dr.	125	
To Equity Share Application A/c			125
(Application money received for fully paid equity shares of ₹ 2.5 each from existing shareholders)			
Equity Share Application A/c	Dr.	125	
To Equity Share Capital (₹ 2.50 each) A/c			125
(Application money transferred to share capital)			
Trade payables A/c	Dr.	165	
To Equity Share Capital (₹ 2.50 each) A/c			65
To Bank A/c			80
To Reconstruction A/c			20
(Trade payables for ₹ 65 lakhs accepting shares for full amount and those for ₹ 100 lakhs accepting cash equal to 80% of claim in full settlement)			

Capital Reserve A/c	Dr.	6	
To Reconstruction A/c			6
(Being the loss on reconstruction (balance in the Reconstruction A/c) transferred to Capital Reserve)			
Land and Building A/c	Dr.	46	
To Reconstruction A/c			46
(Appreciation made in value of land and building as per scheme of reconstruction)			
Reconstruction A/c	Dr.	505	
To Goodwill A/c			15
To Plant and Machinery A/c			66
To Inventory A/c			22
To Trade receivables A/c			4
To Discount on issue of Debentures A/c			8
To Profit and Loss A/c			390
(Writing off losses and reduction in values of assets as per scheme of reconstruction)			

Note: In a scheme of Reconstruction, Goodwill, Losses etc should be written off against the Reconstruction Account whether or not it is mentioned in the question.

Question 10

The following is the Balance Sheet of Purple Limited as at 31st March, 20X1:

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	15,00,000
	(b)	Reserves and Surplus	2	(3,00,000)
2		**Current liabilities**		
	(a)	Short-term borrowings - Bank Overdraft		2,00,000
	(b)	Trade Payables		2,20,000
		Total		**16,20,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i Property, plant and Equipment	3	10,20,000
		ii Intangible Asset	4	1,20,600
2		**Current assets**		
	(a)	Inventories		1,70,000
	(b)	Trade receivables		3,01,800
	(c)	Cash and Cash equivalents		7,600
		Total		**16,20,000**

Notes to Accounts

S. No.	Particulars	₹	₹
1	**Share Capital**		
	90,000 Equity Shares of ₹ 10 each fully paid	9,00,000	
	6% Preference Share Capital	6,00,000	**15,00,000**
2	**Reserves & Surplus**		
	Profit & Loss account		**(3,00,000)**
3	**Property, Plant and Equipment**		
	Land and Building	5,40,000	
	Plant and Machinery	4,80,000	**10,20,000**
4	**Intangible Assets**		
	Goodwill	84,600	
	Patents	36,000	**1,20,600**

Dividends on preference shares are in arrears for 3 years.

On the above date, the company adopted the following scheme of reconstruction:

(i) The preference shares are converted from 6% to 8% but revalued in a manner in which the total return on them remains unaffected.

(ii) The value of equity shares is brought down to ₹ 8 per share.

(iii) The arrears of dividend on preference shares are cancelled.

(iv) The debit balance of Goodwill account is written off entirely.

(v) Land & Building and Plant & Machinery are revalued at 85% and 80% of their respective book values.

(vi) Book debts amounting to ₹ 14,400 are to be treated as bad and hence to be written off.

(vii) The company expects to earn a profit at the rate of ₹ 90,000 per annum from the current year which would be utilized entirely for reducing the debit balance of Profit and loss accounts for 3 years. The remaining balance of the said account would be written off at the time of capital reduction process.

(viii) The balance of total capital reduction is to be utilized in writing down Patents.

(ix) A secured loan of ₹ 4,80,000 bearing interest at 12% per annum is to be obtained by mortgaging tangible fixed assets for repayment of bank overdraft and for providing additional funds for working capital.

You are required to give journal entries incorporating the above scheme of reconstruction, capital reduction account and prepare the reconstructed Balance Sheet.

Answer

Journal Entries In the books of Purple Ltd.

S. No.	Particulars		Debit (₹)	Credit (₹)
1	6% Preference share capital A/c	Dr.	6,00,000	
	To 8% Preference share capital A/c			4,50,000
	To Capital reduction A/c			1,50,000
	(Being 6% preference shares converted to 8% preference shares so that return to pref. shareholders remains unaffected)			

2	Equity share capital A/c (₹ 10)	Dr.	9,00,000	
	To Equity share capital A/c (₹ 8)			7,20,000
	To Capital reduction A/c			1,80,000
	(Being equity capital reduced to nominal value of ₹ 8 each)			
3	Capital Reduction A/c	Dr.	3,30,000	
	To Goodwill A/c			84,600
	To Land and Building A/c			81,000
	To Plant and Machinery, A/c			96,000
	To Trade Receivables A/c (Book debts)			14,400
	To Patents A/c (Bal. fig.)			24,000
	To Profit and loss A/c			30,000
	(Being losses and assets written off to the extent required)			
4	Bank A/c	Dr.	4,80,000	
	To Bank Loan A/c			4,80,000
	(Being Loan taken)			
5	Bank overdraft A/c	Dr.	2,00,000	
	To Bank A/c			2,00,000
	(Being Bank overdraft repaid)			

Capital Reduction Account

Particulars	Amount	Particulars	Amount
To Goodwill A/c	84,600	By Equity Share Capital A/c	1,80,000
To Land & Building A/c	81,000	By 6% Preference Sh. Capital A/c	1,50,000
To Plant and Machinery, A/c	96,000		
To Trade receivables (Book Debts) A/c	14,400		
To Profit & Loss A/c	30,000		
To Patents A/c (Bal. fig.)	24,000		
	3,30,000		**3,30,000**

Balance Sheet of Purple Ltd. (and reduced) as at 31.3.20X1

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	11,70,000
	(b)	Reserves and Surplus	2	(2,70,000)
2		**Current liabilities**		
	(a)	Short-term borrowings - Bank Overdraft		4,80,000
	(b)	Trade Payables		2,20,000
		Total		**16,00,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		

		i Property, plant and Equipment	3	8,43,000
		ii Intangible Asset	4	12,000
2		**Current assets**		
	(a)	Inventories		1,70,000
	(b)	Trade receivables	5	2,87,400
	(c)	Cash and Cash equivalents		2,87,600
		Total		**16,00,000**

Notes to Accounts:

S. No.	Particulars	₹	₹
1.	**Share Capital**		
	Authorized		
	Issued, subscribed and paid up:		
	90,000 equity shares of ₹ 8 each fully paid	7,20,000	
	8% Preference share capital*	4,50,000	**11,70,000**
2.	**Reserves and Surplus**		
	Profit and Loss Account (Dr. balance)		**(2,70,000)**
3.	**Property plant and equipment**		
	Land and Building	4,59,000	
	Plant and Machinery	3,84,000	**8,43,000**
4.	**Intangible assets**		
	Patent ₹ (36,000 – 24,000)		**12,000**
5.	**Trade Receivables**		
	Sundry Debtors	3,01,800	
	Less: Bad debts	(14,400)	**2,87,400**

Note: *Face value of preference share is not given in the question (pre and post reconstruction) and hence any suitable value of preference share may be assumed.

Working Notes:

1. Calculation of new Preference Shares

Rate of return	:	6% on Preference Shares
Dividend	:	(6/100) x ₹ 6,00,000 = ₹ 36,000
Rate of return	:	8% on Preference Shares
Dividend	:	(8/100) x X = ₹ 36,000
	:	X = (36,000/8) x 100 = ₹ 4,50,000
New Preference Share Capital	=	₹ 4,50,000
Old Preference Share Capital	=	₹ 6,00,000
(6,00,000 – 4,50,000)	=	₹ 1,50,000 Amount taken to Capital Reduction A/c.

2. Since the company expects to earn a profit of ₹ 90,000 p.a. consecutively for three years and it shall be used to write-off debit balance of P&L account, hence ₹ 2,70,000 being loss shall be shown in the Balance Sheet under Reserve & Surplus head and ₹ 30,000 shall be written-off from Capital Reduction A/c.

3. Calculation of Amount written off on Land & Building and Plant & Machinery

Land & Building	=	(85/100) x 5,40,000 = ₹ 4,59,000
Plant & Machinery	=	(80/100) x 4,80,000 = ₹ 3,84,000
Reduced by:		
Land & Building	=	(5,40,000 – 4,59,000) = ₹ 81,000
Plant & Machinery	=	(4,80,000 – 3,84,000) = ₹ 96,000

Question 11

Given below is the Balance sheet of Rebuilt Ltd. as at 31.3.20X1:

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	13,50,000
	(b)	Reserves and Surplus	2	(4,51,000)
2		**Non-current liabilities**		
	(a)	Long term borrowings (Loan)	3	5,73,000
3		**Current liabilities**		
	(b)	Trade Payables		2,07,000
	(c)	Other Current Liabilities		35,000
		Total		**17,14,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i Property, plant and Equipment	4	6,68,000
		ii Intangible asset	5	3,18,000
2		**Current assets**		
	(a)	Inventories		4,00,000
	(b)	Trade receivables		3,28,000
		Total		**17,14,000**

Notes to accounts

		₹
1	**Share Capital**	
	15,000 Equity Shares of ₹ 50 each	7,50,000
	12,000, 7% Cumulative Preference Shares of ₹ 50 each	6,00,000
	(Preference dividend is in arrears for five years)	
		13,50,000
2	**Reserves and Surplus**	
	Debit balance of Profit and loss Account	(4,51,000)

		(4,51,000)
3	**Long-term borrowings**	
	Loan	5,73,000
		5,73,000
4	**Property, plant and Equipment**	
	Building at cost less depreciation	4,00,000
	Plant at cost less depreciation	2,68,000
		6,68,000
5	**Intangible assets**	
	Trademarks and Goodwill at cost	3,18,000
		3,18,000

The Company is not earning profits, short of working capital and a scheme of reconstruction has been approved by both the classes of shareholders. A summary of the scheme is as follows:

(a) The equity shareholders have agreed that their ₹ 50 shares should be reduced to ₹ 2.50 by cancellation of ₹ 47.50 per share. They have also agreed to subscribe for three new equity shares of ₹ 2.50 each for each equity share held.

(b) The preference shareholders have agreed to cancel the arrears of dividends and to accept for each ₹ 50 share, 4 new 5% preference shares of ₹ 10 each, plus 6 new equity shares of ₹ 2.50 each, all credited as fully paid.

(c) Lenders to company for ₹ 1,50,000 have agreed to convert their loan into share and for this purpose they will be allotted 12,000 new preference shares of ₹ 10 each and 12,000 new equity shares of ₹ 2.50 each.

(d) The directors have agreed to subscribe in cash for 40,000, new equity shares of ₹ 2.50 each in addition to any shares to be subscribed by them under (a) above.

(e) Of the cash received by issue of new shares, ₹ 2,00,000 is to be used to reduce the loan due by company.

(f) The equity share capital cancelled is to be applied:

i. to write off the debit balance in the profit and loss A/c; and

ii. to write off ₹ 35,000 from the value of plant.

Any balance remaining is to be used to write down the value of trademarks and goodwill.

Show by journal entries how the financial books are affected by the scheme and prepare the balance sheet of the company after reconstruction. The nominal capital as reduced is to be increased to ₹ 6,50,000 for preference share capital and ₹ 7,50,000 for equity share capital.

Answer

In the books of Rebuilt Ltd.

Journal Entries

S. No.	Particulars		Debit (₹)	Credit (₹)
1	Equity shares capital A/c (₹ 50)	Dr.	7,50,000	
	To Equity share capital A/c (₹ 2.50)			37,500
	To Capital reduction A/c			7,12,500
	(Being equity capital reduced to nominal value of ₹ 2.50 each)			

2	Bank A/c Dr.	1,12,500	
	To Equity share capital		1,12,500
	(Being 3 right shares against each share was issued and subscribed)		
3	7% Preference share capital A/c (₹ 50) Dr.	6,00,000	
	Capital reduction A/c Dr.	60,000	
	To 5% Preference share capital (₹ 10)		4,80,000
	To equity share capital (₹ 2.5)		1,80,000
	(Being 7% preference shares of ₹ 50 each converted to 5% preference shares of ₹ 10 each and also given to them 6 equity shares for every share held)		
4	Loan A/c Dr.	1,50,000	
	To 5% Preference share capital A/c		1,20,000
	To Equity share capital A/c		30,000
	(Being loan to the extent of ₹ 1,50,000 converted into share capital)		
5	Bank A/c Dr.	1,00,000	
	To Equity share application money A/c		1,00,000
	(Being shares subscribed by the directors)		
6	Equity shares application money A/c Dr.	1,00,000	
	To Equity share capital A/c		1,00,000
	(Being application money transferred to capital A/c)		
7	Loan A/c Dr.	2,00,000	
	To Bank A/c		2,00,000
	(Being loan repaid)		
8	Capital reduction A/c Dr.	6,52,500	
	To Profit and loss A/c		4,51,000
	To Plant A/c		35,000
	To Trademarks and Goodwill, A/c (Bal. fig.)		1,66,500
	(Being losses and assets written off to the extent required)		

Balance sheet of Rebuilt Ltd. (and reduced) as at 31.3.20X1

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	10,60,000
2		**Non-current liabilities**		
	(a)	Long term borrowings		2,23,000
3		**Current liabilities**		
	(a)	Trade Payables		2,07,000
	(b)	Other current liabilities		35,000
		Total		**15,25,000**
		Assets		

1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i Property, plant and Equipment	2	6,33,000
		ii Intangible assets	3	1,51,500
2		**Current assets**		
	(a)	Inventories		4,00,000
	(b)	Trade receivables	4	3,28,000
	(c)	Cash and Cash equivalents		12,500
		Total		**15,25,000**

Notes to accounts

S. No.	Particulars	₹
1.	**Share Capital**	
	Authorized capital:	
	65,000 Preference shares of ₹ 10 each	6,50,000
	3,00,000 Equity shares of ₹ 2.50 each	7,50,000
		14,00,000
	Issued, subscribed and paid up:	
	1,84,000 equity shares of ₹ 2.5 each	4,60,000
	60,000, 5% Preference shares of ₹ 10 each	6,00,000
		10,60,000
2.	**Property plant and equipment**	
	Building at cost less depreciation	4,00,000
	Plant at cost less depreciation	2,33,000
		6,33,000
3.	**Intangible assets**	
	Trademarks and goodwill	**1,51,500**
4.	**Cash and cash equivalents**	
	Bank (1,12,500+1,00,000-2,00,000)	**12,500**

Question 12

Vaibhav Ltd. gives the following ledger balances as at 31st March 20X1:

	₹
Property, Plant and Equipment	2,50,00,000
Investments (Market value ₹ 19,00,000)	20,00,000
Current Assets	2,00,00,000
P&L A/c (Dr. balance)	12,00,000
Share Capital: Equity Shares of ₹ 100 each	2,00,00,000
6%, Cumulative Preference Shares of ₹ 100 each	1,00,00,000
5% Debentures of ₹ 100 each	80,00,000

Creditors	1,00,00,000
Provision for taxation	2,00,000

The following scheme of Internal Reconstruction is sanctioned:

(i) All the existing equity shares are reduced to ₹ 40 each.

(ii) All preference shares are reduced to ₹ 60 each.

(iii) The rate of Interest on Debentures increased to 6%. The Debenture holders surrender their existing debentures of ₹ 100 each and exchange the same for fresh debentures of ₹ 70 each for every debenture held by them.

(iv) Property, Plant and Equipment is to be written down by 20%.

(v) Current assets are to be revalued at ₹ 90,00,000.

(vi) Investments are to be brought to their market value.

(vii) One of the creditors of the company to whom the company owes ₹ 40,00,000 decides to forgo 40% of his claim. The creditor is allotted with 60000 equity shares of ₹ 40 each in full and final settlement of his claim.

(viii) The taxation liability is to be settled at ₹ 3,00,000.

(ix) It is decided to write off the debit balance of Profit & Loss A/c.

Pass journal entries and show the Balance Sheet of the company after giving effect to the above.

Answer

Journal Entries in the books of Vaibhav Ltd.

S. No.	Particulars		Debit (₹)	Credit (₹)
1	Equity share capital (₹ 100) A/c	Dr.	2,00,00,000	
	To Equity Share Capital (₹ 40) A/c			80,00,000
	To Capital Reduction A/c			1,20,00,000
	(Being conversion of equity share capital of ₹ 100 each into ₹40 each as per reconstruction scheme)			
2	6% Cumulative Preference Share Capital (₹ 100) A/c	Dr.	1,00,00,000	
	To 6% Cumulative Preference Share Capital (₹ 60) A/c			60,00,000
	To Capital Reduction A/c			40,00,000
	(Being conversion of 6% cumulative preference shares capital of ₹ 100 each into ₹ 60 each as per reconstruction scheme)			
3	5% Debentures (₹ 100) A/c	Dr.	80,00,000	
	To 6% Debentures (₹ 70) A/c			56,00,000
	To Capital Reduction A/c			24,00,000
	(Being 6% debentures of ₹ 70 each issued to existing 5% debenture holders. The balance transferred to capital reduction account as per reconstruction scheme)			
4	Sundry Creditors A/c	Dr.	40,00,000	
	To Equity Share Capital (₹ 40) A/c			24,00,000
	To Capital Reduction A/c			16,00,000

	(Being a creditor of ₹ 40,00,000 agreed to surrender his claim by 40% and was allotted 60,000 equity shares of ₹ 40 each in full settlement of his dues as per reconstruction scheme)			
5	Provision for Taxation A/c	Dr.	2,00,000	
	Capital Reduction A/c	Dr.	1,00,000	
	To Liability for Taxation A/c			3,00,000
	(Being conversion of the provision for taxation into liability for taxation for settlement of the amount due)			
6	Liability for Taxation A/c .	Dr.	3,00,000	
	To Current Assets (Bank A/c)			3,00,000
	(Being the payment of tax liability)			
7	Capital Reduction A/c.	Dr.	199,00,000	
	To P&L A/c			12,00,000
	To Property, Plant and Equipment A/c			50,00,000
	To Current Assets A/c			110,00,000
	To Investments A/c			1,00,000
	To Capital Reserve A/c (Bal. fig.)			26,00,000
	(Being amount of Capital Reduction utilized in writing off P&L A/c (Dr.) Balance, PPE, Current Assets, Investments and the Balance transferred to Capital Reserve)			

Balance Sheet of Vaibhav Ltd. (and reduced) as at 31st March, 20X1

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	164,00,000
	(b)	Reserves and Surplus	2	26,00,000
2		**Non-current liabilities**		
	(a)	Long term borrowings	3	56,00,000
3		**Current liabilities**		
	(a)	Trade Payables (1,00,00,000 less 40,00,000)		60,00,000
		Total		**3,06,00,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i Property, plant and Equipment	4	2,00,00,000
	(b)	Non-current investment	5	19,00,000
2		**Current assets**	6	87,00,000
		Total		**3,06,00,000**

Notes to accounts

S. No.	Particulars	₹

1.	**Share Capital**	
	2,60,000 equity shares of ₹ 40 each	1,04,00,000
	(60,000 shares issued for consideration other than cash)	
	1,00,000 6% Cumulative Preference shares of ₹ 60 each	60,00,000
		1,64,00,000
2.	**Reserves and Surplus**	
	Capital Reserve	**26,00,000**
3.	**Long-term borrowings**	
	Secured	
	6% Debentures	**56,00,000**
4.	**Property, Plant and Equipment**	
	Carrying value	2,50,00,000
	Adjustment under scheme of reconstruction	(50,00,000)
		2,00,00,000
5.	**Investments**	20,00,000
	Adjustment under scheme of reconstruction	(1,00,000)
		19,00,000
6.	**Current assets**	2,00,00,000
	Adjustment under scheme of reconstruction	(1,10,00,000)
		90,00,000
	Taxation liability paid	(3,00,000)
		87,00,000

Working Note: **Capital Reduction Account**

Particulars	Amount	Particulars	Amount
To Liability for taxation A/c	1,00,000	By Equity share capital	1,20,00,000
To P&L A/c	12,00,000	By 6% preferences Share capital	40,00,000
To Property, plant and equipment	50,00,000	By 5% Debentures	24,00,000
To Current assets	1,10,00,000	By Sundry creditors	16,00,000
To Investment	1,00,000		
To Capital Reserve (Bal. fig.)	26,00,000		
	2,00,00,000		**2,00,00,000**

Question 13

The following is the Balance Sheet of Weak Ltd. as at 31.3.20X1:

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	1,50,00,000
	(b)	Reserves and Surplus	2	(6,00,000)

2		**Non-current liabilities**		
	(a)	Long term borrowings	3	40,00,000
3		**Current liabilities**		
	(a)	Trade Payables		50,00,000
	(b)	Short term provisions	4	1,00,000
		Total		**2,35,00,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i Property, plant and Equipment		1,25,00,000
	(b)	Non-current investment	5	10,00,000
2		**Current assets**		1,00,00,000
		Total		**2,35,00,000**

Notes to accounts

		₹
1	**Share Capital**	
	Equity share capital	
	1,00,000 Equity Shares of ₹ 100 each	1,00,00,000
	50,000, 12% Cumulative Preference shares of ₹ 100 each	50,00,000
		1,50,00,000
2	**Reserves and Surplus**	
	Debit balance of Profit and loss Account	**(6,00,000)**
3	**Long-term borrowings**	
	40,000, 10% debentures of ₹100 each	**40,00,000**
4	**Short term provisions**	
	Provision for taxation	**1,00,000**
5	**Non-current investments**	
	Investments (market value of ₹ 9,50,000)	**10,00,000**

The following scheme of reorganization is sanctioned:

(i) All the existing equity shares are reduced to ₹ 40 each.

(ii) All preference shares are reduced to ₹ 60 each.

(iii) The rate of interest on debentures is increased to 12%. The debenture holders surrender their existing debentures of ₹ 100 each and exchange the same for fresh debentures of ₹ 70 each for every debenture held by them.

(iv) One of the creditors of the company to whom the company owes ₹ 20,00,000 decides to forgo 40% of his claim. He is allotted 30,000 equity shares of ₹ 40 each in full satisfaction of his claim.

(v) Property, plant and equipment are to be written down by 30%.

(vi) Current assets are to be revalued at ₹ 45,00,000.

(vii) The taxation liability of the company is settled at ₹ 1,50,000.

(viii) Investments to be brought to their market value.

(ix) It is decided to write off the debit balance of Profit and Loss account.

Pass Journal entries and show the Balance sheet of the company after giving effect to the above.

Answer

Journal Entries in the books of Weak Ltd.

S. No.	Particulars		Debit (₹)	Credit (₹)
1	Equity share capital (₹ 100) A/c	Dr.	1,00,00,000	
	To Equity Share Capital (₹ 40) A/c			40,00,000
	To Capital Reduction A/c			60,00,000
	(Being conversion of equity share capital of ₹ 100 each into ₹ 40 each as per reconstruction scheme)			
2	12% Cumulative Preference Share Capital (₹ 100) A/c	Dr.	50,00,000	
	To 12% Cumulative Preference Share Capital (₹ 60) A/c			30,00,000
	To Capital Reduction A/c			20,00,000
	(Being conversion of 12% cumulative preference share capital of ₹ 100 each into ₹ 60 each as per reconstruction scheme)			
3	10% Debentures A/c	Dr.	40,00,000	
	To 12% Debentures A/c			28,00,000
	To Capital Reduction A/c			12,00,000
	(Being 12% debentures issued to 10% debenture-holders for 70% of their claims. The balance transferred to capital reduction account as per reconstruction scheme)			
4	Trade payables A/c	Dr.	20,00,000	
	To Equity Share Capital A/c			12,00,000
	To Capital Reduction A/c			8,00,000
	(Being a creditor of ₹ 20,00,000 agreed to surrender his claim by 40% and was allotted 30,000 equity shares of ₹ 40 each in full settlement of his dues as per reconstruction scheme)			
5	Provision for Taxation A/c	Dr.	1,00,000	
	Capital Reduction A/c	Dr.	50,000	
	To Current Assets (Bank) A/c			1,50,000
	(Being liability for taxation settled)			
6	Capital Reduction A/c	Dr.	99,00,000	
	To P&L A/c			6,00,000
	To Property, plant and equipment A/c			37,50,000
	To Current Assets A/c			55,00,000
	To Investments A/c			50,000
	(Being amount of Capital Reduction utilized in writing off P&L A/c (Dr.) Balance, Property, plant and equipment, Current Assets, Investments through capital reduction account)			

7	Capital Reduction A/c Dr. To Capital Reserve A/c (Being balance in capital reduction account transferred to capital reserve account)	50,000	 50,000

Balance Sheet of Weak Ltd. (and reduced) as at 31.3.20X1

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	82,00,000
	(b)	Reserves and Surplus	2	50,000
2		**Non-current liabilities**		
	(a)	Long term borrowings	3	28,00,000
3		**Current liabilities**		
	(a)	Trade Payables		30,00,000
		Total		**1,40,50,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i Property, plant and Equipment	4	87,50,000
	(b)	Non-current investment	5	9,50,000
2		**Current assets**	6	43,50,000
		Total		**1,40,50,000**

Notes to accounts

S. No.	Particulars	₹
1.	**Share Capital**	
	Issued, subscribed and paid up	
	1,30,000 equity shares of ₹ 40 each	52,00,000
	50,000 12% Cumulative Preference shares of ₹ 60 each	30,00,000
		82,00,000
2.	**Reserves and Surplus**	
	Capital Reserve	**50,000**
3.	**Long-term borrowings**	
	Secured: 12% Debentures	**28,00,000**
4.	**Property, plant and Equipment**	
	Total PPE	1,25,00,000
	Adjustment under scheme of reconstruction	(37,50,000)
		87,50,000
5.	**Investments**	10,00,000
	Adjustment under scheme of reconstruction	(50,000)
		9,50,000

6.	**Current assets**	45,00,000
	Adjustment under scheme of reconstruction	(1,50,000)
		43,50,000

Working Note:

Capital Reduction Account

Particulars	Amount	Particulars	Amount
To Current Asset	50,000	By Equity share capital	60,00,000
To P&L A/c	6,00,000	By 12% preference share capital	20,00,000
To Property, plant and equipment	37,50,000	By 10% Debentures	12,00,000
To Current assets	55,00,000	By Trade payables	8,00,000
To Investment	50,000		
To Capital Reserve (bal. fig.)	50,000		
	1,00,00,000		**1,00,00,000**

Question 14

The shareholders of Lili Ltd. decided on a corporate restructuring exercise necessitated because of economic recession. From the given summarised balance sheet as on 31-3-20X1 and the information supplied, you are required to prepare

(i) Journal entries reflecting the scheme of reconstruction

(ii) Capital reduction account

(iii) Cash account in the books of Lili Ltd.

Summarised Balance Sheet of Lili Ltd. as on 31.3.20X1

Liabilities		₹	Assets		₹
30,000 Equity shares of ₹ 10 each		3,00,000	Trademarks and Patents		1,10,000
40,000 8% Preference shares ₹ 10 each		4,00,000	Goodwill at cost		36,100
Securities Premium Account		10,000	Freehold Land		1,20,000
Profit and Loss Account		(1,38,400)	Freehold Premises		2,44,000
9% Debentures (₹ 100)	1,20,000		Plant and Equipment		3,20,000
Accrued Interest	5,400	1,25,400	Investment (marked to market)		64,000
Trade payables		1,20,000	Inventories:		
Tax payable		50,000	RM and packing materials	60,000	
Temporary bank overdraft		2,23,100	Finished goods	16,000	76,000
			Trade receivables		1,20,000
		10,90,100			**10,90,100**

Note: Preference dividends are in arrears for 4 years.

The scheme of reconstruction that received the permission of the Court was on the following lines:

(1) The authorized capital of the Company to be re-fixed at ₹ 10 lakhs (preference capital of ₹ 3 lakhs and equity capital of ₹ 7 lakhs). Both classes of shares are of ₹ 10 each.

(2) The preference shares are to be reduced to ₹ 5 each and equity shares reduced by ₹ 3 per share. Post reduction, both classes of shares to be re-consolidated into ₹ 10 shares.

(3) Trade Investments are to be liquidated in open market.

(4) One fresh equity share of ₹ 10 to be issued for every ₹ 40 of preference dividends in arrears (ignore taxation).

(5) Expenses for the scheme were ₹ 10,000.

(6) The debenture holders took over freehold land at ₹ 2,10,000 and settled the balance after adjusting their dues.

(7) Unprovided contingent liabilities were settled at ₹ 54,000 and a pending insurance claim receivable settled at ₹ 12,500.

(8) The intangible assets were all to be written off along with ₹ 10,000 worth obsolete packing material and 10% of the receivables.

(9) Remaining cash available as a result of the above transactions is to be utilized to pay off the bank overdraft to that extent.

(10) The Equity shareholders agree that they will bring in necessary cash to liquidate the balance outstanding on the overdraft account by subscribing the fresh shares. The equity shares will be issued at par for this purpose.

Answer

(i) **In the books of Lili Ltd.**

Journal Entries

S. No.	Particulars		Debit (₹)	Credit (₹)
1	Equity Share Capital A/c (₹ 10)	Dr.	3,00,000	
	To Capital Reduction A/c			90,000
	To Equity Share Capital A/c (₹ 7)			2,10,000
	(Being reduction of equity shares of ₹ 10 each to shares of ₹ 7 each as per Reconstruction Scheme dated...)			
2	8% Cum. Preference Share Capital A/c (₹ 10)	Dr.	4,00,000	
	To Capital Reduction A/c			2,00,000
	To Preference Share Capital A/c (₹ 5)			2,00,000
	(Being reduction of preference shares of ₹ 10 each to shares of ₹ 5 each as per reconstruction scheme)			
3	Equity Share Capital A/c (30,000 x ₹ 7)	Dr.	2,10,000	
	Preference Share Capital A/c (40,000 x ₹ 5)	Dr.	2,00,000	
	To Equity Share Capital A/c (21,000 x ₹ 10)			2,10,000
	To Preference Share Capital A/c (20,000x₹10)			2,00,000
	(Being post reduction, both classes of shares reconsolidated into ₹ 10 each)			
4	Cash Account	Dr.	64,000	
	To Trade Investments			64,000
	(Being trade investments liquidated in the open market)			

5	Capital Reduction Account Dr.	32,000	
	To Equity Share Capital Account		32,000
	(Being arrears of preference dividends of 4 years satisfied by the issue of 3,200 equity shares of ₹ 10 each)		
6	Capital Reduction Account Dr.	10,000	
	To Cash Account		10,000
	(Being expenses of reconstruction scheme paid in cash)		
7	9% Debentures Account Dr.	1,20,000	
	Accrued Interest Account Dr.		5,400
	To Debenture holders Account		1,25,400
	(Being amount due to debenture holders)		
8	Debenture holders Account Dr.	1,25,400	
	Cash Account (2,10,000 – 1,25,400) Dr.	84,600	
	To Freehold Land		1,20,000
	To Capital Reduction Account (2,10,000 – 1,20,000)		90,000
	(Being Debenture holders took over freehold land at ₹ 2,10,000 and settled the balance)		
9	Capital Reduction Account Dr.	54,000	
	To Cash Account		54,000
	(Being contingent liability of ₹ 54,000 paid)		
10	Cash Account Dr.	12,500	
	To Capital Reduction Account		12,500
	(Being pending insurance claim received)		
11	Capital Reduction Account Dr.	3,06,500	
	To Profit & Loss		1,38,400
	To Trademarks and Patents		1,10,000
	To Goodwill		36,100
	To Raw materials & Packing materials		10,000
	To Trade receivables		12,000
	(Being intangible assets written off along with raw materials and packing materials worth ₹ 10,000 and 10% of trade receivables)		
12	Cash Account Dr.	1,26,000	
	To Equity Share Capital Account		1,26,000
	(Being 12,600 shares issued to existing shareholders)		
13	Bank Overdraft Account Dr.	2,23,100	
	To Cash Account		2,23,100
	(Being cash balance utilized to pay off bank overdraft)		
14	Securities Premium Account Dr.	10,000	
	To Capital Reduction Account		10,000
	(Being amount transferred from securities premium to capital reduction account)		

(ii) **Capital Reduction Account**

Particulars	Amount	Particulars	Amount
To Equity share capital	32,000	By Preference share capital	2,00,000
To Cash (contingent liability settled)	54,000	By Equity share capital	90,000
To Trademarks and Patents	1,10,000	By Freehold land	90,000
To Goodwill	36,100	By Cash (insurance claim)	12,500
To Raw material and Packing materials	10,000	By Securities premium	10,000
To Trade receivables	12,000		
To Cash account	10,000		
To Profit & Loss	1,38,400		
	4,02,500		**4,02,500**

(iii) **Cash Account**

Particulars	Amount	Particulars		Amount
To Investment	64,000	By Capital reduction (Cont. liability)		54,000
To 9% Debenture holders	84,600	By Expenses		10,000
(2,10,000 – 1,25,400)		By Temporary bank overdraft		2,23,100
To Capital reduction (insurance claim)	12,500	From available cash	97,100	
To Equity share capital (12,600 shares @ ₹ 10 each)	1,26,000	(64,000 + 84,600 + 12,500 – 54,000 – 10,000)		
		From proceeds of equity (2,23,100 – 97,100)	1,26,000	
	2,87,100			**2,87,100**

Note: Shares issued to existing equity shareholders for bringing cash for payment of balance of bank overdraft = ₹ 2,23,100 – ₹ 97,100 = ₹ 1,26,000

Question 15

Following is the Balance Sheet of ABC Ltd. as at 31st March, 20X1:

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	26,00,000
	(b)	Reserves and Surplus	2	(4,05,000)
2		**Non-current liabilities**		
	(a)	Long term borrowings (Loan)	3	12,00,000
3		**Current liabilities**		
	(b)	Trade Payables		5,92,000
	(c)	Short term borrowings - Bank overdraft		1,50,000
		Total		**41,37,000**
		Assets		

1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i Property, plant and Equipment	4	11,50,000
		ii Intangible asset	5	70,000
	(b)	Non-current investment	6	68,000
2		**Current assets**		
	(a)	Inventories		14,00,000
	(b)	Trade receivables		14,39,000
	(c)	Cash and cash equivalents		10,000
		Total		**41,37,000**

Notes to accounts:

		₹
1	**Share Capital**	
	Equity share capital:	
	2,00,000 Equity Shares of ₹ 10 each	20,00,000
	6,000, 8% Preference shares of ₹ 100 each	6,00,000
		26,00,000
2	**Reserves and Surplus**	
	Debit balance of Profit and loss A/c	(4,05,000)
		(4,05,000)
3	**Long-term borrowings**	
	9% debentures	12,00,000
		12,00,000
4	**Property, Plant and Equipment**	
	Plant and machinery	9,00,000
	Furniture and fixtures	2,50,000
		11,50,000
5	**Intangible assets**	
	Patents and copyrights	70,000
		70,000
6	**Non-current investments**	
	Investments (market value of ₹ 55,000)	68,000
		68,000

The following scheme of reconstruction was finalized:

(i) Preference shareholders would give up 30% of their capital in exchange for allotment of 11% Debentures to them.

(ii) Debenture holders having charge on plant and machinery would accept plant and machinery in full settlement of their dues.

(iii) Inventory equal to ₹ 5,00,000 in book value will be taken over by trade payables in full settlement of their dues.

(iv) Investment value to be reduced to market price.

(v) The company would issue 11% Debentures for ₹ 3,00,000 and augment its working capital requirement after settlement of bank overdraft.

Pass necessary Journal Entries in the books of the company. Prepare Capital Reduction account and Balance Sheet of the company after internal reconstruction.

Answer

Journal Entries in the Books of ABC Ltd.

S. No.	Particulars		Debit (₹)	Credit (₹)
1	8% Preference share capital A/c	Dr.	6,00,000	
	To 11% Debentures A/c			4,20,000
	To Capital reduction A/c			1,80,000
	[Being 30% reduction in liability of preference share capital and issue of 11% debentures]			
2	9% Debentures A/c	Dr.	12,00,000	
	To Plant & machinery A/c			9,00,000
	To Capital reduction A/c			3,00,000
	[Settlement of debenture holders by allotment of plant & machinery]			
3	Trade payables A/c	Dr.	5,92,000	
	To Inventory A/c			5,00,000
	To Capital reduction A/c			92,000
	[Being settlement of creditors by giving Inventories]			
4	Bank A/c	Dr.	3,00,000	
	To 11% Debentures A/c			3,00,000
	[Being fresh issue of debentures]			
5	Bank overdraft A/c	Dr.	1,50,000	
	To Bank A/c			1,50,000
	[Being settlement of bank overdraft]			
6	Capital reduction A/c	Dr.	5,72,000	
	To Investment A/c			13,000
	To Profit and loss A/c			4,05,000
	To Capital reserve A/c			1,54,000
	[Being decrease in investment and profit and loss account (Dr. bal.); and balance of capital reduction account transferred to capital reserve]			

Capital Reduction Account

Particulars	Amount	Particulars	Amount
To Investments A/c	13,000	By Preference share capital A/c	1,80,000
To Profit and loss A/c	4,05,000	By 9% Debenture holder's A/c	3,00,000
To Capital reserve A/c	1,54,000	By Trade payables A/c	92,000
	5,72,000		**5,72,000**

Balance Sheet of ABC Ltd. (And reduced) as at 31st March 20X1

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	20,00,000
	(b)	Reserves and Surplus	2	1,54,000
2		**Non-current liabilities**		
	(a)	Long term borrowings (Loan)	3	7,20,000
3		**Current liabilities**		28,74,000
		Total		**20,00,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i Property, plant and Equipment	4	2,50,000
		ii Intangible asset	5	70,000
	(b)	Non-current investment	6	55,000
2		**Current assets**		
	(a)	Inventories (₹ 14,00,000 – ₹ 5,00,000)		9,00,000
	(b)	Trade receivables		14,39,000
	(c)	Cash and cash equivalents [Cash at Bank (W. N.)]		1,60,000
		Total		**28,74,000**

Notes to Accounts

S. No.	Particulars	₹	₹
1	**Share Capital**		
	2,00,000 Equity shares of ₹ 10 each fully paid-up		**20,00,000**
2	**Reserve and Surplus**		
	Capital Reserve		**1,54,000**
3.	**Long Term Borrowings**		
	11% Debentures (₹ 4,20,000 + ₹ 3,00,000)		**7,20,000**
4.	**Property, Plant and Equipment**		
	Plant & machinery	9,00,000	
	Less: Adjustment on scheme of reconstruction	9,00,000	–
	Furniture & fixtures		2,50,000
			2,50,000
5.	**Intangible assets**		
	Patents & copyrights		**70,000**
6.	**Non-Current Investments**		
	Investments (₹ 68,000 – ₹ 13,000)		**55,000**

Working Note:

Cash at bank = Opening balance + 11% Debentures issued – Bank overdraft paid

= ₹ 10,000 + ₹ 3,00,000 – ₹ 1,50,000 = ₹ 1,60,000

Question 16

Recover Ltd. decided to reorganize its capital structure owing to accumulated losses and adverse market condition. The Balance Sheet of the company as on 31st March 20X1 is as follows

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	3,50,000
	(b)	Reserves and Surplus	2	(70,000)
2		**Non-current liabilities**		
	(a)	Long term borrowings	3	50,000
3		**Current liabilities**		
	(a)	Short-term borrowings - Bank overdraft		90,000
	(b)	Trade Payables		80,000
	(c)	Other Current Liabilities (Interest payable on Debentures)		5,000
		Total		**5,05,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i Property, plant and Equipment	4	3,35,000
		ii Intangible Asset	5	50,000
	(b)	Non-current investment	6	40,000
2		**Current assets**		
	(a)	Inventories		30,000
	(b)	Trade receivables		50,000
		Total		**5,05,000**

Notes to accounts:

S. No.	Particulars	₹
1	**Share Capital**	
	20,000 Equity Shares of ₹ 10 each	2,00,000
	15,000 8% Cumulative Preference Shares of ₹ 10 each	1,50,000
	(preference dividend has been in arrears for 4 years)	
		3,50,000
2	**Reserves and surplus**	
	Profit and loss account (debit balance)	(70,000)
		(70,000)

3	**Long-term borrowings**	
	Secured	
	10% Debentures (secured on the freehold property)	50,000
		50,000
4	**Property, Plant and Equipment**	
	Freehold property	1,20,000
	Leasehold property	85,000
	Plant and machinery	1,30,000
		3,35,000
5	**Intangible assets**	
	Goodwill	50,000
		50,000
6	**Non-current investments**	
	Non-Trade investments at cost	40,000
		40,000

Subsequent to approval by court of a scheme for the reduction of capital, the following steps were taken:

i. The preference shares were reduced to ₹ 2.5 per share, and the equity shares to ₹ 1 per share.

ii. One new equity share of ₹ 1 was issued for the arrears of preferred dividend for past 4 years.

iii. The debenture holders took over the freehold property at an agreed figure of ₹ 75,000 and paid the balance to the company after deducting the amount due to them.

iv. Plant and Machinery was written down to ₹ 1,00,000.

v. Non-trade Investments were sold for ₹ 32,000.

vi. Goodwill and obsolete stock (included in the value of inventories) of ₹ 10,000 were written off.

vii. A contingent liability of which no provision had been made was settled at ₹ 7,000 and of this amount, ₹ 6,300 was recovered from the insurance.

You are required to show the Journal Entries, necessary to record the above transactions in the company's books and to prepare the Balance Sheet, after completion of the scheme.

Answer

Journal entries in the books of Recover Ltd.

S. No.	Particulars		Debit (₹)	Credit (₹)
1	8% Cumulative Preference share capital (₹ 10) A/c	Dr.	1,50,000	
	To 8% Cumulative Preference share capital (₹ 2.5) A/c			37,500
	To Reconstruction (₹ 7.5) A/c			1,12,500
	(Preference shares being reduced to shares of ₹ 2.5 per share and remaining transferred to reconstruction account as per internal reconstruction scheme)			
2	Equity share capital A/c (₹10)	Dr.	2,00,000	
	To Equity Share Capital A/c (₹ 1)			20,000
	To Reconstruction A/c (₹ 9)			1,80,000

	(Equity shares reduced to ₹ 1 per share with the remaining amount transferred to reconstruction account as a part of the internal reconstruction scheme)		
3	Reconstruction A/c Dr.	48,000	
	To Equity share capital A/c		48,000
	(Equity shares of ₹ 1 issued in lieu of the arrears of preference dividend for 4 years as a part of the internal reconstruction scheme)		
4	10% Debentures A/c Dr.	50,000	
	Interest payable on debentures A/c Dr.	5,000	
	Bank A/c Dr.	20,000	
	Reconstruction A/c Dr.	45,000	
	To Freehold property A/c		1,20,000
	(Debenture holders being paid by the sale of property, which is sold at a loss debited to the reconstruction account. Amount received in excess being refunded to company by debenture holders as a part of the internal reconstruction scheme)		
5	Reconstruction A/c Dr.	90,000	
	To Plant and Machinery Ac		30,000
	To Goodwill A/c		50,000
	To Inventory A/c		10,000
	(The assets written off as a part of the internal reconstruction scheme)		
6	Bank A/c Dr.	32,000	
	Reconstruction A/c Dr.	8,000	
	To Investments A/c		40,000
	(Investments sold at a loss debited to reconstruction account as a part of the internal reconstruction scheme)		
7	Contingent Liability A/c Dr.	7,000	
	To Bank A/c		7,000
	(Contingent liability paid as a part of internal reconstruction scheme)		
8	Bank A/c Dr.	6,300	
	Reconstruction A/c Dr.	700	
	To Contingent Liability A/c		7,000
	(The insurance company remitting part of the contingency payment amount)		
9	Reconstruction A/c Dr.	70,000	
	To Profit and loss A/c		70,000
	(Accumulated losses written off to reconstruction account as a part of the internal reconstruction scheme)		
10	Reconstruction A/c Dr.	30,800	
	To Capital reserve A/c		30,800
	(The balance in reconstruction account transferred to capital reserve as a part of the internal reconstruction scheme)		

Balance sheet of Recover Ltd. as at 31st March 20X1 (and reduced)

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	1,05,500
	(b)	Reserves and Surplus	2	30,800
2		**Non-current liabilities**		
	(a)	Long term borrowings		–
3		**Current liabilities**		
	(a)	Short-term borrowings - Bank overdraft		90,000
	(b)	Trade Payables		80,000
		Total		**3,06,300**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i Property, plant and Equipment	3	1,85,000
2		**Current assets**		
	(a)	Inventories		20,000
	(b)	Trade receivables		50,000
	(c)	Cash and cash equivalents	4	51,300
		Total		**3,06,300**

Notes to accounts:

S. No.	Particulars	₹
1	**Share Capital**	
	68,000 Equity Shares of ₹ 1 each	68,000
	15,000 8% Cumulative Preference Shares of ₹ 2.5 each	37,500
		1,05,500
2	**Reserves and surplus**	
	Capital reserve	**30,800**
3	**Property, Plant and Equipment**	
	Leasehold property	85,000
	Plant and machinery	1,00,000
		1,85,000
4	**Cash and cash equivalents**	
	Bank A/c (20,000 + 32,000 – 7000 + 6,300)	**51,300**

Question 17

Green Limited had decided to reconstruct the Balance Sheet since it has accumulated huge losses. The following is the Balance Sheet of the Company as at 31.3.20X1 before reconstruction:

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	65,00,000
	(b)	Reserves and Surplus	2	(20,00,000)
2		**Non-current liabilities**		
	(a)	Long term borrowings	3	15,00,000
3		**Current liabilities**		
	(a)	Trade Payables		5,00,000
		Total		**65,00,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i Property, plant and Equipment		45,00,000
		ii Intangible Asset		20,00,000
2		**Current assets**		Nil
		Total		**65,00,000**

Notes to accounts

S. No.	Particulars	₹
1	**Share Capital**	
	Equity share capital	
	Authorized share capital	
	1,50,000 Equity shares of ₹ 50 each	**75,00,000**
	Issued, subscribed and paid-up capital	
	50,000 Equity Shares of ₹ 50 each	25,00,000
	1,00,000 Equity shares of ₹ 50 each, ₹ 40 paid up	40,00,000
		65,00,000
2	**Reserves and Surplus**	
	Debit balance of Profit and loss Account	(20,00,000)
		(20,00,000)
3	**Long-term borrowings**	
	Secured: 12% First debentures	5,00,000
	12% Second debentures	10,00,000
		15,00,000
4	**Property, Plant and Equipment**	
	Building	10,00,000
	Plant	10,00,000
	Computers	25,00,000
		45,00,000
5	**Intangible assets**	

	Goodwill	20,00,000
		20,00,000

The following is the interest of Mr. X and Mr. Y in Green Limited:

	Mr. X (₹)	Mr. Y (₹)
12% First Debentures	3,00,000	2,00,000
12% Second Debentures	7,00,000	3,00,000
Trade payables	2,00,000	1,00,000
	12,00,000	6,00,000
Fully paid up ₹ 50 shares	3,00,000	2,00,000
Partly paid-up shares (₹ 40 paid up)	5,00,000	5,00,000

The following Scheme of Reconstruction is approved by all parties interested and also by the Court:

(a) Uncalled capital is to be called up in full and such shares and the other fully paid up shares be converted into equity shares of ₹ 20 each.

(b) Mr. X is to cancel ₹ 7,00,000 of his total debt (other than share amount) and to pay ₹ 2 lakhs to the company and to receive new 14% First Debentures for the balance amount.

(c) Mr. Y is to cancel ₹ 3,00,000 of his total debt (other than equity shares) and to accept new 14% First Debentures for the balance.

(d) The amount thus rendered available by the scheme shall be utilised in writing off of Goodwill, Profit and Loss A/c Loss and the balance to write off the value of computers.

You are required to draw the Journal Entries to record the same and also show the Balance Sheet of the reconstructed company.

Answer

Journal Entries in books of Green Limited

S. No.	Particulars		Debit (₹)	Credit (₹)
1	Bank Account A/c	Dr.	10,00,000	
	To Equity Share Capital Account			10,00,000
	(Balance of ₹ 10 per share on 1,00,000 equity shares called up as per reconstruction scheme)			
2	Equity Share Capital Account (₹ 50)	Dr.	75,00,000	
	To Equity Share Capital Account (₹ 20)			30,00,000
	To Capital Reduction Account			45,00,000
	(Reduction of equity shares of ₹ 50 each to shares of ₹ 20 each as per reconstruction scheme)			
3	12% First Debentures Account	Dr.	3,00,000	
	12% Second Debentures Account	Dr.	7,00,000	
	Trade payables Account	Dr.	2,00,000	
	To X			12,00,000
	(The total amount due to X, transferred to his account)			
4	Bank Account	Dr.	2,00,000	

	To X			2,00,000
	(The amount paid by X under the reconstruction scheme)			
5	X	Dr.	14,00,000	
	To 14% First Debentures Account			7,00,000
	To Capital Reduction Account			7,00,000
	(The amount due to X discharged by issue of 14% first debentures)			
6	12% First Debentures Account	Dr.	2,00,000	
	12% Second Debentures Account	Dr.	3,00,000	
	Trade payables Account	Dr.	1,00,000	
	To Y			6,00,000
	(The total amount due to Y, transferred to his account)			
7	Y	Dr.	6,00,000	
	To 14% First Debentures Account			3,00,000
	To Capital Reduction Account			3,00,000
	(The amount due to Y discharged by issue of 14% first debentures)			
8	Capital Reduction Account	Dr.	55,00,000	
	To Goodwill Account			20,00,000
	To Profit and Loss Account			20,00,000
	To Computers Account			15,00,000
	(The balance amount of capital reduction account utilised in writing off goodwill, profit and loss account, and computers)			

Balance Sheet of Green Limited (and reduced) as at 31st March, 20X1

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	30,00,000
2		**Non-current liabilities**		
	(a)	Long term borrowings	2	10,00,000
3		**Current liabilities**		
	(a)	Trade Payables		2,00,000
		Total		**42,00,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i Property, plant and Equipment	3	30,00,000
2		**Current assets**		
	(a)	Cash and cash equivalents		12,00,000
		Total		**42,00,000**

Notes to accounts

S. No.	Particulars	₹

1.	**Share Capital**	
	Equity share capital	
	Issued, subscribed and paid up	
	1,50,000 equity shares of ₹ 20 each	30,00,000
		30,00,000
2.	**Long-term borrowings**	
	Secured:	
	14% First Debentures	10,00,000
		10,00,000
3.	**Property, Plant and Equipment**	
	Building	10,00,000
	Plant	10,00,000
	Computers	10,00,000
		30,00,000

Working Note: **Capital Reduction Account**

Particulars	Amount	Particulars	Amount
To Goodwill A/c	20,00,000	By Equity Share Capital A/c	45,00,000
To P&L A/c	20,00,000	By X	7,00,000
To Computers (Bal. Fig.)	15,00,000	By Y	3,00,000
	55,00,000		**55,00,000**

Question 18

Z Limited provides the following information as on 31st March, 20X1

Particulars	₹
Share Capital:	
5,00,000 Equity shares of ₹ 10 each fully paid up	50,00,000
9%, 20,000 Preference shares of ₹ 100 each fully paid up	20,00,000
Reserves and Surplus:	
Profit and Loss Account (Dr. balance)	14,60,000
Non-Current Liabilities:	
10% Secured Debentures	16,00,000
Current Liabilities:	
Interest due on Debentures	1,60,000
Trade Payables	5,00,000
Loan from Directors	1,00,000
Bank Overdraft	1,00,000
Provision for Tax	1,00,000
Non-Current Assets:	
Property, plant and Equipment:	

Land & Buildings	30,00,000
Plant & Machinery	12,50,000
Furniture & Fixtures	2,50,000
Intangible Assets:	
Goodwill	11,00,000
Patents	5,00,000
Current Assets:	
Trade Investments	5,00,000
Trade Receivables	5,00,000
Inventory	10,00,000

Note: Preference dividend is in arrears for last 2 years.

Mr. Y holds 60% of debentures and Mr. Z holds 40% of debentures. Moreover ₹ 1,00,000 and ₹ 60,000 were also payable to Mr. Y and Mr. Z respectively as trade payable.

The following scheme of reconstruction has been agreed upon and duly approved.

(i) All the equity shares to be converted into fully paid equity shares of ₹ 5.00 each.

(ii) The Preference shares be reduced to ₹ 50 each and the preference shareholders agreed to forego their arrears of preference dividends, in consideration of which 9% preference shares are to be converted into 10% preference shares.

(iii) Mr. Y and Mr. Z agreed to cancel 50% each of their respective total debt including interest on debentures. Mr. Y and Mr. Z also agreed to pay ₹ 1,00,000 and ₹ 60,000 respectively in cash and to receive new 12% debentures for the balance amount.

(iv) Persons relating to trade payables, other than Mr. Y and Mr. Z also agreed to forgo their 50% claims.

(v) Directors also waived 60% of their loans and accepted equity shares for the balance.

(vi) Capital commitments of ₹ 3.00 lacs were cancelled on payment of ₹ 15,000 as penalty.

(vii) Directors refunded ₹ 1,00,000 of the fees previously received by them.

(viii) Reconstruction expenses paid ₹ 15,000.

(ix) The taxation liability of the company was settled for ₹ 75,000 and was paid immediately.

(x) The Assets were revalued as under:

Land and Building	32,00,000
Plant and Machinery	6,00,000
Inventory	7,50,000
Trade Receivables	4,00,000
Furniture and Fixtures	1,50,000
Trade Investments	4,50,000

You are required to pass journal entries for all above-mentioned transactions including amounts to be written off for Goodwill, Patents and Loss in Profit and Loss A/c. Also prepare Bank Account and Reconstruction A/c.

Answer

Journal Entries in the Books of Z Ltd.

S. No.	Particulars	Debit (₹)	Credit (₹)

1	Equity Share Capital (₹ 10 each) A/c	Dr.	50,00,000	
	To Equity Share Capital (₹ 5 each) A/c			25,00,000
	To Reconstruction A/c			25,00,000
	(Being conversion of 5,00,000 equity shares of ₹ 10 each fully paid into same number of fully paid equity shares of ₹ 5 each as per scheme of reconstruction.)			
2	9% Preference Share Capital (₹ 100 each) A/c	Dr.	20,00,000	
	To 10% Preference Share Capital (₹ 50 each) A/c			10,00,000
	To Reconstruction A/c			10,00,000
	(Being conversion of 9% preference share of ₹ 100 each into same number of 10% preference share of ₹ 50 each and claims of preference dividends settled as per scheme of reconstruction.)			
3	10% Secured Debentures A/c	Dr.	9,60,000	
	Trade payables A/c	Dr.	1,00,000	
	Interest on Debentures payable A/c	Dr.	96,000	
	Bank A/c	Dr.	1,00,000	
	To 12% Debentures A/c			6,78,000
	To Reconstruction A/c			5,78,000
	(Being ₹ 11,56,000 due to Y (including trade payables) cancelled and 12% debentures allotted for the amount after waving 50% as per scheme of reconstruction.)			
4	10% Secured Debentures A/c	Dr.	6,40,000	
	Trade Payables		60,000	
	Interest on debentures payable A/c		64,000	
	Bank A/c		60,000	
	To 12% debentures A/c			4,42,000
	To Reconstruction A/c			3,82,000
	(Being ₹ 7,64,000 due to Z (including trade payables) cancelled and 12% debentures allotted for the amount after waving 50% as per scheme of reconstruction.)			
5	Trade payables A/c	Dr.	1,70,000	
	To Reconstruction A/c			1,70,000
	(Being remaining trade payables sacrificed 50% of their claim.)			
6	Directors' Loan A/c	Dr.	1,00,000	
	To Equity Share Capital (₹ 5) A/c			40,000
	To Reconstruction A/c			60,000
	(Being Directors' loan claim settled by issuing 8,000 equity shares of ₹ 5 each as per scheme of reconstruction.)			
7	Reconstruction A/c	Dr.	15,000	
	To Bank A/c			15,000
	(Being payment made towards penalty of 5% for cancellation of capital commitments of ₹ 3 Lakhs.)			

8	Bank A/c	Dr.	1,00,000	
	To Reconstruction A/c			1,00,000
	(Being refund of fees by directors credited to reconstruction A/c.)			
9	Reconstruction A/c	Dr.	15,000	
	To Bank A/c			15,000
	(Being payment of reconstruction expenses.)			
10	Provision for Tax A/c	Dr.	1,00,000	
	To Bank A/c			75,000
	To Reconstruction A/c			25,000
	(Being payment of tax liability in full settlement against provision for tax)			
11	Land and Building A/c	Dr.	2,00,000	
	To Reconstruction A/c			2,00,000
	(Being appreciation in value of Land & Building recorded)			
12	Reconstruction A/c	Dr.	49,85,000	
	To Goodwill A/c			11,00,000
	To Patent A/c			5,00,000
	To Profit and Loss A/c			14,60,000
	To Plant and Machinery, A/c			6,50,000
	To Furniture & Fixture A/c			1,00,000
	To Trade Investment A/c			50,000
	To Inventory A/c			2,50,000
	To Trade Receivables A/c			1,00,000
	To Capital Reserve (bal. fig.)			7,75,000
	(Being writing off of losses and reduction in the value of assets as per scheme of reconstruction, balance of reconstruction A/c transfer to Capital Reserve.)			

Bank Account

Particulars	Amount	Particulars	Amount
To Reconstruction (Y)	1,00,000	By Balance b/d (overdraft)	1,00,000
To Reconstruction(Z)	60,000	By Reconstruction A/c	15,000
To Reconstruction A/c	1,00,000	(capital commitment penalty)	
(refund of earlier fees by directors)		By Reconstruction A/c	15,000
		(reconstruction expenses paid)	
		By Provision for tax A/c (tax paid)	75,000
		By Balance c/d	55,000
	2,60,000		**2,60,000**

Reconstruction Account

Particulars	Amount	Particulars	Amount
To Bank (penalty)	15,000	By Equity Share Capital A/c	25,00,000

To Bank (reconstruction expenses)	15,000	By 9% Pref. Share Capital A/c	10,00,000
To Goodwill	11,00,000	By Mr. Y (Settlement)	5,78,000
To Patent	5,00,000	By Mr. Z (Settlement)	3,82,000
To P&L A/c	14,60,000	By Trade Payables A/c	1,70,000
To P&M	6,50,000	By Director's loan	60,000
To Furniture and Fixtures	1,00,000	By Bank	1,00,000
To Trade investment	50,000	By Provision for tax	25,000
To Inventory	2,50,000	By Land and Building	2,00,000
To Trade Receivables	1,00,000		
To Capital Reserve (bal. fig.)	7,75,000		
	50,15,000		**50,15,000**

Question 19

Sustain Limited is incurring losses due to adverse market conditions. It decided to reorganize is capital structure. The summarized Balance Sheet of the company as on 31st March, 20X1 is as follows:

Particulars	Notes	₹
Equity and Liabilities		
1. Shareholders' Fund	1	10,00,000
(a) Share Capital	2	(2,50,000)
(b) Reserves and Surplus		
2. Non-current liabilities		
Long term borrowing	3	4,50,000
3. Current liabilities		
(a) Trade Payables		1,30,000
(b) Short term borrowings - Bank Overdraft		65,000
(c) Other Current Liabilities (Interest payable on Debentures)		45,000
(d) Short term provision (Provision for Income Tax)		1,00,000
Total		**15,40,000**
Assets		
1. Non-current assets		
(a) Property, Plant & Equipment	4	8,50,000
(b) Intangible assets	5	60,000
(c) Non-current investments	6	2,80,000
2. Current assets		
(a) Inventories		1,20,000
(b) Trade receivables		2,30,000
Total		**15,40,000**

Notes to accounts:

	₹

1.	**Share Capital**	
	Equity share capital:	
	50,000 Equity shares of ₹ 10 each fully paid up	5,00,000
	25,000 Equity shares of ₹ 10 each, ₹ 8 paid up	2,00,000
	Preference share capital:	
	30,000 8% Cumulative Preference shares of ₹ 10 each (Preference dividend has been in arrears for 3 years)	3,00,000
		10,00,000
2.	**Reserves and Surplus**	
	Profit and Loss account (debit balance)	**(2,50,000)**
3.	**Long-term borrowings**	
	Secured:	
	10% Debentures of ₹ 100 each	**4,50,000**
4.	**Property, Plant and Equipment**	
	Freehold property	1,00,000
	Plant and machinery	7,50,000
		8,50,000
5.	**Intangible assets**	
	Goodwill	**60,000**
6.	**Non-current investments**	
	Non-trade investments at cost	**2,80,000**

Subsequent to approval by court and all interested parties, the following scheme of reconstruction were agreed:

(1) Uncalled capital is to be called up in full and such shares and other fully paid-up equity shares to be reduced to ₹ 5 per share.

(2) The preference shareholders will accept a reduction of ₹ 2.5 per share, in exchange the rate of dividend is to be increased to 9%.

(3) Preference shareholders will forgo their claim of dividend for one year and one equity share of ₹ 5 each is to be issued for the remaining arrears of dividend.

(4) Mr. X holds 10% debentures for ₹ 2,50,000. He is also a creditor for ₹ 50,000. He agreed to cancel 50% of his total debt, including interest on debentures, pay ₹ 20,000 to the company and to receive new 12% debentures for the balance amount.

(5) The remaining claim of the debenture holders, including outstanding interest to be reduced to 60%. In consideration of the reduction, the debenture holders are to receive new 9% preference shares at new face value.

(6) The taxation liability is to be settled at ₹ 1,20,000.

(7) Market value of Non-current Investments is ₹ 2,50,000. Investments to be brought to their market value.

(8) Inventory equal to ₹ 1,00,000 at book value will be taken over by remaining creditors in full settlement of their claim.

(9) A bad debt provision of 2% is to be created on trade receivables.

(10) Plant and Machinery is to be written down by 20%.

(11) The company will further issue 12% debentures for such amount which is sufficient to pay off bank overdraft and other outstanding liabilities and maintain its cash/bank balance at ₹ 85,000.

(12) The amount available by the scheme shall be utilized in writing of Goodwill, debit balance of profit and loss a/c and balance of inventory.

You are required to:

(a) Show the journal entries, necessary to record the above transaction in the company's books and

(b) Prepare a note to show revised Share capital structure of the company after completion of the scheme.

Answer

(a) Journal Entries in books of Sustain Limited

S. No.	Particulars		Debit	Credit
1.	Bank Account	Dr.	50,000	
	To Equity Share Capital Account			50,000
	(Balance of ₹ 2 per share on 25,000 equity shares called up)			
2.	Equity Share Capital (₹ 10) Account	Dr.	7,50,000	
	To Equity Share Capital (₹ 5) Account			3,75,000
	To Capital Reduction Account			3,75,000
	(Reduction of equity shares of ₹ 10 each to shares of ₹ 5 each as per reconstruction scheme)			
3.	8 % Cumulative Preference Share Capital (₹ 10) A/c	Dr.	3,00,000	
	To 9% Cumulative Preference Share Capital (₹ 7.5) A/c			2,25,000
	To Capital Reduction A/c			75,000
	(Being Preference shares of ₹ 10 each reduced by ₹ 2.5 each per share by changing the rate of dividend from 8% to 9% and the balance transferred to Capital Reduction A/c.)			
4.	Capital Reduction A/c	Dr.	48,000	
	To Preference share dividend payable A/c			48,000
	(Being arrear of Preference share dividend payable for one year)			
5.	Preference share dividend payable A/c	Dr.	48,000	
	To Equity Share Capital (₹ 5) A/c			48,000
	(Being Equity Shares of ₹ 5 each issued against arrears of 2 years Preference Share dividend) (W.N.1)			
6	10% Debentures Account	Dr.	2,50,000	
	Interest on Debentures Outstanding A/c	Dr.	25,000	
	Trade payables Account	Dr.	50,000	
	To Mr. X			3,25,000
	(The total amount due to X, transferred to his account)			
7	Bank Account	Dr.	20,000	
	To Mr. X			20,000
	(The amount paid by X under the reconstruction scheme)			

8	Mr. X	Dr.	3,45,000	
	To 12% Debentures Account			1,82,500
	To Capital Reduction A/c			1,62,500
	(The cancellation of 50% of the total debt of Mr. X and the issue of 12% new debentures for the balance amount as per reconstruction scheme)			
9	10% Debentures A/c	Dr.	2,00,000	
	Interest on Debentures Outstanding A/c	Dr.	20,000	
	To 9% Cumulative Preference Share capital A/c			1,32,000
	To Capital Reduction A/c			88,000
	(Being 9% preference share capital issued to 10% debenture-holders for 60% of their claims. The balance is transferred to capital reduction account as per the reconstruction scheme)			
10	Provision for Tax A/c	Dr.	1,00,000	
	Capital Reduction A/c	Dr.	20,000	
	To Bank A/c			1,20,000
	(Being payment of tax liability in full settlement)			
11	Trade payables A/c (1,30,000-50,000)	Dr.	80,000	
	Capital reduction A/c	Dr.	20,000	
	To Inventory A/c			1,00,000
	(Being settlement of creditors by giving inventory)			
12	Capital reduction A/c	Dr.	1,84,600	
	To Investment A/c			30,000
	To Provision for bad debt A/c (2,30,000 x 2%)			4,600
	To Plant & Machinery (7,50,000 x 20%)			1,50,000
	(Investment brought to their market value, Plant & machinery is written down by 20% & Provision for Bad debts of 2% created under the scheme of reconstruction)			
13	Bank A/c	Dr.	2,00,000	
	To 12% debentures A/c			2,00,000
	(New 12% debentures issued to pay off bank overdraft and maintain cash balance)			
14.	Bank Overdraft	Dr.	65,000	
	To Bank A/c			65,000
	(Bank overdraft paid)			
15.	Capital reduction A/c	Dr.	4,27,900	
	To Goodwill A/c			60,000
	To Profit and loss A/c			2,50,000
	To Inventory			20,000
	To Capital reserve A/c			97,900
	(Being goodwill and profit and loss A/c (Dr. bal.), balance inventory; and balance of capital reduction account transferred to capital reserve)			

(b) Notes to accounts

		₹
1.	**Share Capital**	
	Equity share capital	
	Issued, subscribed and paid up	
	84,600 equity shares of ₹ 5 each (75,000 + 9,600)	4,23,000
	47,600 9 % Cumulative Preference Shares of ₹ 7.50 each (30,000 + 17,600)	3,57,000
	Total	**7,80,000**

Working note

1. Calculation of the number of equity shares issued for 2 years arrear of preference share dividend

3,00,000 x 8% x 2 = 48,000

Equity share of ₹ 5 per share issued = 48,000/5 = 9,600 shares

2. Cash & bank Account

Particulars	Amount	Particulars	Amount
To Uncalled capital	50,000	By Bank Overdraft	65,000
To Mr. X	20,000	By Tax	1,20,000
To 12% Debentures A/c (bal. fig.)	2,00,000	By Balance C/d	85,000
	2,70,000		**2,70,000**

3. The new face value of preference share is = 10 – 2.5 = ₹ 7.5

Number of 9% Preference shares issued in consideration of reduction = 1,32,000/7.5 = 17,600

Question 20

Following is the summarized Balance Sheets of Z Limited as on 31st March, 20X1:

Particulars	₹
EQUITY AND LIABILITIES	
Share capital	
Equity shares of ₹ 100 each	60,00,000
8% Preference shares of ₹ 100 each	21,00,000
10% Debentures of ₹ 100 each	18,00,000
Trade Payables	16,80,000
Total	**1,15,80,000**
ASSETS	
Goodwill	81,000
Property, Plant and Equipment	72,00,000
Trade receivables	13,75,000
Inventories	9,80,000
Cash at Bank	1,33,000

Own Debentures (Nominal value of ₹ 6 lakhs)	5,76,000
Profit and Loss A/c	12,35,000
Total	**1,03,45,000**

On 1st April, 20X1, court approved the following reconstruction scheme for Z Limited:

(i) Each equity share shall be sub-divided into 10 equity shares of ₹ 10 each fully paid up. After sub-division, equity share capital will be reduced by 40%.

(ii) Preference share dividends are in arrear for last 4 years. Preference shareholders agreed to waive 75% of their dividend claim and accept payment for the balance.

(iii) Own debentures of ₹ 2,40,000 (nominal value) were sold at 98 cum interest and remaining own debentures were cancelled.

(iv) Debenture holders of ₹ 6,00,000 agreed to accept one machinery of book value of ₹ 9,00,000 in full settlement.

(v) Remaining Property, Plant and Equipment were valued at ₹ 60,00,000.

(vi) Trade Payables, Trade Receivables and Inventories were valued at ₹ 15,00,000, ₹ 13,00,000 and ₹ 9,44,000 respectively. Goodwill and Profit and Loss Account (Debit balance) are to be written off.

(vii) Company paid ₹ 60,000 as penalty to avoid capital commitments of ₹ 12 lakhs.

(viii) Interest on 10% Debentures is paid every year on 31st March.

You are required to:

(1) Pass necessary journal entries in the books of Z Limited to implement the above schemes.

(2) Prepare Capital Reduction Account.

(3) Prepare Bank Account

Answer

(1) Journal entries

In the Books of Z Ltd. as on 1st April 20X1

S. No.	Particulars		Debit (₹)	Credit (₹)
1	Equity share capital A/c (₹ 100)	Dr.	60,00,000	
	To Equity share capital A/c (₹ 10)			60,00,000
	(Being sub-division of one share of ₹ 100 into 10 shares of ₹ 10 each)			
2	Equity share capital A/c (₹ 10)	Dr.	24,00,000	
	To Capital reduction A/c			24,00,000
	(Being reduction of Equity capital by 40%)			
3	Capital reduction A/c	Dr.	1,68,000	
	To Bank A/c [(21,00,000 x 8%) x 4 years]			1,68,000
	(Being payment in cash of 25% of arrear of preference dividend)			
4	Bank A/c	Dr.	2,35,200	
	To Own debentures A/c [(5,76,000/6,00,000) x 2,40,000]			2,30,400
	To Capital reduction A/c			4,800
	(Being profit on sale of own debentures of ₹ 2,40,000 transferred to capital reduction A/c)			

5	10% Debentures A/c (6,00,000 – 2,40,000)	Dr.	3,60,000	
	To Own debentures A/c			3,45,600
	To Capital reduction A/c			14,400
	(Being profit on cancellation of own debentures transferred to capital reduction A/c)			
6	10% Debentures A/c	Dr.	6,00,000	
	Capital reduction A/c	Dr.	3,00,000	
	To Machinery or PPE A/c			9,00,000
	(Being machinery taken up by debenture holders for ₹ 6,00,000)			
7	Capital reduction A/c (balancing figure)	Dr.	3,00,000	
	To PPE A/c (72,00,000 – 9,00,000 – 60,00,000)			3,00,000
	(Being PPE revalued)			
8	Trade payables A/c (16,80,000 – 15,00,000)	Dr.	1,80,000	
	To Trade receivables A/c (13,75,000 – 13,00,000)			75,000
	To Inventory A/c (9,80,000 – 9,44,000)			36,000
	To Capital Reduction A/c			69,000
	(Being assets and liabilities revalued)			
9	Capital reduction A/c	Dr.	13,16,000	
	To Goodwill A/c			81,000
	To Profit and Loss A/c			12,35,000
	(Being the above assets written off)			
10	Capital reduction A/c	Dr.	60,000	
	To Bank A/c			60,000
	(Being penalty paid for avoidance of capital commitments)			
11	Capital reduction A/c	Dr.	3,44,200	
	To Capital reserve A/c			3,44,200
	(Being the credit balance in Capital Reduction A/c transferred to Capital Reserve)			

(2) Capital Reduction Account

Particulars	Amount	Particulars	Amount
To Bank	1,68,000	By Equity Share Capital	24,00,000
To Property, Plant & Equipment	3,00,000	By Trade Payable	1,80,000
To Property, Plant & Equipment	3,00,000	By Bank A/c (Profit on Sale)	4,800
To Trade Receivables	75,000	By 10% debentures A/c	14,400
To Inventory	36,000	(Profit on cancellation)	
To Goodwill	81,000		
To Profit and Loss A/c	12,35,000		
To Cash/Bank A/c	60,000		
To Capital Reserve	3,44,200		
	25,99,200		**25,99,200**

(3) **Bank Account**

Particulars	Amount	Particulars	Amount
To balance b/d	1,33,000	By Capital Reduction	1,68,000
To Own Debenture (2,30,400 + 4,800)	2,35,200	By Capital Reduction A/c	60,000
		By balance c/d	1,40,200
	3,68,200		**3,68,200**

Question 21

The following is the Balance Sheet of Star Ltd. as on 31st March, 20X1:

Particulars			₹
		Equity and Liabilities	
1		**Shareholders' funds**	
	(a)	Share capital	
		9,000 7% Preference Shares of ₹ 100 each fully paid	9,00,000
		10,000 Equity Shares of ₹ 100 each fully paid	10,00,000
	(b)	Reserves and Surplus	
		Profit & Loss Account	(2,00,000)
2		**Non-current liabilities**	
		"A" 6% Debentures (Secured on Bombay Works)	3,00,000
		"B" 6% Debentures (Secured on Chennai Works)	3,50,000
3		**Current liabilities**	
	(a)	Workmen's Compensation Fund:	
		Bombay Works	10,000
		Chennai Works	5,000
	(b)	Trade Payables	1,25,000
		Total	**24,90,000**
		Assets	
1		**Non-current assets**	
	(a)	Property, Plant and Equipment and intangible asset	
		i Property, plant and Equipment	
		Bombay Works	9,50,000
		Chennai Works	7,75,000
	(b)	Non-current investment	
		Investments for Workmen's Compensation Fund	15,000
2		**Current assets**	
	(a)	Inventories	4,50,000
	(b)	Trade receivables	2,50,000
	(c)	Cash and Cash equivalents	50,000
		Total	**24,90,000**

A reconstruction scheme was prepared and duly approved. The salient features of the scheme were as follows:

(i) Paid up value of 7% Preference Share to be reduced to ₹ 80, but the rate of dividend being raised to 9%.

(ii) Paid up value of Equity Shares to be reduced to ₹ 10.

(iii) The directors to refund ₹ 50,000 of the fees previously received by them.

(iv) Debenture holders forego their interest of ₹ 26,000 which is included among the trade payables.

(v) The preference shareholders agreed to waive their claims for preference share dividend, which is in arrears for the last three years.

(vi) "B" 6% Debenture holders agreed to take over the Chennai Works at ₹ 4,25,000 and to accept allotment of 1,500 equity shares of ₹ 10 each at par, and upon their forming a company called Zia Ltd. (to take over the Chennai Works) they allotted 9,000 equity shares of ₹ 10 each fully paid at par to Star Ltd.

(vii) The Chennai Workmen's compensation fund disclosed that there were actual liabilities of ₹ 1,000 only. As a consequence, investments of fund were realized to the extent of balance. Entire investments were sold at a profit of 10% on book value and the proceeds were utilized for part payment of the creditors.

(viii) Inventory was to be written off by ₹ 1,90,000 and a provision for doubtful debts is to be made to the extent of ₹ 20,000.

(ix) Chennai works completely written off.

(x) Any balance of the Capital Reduction Account is to be applied as two-third to write off the value of Bombay Works and one-third to Capital Reserve.

Pass necessary Journal Entries in the books of Star Ltd. after the scheme has been carried into effect.

Answer

In the books of Star Ltd.

Journal Entries

S. No.	Particulars		Debit (₹)	Credit (₹)
1	7% Preference share capital (₹ 100)	Dr.	9,00,000	
	To 9% Preference share capital (₹ 80)			7,20,000
	To Capital reduction A/c			1,80,000
	(Being preference shares reduced to ₹ 80 and also rate of dividend raised from 7% to 9%)			
2	Equity share capital A/c (₹ 100 each)	Dr.	10,00,000	
	To Equity share capital A/c (₹ 10 each)			1,00,000
	To Capital reduction A/c			9,00,000
	(Being reduction of nominal value of one share of ₹ 100 to ₹ 10 each)			
3	Bank A/c	Dr.	50,000	
	To Capital reduction A/c			50,000
	(Being directors refunded the fee amount)			
4	Trade payables A/c (Interest on debentures)	Dr.	26,000	
	To Capital reduction A/c			26,000
	(Being interest forgone by the debenture holders)			
5	No entry required			

6 a	'B' 6% Debentures A/c Dr.	3,50,000	
	To Debentures holders A/c		3,50,000
	(Being amount due to Debentures holders)		
6 b	Debentures holders A/c Dr.	4,40,000	
	To Chennai Works A/c		4,25,000
	To Equity share capital A/c		15,000
	(Being Chennai works taken over and equity shares issued to 'B' 6% Debenture holders)		
6 c	Equity share of Zia ltd. A/c Dr.	90,000	
	To Debentures holders A/c		90,000
	(Being 9,000 equity shares of Zia Ltd. issued by Debentures holders)		
7 a	Chennai Works - Workmen Compensation Fund Dr.	4,000	
	To Capital reduction A/c		4,000
	(Being difference due to reduced amount of actual liability transferred to capital reduction account)		
7 b	Bank A/c Dr.	15,400	
	To Investment for Workmen Compensation Fund		14,000
	To Capital reduction A/c		1,400
	(Being investment for workmen compensation fund sold @ 10% profit)		
7 c	Trade Payables A/c Dr.	15,400	
	To Bank A/c		15,400
	(Being part payment made to trade payables)		
8	Capital reduction A/c Dr.	2,10,000	
	To Provision for Doubtful Debts A/c		20,000
	To Inventory A/c		1,90,000
	(Being assets revalued)		
9	Capital reduction A/c Dr.	5,50,000	
	To Profit & Loss A/c		2,00,000
	To PPE - Chennai Works		3,50,000
	(Being assets revalued and losses written off)		
10	Capital reduction A/c Dr.	4,01,400	
	To PPE - Bombay Works		2,67,600
	To Capital reserve A/c		1,33,800
	(Being assets revalued and remaining amount transferred to capital reserve account)		

Question 22

The Balance Sheet of Revise Limited as at 31st March, 20X1 was as follows:

Particulars	**Notes**	**₹**
Equity and Liabilities		

1		**Shareholders' funds**		
	(a)	Share capital	1	10,00,000
	(b)	Reserve and surplus	2	(6,00,000)
2		**Non-current liabilities**		
	(a)	Long term borrowings	3	2,00,000
3		**Current liabilities**		
	(a)	Trade Payables		72,000
	(b)	Other current liabilities	4	24,000
	(c)	Short term provisions	5	24,000
		Total		**7,20,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i Property, plant and Equipment	6	1,00,000
2		**Current assets**		
	(a)	Inventories		3,20,000
	(b)	Trade receivables		2,70,000
	(c)	Cash and Cash equivalents		30,000
		Total		**7,20,000**

Notes to accounts

		₹
1	**Share Capital**	
	Equity share capital	
	10,000 Equity Shares of ₹ 100 each	10,00,000
		10,00,000
2	**Reserves and Surplus**	
	Debit balance of Profit and loss Account	(6,00,000)
		(6,00,000)
3	**Long-term borrowings**	
	12% debentures	2,00,000
		2,00,000
4	**Other current liabilities**	
	Interest payable on debentures	24,000
		24,000
5	**Short term provisions**	
	Provision for taxation	24,000
		24,000
6	**Property, Plant and Equipment**	
	Machinery	1,00,000
		1,00,000

It was decided to reconstruct the company for which necessary resolution was passed and sanctions were obtained from appropriate authorities. Accordingly, it was decided that:

(a) Each share is sub-divided into ten fully paid up equity shares of ₹ 10 each.

(b) After sub-division, each shareholder shall surrender to the company 50% of his holding, for the purpose of re-issue to debenture holders and trade payables as necessary.

(c) Out of shares surrendered, 10,000 shares of ₹ 10 each shall be converted into 12% preference shares of ₹ 10 each, fully paid up.

(d) The claims of the debenture-holders shall be reduced by 75 percent. In consideration of the reduction, the debenture holders shall receive preference shares of ₹ 1,00,000 which are converted out of shares surrendered.

(e) Trade payables claim shall be reduced to 50 per cent, balance is to be settled by the issue of equity shares of ₹ 10 each out of shares surrendered.

(f) Balance of profit and loss account to be written off.

(g) The shares surrendered and not re-issued shall be cancelled.

You are required to show the journal entries giving effect to the above and the resultant Balance Sheet

Answer

In the books of Revise Ltd.

Journal Entries

S. No.	Particulars		Debit (₹)	Credit (₹)
1	Equity Share Capital (₹ 100) A/c	Dr.	10,00,000	
	To Share Surrender A/c			5,00,000
	To Equity Share Capital (₹ 10) A/c			5,00,000
	(Subdivision of 10,000 equity shares of ₹ 100 each into 1,00,000 equity shares of ₹ 10 each and surrender of 50,000 of such subdivided shares as per capital reduction scheme)			
2	12% Debentures A/c	Dr.	1,50,000	
	Interest payable A/c	Dr.	18,000	
	To Reconstruction A/c			1,68,000
	(Transferred 75% of the claims of the debenture holders to reconstruction account in consideration of which 12% preference shares are being issued out of share surrender account as per capital reduction scheme)			
3	Trade payables A/c	Dr.	72,000	
	To Reconstruction A/c			72,000
	(Transferred claims of the trade payables to reconstruction account, 50% of which is being clear reduction and equity shares are being issued in consideration of the balance)			
4	Share Surrender A/c	Dr.	5,00,000	
	To 12% Preference Share Capital A/c			1,00,000
	To Equity Share Capital A/c			36,000
	To Reconstruction A/c			3,64,000

	(Issued preference and equity shares to discharge claims of the debenture holders and the trade payables respectively as a per scheme and the balance in share surrender account is being transferred to reconstruction account)		
5	Reconstruction A/c Dr.	6,04,000	
	To Profit and Loss A/c		6,00,000
	To Capital Reserve A/c		4,000
	(Adjusted debit balance of profit and loss account against the reconstruction account and the balance in the latter is being transferred to capital reserve)		

Balance Sheet of Revise Limited (and reduced) as at...

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	6,36,000
	(b)	Reserves and Surplus	2	4,000
2		**Non-current liabilities**		
	(a)	Long term borrowings	3	50,000
3		**Current liabilities**		
	(a)	Other Current Liabilities	4	6,000
	(b)	Short-term provisions	5	24,000
		Total		**7,20,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i Property, plant and Equipment	6	1,00,000
2		**Current assets**		
	(a)	Inventories		3,20,000
	(b)	Trade receivables		2,70,000
	(c)	Cash and cash equivalents		30,000
		Total		**7,20,000**

Notes to Accounts

S. No.	Particulars	₹
1.	**Share Capital**	
	53,600 Equity Shares of ₹ 10 each	5,36,000
	Preference Shares	1,00,000
	(Of the above shares all are allotted as fully paid up pursuant to capital reduction scheme by conversion of equity shares without payment being received in cash)	
		6,36,000
2.	**Reserve and Surplus**	
	Capital Reserve	**4,000**
3.	**Long-term borrowings**	

	Unsecured Loans: 12% Debentures	**50,000**
4.	**Other current liabilities**	
	Interest payable on debentures	**6,000**
5.	**Short-term provisions**	
	Provision for Income-tax	**24,000**
6.	**Property, plant and Equipment**	
	Machinery	**1,00,000**

Question 23

Following information from Balance Sheet of Ruby Limited as on 31st March, 20X1.

	Amount ₹
Authorised and Issued equity share capital:	
60,000 shares of ₹ 100 each fully paid	60,00,000
40,000 7% cumulative preference shares of ₹ 100 each fully paid	40,00,000
General Reserve	12,00,000
Loan from Director	8,80,000
Trade Payables	49,20,000
Outstanding expenses	6,40,000
Bank loan	6,00,000
Patent	8,00,000
Plant & machinery	60,00,000
Building	11,00,000
Trade receivables	47,00,000
Inventory	32,60,000
Cash	2,40,000
Bank Balance	4,60,000
Profit and Loss account (Debit)	16,80,000

Note: The arrears of preference dividend amount to ₹ 5,60,000.

The company had suffered losses since last 3 years due to bad market conditions and hope for a better position in the future.

The following scheme of reconstruction has been agreed upon and duly approved by all concerned:

(1) Equity shares to be converted into 6,00,000 shares of ₹ 10 each.

(2) Equity shareholders to surrender to the company 80 percent of their holdings.

(3) Preference shareholders agree to forgo their right on arrears of dividends in consideration of which 7% preference shares are to be converted into 8% preference shares.

(4) Trade payables agree to reduce their claim by one fourth in consideration of their getting shares of ₹ 10,00,000 out of the surrendered equity shares.

(5) Directors agree to forego the amounts due on account of loan.

(6) Surrendered shares not otherwise utilized to be cancelled.

(7) Assets to be reduced as under:

	₹
Patent to	Nil
Plant & Machinery by	8,00,000
Inventory by	6,80,000

(8) Trade receivables to the extent of ₹ 34,00,000 are considered good.

(9) Revalued figures for building is accepted at ₹ 14,00,000.

(10) Bank loan is paid.

(11) Any surplus after meeting the losses should be utilized in writing down the value of the plant further.

(12) Expenses of reconstruction amounted to ₹ 1,20,000.

(13) Further 80,000 equity shares were issued to the existing members for increasing the working capital. The issue was fully subscribed and paid up.

You are required to pass the Journal Entries for giving effect to the above arrangement and also to draw up the resultant Balance Sheet of the Company.

Answer

Books of Ruby Ltd.

Journal Entries

S. No.	Particulars		Debit (₹)	Credit (₹)
1	Equity Share Capital (₹ 100 each) a/c	Dr	60,00,000	
	To Equity share capital (₹ 10 each) A/c			60,00,000
	(Sub division of equity share into ₹ 10 each)			
2	Equity Share Capital (₹ 10) A/c	Dr.	48,00,000	
	To Share surrendered A/c			48,00,000
	(Surrender of 80% of shareholding by equity shareholders)			
3	7% Cumulative preference share capital A/c	Dr.	40,00,000	
	To 8% cumulative preference share capital A/c			40,00,000
	(Conversion of 7% cumulative preference share capital into 8% cumulative preference share capital. They also forgo their right to arrears of dividends)			
4	Shares Surrendered A/c	Dr.	10,00,000	
	To Equity share capital A/c			10,00,000
	(Surrendered share issued against trade payables under reconstruction scheme)			
5	Bank loan A/c	Dr.	6,00,000	
	Expenses of reconstruction A/c	Dr.	1,20,000	
	To Bank A/c			7,20,000
	(Bank loan and reconstruction expenses paid)			
6	Share surrendered A/c	Dr.	38,00,000	
	To Capital Reduction A/c			38,00,000
	(Cancellation of unissued surrendered shares) (48,00,000 – 10,00,000)			

7	Loan from Director A/c	Dr.	8,80,000	
	Trade Payables A/c	Dr.	12,30,000	
	Building A/c	Dr.	3,00,000	
	To Capital reduction A/c			24,10,000
	(Amount sacrificed by directors and trade payables and appreciation in value of building)			
8	Capital reduction A/c	Dr.	62,10,000	
	To Patent A/c			8,00,000
	To Trade receivables A/c			13,00,000
	To Inventory A/c			6,80,000
	To Profit and Loss A/c			16,80,000
	To Expenses on Reconstruction A/c			1,20,000
	To Plant A/c (bal. fig) (8,00,000 + 8,30,000)			16,30,000
	(Various assets and expenses written off)			
9	Bank A/c	Dr.	8,00,000	
	To Share application money A/c			8,00,000
	(Application money received on full and final payment)			
10	Share application money A/c	Dr.	8,00,000	
	To Share capital A/c			8,00,000
	(Being 80,000 equity shares of ₹ 10 each issued and fully paid up)			

Note: Cancellation of preference dividend need not be journalised. On cancellation, it ceases to be contingent liability and hence no further disclosure required.

Balance Sheet of Ruby Ltd. (and Reduced) as at 31st March, 20X1

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	70,00 000
	(b)	Reserves and Surplus		12,00 000
2		**Current liabilities**		
	(a)	Trade payables (49,20,000 – 12,30,000)		36,90,000
	(b)	Other current liabilities (outstanding expenses)		6,40,000
		Total		**1,25,30,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i Property, plant and Equipment	2	57,70,000
		ii Intangible Asset	3	–
2		**Current assets**		
	(a)	Inventories (32,60,000 – 6,80,000)		25,80,000
	(b)	Trade receivables (47,00,000 – 13,00,000)		34,00,000

	(c)	Cash and cash equivalents	4	7,80,000
		Total		**1,25,30,000**

Notes to the financial statements

S. No.	Particulars	₹
1	**Share Capital**	
	Authorised	
	6,00,000 equity shares of ₹ 10 each	60,00,000
	40,000 8% cumulative preference shares of ₹ 100 each	40,00,000
		1,00,00,000
	Issued, subscribed and fully paid up	
	3,00,000 equity shares of ₹ 10 each	30,00,000
	(of the above, 1,00,000 shares were issued as fully paid up for consideration other than cash under the scheme of reconstruction)	
	40,000 8% cumulative preference shares of ₹ 100 each	40,00,000
		70,00,000
2	**Property, Plant and Equipment**	
	Plant (60,00,000 – 16,30,000)	43,70,000
	Building (11,00,000 + 3,00,000)	14,00,000
		57,70,000
3	**Intangible assets**	
	Patent (8,00,000 – 8,00,000)	**–**
4	**Cash and cash equivalents**	
	Balance with bank (4,60,000 – 6,00,000 – 1,20,000 + 8,00,000)	5,40,000
	Cash on hand	2,40,000
		7,80,000

CHAPTER - 31
Accounting for Branches Including Foreign Branches

Profit/Loss of Dependent Branch if HO Sent Goods to Branch at Cost

Question 1

The Bombay Traders invoiced goods to its Delhi branch at cost. Head Office paid all the branch expenses from its bank account, except petty cash expenses which were met by the Branch. All the cash collected by the branch was banked on the same day to the credit of the Head Office. The following is a summary of the transactions entered into at the branch during the year ended December 31, 20X1.

	₹		₹
Balances as on 1.1.20X1:		Bad Debts	600
Stock	7,000	Goods returned by customers	500
Debtors	12,600	Salaries & Wages	6,200
Petty Cash	200	Rent & Rates	1,200
Goods sent from H.O.	26,000	Sundry Expenses	800
Goods returned to H.O.	1,000	Cash received from Sundry Debtors	28,500
Cash Sales	17,500	Balances as on 31.12.20X1:	
Credit Sales	28,400	Stock	6,500
Allowances to customers	200	Debtors	9,800
Discount to customers	1,400	Petty Cash	100

Prepare: (a) Branch Account (Debtors Method), (b) Branch Stock Account, Branch Profit & Loss Account, Branch Debtors and Branch Expenses Account by adopting the Stock and Debtors Method and (c) Branch Trading and Profit & Loss Account to prove the results as disclosed by the Branch Account.

Answer

(a) Debtors Method

Delhi Branch Account

20X1		₹	₹	20X1		₹	₹
Jan. 1	To Opening branch assets:			Dec 31	By Bank:		
	Stock	7,000			Cash Sales	17,500	
	Debtors	12,600			Cash from Debtors	28,500	46,000
	Petty cash	200	19,800		By Goods sent to Br. A/c		
Dec. 31	To Goods sent to Br. A/c		26,000		(Returns to H.O.)		1,000
	To Bank:				By Closing branch asset		
	Salaries & Wages	6,200			Stock	6,500	
	Rent & Rates	1,200			Debtors	9,800	
	Sundry Exp.	800	8,200		Petty Cash	100	16,400
	To NP c/f to Gen. P&L A/c		9,400				
			63,400				**63,400**
20X2							
Jan. 1	To Balance b/d		16,400				

(b) Stock and Debtors Method

Branch Stock Account

20X1		₹	20X1		₹	₹
Jan. 1	To balance b/d	7,000	Dec 31	By Sales:		
Dec. 31	To Goods Sent to Branch A/c	26,000		Cash	17,500	
	To Branch P&L A/c	19,900		Credit	28,400	
				Less: Return	(500)	45,400
				By Goods sent to Branch A/c Return		1,000
				By balance c/d		6,500
		52,900				**52,900**
20X2						
Jan. 1	To balance b/d	6,500				

Delhi Branch Debtors Account

20X1		₹	20X1		₹
Jan. 1	To Balance b/d	12,600	Dec. 31	By Cash	28,500
Dec. 31	To Sales	28,400		By Returns	500
				By Allowances	200
				By Discounts	1,400
				By Bad debts	600
				By Balance c/d	9,800
		41,000			**41,000**
20X2 Jan. 1	To Balance b/d	9,800			

Delhi Branch Expenses Account

20X1		₹	20X1		₹
Dec. 31	To Salaries & Wages	6,200	Dec. 31	By Branch P&L A/c	10,500
	To Rent & Rates	1,200			
	To Sundry Expenses	800			
	To Petty Cash expenses (200 – 100)	100			
	To Allowance to customers	200			
	To Discount	1,400			
	To Bad Debts	600			
		10,500			**10,500**

Delhi Branch Profit & Loss Account

20X1		₹	20X1		₹
Dec. 31	To Branch Exp. A/c	10,500		By Gross Profit b/d	19,900
	To NP c/f to General P & L A/c	9,400			
		19,900			**19,900**

(c) Branch Trading and Profit and Loss Account

Particulars		₹	Particulars			₹
To Stock		7,000	By Sales:			
To Goods sent from H.O.	26,000		Cash		17,500	
Less: Returns to H.O.	(1,000)	25,000	Credit	28,400		
To Gross profit c/d		19,900	Less: returns	(500)	27,900	45,400
			By Closing Stock			6,500
		51,900				**51,900**
To Salaries & Wages		6,200	By Gross Profit b/d			19,900
To Rent & Rates		1,200				
To Sundry Exp.		800				
To Petty Cash Exp.		100				
To Allowances to Customers		200				
To Discounts		1,400				
To Bad Debts		600				
To Net Profit		9,400				
		19,900				**19,900**

Question 2

Buckingham Bros, Bombay have a branch at Nagpur. They send goods at cost to their branch at Nagpur. However, direct purchases are also made by the branch for which payments are made at head office. All the daily collections are transferred from the branch to the head office.

From the following, prepare Nagpur branch account in the books of head office by Debtors method:

	₹		₹
Opening balance (1-1-20X1):		Petty Cash expenses	4,000
Imprest Cash	2,000	Bad Debts	1,000
Sundry Debtors	25,000	Discount to Customers	2,000
Stock: Transferred from H.O.	24,000	Remittances to H.O. (received by H.O.)	1,65,000
Direct Purchases	16,000	Remit. to H.O. (not rec. by H.O. so far)	5,000
Cash Sales	45,000	Branch Exp. directly paid by H.O.	30,000
Credit Sales	1,30,000	Closing Balance (31-12-20X1):	
Direct Purchases	45,000	Stock: Direct Purchase	10,000
Returns from Customers	3,000	Transfer from H.O.	15,000
Goods sent to branch from H.O.	60,000	Debtors	?
Transfer from H.O. for Petty Cash exp.	4,000	Imprest Cash	?

Also prepare Nagpur Branch Trading and Profit and Loss Account in the books of head office.

Answer

In the Books of Buckingham Bros, Bombay Nagpur Branch Account

Particulars	₹	Particulars		₹

To Opening Branch Assets:		By Bank: Remittances by branch:		
Stock (24,000 + 16,000)	40,000	Cash Sales	45,000	
Debtors	25,000	Cash from Debtors (Note)	1,20,000	
Imprest Cash	2,000	Cash in transit (Note)	5,000	1,70,000
To Goods sent to Branch A/c	60,000	By Closing Branch Assets:		
To Creditors (Direct Purchases)	45,000	Stock (15,000 + 10,000)		25,000
To Bank (Sundry exp.)	30,000	Debtors (W.N. 1)		24,000
To Bank (Petty cash exp.)	4,000	Imprest Cash (W.N. 2)		2,000
To N.P. trans. to Gen. Profit & Loss A/c	15,000			
	2,21,000			**2,21,000**

Nagpur Branch-Trading and Profit and Loss Account for the year ending 31st December, 20X1

Particulars	₹	Particulars	₹	₹
To Opening Stock	40,000	By Sales		
To Goods transferred from Head Office	60,000	Cash	45,000	
To Purchases	45,000	Credit sales	1,30,000	
To Gross Profit c/d	52,000	Less: Returns	(3,000)	1,72,000
		By Closing Stock		25,000
	1,97,000			**1,97,000**
To Expenses	30,000	By Gross Profit b/d		52,000
To Discounts	2,000			
To Bad Debts	1,000			
To Petty Cash Expenses	4,000			
To NP transferred to General P&L A/c	15,000			
	52,000			**52,000**

Working Notes:

1. Memorandum Debtors A/c

Particulars	₹	Particulars	₹
To Bal b/d	25,000	By Sales Return	3,000
To Sales	130,000	By Bad Debts	1,000
		By Discount	2,000
		By Cash (Note)	1,25,000
		By Bal c/d	24,000
	155,000		**155,000**

2. Memorandum Petty Cash

Particulars	₹	Particulars	₹
To Bal b/d	2,000	By Expenses (met by Branch)	4,000
To Transfer from H.O.	4,000	By Bal c/d	2,000
	6,000		**6,000**

Note: Collection from Debtors = Total Remittances (1,65,000 + 5,000) – Cash Sales (45,000) = ₹ 1,25,000

Question 3

From the following particulars relating to Pune branch for the year ending December 31, 20X1, prepare Branch Account in the books of Head office.

		₹
Stock at Branch on January 1, 20X1		10,000
Branch Debtors on January 1, 20X1		4,000
Branch Debtors on Dec. 31, 20X1		4,900
Petty cash at branch on January 1, 20X1		500
Furniture at branch on January 1, 20X1		2,000
Prepaid fire insurance premium on January 1, 20X1		150
Salaries outstanding at branch on January 1, 20X1		100
Good sent to Branch during the year		80,000
Cash Sales during the year		1,30,000
Credit Sales during the year		40,000
Cash received from debtors		35,000
Cash paid by the branch debtors directly to the Head Office		2,000
Discount allowed to debtors		100
Cash sent to branch for Expenses:		
Rent	2,000	
Salaries	2,400	
Petty Cash	1,000	
Annual Insurance up to March 31, 20X2	600	6,000
Goods returned by the Branch		1,000
Goods returned by the debtors		2,000
Stock on December 31, 20X1		5000
Petty Cash spent by branch		850
Provide depreciation on furniture 10% p.a.		

Goods costing ₹ 1,200 were and a sum of ₹ 1,000 was received from the Insurance Company.

Answer

Pune Branch Account

Particulars	₹	₹	Particulars	₹	₹
To Opening Balance			By Opening Balance:		
Stock		10,000	Salaries outstanding		100
Debtors		4,000	By Remittances:		
Petty Cash		500	Cash sales	1,30,000	
Furniture		2,000	Cash rec. from debtors	35,000	
Prepaid Insurance		150	Cash paid by deb. to H.O.	2,000	
To Goods sent to Br. A/c		80,000	Rec. Insurance Company	1,000	1,68,000
To Bank (expenses)			By Good sent to br. (Return)		1,000

Rent	2,000		By Closing Balances:		
Salaries	2,400		Stock		5,000
Petty Cash	1,000		Petty Cash		650
Insurance	600	6,000	Debtors		4,900
To Net Profit		78,950	Furniture (2,000 – 10% dep.)		1,800
			Prepaid ins. (1/4 x ₹ 600)		150
		1,81,600			**1,81,600**

Working Note:

Calculation of petty cash balance at the end:	**₹**
Opening balance	500
Add: Cash received form the Head Office	1,000
Total Cash with branch	1,500
Less: Spent by the branch	(850)
Closing balance	650

Question 4

Arnold of Delhi, trades in Ghee and Oil. It has a branch at Lucknow. He dispatches 25 tins of Oil @ ₹ 1,000 per tin and 15 tins of Ghee @ ₹ 1,500 per tin on 1st of every month. The branch incurs some expenditure which is met out of its collections; this is in addition to expenditure directly paid by Head Office.

Following are the other details:

		Delhi (₹)	**Lucknow (₹)**
Purchases	Ghee	14,75,000	–
	Oil	29,32,000	–
Direct expenses		3,83,275	–
Expenses paid by H.O.		–	14,250
Sales	Ghee	18,46,350	3,42,750
	Oil	27,41,250	3,15,730
Collection during the year		–	6,47,330
Remittance by Branch to Head Office		–	6,13,250

	(Delhi)	
Balance as on:	**1-1-20X1**	**31-12-20X1**
Stock: Ghee	1,50,000	3,12,500
Oil	3,50,000	4,17,250
Debtors	7,32,750	–
Cash on Hand	70,520	55,250
Furniture & Fittings	21,500	19,350
Plant/Machinery	3,07,250	7,73,500

	(Lucknow)	
Balance as on:	**1-1-20X1**	**31-12-20X1**
Stock: Ghee	17,000	13,250
Oil	27,000	44,750
Debtors	75,750	?
Cash on Hand	7,540	12,350
Furniture & Fittings	6,250	5,625
Plant/Machinery	–	

Addition to Plant/Machinery on 1-1-20X1 ₹ 6,02,750.

Rate of Depreciation: Furniture/Fittings @ 10% and Plant/Machinery @ 15% (already adjusted in the above figures).

The Branch Manager is entitled to 10% commission after charging such commission whereas, the General Manager is entitled to 10% commission on overall company profits after charging such commission. General Manager is also entitled to a salary of ₹ 2,000 p.m. General expenses incurred by H.O. ₹ 24,000.

Prepare Branch Account in the head office books and also prepare the Arnold's Trading and Profit and Loss A/c (excluding branch transactions).

Answer

In the books of Arnold

Lucknow Branch Account

	₹		₹
To Balance b/d:		By Bank (Remittance)	6,13,250
Opening stock:		By Balance c/d:	
Ghee	17,000	Closing stock:	
Oil	27,000	Ghee	13,250
Debtors	75,750	Oil	44,750
Cash on hand	7,540	Debtors (W.N. 1)	86,900
Furniture & fittings	6,250	Cash on hand (W.N. 2)	12,350
To Goods sent to Branch A/c		Furniture & fittings	5,625
Ghee (15 x 1500 x 12)	2,70,000		
Oil (25 x 1000 x 12)	3,00,000		
To Bank (Expenses paid)	14,250		
To Br. Manager comm.	5,303		
(₹ 58,335 x 1/11)			
To N.P. trans. to General P&L A/c	53,032		
	7,76,125		**7,76,125**

Arnold Trading and Profit and Loss account for the year ended 31st December, 20X1

(Excluding branch transactions)

	₹		₹
To Opening Stock:		By Sales:	

Ghee		1,50,000	Ghee		18,46,350
Oil		3,50,000	Oil		27,41,250
To Purchases:			By Closing Stock:		
Ghee	14,75,000		Ghee		3,12,500
Less: GSTB	(2,70,000)	12,05,000	Oil		4,17,250
Oil	29,32,000				
Less: GSTB	(3,00,000)	26,32,000			
To Direct Expenses		3,83,275			
To Gross Profit c/d		5,97,075			
		53,17,350			**53,17,350**
To Manager's Salary (Balance c/d)		24,000	By Gross Profit b/d		5,97,075
To General Expenses		24,000	By Branch Profit transferred		53,032
To Depreciation:					
Furniture @10%	2,150				
Plant & Machinery @ 15% (W.N.3)	1,36,500	1,38,650			
To General Manager's Commission @ 10% (i.e., 4,63,457 x 1/11)		42,132			
To Net profit		4,21,325			
		6,50,107			**6,50,107**

Working Notes:

(1) Memorandum Branch Debtors Account

	₹		₹
To Balance b/d	75,750	By Cash Collections (including Cash Sales)	6,47,330
To Sales (including Cash Sales)		By Balance c/d	86,900
Ghee	3,42,750		
Oil	3,15,730		
	7,34,230		**7,34,230**

(2) Memorandum Branch Cash Account

	₹		₹
To Balance b/d	7,540	By Remittance	6,13,250
To Collections	6,47,330	By Exp. (Balance fig.)	29,270
		By Balance c/d	12,350
	6,54,870		**6,54,870**

(3) Depreciation on Plant & Machinery

= 3,07,250 x 15% + 6,02,750 x 15% = ₹ 1,36,500

Profit/Loss of Dependent Branch if HO Sent Goods to Branch at Invoice Price

Question 5

Harrison of Chennai has a branch at New Delhi to which goods are sent @ 20% above cost. The branch makes both cash and credit sales. Branch expenses are met partly from H.O. and partly by the branch. The statement of expenses incurred by the branch every month is sent to head office for recording.

Following further details are given for the year ended 31st December, 20X1:

		₹
Cost of goods sent to Branch at cost		2,00,000
Goods received by Branch till 31-12-20X1 at invoice price		2,20,000
Credit Sales for the year @ invoice price		1,65,000
Cash Sales for the year @ invoice price		59,000
Cash Remitted to head office		2,22,500
Expenses paid by H.O		12,000
Bad Debts written off		750
Balances as on	**1-1-20X1 (₹)**	**31-12-20X1 (₹)**
Stock	25,000 (Cost)	28,000 (invoice price)
Debtors	32,750	26,000
Cash in Hand	5,000	2,500

Show necessary ledger accounts in the books of the head office and determine the Profit or Loss of the Branch for the year ended 31st December, 20X1.

Also prepare branch account following debtors' method.

Answer

Books of Harrison

Branch Stock Account

	₹			₹
To Balance b/d	30,000	By Branch Debtors (Sales)		1,65,000
To Goods Sent to Branch A/c	2,40,000	By Branch Cash		59,000
To Branch Adjustment A/c (Balancing Figure – Excess of Sale over Invoice Price)	2,000	By Balance c/d		
		Goods in Transit (₹ 2,40,000 – ₹ 2,20,000)	20,000	
		Closing Stock at Branch	28,000	48,000
	2,72,000			**2,72,000**

Branch Debtors Account

	₹		₹
To Balance b/d	32,750	By Bad debts written off	750
To Branch Stock A/c (Sales)	1,65,000	By Branch Cash (bal. fig.)	1,71,000
		By Balance c/d	26,000
	1,97,750		**1,97,750**

Branch Cash Account

	₹		₹
To Balance b/d	5,000	By Bank Remittance to H.O.	2,22,500
To Branch Stock	59,000	By Branch Expenses	10,000
To Branch Debtors	1,71,000	[met by Branch (Bal. fig.)]	
		By Balance c/d	2,500
	2,35,000		**2,35,000**

Branch Adjustment Account

	₹		₹
To Branch P&L - Gross Profit (Bal. fig.)	39,000	By Stock Reserve opening (25,000 x 20%)	5,000
To Stock Reserve closing (48,000 × 1/6)	8,000	By Goods sent to Branch A/c	40,000
		By Branch Stock A/c	2,000
	47,000		**47,000**

Branch Expenses

	₹		₹
To Cash (H.O)	12,000	By Branch P&L A/c	22,000
To Branch Cash	10,000		
	22,000		**22,000**

Branch Profit and Loss Account

	₹		₹
To Branch Expenses	22,000	By Gross Profit (Br. Adjustment A/c)	39,000
To Branch Debtors (bad debts)	750		
To Net Profit	16,250		
	39,000		**39,000**

Goods Sent to Branch Account

	₹		₹
To Branch Adjustment A/c	40,000	By Branch Stock A/c	2,40,000
To Purchase A/c – Transfer	2,00,000		
	2,40,000		**2,40,000**

As per Debtors Method

Books of Harrison

New Delhi Branch Account

	₹		₹
To Balance B/d		By Stock Reserve	5,000
Stock	30,000	By Goods Sent to Branch A/c	40,000
Debtors	32,750	By Cash - Remittance from branch	2,22,500
Cash	5,000	By Balance c/d	
To Goods Sent to Branch A/c	2,40,000	Debtors	26,000

(2,00,000 + 20%)		Stock (including Transit – W.N 2)	48,000
To Cash (Exp. paid by H.O.)	12,000	Cash	2,500
To NP c/f to Profit & Loss A/c (B.F.)	16,250		
To Stock reserve (48,000 x 20/120)	8,000		
	3,44,000		**3,44,000**

Working Note:

Closing Stock = Stock at branch + Stock in Transit (Goods sent by HO – Goods Received by Branch)

= ₹ 28,000 + (₹ 2,40,000 – ₹ 2,20,000) = ₹ 48,000

Question 6

Hindustan Industries Mumbai has a branch in Cochin to which office goods are invoiced at cost plus 25%. The branch sells both for cash and on credit. Branch Expenses are paid direct from head office, and the Branch has to remit all cash received into the Head Office Bank Account.

From the following details, relating to calendar year 20X1, prepare the accounts in the Head Office Ledger and ascertain the Branch Profit. Branch does not maintain any books of account, but sends weekly returns to the Head Office:

	₹
Goods received from Head Office at invoice price	6,00,000
Returns to Head Office at invoice price	12,000
Stock at Cochin as on 1st Jan., 20X1	60,000
Sales in the year - Cash	2,00,000
Credit	3,60,000
Sundry Debtors at Cochin as on 1st Jan. 20X1	72,000
Cash received from Debtors	3,20,000
Discount allowed to Debtors	6,000
Bad debts in the year	4,000
Sales returns at Cochin Branch	8,000
Rent, Rates, Taxes at Branch	18,000
Salaries, Wages, Bonus at Branch	60,000
Office Expenses	6,000
Stock at Branch on 31st Dec. 20X1 at invoice price	1,20,000

Prepare Branch accounts in books of head office by Stock and debtors method.

Answer

Books of Hindustan Industries, Mumbai

Cochin Branch Stock Account

	₹		₹
To Balance b/d - Op Stock	60,000	By Bank A/c - Cash Sales	2,00,000
To Branch Debtors A/c (sales return)	8,000	By Branch Debtors A/c - Credit Sales	3,60,000

To Goods sent to Branch A/c	6,00,000	By Goods sent to Br. (Returns to H.O.)	12,000
To Branch Adj. A/c (Excess of Selling Price over Invoice Price B.F.)	24,000	By Balance c/d - Closing stock	1,20,000
	6,92,000		**6,92,000**

Cochin Branch Stock Adjustment Account

	₹		₹
To Goods sent to Branch A/c	2,400	By Balance b/d (1/5 of ₹ 60,000)	12,000
(1/5 of ₹ 12,000) (on returns)		By Goods sent to Branch A/c	1,20,000
To Br. P&L A/c (Profit on sale) - B/f	1,29,600	(1/5 of ₹ 6,00,000)	
To Balance c/d (1/5 of ₹ 1,20,000)	24,000	By Branch Stock	24,000
	1,56,000		**1,56,000**

Goods Sent to Branch Account

	₹		₹
To Cochin Br. Stock Adjustment A/c	1,20,000	By Cochin Branch Stock A/c	6,00,000
To Cochin Branch Stock A/c (Return)	12,000	By Cochin Branch Stock Adj. A/c	2,400
To Purchases A/c (B.F.)	4,70,400		
	6,02,400		**6,02,400**

Branch Debtors Account

	₹		₹
To Balance b/d	72,000	By Bank	3,20,000
To Branch Stock A/c	3,60,000	By Branch P&L A/c Discount	6,000
		By Branch P&L A/c - Bad Debts	4,000
		By Branch Stock - Sales Returns	8,000
		By Balance c/d (B.F.)	94,000
	4,32,000		**4,32,000**

Branch Expenses Account

	₹		₹
To Bank A/c (Rent, Rates & Taxes)	18,000	By Branch Profit & Loss A/c	84,000
To Bank A/c (Salaries & Wages)	60,000	(Transfer) (B.F.)	
To Bank A/c (office exp.)	6,000		
	84,000		**84,000**

Branch Profit & Loss Account for the year ending 31st Dec. 20X1

	₹		₹
To Branch Expenses A/c	84,000	By Branch Stock Adj. A/c	1,29,600
To Branch Debtors A/c	6,000		
To Branch Debtors A/c	4,000		
To N.P. transfer. to Profit & Loss A/c	35,600		
	1,29,600		**1,29,600**

Question 7

M/s Marena, Delhi has a branch at Bangalore to which office goods are invoiced at cost plus 25%. The branch sells both for cash and on credit.

Branch Expenses are paid direct from head office and the Branch has to remit all cash received into the Head Office Bank Account.

From the following details, relating to calendar year 20X1, prepare the accounts in the Head Office Ledger and ascertain the Branch Profit under Stock and Debtors Method'.

Branch does not maintain any books of account, but sends weekly returns to the Head Office.

	₹
Goods received from Head Office at invoice price	45,00,000
Returns to Heads Office at invoice price	90,000
Stock at Bangalore as on 1st January, 20X1	4,50,000
Sales during the year - Cash	15,00,000
- Credit	27,00,000
Sundry Debtors at Bangalore as on 1st January, 20X1	5,40,000
Cash received from Debtors	24,00,000
Discount allowed to Debtors	45,000
Bad Debts in the year	30,000
Sales returns at Bangalore Branch	60,000
Rent, Rates and Taxes at Branch	1,35,000
Salaries, Wages and Bonus at Branch	4,50,000
Office Expenses	45,000
Stock at Branch on 31st December, 20X1 at invoice price	9,00,000

Answer

Bangalore Branch Stock Account

Particulars	Amount (₹)	Particulars	Amount (₹)
To Balance b/d	4,50,000	By Goods sent to branch A/c (Return)	90,000
To Goods sent to branch A/c	45,00,000	By Bank A/c (Cash sales)	15,00,000
To Branch debtors A/c (Returns)	60,000	By Branch debtors A/c (credit sales)	27,00,000
To Branch adjustment A/c (Surplus over invoice price)	1,80,000	By Balance c/d	9,00,000
	51,90,000		**51,90,000**

Bangalore Branch Adjustment Account

Particulars	Amount (₹)	Particulars	Amount (₹)
To Stock reserve – 20% of ₹ 9,00,000 (closing stock)	1,80,000	By Stock reserve 20% of 4,50,000 (Opening stock)	90,000
To Branch profit & loss A/c (Gross profit)	9,72,000	By Goods sent to branch A/c 20% of ₹ 44,10,000 (45,00,000 – 90,000)	8,82,000

		By Branch stock A/c	1,80,000
	11,52,000		**11,52,000**

Branch Profit & Loss Account

Particulars	Amount (₹)	Particulars	Amount (₹)
To Branch expenses A/c	6,30,000	By Branch adjustment A/c (G.P.)	9,72,000
To Branch debtor's A/c (Discount)	45,000		
To Branch Debtors A/c (Bad debts)	30,000		
To Net profit (trans. to Profit & Loss A/c)	2,67,000		
	9,72,000		**9,72,000**

Branch Expenses Account

Particulars	Amount (₹)	Particulars	Amount (₹)
To Bank A/c (Rent, rates & taxes)	1,35,000	By Branch profit and loss A/c	6,30,000
To Bank A/c (Salaries, wages & bonus)	4,50,000		
To Bank A/c (Office expenses)	45,000		
	6,30,000		**6,30,000**

Branch Debtors Account

Particulars	Amount (₹)	Particulars	Amount (₹)
To Balance b/d	5,40,000	By Bank A/c	24,00,000
To Branch stock A/c	27,00,000	By Branch profit and loss A/c	75,000
		(Bad debts and discount)	
		By Branch stock A/c (Sales returns)	60,000
		By Balance c/d (bal. fig.)	7,05,000
	32,40,000		**32,40,000**

Goods sent to Branch Account

Particulars	Amount (₹)	Particulars	Amount (₹)
To Branch stock A/c	90,000	By Branch stock A/c	45,00,000
To Branch adjustment A/c	8,82,000		
To Purchases A/c	35,28,000		
	45,00,000		**45,00,000**

Question 8

Vijay & Co. of Jaipur has a branch in Patna to which goods are sent @ 20% above cost. The branch makes both cash & credit sales. Branch expenses are paid direct from Head office and the branch has to remit all cash received into the bank account of Head office. Branch doesn't maintain any books of accounts, but sends monthly returns to the head office.

Following further details are given for the year ended 31st March, 20X2:

	Amount (₹)
Goods received from Head office at Invoice Price	8,40,000

Goods returned to Head office at Invoice Price	60,000
Cash sales for the year 20X1-X2	1,85,000
Credit Sales for the year 20X1-X2	6,25,000
Stock at Branch as on 01-04-20X1 at Invoice price	72,000
Sundry Debtors at Patna branch as on 01-04-20X1	96,000
Cash received from Debtors	4,38,000
Discount allowed to Debtors	7,500
Goods returned by customer at Patna Branch	14,000
Bad debts written off	5,500
Amount recovered from Bad debts previously written off as Bad	1,000
Rent, Rates & taxes at Branch	24,000
Salaries & wages at Branch	72,000
Office Expenses (at Branch)	9,200
Stock at Branch as on 31-03-20X2 at cost price	1,25,000

Prepare necessary ledger accounts in the books of Head office by following Stock and Debtors method and ascertain Branch profit.

Answer

Branch Stock Account

Particulars	₹	Particulars		₹
To Balance b/d	72,000	By Sales:		
To Goods Sent to Branch A/c	8,40,000	Cash	1,85,000	
To Branch P&L A/c	94,000	Credit	6,25,000	
		Less: Return	(14,000)	7,96,000
		By Goods Sent to Branch A/c		60,000
		By Balance c/d		1,50,000
	10,06,000			**10,06,000**

Branch Debtors Account

Particulars	₹	Particulars	₹
To Balance b/d	96,000	By Cash	4,38,000
To Sales	6,25,000	By Returns	14,000
		By Discounts	7,500
		By Bad debts	5,500
		By Balance c/d	2,56,000
	7,21,000		**7,21,000**

Branch Expenses Account

Particulars	₹	Particulars	₹
To Salaries & Wages	72,000	By Branch P&L A/c	1,18,200
To Rent, Rates & Taxes	24,000		
To Office Expenses	9,200		

To Discounts	7,500		
To Bad Debts	5,500		
	1,18,200		**1,18,200**

Branch Profit & Loss Account for year ended 31.3.X2

Particulars	**₹**	**Particulars**	**₹**
To Branch Expenses A/c	1,18,200	By Branch stock	94,000
To Net Profit trans. to General P&L A/c	93,800	By Branch Stock Adjustment A/c	1,17,000
		By Bad debts recovered	1,000
	2,12,000		**2,12,000**

Branch Stock Adjustment Account for year ended 31.3.20X2

Particulars	**₹**	**Particulars**	**₹**
To Goods sent to branch - returns	10,000	By Balance b/d (72,000 x 1/6)	12,000
(60,000 x 1/6)		By Goods sent to branch	1,40,000
To Branch P&L A/c	1,17,000	(8,40,000 x 1/6)	
To Balance c/d (1,50,000 x 1/6)	25,000		
	1,52,000		**1,52,000**

Question 9

Modern Stores of Delhi operates a branch at Nagpur. The Head office affects all purchases and the branch is charged at cost plus 60%. All the cash received by Nagpur Branch is remitted to Delhi. The Branch expenses are met by the Branch out of an Imprest Account which is reimbursed by the Delhi Head Office every month. The Branch maintains a Sales Ledger and certain essential subsidiary records, but otherwise all branch transactions are recorded at Delhi.

The following branch transactions took place during the year ended 31st March, 20X2:

	₹
Goods received from Delhi at Selling Price	1,50,000
Cash Sales	69,000
Goods returned to Delhi at Selling Price	3,000
Credit Sales (Net of returns)	63,000
Authorized Reduction in Selling Price of Goods Sold	1,500
Cash Received from Debtors	48,000
Debtors written off as irrecoverable	2,000
Cash Discount allowed to Debtors	1,500

- On 1st April, 20X1 the Stock in trade at the Branch at Selling Price amounted to ₹ 60,000 and the Debtors were ₹ 40,000.
- A consignment of goods sent to the Branch on 27th March, 20X2 with a Selling Price of ₹ 1,800 was not received until 5th April, 20X2 and had not been accounted for in stock.
- The Closing Stock at Selling Price was ₹ 72,900.
- The expenses relating to the Branch for the year ended 31st March, 20X2 amounted to ₹ 18,000.

You are required to prepare the Branch Stock Account, Branch Debtors Account, Branch Adjustment Account and Branch Profit and Loss Account maintained at Delhi under Stock and Debtors method. Any stock unaccounted for is to be regarded as normal wastage.

Answer

Books of Modern Store Delhi

Nagpur Branch Stock A/c

Particulars	₹	Particulars	₹
To Opening stock	60,000	By Bank A/c (Cash Sales)	69,000
To Goods sent to branch A/c	1,50,000	By Branch Debtors A/c (Credit sales)	63,000
To Goods sent to branch A/c	1,800	By Goods sent to branch A/c (Return)	3,000
		By Branch adjustment A/c (Reduction in selling price)	1,500
		By Br. adjustment A/c (Normal Loss)	600
		By Closing stock (including stock in transit of ₹ 1,800)	74,700
	2,11,800		**2,11,800**

Branch Debtors A/c

Particulars	₹	Particulars	₹
To Bal. b/d	40,000	By Cash/Bank A/c	48,000
To Branch Stock (Sales)	63,000	By Branch P&L A/c (Bad debts)	2,000
		By Branch P&L A/c (Discount)	1,500
		By Balance c/d	51,500
	103,000		**103,000**

Branch Adjustment A/c

Particulars	₹	Particulars	₹
To Branch Stock Account (Reduction in selling price)	1,500	By Stock reserve A/c (60,000 x 60/160)	22,500
To Br. Stock Account (Normal loss)	600	By Goods sent to br. A/c (Loading)	56,925
To Goods sent to br. A/c (loading on return) (3,000 x 60/160)	1,125	(1,51,800 x 60/160)	
To Branch P&L A/c	48,187		
To Stock reserve (74,700 x 60/160)	28,013		
	79,425		**79,425**

Branch P&L A/c

Particulars	₹	Particulars	₹
To Branch expenses A/c	18,000	By Branch Adjustment A/c	48,187
To Bad debts A/c	2,000		
To Discount A/c	1,500		
To Net Profit	26,687		

	48,187		**48,187**

Question 10

Jolly Industries of Delhi is a trader in spices. It has a branch at Jalandhar to which Head office invoice goods at 20% on sales. The Jalandhar branch sells spices both on cash and credit. Branch remit all the cash received to Head Office Bank account, thus all expenses of branch are also directly paid from head office.

From the following information given, Prepare Branch Accounts in the Head office ledger using Stock and Debtors Method.

Branch does not maintain any books of account, but send fortnightly returns to Head office.

	₹
Stock at Jalandhar Branch as on 1st April, 20X1 (Cost Price)	1,00,000
Sundry Debtors at Jalandhar as on 1st April, 20X1	1,10,000
Cash received from Debtors	3,45,000
Cash sales	1,04,000
Bad debts during the year	9,500
Discount allowed to Debtors	5,500
Goods received from Head Office at Invoice Price	6,00,000
Returns to Head office at Invoice Price	60,000
Normal loss of goods during transport (Out of Goods sent by H.O. to Branch)	12,000
Sales returns at Jalandhar Branch	11,000
Salaries and staff welfare expenses at Branch	54,000
Rent and taxes at Branch	9,000
Other Office Expenses	2,500
Sundry Debtors at Branch as at 31st March 20X2	1,55,000
Stock at Jalandhar as on 31st March, 20X2 (Cost Price)	1,20,000

Credit sales at Branch are four times of the cash Sales at Branch.

Answer

Books of Jolly Industries, Delhi

Jalandhar Branch Stock Account

Particulars	**₹**	**Particulars**	**₹**
To Balance b/d - Op Stock	1,25,000	By Bank A/c - Cash Sales	1,04,000
To Branch Debtors A/c - Sales Return	11,000	By Branch Debtors A/c - Credit Sales	4,16,000
To Goods sent to Branch A/c (6,00,000 + 12,000)	6,12,000	By Goods sent to Br. (Returns to H.O.)	60,000
		By Br. Stock Adj. A/c (Normal Loss)	12,000
		By Branch Stock Adjustment A/c (Abnormal Loss) (bal. fig.)	6,000
		By Balance c/d - Closing stock	1,50,000
	7,48,000		**7,48,000**

Jalandhar Branch Stock Adjustment Account

Particulars	₹	Particulars	₹
To Goods sent to Branch A/c (1/5 of ₹ 60,000) (on returns)	12,000	By Balance b/d (20% of 1,25,000)	25,000
		By Good sent to Br. A/c (1/5 of ₹ 6,12,000)	1,22,400
To Branch Stock A/c (abnormal Loss) (6,000 x 1/5)	1,200		
To Branch Stock A/c (Normal Loss)	12,000		
To Balance c/d (1/5 of ₹ 1,50,000)	30,000		
To Br. P&L A/c (Profit on sale) Bal fig	92,200		
	1,47,400		**1,47,400**

Goods Sent to Branch Account

Particulars	₹	Particulars	₹
To Jalandhar Branch Stock Adj. A/c	1,22,400	By Jalandhar Branch Stock A/c	6,12,000
To Jalandhar Br. Stock A/c (Returns)	60,000	By Jalandhar Branch Stock Adj. A/c	12,000
To Purchases A/c	4,41,600		
	6,24,000		**6,24,000**

Branch Debtors Account

Particulars	₹	Particulars	₹
To Balance b/d	1,10,000	By Bank	3,45,000
To Branch Stock A/c	4,16,000	By Branch P&L A/c – Discount	5,500
		By Branch P&L A/c - Bad Debts	9,500
		By Branch Stock - Sales Returns	11,000
		By Balance c/d	1,55,000
	5,26,000		**5,26,000**

Branch Expenses Account

Particulars	₹	Particulars	₹
To Bank A/c (Rent & Taxes)	9,000	By Branch Profit & Loss A/ (Transfer)	65,500
To Bank A/c (Salaries & Staff Welfare expenses)	54,000		
To Bank A/c (office expenses)	2,500		
	65,500		**65,500**

Branch Profit & Loss Account for the year ending 31st March 20X2

Particulars	₹	Particulars	₹
To Branch Expenses A/c	65,500	By Branch Stock Adj. A/c	92,200
To Branch Debtors A/c	5,500		
To Branch Debtors A/c	9,500		
To Abnormal Loss (cost)	4,800		
To Net Profit trans. to P&L A/c	6,900		
	92,200		**92,200**

Question 11

Sell Well who carried on a retail business opened a branch X on January 1, 20X1 where all sales were on credit basis. All goods required by the branch were supplied from the Head Office and were invoiced to the branch at 10% above cost.

The following were the transactions:

	Jan. 20X1 (₹)	Feb. 20X1 (₹)	March 20X1 (₹)
Goods sent to Branch (Purchase Price)	40,000	50,000	60,000
Sales as shown by the branch monthly report	38,000	42,000	55,000
Cash received from Debtors and remitted to H.O.	20,000	51,000	35,000
Returns to H.O. (Invoice price to Branch)	1,200	600	2,400

The stock of goods held by the branch on March 31, 20X1 amounted to ₹ 53,400 at invoice to branch.

Record these transactions in the Head Office books, showing balances as on 31st March, 20X1 and the branch gross profit for the three months ended on that date.

All workings should form part of your solution.

Answer

Books of Sell Well

Branch Account

	₹			₹
To Goods sent to Branch A/c	1,65,000	By Goods sent to Branch - Loading		15,000
(1,50,000 + 10%)		By Goods sent to Branch - returns		4,200
To Goods sent to Branch A/c	382	By Bank		1,06,000
(4,200 x 10/110)		By Balance c/d		
To Stock Reserve (53,400 x 10/110)	4,855	Stock	53,400	
To N.P. (B.f.) t/f to General P&L A/c	37,363	Debtors	29,000	82,400
	2,07,600			**2,07,600**

Working Note:

Memorandum Branch Debtors Account

	₹		₹
To Balance b/d	–	By Cash/Bank	1,06,000
To Sales	1,35,000	By Balance c/d	29,000
	1,35,000		**1,35,000**

Goods Sent to Branch Account

	₹		₹
To Branch A/c - Loading	15,000	By Branch A/c	1,65,000
To Branch A/c - Returns	4,200	By Branch A/c - Loading on returns	382
To Purchases A/c	1,46,182		
	1,65,382		**1,65,382**

Question 12

Widespread invoices goods to its branch at cost plus 20%. The branch sells goods for cash as well as on credit. The branch meets its expenses out of cash collected from its debtors and cash sales and remits the balance of cash to head office after withholding ₹ 10,000 necessary for meeting immediate requirements of cash. On 31st March, 20X1 the assets at the branch were as follows:

	₹ ('000)
Cash in Hand	10
Trade Debtors	384
Stock, at Invoice Price	1,080
Furniture and Fittings	500

During the accounting year ended 31st March, 20X2 the invoice price of goods dispatched by the head office to the branch amounted to ₹ 1 crore 32 lakhs. Out of the goods received by it, the branch sent back to head office goods invoiced at ₹ 72,000. Other transactions at the branch during the year were as follows:

	(₹ '000)
Cash Sales	9,700
Credit Sales	3,140
Cash collected by Branch from Credit Customers	2,842
Cash Discount allowed to Debtors	58
Returns by Customers	102
Bad Debts written off	37
Expenses paid by Branch	842

On 1st January, 20X2 the branch purchased new furniture for ₹ 1 lakh for which payment was made by head office through a cheque.

On 31st March, 20X2 branch expenses amounting to ₹ 6,000 were outstanding and cash in hand was again ₹ 10,000. Furniture is subject to depreciation @ 16% per annum on diminishing balance method.

Prepare Branch Account in the books of head office for the year ended 31st March, 20X2.

Answer

In the Head Office Books Branch Account for the year ended 31st March, 20X2

Particulars	₹ '000	Particulars	₹ '000
To Balance b/d:		By Balance b/d:	
Cash in hand	10	Stock reserve (1,080 x 1/6)	180
Trade debtors	384	By Goods sent to branch A/c	72
Stock	1,080	(Returns to H.O.)	
Furniture and fittings	500	By Goods sent to branch A/c	2,188
To Goods sent to branch A/c	13,200	(Loading on net goods sent to br.)	
To Bank A/c (Payment for furniture)	100	By Bank A/c (W.N.5)	11,700
To N.P. trans. to General P/L account	1,096	(Remittance from branch to H.O.)	
To Balance c/d:		By Balance c/d:	
Stock reserve (1,470 x 1/6)	245	Cash in hand	10

Outstanding expenses	6	Trade debtors (W.N.3)	485
		Stock (W.N.1)	1,470
		Furniture and fittings (W.N.4)	516
	16,621		**16,621**

Working Notes:

1. Invoice price and cost

Let cost be	100
So, invoice price	120
Loading	20
Loading: Invoice price = 20:120 =	1:6

2. Memorandum Branch Stock Account

Particulars	₹ '000	Particulars	₹ '000
To Balance b/d	1,080	By Goods sent to branch	72
To Goods sent to branch	13,200	By Branch Cash	9,700
To Branch debtors	102	By Branch debtors	3,140
		By Balance c/d	1,470
	14,382		**14,382**

3. Memorandum Branch Debtors Account

Particulars	₹ '000	Particulars	₹ '000
To Balance b/d	384	By Branch cash	2,842
To Branch stock	3,140	By Branch expenses discount	58
		By Branch stock (Returns)	102
		By Branch expenses (Bad debts)	37
		By Balance b/d	485
	3,524		**3,524**

4. Memorandum Branch Furniture and Fittings Account

Particulars	₹ '000	Particulars	₹ '000
To Balance b/d	500	By Depreciation	84
To Bank	100	[(500 x 16%) + (100 x 16% x 3/12)]	
		By Balance c/d	516
	600		**600**

Note: Since the new furniture was purchased on 1st Jan 20X2 depreciation will be for 3 months.

5. Memorandum Branch Cash Account

Particulars	₹ '000	Particulars	₹ '000
To Balance b/d	10	By Branch expenses	842
To Branch stock	9,700	By Remittances to H.O. (B.F)	11,700
To Branch debtors	2,842	By Balance b/d	10
	12,552		**12,552**

Profit/Loss of Dependent Branch if HO Sent Goods to Branch at Wholesale Price

Question 13

M/s Rahul operates a number of retail outlets to which goods are invoiced at wholesale price which is cost plus 25%. These outlets sell the goods at the retail price which is wholesale price plus 20%.

Following is the information regarding one of the outlets for the year ended 31.3.20X2:

	₹
Stock at the outlet 1.4.20X1	30,000
Goods invoiced to the outlet during the year	3,24,000
Gross profit made by the outlet	60,000
Goods lost by fire	?
Expenses of the outlet for the year	20,000
Stock at the outlet 31.3.20X2	36,000

You are required to prepare the following accounts in the books of Rahul Limited for the year ended 31.3.20X2:

(a) Outlet Stock Account

(b) Outlet Profit & Loss Account

(c) Stock Reserve Account

Answer

Outlet Stock Account

	₹		₹
To Balance b/d	30,000	By Sales (Working Note 1)	3,60,000
To Goods sent to outlet	3,24,000	By Goods lost by fire (b.f.)	18,000
To Gross Profit c/d	60,000	By Balance c/d	36,000
	4,14,000		**4,14,000**

Outlet Profit & Loss Account

	₹		₹
To Expenses	20,000	By Gross Profit b/d	60,000
To Goods lost by fire (W.N.2)	18,000		
To Profit transferred	22,000		
	60,000		**60,000**

Stock Reserve Account

	₹		₹
To HO P&L A/c - Transfer	6,000	By Balance b/d	6,000
To Balance c/d (Stock Res. required)	7,200	By HO P&L A/c (W.N. 3)	7,200
	13,200		**13,200**

Working Notes:

(1) Calculation of sales:

Wholesale Price = 100 + 25 = 125

Retail Price = 125 + 20% = 150

Gross Profit at the outlet = Wholesale Price – Retail Price = (150 – 125) = 25

Retail sales value = 60,000 x 150/25 = ₹ 3,60,000

(2) Goods lost by fire:

Opening Stock + Goods Sent + Gross Profit – Sales – Closing Stock

30,000 + 3,24,000 + 60,000 – 3,60,000 – 36,000 = ₹ 18,000

(3) Stock Reserve

Opening Stock = 30,000 x 25/125 = ₹ 6,000

Closing Stock = 36,000 x 25/125 = ₹ 7,200

Question 14

Following is the information of the Jammu branch of Best New Delhi for the year ending 31st March, 20X2 from the following:

(1) Goods are invoiced to the branch at cost plus 20%.

(2) The sale price is cost to H.O. plus 50%

(3) Other information:

Stock as on 01.04.20X1(invoice price)	₹ 2,20,000
Goods sent during the year (invoice price)	₹ 11,00,000
Sales during the year	₹ 12,00,000
Expenses incurred at the branch	₹ 45,000

Ascertain

(i) The profit earned by the branch during the year.

(ii) Branch stock reserve in respect of unrealized profit.

Answer

(i) Calculation of profit earned by the branch

In the books of Jammu Branch

Trading Account and Profit and Loss Account

Particulars	Amount	Particulars	Amount
To Opening stock	2,20,000	By Sales	12,00,000
To Goods received by Head office	11,00,000	By Closing stock (Refer W.N.)	3,60,000
To Expenses	45,000		
To Net profit (Bal fig)	1,95,000		
	15,60,000		**15,60,000**

(ii) Stock reserve in respect of unrealised profit = ₹ 3,60,000 x (20/120) = ₹ 60,000

Working Note:

	₹

Cost Price	100
Invoice Price	120
Sale Price	150
Calculation of closing stock at invoice price	**₹**
Opening stock at invoice price	2,20,000
Goods received during the year at invoice price	11,00,000
	13,20,000
Less: Cost of goods sold at invoice price [12,00,000 x (120/150)]	(9,60,000)
Closing stock	**3,60,000**

Question 15

Following is information of Kullu Branch of M/s Best Enterprises of Shimla for year ending 31st March 20X2:

(1) Goods are invoiced to the branch at cost plus 20%

(2) Branch sold goods at invoice price plus 25%.

(3) Other Information is as follows:

(i) Stock (at cost price) as on 1st April, 20X1 is ₹ 2,25,000

(ii) Goods sent by Head office to branch during the year (at cost price) are ₹ 14,85,000

(iii) Goods returned by Branch to Head office during the year (at Invoice price) are ₹ 75,000

(iv) Sales by the branch during the year ₹ 19,50,000

(v) Expenses incurred at Branch ₹ 56,000

You are required to ascertain the following:

(a) Profit earned by the Branch by Preparing Trading and profit and loss account for the year ended 31st March 20X2

(b) Also find the stock reserve on Closing stock

Answer

(i) Calculation of profit earned by the branch

In the books of Kullu Branch

Trading and Profit and Loss Account

Particulars	**Amount**	**Particulars**	**Amount**
To Opening stock	2,70,000	By Sales	19,50,000
To Goods received by Head office	17,82,000	By Goods returned by Branch	75,000
To Expenses	56,000	By Closing stock (Refer W.N.)	4,17,000
To Net profit (Bal fig)	3,34,000		
	24,42,000		**24,42,000**

(ii) Stock reserve in respect of unrealised profit = 4,17,000 x (20/120) = ₹ 69,500

Working Note: Calculation of Closing Stock

Cost price	100

Invoice price	120 (100 + 20)
Sales price	150 (120 + 25% of 120)
Opening Stock	2,70,000
Goods received	17,82,000
Less: Goods Returned	(75,000)
	19,77,000
Less: Cost of Goods Sold (Invoice price)	(15,60,000)
Closing Stock	**4,17,000**

Question 16

Beta, having head office at Mumbai has a branch at Nagpur. The head office does wholesale trade only at cost plus 80%. The goods are sent to branch at the wholesale price viz., cost plus 80%. The branch at Nagpur is wholly engaged in retail trade and the goods are sold at cost to H.O. plus 100%.

Following details are furnished for the year ended 31st March, 20X1:

	Head Office (₹)	Branch (₹)
Opening stock	2,25,000	
Purchases	25,50,000	
Goods sent to branch (Cost to H.O. plus 80%)	9,54,000	
Sales	27,81,000	9,50,000
Office expenses	90,000	8,500
Selling expenses	72,000	6,300
Staff salary	65,000	12,000

You are required to prepare Trading and Profit and Loss Account of the head office and branch for the year ended 31st March, 20X1.

Answer

Trading and Profit and Loss A/c for the year ended 31st March 20X1

Particulars	H.O. (₹)	Branch (₹)	Particulars	H.O. (₹)	Branch (₹)
To Opening stock	2,25,000	–	By Sales	27,81,000	9,50,000
To Purchases	25,50,000	–	By Goods sent to Br.	9,54,000	–
To Goods received from H.O.	–	9,54,000	By Closing stock	7,00,000	99,000
To Gross profit c/d	16,60,000	95,000	(W.N.1 & 2)		
	44,35,000	**10,49,000**		**44,35,000**	**10,49,000**
To Office expenses	90,000	8,500	By Gross profit b/d	16,60,000	95,000
To Selling expenses	72,000	6,300			
To Staff salaries	65,000	12,000			
To Br. Stock Res. (W.N.3)	44,000	–			
To Net Profit	13,89,000	68,200			
	16,60,000	**95,000**		**16,60,000**	**95,000**

Working Notes:

(1)	**Calculation of closing stock of head office:**	**₹**
	Opening Stock of head office	2,25,000
	Goods purchased by head office	25,50,000
		27,75,000
	Less: Cost of goods sold [37,35,000 x 100/180]	(20,75,000)
		7,00,000
(2)	**Calculation of closing stock of branch:**	**₹**
	Goods received from head office [At invoice value]	9,54,000
	Less: Invoice value of goods sold [9,50,000 x 180/200]	(8,55,000)
		99,000
(3)	**Calculation of unrealized profit in branch stock:**	
	Branch stock	₹ 99,000
	Profit included	80% of cost
	Hence, unrealized profit would be = ₹ 99,000 x 80/180	**₹ 44,000**

Question 17

Walkaway Footwears has its head office at Nagpur and Branch at Patna. It invoiced goods to its branch at 20% less than the list price which is cost plus 100%, with instruction that cash sales were to be made at invoice price and credit sales at catalogue price (i.e. list price).

The following information was available at the branch for the year ended 31st March, 20X2 **(Figures in ₹)**

Stock on 1st April,20X1 (invoice price)	12,000
Debtors on 1st April, 20X2	10,000
Goods received from head office (invoice price)	1,32,000
Sales: Cash	46,000
Credit	1,00,000
Cash received from debtors	85,000
Expenses at branch	17,500
Debtors on 31st March, 20X2	25,000
Stock on 31st March, 20X2 (invoice price)	17,600
Remittances to head office	1,20,000

You are required to prepare Branch Stock Account, Branch Adjustment Account, Branch Profit & Loss Account and Branch Debtors Account for the year ended 31st March, 20X2.

Answer

In the books of walkaway footwears

Patna Branch Stock Account

Particulars	₹	Particulars	₹
To Balance b/d	12,000	By Bank A/c (Cash sales)	46,000

To Goods Sent to Branch A/c	1,32,000	By Branch debtor A/c (credit sales)	1,00,000
To Branch adjustment A/c	20,000	By Shortage in stock A/c	400
(Surplus over invoice price)		By Balance c/d	17,600
	1,64,000		**1,64,000**

Patna Branch Adjustment Account

Particulars	₹	Particulars	₹
To Stock reserve (closing stock)	6,600	By Stock reserve (Opening stock)	4,500
(₹ 17,600 x 60/160)		(₹ 12,000 x 60/160)	
To Shortage (400 x 60/160)	150	By Goods Sent to Branch A/c	49,500
To Branch profit & loss A/c (Gross profit)	67,250	(₹ 1,32,000 x 60/160)	
		By Branch Stock A/c	20,000
	74,000		**74,000**

Branch Profit & Loss Account

Particulars	₹	Particulars	₹
To Branch expenses A/c	17,500	By Branch adjustment A/c(G.P.)	67,250
To Shortage in stock A/c	250		
To Net profit (trans. to Profit & Loss A/c)	49,500		
	67,250		**67,250**

Branch Debtors Account

Particulars	₹	Particulars	₹
To Balance b/d	10,000	By Bank A/c	85,000
To Branch stock A/c	1,00,000	By Balance c/d (bal. fig.)	25,000
	1,10,000		**1,10,000**

Day to Day Accounting of Independent Branch and Reconciliation of Balance

Question 18

Goods worth ₹ 50,000 sent by head office but the branch has received till closing date goods for worth ₹ 40,000 only. Give journal entry in the books of H.O. and branch for goods in transit.

Answer

Journal entry in the books of Head Office

No entry

Journal entry in the books of Branch

Particulars		Amount (Dr.)	Amount (Cr.)
Goods-in-transit account	Dr.	10,000	
To Head Office account			10,000
(Being goods sent by head office is still in transit)			

Question 19

Alphs having head office in Mumbai has a branch in Nagpur. The branch at Nagpur is an independent branch maintaining separate books of account. On 31.3.20X1, it was found that the goods dispatched by head office for ₹ 2,00,000 was received by the branch only to the extent of ₹ 1,50,000. The balance goods are in transit. What is the accounting entry to be passed by the branch for recording the goods in transit, in its books?

Answer

Journal entry in the books of Nagpur Branch

Particulars		Amount (Dr.)	Amount (Cr.)
Goods-in-transit account	Dr.	50,000	
To Head Office account			50,000
(Being goods sent by head office is still in transit)			

Question 20

Give Journal Entries in the books of an independent Branch to rectify or adjust the following:

(i) Branch paid ₹ 5,000 as salary to H.O supervisor, but the amount paid by branch has been debited to salary account in the books of branch.

(ii) Asset Purchased by branch for ₹ 25,000, but the Asset account was retained in H.O Books.

(iii) A remittance of ₹ 8,000 sent by the branch has not been received by H.O.

(iv) H.O collected ₹ 25,000 directly from the customer of Branch but fails to give the intimation to branch.

(v) Remittance of funds by H.O to branch ₹ 5,000 not entered in branch books.

Answer

Journal Entries in Books of Branch

S. No.	Particulars		Amount (Dr.)	Amount (Cr.)
(i)	Head office account	Dr.	5,000	
	To Salaries account			5,000
	(Being the rectification of salary paid on behalf of H.O.)			
(ii)	Head office account	Dr.	25,000	
	To Bank / Liability A/c			25,000
	(Being Asset purchased by branch but Asset account retained at head office books)			
(iii)	No Entry in Branch Books			
(iv)	Head office account	Dr.	25,000	
	To Debtors account			25,000
	(Being the amount of branch debtors collected by H.O.)			
(v)	Bank A/c	Dr.	5,000	
	To Head Office			5,000
	(Remittance of Funds by H.O. to Branch)			

Question 21

Give Journal Entries in the books of Branch A to rectify or adjust the following:

(i) Head Office expenses ₹ 3,500 allocated to the Branch, but not recorded in the Branch Books.

(ii) Depreciation of branch assets, whose accounts are kept by Head Office not provided earlier for ₹ 1,500.

(iii) Branch paid ₹ 2,000 as salary to a H.O. Inspector, but the amount paid has been debited by the Branch to Salaries account.

(iv) H.O. collected ₹ 10,000 directly from a customer on behalf of the Branch, but no intimation to this effect has been received by the Branch.

(v) A remittance of ₹ 15,000 sent by the Branch has not yet been received by the Head Office.

(vi) Branch A incurred advertisement expenses of ₹ 3,000 on behalf of Branch B.

Answer

Books of Branch A

Journal Entries

S. No.	Particulars		Amount (Dr.)	Amount (Cr.)
(i)	Expenses account	Dr.	3,500	
	To Head office account			3,500
	(Being the allocated expenditure by the head office recorded in branch books)			
(ii)	Depreciation account	Dr.	1,500	
	To Head office account			1,500
	(Being the depreciation provided)			
(iii)	Head office account	Dr.	2,000	
	To Salaries account			2,000
	(Being the rectification of salary paid on behalf of H.O.)			
(iv)	Head office account	Dr.	10,000	
	To Debtors account			10,000
	(Being the adjustment of collection from branch debtors)			
(v)	No entry in branch books			
(vi)	Head Office account	Dr.	3,000	
	To Cash account			3,000
	(Being the expenditure on account of Branch B, recorded in books)			

Note: Entry (vi) Inter branch transactions are routed through Head Office.

Question 22

Pass necessary Journal entries in the books of an independent Branch of a business entity to rectify or adjust the following:

(i) Income of ₹ 2,800 allocated to the Branch by Head Office but not recorded in the Branch books.

(ii) Branch paid ₹3,000 as salary to a Head Office Manager, but the amount paid has been debited by the Branch to Salaries Account.

(iii) Branch incurred travelling expenses of ₹ 5,000 on behalf of other Branches, this was not recorded in the books of Branch.

(iv) A remittance of ₹ 1,50,000 sent by the Branch has not received by Head Office on the date of reconciliation of Accounts.

(v) Head Office allocates ₹ 75,000 to the Branch as Head Office expenses, which has not yet been recorded by the Branch.

(vi) Head Office collected ₹ 30,000 directly from a Branch Customer. The intimation of the fact has been received by the Branch only now, not recorded till now.

(vii) Goods dispatched by the Head office amounting to ₹ 10,000, but not received by the Branch till date of reconciliation. The Goods have been received subsequently.

Answer

Books of Branch

Journal Entries

S. No.	Particulars		Amount (Dr.)	Amount (Cr.)
(i)	Head Office Account	Dr.	2,800	
	To Income Account			2,800
	(Being the income allocated by the Head office not recorded earlier, now recorded)			
(ii)	Head Office Account	Dr.	3,000	
	To Salaries Account			3,000
	(Being rectification of salary paid on behalf of Head Office)			
(iii)	Head office account	Dr.	5,000	
	To Cash Account			5,000
	(Being the rectification of salary paid on behalf of H.O.)			
(iv)	No entry in branch books			
(v)	Expenses Account	Dr.	75,000	
	To Head Office Account			75,000
	(Being the adjustment of collection from branch debtors)			
(vi)	Head Office Account	Dr.	30,000	
	To Debtors Account			30,000
	(Being adjustment entry for collection from Branch Debtors directly by Head Office)			
(vii)	Goods -in-transit Account	Dr.	10,000	
	To Head Office Account			10,000
	(Being the expenditure on account of Branch B, recorded in books)			

Question 23

Give Journal Entries (with Narrations) in the books of an Independent Branch of a business entity to rectify or adjust the following:

(i) Commission (income) of ₹ 7,500 allocated to Branch by Hand office but still no entry is passed in the books of branch.

(ii) Head office paid ₹ 12,000 directly to one of branch's supplier. The intimation is received by branch on reconciliation of bank statement of branch with its books.

(iii) A remittance of ₹ 85,000 is sent by branch to Head office has not been received by Head office till date.

(iv) Branch paid ₹ 9,800 as salary to Head office's employee, but the amount paid has been wrongly debited to salary account.

(v) Branch purchased Furniture for ₹ 18,000 through cheque, but the Furniture account was retained in Head office Books. No entry has yet been passed.

(vi) Branch incurred ₹ 5,500 of expenses on behalf of other branches of head office, this transaction was not recorded in the books of branch.

Answer

Journal Entries In the books of Branch

S. No.	Particulars		Amount (Dr.)	Amount (Cr.)
(i)	Head office account	Dr.	7,500	
	To Commission Income			7,500
	(Being commission income recognized)			
(ii)	Creditors A/c	Dr.	12,000	
	To Head office account			12,000
	(Being H.O. paid off a creditor directly)			
(iii)	No entry in Branch Books			
(iv)	Head office account	Dr.	9,800	
	To Salary A/c			9,800
	(Being amount debited to salary account now rectified)			
(v)	Head office account	Dr.	18,000	
	To Bank A/c			18,000
	(Being furniture purchased by branch retained by H.O.)			
(vi)	Head Office A/c	Dr.	5,500	
	To Bank A/c			5,500
	(Being expenses incurred on behalf of other branches)			

Question 24

Show adjustment journal entry in the books of head office at the end of April, 20X1 for incorporation of inter-branch transactions assuming that only head office maintains different branch accounts in its books.

A. Delhi branch:

(1) Received goods from Mumbai - ₹ 35,000 and ₹ 15,000 from Kolkata

(2) Sent goods to Chennai - ₹ 25,000, Kolkata - ₹ 20,000

(3) Bill Receivable received - ₹ 20,000 from Chennai

(4) Acceptances sent to Mumbai - ₹ 25,000, Kolkata - ₹ 10,000

B. Mumbai Branch (apart from the above):

(5) Received goods from Kolkata - ₹ 15,000, Delhi - ₹ 20,000

(6) Cash sent to Delhi - ₹ 15,000, Kolkata - ₹ 7,000

C. Chennai Branch (apart from the above):

(7) Received goods from Kolkata - ₹ 30,000

(8) Acceptances and Cash sent to Kolkata - ₹ 20,000 and ₹ 10,000 respectively

D. Kolkata Branch (apart from the above):

(9) Sent goods to Chennai - ₹ 35,000

(10) Paid cash to Chennai - ₹ 15,000

(11) Acceptances sent to Chennai - ₹ 15,000

Answer

Journal entry in the books of Head Office

Date	Particulars		Amount (Dr.)	Amount (Cr.)
20X1	Mumbai Branch Account	Dr.	3,000	
30th April	Chennai Branch Account	Dr.	70,000	
	To Delhi Branch Account			15,000
	To Kolkata Branch Account			58,000
	(Being adjustment entry passed by head office in respect of inter-branch transactions for the month of April, 20X1)			

Working Note: Inter – Branch transactions

	Delhi	Mumbai	Chennai	Kolkata
A. Delhi Branch				
(1) Received goods	50,000 (Dr.)	35,000 (Cr.)		15,000 (Cr.)
(2) Sent goods	45,000 (Cr.)		25,000 (Dr.)	20,000 (Dr.)
(3) Received Bills receivable	20,000 (Dr.)		20,000 (Cr.)	
(4) Sent acceptance	35,000 (Cr.)	25,000 (Dr.)		10,000 (Dr.)
B. Mumbai Branch				
(5) Received goods	20,000 (Cr.)	35,000 (Dr.)		15,000 (Cr.)
(6) Sent cash	15,000 (Dr.)	22,000 (Cr.)		7,000 (Dr.)
C. Chennai Branch				
(7) Received goods			30,000 (Dr.)	30,000 (Cr.)
(8) Sent cash and acceptances			30,000 (Cr.)	30,000 (Dr.)
D. Kolkata Branch				
(9) Sent goods			35,000 (Dr.)	35,000 (Cr.)
(10) Sent cash			15,000 (Dr.)	15,000 (Cr.)

(11) Sent acceptances			15,000 (Dr.)	15,000 (Cr.)
	15,000 (Cr.)	**3,000 (Dr.)**	**70,000 (Dr.)**	**58,000 (Cr.)**

Preparation of Final Accounts of Independent Branch

Question 25

Ring Bell Ltd. Delhi has a Branch at Bombay where a separate set of books is used. The following is the trial balance extracted on 31st December, 20X1.

Head Office Trial Balance

Particulars	**₹**	**₹**
Share Capital (Authorised: 10,000 Equity Shares of ₹ 100 each)		
Issued: 8,000 Equity Shares		8,00,000
Profit & Loss Account: 1-1-20X1		25,310
General Reserve		1,00,000
Fixed Assets	5,30,000	
Stock	2,22,470	
Debtors and Creditors	50,500	21,900
Profit for 20X1		52,200
Cash Balance	62,730	
Branch Current Account	1,33,710	
	9,99,410	**9,99,410**

Branch Trial Balance

Particulars	**₹**	**₹**
Fixed Assets	95,000	
Profit for 20X1		31,700
Stock	50,460	
Debtors and Creditors	19,100	10,400
Cash Balance	6,550	
Head Office Current Account		1,29,010
	1,71,110	**1,71,110**

The difference between the balances of the Current Account in the two sets of books is accounted for as follows:

(a) Cash remitted by the Branch on 31st December, 20X1, but received by the Head Office on 1st January 20X2 - ₹ 3,000.

(b) Stock stolen in transit from Head Office and charged to Branch by the Head Office, but not credited to Head Office in the Branch books as the Branch Manager declined to admit any liability (not covered by insurance) - ₹ 1,700.

Give Branch Current Account in Head Office books after incorporating Branch Trial Balance through journal.

Answer

The Branch Current Account in the Head Office Books and Head Office Current Account in the Branch Books do

not show the same balances. Therefore, in order to reconcile them, the following journal entries will be passed in the Head Office books:

Journal Entries

Date	Particulars		Amount (Dr.)	Amount (Cr.)
20X1 Dec., 31	Cash in Transit A/c	Dr.	3,000	
	To Branch Current A/c			3,000
	(Cash sent by the Branch on 31st Dec., 20X1 but received at H.O. on 1st Jan., 20X2)			
	Loss by theft A/c	Dr.	1,700	
	To Branch Current A/c			1,700
	(Stock lost in transit from H.O. to Branch)			

In order to incorporate, in the H.O. books, the given Branch trial balance which has been drawn up after preparing the Branch Profit & Loss Account, the following journal entries will be necessary:

Journal Entries

Date	Particulars		Amount (Dr.)	Amount (Cr.)
20X1 Dec., 31	Branch Current Account	Dr.	31,700	
	To Profit & Loss Account			31,700
	(Branch Profit for the year)			
	Branch Fixed Assets	Dr.	95,000	
	Branch Stock	Dr.	50,460	
	Branch Debtors	Dr.	19,100	
	Branch Cash	Dr.	6,550	
	To Branch Current Account			1,71,110
	(Branch assets brought into H.O. Books)			
	Branch Current A/c	Dr.	10,400	
	To Branch Creditors			10,400
	(Branch creditors brought into H.O. Books)			

Branch Current Account

Particulars	₹	Particulars	₹
To Balance b/d	1,33,710	By Cash in transit	3,000
To Profit & Loss A/c	31,700	By Loss of theft	1,700
To Branch Creditors	10,400	By Sundry Branch Assets	1,71,110
	1,75,810		**1,75,810**

Profit and Loss Account for 20X1

Particulars	₹	Particulars	₹
To Loss by Theft	1,700	By Balance b/d	25,310
To Balance c/d	1,07,510	By Year's Profit: H.O.	52,200
		Branch	31,700
	1,09,210		**1,09,210**

Question 26

The following Trial balances as at 31st December, 20X1 have been extracted from the books of Major Ltd. and its branch at a stage where the only adjustments requiring to be made prior to the preparation of a Balance Sheet for the undertaking as a whole are to be done.

	Head Office		Branch	
	Dr.	Cr.	Dr.	Cr.
Share Capital		1,50,000		
Fixed Assets	75,125		18,901	
Current Assets	1,21,809		23,715	(Note 3)
Current Liabilities		34,567		9,721
Stock Reserve, 1st Jan., 20X1 (Note 2)		693		
Revenue Account		43,210		10,250
Branch Account	31,536			
Head Office Account				22,645
	2,28,470	**2,28,470**	**42,616**	**42,616**

You are required to record the following in the appropriate ledger accounts in both sets of books.

Note:

1. Goods transferred from Head Office to the Branch are invoiced at cost plus 10% and both Revenue Accounts have been prepared on the basis of the prices charged.
2. Relating to the Head Office goods held by the Branch on 1st January, 20X1.
3. Includes goods received from Head Office at invoice price ₹ 4,565.
4. Goods invoiced by Head Office to Branch at ₹ 3,641 were in transit at 31st December, 20X1, as was also a remittance of ₹ 3,500 from the Branch.
5. At 31st December, 20X1, the following transactions were reflected in the Head Office books but unrecorded in the Branch books:

   The purchase price of lorry, ₹ 2,500, which reached the Branch on December 25; a sum received on December 30, 20X1 from one of the Branch debtors, ₹ 750.

Answer

H.O. Books

Branch Account

20X1		₹	20X1		₹
Jan. 1	To Balance b/d	31,536	Dec. 31	By Cash in transit	3,500
				By Balance c/d	28,036
		31,536			**31,536**

Cash in transit Account

20X1		₹	20X1		₹
Dec. 31	To Branch A/c	3,500	Dec. 31	By Balance c/d	3,500

Stock Reserve Account

20X1		₹	20X1		₹
Dec. 31	To Balance c/d	746	Jan. 1	By Balance b/d	693
	(4,565 + 3,641) x 10/110			By Revenue A/c (b.f.)	53
		746			**746**

Revenue Account

20X1		₹	20X1		₹
Dec. 31	To Stock Reserve	53	Dec. 31	By Balance b/d	43,210
	To Balance c/d	43,157			
		43,210			**43,210**

Branch Books

Head Office Account

20X1		₹	20X1		₹
Dec. 31	To Current Assets	750	Dec. 31	By Balance b/d	22,645
	To Balance c/d	28,036		By Goods in transit	3,641
				By Motor Vehicle	2,500
		28,786			**28,786**

Goods in Transit Account

20X1		₹	20X1		₹
Dec. 31	To Head Office	3,641	Dec. 31	By Balance c/d	3,641

Motor Vehicle Account

20X1		₹	20X1		₹
Dec. 31	To Head Office	2,500	Dec. 31	By Balance c/d	2,500

Sundry Current Assets A/c

20X1		₹	20X1		₹
Dec. 31	To Balance b/d	23,715	Dec. 31	By H.O. (Remit. by Debtor)	750
				By Balance c/d	22,965
		23,715			**23,715**

Question 27

KP manufactures a range of goods which it sells to wholesale customers only from its head office. In addition, the H.O. transfers goods to a newly opened branch at factory cost plus 15%. The branch then sells these goods to the general public on only cash basis.

The selling price to wholesale customers is designed to give a factory profit which amounts to 30% of the sales value. The selling price to the general public is designed to give a gross margin (i.e., selling price less cost of goods from H.O.) of 30% of the sales value.

KP operates from rented premises and leases all other types of fixed assets. The rent and hire charges for these are included in the overhead costs shown in the trial balances.

From the information given below, you are required to prepare for the year ended 31st Dec., 20X1 in columnar form.

(a) A Profit & Loss account for (i) H.O. (ii) the branch (iii) the entire business.

(b) Balance Sheet as on 31st Dec., 20X1 for the entire business.

	H.O. (₹)		Branch (₹)	
	Dr.	Cr.	Dr.	Cr.
Raw materials purchased	35,000			
Direct wages	1,08,500			
Factory overheads	39,000			
Stock on 1-1-20X1:				
Raw materials	1,800			
Finished goods	13,000		9,200	
Debtors	37,000			
Cash	22,000		1,000	
Administrative Salaries	13,900		4,000	
Salesmen Salaries	22,500		6,200	
Other administrative & selling overheads	12,500		2,300	
Inter-unit accounts	5,000			2,000
Capital		50,000		
Sundry Creditors		13,000		
Provision for unrealized profit in stock		1,200		
Sales		2,00,000		65,200
Goods sent to Branch		46,000		
Goods received from H.O.			44,500	
	3,10,200	**3,10,200**	**67,200**	**67,200**

Note:

(1) On 28th Dec., 20X1 the branch remitted ₹ 1,500 to the H.O. and this has not yet been recorded in the H.O. books. Also, on the same date, the H.O. dispatched goods to the branch invoiced at ₹ 1,500 and these too have not yet been entered into the branch books. It is the company's policy to adjust items in transit in the books of the recipient.

(2) The stock of raw materials held at the H.O. on 31st Dec., 20X1 was valued at ₹ 2,300.

(3) You are advised that:

- there were no stock losses incurred at the H.O. or at the branch.
- it is KP's practice to value finished goods stock at the H.O. at factory cost.
- there were no opening or closing stock of work-in-progress.

(4) Branch employees are entitled to a bonus of ₹ 156 under a bilateral agreement.

Answer

In the books of KP

Trading and Profit & Loss Account for the year ended 31st Dec., 20X1

	H.O.	Branch	Total		H.O.	Branch	Total
To Opening stock of finished goods	13,000	9,200	22,200	By Sales	2,00,000	65,200	2,65,200
				By Goods Sent to Br.	46,000	–	–
To Material Consumed (W.N.1)	34,500	–	34,500	By Closing stock including transit (W.N.2)	15,000	9,560 (B.F.)	24,560
To Wages	1,08,500	–	1,08,500				
To Factory O/H	39,000	–	39,000				
To Goods from H.O.		46,000					
To Gross Profit c/d (W.N.3)	66,000 (Bal Fig)	19,560	85,560				
	2,61,000	**74,760**	**2,89,760**		**2,61,000**	**74,760**	**2,89,760**
To Admn. Salaries	13,900	4,000	17,900	By Gross Profit b/d	66,000	19,560	85,560
To Salesmen Salaries	22,500	6,200	28,700				
To Other Admn. & selling O/H	12,500	2,300	14,800				
To Stock Reserve (W.N.4)	47	–	47				
To Bonus to Staff	–	156	156				
To Net Profit	17,053	6,904	23,957				
	66,000	**19,560**	**85,560**		**66,000**	**19,560**	**85,560**

Balance Sheet as on 31st Dec., 20X1

		H.O.	Branch	Total		H.O.	Branch	Total
Capital		50,000	–	50,000	Current Asset:			
Profit: HO	17,053				Raw material	2,300		2,300
Branch	6,904	23,957		23,957	Finish Goods	15,000	9,560	23,313*
Creditors		13,000		13,000	(Less Stock Res.)			
Bonus Payable			156	156	Debtors	37,000	–	37,000
H.O. Account*			10,404		Cash (including CIT)	23,500	1,000	24,500
Stock Reserve (W.N. 4)		1,247			Branch A/c	10,404**		
		88,204	**10,560**	**87,113**		**88,204**	**10,560**	**87,113**

*9,560 x 100/115 i.e., (8,313 + 15,000) = ₹ 23,313 or (15,000 + 9,560) – 1,247 (Stock reserve)

**(5,000 + 6,904) – 1500 = ₹ 10,404

Working Notes:

(1) Material consumed

Opening raw material + Raw Material Purchased – Closing raw material

= 1,800 + 35,000 – 2,300 = 34,500

(2) Closing stock at head office

(a) Calculation of total factor cost = Material consumed + Wages + Factory overhead

= 34,500 + 1,08,500 + 39,000 = 1,82,000

(b) Cost (factory cost) of goods sold = Sales – Gross profit = 2,00,000 – 2,00,000 x 30% = 1,40,000

(c) Stock transferred to branch = 46,000 x 100/115 = 40,000

(d) Closing stock = 13,000 (Opening Stock) + 1,82,000 – 1,40,000 – 40,000 = 15,000

(3) Gross profit of Branch = Sales x Gross profit ratio = 65,200 x 30% = 19,560

(4) Closing stock reserve = 9,560 x 15/115 = 1,247

Charge to profit and loss = 1,247 – 1,200 (existing) = 47

Question 28

Messrs Ramchand & Co., Hyderabad has a branch in Delhi. The Delhi Branch deals not only in the goods from Head Office but also buys some auxiliary goods and deals in them. They, however, do not prepare any Profit & Loss Account but close all accounts to the Head Office at the end of the year and open them afresh on the basis of advice from their Head Office. The fixed assets accounts are also maintained at the Head Office.

The goods from the Head Office are invoiced at selling prices to give a profit of 20 percent on the sale price. The goods sent from the branch to Head Office are at cost. From the following prepare Branch Trading and Profit & Loss Account and Branch fixed Assets Account in the Head Office Books.

Trial Balance of the Delhi Branch as on 31-12-20X1

Debit	**₹**	**Credit**	**₹**
Head office opening balance on 1-1-20X1	15,000	Sales	1,00,000
Goods from H.O.	50,000	Goods to H.O.	3,000
Purchases	20,000	Head Office Current A/c	15,000
Opening Stock:		Sundry Creditors	3,000
H.O. supplies goods at invoice prices	4,000		
Opening Stock of other goods	500		
Salaries	7,000		
Rent	3,000		
Office expenditure	2,000		
Cash on Hand	500		
Cash at Bank	4,000		
Sundry Debtors	15,000		
	1,21,000		**1,21,000**

The Branch balances as on 1st January, 20X1, were as under: Furniture ₹ 5,000; Sundry Debtors ₹ 9,500; Cash ₹ 1,000, Creditors ₹ 30,000. The closing stock at branch of the head office goods at invoice price is ₹ 3,000 and that of purchased goods at cost is ₹ 1,000. Depreciation is to be provided at 10 percent on branch assets.

Answer

Delhi Branch Trading and Profit & Loss Account for the year ended 31st Dec., 20X1

Particulars		**₹**	**Particulars**	**₹**
To Opening Stock:			By Sales	1,00,000
H.O. Goods (4,000 x 80%)	3,200		By Goods from Branch	3,000

Others	500	3,700	By Closing Stock:		
To Goods to Branch (50,000 x 80%)		40,000	H.O. Goods (3,000 x 80%)	2,400	
To Purchases		20,000	Others	1,000	3,400
To Gross Profit c/d		42,700			
		1,06,400			**1,06,400**
To Salaries		7,000	By Gross profit b/d		42,700
To Rent		3,000			
To Office Expenses		2,000			
To Dep. on furniture @ 10%		500			
To Net profit		30,200			
		42,700			**42,700**

Branch (Fixed) Assets Account (In Head Office Books)

Particulars	₹	Particulars	₹
To Balance b/d	5,000	By Delhi Branch A/c	500
		By Balance c/d	4,500
	5,000		**5,000**
To Balance b/d	4,500		

Question 29

AFFIX of Kolkata has a branch at Delhi to which the goods are supplied from Kolkata but the cost thereof is not recorded in the Head Office books. On 31st March, 20X1 the Branch Balance Sheet was as follows:

Liabilities	₹	Assets	₹
Creditors Balance	40,000	Debtors Balance	2,00,000
Head Office	1,68,000	Building Extension A/c closed by transfer to H.O. A/c	–
		Cash at Bank	8,000
	2,08,000		**2,08,000**

During the six months ending on 30-9-20X1, the following transactions took place at Delhi.

	₹		₹
Sales	2,40,000	Collections from Debtors	1,60,000
Purchases	48,000	Discounts allowed	8,000
Wages paid	20,000	Discount earned	1,200
Salaries (inclusive of advance of ₹ 2,000)	6,400	Cash paid to Creditors	60,000
General Expenses	1,600	Building Account (further payment)	4,000
Fire Insurance (paid for one year)	3,200	Cash in Hand	1,600
Remittance to H.O.	38,400	Cash at Bank	28,000
Manager's Salary	4,800		

Set out the Head Office Account in Delhi books and the Branch Balance Sheet as on 30-9-20X1. Also give journal entries in the Delhi books.

Answer

Journal Entries

S.No.	Particulars		Amount (Dr.)	Amount (Cr.)
(i)	Salary Advance A/c	Dr.	2,000	
	To Salaries A/c			2,000
	(The amount paid as advance adjusted by debit to Salary Advance Account)			
(ii)	Prepared Insurance A/c (3,200 x 6/12)	Dr.	1,600	
	To Fire Insurance A/c			1,600
	(Six months premium transferred to the Prepaid Insurance A/c)			
(iii)	Head Office Account	Dr.	88,400	
	To Purchases A/c			48,000
	To Wages A/c			20,000
	To Salaries A/c (6,400 – 2,000)			4,400
	To General Expenses A/c			1,600
	To Fire Insurance A/c (3,200 x 6/12)			1,600
	To Manager's Salary A/c			4,800
	To Discount Allowed A/c			8,000
	(Transfer of various revenue accounts (Dr.) to the H.O. Account for closing the accounts)			
(iv)	Sales Accounts	Dr.	2,40,000	
	Discount Earned A/c	Dr.	1,200	
	To Head Office A/c			2,41,200
	[Revenue accounts (Cr.) transferred to H.O.]			
	Head Office Account	Dr.	4,000	
	To Building Account			4,000
	(Transfer of amounts spent on building extension to H.O. A/c)			

Head Office Account

20X1		₹	20X1		₹
Sep. 30	To Cash - remittance	38,400	April 1	By Balance b/d	1,68,000
	To Sundries (Revenue A/cs)	88,400	Sep. 30	By Sundries (Revenue A/c)	2,41,200
	To Building A/c	4,000			
	To Balanced c/d	2,78,400			
		4,09,200			**4,09,200**

Balance Sheet of Delhi Branch as on Sept. 30, 20X1

Liabilities	₹	Assets	₹
Creditors Balances	26,800	Debtors Balances	2,72,000
Head Office Account	2,78,400	Salary Advance	2,000
		Prepaid Insurance	1,600

		Building Extension A/c trans. to H.O.	–
		Cash in Hand	1,600
		Cash at Bank	28,000
	3,05,200		**3,05,200**

Cash and Bank Account

	₹			₹
To Balance b/d	8,000	By Wages		20,000
To Collection from Debtors	1,60,000	By Salaries		6,400
		By Insurance		3,200
		By General Exp.		1,600
		By H.O. A/c		38,400
		By Manager's Salary		4,800
		By Creditors		60,000
		By Building A/c		4,000
		By Balance c/d:		
		Cash in Hand	1,600	
		Cash at Bank	28,000	29,600
	1,68,000			**1,68,000**

Debtors Account

Particulars	₹	**Particulars**	₹
To Balance b/d	2,00,000	By Cash Collection	1,60,000
To Sales	2,40,000	By Discount (allowed)	8,000
		By Balance c/d	2,72,000
	4,40,000		**4,40,000**
To Balance b/d	2,72,000		

Creditors Account

Particulars	₹	**Particulars**	₹
To Cash	60,000	By Balance b/d	40,000
To Discount (earned)	1,200	By Purchases	48,000
To Balance c/d	26,800		
	88,000		**88,000**
		By Balance b/d	26,800

Question 30

On 31st March, 20X2 Kanpur Branch submits the following Trial Balance to its Head Office at Lucknow:

Debit Balances	**₹ in lacs**
Furniture and Equipment	18
Depreciation on furniture	2

Salaries	25
Rent	10
Advertising	6
Telephone, Postage and Stationery	3
Sundry Office Expenses	1
Stock on 1st April, 20X1	60
Goods Received from Head Office	288
Debtors	20
Cash at bank and in hand	8
Carriage Inwards	7
	448
Credit Balances	
Outstanding Expenses	3
Goods Returned to Head Office	5
Sales	360
Head Office	80
	448

Additional Information:

Stock on 31st March, 20X2 was valued at ₹ 62 lacs. On 29th March, 20X2 the Head Office dispatched goods costing ₹ 10 lacs to its branch. Branch did not receive these goods before 1st April, 20X2. Hence, the figure of goods received from Head Office does not include these goods. Also, the head office has charged branch ₹ 1 lac for centralized services for which the branch has not passed the entry.

You are required to:

(i) Pass Journal Entries in the books of the Branch to make the necessary adjustments

(ii) Prepare Final Accounts of the Branch including Balance Sheet, and

(iii) Pass Journal Entries in the books of the Head Office to incorporate the whole of the Branch Trial Balance.

Answer

(i) Books of Branch Journal Entries **(₹ in lacs)**

Particulars		Amount (Dr.)	Amount (Cr.)
Goods in Transit A/c	Dr.	10	
To Head Office A/c			10
(Goods dispatched by head office but not received by branch before 1st April, 20X2)			
Expenses A/c	Dr.	1	
To Head Office A/c			1
(Amount charged by head office for centralised services)			

(ii) Trading and Profit & Loss Account of the Branch for the year ended 31st March, 20X2

Particulars	₹ in lacs	Particulars	₹ in lacs
To Opening Stock	60	By Sales	360

To Goods received from			By Closing Stock including transit	72
Head Office	288 + 10			
Less: Returns	(5)	293		
To Carriage Inwards		7		
To Gross Profit c/d		72		
		432		**432**
To Salaries		25	By Gross Profit b/d	72
To Depreciation on Furniture		2		
To Rent		10		
To Advertising		6		
To Telephone, Postage & Stationery		3		
To Sundry Office Expenses		1		
To H.O. Expenses (centralised services)		1		
To N.P. Transferred to Head Office A/c		24		
		72		**72**

Balance Sheet as on 31st March, 20X2

Liabilities		**₹ in lacs**	**Assets**		**₹ in lacs**
Head Office	80		Furniture & Equipment	20	
Add: Goods in Transit	10		Less: Depreciation	(2)	18
Head Office Expenses	1		Stock in hand		62
Net Profit	24	115	Goods in Transit		10
Outstanding Expenses		3	Debtors		20
			Cash at bank and in hand		8
		118			**118**

(iii) Books of Head Office

Journal Entries **(₹ in lacs)**

Particulars		**Amount (Dr.)**	**Amount (Cr.)**
Branch Trading Account	Dr.	365	
To Branch Account			365
(The total of the following items in branch trial balance debited to branch trading account:			
Opening Stock	60		
Goods received from Head Office	288		
Goods purchased but not received	10		
Carriage Inwards	7)		
Branch Account	Dr.	437	
To Branch Trading Account			437
(Total sales, closing stock and goods returned to Head Office credited to branch trading account, individual amount being as follows:			

Sales	360			
Closing Stock	62			
Goods in transit	10			
Goods returned to Head Office	5)			
Branch Trading Account		Dr.	72	
To Branch Profit and Loss Account				72
(Gross profit earned by branch credited to Branch Profit and Loss Account)				
Branch Profit and Loss Account		Dr.	48	
To Branch Account				48
(Total of the following branch expenses debited to Branch Profit & Loss Account:				
Salaries	25			
Rent	10			
Advertising	6			
Telephone, Postage & Stationery	3			
Sundry Office Expenses	1			
Head Office Expenses	1			
Depreciation on furniture	2)			
Branch Profit & Loss Account		Dr.	24	
To Profit and Loss Account				24
(Net profit at branch credited to general Profit & Loss A/c)				
Branch Furniture & Equipment		Dr.	18	
Branch Stock		Dr.	62	
Branch Debtors		Dr.	20	
Branch Cash at Bank and in Hand		Dr.	8	
Goods in Transit		Dr.	10	
To Branch				118
(Incorporation of different assets at the branch in H.O. books)				
Branch		Dr.	3	
To Branch Outstanding Expenses				3
(Incorporation of Branch Outstanding Expenses in H.O. books)				

Accounting of Foreign Branch

Question 31

A business having the Head Office in Kolkata has a branch in UK. The following is the trial balance of Branch as at 31.03.20X4:

Account Name	Amount in £	
	Dr.	Cr.

Machinery (purchased on 01.04.20X1)	5,000	
Debtors	1,600	
Opening Stock	400	
Goods received from Head Office Account (Recorded in HO books as ₹ 4,02,000)	6,100	
Sales		20,000
Purchases	10,000	
Wages	1,000	
Salaries	1,200	
Cash	3,200	
Remittances to Head Office (Recorded in HO books as ₹ 1,91,000)	2,900	
Head Office Account (Recorded in HO books as ₹ 4,90,000)		7,400
Creditors		4,000

- Closing stock at branch is £ 700 on 31.03.20X4.
- Depreciation @ 10% p.a. is to be charged on Machinery.
- Prepare the trial balance after been converted in Indian Rupees.
- Exchange rates of Pounds on different dates are as follow:

  01.04.20X1 - ₹ 61; 01.04.20X3 - ₹ 63 & 31.03.20X4 - ₹ 67

Answer

Trial Balance of the Foreign Branch converted into Indian Rupees as on March 31, 20X4

Particulars	£ (Dr.)	£ (Cr.)	Conversion Basis	₹ (Dr.)	₹ (Cr.)
Machinery	5,000		Transaction date rate	3,05,000	
Debtors	1,600		Closing Rate	1,07,200	
Opening Stock	400		Opening Rate	25,200	
Goods Received from HO	6,100		Actuals	4,02,000	
Sales		20,000	Average Rate		13,00,000
Purchases	10,000		Average Rate	6,50,000	
Wages	1,000		Average Rate	65,000	
Salaries	1,200		Average Rate	78,000	
Cash	3,200		Closing Rate	2,14,400	
Remittance to HO	2,900		Actuals	1,91,000	
HO Account		7,400	Actuals		4,90,000
Creditors		4,000	Closing Rate		2,68,000
Exchange Rate Difference			Balancing Figure	20,200	
	31,400	**31,400**		**20,58,000**	**20,58,000**
Closing Stock	700		Closing Rate	46,900	
Depreciation	500		Fixed Asset Rate	30,500	

Question 32

S&M Ltd., Bombay, have a branch in Sydney, Australia. Sydney branch is an integral foreign operation of S&M Ltd.

At the end of 31st March, 20X2, the following ledger balances have been extracted from the books of the Bombay Office and the Sydney Office:

Particulars	Bombay (₹ thousands)		Sydney (A $ thousands)	
	Debit	Credit	Debit	Credit
Share Capital	–	2,000	–	–
Reserves & Surplus	–	1,000	–	–
Land	500	–	–	–
Buildings (Cost)	1,000	–	–	–
Buildings Dep. Reserve	–	200	–	–
Plant & Machinery (Cost)	2,500	–	200	–
Plant & Machinery Dep. Reserve	–	600	–	130
Debtors/Creditors	280	200	60	30
Stock (1.4.20X1)	100	–	20	–
Branch Stock Reserve	–	4	–	–
Cash & Bank Balances	10	–	10	–
Purchases / Sales	240	520	20	123
Goods sent to Branch	–	100	5	–
Managing Director's salary	30	–	–	–
Wages & Salaries	75	–	45	–
Rent	–	–	12	–
Office Expenses	25	–	18	–
Commission Receipts	–	256	–	100
Branch/H.O. Current A/c	120	–	–	7
	4,880	**4,880**	**390**	**390**

The following information is also available:

(1) Stock as at 31.3.20X2:

Bombay	₹ 1,50,000
Sydney	A $ 3,125

You are required to convert the Sydney Branch Trial Balance into rupees.

Use the following rates of exchange:

Opening rate	A $ = ₹ 20
Closing rate	A $ = ₹ 24
Average rate	A $ = ₹ 22
For Fixed Assets	A $ = ₹ 18

Answer

Sydney Branch Trial Balance (in Rupees) as on 31st March, 20X2 **(₹ '000)**

Conversion	Rate per A$	Dr.	Cr.
Plant & Machinery (cost)	₹ 18	36,00	–
Plant & Machinery Dep. Reserve	₹ 18	–	23,40
Debtors/Creditors	₹ 24	14,40	7,20
Stock (1.4.20X1)	₹ 20	4,00	–
Cash & Bank Balances	₹ 24	2,40	–
Purchase/Sales	₹ 22	4,40	27,06
Goods received from H.O.	–	1,00	–
Wages & Salaries	₹ 22	9,90	–
Rent	₹ 22	2,64	–
Office expenses	₹ 22	3,96	–
Commission Receipts	₹ 22	–	22,00
H.O. Current A/c		–	1,20
		78,70	**80,86**
Exchange loss (balancing figure)		2,16	
		80,86	**80,86**

Question 33

Artis Limited has a branch at Seattle USA. Its Trial Balance as on 31th December 20X1 is as follows:

	Dr. in US $	Cr. in US $
Stock as on 01.01.20X1	22,000	
Purchases	1,00,000	
Sales		1,30,500
Goods from H.O.	30,000	
Salaries	4,000	
Head Office A/c.		27,000
Sundry Debtors	2,200	
Sundry Creditors		1,500
Cash at Bank & Hand	800	
Total	**1,59,000**	**1,59,000**

The following information is given:

(i) Salaries outstanding are $ 500.

(ii) The Head Office sent goods to Branch for ₹ 24,00,000.

(iii) The Head Office shows an amount of ₹ 21,90,000 due from Branch. The exchange rates were as below:

- On 1st January 20X1 - ₹ 79 to 1$
- On 31st December 20X1 - ₹ 83 to 1 $
- Average rate during the year was ₹ 79.50 to 1 $

You are required to prepare Seattle Branch Trial Balance incorporating adjustments given above, converting dollars into rupees.

Answer

Seattle Branch Trial balance (in ₹)

Particulars	Rate as per (₹)	Debit (₹)	Credit (₹)
Stock (01-01-20X1)	79.00	17,38,000	
Purchases	79.50	79,50,000	
Sales	79.50		1,03,74,750
Goods from HO	Given	24,00,000	
Salaries ($ 4,000 + $ 500 = $ 4,500 x ₹ 79.50)	79.50	3,57,750	
Head Office A/c	Given		21,90,000
Sundry Debtors	83.00	1,82,600	
Sundry Creditors	83.00		1,24,500
Cash at Bank & Hand	83.00	66,400	
Salaries Outstanding ($ 500 x ₹ 83)	83.00		41,500
Exchange gain		36,000	
Total		**1,27,30,750**	**1,27,30,750**

Question 34

Karan Enterprises having its Head Office in Mangalore, Karnataka has a branch in Greenville, USA. Following is the trial balance of Branch as at 31-3-20X4:

Particulars	Amount ($) Dr.	Amount ($) Cr.
Fixed assets	8,000	
Opening inventory	800	
Cash	700	
Goods received from Head Office	2,800	
Sales		24,050
Purchases	11,800	
Expenses	1,800	
Remittance to head office	2,450	
Head office account		4,300
	28,350	**28,350**

(i) Fixed assets were purchased on 1st April, 20X0.

(ii) Depreciation at 10% p.a. is to be charged on fixed assets on straight line method.

(iii) Closing inventory at branch is $ 700 as on 31-3-20X4.

(iv) Goods received from Head Office (HO) were recorded at ₹ 1,85,500 in HO books.

(v) Remittances to HO were recorded at ₹ 1,62,000 in HO books.

(vi) HO account is recorded in HO books at ₹ 2,84,500.

(vii) Exchange rates of US Dollar at different dates can be taken as:

1-4-20X0	₹ 63
1-4-20X3	₹ 65
31-3-20X4	₹ 67

Prepare the trial balance after been converted into Indian rupees in accordance with AS-11.

Answer

Trial Balance of Foreign Branch (converted into Indian Rupees) as on March 31, 20X4

Particulars	$ (Dr.)	$ (Cr.)	Conversion Basis	Rate	₹ (Dr.)	₹ (Cr.)
Fixed Assets	8,000		Transaction Date Rate	63	5,04,000	
Opening Inventory	800		Opening Rate	65	52,000	
Goods Received from HO	2,800		Actuals		1,85,500	
Sales		24,050	Average Rate	66		15,87,300
Purchases	11,800		Average Rate	66	7,78,800	
Expenses	1,800		Average Rate	66	1,18,800	
Cash	700		Closing Rate	67	46,900	
Remittance to HO	2,450		Actuals		1,62,000	
HO Account		4,300	Actuals			2,84,500
Exchange Rate Difference			Balancing Figure		23,800	
	28,350	**28,350**			**18,71,800**	**18,71,800**
Closing Stock	700		Closing Rate	67	46,900	
Depreciation	800		Fixed Asset Rate	63	50,400	

Question 35

Smart Limited is an Indian Company and has its Branch at New York. The following balances in respect of Smart Limited's USA Branch office are provided:

(i) Debit Balances (in USD)

Expenditure (excluding Depreciation):	1,03,095
Cash & bank balances:	2,175
Debtors:	7,365
Fixed Assets (Gross):	34,200
(Rate of Depreciation on Fixed Assets: 20%)	
Inventory-Stock 'P':	5,520
Inventory- Stock 'Q':	1,035

(ii) Credit Balances (in USD)

Incomes:	1,32,000
Creditors:	15,570
HO Control A/c:	5,820

The following additional information is provided:

(1) The average exchange rate during the above financial year was 1 USD = ₹ 56

(2) The fixed assets were purchased when the exchange rate was 1 USD = ₹ 55

(3) The closing exchange rate on reporting date is 1 USD = ₹ 58

(4) Stock item 'P' is valued at cost of USD 5,520, purchased when the exchange rate was ₹ 56.50. The present net realizable value of this item is ₹ 2,85,000.

(5) Stock item 'Q' is carried at net realizable value of USD 1,035, but its cost in USD is 1,065, It was purchased when exchange rate was 1 USD = ₹ 53.

(6) Branch Control Account as per HO books was ₹ 2,66,265

You are required to show how it will be reflected in the books of Head Office in the form of Trial Balance, if the USA Branch Office is classified as an Integral Foreign Operation.

Answer

Converted branch trail balance (in the books of head office)

Particular	Dr. $	Cr. $	Rate per $	Dr. (₹)	Cr. (₹)
Expenditure	1,03,095		56	57,73,320	
Cash & bank balance	2,175		58	1,26,150	
Debtors	7,365		58	4,27,170	
Fixed assets	27,360		55	15,04,800	
Depreciation 20%	6,840		55	3,76,200	
Inventory P	5,520		Direct	2,85,000	
Inventory Q	1,065		53	56,445	
Income		1,32,000	56		73,92,000
Creditors		15,570	58		9,03,060
HO control A/c		5,820			2,66,265
Exchange difference				12,240	
				85,61,325	**85,61,325**

Working Note:

Inventory P	$ 5,520	Inventory Q	$ 1,065
Purchased Cost rate	56.50	NRV	$ 1,035
NRV	₹ 2,85,000	Closing rate	58
Cost	₹ 3,11,880	Purchased Cost rate	53
Value at cost or NRV whichever is less	₹ 2,85,000	Value at cost or NRV whichever is less	$ 1,035 @ ₹ 58 or $ 1,065 @ ₹ 53 = 56,445 or 60,030

Question 36

PQR has a branch at Houston (USA). Business of the Branch is carried out substantially independent by way of accumulating cash and other monetary items, incurring expenses, generating income and arranging borrowing in its local currency. The trial balance of the Branch as at 31st March, 20X2 is as follows:

	US$	
Particulars	**Debit**	**Credit**
Office equipment (Cost)	56,400	
Opening Accumulated Depreciation (Office equipment)		5,400

Furniture and Fixtures (Cost)	36,000	
Opening Accumulated Depreciation (Furniture and Fixtures)		6,840
Opening Stock as on 1st April, 20X1	24,500	
Purchases	96,500	
Sales		1,76,250
Salaries	4,250	
Carriage inward	256	
Rent, Rates & Taxes	956	
Trade receivables	12,560	
Trade payables		8,650
Cash at bank	2,540	
Cash in hand	500	
Head office Account		37,322
Total	**2,34,462**	**2,34,462**

Following further information are given:

(i) Salaries outstanding as on 31st March, 20X2 is US$ 600.

(ii) Depreciate office equipment and furniture & fixtures @ 10% at written down value.

(iii) Closing stock as on 31st March, 20X2 is US $, 24,650.

(iv) You are informed that the Head office is showing receivable from the Branch as ₹ 23,75,614 as on 31st March, 20X2. No transaction in respect of the Branch is pending in Head office.

(v) Office equipment (cost) includes one office equipment of US $ 2,400 purchased on 1/04/20X1.

(vi) One furniture of carrying value of US $ 450 as on 01/04/20X1 (cost: US $ 500 and Accumulated depreciation: US $ 50) has been sold for US $ 405 on 31/03/20X2 to Mr. M at no profit no loss. Mr. M has not paid the amount till the finalization of branch account. No entry has been passed for this sale of furniture in the above trial balance.

(vii) The rate of exchange on different dates are:

Date	1 US $ is equivalent to
1st April, 20X1	₹ 64
31st December, 20X1	₹ 70
31st March, 20X2	₹ 75
Average for the year	₹ 72

You are required to prepare the trial Balance after incorporating adjustments given and converting US $ into rupees.

Answer

In the books of PQR

Trial Balance (in Rupees) Branch Non-Integral foreign operation as on 31st March, 20X2

	Dr. US $	Cr. US $	Conv. rate	Dr. ₹	Cr. ₹
Office Equipment	56,400		75	42,30,000	
Dep. Equipment (Accumulated)		10,500	75		7,87,500

(5,400 + 5,100)					
Depreciation	8,016		75	6,01,200	
Furniture (36,000 – 500)	35,500		75	26,62,500	
Dep. on furniture (Accumulated)		9,661	75		7,24,575
(6,840 – 50 – 45 + 2,916)					
Stock (1st April, 20X1)	24,500		64	15,68,000	
Purchases	96,500		72	69,48,000	
Sales		1,76,250	72		126,90,000
Carriage inward	256		72	18,432	
Salaries (4,250 + 600)	4,850		72	3,49,200	
Rent, rates and taxes	956		72	68,832	
Salaries payable		600	75		45,000
Head Office A/c		37,322			23,75,614
Trade receivables	12,560		75	9,42,000	
Trade payables		8,650	75		6,48,750
Cash at bank	2,540		75	1,90,500	
Cash in hand	500		75	37,500	
Mr. M (Receivable for sale of furniture)	405		75	30,375	
Exchange gain (bal. fig.)					3,75,100
	2,42,983	**2,42,983**		**1,76,46,539**	**1,76,46,539**

Closing stock = 24,650 US$ x ₹ 75 = ₹ 18,48,750

Question 37

On 31st December, 20X2 the following balances appeared in the books of Chennai Branch of an English firm having its HO office in New York:

	Amount in ₹	**Amount in ₹**
Stock on 1st Jan., 20X2	2,34,000	–
Purchases and Sales	15,62,500	23,43,750
Debtors and Creditors	7,65,000	5,10,000
Bills Receivable and Payable	2,04,000	1,78,500
Salaries and Wages	1,00,000	–
Rent, Rates and Taxes	1,06,250	–
Furniture	91,000	–
Bank A/c	5,68,650	–
New York Account	–	5,99,150
	36,31,400	**36,31,400**

Stock on 31st December, 20X2 was ₹ 6,37,500.

Branch account in New York books showed a debit balance of $ 13,400 on 31st December, 20X2 and Furniture appeared in the Head Office books at $ 1,750.

The rate of exchange for 1 $ on 31st December, 20X1 was ₹ 52 and on 31st December, 20X2 was ₹ 51. The average rate for the year was ₹ 50.

Prepare in the Head Office books the Profit and Loss a/c and the Balance Sheet of the Branch assuming integral foreign operation.

Answer

In the books of English Firm (Head Office in New York)

Chennai Branch Profit and Loss Account for the year ended 31st December, 20X2

Particulars	$	Particulars	$
To Opening stock	4,500	By Sales	46,875
To Purchases	31,250	By Closing stock (6,37,500/51)	12,500
To Gross profit c/d	23,625		
	59,375		**59,375**
To Salaries	2,000	By Gross profit b/d	23,625
To Rent, rates and taxes	2,125		
To Exchange translation loss	2,000		
To Net Profit c/d	17,500		
	23,625		**23,625**

Balance Sheet of Chennai Branch as on 31st December, 20X2

Liabilities		$	Assets	$
Head Office A/c	13,400		Furniture	1,750
Add: Net profit	17,500	30,900	Closing Stock	12,500
Trade creditors		10,000	Trade Debtors	15,000
Bills Payable		3,500	Bills Receivable	4,000
			Cash at bank	11,150
		44,400		**44,400**

Working Note: Calculation of Exchange Translation Loss

Chennai Branch Trial Balance (converted in $) as on 31st December, 20X2

	Dr. (₹)	Cr. (₹)	Conversion	Dr. ($)	Cr. ($)
Stock on 1st Jan., 20X2	2,34,000		52	4,500	
Purchases & Sales	15,62,500	23,43,750	50	31,250	46,875
Debtors & creditors	7,65,000	5,10,000	51	15,000	10,000
Bills Receivable and Bills Payable	2,04,000	1,78,500	51	4,000	3,500
Salaries and wages	1,00,000		50	2,000	
Rent, Rates and Taxes	1,06,250		50	2,125	
Furniture	91,000			1,750	
Bank A/c	5,68,650		51	11,150	
New York Account		5,99,150			13,400
Exchange translation loss (bal. fig.)				2,000	
	36,31,400	**36,31,400**		**73,775**	**73,775**

Question 38

M/s Carlin has head office at New York (U.S.A.) and branch at Mumbai (India). Mumbai branch is an integral foreign operation of Carlin & Co.

Mumbai branch furnishes you with its trial balance as on 31st March, 20X2 and the additional information given thereafter:

(₹ '000)

	Dr.	Cr.
Stock on 1st April, 20X1	300	–
Purchases and sales	800	1,200
Sundry Debtors and creditors	400	300
Bills of exchange	120	240
Wages and salaries	560	–
Rent, rates and taxes	360	–
Sundry charges	160	–
Computers	240	
Bank balance	420	–
New York office a/c	–	1,620
	3,360	**3,360**

Additional information:

(a) Computers were acquired from a remittance of US $ 6,000 received from New York head office and paid to the suppliers. Depreciate computers at 60% for the year.

(b) Unsold stock of Mumbai branch was worth ₹ 4,20,000 on 31st March, 20X2.

(c) The rates of exchange may be taken as follows:

- on 1.4.20X1 @ ₹ 40 per US $
- on 31.3.20X2 @ ₹ 42 per US $
- average exchange rate for the year @ ₹ 41 per US $
- conversion in $ shall be made upto two decimal accuracy.

You are asked to prepare in US dollars the revenue statement for the year ended 31st March, 20X2 and the balance sheet as on that date of Mumbai branch as would appear in the books of New York head office of Carlin & Co. You are informed that Mumbai branch account showed a debit balance of US $ 39,609.18 on 31.3.20X2 in New York books and there were no items pending reconciliation.

Answer

M/s Carlin

Mumbai Branch Trial Balance in (US $) as on 31st March, 20X2

	Conversion Rate	Dr. $	Cr. $
Stock on 1.4.X1	40	7,500.00	–
Purchases and sales	41	19,512.20	29,268.29
Sundry debtors and creditors	42	9,523.81	7,142.86
Bills of exchange	42	2,857.14	5,714.29

Wages and salaries	41	13,658.54	–
Rent, rates and taxes	41	8,780.49	–
Sundry charges	41	3,902.44	–
Computers	–	6,000.00	–
Bank balance	42	10,000.00	–
New York office A/c	–	–	39,609.18
		81,734.62	**81,734.62**

Trading and Profit & Loss Account for the year ended 31st March, 20X2

Particulars	**$**	**Particulars**	**$**
To Opening Stock	7,500.00	By Sales	29,268.29
To Purchases	19,512.20	By Closing stock (4,20,000/42)	10,000.00
To Wages and salaries	13,658.54	By Gross Loss c/d	1,402.45
	40,670.74		**40,670.74**
To Gross Loss b/d	1,402.45	By Net Loss	17,685.38
To Rent, rates and taxes	8,780.49		
To Sundry charges	3,902.44		
To Depreciation on computers (US $ 6,000 × 0.6)	3,600.00		
	17,685.38		**17,685.38**

Balance Sheet of Mumbai Branch as on 31st March, 20X2

Liabilities		**$**	**Assets**		**$**
New York Office A/c	39,609.18		Computers	6,000.00	
Less: Net Loss	(17,685.38)	21,923.80	Less: Depreciation	(3,600.00)	2,400.00
Sundry creditors		7,142.86	Closing stock		10,000.00
Bills payable		5,714.29	Sundry debtors		9,523.81
			Bank balance		10,000.00
			Bills receivable		2,857.14
		34,780.95			**34,780.95**

Question 39

Moon Star has a branch at Virginia (USA). The Branch is a non-integral foreign operation of the Moon Star. The trial balance of the Branch as at 31st March, 20X3 is as follows:

Particulars	**US $**	
	Dr.	**Cr.**
Office equipment	48,000	
Furniture and Fixtures	3,200	
Stock (April 1, 20X2)	22,400	
Purchases	96,000	
Sales	–	1,66,400

Goods sent from H.O.	32,000	
Salaries	3,200	
Carriage inward	400	
Rent, Rates & Taxes	800	
Insurance	400	
Trade Expenses	400	
Head Office Account	–	45,600
Sundry Debtors	9,600	
Sundry Creditors	–	6,800
Cash at Bank	2,000	
Cash in Hand	400	
	2,18,800	**2,18,800**

The following further information is given:

(1) Salaries outstanding $ 400.

(2) Depreciate office equipment and furniture & fixtures @10% p.a. at written down value.

(3) The Head Office sent goods to Branch for ₹15,80,000.

(4) The Head Office shows an amount of ₹ 20,50,000 due from Branch.

(5) Stock on 31st March, 20X3 -$21,500.

(6) There were no transit items either at the start or at the end of the year.

(7) On April 1, 20X1 when the fixed assets were purchased the rate of exchange was ₹ 43 to one $. On April 1, 20X2, the rate was 47 per $. On March 31, 20X3 the rate was ₹ 50 per $. Average rate during the year was ₹ 45 to one $.

Prepare Trial balance incorporating adjustments given converting dollars into rupees and Trading, Profit and Loss Account for the year ended 31st March, 20X3 of the Branch as would appear in the books of Moon Star for the purpose of incorporating in the main Balance Sheet.

Answer

In the books of Moon Star

Trial Balance (in Rupees) of Virginia (USA) Branch as on 31st March, 20X3

	Dr. US $	Cr. US $	Conversion rate	Dr. ₹	Cr. ₹
Office Equipment	43,200		50	21,60,000	
Depreciation on Equipment	4,800		50	2,40,000	
Furniture and fixtures	2,880		50	1,44,000	
Depreciation on furniture	320		50	16,000	
Stock (1st April, 20X2)	22,400		47	10,52,800	
Purchases	96,000		45	43,20,000	
Sales		1,66,400	45		74,88,000
Goods sent from H.O.	32,000			15,80,000	
Carriage inward	400		45	18,000	
Salaries (3,200 + 400)	3,600		45	1,62,000	
Outstanding salaries		400	50		20,000

Rent, rates and taxes	800		45	36,000	
Insurance	400		45	18,000	
Trade expenses	400		45	18,000	
Head Office A/c		45,600			20,50,000
Trade debtors	9,600		50	4,80,000	
Trade creditors		6,800	50		3,40,000
Cash at bank	2,000		50	1,00,000	
Cash in hand	400		50	20,000	
Exc. Diff. (B.F.) trans. to foreign currency trans. reserve a/c					4,66,800
	2,19,200	**2,19,200**		**1,03,64,800**	**1,03,64,800**

Trading and Profit and Loss Account of Virginia Branch for the year ended 31st March, 20X3

Particulars	**₹**	**Particulars**	**₹**
To Opening stock	10,52,800	By Sales	74,88,000
To Purchases	43,20,000	By Closing stock	10,75,000
To Goods from Head Office	15,80,000	(21,500 US $ × 50)	
To Carriage inward	18,000		
To Gross profit c/d	15,92,200		
	85,63,000		**85,63,000**
To Salaries	1,62,000	By Gross profit b/d	15,92,200
To Rent, rates and taxes	36,000		
To Insurance	18,000		
To Trade expenses	18,000		
To Depreciation on office equipment	2,40,000		
To Depreciation on furniture and fixtures	16,000		
To Net Profit c/d	11,02,200		
	15,92,200		**15,92,200**

Question 40

M & S Co. of Lucknow has a branch (integral foreign operation) in Canberra, Australia. As on 31st March 20X2, the following ledger balances have been extracted from the books of the Lucknow office and the Canberra.

	Lucknow office (₹ In thousand)		**Canberra Branch (Aust. Dollars in thousand)**	
	Dr.	**Cr.**	**Dr.**	**Cr.**
Capital		2,000		
Reserves & Surplus		1,000		
Land	500			
Buildings (Cost)	1,000			
Buildings Depreciation Provision		200		

Plant and Machinery (Cost)	2,500		200	
Plant and Machinery Dep. Provision		600		130
Debtors/Creditors	280	200	60	30
Stock as on 1-4-20X1	100		20	
Branch Stock Reserve		4		
Cash & Bank Balances	10		10	
Purchases/Sales	240	520	20	123
Goods sent to Branch		100	5	
Managing Partner's Salary	30			
Wages and Salary	75		45	
Rent			12	
Office Expenses	25		18	
Commission Receipts		256		100
Branch/HO Current Account	120			7
	4,880	**4,880**	**390**	**390**

The following information is also available:

(i) Stock as at 31st March, 20X2 Lucknow ₹ 1,50,000 Canberra A$ 3125 (all stock are out of purchases made at Abroad)

(ii) Head Office always sent goods to the Branch at cost plus 25%

(iii) Provision is to be made for doubtful debts at 5%

(iv) Depreciation is to be provided on Buildings at 10% and on Plant and Machinery at 20% on written down value.

You are required to:

(1) Convert the Branch Trial Balance into rupees by using the following exchange rates:

Opening rate	1 A $ = ₹ 50
Closing rate	1 A $ = ₹ 53
Average rate	1 A $ = ₹ 51.00
For Fixed Assets	1 A $ = ₹ 46.00

(2) Prepare Trading and Profit and Loss Account for the year ended 31st March 20X2 showing to the extent possible H.O. results and Branch results separately.

Answer

M & S Co. Ltd.

Canberra, Australia Branch Trial Balance as on 31st March 20X2

	($ 'thousands)			(₹ 'thousands)	
	Dr.	**Cr.**	**Con. rate per $**	**Dr.**	**Cr.**
Plant & Machinery (cost)	200		₹ 46	9,200	
Plant & Machinery Dep. Provision		130	₹ 46		5,980
Trade receivable/payable	60	30	₹ 53	3,180	1,590

Stock (1.4.20X1)	20		₹ 50	1,000	
Cash & Bank Balances	10		₹ 53	530	
Purchase/Sales	20	123	₹ 51	1,020	6,273
Goods received from H.O.	5		Actual	100	
Wages & Salaries	45		₹ 51	2,295	
Rent	12		₹ 51	612	
Office expenses	18		₹ 51	918	
Commission Receipts		100	₹ 51		5,100
H.O. Current A/c		7	Actual		120
				18,855	**19,063**
Foreign Exchange Loss (bal. fig.)				208	
	390	390		**19,063**	**19,063**
Closing stock	3.125		53	165.625*	

Trading and Profit & Loss Account for the year ended 31st March, 20X2 (₹'000)

	H.O.	Branch	Total		H.O.	Branch	Total
To Opening Stock	100	1,000.00	1,100.00	By Sales	520	6,273.00	6,793.00
To Purchases	240	1,020.00	1,260.00	By Good sent to Br.	100	–	100.00
To Goods rec. from H.O.	–	100.00	100.00	By Closing Stock	150	165.62	315.62
To Wages & Salaries	75	2,295.00	2,370.00				
To Gross profit c/d	355	2,023.62	2,378.62				
	770	**6,438.62**	**7,208.62**		**770**	**6,438.62**	**7,208.62**
To Rent	–	612.00	612.00	By Gross profit b/d	355	2,023.62	2,378.62
To Office expenses	25	918.00	943.00	By Comm. receipts	256	5,100.00	5,356.00
To Pro. for debts @ 5%	14	159.00	173.00				
To Depre. (W. N.)	460	644.00	1,104.00				
To Balance c/d	112	4,790.62	4,902.62				
	611	**7,123.62**	**7,734.62**		**611**	**7,123.62**	**7,734.62**
To Man. Part's Salary			30.00	By Balance b/d			4,902.62
To Exchange Loss			208.00	By Br. stock res.			4.00
To Balance c/d			4,668.62				
			4,906.62				**4,906.62**

Working Note:

Calculation of Depreciation

		H. O. (₹ '000)	Branch (₹ '000)
Building - Cost		1,000	
Less: Depreciation Provision		(200)	
		800	
Depreciation @ 10%	(A)	80	
Plant & Machinery Cost		2,500	9,200

Less: Depreciation Provision		(600)	(5,980)
		1,900	3,220
Depreciation @ 20%	(B)	380	644
Total Depreciation	(A+B)	460	644

Question 41

DM Delhi has a branch in London which is an integral foreign operation of DM. At the end of the year 31st March, 20X5, the branch furnishes the following trial balance in U.K. Pound:

Particulars	**Dr. £**	**Cr. £**
Fixed assets (Acquired on 1st April, 20X1)	24,000	
Stock as on 1st April, 20X4	11,200	
Goods from head Office	64,000	
Expenses	4,800	
Debtors	4,800	
Creditors		3,200
Cash at bank	1,200	
Head Office Account		22,800
Purchases	12,000	
Sales		96,000
	1,22,000	**1,22,000**

In head office books, the branch account stood as shown below:

London Branch A/c

Particulars	**Amount (₹)**	**Particulars**	**Amount (₹)**
To Balance b/d	20,10,000	By Bank A/c	52,16,000
To Goods sent to branch	49,26,000	By Balance c/d	17,20,000
	69,36,000		**69,36,000**

The following further information is given:

(a) Fixed assets are to be depreciated @ 10% p.a. on WDV.

(b) On 31st March, 20X5:

Expenses outstanding	£ 400
Prepaid expenses	£ 200
Closing stock	£ 8,000

(c) Rate of Exchange:

1st April, 20X1	₹ 70 to £ 1
1st April, 20X4	₹ 76 to £ 1
31st March, 20X5	₹ 77 to £ 1
Average	₹ 75 to £ 1

You are required to prepare: (1) Trial balance, incorporating adjustments of outstanding and prepaid expenses,

converting U.K. pound into Indian rupees; and (2) Trading and profit and loss account for the year ended 31st March, 20X5 of London branch as would appear in the books of Delhi head office of DM.

Answer

Trial Balance of London Branch as on 31st March, 20X5

Particulars	U.K. Pound	Rate Per U.K. Pound	Dr. (₹)	Cr. (₹)
Fixed Assets	24,000	70	16,80,000	
Stock (as on 1st April, 20X4)	11,200	76	8,51,200	
Goods from Head Office	64,000	–	49,26,000	
Sales	96,000	75		72,00,000
Purchases	12,000	75	9,00,000	
Expenses (4,800 + 400 – 200)	5,000	75	3,75,000	
Debtors	4,800	77	3,69,600	
Creditors	3,200	77		2,46,400
Outstanding Expenses	400	77		30,800
Prepaid expenses	200	77	15,400	
Cash at Bank	1,200	77	92,400	
Head office Account		–		17,20,000
Difference in Exchange				12,400
			92,09,600	**92,09,600**

Closing stock will be (8,000 x 77) = ₹ 6,16,000

Trading and Profit & Loss A/c for the year ended 31st March, 20X5

Particulars	Amount (₹)	Particulars	Amount (₹)
To Opening Stock	8,51,200	By Sales	72,00,000
To Purchases	9,00,000	By Closing Stock	6,16,000
To Goods from H.O.	49,26,000		
To Gross Profit	11,38,800		
	78,16,000		**78,16,000**
To Expenses	3,75,000	By Gross Profit	11,38,800
To Depreciation	1,68,000	By Profit due to Exch. difference	12,400
To Net Profit	6,08,200		
	11,51,200		**11,51,200**

Working Note:

Since London Branch is an integral foreign operation. Hence, (1) Fixed assets (cost and depreciation) are translated using the exchange rate at the date of purchase of the assets. (2) Exchange difference arising on translation of the financial statement is charged to Profit and Loss Account.

Question 42

The Washington branch of XYZ Mumbai sent the following trial balance as on 31st December, 20X1:

	$	$
Head office A/c	–	22,800
Sales	–	84,000
Debtors and creditors	4,800	3,400
Machinery	24,000	–
Cash at bank	1,200	–
Stock, 1st January, 20X1	11,200	–
Goods from H.O.	64,000	–
Expenses	5,000	–
	1,10,200	**1,10,200**

In the books of head office, the Branch A/c stood as follows:

Washington Branch A/c

Particulars	Amount (₹)	Particulars	Amount (₹)
To Balance b/d	8,10,000	By Cash	28,76,000
To Goods sent to branch	29,26,000	By Balance c/d	8,60,000
	37,36,000		**37,36,000**

Goods are sent to the branch at cost plus 10% and the branch sells goods at invoice price plus 25%. Machinery was acquired in past, when $ 1.00 = ₹ 40.

Rates of exchange were:

1st January, 20X1	$ 1.00 = ₹ 46
31st December, 20X1	$ 1.00 = ₹ 48
Average	$ 1.00 = ₹ 47

Machinery is depreciated @ 10% and the branch manager is entitled to a commission of 5% on the profits of the branch.

You are required to:

(i) Prepare the Branch Trading & Profit & Loss A/c in dollars.

(ii) Convert the Trial Balance of branch into Indian currency and prepare Branch Trading & Profit and Loss A/c and the Branch A/c in the books of head office.

Answer

(i)

In the Books of Head Office

Branch Trading and Profit & Loss A/c (in Dollars) for the year ended 31st December, 20X1

Particulars	$	Particulars	$
To Opening stock	11,200	By Sales	84,000
To Goods from H.O.	64,000	By Closing stock (W.N.2)	8,000
To Gross profit c/d	16,800		
	92,000		**92,000**
To Expenses	5,000	By Gross profit b/d	16,800
To Depreciation (24,000 x 10%)	2,400		

To Manager's commission (W.N.1)	470		
To Net profit c/d	8,930		
	16,800		**16,800**

(ii) (a) Converted Branch Trial Balance (into Indian Currency)

Particulars	Rate per $	Dr. (₹)	Cr. (₹)
Machinery	40	9,60,000	–
Stock January 1, 20X1	46	5,15,200	–
Goods from head office	Actual	29,26,000	–
Sales	47	–	39,48,000
Expenses	47	2,35,000	–
Debtors & creditors	48	2,30,400	1,63,200
Cash at bank	48	57,600	–
Head office A/c	Actual	–	8,60,000
Difference in exchange rate (b.f.)		47,000	–
		49,71,200	**49,71,200**
Closing stock $ 8,000 (W.N. 2)	48	3,84,000	

(b) Branch Trading and Profit & Loss A/c for the year ended 31st December, 20X1

Particulars	$	Particulars	$
To Opening stock	5,15,200	By Sales	39,48,000
To Goods from head office	29,26,000	By Closing stock (W.N.2)	3,84,000
To Gross profit c/d	8,90,800		
	43,32,000		**43,32,000**
To Expenses	2,35,000	By Gross profit b/d	8,90,800
To Depreciation @ 10% on ₹ 9,60,000	96,000		
To Exchange difference	47,000		
To Manager's commission (W.N.1)	22,560		
To Net Profit c/d	4,90,240		
	8,90,800		**8,90,800**

(c) Branch Account

Particulars	Amount (₹)	Particulars	Amount (₹)
To Balance b/d	8,60,000	By Machinery (9,60,000 – 96,000)	8,64,000
To Net profit	4,90,240	By Closing stock	3,84,000
To Creditors	1,63,200	By Debtors	2,30,400
To Outstanding Commission	22,560	By Cash at bank	57,600
	15,36,000		**15,36,000**

Working Notes:

1. Calculation of manager's commission @ 5% on profit

5% of $ [16,800 – (5,000 + 2,400)] or 5% x $ 9,400 = $ 470

Manager's commission in Rupees = $ 470 x ₹ 48 = ₹ 22,560

2. Calculation of closing stock

	$
Opening stock	11,200
Add: Goods from head office	64,000
	75,200
Less: Cost of goods sold (at invoice price) (100/125 x 84,000)	(67,200)
Closing stock	**8,000**
Closing stock in Rupees = $ 8,000 x ₹ 48 = **₹ 3,84,000**	

Miscellaneous

Question 43

L Ltd. has its head office at Mumbai and two branches at Pune and Goa. The branches purchase goods independently. Pune branch makes a profit of one third on cost and Goa branch makes a profit of 20% on sales. Goods are also supplied by one branch to another at the respective sales price. From the following particulars, prepare the Trading and Profit and Loss Account of Pune branch and find out the profit or loss made by it considering the reserve for unrealised profits:

Particulars	Pune Branch (₹)	Goa Branch (₹)
Opening Stock	40,000	30,000
Purchases (Including Inter Branch transfers)	2,00,000	2,50,000
Sales	2,80,000	2,95,625
Chargeable Expenses (Direct Expense)	15,000	27,500
Closing Stock	30,000	43,500
Office and Administration Expenses	13,250	7,000
Selling and Distribution Expenses	15,000	10,000

Information:

(i) Opening stock at Pune Branch includes goods of ₹ 10,000 (invoice price) taken from Goa Branch.

(ii) Opening stock at Goa Branch includes goods of invoice price ₹ 17,000 taken from Pune Branch.

(iii) The Pune Branch sales include transfer of goods to Goa Branch at selling price ₹ 20,000

(iv) The sales of Goa Branch include transfer of goods to Pune Branch at selling price ₹ 15,000.

(v) Closing stock at Pune Branch includes goods received from Goa Branch (invoice price ₹ 5,000.

(vi) Closing stock at Goa Branch includes goods of ₹ 4,000 (invoice price).

Answer

Pune Branch Trading and Profit and Loss Account

Particulars	₹	Particulars	₹
To Opening Stock	40,000	By Sales	2,80,000
(including ₹ 10,000 from Goa Branch)		(including ₹ 20,000 to Goa Branch)	
To Purchases	2,00,000	By Closing Stock	30,000

		(including ₹ 5,000 from Goa Br.)	
To Chargeable Expenses	15,000		
To Gross Profit c/d (before making adj. for unrealised profit)	55,000		
	3,10,000		**3,10,000**
To Stock Reserve (for unrealised profit in Closing Stock lying at Goa Branch) (₹ 4,000 x 25/100)	1,000	By Gross Profit b/d	55,000
To Office & Adm. Expenses	13,250	By Stock Reserve (for unrealised profit in Opening Stock lying at Goa Br.) (₹ 17,000 x 25/100)	4,250
To Selling & Distribution Expenses	15,000		
To Net Profit	30,000		
	59,250		**59,250**

Question 44

Alpha Ltd. has a retail shop under the supervision of a manager. The ratio of gross profit at selling price is constant at 25 percent throughout the year to 31st March, 20X1.

Branch manager is entitled to a commission of 10 per cent of the profit earned by his branch, calculated before charging his commission but subject to a deduction from such commission equal to 25 percent of any ascertained deficiency of branch stock. All goods were supplied to the branch from head office.

The following details for the year ended 31st March, 20X1 are given as follows:

	₹		₹
Opening Stock (at cost)	74,736	Chargeable expenses	49,120
Goods sent to branch (at cost)	2,89,680	Closing Stock (Selling Price)	1,23,328
Sales	3,61,280		
Manager's comm. paid on account	2,400		

From the above details, you are required to calculate the commission due to manager for the year ended 31st March, 20X1.

Answer

In the books of Alpha Ltd.

Step 1: Calculation of Deficiency

Branch stock account (at invoice price)

Particulars	**₹**	**Particulars**	**₹**
To Opening Stock (₹ 74,736 + 1/3 of ₹ 74,736)	99,648	By Sales	3,61,280
		By Closing Stock	1,23,328
To Goods sent to Branch A/c (₹ 2,89,680 + 1/3 of ₹ 2,89,680)	3,86,240	By Deficiency at sale price (Bal. fig.)	1,280
	4,85,888		**4,85,888**

Step 2: Calculation of Net Profit before Commission

Branch account

Particulars	₹	Particulars	₹
To Opening Stock	99,648	By Sales	3,61,280
[₹ 74,736 + 1/3 of ₹ 74,736]		By Closing Stock	1,23,328
To Gross sent to Branch A/c	3,86,240	By Stock Reserve A/c	24,912
[₹ 2,89,680 + 1/3 of ₹ 2,89,680]		By Goods sent to Branch A/c	96,560
To Expenses	49,120		
To Stock Reserve A/c	30,832		
[₹ 1,23,328 x 25/100]			
To N.P. (subject to manager's comm.)	40, 240		
	6,06,080		**6,06,080**

Step 3: Calculation of Commission still due to manager

			₹
A	Calculation at 10% profit before charging his commission [₹ 40,240 x 10/100]		4,024
B	Less: 25% of cost of deficiency in stock [25% of (75% of ₹ 1,280)]		(240)
C	Commission for the year	(A – B)	3,784
D	Less: Paid on account		(2,400)
E	Balance due	(C – D)	**1,384**

PART - II

Fully Irrelevant Theory Questions

CHAPTER - 1
Introduction and Applicability of Accounting Standards

Question 1

What do you mean by Carve outs/ins in Ind AS? Explain.

Answer

Certain **changes have been made** in Ind AS considering the **economic environment** of the country, which is different as compared to the economic environment presumed to be in existence by IFRS. These differences are due to differences in economic conditions prevailing in India. These differences which are in deviation to the accounting principles and practices stated in IFRS, are commonly known as 'Carve-outs'. Additional guidance given in Ind AS over and above what is given in IFRS, is termed as 'Carve in'.

Question 2

Explain the significance of emergence of IFRS as Global Standards.

Answer

Global Standards **facilitate cross border** flow of money, global listing in different bourses and **comparability** of financial statements. Global Standards **improve the ability** of investors to compare investments on a global basis and thus lowers their risk of errors of judgment. It facilitates accounting and reporting for companies with global operations and eliminates some costly requirements say reinstatement of financial statements.

Question 3

Briefly explain the process of issuance of Indian Accounting Standards.

Answer

Due to the recent stream of overseas acquisitions by Indian companies, there is need for adoption of high-quality standards to **convince foreign enterprises** about the financial standing as also the disclosure and governance standards of Indian acquirers.

The Government of India in consultation with the ICAI decided to **converge and not to adopt IFRSs** issued by the IASB. The decision of convergence rather than adoption was taken after the detailed analysis of IFRSs requirements and extensive discussion with various stakeholders.

The ICAI has worked towards convergence of global accounting standards by considering the application of IFRS in Indian corporate environment. Recognizing the growing need of full convergence of Ind AS with IFRS, ICAI constituted a Task Force to examine various issues involved.

Ind AS are issued by the Central Government of India under the supervision and control of ASB of ICAI and in consultation with NFRA. NFRA recommends these standards to the MCA and MCA has to spell out the accounting standards applicable for companies in India.

CHAPTER - 5
AS 3: Cash Flow Statement

Question 1

What are the main features of the Cash Flow Statement?

Answer

According to AS 3 on "Cash Flow Statement", cash flow statement deals with the provision of information about the historical changes in cash and cash equivalents of an enterprise during the given period from operating, investing and financing activities. Cash flows from operating activities can be reported using either (a) the direct method, or (b) the indirect method. A cash flow statement when used in conjunction with the other financial statements, provides information that enables users to evaluate the changes in net assets of an enterprise, its financial structure (including its liquidity and solvency), and its ability to affect the amount and timing of cash flows in order to adapt to changing circumstances and opportunities.

Question 2

What is the significance of cash flow statement? Explain in brief.

Answer

Cash flow statement provides information about the changes in cash and cash equivalents of an enterprise. It identifies cash generated from trading operations and is very useful tool of planning.

Question 3

Explain the difference between direct and indirect methods of reporting cash flows from operating activities with reference to AS 3.

Answer

As per Para 18 of AS 3 (Revised) on Cash Flow Statements, an enterprise should report cash flows from operating activities using either:

(a) The direct method, whereby major classes of gross cash receipts and gross cash payments are disclosed; or

(b) the indirect method, whereby net profit or loss is adjusted for the effects of transactions of a non-cash nature, any deferrals or accruals of past or future operating cash receipts or payments, and items of income or expense associated with investing or financing cash flows.

CHAPTER - 8
AS 7: Construction Contracts

Question 1

It is argued that profit on construction contracts should not be recognised until the contract is completed. Please explain whether you believe that this suggestion would improve the quality of financial reporting for long-term construction contracts.

Answer

Usually, construction contracts are long term nature i.e., the contracts are entered in one accounting period, however, the work performed will flow into more than one accounting year. If the profit on construction contracts is not recognised over the construction period, then the costs incurred during the earlier years of the contract would be recognised without any corresponding revenue. This will result in losses for initial years followed high profits in future years.

The current treatment under AS 7 results in matching of revenue and associated costs as they are recognised during the same period. Also, the current accounting incorporates the prudence concept as any foreseeable losses are accounted for immediately.

Therefore, AS 7 results in a fair representation of the underlying financial substance of the transaction.

CHAPTER - 9
AS 9: Revenue Recognition

Question 1

A claim lodged with the Railways in March 20X1 for loss of goods of ₹ 2,00,000 had been passed for payment in March 20X3 for ₹ 1,50,000. No entry was passed in the books of the Company, when the claim was lodged. Advise P Co. Ltd. about the treatment of the following in the Final Statement of Accounts for the year ended 31st March 20X3.

Answer

AS 9 on 'Revenue Recognition' states that where the ability to assess the ultimate collection with reasonable certainty is lacking at the time of raising any claim, revenue recognition is postponed to the extent of uncertainty involved. When recognition of revenue is postponed due to the effect of uncertainties, it is considered as revenue of the period in which it is certain to be collected. In this case, it may be assumed that collectability of claim was not certain in earlier periods. This is supposed from the fact that only ₹ 1,50,000 were collected against a claim of ₹ 2,00,000. So, this transaction cannot be taken as a Prior Period Item.

Hence, receipt of ₹ 1,50,000 shall be recognized as revenue in year ended 31st March 20X3.

In the light of AS 5, it will not be treated as extraordinary item. However, AS 5 states that when items of income and expense within profit or loss from ordinary activities are of such size, nature, or incidence that their disclosure is relevant to explain the performance of the enterprise for the period, the nature and amount of such items should be disclosed separately. Accordingly, the nature and amount of this item should be disclosed separately.

CHAPTER - 10
AS 10: Property, Plant and Equipment (PPE)

Question 1

With reference to AS-10 Revised, classify the items under the following heads:

HEADS

(i) Purchase Price of Property, plant and Equipment (PPE)

(ii) Directly attributable cost of PPE or

(iii) Cost not included in determining the carrying amount of an item of PPE.

ITEMS

(1) Import duties and non-refundable purchase taxes.

(2) Initial delivery and handling costs.

(3) Initial operating losses, such as those incurred while demand for the output of an item builds up.

(4) Costs incurred while an item capable of operating in the manner intended by management has yet to be brought into use or is operated at less than full capacity.

(5) Trade discounts and rebates.

(6) Costs of relocating or reorganizing part or all of the operations of an enterprise.

(7) Installation and assembly costs.

(8) Administration and other general overhead costs.

Answer

Heads

(i) Purchase price of PPE

(ii) Directly attributable cost of PPE

(iii) Cost not included in determining the carrying amount of an item of PPE

Items		Classified under Head
1	Import duties and non-refundable purchase taxes	**(i)**
2	Initial delivery and handling costs	**(ii)**
3	Initial operating losses, such as those incurred while demand for the output of an item builds up	**(iii)**
4	Costs incurred while an item capable of operating in the manner intended by management has yet to be brought into use or is operated at less than full capacity	**(iii)**
5	Trade discounts and rebates (deducted for computing purchase price)	**(i)**
6	Costs of relocating or reorganizing part or all of the operations of an enterprise	**(iii)**
7	Installation and assembly costs	**(ii)**
8	Administration and other general overhead costs	**(iii)**

Question 2

Entity B constructs a machine for its own use. Construction is completed on 1st November 20X1 but the

company does not begin using the machine until 1st March 20X2. Comment.

Answer

The entity should begin charging depreciation from the date the machine is **ready for use – that is, 1st November 20X1.** The fact that the machine was not used for a period after it was ready to be used is not relevant in considering when to begin charging depreciation.

Question 3

Entity B manufactures industrial chemicals and uses blending machines in the production process. The output of the blending machines is consistent from year to year and they can be used for different products.

However, maintenance costs increase from year to year and a new generation of machines with significant improvements over existing machines is available every 5 years. Suggest the depreciation method to the management.

Answer

The **straight-line depreciation method** should be adopted, because the production output is **consistent** from year to year.

Factors such as maintenance costs or technical obsolescence should be considered in determining the blending machines' useful life.

Question 4

Entity A, a supermarket chain, is renovating one of its major stores. The store will have more available space for in store promotion outlets after the renovation and will include a restaurant. Management is preparing the budgets for the year after the store reopens, which include the cost of remodelling and the expectation of a 15% increase in sales resulting from the store renovations, which will attract new customers. State whether the remodelling cost will be capitalised or not.

Answer

The expenditure in remodelling the store will create future economic benefits (in the form of 15% of increase in sales) and the cost of remodelling can be measured reliably, therefore, it **should be capitalised**.

Question 5

An amusement park has a 'soft' opening to the public, to trial run its attractions. Tickets are sold at a 50% discount during this period and the operating capacity is 80%. The official opening day of the amusement park is three months later. Management claim that the soft opening is a trial run necessary for the amusement park to be in the condition capable of operating in the intended manner. Accordingly, the net operating costs incurred should be capitalised. Comment.

Answer

The net operating costs should not be capitalised but should be recognised in the Statement of Profit and Loss.

Even though it is running at less than full operating capacity (in this case 80% of operating capacity), there is

sufficient evidence that the amusement park is capable of operating in the manner intended by management. Therefore, these costs are specific to the start-up and, therefore, **should be expensed as incurred**.

Question 6

Entity A is a large manufacturing group. It owns a number of industrial buildings, such as factories and warehouses and office buildings in several capital cities. The industrial buildings are located in industrial zones, whereas the office buildings are in central business districts of the cities. Entity A's management want to apply the revaluation model as per AS 10 (Revised) to the subsequent measurement of the office buildings but continue to apply the historical cost model to the industrial buildings.

State whether this is acceptable under AS 10 (Revised) or not with reasons?

Answer

Entity A's management can apply the revaluation model only to the office buildings. The office buildings can be clearly distinguished from the industrial buildings in terms of their function, their nature and their general location. **AS 10** (Revised) permits assets to be revalued on a **class by class basis**.

The different characteristics of the buildings enable them to be classified as different PPE classes. The different measurement models can, therefore, be applied to these classes for subsequent measurement.

However, all properties **within the class of office buildings must be carried at revalued amount**.

Question 7

Entity A has a policy of not providing for depreciation on PPE capitalised in the year until the following year, but provides for a full year's depreciation in the year of disposal of an asset. Is this acceptable?

Answer

The depreciable amount of a tangible fixed asset should be allocated on a **systematic basis over its useful life**. The depreciation method should reflect the pattern in which the asset's future economic benefits are expected to be consumed by the entity.

Useful life means the period over which the asset is expected to be available for use by the entity. Depreciation should commence as soon as the asset is acquired and is available for use. Thus, the policy of Entity A is **not acceptable**.

Question 8

Entity A carried plant and machinery in its books at ₹ 2,00,000. These were destroyed in a fire. The assets were insured 'New for old' and were replaced by the insurance company with new machines that cost ₹ 20,00,000. The machines were acquired by the insurance company and the company did not receive ₹ 20,00,000 as cash compensation. State, how Entity A should account for the same?

Answer

Entity A should account for a loss in the Statement of Profit and Loss on derecognition of the carrying value of plant and machinery in accordance with AS 10 (Revised).

Entity A should separately recognise a receivable and a gain in the income statement resulting from the insurance proceeds under AS 29 (Revised) once receipt is virtually certain. The receivable should be measured at the fair value of assets that will be provided by the insurer.

Question 9

A company has debited the Building Account with the Cost of the Land on which the building stands and has provided depreciation on such total cost. Comment on the accounting treatment.

Answer

As per **AS 10**, Property, Plant and Equipment, each part of an item of property, plant and equipment with a cost that is significant in relation to the total cost of the item should be depreciated separately. Further, Land and buildings are separable assets and are accounted for separately, even when they are acquired together. With some exceptions, such as quarries and sites used for landfill, land has an unlimited useful life and therefore is not depreciated. Buildings have a limited useful life and therefore are depreciable assets.

In the given case, land should not be depreciated unless it has a limited useful life. Accordingly, it is **incorrect** to debit the cost of land to the Building Account and provide depreciation on the aggregate cost.

Question 10

An entity is setting up a manufacturing plant. Construction of the plant is completed in August and the plant is ready for commercial production in November. However, the entity commences production in March. When should be company start charging depreciation.

Answer

As per **AS 10**, Property, Plant and Equipment, depreciation of an asset begins when it is **available for use**, i.e., when it is in the location and condition necessary for it to be capable of operating in the manner intended by management.

In the given case, since the plant is ready for commercial production in November, depreciation shall **commence from November**. The date of commencement of commercial production is irrelevant for charging depreciation.

Question 11

An entity gave the following Note in its Financial Statements:

'The company chooses not to charge depreciation on Property, Plant and Equipment on account of:

(a) Annual Maintenance Contracts being expensed thereby ensuring timely repairs of Plant and Machinery.

(b) Depreciation being a non-cash expense has no impact on cash flows. Accordingly, it is not necessary to depreciate an asset when repairs and maintenance charges are expensed in the Statement of Profit and Loss.

(c) The values of certain assets like Property increase with passage of time, and hence charging depreciation does not make sense.

(d) At the end of the useful life, the asset is ultimately sold, and since the asset is at cost due to no

depreciation, exact profit or loss on sale of the asset is stated.'

You are required to state the appropriateness of the above accounting policy in line with the relevant Accounting Standards.

Answer

Depreciation refers to writing off the value of the asset over its useful life. Such write-off is necessitated on account of normal wear-and-tear, usage, or obsolescence. Since items of Property, Plant and Equipment are generally used in generating revenue, the pro-rated write-off in value of such item should be recorded in the books against the income earned by such an asset.

Providing depreciation is mandatory, in spite of the fact that repairs are expensed in the Statement of Profit and Loss, or the value of the Property is appreciating. Depreciation is a systematic allocation of cost of the asset against the income generated from the continued use of the asset. Further, the Companies Act, 2013 mandates depreciation to be charged in order to determine the correct profits. Thus, not charging depreciation would result in non-compliance with the Companies Act provisions as well.

The argument laid down by the company and the reasons for the same being invalid are discussed below.

(a) Annual Maintenance Contracts being expensed thereby ensuring timely repairs of Plant and Machinery:

The fact that the company enters into Annual Maintenance Contracts for timely repairs can be regarded as a running cost. Such expense is incurred in order to ensure that the machine continues to run as intended. Thus, it implies that because the machine is being utilized, it will need regular repairs. In other words, continuous use is resulting in normal wear-and-tear which is the reason why depreciation should be charged by the company. By stating that the company incurs Annual Maintenance Expenses, the company is recording only the 'maintenance expenses', but not the wear-and-tear requiring the maintenance in the first place. Hence, this argument put forth by the company is **not valid**.

(b) Depreciation being a non-cash expense has no impact on cash flows. Accordingly, it is not necessary to depreciate an asset when repairs and maintenance charges are expensed in the Statement of Profit and Loss.

When viewed from the prism of depreciation alone, it appears that the fact that depreciation is a non-cash item is correct. However, it must be noted that at the time of procurement of the asset, the company would have paid cash. Depreciation is after all writing off this amount over the life of the asset. Hence the argument that depreciation is a non-cash item is **not valid**. Depreciation is writing off the cost of the asset (which was already paid for) over the useful life of the asset, and hence is mandatory.

(c) The values of certain assets like Property increase with passage of time, and hence charging depreciation does not make sense.

Certain assets like immovable property do increase in value with the passage of time. However, such assets are 'used for the purposes of business' and are not 'held for sale' or held as investment property. Accordingly, since the asset is being used for carrying on business, providing depreciation will give a true and fair view of the results of the company, and hence the argument that the value of the property appreciates is **not valid.**

If the company wants to show the fair market value of the PPE, then it has the option to apply Revaluation model. However, depreciation is mandatory to be charged in Revaluation model also.

(d) At the end of the useful life, the asset is ultimately sold, and since the asset is at cost due to no depreciation, exact profit or loss on sale of the asset is stated.'

The value of any asset, after usage, will reduce. Accordingly, the argument that the 'exact profit or loss

on sale of the asset' will be obtained is incorrect. Due to usage of the asset, the value of the asset would be lower than the cost. Charging depreciation would seek to bring the book value approximating to such reduced value. Thereafter, on sale of the asset, the true profit or loss would be available. Accordingly, this **argument is also invalid**.

It may be pertinent to note that Accounting Standard 1, Disclosure of Accounting Policies states that Disclosure of accounting policies or of changes therein cannot remedy a wrong or inappropriate treatment of the item in the accounts. In other words, the company cannot be absolved of the fact that it has not complied with the relevant accounting standards merely by giving a disclosure of incorrect policies or practices being followed.

Thus, the company's stand of disclosing the incorrect policy as a remedy is **not correct.** The company is suggested to charge depreciation on a systematic basis over the useful life of the asset thereby complying with the Accounting Standards.

Question 12

What happens if the cost of the previous part/inspection was/was not identified in the transaction in which the item was acquired or constructed?

Answer

De-recognition of the carrying amount occurs regardless of whether the cost of the previous part/inspection was identified in the transaction in which the item was acquired or constructed.

Question 13

What will be your answer in the above question, if it is not practicable for an enterprise to determine the carrying amount of the replaced part/inspection?

Answer

It may use the cost of the replacement or the estimated cost of a future similar inspection as an indication of what the cost of the replaced part/existing inspection component was when the item was acquired or constructed.

Question 14

A company changed its method of depreciation from SLM to WDV. How should the change be recognised?

Answer

As per **AS 10**, Property, Plant and Equipment, the depreciation method applied to an asset should be reviewed at least at each financial year-end and, if there has been a significant change in the expected pattern of consumption of the **future economic benefits** embodied in the asset, the method should be changed to reflect the changed pattern. Such a change should be accounted for as a change in an accounting estimate in accordance with AS 5.

Accordingly, the change in method of depreciation should be accounting for as a **change in accounting estimate, prospectively**.

Question 15

Which factors should be considered by a company while determining useful life?

Answer

All the following factors are considered in determining the useful life of an asset:

(a) Expected **usage of the asset**. Usage is assessed by reference to the expected capacity or physical output of the asset.

(b) Expected **physical wear and tear**, which depends on operational factors such as the number of shifts for which the asset is to be used and the repair and maintenance programme, and the care and maintenance of the asset while idle.

(c) **Technical or commercial obsolescence** arising from changes or improvements in production, or from a change in the market demand for the product or service output of the asset. Expected future reductions in the selling price of an item that was produced using an asset could indicate the expectation of technical or commercial obsolescence of the asset, which, in turn, might reflect a reduction of the future economic benefits embodied in the asset.

(d) **Legal or similar limits** on the use of the asset, such as the expiry dates of related leases.

CHAPTER - 11
AS 11: The Effects of Changes in Foreign Exchange Rates

Question 1

Assets and liabilities and income and expenditure items in respect of foreign branches (integral foreign operations) are translated into Indian rupees at the prevailing rate of exchange at the end of the year. The resultant exchange differences in the case of profit, is carried to other Liabilities Account and the Loss, if any, is charged to the statement of profit and loss. Comment.

Answer

The financial statements of an integral foreign operation (for example, dependent foreign branches) should be translated using the principles and procedures described in **AS 11**. The individual items in the financial statements of a foreign operation are translated as if all its transactions had been entered into by the reporting enterprise itself.

Individual items in the financial statements of the foreign operation are translated at the actual rate on the date of transaction. For practical reasons, a rate that approximates the actual rate at the date of transaction is often used, for example, an average rate for a week or a month may be used for all transactions in each foreign currency during the period. The foreign currency monetary items (for example cash, receivables, payables) should be reported using the closing rate at each balance sheet date. Non-monetary items (for example, fixed assets, inventories, investments in equity shares) which are carried in terms of historical cost denominated in a foreign currency should be reported using the exchange date at the date of transaction.

Thus the cost and depreciation of the tangible fixed assets is translated using the exchange rate at the date of purchase of the asset if asset is carried at cost. If the fixed asset is carried at fair value, translation should be done using the rate existed on the date of the valuation. The cost of inventories is translated at the exchange rates that existed when the cost of inventory was incurred and realizable value is translated applying exchange rate when realizable value is determined which is generally closing rate.

Exchange difference arising on the translation of the financial statements of integral foreign operation should be charged to profit and loss account. Exchange difference arising on the translation of the financial statement of foreign operation may have tax effect which should be dealt as per AS 22 'Accounting for Taxes on Income'.

Thus, the treatment by the management of translating all assets and liabilities; income and expenditure items in respect of foreign branches at the prevailing rate at the year end and also the treatment of resultant exchange difference is **not in consonance with AS 11.**

Question 2

Explain "monetary item" as per Accounting Standard 11. How are foreign currency monetary items to be recognized at each Balance Sheet date?

Answer

As per **AS 11** 'The Effects of Changes in Foreign Exchange Rates', Monetary items are money held and assets and liabilities to be received or paid in **fixed or determinable amounts** of money.

Foreign currency monetary items should be reported using the closing rate at each balance sheet date. However, in certain circumstances, the closing rate may not reflect with reasonable accuracy the amount in

reporting currency that is likely to be realized from, or required to disburse, a foreign currency monetary item at the balance sheet date. In such circumstances, the relevant monetary item should be reported in the reporting currency at the amount which is likely to be realized from or required to disburse, such item at the balance sheet date.

Question 3

Distinguish Non-Integral Foreign Operation (NFO) with Integral Foreign Operation (IFO) as per AS 11.

Answer

As per AS 11, Integral foreign operation (IFO) is a foreign operation, the activities of which are an integral part of those of the reporting enterprise. A foreign operation that is integral to the operations of the reporting enterprise carries on its business as if it were an extension of the reporting enterprise's operations. In contrast, a non-integral foreign operation (NFO) is a foreign operation that is not an integral operation. For details, refer para 2.5 of chapter.

Question 4

Classify the following items as monetary or non-monetary item:

Inventories,

Trade Receivables,

Investment in Equity shares,

Property, Plant and Equipment.

Answer

Inventories	Non-monetary
Trade receivables	Monetary
Investment in equity shares	Non-monetary
Property, Plant and Equipment	Non-monetary

CHAPTER - 12
AS 12: Accounting for Government Grants

Question 1

AS 12 deals with recognition and measurement of government grants. Please elaborate the parameters which are required to be met before an entity can recognise government grants in its books?

Answer

A government grant is recognised when there is reasonable assurance that:

- the enterprise will comply with the conditions attaching to it; and
- the grant will be received.

Receipt of a grant is not of itself conclusive evidence that the conditions attaching to the grant have been or will be fulfilled.

CHAPTER - 13
AS 13: Accounting for Investments

Question 1

Briefly explain disclosure requirements for Investments as per AS-13.

Answer

The disclosure requirements as per AS 13 (Revised) are as follows:

(i) Accounting policies followed for the determination of carrying amount of investments.

(ii) Classification of investment into current and long term.

(iii) The amount included in profit and loss statements for

  (a) Interest, dividends and rentals for long term and current investments, disclosing therein gross income and tax deducted at source thereon;

  (b) Profits and losses on disposal of current investment and changes in carrying amount of such investments;

  (c) Profits and losses and disposal of long term investments and changes in carrying amount of investments.

(iv) Aggregate amount of quoted and unquoted investments, giving the aggregate market value of quoted investments;

(v) Any significant restrictions on investments like minimum holding period for sale/disposal, utilisation of sale proceeds or non-remittance of sale proceeds of investment held outside India.

(vi) Other disclosures required by the relevant statute governing the enterprises

Question 2

How will you classify the investments as per AS 13? Explain in Brief.

Answer

The investments are classified into two categories as per AS 13, viz., **Current Investments and Long-term Investments.**

A current Investment is an investment that is by its nature readily realisable and is intended to be held for not more than one year from the date on which such investment is made. The carrying amount for current investments is the lower of cost and fair value. Any reduction to fair value and any reversals of such reductions are included in the statement of profit and loss.

A long-term investment is an investment other than a current investment. Long term investments are usually carried at cost. However, when there is a decline, other than temporary, in the value of a long term investment, the carrying amount is reduced to recognise the decline. The reduction in carrying amount is charged to the statement of profit and loss.

Question 3

Whether the accounting treatment 'at cost' under the head ‘Long Term Investments’ without providing for

any diminution in value is correct and in accordance with the provisions of AS 13. If not, what should have been the accounting treatment in such a situation? Explain in brief.

Answer

The accounting treatment 'at cost' under the head 'Long Term Investment' in the financial statements of the company without providing for any diminution in value is correct and is in accordance with the provisions of AS 13 provided that there is no decline, other than temporary, in the value of investment. If the decline in the value of investment is, other than temporary, compared to the time when the shares were purchased, provision is required to be made.

CHAPTER - 14
AS 14: Accounting for Amalgamations

Question 1

List the conditions to be fulfilled as per AS 14 (Revised) for an amalgamation to be in the nature of merger, in the case of companies.

Answer

According to **AS 14** "Accounting for Amalgamations", Amalgamation in the nature of merger is an amalgamation which satisfies all the following conditions:

(i) **All the assets and liabilities** of the transferor company become, after amalgamation, the assets and liabilities of the transferee company.

(ii) Shareholders holding **not less than 90%** of the face value of the equity shares of the transferor company (other than the equity shares already held therein, immediately before the amalgamation, by the transferee company or its subsidiaries or their nominees) become equity shareholders of the transferee company by virtue of the amalgamation.

(iii) The consideration for the amalgamation **receivable by those equity shareholders** of the transferor company who agree to become equity shareholders of the transferee company is discharged by the transferee company wholly by the issue of equity shares in the transferee company, except that cash may be paid in respect of any fractional shares.

(iv) The business of transferor **is intended to be carried** on, after amalgamation, by the transferee company.

(v) No adjustment is intended to be made to the **book values** of the assets and liabilities of the transferor company when they are incorporated in the financial statements of the transferee company except to ensure uniformity of accounting policies.

Question 2

Briefly explain the methods of accounting for amalgamation as per Accounting Standard-14.

Answer

As per AS 14 on 'Accounting for Amalgamations', there are two main methods of accounting for amalgamations:

The Pooling of Interest Method

Under this method, the assets, liabilities and reserves of the transferor company are recorded by the transferee company at their existing carrying amounts (after making the necessary adjustments).

If at the time of amalgamation, the transferor and the transferee companies have conflicting accounting policies, a uniform set of accounting policies is adopted following the amalgamation. The effects on the financial statements of any changes in accounting policies are reported in accordance with AS 5 on 'Net Profit or Loss for the Period, Prior Period Items and Changes in Accounting Policies'.

The Purchase Method

Under purchase method, transferee company accounts for the amalgamation either by incorporating the assets and liabilities at their existing carrying amounts or by allocating consideration to individual identifiable assets and liabilities of transferor on the basis of their fair values at the date of amalgamation. The identifiable assets and liabilities may include assets and liabilities not recorded in financial statements of the transferor company.

CHAPTER - 15
AS 15: Employee Benefits

Question 1

What are the kinds of employees covered in the revised AS 15 and whether a formal employer employee relationship is necessary or not, for benefits to be covered under the Standard?

Answer

The Standard does not define the term "employee". Paragraph 6 of the Standard states that 'an employee may provide services to an enterprise on a full time, part time, permanent, casual or temporary basis and the term would also include the whole-time directors and other management personnel. The Standard is applicable to all forms of employer employee relationships. There is no requirement for a formal employer employee relationship. Several factors need to be considered to determine the nature of relationship.

Generally, 'outsourcing contracts' may not meet the definition of employer - employee relationship. However, such contracts need to be carefully examined to distinguish between a "contract of service" and a "contract for services". A 'contract for services' implies a contract for rendering services, e.g., professional or technical services which is subject to limited direction and control whereas a 'contract of service' implies a relationship of an employer and employee, and the person is obliged to obey orders in the work to be performed and as to its mode and manner of performance.

Question 2

Whether an enterprise is required to provide for employee benefits arising from informal practices?

Answer

Paragraph 3(c) of the Standard defines employee benefits to include those informal practices that give rise to an obligation where the enterprise has no realistic alternative but to pay employee benefits. The historical pattern of granting such benefits, the expectation created and the impact on the relationship with employees in the event such benefit is withdrawn should be considered in determining whether the informal practice gives rise to a benefit covered by the Standard. For example, where an employer has a practice of making a lumpsum payment on occasion of a festival or regularly grants advances against informal benefits to employees it would be necessary to provide for such benefits.

Careful judgement should be applied in assessing whether an obligation has arisen particularly in instances where an enterprise's practice is to provide improvements only during the collective bargaining process and not during any informal process. If the employer has not set a pattern of benefits that can be projected reliably to give rise to an obligation there is no requirement to provide for the benefits.

However, if the practice established by an employer was that of a consistent benefit granted either as part of union negotiations or otherwise that clearly established a pattern (e.g., a cost of living adjustment or fixed rupee increase), it could be concluded that an obligation exists and that those additional benefits should be included in the measurement of the benefit obligation.

Employee benefits include:

(a) Short-term employee benefits (e.g., wages, salaries, paid annual leave and sick leave, profit sharing bonuses etc. (payable within 12 months of the year-end) and non-monetary benefits for current employees.

(b) Post-employment benefits (e.g., gratuity, pension, provident fund, post- employment medical care etc.).

(c) Long-term employee benefits (e.g., long-service leave, long-term disability benefits, bonuses not wholly payable within 12 months of the year end etc.), and

(d) Termination benefits (e.g. VRS payments)

The Standard lays down recognition and measurement criteria and disclosure requirements for the above four types of employee benefits separately.

Question 3

Whether an entitlement to earned leave which can be carried forward to future periods is a short -term employee benefit or a long-term employee benefit.

Answer

Paragraph 7.2 of the Standard defines 'Short-term' benefits as employee benefits (other than termination benefits) which fall due wholly within twelve months after the end of the period in which the employees render the related service. Paragraph 8(b) of the Standard illustrates the term 'Short -term benefits' to include "short term compensated absences (such as paid annual leave) where the absences are expected to occur within twelve months after the end of the period in which the employees render the related employee service".

Paragraph 7.2 of the Standard uses "falls due" as the basis, paragraph 8(b) of the Standard uses "expected to occur" as the basis to illustrate classification of short term compensated absences. A reading of paragraph 8(b) together with paragraph 7.2 would imply that the classification of short -term compensated absences should be only when absences have "fallen due" and are also "expected to occur". In other words, where employees are entitled to earned leave which can be carried forward to future periods, the benefit would be a 'short-term benefit' provided the employee is entitled to either encash or utilise the benefit during the twelve months after the end of the period when the employee became entitled to the leave and is also expected to utilise the leave.

Where there are restrictions on encashment and/or availment, clearly the compensated absence has not fallen due and the benefit of compensated absences is more likely to be a long-term benefit. For example, where an employee has 100 days of earned leave which he is entitled to an unlimited carry forward, but the rules of the enterprise allow him to encash/utilise only 30 days during the next twelve months, the benefit would be considered as a 'long-term' benefit. In some situations, where there is no restriction but the absence is not expected to wholly occur in the next twelve months, the benefit should be considered as 'long-term'. For example, where an employee has 400 days carry forward earned leave and the past pattern indicates that the employees are unlikely to avail / encash the entire carry forward during the next twelve months, the benefit would not be 'short-term'.

Whilst it is necessary to consider the earned leave which "falls due", the pattern of actual utilisation/encashment by employees, although reflective of the behavioural pattern of employees, does determine the status of the benefit, i.e., whether 'short-term' or 'long-term'. The value of short-term benefits should be determined without discounting and if the benefit is determined as long-term, it would be recognised and measured as "Other long-term benefits" in accordance with paragraph 129 of the Standard.

The categorisation in 'short-term' or 'long-term' employee benefits should be done on the basis of the overall behavioural pattern of all the employees of the enterprise and not on individual basis.

Question 4

In case an enterprise allows unutilised employee benefits, e.g., medical care, leave travel, etc., to be carried forward, whether it is required to recognise a provision in respect of carried forward benefits.

Answer

A provision should be recognised for all benefits (conditional or unconditional) which an employee becomes entitled to as a result of rendering of the service and should be recorded as part of the cost of service rendered during the period in which the service was rendered which resulted the entitlement. In estimating the cost of such benefit the probability of the employee availing such benefit should be considered.

Question 5

What are the types of Employees benefits and what is the objective of Introduction of this Standard i.e. AS 15?

Answer

There are four types of employee benefits according to AS 15 (Revised 2005). They are:

(a) Short-term employee benefits, such as wages, salaries and social security contributions (e.g., contribution to an insurance company by an employer to pay for medical care of its employees), paid annual leave, profit-sharing and bonuses (if payable within twelve months of the end of the period) and non-monetary benefits (such as medical care, housing, cars and free or subsidised goods or services) for current employees;

(b) Post-employment benefits such as gratuity, pension, other retirement benefits, post-employment life insurance and post-employment medical care;

(c) Other long-term employee benefits, including long-service leave or sabbatical leave, jubilee or other long-service benefits, long-term disability benefits and, if they are not payable wholly within twelve months after the end of the period, profit-sharing, bonuses and deferred compensation; and

(d) Termination benefits.

Because each category identified in (a) to (d) above has different characteristics, this Statement establishes separate requirements for each category.

The objective of AS 15 is to prescribe the accounting and disclosure for employee benefits. The statement requires an enterprise to recognise:

(a) A liability when an employee has provided service in exchange for employee benefits to be paid in the future; and

(b) An expense when the enterprise consumes the economic benefit arising from service provided by an employee in exchange for employee benefits.

Question 6

A company has a scheme for payment of settlement allowance to retiring employees. Under the scheme, retiring employees are entitled to reimbursement of certain travel expenses for class they are entitled to as per company rule and to a lump-sum payment to cover expenses on food and stay during the travel. Alternatively, employees can claim a lump sum amount equal to one month pay last drawn.

The company's contentions in this matter are:

(i) Settlement allowance does not depend upon the length of service of employee. It is restricted to employee's eligibility under the Travel rule of the company or where option for lump-sum payment is exercised, equal to the last pay drawn.

(ii) Since it is not related to the length of service of the employees, it is accounted for on claim basis.

State whether the contentions of the company are correct as per relevant Accounting Standard. Give reasons in support of your answer.

Answer

The present case falls under the category of defined benefit scheme under Para 49 of AS 15 (Revised) "Employee Benefits". The said para encompasses cases where payment promised to be made to an employee at or near retirement presents significant difficulties in the determination of periodic charge to the statement of profit and loss. The contention of the Company that the settlement allowance will be accounted for on claim basis is not correct even if company's obligation under the scheme is uncertain and requires estimation. In estimating the obligation, assumptions may need to be made regarding future conditions and events, which are largely outside the company's control. Thus,

(1) Settlement allowance payable by the company is a defined retirement benefit, covered by AS 15 (Revised).

(2) A provision should be made every year in the accounts for the accruing liability on account of settlement allowance. The amount of provision should be calculated according to actuarial valuation.

(3) Where, however, the amount of provision so determined is not material, the company can follow some other method of accounting for settlement allowances.

CHAPTER - 17
AS 17: Segment Reporting

Question 1

Microtech Ltd. produces batteries for scooters, cars, trucks, and specialised batteries for invertors and UPS. How many segments should it have and why?

Answer

In case of Microtech Ltd., the basic product is the batteries, but the risks and returns of the batteries for automobiles (scooters, cars and trucks) and batteries for invertors and UPS are affected by different set of factors. In case of automobile batteries, the risks and returns are affected by the Government policy, road conditions, quality of automobiles, etc. whereas in case of batteries for invertors and UPS, the risks and returns are affected by power condition, standard of living, etc. Therefore, it can be said that Microtech Ltd. has two business segments viz- '**Automobile batteries' and 'batteries for Invertors and UPS'**.

Question 2

PK Ltd. has identified business segment as its primary reporting format. It has identified India, USA and UK as three geographical segments. It sells its products in the Indian market, which constitutes 70% of the Company's sales. 25% is sold in USA and the balance is sold in UK.

Is PK Ltd. as part of its geographical secondary segment information, required to disclose segment revenue from export sales, where such sales are not significant?

Answer

As per **AS 17**, if primary format of an enterprise for reporting segment information is business segments, it should also report segment revenue from external customers by geographical area based on the geographical location of its customers, for each geographical segment whose revenue from sales to external customers is 10 per cent or more of enterprise revenue.

Therefore, for the purposes of disclosing secondary segment information, PK Ltd. is **not required to disclose** segment revenue from export sales to UK, since that segment does not meet the 10% or more of enterprise revenue threshold. However, other secondary segment information as per AS 17 should be disclosed in respect of this segment if the thresholds prescribed in the AS 17 are met.

Question 3

Company A is engaged in the manufacture and sale of products, which constitute two distinct business segments. The products of the Company are sold in the domestic market only. The management information system of the Company is organized to reflect operating information by two broad market segments, rural and urban.

Besides the two business segments, how should Company A identify geographical segments? Do geographical segments exist within the same country? Explain in line with the provisions of AS 17.

Answer

AS 17 explains that, "a single geographical segment does not include operations in economic environments

with significantly differing risks and returns. A geographical segment may be a single country, a group of two or more countries, or a region within a country".

Accordingly, to identity geographical segments, Company A needs to evaluate whether the segments reflected in the management information system function in environments that are subject to significantly differing risks and returns irrespective of the fact whether they are within the same country.

The Standard recognizes that, "Determining the composition of a business or geographical segment involves a certain amount of judgement…". Accordingly, while the management information system of the Company provides segment information for rural and urban geographical segments for the purpose of internal reporting, judgement is required to determine whether these segments are subject to significantly differing risks and returns based on the definition of geographical segment. In making such a judgement, aspect like different pricing and other policies, e.g., credit policies, deployment of resources between different regions etc., may be considered for the purpose identifying 'urban and 'rural' as separate geographical segment.

Company A, in making judgment for identifying geographical segments, should also consider the relevance, reliability and comparability over time of segment information that will be reported. The Standard, explains that, "In making that judgement, enterprise management takes into account the objective of reporting financial information by segment as set forth in the standard and the qualitative characteristics of financial statements. The qualitative characteristics include the relevance, reliability and comparability over time of financial information that is reported about the different groups of products and services of an enterprise and about its operations in particular geographical areas, and the usefulness of that information for assessing the risks and returns of the enterprise."

CHAPTER - 19
AS 19: Leases

Question 1

Explain the types of lease as per AS 19.

Answer

For the purpose of accounting AS 19, classifies leases into two categories as follows:

1. Finance Lease
2. Operating Lease

Finance Lease:

It is a lease, which **transfers** substantially all the **risks and rewards** incidental to ownership of an **asset to the lessee by the lessor** but **not the legal ownership**.

As per para 8 of the standard, in following **situations**, the lease transactions are called **Finance lease**:

1. The **lessee will get the ownership** of leased asset at the **end of the lease** term.
2. The **lessee has an option to buy** the leased asset at the **end of the lease term** at **price, which is lower than its expected fair value** at the date on which option will be exercised.
3. The **lease term covers the major part of the life** of asset even if title is not transferred.
4. At the beginning of lease term, **present value of minimum lease rental covers the initial fair value**.
5. The **asset** given on lease to lessee is of **specialized nature** and can **only be used by the lessee** without major modification.

Operating Lease:

It is lease, which does **not transfer** all the **risks and rewards** incidental to ownership.

Question 2

Explain the accounting treatment for a sale and leaseback transaction under Operating lease.

Answer

As per **AS 19**, where sale and **leaseback** results in **operating lease**, then the accounting treatment in different situations is as follows:

Situation 1: Sale price = Fair Value

Profit or loss should be recognized **immediately**.

Situation 2: Sale Price < Fair Value

Profit should be recognized **immediately**. The **loss** should also be recognized **immediately except** that, if the **loss is compensated by future lease payments** at below market price, it should be deferred and **amortized i**n proportion to the lease payments **over the period** for which the asset is expected to be used.

Situation 3: Sale Price > Fair Value

The **excess over fair value** should be **deferred and amortized over the period** for which the asset is expected to be used.

Question 3

What are the disclosures requirements for operating leases by the lessee as per AS-19?

Answer

As per AS 19, lessees are required to make following disclosures for operating leases:

(a) the total of future minimum lease payments under non-cancelable operating leases for each of the following periods:

  (i) not later than one year;

  (ii) later than one year and not later than five years;

  (iii) later than five years;

(b) the total of future minimum sublease payments expected to be received under non- cancelable subleases at the balance sheet date;

(c) lease payments recognized in the statement of profit and loss for the period, with separate amounts for minimum lease payments and contingent rents;

(d) sub-lease payments received (or receivable) recognized in the statement of profit and loss for the period;

(e) a general description of the lessee's significant leasing arrangements including, but not limited to, the following:

  (i) the basis on which contingent rent payments are determined;

  (ii) the existence and terms of renewal or purchase options and escalation clauses; and

  (iii) restrictions imposed by lease arrangements, such as those concerning dividends, additional debt, and further leasing.

Question 4

What do you understand by the term “Interest rate implicit on lease”?

Answer

As per para 3 of AS 19 'Leases' the interest rate implicit in the lease is the discount rate that, at the inception of the lease, causes the aggregate present value of:

(a) the minimum lease payments under a finance lease from the standpoint of the lessor; and

(b) any unguaranteed residual value accruing to the lessor,

to be equal to the fair value of the leased asset.

CHAPTER - 20
AS 20: Earnings Per Share

Question 1

In the following list of shares issued, for the purpose of calculation of weighted average number of shares, from which date weight is to be considered:

(i) Equity Shares issued in exchange of cash,

(ii) Equity Shares issued as a result of conversion of a debt instrument,

(iii) Equity Shares issued in exchange for the settlement of a liability of the enterprise,

(iv) Equity Shares issued for rendering of services to the enterprise,

(v) Equity Shares issued in lieu of interest and/or principal of an other financial instrument,

(vi) Equity Shares issued as consideration for the acquisition of an asset other than in cash.

Also define Potential Equity Share.

Answer

The following dates should be considered for consideration of weights for the purpose of calculation of weighted average number of shares in the given cases:

(i) Date of Cash receivable

(ii) Date of conversion

(iii) Date on which settlement becomes effective

(iv) When the services are rendered

(v) Date when interest ceases to accrue

(vi) Date on which the acquisition is recognised.

A Potential Equity Share is a financial instrument or other contract that entitles or may entitle its holder to equity shares.

Question 2

Stock options have been granted by AB Limited to its employees and they vest equally over 5 years, i.e., 20 % at the end of each year from the date of grant. The options will vest only if the employee is still employed with the company at the end of the year. If the employee leaves the company during the vesting period, the options that have vested can be exercised, while the others would lapse. Currently, AB Limited includes only the vested options for calculating Diluted EPS.

Should only completely vested options be included for computation of Diluted EPS? Is this in accordance with the provisions of AS 20? Explain

Answer

As per AS 20 "A potential equity share is a financial instrument or other contract that entitles, or may entitle, its holder to equity shares".

Options including employee stock option plans under which employees of an enterprise are entitled to receive equity shares as part of their remuneration and other similar plans are examples of potential equity shares.

Further, for the purpose of calculating diluted earnings per share, the net profit or loss for the period attributable to equity shareholders and the weighted average number of shares outstanding during the period should be adjusted for the effects of all dilutive potential equity shares.

The current method of calculating Diluted EPS adopted by AB limited is **not in accordance with AS 20**. The calculation of Diluted EPS should include all potential equity shares, i.e., all the stock options granted at the balance sheet date, which are dilutive in nature, irrespective of the vesting pattern. The options that have lapsed during the year should be included for the portion of the period the same were outstanding, pursuant to the requirement of the standard.

Question 3

Explain why the bonus issue of shares and the shares issue at full market price are treated differently in the calculation of the basic earnings per share?

Answer

In case of a bonus issue, equity shares are issued to existing shareholders for no additional consideration. Therefore, the number of equity shares outstanding is increased without an increase in resources. Since the bonus issue is an issue without consideration, the issue is treated as if it had occurred prior to the beginning of the earliest period reported.

However, the share issued at full market price does not carry any bonus element and usually results in a proportionate change in the resources available to the enterprise. Therefore, it is taken into consideration from the time it has been issued i.e. the time- weighting factor is considered based on the specific shares outstanding as a proportion of the total number of days in the period.

Question 1

Describe the cases when AS 23 does not allow the use of equity method of accounting?

Answer

Equity method of accounting is to be followed by all the enterprises having significant influence on their associates except in the following cases:

a. Control is intended to be **temporary** because the investment is acquired and held exclusively with a view to its subsequent disposal in the near future.

   The term 'Near Future' is explained with AS 21.

Or;

b. It operates under severe **long-term restrictions**, which significantly impair its ability to transfer funds to the investor.

In both the above cases, investment of investor in the share of the investee is treated as investment according to AS 13.

Question 2

When is an investor required to discontinue the use of the equity method of accounting?

Answer

An investor should discontinue the use of the equity method from the date that:

a. It ceases to have significant influence in an associate but retains, either in whole or in part, its investment.

b. The use of the equity method is no longer appropriate because the associate operates under severe long-term restrictions that significantly impair its ability to transfer funds to the investor.

From the date of discontinuing the use of the equity method, investments in such associates should be accounted for in accordance with AS 13, Accounting for Investments. For this purpose, the carrying amount of the investment at that date should be regarded as cost thereafter.

Question 3

Describe the cases when AS 27 does not allow the use of Proportionate consolidation method of accounting?

Answer

Proportionate consolidation method of accounting is to be followed except in the following cases:

a. Investment is intended to be **temporary** because the investment is acquired and held exclusively with a view to its subsequent disposal in the near future. The term 'Near Future' is explained with AS 21.

Or

b. joint venture operates under severe **long-term restrictions**, which significantly impair its ability to

transfer funds to the venturers.

In both the above cases, investment of venturer in the share of the investee is treated as investment according to AS 13.

Question 4

a. A Ltd. holds 80% of the equity capital and voting power in B Ltd. A Ltd. sells inventories costing ₹ 180 lacs to B Ltd at a price of ₹ 200 lacs. The entire inventories remain unsold with B Ltd. at the financial year end i.e. 31 March 20X1.

b. A Ltd. holds 75% of the equity capital and voting power in B Ltd. A Ltd. purchases inventories costing ₹ 150 lacs from B Ltd at a price of ₹ 200 lacs. The entire inventories remain unsold with A Ltd. at the financial year end i.e. 31 March 20X1.

Suggest the accounting treatment for the above-mentioned transactions in the consolidated financial statements of A Ltd. giving reference of the relevant guidance/standard.

Answer

As per para 16 and 17 of AS 21, intragroup balances and intragroup transactions and resulting **unrealized profits should be eliminated in full.** Unrealized losses resulting from intragroup transactions should also be eliminated unless cost cannot be recovered.

Intragroup balances and intragroup transactions, including sales, expenses and dividends, are eliminated in full. Unrealized profits resulting from intragroup transactions that are included in the carrying amount of assets, such as inventory and fixed assets, are eliminated in full. Unrealized losses resulting from intragroup transactions that are deducted in arriving at the carrying amount of assets are also eliminated unless cost cannot be recovered.

One also needs to see whether the intragroup transaction is "upstream" or "down-stream". Upstream transaction is a transaction in which the subsidiary company sells goods to holding company. While in the downstream transaction, holding company is the seller and subsidiary company is the buyer.

In the case of upstream transaction, since the goods are sold by the subsidiary to holding company; profit is made by the subsidiary company, which is ultimately shared by the holding company and the minority shareholders. In such a transaction, if some goods remain unsold at the balance sheet date, the unrealized profit on such goods should be eliminated from minority interest as well as from consolidated profit on the basis of their share-holding besides deducting the same from unsold inventory.

But in the case of downstream transaction, the whole profit is earned by the holding company, therefore, whole unrealized profit should be adjusted from unsold inventory and consolidated profit and loss account only irrespective of the percentage of the shares held by the parent.

Using above mentioned guidance, following adjustments would be required:

a. This would be the case of **downstream transaction**. In the consolidated profit and loss account for the year ended 31 March 20X1, entire transaction of sale and purchase of ₹ 200 lacs each, would be eliminated by reducing both sales and purchases (cost of sales).

   Further, the unrealized profits of ₹ 20 lacs (i.e. ₹ 200 lacs – ₹ 180 lacs), would be eliminated from the consolidated financial statements for financial year ended 31 March 20X1, by reducing the consolidated profits/ increasing the consolidated losses, and reducing the value of closing inventories as of 31 March 20X1.

b. This would be the case of **upstream transaction.** In the consolidated profit and loss account for the year ended 31 March 20X1, entire transaction of sale and purchase of ₹ 200 lacs each, would be eliminated by reducing both sales and purchases (cost of sales).

Further, the unrealized profits of ₹ 50 lacs (i.e. ₹ 200 lacs – ₹ 150 lacs), would be eliminated in the consolidated financial statements for financial year ended 31 March 20X1, by reducing the value of closing inventories by ₹ 50 lacs as of 31 March 20X1. In the consolidated balance sheet as of 31 March 20X1, A Ltd.'s share of profit from B Ltd will be reduced by ₹ 37.50 lacs (being 75% of ₹ 50 lacs) and the minority's share of the profits of B Ltd would be reduced by ₹ 12.50 lacs (being 25% of ₹ 50 lacs).

Question 5

When is a venturer required to discontinue the use of the proportionate consolidation method?

Answer

A venturer should discontinue the use of the proportionate consolidation method from the date that:

a. It ceases to have joint control in the joint venture but retains, either in whole or in part, its investment.

b. The use of the proportionate consolidation method is no longer appropriate because the joint venture operates under severe long- term restrictions that significantly impair its ability to transfer funds to the venturers.

From the date of discontinuing the use of the proportionate consolidation method,

a. If interest in entity is more than 50%, investments in such joint ventures should be accounted for in accordance with AS 21, Consolidated Financial Statement.

b. If interest is 20% or more but up to 50%, investments are to be accounted for in accordance with AS 23, Accounting for Investment in Associates in Consolidated Financial Statement.

c. For all other cases investment in joint venture is treated as per AS 13, Accounting for Investment.

d. For this purpose, the carrying amount of the investment at the date on which joint venture relationship ceases to exist should be regarded as cost thereafter.

Question 6

JVR Limited has made investments of ₹ 97.84 crores in equity shares of QSR Limited in pursuance of Joint Venture agreement till 20X1-X2 (i.e., more than 12 months). The investment has been made at par. QSR Limited has been in continuous losses for the last 2 years. JVR Limited is willing to reassess the carrying amount of its investment in QSR Limited and wish to provide for diminution in value of investments. However, QSR Limited has a futuristic and profitable business plans and projection for the coming years. Discuss whether the contention of JVR Limited to bring down the carrying amount of investment in QSR Limited is in accordance with the Accounting Standard.

Answer

As per para 26 of **AS 27** "Financial Reporting of Interests in Joint Ventures", in a venturer's separate financial statements, interest in a jointly controlled entity should be accounted for as an investment in accordance with AS 13 'Accounting for Investments'.

As per para 17 of AS 13 "Accounting for Investments", long-term investments are usually carried at cost.

However, when there is a decline, other than temporary, in the value of a long-term investment, the carrying amount is reduced to recognize the decline. Indicators of the value of an investment are obtained by reference to its market value, the investee's assets and results and the expected cash flows from the investment. The type and extent of the investor's stake in the investee are also taken into account. However, where there is a decline, other than temporary, in the carrying amounts of long-term investments, the resultant reduction in the carrying amount is charged to the profit and loss statement.

Since the investment was made in the year 20X1-20X2 i.e., more than a year, it is a long-term investment. In the given case, though the QSR Ltd. is in continuous losses for past 2 years, yet it has a futuristic and profitable business plans and projections for the coming years. Here, one of the indicators i.e. 'losses incurred to the company' may lead to diminution in the value of the shares while the other indicator that 'the company has positive expected cash flows from its business plans' does not lead to decline in the value of shares.

Considering both the facts, in case the expectation of profitable business plans and positive cash flows is based reliable presumptions (such as tender in favour of QSR Ltd., strong order book etc.), the decline will be regarded as temporary in nature and the investment in equity shares will continue to be carried at cost only.

However, should the aforesaid presumptions be based on projections without reasonable evidence backing the claims, the decline could be regarded as non-temporary in nature in which case the write down of the carrying amount become necessary in line with AS 13, thereby implying the contention of QSR Ltd. to be correct.

CHAPTER - 22
AS 22: Accounting for Taxes on Income

Question 1

Write short note on Timing differences and Permanent differences as per AS 22.

Answer

In current practices, companies, in general, prepare books of accounts as per Companies Act, 2013 generating Accounting Profit/Loss and Income-tax Act, 1961 generating Taxable Profit/Loss. Accounting income and taxable income for a period are seldom the same. Permanent differences are those which arise in one period and **do not reverse subsequently**. For e.g., an income exempt from tax or an expense that is not allowable as a deduction for tax purposes. Timing differences are those which arise in one period and are **capable of reversal** in one or more subsequent periods. For e.g., Depreciation etc.

CHAPTER - 24
AS 25: Interim Financial Reporting

Question 1

Whether quarterly financial results presented under Clause 41 of the Listing Agreement entered into between Stock Exchanges and the listed enterprises meet the definition of 'interim financial report' as per AS 25 and the provisions of AS 25 should be applied on the same?

Answer

The presentation and disclosure requirements contained in **AS 25** should be applied only if an enterprise prepares and presents an 'interim financial report' as defined in AS 25. Accordingly, presentation and disclosure requirements contained in AS 25 are not required to be applied in respect of interim financial results (which do not meet the definition of 'interim financial report' as per AS 25) presented by an enterprise.

The quarterly financial results presented under Clause 41 of the Listing Agreement do not meet the definition of 'interim financial report' as per AS 25. However, the recognition and measurement **principles laid down in AS 25 should be applied for recognition and measurement** of items contained in such interim financial results.

Question 2

Whether the impairment loss recognized on property, plant and equipment in first quarter of the financial year can be reversed in the second quarter in that financial year?

Answer

As per **AS 25,** the principles for recognising and measuring losses from inventory write-downs, restructurings, or impairments in an interim period are the same as those that an enterprise would follow if it prepared only annual financial statements. However, if such items are recognised and measured in one interim period and the estimate changes in a subsequent interim period of that financial year, the original estimate is changed in the subsequent interim period either by accrual of an additional amount of loss or by reversal of the previously recognised amount. In light of the same, the impairment loss recognized in one quarter can be reversed in another quarter of the financial year, if favourable indicator exists as per AS 28 and the recoverable amount increased in comparison to earlier period.

Question 3

In view of the provisions of Accounting Standard 25 on Interim Financial Reporting, on what basis will you calculate, for an interim period, the provision in respect of defined benefit schemes like pension, gratuity etc. for the employees?

Answer

AS 25 suggests that provision in respect of defined benefit schemes like pension and gratuity for an interim period should be calculated based on the year-to-date basis by using the actuarially determined rates at the end of the prior financial year, adjusted for significant market fluctuations since that time and for significant curtailments, settlements or other significant one-time events.

CHAPTER - 25
AS 26: Intangible Assets

Question 1

What is meant by Intangible Assets and what are the important factors to consider the recognition of item as an Intangible asset? What is the recognition criteria in accordance with the provisions of AS 26?

Answer

An intangible asset is an identifiable non-monetary asset, without physical substance, held for use in the production or supply of goods or services, for rental to others, or for administrative purposes. Below are the 3 key ingredients to be satisfied to cover an item as an intangible asset under this standard:

- identifiability,
- control over a resource and
- expectation (i.e. probable – 50% plus) of future economic benefits flowing to the enterprise.

The recognition of an item as an intangible asset requires an enterprise to demonstrate that the item meets the definition of an intangible asset and recognition criteria set out as below:

a. It is probable that the future economic benefits that are attributable to the asset will flow to the enterprise; and

b. The cost of the asset can be measured reliably.

Question 2

What is the measurement criteria at the time of initial recognition of Intangible assets acquired through separate acquisition?

Answer

If an intangible asset is acquired separately, the cost of the intangible asset can usually be measured reliably. This is particularly so when the purchase consideration is in the form of cash or other monetary assets.

The cost of an intangible asset comprises:

- its purchase price,
- any import duties and other taxes (other than those subsequently recoverable by the enterprise from the taxing authorities), and
- any directly attributable expenditure on making the asset ready for its intended use. Directly attributable expenditure includes, for example, professional fees for legal services.
- Any trade discounts and rebates are deducted in arriving at the cost.

Question 3

What are the criteria for recognition and measurement of Internally generated intangible assets. Describe which kind of cost is considered for capitalisation with respect to provisions of AS 26. Whether the same applies for internally generated goodwill also?

Answer

To assess whether an internally generated intangible asset meets the criteria for recognition, an enterprise classifies the generation of the asset into 2 phases:

- Research Phase &
- Development Phase

Research Phase - The expenses related to Research phase is expensed off in statement of Profit and loss.

Development Phase - Development is the application of research findings or other knowledge to a plan or design for the production of new or substantially improved materials, devices, products, processes, systems or services prior to the commencement of commercial production or use.

An intangible asset arising from development (or from the development phase of an internal project) should be recognised if, and only if, an enterprise can demonstrate all of the conditions given in para 6.15.

Cost of an Internally Generated Intangible Asset:

The cost of an internally generated intangible asset is the sum of expenditure incurred from the time when the intangible asset first meets the recognition criteria. Reinstatement of expenditure recognised as an expense in previous annual financial statements or interim financial reports is prohibited.

The cost of an internally generated intangible asset comprises all expenditure that can be directly attributed, or allocated on a reasonable and consistent basis, to creating, producing and making the asset ready for its intended use from the time when the intangible asset first meets the recognition criteria. For details, refer para 6.16.

Internally generated goodwill is not recognised as an asset because it is not an identifiable resource controlled by the enterprise that can be measured reliably at cost.

Question 4

Advise the complete accounting treatment for Research and development phase as per AS 26.

Answer

Research phase means acquisition of knowledge and Development phase means application of knowledge.

The expenditure related to Research phase is expensed off in statement of Profit and loss. However, the expenditure incurred in Development phase is capitalised as a cost of the internally generated intangible asset.

If an enterprise cannot distinguish the research phase from the development phase of an internal project to create an intangible asset, the enterprise treats the expenditure on that project as if it were incurred in the research phase only.

Question 5

What is meant by Amortisation of an Intangible asset. What are the different methods for amortisation as per AS 26?

Answer

Amortisation is the systematic allocation of the depreciable amount of an intangible asset over its useful life.

The amortisation method used should reflect the pattern in which the asset's economic benefits are consumed by the enterprise. If that pattern cannot be determined reliably, the straight-line method should be used. A

variety of amortisation methods can be used to allocate the depreciable amount of an asset on a systematic basis over its useful life. These methods include

- the straight-line method,
- the diminishing balance method and
- the unit of production method.

The method used for an asset is selected based on the expected pattern of consumption of economic benefits and is consistently applied from period to period, unless there is a change in the expected pattern of consumption of economic benefits to be derived from that asset.

Question 6

The company had spent ₹ 45 lakhs for publicity and research expenses on one of its new consumer products, which was marketed in the accounting year 20X1-20X2, but proved to be a failure. State, how you will deal with the following matters in the accounts of U Ltd. for the year ended 31st March, 20X2.

Answer

In the given case, the company spent ₹ 45 lakhs for publicity and research of a new product which was marketed but proved to be a failure. It is clear that in future there will be no related further revenue/benefit because of the failure of the product. Thus, according to AS 26 'Intangible Assets', the company should charge the total amount of ₹ 45 lakhs **as an expense in the profit and loss account**.

Question 7

A company with a turnover of ₹ 250 crores and an annual advertising budget of ₹ 2 crores had taken up the marketing of a new product. It was estimated that the company would have a turnover of ₹ 25 crores from the new product. The company had debited to its Profit and Loss account the total expenditure of ₹ 2 crore incurred on extensive special initial advertisement campaign for the new product.

Is the procedure adopted by the company, correct?

Answer

According to **AS 26** 'Intangible Assets', "expenditure on an intangible item should be recognised as an expense when it is incurred unless it forms part of the cost of an intangible asset".

AS 26 mentions that expenditure on advertising and promotional activities should be recognised as an expense when incurred.

In the given case, advertisement expenditure of ₹ 2 crores had been taken up for the marketing of a new product which may provide future economic benefits to an enterprise by having a turnover of ₹ 25 crores. Here, **no intangible asset** or other asset is acquired or created that can be recognised. Therefore, the accounting treatment by the company of debiting the entire advertising expenditure of ₹ 2 crores to the **Profit and Loss account of the year is correct**.

CHAPTER - 26
AS 28: Impairment of Assets

Question 1

Write short note on impairment of asset and its application to inventory.

Answer

The objective of AS 28 'Impairment of Assets' is to prescribe the procedures that an enterprise applies to ensure that its assets are carried at no more than their recoverable amount. An asset is carried at more than its recoverable amount if its carrying amount exceeds the amount to be recovered through use or sale of the asset. If this is the case, the asset is described as impaired and this Standard requires the enterprise to recognize an impairment loss.

- If carrying amount < = Recoverable amount: Asset is not impaired
- If carrying amount > Recoverable amount: Asset is impaired

Impairment Loss = Carrying Amount – Recoverable Amount

Recoverable amount is the higher of net selling price and its value in use

This standard should be applied in accounting for the impairment of all assets, other than:

(i) Inventories (AS 2, Valuation of Inventories);

(ii) Assets arising from construction contracts (AS 7, Accounting for Construction Contracts);

(iii) Financial assets, including investments that are included in the scope of AS 13, Accounting for Investments; and

(iv) Deferred tax assets (AS 22, Accounting for Taxes on Income).

AS 28 does not apply to inventories, assets arising from construction contracts, deferred tax assets or investments because other accounting standards applicable to these assets already contain specific requirements for recognizing and measuring the impairment related to these assets.

Question 2

A publisher owns 150 magazine titles of which 70 were purchased and 80 were self-created. The price paid for a purchased magazine title is recognized as an intangible asset. The costs of creating magazine titles and maintaining the existing titles are recognized as an expense when incurred. Cash inflows from direct sales and advertising are identifiable for each magazine title. Titles are managed by customer segments. The level of advertising income for a magazine title depends on the range of titles in the customer segment to which the magazine title relates. Management has a policy to abandon old titles before the end of their economic lives and replace them immediately with new titles for the same customer segment. What is the cash-generating unit for an individual magazine title?

Answer

It is likely that the recoverable amount of an individual magazine title can be assessed. Even though the level of advertising income for a title is influenced, to a certain extent, by the other titles in the customer segment, cash inflows from direct sales and advertising are identifiable for each title. In addition, although titles are managed by customer segments, decisions to abandon titles are made on an individual title basis.

Therefore, it is likely that individual magazine titles generate cash inflows that are largely independent of each other and that **each magazine title is a separate cash-generating unit.**

CHAPTER - 28
Preparation of Financial Statements of Companies

Question 1

State under which head these accounts should be classified in Balance Sheet, as per Schedule III of the Companies Act, 2013:

(i) Share application money received in excess of issued share capital.

(ii) Share option outstanding account.

(iii) Unpaid matured debenture and interest accrued thereon.

(iv) Uncalled liability on shares and other partly paid investments.

(v) Calls unpaid.

(vi) Money received against share warrant.

Answer

(i) Current Liabilities/Other Current Liabilities

(ii) Shareholders' Fund/Reserve & Surplus

(iii) Current liabilities/Other Current Liabilities

(iv) Contingent Liabilities and Commitments

(v) Shareholders' Fund/Share Capital

(vi) Shareholders' Fund/Money received against share warrants

CHAPTER - 30
Internal Reconstruction

Question 1

What are the methods of internal reconstruction generally followed by companies?

Answer

Methods of Internal reconstruction:

- Sub-division or consolidation of shares into smaller or higher Denomination and Conversion of share into stock or vice-versa
- Variation of shareholders' rights
- Reduction of share capital
- Compromise, arrangements etc.
- Surrender of Shares.

CHAPTER - 31
Accounting for Branches Including Foreign Branches

Question 1

Why goods are marked on invoice price by the head office while sending goods to the branch?

Answer

Goods are marked on invoice price to achieve the following objectives:

(i) To keep secret from the branch manager, the cost price of the goods and profit made, so that the branch manager may not start a rival and competitive business with the concern; and

(ii) To have effective control on stock i.e. stock at any time must be equal to opening stock plus goods received from head office minus sales made at branch.

(iii) To dictate pricing policy to its branches, as well as save work at branch because prices have already been decided.

Question 2

Differentiate Branch Accounts with Departmental accounts.

Answer

Branch accounts may be maintained either at branch or at head office and no allocation problem arises since the expenses in respect of each branch can be identified However, Departmental accounts are maintained at one place only. Common expenses are distributed among the departments concerned on some equitable basis considered suitable in the case. For details, refer Para 2 of the Chapter to know the differences.